

Note to Reader: This 2025 Annual Report is being refiled to replace the version filed on March 10, 2026, which was incomplete.



2025

Annual Report



Who We Are

TD is a top-10 North American bank with global reach and a diversified portfolio. We are proud to serve over 28 million clients in four key businesses operating in financial centres around the globe. TD aims to stand out from its peers through a distinctive brand and industry-leading client experience, underpinned by our proven business model and focus on continuous growth and innovation.

FY'25 Total Reported Revenue by Business Segment¹

37%

Canadian
Personal &
Commercial
Banking

15%

Wholesale
Banking



22%

U.S. Retail²

26%

Wealth Management
& Insurance

FY'25 Total Reported Revenue

\$68 billion

50% Canada

50% U.S.²

100,000+

colleagues

6th

largest bank in
North America³

28+ million

clients

13+ million

active mobile users in
Canada and the U.S.⁴

2,151

retail locations in
North America

\$178+ million

contributed to
communities in 2025⁵

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¹ Excluding Corporate segment.

² U.S. includes International.

³ By total assets, as at October 31, 2025.

⁴ As at October 31, 2025. Active mobile users are users who have logged in via their mobile device at least once in the last 90 days.

⁵ Figures are disclosed in CAD equivalent and include donation commitments paid in the fiscal year. Figure does not include donations made through TD Friends of the Environment Foundation.



Our Strategy

Launched at TD's Investor Day in September 2025, our new strategy builds on the strong momentum achieved over the past year and reflects our continued focus on delivering for our clients and shareholders. Centred on three pillars that enhance the client experience, accelerate growth and drive long-term shareholder value, this new strategy marks the next phase of our journey.

Deeper Relationships

Create an unparalleled client experience, combining human interactions with digital convenience.

Simpler & Faster

Enable and empower colleagues to deliver with excellence and speed to meet our clients' evolving needs.

Disciplined Execution

Deliver industry-leading shareholder returns, bolstered by uncompromising risk management.

Our Ambition

As the world rapidly evolves, we will never lose sight of the businesses and households we serve. Every product, service and interaction is designed to build meaningful connections and deliver personal, effortless and seamless experiences. This is what drives us.

Our Purpose

Reimagine what banking can be for our clients, colleagues and communities.

Our Promise

Remarkably human.
Refreshingly simple.

A Scaled North American Bank with Global Reach

\$2.1 trillion balance sheet,¹ with personal and commercial banking leadership and scale.

Canada's premier retail franchise and most valuable brand.²

Second-largest business bank in Canada, for both loans and deposits.³

#1 direct investing platform,⁴ and **#1 institutional asset manager in Canada**.⁵

#1 direct insurer in Canada.⁶

A top-10 U.S. bank^{1,7} with more than 10 million clients.

TD Securities remained a top-tier wholesale bank in Canada while accelerating growth and new capabilities in the U.S.



¹ As at October 31, 2025.

² Brand Finance Global 500 Brand Value Rankings (April 2025).

³ Commercial market share based on CBA data as of March 31, 2025, inclusive of 8 participating Canadian financial institutions.

⁴ Based on market share of revenue and total assets. Investor Economics, Retail Distribution Report, June 2025.

⁵ Investor Economics, Managed Money Report, Spring 2025.

⁶ Rankings based on data compiled from MSA Research for the year ended December 31, 2024.

⁷ By total assets.



Raymond Chun
Group President and Chief Executive Officer,
TD Bank Group

Group President and CEO's Message

Dear shareholders,

I am very pleased to report on our progress in 2025, and to discuss the plans we are executing to build our Bank for the future.

Colleagues across TD came together in 2025 and delivered remarkable outcomes. We served our 28 million clients, built momentum across our businesses, created value for our shareholders and developed and launched a new strategy.

Financial performance and shareholder value

TD delivered strong outcomes and created significant value during a year of change and strategic progress.

For fiscal 2025, we reported revenue of \$67.78 billion, with adjusted revenue of \$61.81 billion, a 9% increase over the previous year. Reported earnings were \$20.54 billion, with adjusted earnings up 5% year-over-year to \$15.03 billion.

We also took decisive action to create value for our shareholders. In February, we sold our US\$15-billion stake in The Charles Schwab Corporation for a significant gain. We returned a large part of the proceeds directly to shareholders by initiating an \$8-billion stock buy-back, which we expect to complete in the first quarter of fiscal 2026.

Even with this significant return of capital to shareholders, we ended the year a very well-capitalized Bank, with a CET1 ratio of 14.7%, well above regulatory requirements. In September, we announced plans, subject to regulatory approval, to initiate a new stock buy-back of \$6 billion–\$7 billion in fiscal 2026, which would return almost all the proceeds of the Schwab sale to shareholders.

As we shared at our Investor Day in September, we expect earnings growth to accelerate over the medium term. We have moved from an annual dividend review cycle to a semi-annual cycle to support alignment of shareholder return with earnings growth. In December, we announced a 3-cent dividend increase, bringing our quarterly dividend to \$1.08 per share, reflecting confidence in TD's future growth and earnings power.

Throughout 2025, we remained sharply focused on our U.S. anti-money laundering (AML) remediation program. We achieved several important milestones this year and have a clear roadmap for the work ahead. This remains our top priority.

We also took important steps to restructure our U.S. balance sheet, exit non-core businesses and create significant capacity to serve our clients, compete, and grow in the U.S. under the asset limitation.

When I look back on the year, I am proud of what we accomplished together.

We are building our future on a very strong foundation

Early in the fiscal year, we launched a comprehensive strategic review of our business. We examined every aspect of our Bank, competitive position, use of capital and financial performance. This critical exercise confirmed our strengths, identified our opportunities and revealed where we need to change or improve.

There is no question we are building our future from a position of strength. We have a powerful \$2-trillion balance sheet, diversified businesses, clear leadership in Canada and important scale in the U.S.

A Canadian leader with a powerful brand and unmatched reach

In Canada, we operate the country's premier retail banking franchise. We serve one in three Canadians, have primary banking leadership, industry-leading products and services, and run the country's second-largest business bank.

In Wealth Management, we have Canada's #1 direct investing platform, the fastest-growing private wealth management business and the #1 institutional asset manager.

TD Insurance continues to disrupt the market and is the #1 direct-to-consumer insurer in Canada, while working to set the standard for digital and artificial intelligence (AI) leadership in the insurance industry.

With Canada's most valuable brand, a growing client base and over 8 million active mobile users, we are poised for accelerated growth.

TD has a long heritage in Canada, going back more than 170 years. We are a leading employer, with almost 70,000 colleagues working in branches, offices, trading floors and innovation hubs across the country. We proudly support economic growth, help families and businesses achieve their goals and finance projects and programs that are critical to Canada's future. Working with community partners, we also contributed over \$115 million in 2025 to help Canadians clear new pathways to economic inclusion and live better lives.

We will continue to build on this legacy of leadership.

A top-10 American bank with scale and deep community connections

In the United States, we have built a top-10 bank in just twenty years. TD serves more than 10 million American households, businesses and entrepreneurs, helping them navigate complexity and achieve their goals.

TD has planted deep roots in communities across the eastern seaboard over the past two decades, with almost 30,000 colleagues across 15 states and Washington D.C., and leading market share in some of the country's largest metro areas.

Through our U.S. Community Investment Plan, we are delivering US\$20 billion in local investment, lending, financial education, philanthropy and banking access across underserved communities throughout our U.S. footprint. In 2025, we also contributed over US\$30 million to not-for-profit organizations that support the communities where we live and work.

We will continue to invest in our clients, our business and our communities as we extend our presence in one of the world's largest banking markets.

TD Securities is growing strong in Canada, the U.S. and globally

TD Securities built strong momentum throughout 2025, demonstrating the power of our integrated, full-service North American platform. With the integration of TD Cowen, we now have a full suite of capabilities to serve clients in the U.S. including one of the top research teams in the market. We are growing mandates and winning more business with our clients in Canada, the U.S. and globally.

TD Securities is well on its way to becoming a top-10 North American dealer with global reach.

Shaping TD's future

At our Investor Day, we laid out a detailed plan to mobilize these undeniable strengths and advantages to accelerate growth, enhance financial performance and create shareholder value.

Deeper Relationships

Our strategy starts with the 28 million clients who have placed their trust in TD. Our greatest growth opportunity, in every one of our businesses, is to serve more of their needs.

We are making significant investments to seize this opportunity. Across TD, we're deploying frontline colleagues who can bring more of the Bank to our clients. This includes 1,200 wealth advisors in Canada and an additional 500 in the U.S., more than 800 frontline business bankers and 1,000 mortgage and investment specialists. We're also making critical investments in technology, data and AI to make it easier to bank digitally and enhance the client experience.

Through our early investments in 2025, we are already seeing rising product penetration and cross-business referrals.

Simpler & Faster

Our clients' needs are shifting, competition is intensifying and the pace of change is accelerating. In this environment, speed matters, and will be a competitive advantage for TD moving forward.

We are speeding up the Bank with AI-powered virtual assistants, loan auto-adjudication, data-driven card pre-approvals and internal process automation.

AI is at the heart of much of this innovation and we're moving with speed to harness its power. We're organizing our data in the cloud and deploying AI across TD to drive our growth and our performance. Over 2,500 AI and data scientists, engineers and specialists are building new applications to create value for our clients and the Bank.

We're also taking concrete steps to speed up how we run our Bank. We're stripping out complexity, simplifying our operating model and moving decision-rights closer to our clients.

“ As we reimagine our future, one thing will never change: our clients will always remain at the heart of our Bank. ”

Disciplined Execution

To enable our strategy, we're bringing disciplined execution to our work. We are relentlessly prioritizing and sharpening our focus to run our Bank with precision and efficiency.

As part of this effort, we're structurally resetting our cost base to deliver \$2 billion–\$2.5 billion in cost savings over the medium term. This is a Bank-wide effort, and includes back-office automation, significant procurement savings and an end-to-end redesign of our 20 most expensive processes.

These savings will enhance performance and allow us to further accelerate investments that will drive growth.

I look forward to updating you on our progress over the coming months and years as we execute on this strategy and shape TD's future.

Reimagine what banking can be

As we look ahead, we know that constant change will continue to shape our environment and impact our clients, colleagues and communities. We can't simply adapt to the change; we want to lead it and help shape the future of our industry.

We are embracing a new purpose: to **Reimagine what banking can be**, for the clients we serve, the colleagues dedicated to their success, and across communities we call home.

Unified around a shared purpose, we will challenge ourselves to seek new ways to create value and support all those who rely on TD.

Remarkably Human. Refreshingly Simple.

As we reimagine our future, one thing will never change: our clients will always remain at the heart of our Bank.

In an increasingly complex, uncertain and mobile-first world, TD is making a new promise to our clients. We will offer **Remarkably Human and Refreshingly Simple** experiences in every engagement, every product, and every swipe.

As we deliver on this promise, we will enable our clients to thrive, and we will set a new standard for client experience.

Culture – Who we Are and How we Lead

Over the last several months, we also carefully looked at our culture.

TD's winning culture has helped us build a formidable business, recruit and retain the best talent and earn trust with millions of clients.

As we shape our future, we must also strengthen our culture. This includes accountability at every level, curiosity in every colleague and the courage to lead both our Bank and our industry into the future.

In late October, we gathered TD's top leaders from around the world for a senior management conference where we outlined our new direction. We candidly discussed the change we need to drive and committed as a leadership team to deliver the outcomes we promised. We also unified around shared principles, clearly defining **Who we Are** and **How we Lead** to strengthen our culture and position TD and our colleagues to win today and well into the future.

Thank you

Without question, 2025 was a pivotal year for our Bank.

I am most proud of the tremendous commitment of our more than 100,000 colleagues. They rose to the occasion and delivered for our clients and each other through an unprecedented period of change. I thank them for their dedication to our clients and the Bank.

I also thank our millions of clients for placing their trust in TD, and you, our shareholders, for your continued support.

TD is moving forward with confidence to build our Bank for the future. I'm energized by our progress, and excited to seize the opportunities ahead.



Raymond Chun
Group President and Chief Executive Officer

Senior Executive Team

The Senior Executive Team champions The TD Way, which unites our ambition, values and leadership principles under one shared framework to drive how we serve our clients, empower our colleagues and strengthen our communities.

Raymond Chun
Group President and Chief Executive Officer

Ajai Bambawale
Group Head and Chief Risk Officer

Melanie Burns
Senior Executive Vice President and Chief Human Resources Officer

Paul Clark
Senior Executive Vice President, TD Wealth

Simon Fish
Senior Executive Vice President and General Counsel

Barbara Hooper
Group Head, Canadian Business Banking

Sona Mehta
Group Head, Canadian Personal Banking

Michelle Myers
Global Chief Auditor

Leo Salom
Group Head, U.S. Retail and President and CEO, TD Bank, America's Most Convenient Bank®

Vlad Shpilsky
Senior Executive Vice President, Global Technology & Solutions

Kelvin Vi Luan Tran
Group Head and Chief Financial Officer

Taylan Turan
Senior Executive Vice President and Chief Operating Officer

Tim Wiggan
Group Head, Wholesale Banking and President and CEO, TD Securities

Chair of the Board's Message

TD's strategic progress in 2025 demonstrates the underlying strengths of the Bank and reflects the unwavering commitment of our colleagues.

Our 2025 earnings performance, strong CET1 ratio and organic capital generation capability provided the Bank with the means to invest in our business, strengthen our risk and control environment, and create value for our shareholders.

This performance supported critical investments in talent, innovation and new capabilities, while delivering an increase in our common share dividend to shareholders. We also initiated an \$8 billion stock buy-back in 2025 following the sale of our stake in Schwab. In September, we announced plans, subject to regulatory approval, to initiate a subsequent buy-back of \$6 billion–\$7 billion in 2026, returning excess capital directly to shareholders, while maintaining a very strong capital position.

In 2025, the Board welcomed five new independent directors with expertise in global banking, governance, risk management and regulatory compliance, reconstituted its committees, and oversaw management's review and introduction of the Bank's new strategy. I became Chair of the Board on September 1, 2025, and it's a privilege for me and my director colleagues to serve TD and our fellow shareholders.

We maintained a sharp focus on our U.S. AML remediation efforts throughout 2025. Directors received regular reports, challenged management and connected directly with the experts within the Bank who are driving this important work. We are making steady progress and remain focused on the critical work needed to meet our obligations.

My Board colleagues and I meet regularly with TD leaders, clients and shareholders to gain new insights and hear different perspectives. These candid conversations are very valuable and help inform the Board's work and deliberations.

In February, Raymond Chun assumed the leadership of the Bank as our new Group President and CEO. A dynamic leader and skilled operator, Ray and his senior leaders have reenergized the Bank and are executing on a detailed plan to accelerate growth.

Ray has set the Bank on a new course, focused on creating deeper relationships with our 28 million clients, building a simpler and faster organization, with disciplined execution. Accountability at every level is now part of the Bank's culture, empowering every colleague to drive strong outcomes and support our collective success.

On behalf of the Board, I extend our thanks to all TD colleagues for their tremendous efforts, our clients for placing their trust in TD and our shareholders for your support.



John MacIntyre
Chair of the Board



The Board of Directors

The Board of Directors, as of December 3, 2025, is listed below. A full list of its committees and key committee responsibilities can be found on page 16.

Our Proxy Circular for the 2026 Annual Meeting will set out the director candidates proposed for election at the meeting, as well as provide additional information about each candidate, including education, other public board memberships, areas of expertise, TD Board Committee memberships, stock ownership and attendance at Board and Committee meetings.

Ayman Antoun
Corporate Director,
and former President,
IBM Americas
Oakville, Ontario

Ana Arsov
Corporate Director,
and former Global
Co-Head of Financial
Institutions and
Global Head of
Private Credit,
Moody's Ratings
Greenwich,
Connecticut

Cherie L. Brant
Partner, Borden
Ladner Gervais LLP
Tyendinaga Mohawk
Territory, Ontario

Raymond Chun
Group President
and Chief Executive
Officer, The Toronto-
Dominion Bank
Oakville, Ontario

Elio R. Luongo
Corporate Director,
and former Chief
Executive Officer
and Senior Partner,
KPMG Canada
Burnaby, British
Columbia

John B. MacIntyre
Board Chair,
The Toronto-
Dominion Bank
Toronto, Ontario

Keith G. Martell
Corporate Director,
and former President
and Chief Executive
Officer, First Nations
Bank of Canada
Eagle Ridge,
Saskatchewan

Nathalie M. Palladitcheff
Corporate Director,
and former Chief
Executive Officer,
Ivanhoé Cambridge
Montréal, Québec

Frank J. Pearn
Corporate Director,
and former Global
Chief Compliance
Officer, JPMorgan
Chase & Co.
Naples, Florida

S. Jane Rowe
Corporate Director,
and former Vice Chair,
Investments, Ontario
Teachers' Pension
Plan Board
Toronto, Ontario

Nancy G. Tower
Corporate Director,
and former President
and Chief Executive
Officer, Tampa
Electric Company
Halifax, Nova Scotia

Ajay K. Virmani
Executive Chairman,
Cargojet Inc.
Oakville, Ontario

Mary A. Winston
Corporate Director,
and former public-
company Chief
Financial Officer
Charlotte,
North Carolina

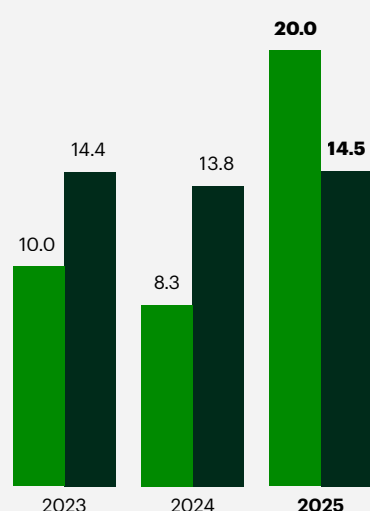
Paul C. Wirth
Corporate Director,
and former Deputy
Chief Financial
Officer, and Global
Controller and Chief
Accounting Officer,
Morgan Stanley
New Vernon,
New Jersey

2025 Snapshot

Net Income

available to common shareholders
(\$ billions)

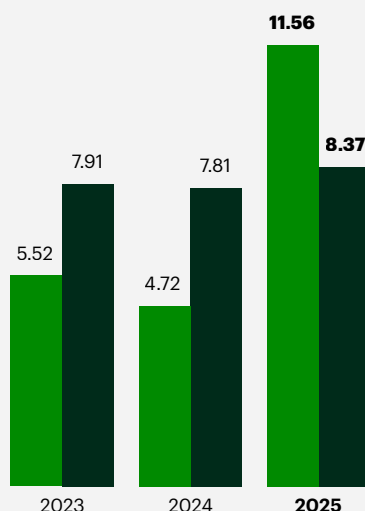
■ Reported ■ Adjusted¹



Diluted Earnings per Share

(\$)

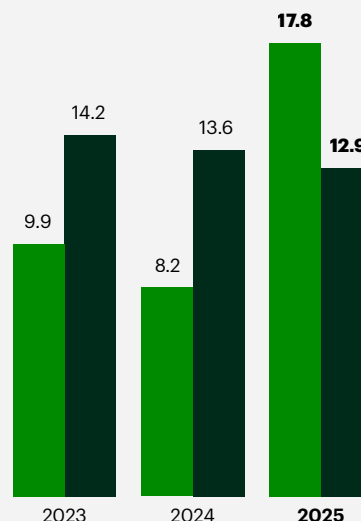
■ Reported ■ Adjusted¹



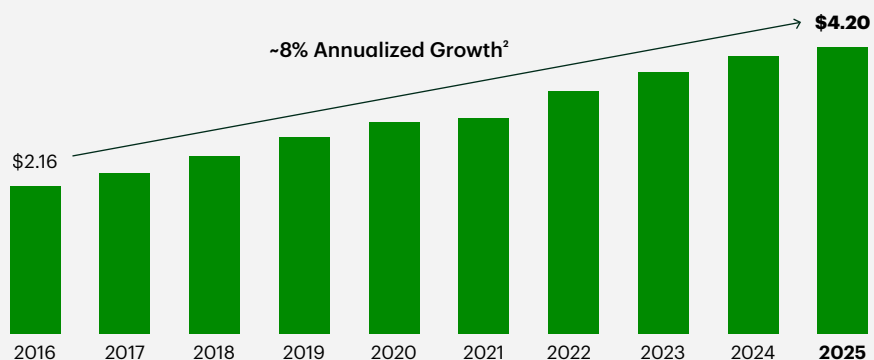
Return on Common Equity³

(per cent)

■ Reported ■ Adjusted¹



Dividend History



169-year

Continuous
Dividend History

4.6%

2025 Dividend
Yield³

25.9%

Total Shareholder Return³
(5-year CAGR⁴)

Balance Sheet and Capital Position

(as at October 31, 2025)

\$2.1 trillion
Assets

\$1.3 trillion
Deposits

14.7%
CET1 Ratio⁵

¹ Adjusted results are non-GAAP financial measures. Refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" section of the 2025 Management's Discussion and Analysis (MD&A).

² 10-year CAGR is the compound annual growth rate calculated from 2015 to 2025.

³ For additional information about this metric, refer to the Glossary in the 2025 MD&A.

⁴ 5-year CAGR is the compound annual growth rate calculated from 2020 to 2025.

⁵ This measure has been calculated in accordance with OSFI's Capital Adequacy Requirements and Liquidity Adequacy Requirements guidelines.

Managing Risk at TD

TD's Risk Appetite

We take risks required to build our business, but only if those risks:

- 1 Fit our business strategy** and can be understood and managed.
- 2 Do not expose the enterprise to any significant single loss events;** TD does not “bet the bank” on any single acquisition, business, product or decision.
- 3 Do not risk harming the TD brand.**

TD's Risk Culture

A strong risk culture is fundamental to TD's success. It shapes how the Bank seizes opportunities, navigates challenges and maintains its focus on the future. Doing the right thing is at the heart of our risk culture and reflects who we are as a Bank.

The Bank fosters an environment where colleagues feel empowered to take ownership, escalate issues and continuously build their risk knowledge. Every day, TD colleagues across the enterprise do the right thing and **Own it, Raise it and Know it.**

These behaviours underpin a strong risk culture and are critical to achieving our vision, remaining successful in a complex and competitive operating environment and driving better outcomes for clients, colleagues and communities.



A Closer Look: Progress on TD's Anti-Money Laundering (AML) Program

In 2025, TD stayed focused on delivering against its top priority, advancing remediation efforts and strengthening its AML program across the Bank.

Key achievements on the remediation of TD's U.S. AML program include:

- ✓ **Continued strengthening leadership and talent.**
- ✓ **Enhanced client onboarding procedures and strengthened cash deposit requirements.**
- ✓ **Improved investigative procedures with updated guidelines and streamlined workflow.**
- ✓ **Implemented role-based targeted training and enhanced Bank-wide general training to reinforce understanding and accountability.**
- ✓ **Deployed a new transaction monitoring platform with enhanced scenario coverage and capabilities.**
- ✓ **Implemented specialized artificial intelligence (AI) and machine learning capabilities.**
- ✓ **Continued making progress on lookback reviews.**

While the Bank has made progress on this remediation effort, significant work and important milestones remain in this multi-year endeavour to implement a strong, effective and sustainable AML program. TD remains steadfast in its commitment to this critical work.

Deeper Relationships

TD is meeting more of our clients' needs, with services, advice and digital experiences that feel effortless.



Delivering integrated solutions that meet more of our clients' financial needs

- Deepened client relationships in Canada and the U.S. through **enhanced partnerships across TD's businesses**.
- Provided personalized payment experiences and rewards to clients through **strategic credit card relationships**, including the extension of TD's exclusive co-branded credit card with Amazon in Canada and expanded loyalty relationship with Uber.
- Created unique client packages and mobilized thousands of TD bankers to **serve the New to Canada population**, maintaining our leadership in this space and acquiring over 1 million accounts since 2023.
- By **transforming stores into advice centres**, TD Bank, America's Most Convenient Bank® (AMCB) is evolving its digital and physical presence to ensure we continue to meet our clients' latest needs.
- TD Insurance launched **a new usage-based auto insurance program**, delivering driving insights and improved personalized pricing to clients.
- TD Bank, AMCB ranked #1 in approved **U.S. Small Business Administration (SBA) loans in its Maine-to-Florida footprint for the ninth straight year**, reinforcing our commitment to helping entrepreneurs grow their businesses.

Reimagining banking for the digital era to help clients bank where and when they choose

- Extended our leadership in Direct Investing with **platform enhancements like Active Trader mobile and WebBroker Live Agent Chat**.
- TD Bank, AMCB is delivering a digital-first experience for retail credit card clients through a **collaboration with Backbase, the creator of the Engagement Banking Platform**, which will help provide a more seamless, modern and multi-channel service experience.
- TD Securities **bolstered its voice trading desk with enhanced analytical tools and an automated algorithmic solution** that helps clients meet a full range of financing and trading needs.
- TD Insurance is Canada's leading digital direct insurer, with more than **75% of clients digitally engaged** and over **40% of eligible Home and Auto transactions completed online**.

#1 **Ranked #1 for average digital reach of any bank in Canada.¹**



¹ Based on ComScore MMX® Multi-Platform, Financial Services Banking, Total audience, 3-month average ending September 2025, Canada.



TD named **the most valuable Canadian brand** for the third consecutive year, according to the Canada 100 2025 report by Brand Finance, the world's leading brand valuation consultancy.

TD Bank, AMCB ranked **#1 in Florida for retail banking customer satisfaction** in the J.D. Power 2025 U.S. Retail Banking Satisfaction Study.¹

TD Auto Finance (Canada) ranked **#1 in Dealer Satisfaction among Non-Captive Non-Prime Lenders with Retail Credit** for the eighth consecutive year, and **#1 in Dealer Satisfaction among Non-Captive Prime Lenders with Retail Credit** for the second year in a row. In the U.S., TD Auto Finance also ranked **#1 in Dealer Satisfaction among National Non-Captive Prime Lenders** for the sixth year in a row.²

TD Asset Management was recognized in **Six Categories at the 2024 Canada LSEG Lipper Fund Awards**, and won **24 FundGrade A+ awards**, including 15 for ETFs.

TD Direct Investing ranked the **#1 online brokerage in Canada** in *The Globe and Mail's* annual Digital Brokerage Ranking for the third consecutive year.³

EuroMoney awarded TD Securities **Canada's best investment bank for Debt Capital Markets⁴** and **Canada's best FX bank.⁵**

TD Securities was recognized by The Digital Banker for **Best Bank for Trade Finance – Canada** and for **Outstanding Use of Technology in Trade Finance – North America.⁶**

¹ Tied in 2025. For J.D. Power 2025 award information, visit jdpower.com/awards.

² For J.D. Power 2025 award information, visit jdpower.com/awards.

³ *The Globe and Mail's* 2025 Digital Brokerage Ranking.

⁴ The EuroMoney Awards for Excellence 2025.

⁵ EuroMoney Foreign Exchange Awards 2025.

⁶ The Digital Banker Transaction Banking Innovation Awards 2025.

⁷ Private Wealth Management and Full-Service Brokerage for 6 months ending June 2025, Investor Economics (a division of ISS Market Intelligence).



Building relationships through sports and music

At TD, we bring communities together by helping fans feel closer to the teams, music and artists they love.



Toronto Blue Jays™

During the 2025 postseason, we saw how sport unites fans from coast to coast. The TD Shield is proudly worn on the Toronto Blue Jays™ jerseys and shines behind home plate.



Boston Celtics

We renewed our relationship with the 2024 World Champion Boston Celtics, and are proud to continue delivering unique benefits and experiences for fans.



Connecticut Sun

We announced a new multi-year relationship with the Connecticut Sun of the Women's National Basketball Association to engage fans while supporting the community and championing women's sports.



Cricket Canada

We're committed to bringing fans closer to cricket through regional youth clinics, like the new TD Young Wickets program, by sponsoring Cricket Canada, and through local grassroots cricket organizations.



TD Coliseum

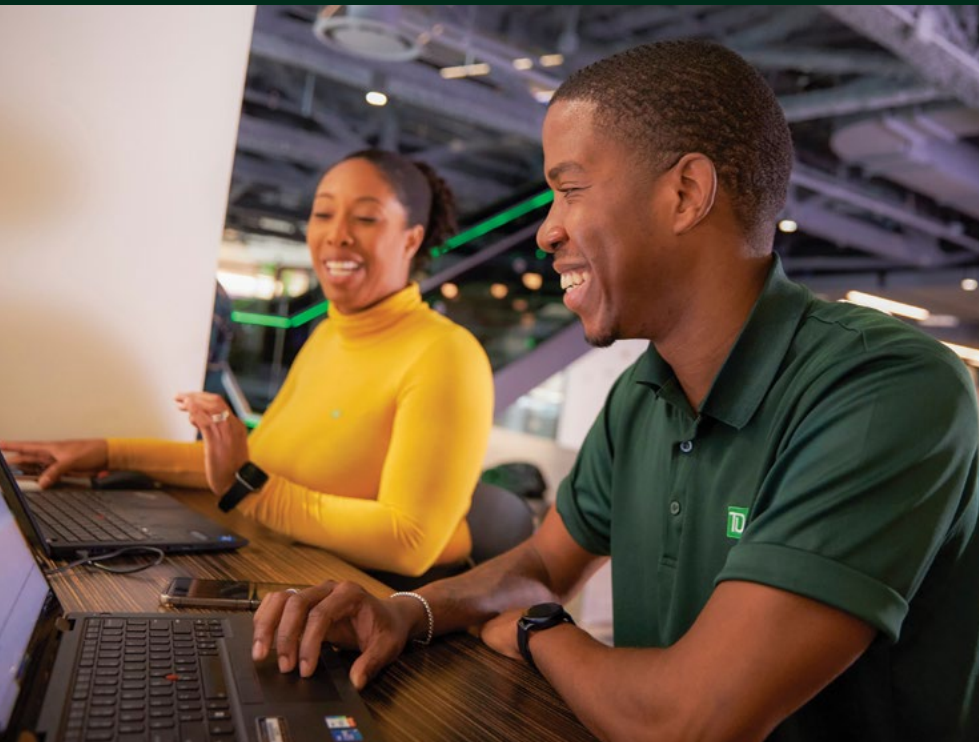
TD's sponsorship of Hamilton's premier sports and entertainment venue ushered in a new era of live entertainment by supporting the revitalization of an iconic landmark with enhanced experiences and perks for clients.

Driving growth in our fee-income businesses to deliver more of TD to our clients

- TD Securities **completed the integration of TD Cowen**, providing clients with a single Dealer that delivers a robust product suite and holistic solutions.
- TD Securities acted as **lead bookrunner on TD's milestone sale of its stake in The Charles Schwab Corporation**, one of the largest equity capital market deals completed in global markets.
- TD Securities Automated Trading **expanded into U.S. investment-grade corporate bonds**.
- TD Wealth has the **fastest-growing private wealth management business** in Canada.⁷
- TD Asset Management expanded its product shelf to meet client demands, adding **new ETFs and expanding access to its institutionally available infrastructure strategy** to eligible Canadian accredited investors.

Simpler & Faster

We are building a simpler and faster bank, reducing complexity and harnessing the power of AI and digital to help meet our clients' evolving needs.

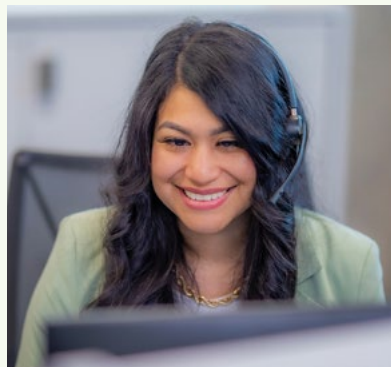


Deploying enhanced technology to drive speed for our clients

- The Canadian Personal Bank is delivering **faster mortgage pre-approval, pricing and application processes**, and **speedier credit card onboarding to clients**.
- Through enhanced digital onboarding capabilities, **almost all Direct Investing accounts can be opened online the same day, with no human intervention** – making it easier for our clients to place their first trade.
- The Canadian Business Bank has made it **easier and faster for new business clients to enroll in our Commercial Banking web portal**, and TD Auto Finance launched a **proprietary automated decision platform that uses machine learning for credit adjudication**.
- TD Bank, AMCB completed a **Wealth Referral AI model** to help identify retail clients who may benefit from wealth products.
- TD Securities simplified the client experience with **TD One Portal**, which provides a single sign-on to access products and services.
- TD introduced the **TransUnion CreditView Dashboard in the TD app** to help Canadian clients stay on top of their credit health.
- The Canadian Business Bank entered into a **strategic relationship with Fiserv** that will elevate the TD Merchant Solutions Canadian client experience through Fiserv's advanced payment technology, including Clover products.

Simplifying our operating model to deliver faster and more easily throughout TD

- Across TD, we are **reducing complexity and speeding up decision-making** to help better serve our clients and support our colleagues.
- The Canadian Personal Bank brought **digital, phone and ATM under one roof** to provide businesses with end-to-end accountability for client experience across channels.
- TD Insurance delivers speed and convenience through its **integrated operations system** – with digital quoting tools, self-serve options, a scalable policy administration platform and advanced claims technology.
- The Canadian Business Bank **transitioned all commercial bankers to new customer relationship management and credit underwriting platforms**, unlocking efficiencies for our bankers.
- TD Securities **realigned leadership structures to create seamless client coverage**, and moved to an **agile, product-led delivery model** to streamline workflows.





TD won the **2025 Business Intelligence Group Innovation Awards** for the fourth consecutive year, for providing immersive and inclusive experiences and driving forward-focused innovation.

In 2025, TD Lab and TD Workshop were named **Best Financial Innovation Lab** by *Global Finance* for the third year.

TD Bank, AMCB was named a **Celent 2025 Model Bank for Customer Centered Innovation in Business Banking**.¹

TD was recognized as **Best Responsible AI Program or Initiative** by DataIQ Awards, North America, 2025.

Powering innovation through creativity, curiosity and learning

TD Invent is our innovation engine, helping TD stay agile and future-ready. By fostering creativity, curiosity and continuous learning, we empower colleagues to drive impactful transformation and ensure that TD remains an innovative bank.

- Over **107,000 ideas** have been submitted by colleagues through iD8, our colleague ideation program, since 2019, with **10,000 ideas** implemented and counting.
- TD has over **1,000 granted patents** across North America, making it a leading innovator in financial services.



TD Hologram at the TD Terrace branch, Toronto

- TD joined the **Massachusetts Institute of Technology's Media Lab** to explore how AI might transform the financial industry in the coming decade.

TD is advancing its AI strategy with bold ambitions targeting \$1 billion in value

We are building a leading in-house AI team, with 2,500 scientists, engineers and data experts developing proprietary platforms. This includes opening a new Layer 6 office in New York City and the launch of TD AI Prism, a predictive foundation model designed to anticipate client needs and personalize experiences at scale.

Transforming Experiences Across the Bank

- **TD Securities** launched the TD Securities AI Virtual Assistant, allowing sales, trading and research colleagues to deliver market insights to our clients in one-tenth of the time.
- **TD Insurance** has launched a generative AI (GenAI) chatbot pilot that will deliver quick and easy support to our clients.
- **The Canadian Business Bank** launched an AI-driven model that identifies Small Business clients' potential product needs, enabling our team to deepen client relationships by proactively offering tailored pre-approved solutions.

- **TD Wealth** and **U.S. Contact Centers** joined the **Canadian Contact Centres** in introducing a GenAI-powered virtual assistant that supports colleagues in accessing TD policies and procedures more quickly, helping to improve client response times and elevate service quality. This technology is also being piloted in select Canadian branches.
- **TD Bank, AMCB** is leveraging a Gen 2 underwriting machine learning model to better predict credit card eligibility, driving a 600-basis point increase in approval rates and extending additional purchasing power and financial flexibility to a greater number of deposit clients.

Building AI and Digital Leadership

▼ **2010**
Launched first mobile app

▼ **2010–2016**
Rolled out: Global Money Transfer, Mobile Deposit, Mobile Investing, Apple Pay and MySpend

▼ **2018**
Acquired Layer 6, TD's AI research and development centre

▼ **2019**
Launched TD Clari, first conversational AI experience in Canada

▼ **2021**
Launched the Data-as-a-Service platform

▲ **2025**
Launched TD AI Prism
Layer 6 office opened in New York City
Reached >2,500 AI-related roles in-house

▲ **2024**
Completed migration of billions of data records to the Cloud
Launched first GenAI Knowledge Management System

▲ **2023**
Launched the Artificial Intelligence / Machine Learning Practice
Launched platform to standardize development of AI and machine learning models

▲ **2022**
Launched the TD Analytics Lab

¹ Celent Model Bank Awards Program.

Disciplined Execution

Through strong governance, careful cost management and smart capital decisions that support long-term growth, we are building a stronger bank designed to deliver consistent value for clients and shareholders.



Making ongoing investments to enhance compliance and protect the Bank, our clients and the financial system

- **The Canadian Personal Bank** continues to strengthen governance and control functions, simplify processes to better manage risk, advance AML oversight and monitoring, and drive disciplined execution to enhance operational efficiency.
- **TD Insurance** was the first Canadian issuer to sponsor a catastrophe bond solely focused on catastrophe perils in Canada, providing additional sources of multi-year capital protection against losses from severe weather events.
- **TD Securities** is enhancing risk and control frameworks and modernizing core business processes as it scales to improve regulatory responsiveness, increase automation, simplify processes and better manage risk.
- **TD Wealth** continues to invest in operations, enhancing advisor and client experience through improved efficiency, productivity and reduced operational risk.
- **The Canadian Business Bank** continues to strengthen controls through multiple initiatives focused on technology modernization, automation, targeted reviews and heightening risk awareness and understanding.
- **TD Bank, AMCB** advanced multi-year transformation efforts through execution of remediation commitments across critical U.S. risk domains – including Financial Crime Risk, Compliance Risk, Insider Risk and Treasury Risk – creating sustainable second-line programs and practices and reducing overall residual risk levels.



Resetting the cost base of the Bank by reimagining how we work and maximizing impact for our clients

We are resetting our cost base, targeting nearly \$1 billion in savings in fiscal 2026 and an additional \$1 billion through 2027-2028. We will do this through distribution transformation, AI-driven process automation and enhanced productivity across our businesses. Through these efforts, we are funding our growth to drive peer-leading performance and shareholder returns.

Applying rigour and discipline in how we allocate capital to support growth, enhance returns and drive shareholder value

Guided by our strategy and commitment to long-term value creation, we continue to take a balanced and disciplined approach to capital allocation. We are focused on:

1. **Reinvesting in our business to execute our organic growth strategy.**
2. **Selectively considering inorganic opportunities.**
3. **Consistently returning excess capital to shareholders.**

~\$15 billion

With the sale of its equity investment in The Charles Schwab Corporation in February 2025, TD intends to return ~\$15 billion of net proceeds to shareholders through share buy-backs over fiscal 2025 and fiscal 2026.



U.S. Balance Sheet Restructuring and Opportunities Ahead

In 2025, TD achieved a significant milestone in restructuring its U.S. balance sheet. This effort focused on positioning the Bank to continue serving the evolving needs of its U.S. clients and communities while maintaining compliance with required asset limitations.

Two notable outcomes of the restructuring were the completion of TD's bond repositioning program, allowing the Bank to better align its investment portfolio with market conditions, and TD successfully reaching its target of a 10% reduction in U.S. assets. As a result, the Bank unlocked opportunities to deliver continued innovation and growth in the U.S.

Our Culture

TD's culture is a reflection of our shared beliefs, attitudes and behaviours. When aligned with strategy, it's a game-changing accelerator.



20 years as one of the **Best Workplaces in Canada** in 2025.¹

Recognized as one of **Canada's Best Diversity Employers** in 2025.²

Achieved 2025 **Great Place to Work Certification** in Canada and the U.S.

Received a top score of 100 in the 2025 **Disability Index** in Canada and the U.S.³

TD Bank, AMCB and TD Securities U.S. recognized with a score of 100 on Human Rights Campaign Foundation's 2025 **Corporate Equality Index**.

TD Bank, AMCB recognized as one of **America's Best Large Employers** in 2025.⁴

¹ Great Place to Work Canada, Best Workplaces in Canada in 2025.

² Mediacorp Canada Inc., Canada's Best Diversity Employers 2025.

³ 2025 Disability Index Report.

⁴ Forbes 2025 America's Best Large Employers List.

To advance our strategic progress, we're focused on strengthening aspects of our culture – who we are and how we lead – that will help us succeed.

Our purpose to reimagine what banking can be for our clients, colleagues and communities is at the heart of this. It's our bold ambition to shape the future of banking, not just adapt to it. Our promise is how we deliver on that purpose. In every interaction, every product, every experience, we strive to be remarkably human and refreshingly simple.

Together, we call this The TD Way. It's how we activate the strengths and capabilities of our colleagues and leaders to realize the opportunities ahead, ensuring that our culture, strategy and brand are deeply connected and brought to life in every experience we create.

The TD Way

Purpose

Reimagine what banking can be for our clients, colleagues and communities.

Promise

Remarkably human. Refreshingly simple.

Who we are

Build deep client relationships

Execute brilliantly

Simplify and deliver faster

Do the right thing – own it, raise it, know it

Win together

How we lead

Take accountability

Be courageous

Disciplined execution with speed

Live inclusion

Hire and develop the best

Supporting colleague well-being and mental health

- **Expanded our Employee & Family Assistance Programs** in Canada and the U.S. to include enhanced 24/7 mental health support, a better user experience and smoother transitions to extended benefits.
- **Launched an internal Men's Health Hub** with expert insights, tips and TD benefits information covering a wide spectrum of health needs.

Prioritizing professional growth

- **Launched AI Foundations – Beginner: a FutureNow Program** to equip all colleagues with the foundational AI knowledge and mindset necessary for future-focused capabilities.

- Partnered with Columbia University in New York City to launch **GenAI Executive Education** to upskill and empower TD senior executives with knowledge about GenAI and its application in banking.
- **Launched the Executive Signature Program**, an immersive in-person program for all executives to help build high-performing teams, develop great talent, embody accountable leadership and drive execution excellence.
- **Welcomed more than 9,600 new colleagues in Canada and the U.S.** through the We are TD Onboarding Program, with participants reporting a 97.6% overall positive sentiment.

Sustainability

We are driving deeper relationships with clients to help meet their financial needs as we work to build a more prosperous and sustainable future.

Helping clients and communities pursue new opportunities in the growing sustainable economy

We supported sectors like **renewable energy and affordable housing**, reporting **\$76.4 billion** toward our \$500 billion Sustainable & Decarbonization Finance Target, with **\$145.9 billion** in total contributed to date.

For more information, visit td.com/Sustainability. The 2025 Sustainability Report will be published in March 2026.

Strengthening employment, financial and housing access outcomes

In 2025, we continued to support people across our footprint in achieving their goals, focusing on **strengthening outcomes related to employment, financial and housing access**. Our efforts in Canada and the U.S. focused on helping to reduce barriers while attracting and retaining top talent, improving access to banking through financial education and advice, and providing tools and advice to help people access and remain in homes that meet their needs.



Ranked #1 among Canadian brands in the 2025

Sustainability Perceptions Index by Brand Finance.¹

Listed among *Newsweek's World's Greenest Companies* in 2025.²

Recognized as one of **Canada's Greenest Employers** in 2025 by Mediagroup Canada Inc.³

¹ Brand Finance, 2025 Sustainability Perceptions Index.

² *Newsweek's World's Greenest Companies*.

³ Mediagroup, Canada's Greenest Employers.

Building Strong Communities

TD's commitment to social impact seeks to drive positive change and strengthen communities through philanthropic contributions and the power of our colleagues.

- More than **3,400** non-profits and community organizations supported in 2025.
- Over **\$178 million** contributed through the TD Ready Commitment.⁴
- More than **8,400** colleagues logged over **241,000** volunteer hours through the Bank's internal colleague engagement platform.⁵

\$1 billion

TD is on track to deliver on our target of \$1 billion in community giving by 2030.



Photo of Rhoda Angutimarik, Nunavut-born entrepreneur and owner of Arctic Fresh, one of Ampere's clients.

TD Ready Challenge

Through the TD Ready Challenge, the Bank awarded \$1 million grants to 10 organizations in Canada and the U.S. focused on addressing barriers faced by small business owners.

In 2025, Ampere was announced as a grant recipient to develop its "Amp Up Small Business" program, which aims to help low-income future entrepreneurs in underserved rural, remote and Indigenous communities across Canada develop, launch and grow small businesses.

Over a decade of TD Tree Days

Our **annual TD Tree Days** registered thousands of colleagues and public volunteers across our North American footprint in 2025 events, working with over 80 community organizations to plant trees and shrubs in rural and urban green spaces.



⁴ Figures are disclosed in CAD equivalent and include donation commitments paid in the fiscal year. Figure does not include donations made through TD Friends of the Environment Foundation.
⁵ Reflects the period colleagues logged hours onto our internal colleague engagement platform, not the specific time frame colleagues served these hours in communities.

Board Committees

COMMITTEE	KEY RESPONSIBILITIES ²
Corporate Governance Committee Members¹ Cherie L. Brant (Chair) John B. MacIntyre Nathalie M. Palladitcheff Nancy G. Tower Mary A. Winston	Responsible for corporate governance of the Bank: - Identify individuals qualified to become Board members, recommend to the Board the director nominees for the next annual meeting of shareholders and recommend candidates to fill vacancies on the Board that occur between meetings of shareholders. - Develop and recommend to the Board a set of corporate governance principles, including a code of conduct and ethics, aimed at fostering a healthy governance culture at the Bank. - Satisfy itself that the Bank communicates effectively, both proactively and responsively, with its shareholders, other interested parties and the public. - Oversee the Bank's alignment with its purpose and its strategy, performance and reporting on corporate responsibility for sustainability matters. - Oversee subsidiary governance for the Bank enterprise-wide. - Provide oversight of enterprise-wide conduct risk and enterprise-wide complaints, and act as the conduct review committee for the Bank and certain of its Canadian subsidiaries that are federally regulated financial institutions. - Oversee the establishment and maintenance of policies in respect of the Bank's compliance with the consumer protection provisions of the Financial Consumer Protection Framework. - Oversee the evaluation of the Board and its Committees.
Human Resources Committee Members¹ Ayman Antoun (Chair) John B. MacIntyre Nathalie M. Palladitcheff Frank J. Pearn Ajay K. Virmani	Responsible for the CEO's performance evaluation, and CEO and senior officer compensation and succession planning: - Discharge, and assist the Board in discharging, the responsibility of the Board relating to leadership, human capital management and compensation, as set out in its Charter. - Set corporate goals and objectives for the CEO, and regularly measure the CEO's performance against these goals and objectives. - Recommend compensation for the CEO to the Board for approval, and review and approve compensation for certain senior officers. - Monitor the Bank's compensation strategy, plans, policies and practices for alignment to the Financial Stability Board Principles for Sound Compensation Practices and Implementation Standards, including the appropriate consideration of risk. - Oversee a robust talent planning and development process, including review and approval of the succession plans for the senior officer positions and heads of control functions. - Review and recommend the CEO succession plan to the Board for approval. - Produce a report on compensation which is published in the Bank's annual proxy circular, and review, as appropriate, any other related major public disclosures concerning compensation. - Oversee the strategy, design and management of the Bank's employee pension, retirement savings and benefit plans.
Risk Committee Members¹ Keith G. Martell (Chair) Ana Arsov Cherie L. Brant Elio R. Luongo Frank J. Pearn Paul C. Wirth	Overseeing management of the Bank's risk profile: - Approve the Enterprise Risk Framework (ERF) and related risk category frameworks and policies that establish the appropriate approval levels for decisions and other measures to manage risk to which the Bank is exposed. - Review and recommend the Bank's Enterprise Risk Appetite Statement for approval by the Board and oversee the Bank's risks as set out in the ERF. - Review the Bank's risk profile and performance against its Risk Appetite. - Provide a forum for a comprehensive analysis of an enterprise view of risk, including consideration of trends, and current and emerging risks.
Audit Committee Members¹ Nancy G. Tower (Chair) Elio R. Luongo Nathalie M. Palladitcheff S. Jane Rowe Mary A. Winston Paul C. Wirth	Supervising the quality and integrity of the Bank's financial reporting and compliance requirements: - Oversee reliable, accurate and clear financial reporting to shareholders. - Oversee the effectiveness of internal controls including internal control over financial reporting. - Recommend to the Board the external auditor to be put forward for approval by the shareholders and the compensation and terms of engagement of the external auditor for approval by the Board. - Oversee the work of the external auditor, including requiring the external auditor to report directly to the Committee. - Review reports from the external auditor, Chief Financial Officer, Chief Auditor, Chief Compliance Officer and Chief Anti-Money Laundering Officer, and evaluate the effectiveness and independence of each. - Oversee the establishment and maintenance of policies and programs reasonably designed to achieve and maintain the Bank's compliance with the laws and regulations that apply to it. - Act as the audit committee for certain subsidiaries of the Bank that are federally regulated financial institutions.
Remediation Committee Members¹ S. Jane Rowe (Chair) Ana Arsov Keith G. Martell Frank J. Pearn Nancy G. Tower	Overseeing the Bank's compliance with the requirements of certain regulatory enforcement-related orders and agreements, on an enterprise-wide basis: - Receive regular reports from management detailing the form and manner of all actions taken by management across the first, second and third lines of defence, in response to the enforcement-related requirements and commitments. - Review and assess whether the remediation teams have sufficient financial and managerial resources, processes, personnel, technology and control systems to implement and sustain the remediation activities necessary to address the enforcement-related requirements. - Oversee and challenge, through management reports to the Committee, the timely progress, implementation and sustainability of required remediation activities, as well as the transition to business-as-usual from an enterprise perspective, including oversight of the sustainable implementation of transformation initiatives and improvements in each applicable business and corporate segment.

¹ Committee information as at December 3, 2025.

² Committee responsibilities as at December 3, 2025.

ENHANCED DISCLOSURE TASK FORCE

The Enhanced Disclosure Task Force (EDTF) was established by the Financial Stability Board in 2012 to identify fundamental disclosure principles, recommendations, and leading practices to enhance risk disclosures of banks. The index below includes the recommendations (as published by the EDTF) and lists the location of the related EDTF disclosures presented in the 2025 Annual Report or the 2025 fourth

quarter Supplemental Financial Information (SFI), or Supplemental Regulatory Disclosures (SRD). Information on TD's website, SFI, and SRD is not and should not be considered incorporated herein by reference into the 2025 Annual Report, Management's Discussion and Analysis, or the Consolidated Financial Statements.

Type of Risk	Topic	EDTF Disclosure	Page		
			Annual Report	SFI	SRD
General	1	Present all related risk information together in any particular report.	Refer to below for location of disclosures		
	2	The bank's risk terminology and risk measures and present key parameter values used.	92-99, 103, 108, 110, 112, 123-126		
	3	Describe and discuss top and emerging risks.	82-91		
	4	Outline plans to meet each new key regulatory ratio once applicable rules are finalized.	78, 120		
Risk Governance and Risk Management and Business Model	5	Summarize the bank's risk management organization, processes, and key functions.	93-97		
	6	Description of the bank's risk culture and procedures applied to support the culture.	92-93		
	7	Description of key risks that arise from the bank's business models and activities.	77, 92, 98-127		
	8	Description of stress testing within the bank's risk governance and capital frameworks.	75, 97-98, 106, 123		
Capital Adequacy and Risk Weighted Assets	9	Pillar 1 capital requirements and the impact for global systemically important banks.	72-74, 79, 235		1-3, 6
	10	Composition of capital and reconciliation of accounting balance sheet to the regulatory balance sheet.	72		1-3, 5
	11	Flow statement of the movements in regulatory capital.			4
	12	Discussion of capital planning within a more general discussion of management's strategic planning.	73-76, 123		
	13	Analysis of how risk-weighted assets (RWA) relate to business activities and related risks.	76-77	9-15	
	14	Analysis of capital requirements for each method used for calculating RWA.	100-101, 103, 105-106		13
	15	Tabulate credit risk in the banking book for Basel asset classes and major portfolios.			36-53, 59-65
	16	Flow statement reconciling the movements of RWA by risk type.			18-19
	17	Discussion of Basel III back-testing requirements.	102, 106, 110-111		80-82
Liquidity	18	The bank's management of liquidity needs and liquidity reserves.	112-114, 116-117		
Funding	19	Encumbered and unencumbered assets in a table by balance sheet category.	115, 229		
	20	Tabulate consolidated total assets, liabilities and off-balance sheet commitments by remaining contractual maturity at the balance sheet date.	120-122		
	21	Discussion of the bank's funding sources and the bank's funding strategy.	118-120		
Market Risk	22	Linkage of market risk measures for trading and non-trading portfolio and balance sheet.	104		
	23	Breakdown of significant trading and non-trading market risk factors.	104, 106-108		
	24	Significant market risk measurement model limitations and validation procedures.	105-108, 110-111		
	25	Primary risk management techniques beyond reported risk measures and parameters.	105-108		
Credit Risk	26	Provide information that facilitates users' understanding of the bank's credit risk profile, including any significant credit risk concentrations.	59-71, 99-103, 184-191, 201, 203-204, 233-234	23-38	1-5, 13, 18, 20-70, 72-82
	27	Description of the bank's policies for identifying impaired loans.	68, 160-161, 167-168, 191		
	28	Reconciliation of the opening and closing balances of impaired loans in the period and the allowance for loan losses.	66, 187-189	27, 31	
	29	Analysis of the bank's counterparty credit risks that arises from derivative transactions.	101, 171-172, 195-197, 201, 203-204		54-55, 66-70
	30	Discussion of credit risk mitigation, including collateral held for all sources of credit risk.	102, 164, 171-172		
Other Risks	31	Description of 'other risk' types based on management's classifications and discuss how each one is identified, governed, measured and managed.	108-112, 123-127		
	32	Discuss publicly known risk events related to other risks.	90-91, 227-229		

Management's Discussion and Analysis

This Management's Discussion and Analysis (MD&A) is presented to enable readers to assess material changes in the financial condition and operating results of TD Bank Group ("TD" or the "Bank") for the year ended October 31, 2025, compared with the corresponding period in the prior year. This MD&A should be read in conjunction with the audited Consolidated Financial Statements and related Notes for the year ended October 31, 2025. This MD&A is dated December 3, 2025. Unless otherwise indicated, all amounts are expressed in Canadian dollars and have been primarily derived from the Bank's annual Consolidated Financial Statements prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB). Certain comparative amounts have been revised to conform with the presentation adopted in the current period.

Reported results conform with generally accepted accounting principles (GAAP), in accordance with IFRS. Adjusted results are non-GAAP financial measures. For additional information about the Bank's use of non-GAAP financial measures, refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" sections of this document.

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Additional information relating to the Bank, including the Bank's Annual Information Form, is available on the Bank's website at <http://www.td.com>, on SEDAR+ at <http://www.sedar.com>, and on the U.S. Securities and Exchange Commission's website at <http://www.sec.gov> (EDGAR filers section).

Caution Regarding Forward-Looking Statements

From time to time, the Bank (as defined in this document) makes written and/or oral forward-looking statements, including in this document, in other filings with Canadian regulators or the United States (U.S.) Securities and Exchange Commission (SEC), and in other communications. In addition, representatives of the Bank may make forward-looking statements orally to analysts, investors, the media, and others. All such statements are made pursuant to the “safe harbour” provisions of, and are intended to be forward-looking statements under, applicable Canadian and U.S. securities legislation, including the U.S. *Private Securities Litigation Reform Act* of 1995. Forward-looking statements include, but are not limited to, statements made in this document, the Management’s Discussion and Analysis (2025 MD&A) in the Bank’s 2025 Annual Report under the heading “Economic Summary and Outlook”, under the headings “Key Priorities for 2026” and “Operating Environment and Outlook” for the Canadian Personal and Commercial Banking, U.S. Retail, Wealth Management and Insurance, and Wholesale Banking segments, and in other statements regarding the Bank’s objectives and priorities for 2026 and beyond and strategies to achieve them, the regulatory environment in which the Bank operates, targets and commitments, the Bank’s anticipated financial performance and the outlook for the Bank’s operations or the Canadian, U.S. and global economies.

Forward-looking statements are typically identified by words such as “will”, “would”, “should”, “suggest”, “seek”, “believe”, “expect”, “anticipate”, “intend”, “ambition”, “strive”, “confident”, “estimate”, “forecast”, “outlook”, “plan”, “goal”, “commit”, “target”, “objective”, “timeline”, “possible”, “potential”, “predict”, “project”, “foresee”, “may”, and “could” and similar expressions or variations thereof, or the negative thereof, but these terms are not the exclusive means of identifying such statements. By their very nature, these forward-looking statements require the Bank to make assumptions and are subject to inherent risks and uncertainties, general and specific. Especially in light of the uncertainty related to the physical, financial, economic, political, and regulatory environments, such risks and uncertainties – many of which are beyond the Bank’s control and the effects of which can be difficult to predict – may cause actual results to differ materially from the expectations, predictions, forecasts, projections, estimates, targets, or intentions expressed in the forward-looking statements. Examples of such risk factors include: general business and economic conditions in the regions in which the Bank operates; geopolitical risk (including policy, trade and tax-related risks and the potential impact of any new or elevated tariffs or any retaliatory tariffs); inflation, interest rates and recession uncertainty; risks associated with the remediation of the Bank’s U.S. *Bank Secrecy Act* (BSA)/anti-money laundering (AML) program and Enterprise AML program; regulatory oversight and compliance risk; the ability of the Bank to execute on long-term strategies, shorter-term key strategic priorities, including the successful completion of acquisitions and dispositions and integration of acquisitions, the ability of the Bank to achieve its financial or strategic objectives with respect to its investments, business retention plans, and other strategic plans; risks associated with the insured deposit account agreement between the Bank and The Charles Schwab Corporation; technology and cyber security risk (including cyber-attacks, data security breaches or technology failures) on the Bank’s technologies, systems and networks, those of the Bank’s customers (including their own devices), and third parties providing services to the Bank; data risk; model risk; external fraud activity; insider risk; conduct risk; the failure of third parties to comply with their obligations to the Bank or its affiliates, including relating to the care and control of information, and other risks arising from the Bank’s use of third-parties; the impact of new and changes to, or application of, current laws, rules and regulations, including consumer protection laws and regulations, tax laws, capital guidelines and liquidity regulatory guidance; environmental and social risk (including climate-related risk); exposure related to litigation and regulatory matters; increased competition from incumbents and new entrants (including Fintechs and big technology competitors); shifts in consumer attitudes and disruptive technology; ability of the Bank to attract, develop, and retain key talent; changes in foreign exchange rates, interest rates, credit spreads, equity prices and commodity prices; downgrade, suspension or withdrawal of ratings assigned by any rating agency, the value and market price of the Bank’s common shares and other securities may be impacted by market conditions and other factors; the interconnectivity of financial institutions, including existing and potential international debt crises; increased funding costs and market volatility due to market illiquidity and competition for funding; and critical accounting estimates and changes to accounting standards, policies, and methods used by the Bank; and the occurrence of natural and unnatural catastrophic events and claims resulting from such events. The Bank cautions that the preceding list is not exhaustive of all possible risk factors and other factors could also adversely affect the Bank’s results. For more detailed information, please refer to the “Risk Factors that May Affect Future Results” section of the 2025 MD&A, and the sections related to strategic, credit, market (including equity, commodity, foreign exchange, interest rate, and credit spreads), operational (including technology, cyber security, process, systems, data, third-party, fraud, infrastructure, insider and conduct), model, insurance, liquidity, capital adequacy, compliance, financial crime, reputational, environmental and social risk in the “Managing Risk” section of the 2025 MD&A, as may be updated in subsequently filed quarterly reports to shareholders and news releases (as applicable) related to any events or transactions discussed under the headings “Significant Events” or “Update on the Remediation of the U.S. *Bank Secrecy Act* (BSA)/Anti-Money Laundering (AML) Program and Enterprise AML Program” in the relevant MD&A, which applicable releases may be found on www.td.com. All such factors, as well as other uncertainties and potential events, and the inherent uncertainty of forward-looking statements, should be considered carefully when making decisions with respect to the Bank. The Bank cautions readers not to place undue reliance on the Bank’s forward-looking statements.

Material economic assumptions underlying the forward-looking statements contained in this document are set out in the 2025 MD&A under the headings “Economic Summary and Outlook” and “Significant Events”, under the headings “Key Priorities for 2026” and “Operating Environment and Outlook” for the Canadian Personal and Commercial Banking, U.S. Retail, Wealth Management and Insurance, and Wholesale Banking segments, each as may be updated in subsequently filed quarterly reports to shareholders and news releases (as applicable).

Any forward-looking statements contained in this document represent the views of management only as of the date hereof and are presented for the purpose of assisting the Bank’s shareholders and analysts in understanding the Bank’s financial position, objectives and priorities and anticipated financial performance as at and for the periods ended on the dates presented, and may not be appropriate for other purposes. The Bank does not undertake to update any forward-looking statements, whether written or oral, that may be made from time to time by or on its behalf, except as required under applicable securities legislation.

This document was reviewed by the Bank’s Audit Committee and was approved by the Bank’s Board of Directors, on the Audit Committee’s recommendation, prior to its release.

TABLE 1 FINANCIAL HIGHLIGHTS			
(millions of Canadian dollars, except where noted)		2025	2024
Results of operations			
Total revenue – reported		\$ 67,777	\$ 57,223
Total revenue – adjusted ¹		61,810	56,789
Provision for (recovery of) credit losses		4,506	4,253
Insurance service expenses (ISE)		6,089	6,647
Non-interest expenses – reported		33,539	35,493
Non-interest expenses – adjusted ¹		32,555	29,148
Net income – reported		20,538	8,842
Net income – adjusted ¹		15,025	14,277
Financial positions (billions of Canadian dollars)			
Total loans net of allowance for loan losses		\$ 953.0	\$ 949.5
Total assets		2,094.6	2,061.8
Total deposits		1,267.1	1,268.7
Total equity		127.8	115.2
Total risk-weighted assets (RWA) ²		636.4	630.9
Financial ratios			
Return on common equity (ROE) – reported ³		17.8%	8.2%
Return on common equity – adjusted ¹		12.9	13.6
Return on tangible common equity (ROTCE) ^{1,3}		21.9	11.2
Return on tangible common equity – adjusted ¹		15.8	18.0
Efficiency ratio – reported ³		49.5	62.0
Efficiency ratio – adjusted, net of ISE ^{1,3,4}		58.4	58.1
Provision for (recovery of) credit losses as a % of net average loans		0.47	0.46
Common share information – reported (Canadian dollars)			
Per share earnings			
Basic		\$ 11.57	\$ 4.73
Diluted		11.56	4.72
Dividends per share		4.20	4.08
Book value per share ³		68.78	59.59
Closing share price (TSX) ⁵		115.16	76.97
Shares outstanding (millions)			
Average basic		1,726.3	1,758.8
Average diluted		1,728.0	1,760.0
End of period		1,689.5	1,750.1
Market capitalization (billions of Canadian dollars)		\$ 194.6	\$ 134.7
Dividend yield ³		4.6%	5.1%
Dividend payout ratio ³		36.2	86.1
Price-earnings ratio ³		10.0	16.3
Total shareholder return (1 year) ³		56.7	4.5
Common share information – adjusted (Canadian dollars) ¹			
Per share earnings			
Basic		\$ 8.38	\$ 7.82
Diluted		8.37	7.81
Dividend payout ratio		50.0%	52.1%
Price-earnings ratio		13.8	9.9
Capital ratios²			
Common Equity Tier 1 (CET1) Capital ratio		14.7%	13.1%
Tier 1 Capital ratio		16.4	14.8
Total Capital ratio		18.4	16.8
Leverage ratio		4.6	4.2
Total Loss Absorbing Capacity (TLAC) ratio		31.8	28.7
TLAC Leverage ratio		8.9	8.1

¹ The Toronto-Dominion Bank (“TD” or the “Bank”) prepares its Consolidated Financial Statements in accordance with IFRS, the current GAAP, and refers to results prepared in accordance with IFRS as the “reported” results. The Bank also utilizes non-GAAP financial measures such as “adjusted” results and non-GAAP ratios to assess each of its businesses and to measure overall Bank performance. To arrive at adjusted results, the Bank adjusts reported results for “items of note”. Refer to the “Financial Results Overview” section of this document for further explanation, a list of the items of note, and a reconciliation of adjusted to reported results. Non-GAAP financial measures and ratios used in this document are not defined terms under IFRS and, therefore, may not be comparable to similar terms used by other issuers.

² These measures have been included in this document in accordance with the Office of the Superintendent of Financial Institutions Canada’s (OSFI’s) Capital Adequacy Requirements (CAR), Leverage Requirements, and TLAC guidelines. Refer to the “Capital Position” section of this document for further details.

³ For additional information about this metric, refer to the Glossary of this document.

⁴ Efficiency ratio – adjusted, net of ISE is calculated by dividing adjusted non-interest expenses by adjusted total revenue, net of ISE. Adjusted total revenue, net of ISE – 2025: \$55,721 million, 2024: \$50,142 million.

⁵ Toronto Stock Exchange (TSX) closing market price.

STRATEGIC REVIEW

In fiscal year 2025, the Bank conducted a comprehensive review of its businesses and functions to assess the Bank's positioning, performance, and growth opportunities. This review culminated in a new enterprise strategy that defines the path forward for the Bank. The strategy focuses on deepening client relationships, driving market leadership, and scaling profitably within the Bank's established risk appetite. Also as part of this review, the Bank reaffirmed its commitment to enhancing governance and control functions including its U.S. Bank Secrecy Act (BSA) and Anti-Money Laundering (AML) compliance programs (collectively, the "U.S. BSA/AML program") compliance remediation program.

The Bank has, as part of this strategic review, identified opportunities to accelerate growth, including deepening relationships, evolving digital capabilities, allocating capital to high return businesses, structurally reducing costs, increasing fee income, and modernizing infrastructure and processes.

The resulting strategy is intended to deliver durable earnings growth and premium ROE, creating long-term value for the Bank's shareholders within its existing risk appetite. The Bank's ability to achieve these objectives over the medium-term is subject to inherent risks and uncertainties, as discussed in the "Risk Factors That May Affect Future Results" section of this document, and others as noted in the "Caution Regarding Forward-Looking Statements" section of this document.

The Bank's medium-term strategy is anchored in the three strategic pillars and corresponding objectives introduced at its 2025 Investor Day.

Deeper Relationships

- **Deeper Share of Wallet:** Become Canada's leading relationship bank, increasing client depth across TD's footprint by putting clients at the centre, and seamlessly delivering products and services across channels
- **Deeper Digital Engagement:** Transform distribution by scaling digital leadership across businesses and evolving branches into advice centres, while adding specialist capabilities and sales capacity through frontline growth
- **Deeper Fee Income:** Enhance earnings durability by driving profitable growth across the Wealth Management and Insurance, and Wholesale Banking business segments, as well as the Bank's commercial banking business in Canada and the United States

Simpler & Faster

- **Simpler & Faster Client Experiences:** Become a leader in client experience in Canada and the United States, with a focus on making processes simpler and faster
- **Simpler & Faster Operating Model:** Evolve the operating model to reduce management layers, decrease complexity, and speed up decision making while shifting culture towards more leadership accountability
- **Simpler & Faster Technology, Leveraging Artificial Intelligence (AI):** Enhance technology and data capabilities to ensure platforms are scalable, efficient, and resilient, while capturing revenue and cost efficiencies through the adoption of AI

Disciplined Execution

- **Disciplined Governance & Controls:** Continue to invest to evolve governance, risk and control functions in line with the Bank's scale, complexity, and regulatory requirements
- **Disciplined Cost Management:** Sustainably lower the Bank's expense base by delivering meaningful cost savings over the medium-term through reimagining processes, transforming distribution, and enabling technology and AI deployment
- **Disciplined Capital Management:** Deploy capital with greater discipline to drive franchise leadership and scale, while delivering premium returns, including uplifting returns across U.S. Retail and Wholesale Banking

In conjunction with its strategy, the Bank has established Bank-wide targets¹ including the following:

Fiscal Year 2026 Targets¹

~13% Adj. ² ROE	6-8% Y/Y Adj. ² EPS Growth	Positive Adj. ² Operating Leverage ³	13%+ CET1 Ratio ⁴
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Medium-Term (Fiscal Year 2029) Targets¹

~16% Adj. ² ROE	7-10% Adj. ² EPS Growth	Positive Adj. ² Operating Leverage ³	Strong CET1 Ratio	40-50% Dividend Payout Ratio ⁵
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¹ The Bank's fiscal 2026 and medium-term financial targets are based on forward-looking assumptions that have inherent risks and uncertainties. Results may vary depending on actual economic conditions, including the level of unemployment, interest rates, and economic growth or contraction, the operating environment, including regulatory requirements, political environment, and competitive landscape, and the Bank's assumptions on future business performance, including credit conditions and performance, inclusive of policy and trade uncertainty and borrower or industry specific credit factors and conditions, and foreign exchange impact. These assumptions are subject to inherent uncertainties and may vary based on factors outside the Bank's control, including those set out at the beginning of this document in the "Caution Regarding Forward-Looking Statements" section. Refer to the "Risk Factors That May Affect Future Results" section of this document for additional information about risks and uncertainties that may impact the Bank's estimates.

² The Bank prepares its consolidated financial statements in accordance with IFRS, the current GAAP, and refers to results prepared in accordance with IFRS as the "reported" results. The Bank also utilizes non-GAAP financial measures such as "adjusted" results (i.e., reported results excluding "items of note") and non-GAAP ratios to assess each of its businesses and measure overall Bank performance. The Bank believes that non-GAAP financial measures and non-GAAP ratios provide the reader with a better understanding of how management views the Bank's performance. Non-GAAP financial measures and non-GAAP ratios used in this presentation are not defined terms under IFRS and, therefore, may not be comparable to similar terms used by other issuers. See "Financial Results Overview" section in this document for further explanation, reported basis results, a list of the items of note, and a reconciliation of adjusted to reported results.

³ Operating leverage is a non-GAAP measure. At the total Bank level, TD calculates operating leverage as the difference between the % change in adjusted revenue (for U.S. Retail in source currency) net of ISE, and adjusted expenses (for U.S. Retail in US\$) grossed up by the retailer program partners' share of PCL for the Bank's U.S. strategic card portfolio. Collectively, these adjustments provide a measure of operating leverage that management believes is more reflective of underlying business performance.

⁴ Calculated in accordance with the OSFI's Capital Adequacy Requirements guideline.

⁵ For additional information about this metric, refer to the Glossary of this document.

SIGNIFICANT EVENTS

a) Sale of Schwab Shares

On February 12, 2025, the Bank sold its entire remaining equity investment in The Charles Schwab Corporation ("Schwab") through a registered offering and share repurchase by Schwab. Immediately prior to the sale, TD held 184.7 million shares of Schwab's common stock, representing 10.1% economic ownership. The sale of the shares resulted in proceeds of \$21.0 billion (US\$14.6 billion) and the Bank recognized a net gain on sale of \$8.6 billion (US\$5.8 billion). This gain is net of the release of related cumulative foreign currency translation from accumulated other comprehensive income (AOCI), the release of AOCI on designated net investment hedging items, direct transaction costs, and taxes. The Bank also recognized \$184 million of underwriting fees in its Wholesale segment as a result of TD Securities acting as a lead bookrunner on the transaction.

The transaction increased CET1 capital by 238 basis points (bps). The Bank discontinued recording its share of earnings available to common shareholders from its investment in Schwab following the sale. The Bank continues to have a business relationship with Schwab through the insured deposit account agreement ("Schwab IDA Agreement").

b) Restructuring Charges

The Bank continued to undertake certain measures in the fourth quarter of 2025 to reduce its cost base and achieve greater efficiency. In connection with this program, the Bank incurred \$686 million pre-tax of restructuring charges during the year ended October 31, 2025, which primarily related to employee severance and other personnel-related costs, asset impairment and other rationalization, including certain business wind-downs, and real estate optimization. Next quarter, the Bank expects to incur additional restructuring charges of approximately \$125 million pre-tax, and to conclude the restructuring program with total restructuring charges of approximately \$825 million pre-tax. The restructuring program generated savings of approximately \$100 million pre-tax in 2025. The Bank expects the program to generate total pre-tax fully realized annual program savings of approximately \$750 million, including savings from an approximate 3% workforce reduction⁶.

UPDATE ON THE REMEDIATION OF THE U.S. BANK SECRECY ACT/ANTI-MONEY LAUNDERING PROGRAM AND ENTERPRISE AML PROGRAM

As previously disclosed, on October 10, 2024, the Bank announced that, following active cooperation and engagement with authorities and regulators, it reached a resolution (the "Global Resolution") of previously disclosed investigations related to its U.S. BSA/AML program. The Bank and certain of its U.S. subsidiaries consented to orders with the Office of the Comptroller of the Currency ("OCC"), the Federal Reserve Board ("FRB"), and the Financial Crimes Enforcement Network ("FinCEN") and entered into plea agreements with the Department of Justice ("DOJ"), Criminal Division, Money Laundering and Asset Recovery Section and the United States Attorney's Office for the District of New Jersey. Details of the Global Resolution include: (i) a total payment of US\$3.088 billion (C\$4.233 billion), all of which was provisioned during the 2024 fiscal year; (ii) TD Bank, N.A. ("TDBNA") pleading guilty to one count of conspiring to fail to maintain an adequate AML program, failing to file accurate currency transaction reports ("CTRs") and launder money and TD Bank US Holding Company ("TDBUSH") pleading guilty to two counts of failing to maintain an adequate AML program and failing to file accurate CTRs; (iii) requirements to remediate the Bank's U.S. BSA/AML program; (iv) a requirement to prioritize the funding and staffing of the remediation, which includes Board certifications for dividend distributions from certain of the Bank's U.S. subsidiaries to the Bank; (v) formal oversight of the U.S. BSA/AML remediation through an independent compliance monitorship; (vi) a prohibition against the average combined total assets of TD's two U.S. banking subsidiaries (TDBNA and TD Bank USA, N.A.) (collectively, the "U.S. Bank") exceeding US\$434 billion (representing the combined total assets of the U.S. Bank as at September 30, 2024) (the "Asset Limitation"), and if the U.S. Bank does not achieve compliance with all actionable articles in the OCC consent orders (and for each successive year that the U.S. Bank remains non-compliant), the OCC may require the U.S. Bank to further reduce total consolidated assets by up to 7%;

(vii) the U.S. Bank being subject to OCC supervisory approval processes for any additions of new bank products, services, markets, and stores prior to the OCC's acceptance of the U.S. Bank's improved AML policies and procedures, to ensure the AML risk of new initiatives is appropriately considered and mitigated; (viii) requirements for the Bank and TD Group U.S. Holdings, LLC ("TDGUS") to retain a third party to assess the effectiveness of the corporate governance and U.S. management structure and composition to adequately oversee U.S. operations; (ix) requirements to comply with the terms of the plea agreements with the DOJ during a five-year term of probation (which could be extended as a result of the Bank failing to complete the compliance undertakings, failing to cooperate or to report alleged misconduct as required, or committing additional crimes); (x) an ongoing obligation to cooperate with DOJ investigations; and (xi) an ongoing obligation to report evidence or allegations of violations by the Bank, its affiliates, or their employees that may be a violation of U.S. federal law. The full terms of the consent orders and plea agreements are available on the Bank's issuer profile on SEDAR+ at www.sedarplus.com.

The Bank is focused on meeting the terms of the consent orders and plea agreements, including meeting the requirements to remediate the Bank's U.S. BSA/AML program. In addition, the Bank is also undertaking remediation of the Bank's enterprise-wide AML/Anti-Terrorist Financing and Sanctions Programs ("Enterprise AML Program").

For additional information on the risks associated with the remediation of the Bank's U.S. BSA/AML program and the Bank's Enterprise AML Program, see the "Risk Factors That May Affect Future Results – Remediation of the Bank's U.S. BSA/AML Program and Enterprise AML Program" section of this document.

⁶ The Bank's expectations regarding the restructuring program are subject to inherent uncertainties and are based on the Bank's assumptions regarding certain factors, including rate of natural attrition, talent re-deployment opportunities, years-of-service, execution timing of actions, decisions to expand on or reduce the restructuring actions (e.g., scope of real estate optimization, additional rationalizations), and foreign exchange translation impacts. Refer to the "Risk Factors That May Affect Future Results" section of this document for additional information about risks and uncertainties that may impact the Bank's estimates.

Update on the Remediation of the U.S. Bank Secrecy Act/ Anti-Money Laundering Program and Enterprise AML Program

The Bank remains focused on remediating its U.S. BSA/AML program to meet the requirements of the Global Resolution. As at December 3, 2025, the Bank has completed the majority of its management remediation actions (the term “management remediation actions” is not a regulatory definition and is considered by the Bank to consist of the root cause assessments, data preparation, design, documentation, frameworks, policies, standards, training, processes, systems, testing and implementation of controls, as well as the hiring of resources); however, significant work and important milestones remain for calendar 2026 and calendar 2027 including the Suspicious Activity Report lookback per the OCC consent order which management expects to complete in calendar 2027. For fiscal 2026, the Bank continues to expect U.S. BSA/AML remediation and related governance and control investments

of approximately US\$500 million pre-tax⁷. All management remediation actions will be subject to demonstrated sustainability and validation by the Bank’s internal audit function (with such activities currently planned for calendar 2026 and calendar 2027), as well as the review by the appointed monitor, and, ultimately, the review and approval of the Bank’s U.S. banking regulators and the DOJ. Following such independent reviews, testing, and validation, there could be additional management remediation actions that would take place after calendar 2027 in which case the overall remediation timeline may be extended. In addition, as the Bank undertakes the lookback reviews, the Bank may be required to further expand the scope of the review, either in terms of the subjects being addressed and/or the time period reviewed. The following graph illustrates the Bank’s expected remediation plan and progress on a calendar year basis, based on its work to date:



The Bank’s remediation timeline is based on the Bank’s current plans, as well as assumptions related to the duration of planning activities, including the completion of external benchmarking and lookback reviews. The Bank’s ability to meet its planned remediation milestones assumes that the Bank will be able to successfully execute against its U.S. BSA/AML remediation program plan, which is subject to inherent risks and uncertainties including the Bank’s ability to attract and retain key employees, the ability of third parties to deliver on their contractual obligations, the successful development and implementation of required technology solutions, and data availability to complete the required lookback reviews. Furthermore, the execution of the U.S. BSA/AML remediation plan, including these planned milestones, will not be entirely within the Bank’s control because of various factors such as (i) the requirement to obtain regulatory approval or non-objection before proceeding with various steps, and (ii) the requirement for the various deliverables to be acceptable to the regulators and/or the monitor. As of the date hereof, the Bank believes that it and its applicable U.S. subsidiaries have taken such actions as are required of them to date under the terms of the consent orders and plea agreements and is not aware of them being in breach of the same. For information about the Bank’s AML governance framework, see the “Managing Risk” section of this MD&A.

While substantial work remains, the Bank made progress on remediating and strengthening its U.S. BSA/AML program over the first three quarters of fiscal 2025, including:

- 1) the DOJ and FinCEN approved the use of the same Independent Compliance Monitor on a go-forward basis;
- 2) improvements to transaction monitoring capabilities with the implementation of a new transaction monitoring system, the introduction of all planned scenarios into that transaction monitoring system as set out in the Bank’s U.S. BSA/AML program remediation plan, and the deployment of the first phase of machine learning analysis in this system which will help improve the effectiveness and efficiency of the Bank’s investigative teams;
- 3) enhanced and streamlined investigation practices including the implementation of technology which centralizes all new investigative cases in a single system to provide unified data sets to help manage financial crime risk with a single view of the customer;
- 4) implemented enhancements to cash deposit requirements at stores;
- 5) updated and enhanced policies, including those with respect to Know Your Customer (KYC) activities, and introducing revised escalation standards across all of U.S. Financial Crime Risk Management (FCRM);
- 6) introduced new reporting on workloads that has improved the Bank’s ability to forecast resource needs;
- 7) strengthened controls and assessments relating to new business initiatives, including the establishment of a new Financial Crimes Risk Management subcommittee focused on reviewing and assessing new business products, services and geographies; and
- 8) the launch of focused training for the first and second lines of defense relating to suspicious customer activity for certain commercial products and services.

⁷ The total amount expected to be spent on remediation and governance and control investments is subject to inherent uncertainties and may vary based on the scope of work in the U.S. BSA/AML remediation plan which could change as a result of additional findings that are identified as work progresses as well as the Bank’s ability to successfully execute against the U.S. BSA/AML remediation program in accordance with the U.S. Retail segment’s fiscal 2026 and medium-term plan.

Specifically in the fourth quarter of fiscal 2025, the Bank made the following progress:

- 1) implemented an enhanced, streamlined system and end-to-end process for submitting unusual transaction referrals for frontline colleagues to improve the accuracy and efficiency by which the Bank submits unusual transaction reports;
- 2) deployed further machine learning enhancements to the Bank's transaction monitoring system to improve the efficacy and accuracy of the Bank's U.S. BSA/AML program;
- 3) deployed advanced risk detection capability to help identify and mitigate a high-risk criminal activity; and
- 4) made good progress against the lookback reviews required under the OCC consent order.

Going forward, the Bank's focus will be on continuing to remediate and strengthen its U.S. BSA/AML program, including:

- 1) continue enhancing its financial crime risk assessment methodologies and processes;
- 2) the multi-phase deployment of a new KYC strategic platform that will provide a single view of the customer to improve risk assessment capabilities;
- 3) further deployments of machine learning and specialized AI;
- 4) continued progress on lookback reviews as required under the OCC and FinCEN consent orders;
- 5) continued data enhancements with the deployment of dedicated FCRM data environments which will create a single source of truth in support of advanced detection capabilities; and
- 6) continued training and development of colleagues.

To help ensure that the Bank can continue to support its customers' financial needs in the U.S. while not exceeding the limitation on the combined total assets of the U.S. Bank, the Bank executed multiple U.S. balance sheet restructuring actions in fiscal 2025. Refer to "Update on U.S. Balance Sheet Restructuring" in the U.S. Retail segment section for additional information on these actions. For additional information about expenses associated with the Bank's U.S. BSA/AML program remediation activities, refer to the U.S. Retail segment section.

Strengthening of the Bank's Enterprise AML Program

The Bank continues to undertake remediation of the Enterprise AML Program, including a range of management remediation and enhancement actions (the term "management remediation and enhancement actions" is not a regulatory definition and is considered by the Bank to consist of root cause assessments, data preparation, design, documentation, frameworks, policies, standards, training, processes, systems, testing, and execution of controls, as well as the hiring of resources). While the Bank has made progress on this remediation work, it is a multi-year endeavour and the remediation work remains ongoing. The timing of completion of the remediation work will not be entirely within the Bank's control, and is subject to regulatory feedback, internal review, challenge and validation. As previously disclosed, following the end of the first quarter of fiscal 2025, the Financial Transactions and Reports Analysis Centre of Canada ("FINTRAC") commenced a review of certain remediation steps that the Bank has taken to date to address the FINTRAC violations. This review is ongoing, and subject to the outcome, may result in additional regulatory actions.

The remediation and enhancement of the Enterprise AML Program is exposed to similar risks as noted in respect of the remediation of the Bank's U.S. BSA/AML Program (see also "Remediation of the U.S. BSA/AML Program" above). In particular, as the Bank continues its remediation and improvement activities of the Enterprise AML Program,

it expects an increase in identification of reportable transactions and/or events, which will add to the operational backlog in the Bank's Financial Crime Risk Management (FCRM) investigations processing that the Bank currently faces, but is working towards remediating, across the Bank. In addition, on an ongoing basis, the Bank will continue to review and assess whether issues identified in one jurisdiction have an impact in other jurisdictions. Furthermore, the Bank's regulators or law enforcement agencies may identify other issues with the Bank's Enterprise AML Program, which may result in additional regulatory actions. These issues identified through the Bank's own review or by the Bank's regulators or law enforcement agencies may broaden the scope of the remediation and improvements required for the Enterprise AML Program.

While substantial work remains, the Bank made progress on remediating and strengthening the Enterprise AML Program over fiscal 2025, including the following during the first three quarters of fiscal 2025:

- 1) redesigning the FCRM organizational structure to better enable stronger collaboration, clear ownership, and a more agile response to evolving risk and regulatory expectations, including the consolidation of the Enterprise and the U.S. AML mandates under the leadership of the Global Head of FCRM;
- 2) completing a comprehensive transaction monitoring coverage assessment to identify areas requiring enhancements;
- 3) enhancing investigative processes through improved workflow and data management;
- 4) continued improvements in the Bank's process and procedural guidance, reinforced with targeted training across FCRM and individual business lines;
- 5) implementing a stronger monitoring and testing standard to improve control coverage and depth; and
- 6) launching technology initiatives to consolidate electronic document and data availability, to improve quality and timeliness of monitoring and to improve oversight of escalated AML issues.

Specifically in the fourth quarter of fiscal 2025, the Bank made the following progress:

- 1) continued improvement of the KYC controls to strengthen tracking and regulatory compliance, supporting ongoing customer due diligence efforts;
- 2) strengthened governance structures and first-line accountability in managing financial crime risks, driving cross-functional collaboration and standardized processes across KYC, Customer Exits and investigative activities;
- 3) enhanced the AML/Anti-Terrorist Finance Enterprise Policy to align with regulatory amendments; and
- 4) completed the rollout of the enhanced financial crime risk assessment methodology and related tools to strengthen identification and measurement of FCRM risks across clients, products and transactions, supported by improved data capabilities.

Going forward, the Bank's focus will be on continuing to remediate and strengthen its Enterprise AML Program:

- 1) continued enhancement and Enterprise-wide adoption of the new centralized case management tool, with the goal of strengthening oversight and investigations of identified FCRM risks;
- 2) ongoing advancement in transaction monitoring capabilities, including further refinement of customer risk rating methodologies;
- 3) continued investment in supporting advanced analytics, machine learning, and AI opportunities within FCRM; and
- 4) control enhancements from the execution of the enhanced financial crime risk assessment methodology and process.

FINANCIAL RESULTS OVERVIEW

CORPORATE OVERVIEW

The Toronto-Dominion Bank and its subsidiaries are collectively known as TD Bank Group (“TD” or the “Bank”). TD is the sixth largest bank in North America by assets and serves more than 28.1 million clients in four key businesses operating in a number of locations in financial centres around the globe: Canadian Personal and Commercial Banking, including TD Canada Trust and TD Auto Finance Canada; U.S. Retail, including TD Bank, America’s Most Convenient Bank®, TD Auto Finance U.S., TD Wealth (U.S.), Wealth Management and Insurance, including TD Wealth (Canada), TD Direct Investing, and TD Insurance; and Wholesale Banking, including TD Securities and TD Cowen. TD also ranks among North America’s leading digital banks, with more than 13 million active mobile users in Canada and the U.S. TD had \$2.1 trillion in assets on October 31, 2025. The Toronto-Dominion Bank trades under the symbol “TD” on the Toronto Stock Exchange and New York Stock Exchange.

ECONOMIC SUMMARY AND OUTLOOK

The global economy remains on track to slow in calendar 2025 with decelerating cyclical momentum reinforced by trade barriers. Higher U.S. tariffs appear likely to persist under the current administration. Inflation expectations have increased as the U.S. tariffs exert upward pressure on prices and complicate global supply chains. This puts global central banks in the challenging position of gauging whether any resulting inflation is a one-time shock or will prove persistent.

The U.S. economy has softened overall in calendar 2025, although growth has been volatile on a quarter-to-quarter basis, buffeted by swings in trade policy and the government shutdown. Smoothing through the volatility, consumer spending has slowed, and residential investment continues to contract, held back by elevated borrowing costs. Government spending is also declining, as cutbacks at the federal level and the U.S. government shutdown have temporarily restrained outlays. Business investment has managed to buck the trend, largely due to increased technology-related spending. TD Economics forecasts that a post-shutdown-related rebound in activity, lower interest rates, tax cuts, and a more business-friendly regulatory environment will lift growth back above 2% in calendar 2026.

U.S. economic data releases have been delayed due to the government shutdown, increasing uncertainty on recent economic trends. As of September 2025, hiring had lost momentum and the unemployment rate had risen to 4.4% – a new cycle high. At its latest meeting in October 2025, the Federal Reserve took further action to ensure against a slowing labour market by cutting its overnight rate by a quarter point to 3.75-4.00%. Inflation has remained somewhat elevated in recent months, but it is expected to cool after the one-time impact of tariffs has passed. TD Economics expects the Federal Reserve to lower the policy rate further over the coming months to 3.00-3.25%, close to most estimates of a “neutral” level. But the pace of interest rate cuts will depend on the evolution of the job and inflation data.

Canada’s economy is estimated to have turned in a third straight year of modest economic growth in calendar 2025 as the impact of U.S. import tariffs on Canada’s exports offset the boost from lower borrowing costs. The effect of elevated uncertainty around tariff policy has weakened business and consumer confidence about the future, and dampened spending. This soft hiring backdrop is expected to lift the unemployment rate from 6.9% in October 2025 to 7.3% by (calendar) year end. Immigration policy changes have also resulted in slower population and labour force growth, which is expected to limit the rise in the unemployment rate. New federal defense and infrastructure spending, an improvement in the housing market and firmer business investments are expected to drive a moderately stronger growth picture in 2026.

The Canadian central bank lowered its overnight rate to 2.25% in October 2025. Provided inflation evolves in line with the Bank’s current forecast, the overnight rate is expected to remain unchanged over the next several quarters. A generally weaker U.S. dollar and a gradual improvement in Canada’s economy are expected to lift the Canadian dollar. TD Economics expects the Canadian dollar to appreciate to the 73-74 U.S. cent range by mid-2026, although it is likely to be influenced by the path of U.S. trade policy.

HOW THE BANK REPORTS

The Bank prepares its Consolidated Financial Statements in accordance with IFRS, the current GAAP, and refers to results prepared in accordance with IFRS as “reported” results.

Non-GAAP and Other Financial Measures

In addition to reported results, the Bank also presents certain financial measures, including non-GAAP financial measures that are historical, non-GAAP ratios, supplementary financial measures and capital management measures, to assess its results. Non-GAAP financial measures, such as “adjusted” results, are utilized to assess the Bank’s businesses and to measure the Bank’s overall performance. To arrive at adjusted results, the Bank adjusts for “items of note”, from reported results. Items of note are items which management does not believe are indicative of underlying business performance and are disclosed in Table 3. Non-GAAP ratios include a non-GAAP financial measure as one or more of its components. Examples of non-GAAP ratios include adjusted net interest margin, adjusted basic and diluted earnings per share (EPS), adjusted dividend payout ratio, adjusted efficiency ratio, and adjusted effective income tax rate. The Bank believes that non-GAAP financial measures and non-GAAP ratios provide the reader with a better understanding of how management views the Bank’s performance. Non-GAAP financial measures and non-GAAP ratios used in this document are not defined terms under IFRS and, therefore, may not be comparable to similar terms used by other issuers. Supplementary financial measures depict the Bank’s financial performance and position, and capital management measures depict the Bank’s capital position, and both are explained in this document where they first appear.

U.S. Strategic Cards

The Bank's U.S. strategic cards portfolio is comprised of agreements with certain U.S. retailers pursuant to which TD is the U.S. issuer of private label and co-branded consumer credit cards to their U.S. customers. Under the terms of the individual agreements, the Bank and the retailers share in the profits generated by the relevant portfolios after credit losses. Under IFRS, TD is required to present the gross amount of revenue and provision for credit losses (PCL) related to these portfolios in the Bank's Consolidated Statement of Income. At the segment level, the retailer program partners' share of revenues and credit losses is presented in the Corporate segment, with an offsetting amount (representing the partners' net share) recorded in Non-interest expenses, resulting in no impact to Corporate's reported Net income (loss). The Net income included in the U.S. Retail segment includes only the portion of revenue and credit losses attributable to TD under the agreements.

Investment in The Charles Schwab Corporation and Schwab IDA Agreement

On February 12, 2025, the Bank sold its entire remaining equity investment in Schwab through a registered offering and share repurchase by Schwab. For further details, refer to the "Significant Events – Sale of Schwab Shares" section of this document. The Bank discontinued recording its share of earnings available to common shareholders from its investment in Schwab following the sale.

Prior to the sale, the Bank accounted for its investment in Schwab using the equity method. The U.S. Retail segment reflected the Bank's share of net income from its investment in Schwab. The Corporate segment net income (loss) included amounts for amortization of acquired intangibles, the acquisition and integration charges related to the Schwab transaction, and the Bank's share of restructuring and other charges incurred by Schwab. The Bank's share of Schwab's earnings available to common shareholders was reported with a one-month lag. For further details, refer to Note 12 of the Bank's 2025 Annual Consolidated Financial Statements.

Subsequent to the sale of the Bank's entire remaining equity investment in Schwab, the Bank continues to have a business relationship with Schwab through the Schwab IDA Agreement.

On May 4, 2023, the Bank and Schwab entered into an amended Schwab IDA Agreement, with an initial expiration of July 1, 2034. Pursuant to the Schwab IDA Agreement, the Bank makes sweep deposit accounts available to clients of Schwab. Schwab designates a portion of the deposits with the Bank as fixed-rate obligation amounts (FROA). Remaining deposits are designated as floating-rate obligations. The FROA floor is set at US\$60 billion.

Refer to Note 26 of the Bank's 2025 Annual Consolidated Financial Statements for further details on the Schwab IDA Agreement.

The following table provides the operating results on a reported basis for the Bank.

TABLE 2 OPERATING RESULTS – Reported		
(millions of Canadian dollars)		
	2025	2024
Net interest income	\$ 33,062	\$ 30,472
Non-interest income	34,715	26,751
Total revenue	67,777	57,223
Provision for credit losses	4,506	4,253
Insurance service expenses	6,089	6,647
Non-interest expenses	33,539	35,493
Income before income taxes and share of net income from investment in Schwab	23,643	10,830
Provision for (recovery of) income taxes	3,410	2,691
Share of net income from investment in Schwab	305	703
Net income – reported	20,538	8,842
Preferred dividends and distributions on other equity instruments	565	526
Net income available to common shareholders	\$ 19,973	\$ 8,316

The following table provides a reconciliation between the Bank's adjusted and reported results. For further details refer to the "Significant Events" or "Financial Results Overview" sections of this document.

TABLE 3 NON-GAAP FINANCIAL MEASURES – Reconciliation of Adjusted to Reported Net Income		
(millions of Canadian dollars)	2025	2024
Operating results – adjusted		
Net interest income ^{1,2}	\$ 33,303	\$ 30,749
Non-interest income ³	28,507	26,040
Total revenue	61,810	56,789
Provision for (recovery of) credit losses	4,506	4,253
Insurance service expenses	6,089	6,647
Non-interest expenses ⁴	32,555	29,148
Income before income taxes and share of net income from investment in Schwab	18,660	16,741
Provision for (recovery of) income taxes	3,975	3,355
Share of net income from investment in Schwab ⁵	340	891
Net income – adjusted	15,025	14,277
Preferred dividends and distributions on other equity instruments	565	526
Net income available to common shareholders – adjusted	14,460	13,751
Pre-tax adjustments for items of note		
Amortization of acquired intangibles ⁶	(171)	(290)
Acquisition and integration charges related to the Schwab transaction ^{4,5}	–	(109)
Share of restructuring and other charges from investment in Schwab ⁵	–	(49)
Restructuring charges ⁴	(686)	(566)
Acquisition and integration-related charges ⁴	(162)	(379)
Impact from the terminated First Horizon (FHN) acquisition-related capital hedging strategy ¹	(205)	(242)
Gain on sale of Schwab shares ³	8,975	1,022
Balance sheet restructuring ^{2,3}	(2,803)	(311)
Indirect tax matters ^{2,4}	–	(226)
Civil matter provision ⁴	–	(274)
Federal Deposit Insurance Corporation (FDIC) special assessment ⁴	–	(442)
Global resolution of the investigations into the Bank's U.S. BSA/AML program ⁴	–	(4,233)
Less: Impact of income taxes		
Amortization of acquired intangibles	(33)	(41)
Acquisition and integration charges related to the Schwab transaction	–	(23)
Restructuring charges	(176)	(150)
Acquisition and integration-related charges	(35)	(82)
Impact from the terminated FHN acquisition-related capital hedging strategy	(52)	(60)
Gain on sale of Schwab shares	407	–
Balance sheet restructuring	(676)	(77)
Indirect tax matters	–	(53)
Civil matter provision	–	(69)
FDIC special assessment	–	(109)
Total adjustments for items of note	5,513	(5,435)
Net income available to common shareholders – reported	\$ 19,973	\$ 8,316

¹ After the termination of the merger agreement between the Bank and FHN on May 4, 2023, the residual impact of the strategy is reversed through net interest income (NII) – 2025: (\$205) million, 2024: (\$242) million, reported in the Corporate segment.

² Adjusted net interest income excludes the following items of note:

- i. Balance sheet restructuring – 2025: \$36 million in respect of U.S. Retail activities, reported in the U.S. Retail segment; and
- ii. Indirect tax matters – 2024: \$35 million, reported in the Corporate segment.

³ Adjusted non-interest income excludes the following items of note:

- i. The Bank sold common shares of Schwab and recognized a gain on the sale – 2025: \$8,975 million, 2024: \$1,022 million, reported in the Corporate segment; and
- ii. Balance sheet restructuring – 2025: \$2,665 million, 2024: \$311 million in respect of U.S. Retail activities, reported in the U.S. Retail segment, and 2025: \$102 million in respect of other activities, reported in the Corporate segment.

⁴ Adjusted non-interest expenses exclude the following items of note:

- i. Amortization of acquired intangibles – 2025: \$136 million, 2024: \$172 million, reported in the Corporate segment;
- ii. The Bank's own acquisition and integration charges related to the Schwab transaction – 2024: \$88 million, reported in the Corporate segment;
- iii. Restructuring charges – 2025: \$686 million, compared with 2024: \$566 million under a previous program, reported in the Corporate segment;
- iv. Acquisition and integration-related charges – 2025: \$162 million, 2024: \$379 million, reported in the Wholesale Banking segment;
- v. Indirect tax matters – 2024: \$191 million, reported in the Corporate segment;
- vi. Civil matter provision – 2024: \$274 million, reported in the Corporate segment;
- vii. FDIC special assessment – 2024: \$442 million, reported in the U.S. Retail segment; and
- viii. Charges for the global resolution of the investigations into the Bank's U.S. BSA/AML program – 2024: \$4,233 million, reported in the U.S. Retail segment.

⁵ Adjusted share of net income from investment in Schwab excludes the following items of note on an after-tax basis. The earnings impact of these items was reported in the Corporate segment:

- i. Amortization of Schwab-related acquired intangibles – 2025: \$35 million, 2024: \$118 million;
- ii. The Bank's share of acquisition and integration charges associated with Schwab's acquisition of TD Ameritrade – 2024: \$21 million;
- iii. The Bank's share of restructuring charges incurred by Schwab – 2024: \$27 million; and
- iv. The Bank's share of the FDIC special assessment charge incurred by Schwab – 2024: \$22 million.

⁶ Amortization of acquired intangibles relates to intangibles acquired as a result of asset acquisitions and business combinations, including the after-tax amounts for amortization of acquired intangibles relating to the share of net income from investment in Schwab, reported in the Corporate segment. Refer to footnotes 4 and 5 for amounts.

TABLE 4	RECONCILIATION OF REPORTED TO ADJUSTED EARNINGS PER SHARE ¹	
(Canadian dollars)	2025	2024
Basic earnings per share – reported	\$ 11.57	\$ 4.73
Adjustments for items of note	(3.19)	3.09
Basic earnings per share – adjusted	\$ 8.38	\$ 7.82
Diluted earnings per share – reported	\$ 11.56	\$ 4.72
Adjustments for items of note	(3.19)	3.09
Diluted earnings per share – adjusted	\$ 8.37	\$ 7.81

¹ EPS is computed by dividing net income available to common shareholders by the weighted-average number of shares outstanding during the period. Numbers may not add due to rounding.

TABLE 5	AMORTIZATION OF INTANGIBLES, NET OF INCOME TAXES	
(millions of Canadian dollars)	2025	2024
Schwab ¹	\$ 35	\$ 118
Wholesale Banking related intangibles	81	108
Other	22	23
Included as items of note	138	249
Software and asset servicing rights	503	432
Amortization of intangibles, net of income taxes	\$ 641	\$ 681

¹ Included in Share of net income from investment in Schwab.

RETURN ON COMMON EQUITY

The consolidated Bank ROE is calculated as reported net income available to common shareholders as a percentage of average common equity. The consolidated Bank adjusted ROE is calculated as adjusted net income available to common shareholders as a percentage of average common equity. Adjusted ROE is a non-GAAP financial ratio and can be utilized in assessing the Bank's use of equity.

ROE for the business segments is calculated as the segment net income as a percentage of average allocated capital. The Bank's methodology for allocating capital to its business segments is largely aligned with the common equity capital requirements under Basel III. Capital allocated to the business segments was based on 11.5% of CET1 Capital in both fiscal 2024 and 2025.

TABLE 6	RETURN ON COMMON EQUITY	
(millions of Canadian dollars, except as noted)	2025	2024
Average common equity	\$ 112,429	\$ 100,979
Net income available to common shareholders – reported	19,973	8,316
Items of note, net of income taxes	(5,513)	5,435
Net income available to common shareholders – adjusted	\$ 14,460	\$ 13,751
Return on common equity – reported	17.8%	8.2%
Return on common equity – adjusted	12.9	13.6

RETURN ON TANGIBLE COMMON EQUITY

Tangible common equity (TCE) is calculated as common shareholders' equity less goodwill, imputed goodwill and intangibles on the investments in Schwab and other acquired intangible assets, net of related deferred tax liabilities. ROTCE is calculated as reported net income available to common shareholders after adjusting for the after-tax amortization of

acquired intangibles, which are treated as an item of note, as a percentage of average TCE. Adjusted ROTCE is calculated using reported net income available to common shareholders, adjusted for all items of note, as a percentage of average TCE. TCE, ROTCE, and adjusted ROTCE can be utilized in assessing the Bank's use of equity. TCE is a non-GAAP financial measure, and ROTCE and adjusted ROTCE are non-GAAP ratios.

TABLE 7	RETURN ON TANGIBLE COMMON EQUITY	
(millions of Canadian dollars, except as noted)	2025	2024
Average common equity	\$ 112,429	\$ 100,979
Average goodwill	18,987	18,431
Average imputed goodwill and intangibles on investments in Schwab	1,575	5,836
Average other acquired intangibles ¹	427	560
Average related deferred tax liabilities	(232)	(230)
Average tangible common equity	91,672	76,382
Net income available to common shareholders – reported	19,973	8,316
Amortization of acquired intangibles, net of income taxes	138	249
Net income available to common shareholders adjusted for amortization of acquired intangibles, net of income taxes	20,111	8,565
Other items of note, net of income taxes	(5,651)	5,186
Net income available to common shareholders – adjusted	\$ 14,460	\$ 13,751
Return on tangible common equity	21.9%	11.2%
Return on tangible common equity – adjusted	15.8	18.0

¹ Excludes intangibles relating to software and asset servicing rights.

IMPACT OF FOREIGN EXCHANGE RATE ON U.S. RETAIL SEGMENT TRANSLATED EARNINGS

The following table reflects the estimated impact of foreign currency translation on key U.S. Retail segment income statement items. The impact

is calculated as the difference in translated earnings using the average U.S. to Canadian dollars exchange rates in the periods noted.

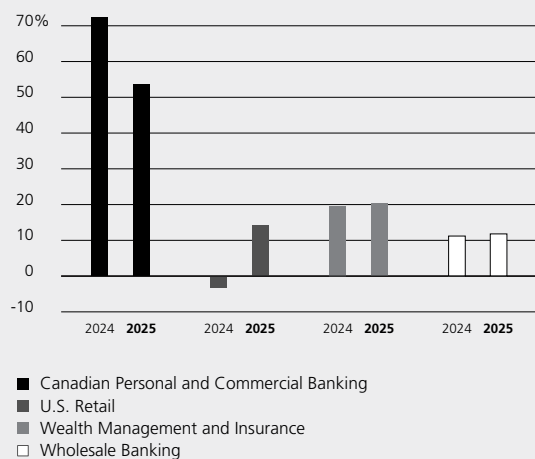
TABLE 8	IMPACT OF FOREIGN EXCHANGE RATE ON U.S. RETAIL SEGMENT TRANSLATED EARNINGS	
(millions of Canadian dollars, except as noted)		
	2025 vs. 2024 Increase (Decrease)	2024 vs. 2023 Increase (Decrease)
U.S. Retail		
Total revenue – reported	\$ 319	\$ 126
Total revenue – adjusted ¹	421	128
Non-interest expenses – reported	268	166
Non-interest expenses – adjusted ¹	268	70
Net income excluding Schwab – reported, after-tax	24	(57)
Net income excluding Schwab – adjusted, after-tax ¹	100	39
Share of net income from investment in Schwab ²	11	6
U.S. Retail net income – reported, after-tax	35	(51)
U.S. Retail net income – adjusted, after-tax¹	111	45
Earnings per share (Canadian dollars)		
Basic – reported	\$ 0.02	\$ (0.03)
Basic – adjusted ¹	0.06	0.02
Diluted – reported	0.02	(0.03)
Diluted – adjusted ¹	0.06	0.02
Average foreign exchange rate (equivalent of CAD \$1.00)		
U.S. dollar	0.714	0.735

¹ For additional information about the Bank's use of non-GAAP financial measures, refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" section of this document.

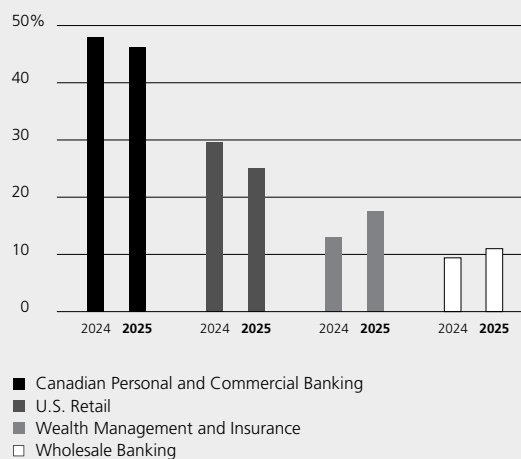
² Share of net income from investment in Schwab and the foreign exchange impact were reported with a one-month lag.

Net Income

NET INCOME – REPORTED⁸ BY BUSINESS SEGMENT
(as a percentage of total net income)



NET INCOME – ADJUSTED^{8,9} BY BUSINESS SEGMENT
(as a percentage of total net income)



Reported net income for the year was \$20,538 million, an increase of \$11,696 million, compared with \$8,842 million last year. The increase primarily reflects the gain on the Schwab sale transaction in the Corporate segment, the impact of charges for the global resolution of the investigations into the Bank's U.S. BSA/AML program last year in U.S. Retail, and higher revenues, partially offset by higher non-interest expenses including higher governance and control investments, and the impact of balance sheet restructuring activities in U.S. Retail. On an adjusted basis, net income for the year was \$15,025 million, an increase of \$748 million, or 5%, compared with last year. The reported ROE for the year was 17.8%, compared with 8.2% last year. The adjusted ROE for the year was 12.9%, compared with 13.6% last year.

By segment, the increase in reported net income reflects increases in the Corporate segment of \$8,011 million, in U.S. Retail of \$2,261 million, in Wealth Management and Insurance of \$834 million, in Wholesale Banking of \$492 million, and in Canadian Personal and Commercial Banking of \$98 million.

Reported diluted EPS for the year was \$11.56, compared with \$4.72 last year. Adjusted diluted EPS for the year was \$8.37, an increase of 7%, compared with \$7.81 last year.

⁸ Amounts exclude Corporate segment.

⁹ For additional information about the Bank's use of non-GAAP financial measures, refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" section of this document.

FINANCIAL RESULTS OVERVIEW

Revenue

Reported revenue was \$67,777 million, an increase of \$10,554 million, or 18%, compared with last year. Adjusted revenue was \$61,810 million, an increase of \$5,021 million, or 9%, compared with last year.

NET INTEREST INCOME

Reported net interest income for the year was \$33,062 million, an increase of \$2,590 million, or 8%, compared with last year. The increase primarily reflects higher revenue from treasury and balance sheet activities, volume growth in Canadian Personal and Commercial Banking, and the impact of balance sheet restructuring activities and higher deposit margins in U.S. Retail. Adjusted net interest income was \$33,303 million, an increase of \$2,554 million, or 8%.

By segment, the increase in reported net interest income reflects increases in the Corporate segment of \$1,151 million, in Canadian Personal and Commercial Banking of \$1,004 million, in U.S. Retail of \$768 million, and in Wealth Management and Insurance of \$267 million, partially offset by a decrease in Wholesale Banking of \$600 million.

NET INTEREST MARGIN

Net interest margin is calculated by dividing net interest income by average interest-earning assets. This metric is an indicator of the profitability of the Bank's earning assets less the cost of funding. Net interest margin increased by 4 basis points (bps) during the year to 1.76%, compared with 1.72% last year, primarily reflecting higher net interest income, partially offset by higher average interest earning assets from business growth. Average interest earning assets used in the calculation is a non-GAAP financial measure and net interest margin is a non-GAAP ratio. They are not defined terms under IFRS and, therefore, may not be comparable to similar terms used by other issuers.

NON-INTEREST INCOME

Reported non-interest income for the year was \$34,715 million, an increase of \$7,964 million, or 30%, compared with last year, primarily reflecting the gain on the Schwab sale transaction in the Corporate segment, higher trading-related revenue, underwriting fees and equity commissions in Wholesale Banking, and higher insurance premiums,

fee-based revenue, and transaction revenue in Wealth Management and Insurance, partially offset by the impact of balance sheet restructuring activities in U.S. Retail. Adjusted non-interest income was \$28,507 million, an increase of \$2,467 million, or 9%.

By segment, the increase in reported non-interest income reflects increases in the Corporate segment of \$7,782 million, in Wholesale Banking of \$1,706 million, and in Wealth Management and Insurance of \$760 million, partially offset by decreases in U.S. Retail of \$2,176 million and in Canadian Personal and Commercial Banking of \$108 million.

NET INTEREST INCOME¹⁰
(millions of Canadian dollars)

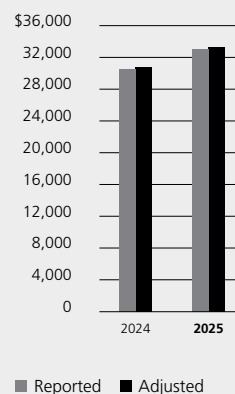


TABLE 9 NON-INTEREST INCOME

(millions of Canadian dollars, except as noted)

	2025 vs. 2024		
	2025	2024	% change
Investment and securities services			
Broker dealer fees and commissions	\$ 1,807	\$ 1,522	19
Full-service brokerage and other securities services	2,061	1,668	24
Underwriting and advisory	1,707	1,436	19
Investment management fees	694	669	4
Mutual fund management	2,140	1,994	7
Trust fees	113	111	2
Total investment and securities services	8,522	7,400	15
Credit fees	1,650	1,898	(13)
Trading income (losses)	4,602	3,628	27
Service charges	2,788	2,626	6
Card services	2,905	2,947	(1)
Insurance revenue	7,737	6,952	11
Other income (loss)	6,511	1,300	401
Total	\$ 34,715	\$ 26,751	30

¹⁰ For additional information about the Bank's use of non-GAAP financial measures, refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" section of this document.

TRADING-RELATED REVENUE

Trading-related revenue is the total of trading income (loss), net interest income on trading positions, and income (loss) from financial instruments designated at fair value through profit or loss (FVTPL). Trading income (loss) includes realized and unrealized gains and losses on trading assets and liabilities. Net interest income on trading positions arises from interest and dividends related to trading assets and liabilities and is reported net of interest expense associated with funding these assets and liabilities in

the following table. Trading-related revenue excludes underwriting fees and commissions on securities transactions. Trading-related revenue is a non-GAAP financial measure, which is not a defined term under IFRS and, therefore, may not be comparable to similar terms used by other issuers. Management believes that the trading-related revenue is an appropriate measure of trading performance.

Trading-related revenue by product line depicts trading income for each major trading category.

TABLE 10 TRADING-RELATED REVENUE		
(millions of Canadian dollars)		For the years ended October 31
	2025	2024
Trading income (loss)	\$ 4,602	\$ 3,628
Net interest income (loss) ¹	(1,387)	(732)
Other ²	222	(193)
Total	\$ 3,437	\$ 2,703
Trading-related TEB adjustment	61	79
Total trading-related revenue (TEB)	\$ 3,498	\$ 2,782
By product		
Interest rate and credit	\$ 1,328	\$ 1,147
Foreign exchange	996	905
Equity and other	1,174	730
Total trading-related revenue (TEB)	\$ 3,498	\$ 2,782

¹ Excludes taxable equivalent basis (TEB).

² Includes income (loss) from securities designated at FVTPL that are managed within a trading portfolio of \$76 million (2024 – \$(208) million) reported in Other Income (Loss) on the 2025 Consolidated Financial Statements and other adjustments.

FINANCIAL RESULTS OVERVIEW

Provision for Credit Losses

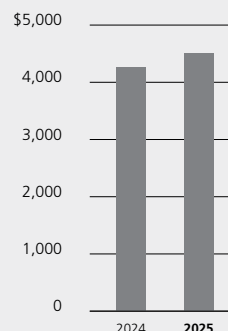
PCL for the year was \$4,506 million, an increase of \$253 million compared with last year. PCL – impaired was \$4,009 million, an increase of \$132 million, largely reflecting credit migration in the Canadian consumer lending portfolios, partially offset by lower provisions in the Wholesale and Canadian commercial lending portfolios. PCL – performing was \$497 million, an increase of \$121 million compared with last year. The current year performing provisions largely reflect credit impacts from policy and trade uncertainty, and volume growth in Canadian Personal and Commercial Banking, partially offset by lower volume in U.S. Retail. Total PCL as an annualized percentage of credit volume was 0.47%.

By segment, PCL was higher by \$388 million in Canadian Personal and Commercial Banking, and lower by \$90 million in the Corporate segment, by \$27 million in Wholesale Banking, and by \$18 million in U.S. Retail.

While results may vary by quarter, and are subject to changes to economic trajectory, the Bank expects total PCL for fiscal 2026 to be in the range of 40 to 50 basis points¹¹.

PROVISION FOR CREDIT LOSSES

(millions of Canadian dollars)



¹¹ The Bank's estimated PCL range is based on forward-looking assumptions that have inherent risks and uncertainties. Results may vary depending on actual economic or credit conditions and performance, such as the level of unemployment, interest rates, economic growth or contraction, and borrower or industry specific credit factors and conditions. The Bank's PCL estimate is subject to risks and uncertainties including those set out in the "Risk Factors That May Affect Future Results" section of this document.

Expenses

NON-INTEREST EXPENSES

Reported non-interest expenses for the year were \$33,539 million, a decrease of \$1,954 million, or 6%, compared with last year, primarily reflecting the impact of charges for the global resolution of the investigations into the Bank's U.S. BSA/AML program last year and the FDIC special assessment charge last year, partially offset by higher spend supporting business growth initiatives, including employee-related expenses, and higher governance and control investments, including costs of US\$507 million for U.S. BSA/AML remediation. On an adjusted basis, non-interest expenses were \$32,555 million, an increase of \$3,407 million, or 12%¹³, primarily reflecting higher spend supporting business growth initiatives, including employee-related expenses, and higher governance and control investments. The Bank is above its previously disclosed guidance that its adjusted non-interest expense growth for fiscal 2025, assuming fiscal 2024 levels of variable compensation, foreign exchange translation, and U.S. strategic cards portfolio impact, would be at the upper end of the 5% to 7% range¹⁴. Elevated expense growth was driven by investments in the business to drive future growth, including acceleration of strategic investments, supported by strong revenue growth.

By segment, the decrease in reported non-interest expenses reflects a decrease in U.S. Retail of \$3,542 million, partially offset by increases in Wholesale Banking of \$472 million, in Wealth Management and Insurance of \$413 million, in Canadian Personal and Commercial Banking of \$372 million, and in the Corporate segment of \$331 million.

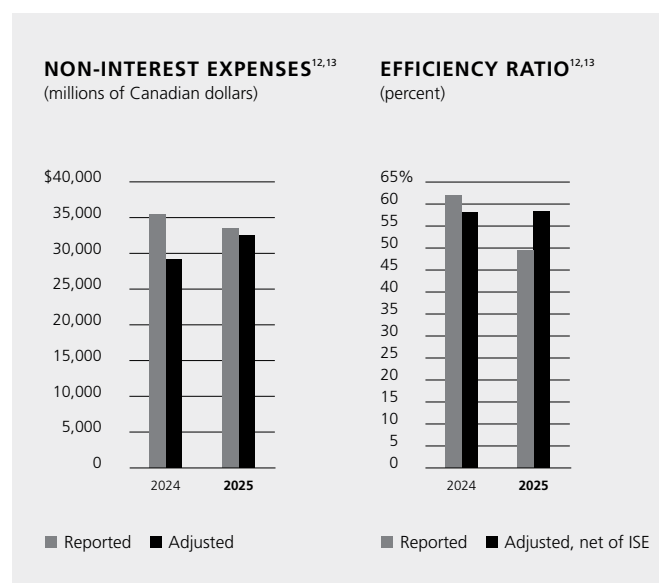
INSURANCE SERVICE EXPENSES (ISE)

Insurance service expenses for the year were \$6,089 million. This represents a decrease of \$558 million, or 8%, compared with last year, driven by \$916 million of estimated losses from catastrophe claims in the prior year, partially offset by higher claims severity.

EFFICIENCY RATIO

The efficiency ratio measures operating efficiency and is calculated by dividing non-interest expenses by total revenue. A lower ratio indicates a more efficient business operation. Adjusted efficiency ratio is calculated in the same manner using adjusted non-interest expenses and total revenue.

The reported efficiency ratio was 49.5%, compared with 62.0% last year. The adjusted efficiency ratio, net of ISE, was 58.4%, compared with 58.1% last year.



¹² For additional information about the Bank's use of non-GAAP financial measures, refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" section of this document.

¹³ In fiscal 2025, variable compensation in Wholesale Banking and Wealth Management, foreign exchange translation, and gross-up of the retailer program partners' share of PCL for the Bank's U.S. strategic card portfolio ("SCP Impact"), in the aggregate, accounted for approximately one-third of the year over-year 12% increase in adjusted non-interest expenses.

¹⁴ Consistent with previously disclosed methodology, in estimating the Bank's expense growth expectations, the Bank assumed that the following three factors on the Bank's fiscal 2025 adjusted expenses would be the same as the Bank's fiscal 2024 adjusted expenses: (i) variable compensation in Wholesale Banking and Wealth Management, (ii) foreign exchange translation, and (iii) SCP Impact.

TABLE 11 NON-INTEREST EXPENSES AND EFFICIENCY RATIO¹

(millions of Canadian dollars, except as noted)

	2025 vs. 2024		
	2025	2024	% change
Salaries and employee benefits			
Salaries	\$ 10,520	\$ 9,920	6
Incentive compensation	5,106	4,481	14
Pension and other employee benefits	2,601	2,332	12
Total salaries and employee benefits	18,227	16,733	9
Occupancy			
Depreciation and impairment losses	1,086	1,048	4
Rent and maintenance	875	910	(4)
Total occupancy	1,961	1,958	–
Technology and equipment			
Equipment, data processing and licenses	2,572	2,379	8
Depreciation and impairment losses	300	277	8
Total technology and equipment	2,872	2,656	8
Amortization of other intangibles	780	702	11
Communication and marketing	1,643	1,516	8
Restructuring charges	686	566	21
Brokerage-related and sub-advisory fees	528	498	6
Professional, advisory and outside services	4,288	3,064	40
Other expenses	2,554	7,800	(67)
Total expenses	\$ 33,539	\$ 35,493	(6)
Efficiency ratio – reported	49.5%	62.0%	(1,250)bps
Efficiency ratio – adjusted, net of ISE ¹	58.4	58.1	30

¹ For additional information about the Bank's use of non-GAAP financial measures, refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" section of this document.

FINANCIAL RESULTS OVERVIEW

Taxes

Reported total income and other taxes increased by \$618 million, or 12.1%, compared with last year, reflecting an increase in income tax expense of \$719 million, or 26.7%, and a decrease in other taxes of \$101 million, or 4.2%. Adjusted total income and other taxes increased by \$710 million from last year, or 12.7%, reflecting an increase in income tax expense of \$620 million, or 18.5%, and an increase in other taxes of \$90 million, or 4.0%.

The Bank's reported effective income tax rate was 14.4% for 2025, compared with 24.8% last year. The year-over-year decrease primarily reflects the tax impact associated with the sale of Schwab shares in the current year and the non-deductible charges for the global resolution of the investigations into the Bank's U.S. BSA/AML program in the prior year. For a reconciliation of the Bank's effective income tax rate with the Canadian statutory income tax rate, refer to Note 23 of the 2025 Consolidated Financial Statements.

The Bank reported its investment in Schwab using the equity method of accounting. Schwab's tax expense (2025: \$90 million; 2024: \$215 million) was not part of the Bank's effective tax rate.

To allow for an after-tax calculation of adjusted income, the adjusted provision for income taxes is calculated by adjusting the taxes for each item of note using the applicable income tax rate of the relevant legal entity. The adjusted effective income tax rate is calculated as the adjusted provision for income taxes before other taxes as a percentage of adjusted net income before taxes. The Bank's adjusted effective income tax rate for 2025 was 21.3%, compared with 20.0% last year. The year-over-year increase primarily reflects the impact of higher adjusted pre-tax income, Pillar Two taxes, and lower tax-exempt dividend income. Adjusted results are not defined terms under IFRS and, therefore, may not be comparable to similar terms used by other issuers.

TABLE 12 INCOME AND OTHER TAXES – Reconciliation of Reported to Adjusted Provision for Income and Other Taxes

(millions of Canadian dollars, except as noted)

	2025	2024
Provision for income taxes – reported	\$ 3,410	\$ 2,691
Total adjustments for items of note	565	664
Provision for income taxes – adjusted	3,975	3,355
Other taxes		
Payroll	1,000	909
Capital and premium	249	231
GST, HST, and provincial sales ¹	800	1,002
Municipal and business	265	273
Total other taxes – reported	2,314	2,415
Total adjustments for items of note related to indirect tax matters	–	(191)
Total other taxes – adjusted	2,314	2,224
Total taxes – adjusted	\$ 6,289	\$ 5,579
Effective income tax rate – reported	14.4%	24.8%
Effective income tax rate – adjusted	21.3	20.0

¹ Goods and services tax (GST) and Harmonized sales tax (HST).

International Tax Reform – Pillar Two Global Minimum Tax

On December 20, 2021, the Organisation for Economic Co-operation and Development (OECD) published Pillar Two model rules as part of its efforts toward international tax reform. The Pillar Two model rules provide for the implementation of a 15% global minimum tax for large multinational enterprises, which is to be applied on a jurisdiction-by-jurisdiction basis. Pillar Two legislation was enacted in Canada on June 20, 2024 under Bill C-69, which includes the *Global Minimum Tax Act* addressing the Pillar Two model rules. Similar legislation has passed in other jurisdictions

in which the Bank operates and will result in additional taxes being paid in these countries. The rules were effective and implemented by the Bank on November 1, 2024. The IASB previously issued amendments to IAS 12 *Income Taxes* for a temporary mandatory exception from the recognition and disclosure of deferred taxes related to the implementation of Pillar Two model rules, which the Bank has applied. For the year ended October 31, 2025, the Bank's effective tax rate increased by approximately 0.3% due to Pillar Two taxes.

FINANCIAL RESULTS OVERVIEW

Quarterly Financial Information

FOURTH QUARTER 2025 PERFORMANCE SUMMARY

Reported net income for the quarter was \$3,280 million, a decrease of \$355 million, or 10%, compared with the fourth quarter last year, primarily reflecting the prior year's gain on sale of Schwab shares in the Corporate segment, higher non-interest expenses including higher governance and control investments, and the impact of balance sheet restructuring activities in U.S. Retail and the Corporate segment, partially offset by higher revenues and lower insurance service expenses. On an adjusted basis, net income for the quarter was \$3,905 million, an increase of \$700 million, or 22%. Reported diluted EPS for the quarter was \$1.82, a decrease of 8%, compared with \$1.97 in the fourth quarter of last year. Adjusted diluted EPS for the quarter was \$2.18, an increase of 27%, compared with \$1.72 in the fourth quarter of last year.

Reported revenue for the quarter was \$15,494 million, relatively flat compared with the fourth quarter last year. Adjusted revenue for the quarter was \$16,028 million, an increase of \$1,131 million, or 8%, compared with the fourth quarter last year.

Reported net interest income for the quarter was \$8,545 million, an increase of \$605 million, or 8%, compared with the fourth quarter last year, primarily reflecting higher revenue from treasury and balance sheet activities in the Corporate segment, volume growth in Canadian Personal and Commercial Banking, and the impact of balance sheet restructuring activities and higher deposit margins, partially offset by an adjustment for client deposit rates in U.S. Retail. Adjusted net interest income for the quarter was \$8,594 million, an increase of \$560 million, or 7%. By segment, the increase in reported net interest income reflects increases in the Corporate segment of \$337 million, in Canadian Personal and Commercial Banking of \$246 million, in U.S. Retail of \$241 million, and in Wealth Management and Insurance of \$68 million, partially offset by a decrease in Wholesale Banking of \$287 million.

Reported non-interest income for the quarter was \$6,949 million, a decrease of \$625 million, or 8%, compared with the fourth quarter last year, primarily driven by the prior year's gain on sale of Schwab shares in the Corporate segment and reinsurance recoveries for prior year catastrophe claims in Wealth Management and Insurance, partially offset by higher trading-related revenue, underwriting fees, advisory fees and equity commissions in Wholesale Banking, and higher insurance premiums, fee-based revenue, and transaction revenue in Wealth Management and Insurance. Adjusted non-interest income was \$7,434 million, an increase of \$571 million, or 8%. By segment, the decrease in reported non-interest income reflects decreases in the Corporate segment of \$1,120 million, in Wealth Management and Insurance of \$217 million, and in Canadian Personal and Commercial Banking of \$5 million, partially offset by increases in Wholesale Banking of \$716 million and in U.S. Retail of \$1 million.

PCL for the quarter was \$982 million, a decrease of \$127 million compared with the fourth quarter last year. PCL – impaired was \$943 million, a decrease of \$210 million, or 18%, largely reflecting lower provisions in the business and government lending portfolios. PCL – performing was \$39 million, compared with a recovery of \$44 million in the fourth quarter last year. The performing provisions this quarter were largely related to the adoption impact of a model update in the Canadian credit card portfolio, partially offset by an improvement to the Canadian and U.S. macroeconomic forecasts, and lower volume in U.S. Retail. Total PCL for the quarter as an annualized percentage of credit volume was 0.41%.

By segment, PCL was lower by \$110 million in Wholesale Banking, by \$85 million in U.S. Retail, by \$39 million in the Corporate segment, and higher by \$107 million in Canadian Personal and Commercial Banking.

Insurance service expenses for the quarter were \$1,602 million, a decrease of \$762 million, or 32%, compared with the fourth quarter last year, primarily reflecting lower estimated losses from catastrophe claims.

Reported non-interest expenses for the quarter were \$8,808 million, an increase of \$758 million, or 9%, compared with the fourth quarter last year, primarily reflecting higher spend supporting business growth initiatives, including employee-related expenses, and higher governance

and control investments, including costs of US\$155 million for U.S. BSA/AML remediation. Adjusted non-interest expenses for the quarter were \$8,540 million, an increase of \$809 million, or 10%, compared with the fourth quarter last year. By segment, the increase in reported non-interest expenses reflects increases in Wholesale Banking of \$223 million, in U.S. Retail of \$176 million, in the Corporate segment of \$151 million, in Wealth Management and Insurance of \$132 million, and in Canadian Personal and Commercial Banking of \$76 million.

The Bank's reported effective tax rate was 20.0% for the quarter, compared with 13.4% in the same quarter last year. The year-over-year increase primarily reflects the tax impact of the items of note in the prior year.

The Bank's adjusted effective tax rate was 20.4% for the quarter, compared with 18.8% in the same quarter last year. The year-over-year increase primarily reflects the impact of higher adjusted pre-tax income and Pillar Two taxes.

QUARTERLY TREND ANALYSIS

Subject to the impact of seasonal trends and items of note, the Bank's reported earnings were up 132% in 2025, compared with last year, reflecting stabilizing macroeconomic conditions, the gain on the Schwab sale transaction, and the impact of charges for the global resolution of the investigations into the Bank's U.S. BSA/AML program last year. As the year progressed, the Bank benefited from higher market-related revenues in the Wholesale Banking and Wealth Management and Insurance segments, volume growth in Canadian Personal and Commercial Banking, reflecting a declining rate environment, and higher net interest income earned from the Schwab sale. Insurance service expenses were lower, reflecting higher estimated losses from catastrophe claims in the prior year. Credit impacts from policy and trade uncertainty contributed to higher PCLs. Expenses were higher, reflecting governance and control investments and spend supporting business growth initiatives, including employee-related expenses. The Bank's quarterly earnings were impacted by, among other things, seasonality, the number of days in a quarter, the economic environment in Canada and the U.S., and foreign currency translation.

TABLE 13 QUARTERLY RESULTS

(millions of Canadian dollars, except as noted)

For the three months ended

	2025				2024			
	Oct. 31	Jul. 31	Apr. 30	Jan. 31	Oct. 31	Jul. 31	Apr. 30	Jan. 31
Net interest income	\$ 8,545	\$ 8,526	\$ 8,125	\$ 7,866	\$ 7,940	\$ 7,579	\$ 7,465	\$ 7,488
Non-interest income	6,949	6,771	14,812	6,183	7,574	6,597	6,354	6,226
Total revenue	15,494	15,297	22,937	14,049	15,514	14,176	13,819	13,714
Provision for (recovery of) credit losses	982	971	1,341	1,212	1,109	1,072	1,071	1,001
Insurance service expenses	1,602	1,563	1,417	1,507	2,364	1,669	1,248	1,366
Non-interest expenses	8,808	8,522	8,139	8,070	8,050	11,012	8,401	8,030
Provision for (recovery of) income taxes	822	905	985	698	534	794	729	634
Share of net income from investment in Schwab	–	–	74	231	178	190	194	141
Net income (loss) – reported	3,280	3,336	11,129	2,793	3,635	(181)	2,564	2,824
Pre-tax adjustments for items of note¹								
Amortization of acquired intangibles	34	33	43	61	60	64	72	94
Acquisition and integration charges related to the Schwab transaction	–	–	–	–	35	21	21	32
Share of restructuring and other charges from investment in Schwab	–	–	–	–	–	–	–	49
Restructuring charges	190	333	163	–	–	110	165	291
Acquisition and integration-related charges	44	32	34	52	82	78	102	117
Impact from the terminated FHN acquisition-related capital hedging strategy	49	55	47	54	59	62	64	57
Gain on sale of Schwab shares	–	–	(8,975)	–	(1,022)	–	–	–
Balance sheet restructuring	485	262	1,129	927	311	–	–	–
Indirect tax matters	–	–	–	–	226	–	–	–
Civil matter provision	–	–	–	–	–	–	274	–
FDIC special assessment	–	–	–	–	(72)	–	103	411
Global resolution of the investigations into the Bank's U.S. BSA/AML program	–	–	–	–	52	3,566	615	–
Total pre-tax adjustments for items of note¹	802	715	(7,559)	1,094	(269)	3,901	1,416	1,051
Less: Impact of income taxes	177	180	(56)	264	161	74	191	238
Net income – adjusted ¹	3,905	3,871	3,626	3,623	3,205	3,646	3,789	3,637
Preferred dividends and distributions on other equity instruments	191	88	200	86	193	69	190	74
Net income available to common shareholders – adjusted¹	\$ 3,714	\$ 3,783	\$ 3,426	\$ 3,537	\$ 3,012	\$ 3,577	\$ 3,599	\$ 3,563

(Canadian dollars, except as noted)

Basic earnings (loss) per share								
Reported	\$ 1.82	\$ 1.89	\$ 6.28	\$ 1.55	\$ 1.97	\$ (0.14)	\$ 1.35	\$ 1.55
Adjusted ¹	2.19	2.20	1.97	2.02	1.72	2.05	2.04	2.01
Diluted earnings (loss) per share								
Reported	1.82	1.89	6.27	1.55	1.97	(0.14)	1.35	1.55
Adjusted ¹	2.18	2.20	1.97	2.02	1.72	2.05	2.04	2.00
Return on common equity – reported	10.7%	11.3%	39.1%	10.1%	13.4%	(1.0)%	9.5%	10.9%
Return on common equity – adjusted¹	12.8	13.2	12.3	13.2	11.7	14.1	14.5	14.1

(billions of Canadian dollars, except as noted)

Average total assets	\$ 2,102	\$ 2,112	\$ 2,156	\$ 2,063	\$ 2,035	\$ 1,968	\$ 1,938	\$ 1,934
Average interest-earning assets ²	1,863	1,855	1,894	1,883	1,835	1,778	1,754	1,729
Net interest margin – reported	1.82%	1.82%	1.76%	1.66%	1.72%	1.70%	1.73%	1.72%
Net interest margin – adjusted ¹	1.83	1.83	1.78	1.67	1.74	1.71	1.75	1.74

¹ For explanations of items of note, refer to the “Significant Events” and “Non-GAAP Financial Measures – Reconciliation of Adjusted to Reported Net Income” table in the “Financial Results Overview” sections of this document.

² Average interest-earning assets used in the calculation of net interest margin is a non-GAAP financial measure. Refer to “Non-GAAP and Other Financial Measures” in the “Financial Results Overview” section and the Glossary of this document for additional information about this metric.

Business Focus

For management reporting purposes, the Bank's business operations and activities are organized around the following four key business segments: Canadian Personal and Commercial Banking, U.S. Retail, Wealth Management and Insurance, and Wholesale Banking. The Bank's other activities are grouped into the Corporate segment.

Canadian Personal and Commercial Banking serves approximately 16 million clients in Canadian Personal and Business banking. The Personal Bank is a premier retail banking franchise delivering personalized solutions through a full suite of products and services across deposits, investing, payments, and lending. The Bank's clients are supported by a network of 1,051 branches, 3,370 automated teller machines (ATM), Mobile Mortgage Specialists, contact centers, and digital sales and servicing. Business Banking is a premier, client-centric franchise that delivers deep sector expertise, valuable advice, and a broad range of products and services to meet the needs of business owners. It leverages the Bank's national network of branches, commercial banking centers, digital channels and contact centers, and provides retail auto loans through auto dealerships across Canada.

U.S. Retail includes the Bank's personal, business banking and wealth management operations in the U.S. U.S. Retail serves over 10 million customers in stores from Maine to Florida, and via auto dealerships and credit card partner business locations nationwide. Personal Banking provides a full range of financial products and services to customers through a network of 1,100 stores, 2,401 ATMs, contact centres, and digital sales and servicing. Business banking offers a diversified range of products and services to help businesses meet their financing, investment, cash management, international trade, and day-to-day banking needs. Wealth Management provides wealth products and services to retail clients. Prior to the sale of its entire equity investment in Schwab on February 12, 2025, the contribution from the Bank's investment in Schwab was reported as equity in net income of an investment in Schwab.

Wealth Management and Insurance serves over 6 million customers across the wealth and insurance businesses in Canada. Wealth Management offers wealth solutions to retail clients in Canada through the self-directed brokerage, advice-based, and asset management businesses. Wealth Management also offers asset management products to institutional clients in Canada and globally. Insurance offers property and casualty insurance through direct channels and to members of affinity groups, as well as life and health insurance products to customers across Canada.

Wholesale Banking actively serves over 10,000 corporate, government, and institutional unique clients across North America, Europe, and Asia-Pacific. Operating under the brand names TD Securities and TD Cowen, Wholesale Banking offers global markets and corporate and investment banking services to its corporate, government, and institutional clients. It also provides market access and wholesale banking solutions for the Bank's business banking, wealth and retail operations and their clients.

Corporate segment is comprised of service and control functions, including Technology Solutions, Shared Services, Treasury and Balance Sheet Management, Marketing, Human Resources, Finance, Risk Management, Compliance, Financial Crimes Risk Management, Legal, Real Estate, Internal Audit, and Others. Certain costs relating to these functions are allocated to operating business segments. The basis of allocation and methodologies are reviewed periodically to align with management's evaluation of the Bank's business segments.

Results of each business segment reflect revenue, expenses, assets, and liabilities generated by the businesses in that segment. Where applicable, the Bank measures and evaluates the performance of each segment based on adjusted results and ROE, and for those segments the Bank indicates that the measure is adjusted. For further details, refer to Note 27 of the 2025 Consolidated Financial Statements. Effective fiscal 2025, certain U.S. governance and control investments, including costs for U.S. BSA/AML remediation, previously reported in the Corporate segment are now reported in the U.S. Retail segment. Comparative amounts have been reclassified to conform with the presentation adopted in the current period.

Net interest income within Wholesale Banking is calculated on a TEB, which means that the value of non-taxable or tax-exempt income, including dividends, is adjusted to its equivalent before-tax value. Using TEB allows the Bank to measure income from all securities and loans consistently and makes for a more meaningful comparison of net interest income with similar institutions. The TEB increase to net interest income and provision for income taxes reflected in Wholesale Banking results is reversed in the Corporate segment. The TEB adjustment for the year was \$61 million (October 31, 2024 – \$79 million).

On February 12, 2025, the Bank sold its entire remaining equity investment in Schwab. Prior to the sale, the Bank accounted for its investment in Schwab using the equity method and the share of net income from investment in Schwab was reported in the U.S. Retail segment. Amounts for amortization of acquired intangibles, the acquisition and integration charges related to the Schwab transaction, and the Bank's share of restructuring and other charges incurred by Schwab were recorded in the Corporate segment. Refer to "Significant Events – Sale of Schwab Shares" for further details. Effective fiscal 2025, discussions of the U.S. Retail segment's performance exclude Schwab.

The "Key Priorities for 2026" section for each business segment, provided on the following pages, is based on the Bank's views and assumptions, including those set out in the "Economic Summary and Outlook" section and the actual outcome may be materially different. For more information regarding the factors, assumptions, and risks that may impact the Bank's views, refer to the "Caution Regarding Forward-Looking Statements" and "Risk Factors That May Affect Future Results" sections of this document.

TABLE 14 RESULTS BY SEGMENT¹

(millions of Canadian dollars)

	Canadian Personal and Commercial Banking		U.S. Retail		Wealth Management and Insurance		Wholesale Banking ²		Corporate ²		Total	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Net interest income (loss)	\$ 16,701	\$ 15,697	\$ 12,368	\$ 11,600	\$ 1,493	\$ 1,226	\$ (18)	\$ 582	\$ 2,518	\$ 1,367	\$ 33,062	\$ 30,472
Non-interest income (loss)	3,985	4,093	(63)	2,113	13,069	12,309	8,410	6,704	9,314	1,532	34,715	26,751
Total revenue	20,686	19,790	12,305	13,713	14,562	13,535	8,392	7,286	11,832	2,899	67,777	57,223
Provision for (recovery of) credit losses – impaired	1,710	1,555	1,499	1,437	–	–	185	247	615	638	4,009	3,877
Provision for (recovery of) credit losses – performing	433	200	15	95	–	–	105	70	(56)	11	497	376
Total provision for (recovery of) credit losses	2,143	1,755	1,514	1,532	–	–	290	317	559	649	4,506	4,253
Insurance service expenses	–	–	–	–	6,089	6,647	–	–	–	–	6,089	6,647
Non-interest expenses	8,382	8,010	9,599	13,141	4,698	4,285	6,048	5,576	4,812	4,481	33,539	35,493
Income (loss) before income taxes	10,161	10,025	1,192	(960)	3,775	2,603	2,054	1,393	6,461	(2,231)	23,643	10,830
Provision for (recovery of) income taxes	2,844	2,806	(472)	69	986	648	444	275	(392)	(1,107)	3,410	2,691
Share of net income from investment in Schwab	–	–	277	709	–	–	–	–	28	(6)	305	703
Net income (loss) – reported	7,317	7,219	1,941	(320)	2,789	1,955	1,610	1,118	6,881	(1,130)	20,538	8,842
Pre-tax adjustments for items of note												
Amortization of acquired intangibles	–	–	–	–	–	–	–	–	171	290	171	290
Acquisition and integration charges related to the Schwab transaction	–	–	–	–	–	–	–	–	–	109	–	109
Share of restructuring and other charges from investment in Schwab	–	–	–	–	–	–	–	–	–	49	–	49
Restructuring charges	–	–	–	–	–	–	–	–	686	566	686	566
Acquisition and integration-related charges	–	–	–	–	–	–	162	379	–	–	162	379
Impact from the terminated FHN acquisition-related capital hedging strategy	–	–	–	–	–	–	–	–	205	242	205	242
Gain on sale of Schwab shares	–	–	–	–	–	–	–	–	(8,975)	(1,022)	(8,975)	(1,022)
Balance sheet restructuring	–	–	2,701	311	–	–	–	–	102	–	2,803	311
Indirect tax matters	–	–	–	–	–	–	–	–	–	226	–	226
Civil matter provision	–	–	–	–	–	–	–	–	–	274	–	274
FDIC special assessment	–	–	–	442	–	–	–	–	–	–	–	442
Global resolution of the investigations into the Bank's U.S. BSA/AML program	–	–	–	4,233	–	–	–	–	–	–	–	4,233
Total pre-tax adjustments for items of note	–	–	2,701	4,986	–	–	162	379	(7,811)	734	(4,948)	6,099
Less: Impact of income taxes	–	–	674	186	–	–	35	82	(144)	396	565	664
Net income (loss) – adjusted³	\$ 7,317	\$ 7,219	\$ 3,968	\$ 4,480	\$ 2,789	\$ 1,955	\$ 1,737	\$ 1,415	\$ (786)	\$ (792)	\$ 15,025	\$ 14,277
Average common equity ⁴	\$ 23,749	\$ 21,618	\$ 44,700	\$ 44,415	\$ 6,296	\$ 6,141	\$ 16,699	\$ 15,821	\$ 20,985	\$ 12,984	\$ 112,429	\$ 100,979
Risk-weighted assets ⁵	206,667	185,704	240,254	271,959	15,115	14,185	134,203	122,584	40,185	36,468	636,424	630,900

¹ The retailer program partners' share of revenues and credit losses is presented in the Corporate segment, with an offsetting amount (representing the partners' net share) recorded in Non-interest expenses, resulting in no impact to Corporate reported Net income (loss). The Net income (loss) included in the U.S. Retail segment includes only the portion of revenue and credit losses attributable to the Bank under the agreements.

² Net interest income within Wholesale Banking is calculated on a TEB. The TEB adjustment reflected in Wholesale Banking is reversed in the Corporate segment.

³ For additional information about the Bank's use of non-GAAP financial measures, refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" section of this document.

⁴ For additional information about this metric, refer to the Glossary of this document.

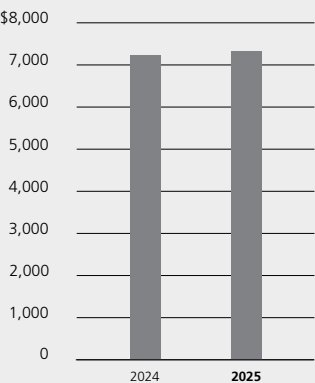
⁵ Effective fiscal 2025, risk-weighted assets associated with investments in insurance are allocated to the Corporate segment. Comparative period information has been adjusted to reflect the updated presentation.

Canadian Personal and Commercial Banking

Canadian Personal and Commercial Banking offers a full range of financial products and services to approximately 16 million clients in the Bank’s personal and commercial banking businesses in Canada.

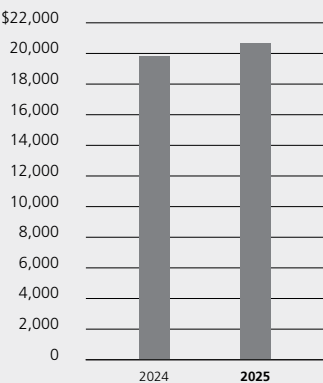
NET INCOME

(millions of Canadian dollars)



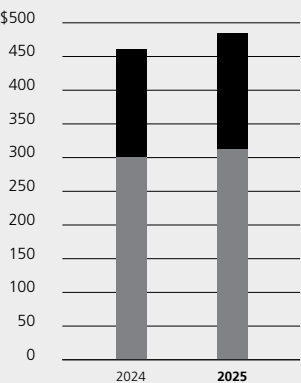
TOTAL REVENUE

(millions of Canadian dollars)



AVERAGE DEPOSITS

(billions of Canadian dollars)



■ Personal ■ Business

TABLE 15 REVENUE		
(millions of Canadian dollars)		
	2025	2024
Personal banking	\$ 14,500	\$ 13,828
Business banking	6,186	5,962
Total	\$ 20,686	\$ 19,790

KEY PRODUCT GROUPS

Personal Banking

- Personal Deposits – chequing, savings, and investment products for retail clients.
- Real Estate Secured Lending (RESL) – lending products secured by residential properties.
- Credit Cards and Consumer Lending – proprietary and co-branded credit cards, and unsecured financing products.

Business Banking

- Commercial Banking – borrowing, deposit and cash management solutions for businesses across a range of industries.
- Small Business Banking – financial products and services for small businesses.
- Auto Finance – financing solutions for prime and non-prime retail borrowers secured by automobiles, recreational and leisure vehicles, and commercial loans (including floor plan financing) for automotive dealers.
- Merchant Solutions – point-of-sale technology and payment solutions for large and small businesses.

INDUSTRY PROFILE

The personal and business banking industries in Canada are mature and highly competitive, consisting of large chartered banks, regional banks and credit unions, as well as non-traditional competitors competing in specific products and channels. These industries offer products including borrowing, deposits, cash management, and financing solutions. Products are distributed through retail branches, commercial banking centers, contact centers, digital, and other specialized distribution channels. Market leaders deliver comprehensive products and services, proactive advice that meets clients’ needs, differentiated client experience, prudent risk management, and disciplined expense management.

STRATEGIC OBJECTIVES, ACCOMPLISHMENTS AND PRIORITIES

BUSINESS STRATEGY	BUSINESS HIGHLIGHTS IN 2025
Deeper Relationships	• TD ranked #1 in percentage of total Canadians who named TD as their primary bank¹⁵ • Outgrew Canadian population growth in net client acquisition¹⁶ • Continued to maintain strong market share positions and gained momentum: – Ranked #1 position in personal core deposits¹⁷ – Gained year-over-year market share in total personal deposits¹⁷ – Gained year-over-year market share in cards through acquisition and deepening of client relationships¹⁸ – Grew the RESL business through specialization and speed, with year-over-year market share gains¹⁷ • Strengthened partnership between Canadian Personal and Commercial Banking and Wealth Management, leading to accelerated growth in funded referrals and deeper relationships • Record digital sales in day-to-day products (personal chequing, savings, and cards): – Achieved a digital record with 8.6 million Canadian Personal and Commercial Banking users active on mobile in the past 90 days¹⁹ – Ranked #1 for average digital reach of any bank in Canada based on ComScore²⁰ • Continued to advance key credit card partnerships, with a long-term extension of our exclusive co-brand credit card partnership with Amazon in Canada and a unique 6-month complimentary Uber One membership to eligible credit cardholders • Expanded distribution in Business Banking, adding over 200 new frontline bankers • In Small Business Banking, launched an AI-driven model that identifies clients' potential product needs, allowing the Bank to offer a tailored pre-approved solution • Record annual retail auto originations, with ~90% in Super Prime and Prime segments • TD Auto Finance ranked #1 in two segments of the J.D. Power 2025 Canada Dealer Financing Satisfaction Study: #1 for Dealer Satisfaction among Non-Prime Non-Captive Automotive Financing Lenders for an eighth consecutive year; and #1 among Non-Captive Prime Lenders with Retail Credit for the second year in a row²¹
Simpler & Faster	• Developed and implemented AI-powered Knowledge Management Solution to accelerate service delivery in our contact centers and branches • Transitioned all commercial bankers within Business Banking to new customer relationship management and credit underwriting platforms, unlocking efficiencies • TD was recognized as a Financial Service Excellence shared award winner for "Customer Service Excellence"²², "Branch Service Excellence"²³, "Mobile Banking Excellence"²⁴, "Live Agent Telephone Banking Excellence"²⁵, and "Automated Telephone Banking Excellence"²⁶ among the Big 5 Banks²⁷ in the 2025 Ipsos Customer Service Index (CSI) study²⁸
Disciplined Execution	• Continued momentum in new cards acquisition, while maintaining peer-leading credit quality²⁹ • Entered a strategic relationship with Fiserv to provide their market leading payment technology and Clover products to TD Merchant Solutions clients while also streamlining operations, reducing costs, and boosting product penetration • Initiated cost-saving measures by upgrading platforms, simplifying operations, and enhancing real estate, vendor, and workforce strategies as discussed in the section "Significant Events – Restructuring Charges"

¹⁵ Ranking based on percentage of Canadian Banking clients surveyed, who indicate TD as their primary financial institution: Ipsos Canadian Financial Monitor, June 2025.

¹⁶ Net client acquisition data as of fiscal 2025.

¹⁷ Market share rankings based on the most current data available from OSFI for personal non-term (core) deposits, total personal deposits, and RESL as of September 2025.

¹⁸ Market share based on Peer Quarterly Earnings Disclosure as of Q3 2025. Peers include Bank of Montreal, Canadian Imperial Bank of Commerce, Royal Bank of Canada, and Scotiabank (excluding The Toronto-Dominion Bank).

¹⁹ As of October 2025, including Personal, Direct Investing, and Business Banking. Active mobile users are users who have logged in via their mobile device at least once in the last 90 days.

²⁰ ComScore MMX® Multi-Platform, Desktop & Mobile, Total audience, 3-month average ending September 2025.

²¹ TD Auto Finance received the highest score in the retail Non-Captive segment (2018-2021), and the retail Non-Captive Non-Prime segment (2022-2025) in the J.D. Power Canada Dealer Financing Satisfaction Studies, which measure Canadian auto dealers' satisfaction with their auto finance providers. TD Auto Finance also received the highest score in the retail Non-Captive Prime segment in the J.D. Power 2024-2025 Canada Dealer Financing Satisfaction Studies, which measure Canadian auto dealers' satisfaction with their auto finance providers. Visit [jdpower.com/awards](https://www.jdpower.com/awards) for more details.

²² TD Canada Trust shared in the Customer Service Excellence award in the 2025 Ipsos Study.

²³ TD Canada Trust shared in the Branch Banking Excellence award in the 2025 Ipsos Study.

²⁴ TD Canada Trust shared in the Mobile Banking Excellence award in the 2025 Ipsos Study.

²⁵ TD Canada Trust shared in the Live Agent Telephone Banking Excellence award in the 2025 Ipsos Study.

²⁶ TD Canada Trust shared in the Automated Telephone Banking Excellence award in the 2025 Ipsos Study.

²⁷ Big 5 Banks consist of Bank of Montreal, Canadian Imperial Bank of Commerce, Royal Bank of Canada, Scotiabank, and The Toronto-Dominion Bank.

²⁸ Ipsos 2025 Financial Service Excellence Awards are based on ongoing quarterly Customer Service Index (CSI) survey results. Ipsos announces annual winners across 11 categories in October after fielding for the final quarter-ends in September.

²⁹ Peer leading 90 day+ Delinquency Rates per Peer Quarterly Financial Disclosures Q3 2025. Peers include Bank of Montreal, Canadian Imperial Bank of Commerce, Royal Bank of Canada, and Scotiabank.

KEY PRIORITIES FOR 2026

- Deeper Relationships:
 - In Personal Banking, continue outgrowing the Canadian population in net client acquisition and be the leader in core banking and primacy
 - Maintain leadership in retail core deposit market share
 - Further deepen client relationships across Personal Banking, Business Banking, and Wealth Management
 - Transform RESL homebuying and retention through specialization and speed while delivering strong returns
 - Expand distribution within Business Banking through accelerating investments in frontline bankers and increasing focus on relationship banking
- Simpler & Faster:
 - Deliver client-focused outcomes by modernizing and automating processes and platforms, and leveraging AI (predictive, generative, and agentic) to deliver efficient, seamless, and personalized experiences for clients and colleagues
- Deliver simpler and faster client experiences which include faster onboarding and mobile first experiences
- Apply AI to boost automatic-adjudication rates in TD Auto Finance and Small Business Banking, improving client response times, and reducing manual workload
- Integrate automation and AI into Commercial credit processes to shorten underwriting cycles and improve time to market
- Invest in talent for specialized advice across RESL, trade finance, and several industry verticals in Commercial Banking
- Disciplined Execution:
 - Leverage automation, digital tools and AI-at-scale to drive cost savings and improve efficiency
 - Redesign key business processes and streamline operations to realize cost reduction, and deliver disciplined expense management through resource optimization and third-party spend reduction

TABLE 16 CANADIAN PERSONAL AND COMMERCIAL BANKING		
(millions of Canadian dollars, except as noted)		
	2025	2024
Net interest income	\$ 16,701	\$ 15,697
Non-interest income	3,985	4,093
Total revenue	20,686	19,790
Provision for (recovery of) credit losses – impaired	1,710	1,555
Provision for (recovery of) credit losses – performing	433	200
Total provision for (recovery of) credit losses	2,143	1,755
Non-interest expenses	8,382	8,010
Provision for (recovery of) income taxes	2,844	2,806
Net income	\$ 7,317	\$ 7,219
Selected volumes and ratios		
Return on common equity ¹	30.8%	33.4%
Net interest margin (including on securitized assets) ²	2.82	2.82
Efficiency ratio	40.5	40.5
Number of Canadian Retail branches at period end	1,051	1,060
Average number of full-time equivalent staff ³	32,611	33,660

¹ Capital allocated to the business segment was based on 11.5% CET1 Capital in fiscal 2025 and 2024.

² Net interest margin is calculated by dividing net interest income by average interest-earning assets. Average interest-earning assets used in the calculation of net interest margin is a non-GAAP financial measure. Refer to “Non-GAAP and Other Financial Measures” in the “Financial Results Overview” section and the Glossary of this document for additional information about this metric.

³ Effective the third quarter of 2025, call center operations have been realigned from the Corporate segment to the businesses, providing end-to-end ownership of customer experience. The change mainly impacts the Canadian Personal and Commercial Banking segment. Average number of full-time equivalent staff has been restated for comparative periods.

REVIEW OF FINANCIAL PERFORMANCE

Canadian Personal and Commercial Banking net income for the year was \$7,317 million, an increase of \$98 million, or 1%, compared with last year, reflecting higher revenue, partially offset by higher PCL and non-interest expenses. ROE for the year was 30.8%, compared with 33.4% last year.

Revenue for the year was \$20,686 million, an increase of \$896 million, or 5%, compared with last year. Net interest income was \$16,701 million, an increase of \$1,004 million, or 6%, primarily reflecting volume growth. Average loan volumes increased \$24 billion, or 4%, reflecting 4% growth in personal loans and 6% growth in business loans. Average deposit volumes increased \$22 billion, or 5%, reflecting 4% growth in personal deposits and 6% growth in business deposits. Net interest margin was 2.82%, flat to the prior year. Non-interest income was \$3,985 million, a decrease of \$108 million, or 3%, reflecting lower fees due to the transition of Bankers' Acceptances (BAs) to Canadian Overnight Repo Rate Average (CORRA)-based loans in the prior year, the impact of which is offset in net interest income, partially offset by higher fee revenue.

PCL for the year was \$2,143 million, an increase of \$388 million compared with last year. PCL – impaired was \$1,710 million, an increase of \$155 million, or 10%, largely reflecting credit migration in the consumer lending portfolios, partially offset by lower provisions in the commercial lending portfolio. PCL – performing was \$433 million, an increase of \$233 million compared with last year. The current year performing provisions largely reflect credit impacts from policy and trade uncertainty, the adoption impact of a model update in the credit card portfolio, and volume growth. Total PCL as an annualized percentage of credit volume was 0.36%, an increase of 5 basis points (bps) compared with last year.

Non-interest expenses for the year were \$8,382 million, an increase of \$372 million, or 5%, compared with last year. The increase reflects higher technology costs, employee-related expenses, and other operating expenses.

The efficiency ratio for the year was 40.5%, flat compared with last year.

OPERATING ENVIRONMENT AND OUTLOOK

For the second straight year, Canada's economy is expected to record subdued but positive expansion in fiscal 2026. Conditions in trade-exposed industries are likely to remain challenging as adjustment continues in the face of ongoing U.S. trade uncertainty. More broadly, consumer and business spending are expected to benefit from a relatively stable near-term outlook for both inflation and interest rates. While hiring is expected to remain soft in the coming year, more pronounced weakness in the labour force due to tighter immigration policies is expected to gradually pressure the unemployment rate down beginning in the second fiscal quarter of 2026. Within the national resale housing market, sales and average prices are expected to record further modest gains, helped in part by pent-up demand from first-time and move-up buyers. As we look forward to the first quarter of fiscal 2026, we expect net interest margin to remain relatively stable³⁰. Canadian Personal and Commercial Banking is focused on continuing to manage expenses with discipline to drive cost efficiency and to create the capacity to invest for the future. TD's client-centric and digitally-enabled Canadian Personal and Commercial Banking franchise is well-positioned to execute on its growth opportunities.

³⁰ The Bank's Q1 2026 net interest margin expectations for the segment are based on the Bank's assumptions regarding factors such as Bank of Canada rate cuts, competitive market dynamics, and deposit reinvestment rates and maturity profiles, and are subject to inherent risks and uncertainties, including those set out in the "Risk Factors That May Affect Future Results" section of this document.

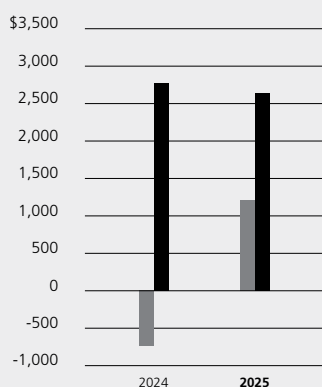
BUSINESS SEGMENT ANALYSIS

U.S. Retail

U.S. Retail offers a full range of financial products and services to over 10 million customers in the Bank's U.S. personal, business banking and wealth management operations. Prior to the sale of its entire equity investment in Schwab on February 12, 2025, U.S. Retail included an investment in Schwab.

NET INCOME³¹

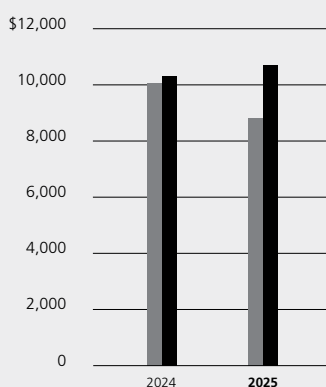
(millions of U.S. dollars)



■ Reported ■ Adjusted

TOTAL REVENUE³¹

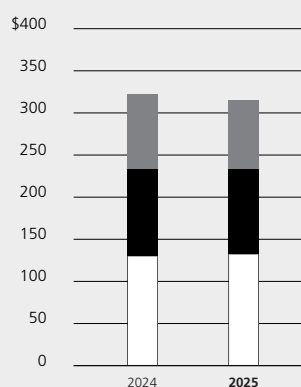
(millions of U.S. dollars)



■ Reported ■ Adjusted

AVERAGE DEPOSITS

(billions of U.S. dollars)



□ Personal ■ Business ■ Sweep

TABLE 17 REVENUE – Reported¹

(millions of dollars)

	Canadian dollars		U.S. dollars	
	2025	2024	2025	2024
Personal Banking	\$ 8,908	\$ 8,466	\$ 6,381	\$ 6,219
Business Banking	4,742	4,331	3,397	3,181
Wealth	508	483	364	355
Other ²	(1,853)	433	(1,327)	319
Total	\$ 12,305	\$ 13,713	\$ 8,815	\$ 10,074

¹ Excludes equity in net income of an investment in Schwab.

² Other revenue consists primarily of revenue items of note, revenue from the Schwab IDA Agreement and from investing activities.

³¹ For additional information about the Bank's use of non-GAAP financial measures, refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" section of this document.

KEY PRODUCT GROUPS

Personal Banking

- Personal Deposits – chequing, savings, and certificates of deposit products and payment solutions for retail customers offered through multiple delivery channels.
- Consumer Lending – financing products, including residential mortgages, home equity and unsecured lending solutions for retail customers.
- Credit Cards Services – TD-branded credit cards for retail customers, private label and co-brand credit cards alongside strategic relationships with leading national retailers.
- Retail Auto Finance – indirect retail financing through a network of auto dealers.

Business Banking

- Commercial Banking – borrowing, deposit and cash management solutions for U.S. businesses and governments across a wide range of industries and specialty banking segments.
- Small Business Banking – borrowing, deposit and cash management solutions for small businesses including merchant services and TD-branded credit cards.

Wealth

- Wealth Advice – wealth management advice, financial planning solutions, estate and trust planning, and insurance and annuity products for mass affluent, high net worth and institutional clients, delivered by store-based financial advisors, a robo-advisory platform, and a multi-custodial securities-based collateral lending platform.

INDUSTRY PROFILE

The U.S. personal and business banking industry is highly competitive and includes several very large financial institutions, as well as regional banks, small community and savings banks, finance companies, credit unions, and other providers of financial services. The wealth management industry includes national and regional banks, insurance companies, independent mutual fund companies, brokers, and independent asset management companies. The personal and business banking and wealth management industries also include non-traditional competitors, including non-financial companies expanding into financial services. These industries serve individuals, businesses, and governments and offer products and financial technology solutions to support customer needs in deposits, lending, payments, cash management, financial advice, and asset management. Products may be distributed through a single distribution channel or across multiple channels, including physical locations, ATMs, and telephone and digital and mobile channels. Certain businesses also serve customers through indirect channels. Traditional competitors are embracing new technologies, including AI, and strengthening their focus on providing enhanced customer experiences, insights and security. Non-traditional competitors including direct banks, financial technology companies and private credit institutions have gained momentum and are increasingly collaborating with banks or leveraging data through open banking to develop new products and services. The keys to profitability continue to be attracting and retaining client relationships with differentiated service, offering comprehensive products, advice and service quickly and seamlessly across distribution channels, optimizing funding sources and costs, investing strategically while maintaining expense discipline, and managing risk prudently.

STRATEGIC OBJECTIVES, ACCOMPLISHMENTS AND PRIORITIES

BUSINESS STRATEGY	BUSINESS HIGHLIGHTS IN 2025
Deeper Relationships	• Increased Bankcard balances 12% YoY, and acquired the most new accounts since fiscal 2018, powered by the introduction of the Gen2 deposit-based underwriting machine-learning model that allows better targeting of opportunities and extension of credit to more clients than traditional underwriting methods • Increased Assets under Management (AUM) 23% YoY, with mass affluent balances up 21% YoY, reflecting a focus on delivering an enhanced relationship banking service and advice • Delivered digital sales and service capabilities which drove all-time highs in Digital Sales³² share (36%), Digital Adoption³³ (58%) and Self-Serve Transactions³⁴ (85%), by providing clients a more holistic self-servicing experience to expand store colleagues' capacity to provide advice • Re-imagined retail distribution model by transforming stores into advice centers, completing renovation on the 178th Next Generation store (16% of total stores), with ~90% having dedicated Wealth space • Increased Middle Market loan balances 8% YoY, expanding partnerships with TD Securities to deliver approximately US\$77 million of OneTD fees in U.S. Retail Commercial Banking • TD's Florida market ranked #1 overall in 2025 J.D. Power Retail Banking Satisfaction³⁵ • TD ranked #1 in total number of approved U.S. Small Business Administration (SBA) loans in the Bank's Maine to Florida footprint for the 9th consecutive year³⁶ • TD Auto Finance ranked #1 in Dealer Satisfaction among National Prime Credit Non-Captive Automotive Finance Lenders for 6th consecutive year in J.D. Power 2025 U.S. Dealer Financing Satisfaction Study³⁷

³² Digital sales based on U.S. consumer banking and small business banking.

³³ Active digital users as a percentage of total customer base. Active digital users are users who have logged in online or via their mobile device at least once in the last 90 days.

³⁴ Self-serve share of transactions represents all financial transactions that are processed through unassisted channels (Online, Phone, Mobile, ATM and Phone IVR).

³⁵ TD Bank received the highest score in a tie in Florida in the J.D. Power 2025 U.S. Retail Banking Satisfaction Study, which measure customers' satisfaction with their primary bank. Visit jdpower.com/awards for more details

³⁶ For 2025, TD Bank ranked #1 in Small Business Administration (SBA) lending in the Maine to Florida footprint for ninth consecutive year. Lenders ranked by the U.S. SBA based on the SBA's data for the units of loans approved during the period October 1, 2024 to September 30, 2025.

³⁷ TDAF is ranked #1 in Dealer Satisfaction among National Prime Credit Non-Captive Automotive Finance Lenders for 6th consecutive year in the J.D. Power 2025 U.S. Dealer Financing Satisfaction Study. Visit jdpower.com/awards for more details

BUSINESS STRATEGY	BUSINESS HIGHLIGHTS IN 2025
Simpler & Faster	- Executed balance sheet restructuring activities and achieved the 10% asset reduction target, creating ~US\$52 billion of headroom to the asset limitation to meet the evolving needs of clients, while simplifying the franchise and driving profitable growth. Exited ~US\$22 billion of non-core loans since inception of the program: - Completed the sale of the US\$9 billion Correspondent Mortgage portfolio - Initiated the wind down of the US\$3 billion Retail Card Services, Point of Sale financing business - Exiting commercial auto, supply chain financing and select export import and commercial bank relationships that are not profitable or aligned with the Bank's core franchise - Deployed excess cash and proceeds from loan sales to pay down bank borrowings - Completed the planned investment portfolio repositioning program, as outlined in the "Update on U.S. Balance Sheet Restructuring Activities" section in this MD&A, generating a net interest income benefit of US\$500 million pre-tax in fiscal 2025 - Opened Layer 6 GenAI research and development center in New York, focused on leveraging AI leadership advantage to automate operational processes, improve cost to serve and support front-line colleagues with real-time insights to provide more personalized advice and increase productivity - Delivered enhanced digital capabilities to streamline customer interactions including the credit card application process for existing retail customers and Small Business Banking clients, and real-time debit card disputes
Disciplined Execution	- Made progress against U.S. BSA/AML Program remediation as outlined in the "Update on the Remediation of the U.S. Bank Secrecy Act/Anti-Money Laundering Program and Enterprise AML Program" section in this MD&A - Delivered ~\$200 million of incremental productivity expense savings in fiscal 2025, through optimization of the Bank's stores, balance sheet, corporate real estate, workforce and vendor efficiencies as outlined in the "Significant Events – Restructuring Charges" section in this MD&A - Reduced risk-weighted assets as part of U.S. balance sheet restructuring activities supporting total U.S. Retail adjusted ROE growth of 180 bps in fiscal 2025

KEY PRIORITIES FOR 2026

- U.S. Retail's top priority remains remediating the U.S. BSA/AML program and strengthening the governance and control environment. Refer to the "Update on the Remediation of the U.S. Bank Secrecy Act/Anti-Money Laundering Program and Enterprise AML Program" section in this MD&A for additional information.
- Deeper Relationships:
 - Continue the reimagination of retail distribution model by bolstering digital sales and servicing capabilities to increase digital adoption and provide capacity for store colleagues to provide advice, while upgrading store formats to the Next Generation design
 - Scale the credit cards franchise through increasing penetration of the U.S. Bank's deposit base with the support of Gen2 underwriting, and expand the Nordstrom partnership to gain servicing control and build out scalable capabilities to be a traditional co-brand partner of choice
 - Deepen penetration of mass affluent clients by scaling the Financial Advisor workforce, delivering high-quality referrals from re-imagined retail distribution channels, and tailor investment products and services
 - Accelerate commercial bank profitability and deepen client relationships by capturing greater deposit and fee opportunities including expanding lead-agent positions, and partner with TD Securities to offer unique opportunities to Middle Market and Specialty segment clients
- Simpler & Faster:
 - Continue the execution of balance sheet restructuring efforts that simplify the business
 - Deploy AI to automate operational processes and provide productivity and enhanced insights for front-line colleagues
 - Transform data and technology architecture to deliver a scalable, cloud-native, modular environment
- Disciplined Execution:
 - Deliver the medium-term cumulative cost reduction target
 - Optimize store network, drive unit cost improvement and re-engineer processes, lower third party spend, and reduce the cost to operate the core infrastructure

Update on U.S. Balance Sheet Restructuring Activities

Following the announcement of the Global Resolution on October 10, 2024, the Bank executed balance sheet restructuring activities to help ensure the Bank can continue to support customers' financial needs in the U.S., while not exceeding the limitation on the combined total assets of TD Bank, N.A. and TD Bank USA, N.A. (the "U.S. Bank"). Since the fourth quarter of fiscal 2024, and through fiscal 2025, the Bank sold US\$31.9 billion of bonds, resulting in an aggregate loss of US\$1,592 million pre-tax. The net interest income benefit from these sales and reinvestment of proceeds was US\$500 million pre-tax in fiscal 2025 and is expected to be approximately US\$550 million pre-tax in fiscal 2026³⁸.

In addition, the Bank reduced the U.S. Bank's assets by more than 10% from the asset level as of September 30, 2024, largely by selling or winding down \$22 billion of non-scalable or non-core U.S. loan portfolios that did not align with the U.S. Retail segment's focused strategy or have lower returns on investment. This reduction in assets reduced the total Bank's net interest income by approximately US\$100 million pre-tax in fiscal 2025 and is expected to reduce net interest income by approximately US\$280 million pre-tax in fiscal 2026³⁹.

During the year, the Bank used proceeds from the sale of the loans, investment maturities, and cash on hand, to pay down US\$43 billion of short-term borrowings. Accordingly, as of October 31, 2025, the combined total assets of the U.S. Bank were US\$382 billion.

As of September 30, 2025, the combined total assets of the U.S. Bank, as measured in accordance with the OCC Consent Order which utilizes the average of spot balances of June 30, 2025, and September 30, 2025, was US\$388 billion.

In the aggregate, total losses associated with the Bank's U.S. balance sheet restructuring activities from October 10, 2024, through October 31, 2025, are US\$2,128 million pre-tax and US\$1,597 million after-tax. As of October 31, 2025, the Bank has largely completed its U.S. balance sheet restructuring activities and no additional losses associated with this program are expected in fiscal 2026⁴⁰.

³⁸ The expected amount of net interest income benefit is subject to risks and uncertainties and are based on assumptions regarding market factors and conditions which are not entirely within the Bank's control.

³⁹ The Bank's estimates regarding net interest income impacts are based on assumptions regarding the timing of when the sale of the remaining assets are completed or when the remaining loan portfolios are wound down.

⁴⁰ The Bank's expectations regarding U.S. balance sheet restructuring related losses are based on forward-looking assumptions that have inherent risk and uncertainties. Results may vary depending on factors both within and outside the Bank's control. Refer to the "Risk Factors That May Affect Future Results" section of this document for additional information about risks and uncertainties that may impact the Bank's estimates.

TABLE 18 U.S. RETAIL			
(millions of dollars, except as noted)		2025	2024
Canadian Dollars			
Net interest income – reported	\$ 12,368	\$ 11,600	
Net interest income – adjusted ^{1,2}	12,404	11,600	
Non-interest income – reported	(63)	2,113	
Non-interest income – adjusted ^{1,3}	2,602	2,424	
Total revenue – reported	12,305	13,713	
Total revenue – adjusted ^{1,2,3}	15,006	14,024	
Provision for (recovery of) credit losses – impaired	1,499	1,437	
Provision for (recovery of) credit losses – performing	15	95	
Total provision for (recovery of) credit losses	1,514	1,532	
Non-interest expenses – reported	9,599	13,141	
Non-interest expenses – adjusted ^{1,4}	9,599	8,466	
Provision for (recovery of) income taxes – reported	(472)	69	
Provision for (recovery of) income taxes – adjusted ¹	202	255	
U.S. Retail net income (loss) excluding Schwab – reported	1,664	(1,029)	
U.S. Retail net income excluding Schwab – adjusted¹	3,691	3,771	
Share of net income from investment in Schwab ^{5,6}	277	709	
U.S. Retail net income (loss) – reported	\$ 1,941	\$ (320)	
U.S. Retail net income – adjusted¹	3,968	4,480	
U.S. Dollars			
Net interest income – reported	\$ 8,833	\$ 8,520	
Net interest income – adjusted ^{1,2}	8,858	8,520	
Non-interest income – reported	(18)	1,554	
Non-interest income – adjusted ^{1,3}	1,859	1,780	
Total revenue – reported	8,815	10,074	
Total revenue – adjusted ^{1,2,3}	10,717	10,300	
Provision for (recovery of) credit losses – impaired	1,065	1,056	
Provision for (recovery of) credit losses – performing	15	70	
Total provision for (recovery of) credit losses	1,080	1,126	
Non-interest expenses – reported	6,852	9,631	
Non-interest expenses – adjusted ^{1,4}	6,852	6,220	
Provision for (recovery of) income taxes – reported	(331)	52	
Provision for (recovery of) income taxes – adjusted ¹	144	188	
U.S. Retail net income (loss) excluding Schwab – reported	1,214	(735)	
U.S. Retail net income excluding Schwab – adjusted¹	2,641	2,766	
Share of net income from investment in Schwab ^{5,6}	196	523	
U.S. Retail net income (loss) – reported	\$ 1,410	\$ (212)	
U.S. Retail net income – adjusted¹	2,837	3,289	
Selected volumes and ratios			
U.S. Retail return on common equity excluding Schwab – reported ⁷	3.9%	(2.5)%	
U.S. Retail return on common equity excluding Schwab – adjusted ^{1,7}	8.5	9.4	
U.S. Retail return on common equity – reported ⁷	4.4%	(0.7)%	
U.S. Retail return on common equity – adjusted ^{1,7}	8.9	10.1	
Net interest margin – reported ^{1,8}	3.08	2.95	
Net interest margin – adjusted ^{1,8}	3.09	2.95	
Efficiency ratio – reported	77.7	95.6	
Efficiency ratio – adjusted ¹	63.9	60.4	
Assets under administration (billions of U.S. dollars) ⁹	\$ 46	\$ 43	
Assets under management (billions of U.S. dollars) ⁹	10	8	
Number of U.S. retail stores	1,100	1,132	
Average number of full-time equivalent staff	28,715	27,842	

¹ For additional information about the Bank's use of non-GAAP financial measures, refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" section of this document.

² Adjusted net interest income excludes the following item of note:

- i. Balance sheet restructuring (impact of loan hedge rebalancing before the close of the correspondent loan sale) – 2025: \$36 million or US\$25 million (\$26 million or US\$19 million after-tax).

³ Adjusted non-interest income excludes the following item of note:

- i. Balance sheet restructuring – 2025: \$2,665 million or US\$1,877 million (\$2,001 million or US\$1,408 million after-tax), 2024: \$311 million or US\$226 million (\$234 million or US\$170 million after-tax).

⁴ Adjusted non-interest expenses exclude the following items of note:

- i. FDIC special assessment – 2024: \$442 million or US\$323 million (\$333 million or US\$243 million after-tax); and
- ii. Charges for the global resolution of the investigations into the Bank's U.S. BSA/AML program – 2024: \$4,233 million or US\$3,088 million (before and after-tax).

⁵ The Bank's share of Schwab's earnings was reported with a one-month lag. Refer to Note 12 of the 2025 Consolidated Financial Statements for further details.

⁶ The after-tax amounts for amortization of acquired intangibles, the Bank's share of acquisition and integration charges associated with Schwab's acquisition of TD Ameritrade, the Bank's share of Schwab's restructuring charges, and the Bank's share of Schwab's FDIC special assessment charge were recorded in the Corporate segment.

⁷ Capital allocated to the business segment was 11.5% CET1 Capital.

⁸ Net interest margin is calculated by dividing U.S. Retail segment's net interest income by average interest-earning assets excluding the impact related to sweep deposits arrangements and the impact of intercompany deposits and cash collateral, which management believes better reflects segment performance. In addition, the value of tax-exempt interest income is adjusted to its equivalent before-tax value. Net interest income and average interest-earning assets used in the calculation are non-GAAP financial measures. For additional information about the Bank's use of non-GAAP financial measures, refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" section of this document.

⁹ For additional information about this metric, refer to the Glossary of this document.

On February 12, 2025, the Bank sold its entire remaining equity investment in Schwab. Prior to the sale, the Bank accounted for its investment in Schwab using the equity method and the share of net income from investment in Schwab was reported in the U.S. Retail segment. Amounts for amortization of acquired intangibles, the acquisition and integration charges related to the Schwab transaction, and the Bank's share of restructuring and other charges incurred by Schwab were recorded in the Corporate segment. Refer to "Significant Events" for further details. Effective fiscal 2025, discussions of the U.S. Retail segment's performance exclude Schwab.

REVIEW OF FINANCIAL PERFORMANCE

U.S. Retail reported net income was \$1,664 million (US\$1,214 million), an increase of \$2,693 million (US\$1,949 million), compared with last year, excluding Schwab earnings of \$277 million (US\$196 million) in the current year and \$709 million (US\$523 million) in the prior year, primarily reflecting the impact of the charges for the global resolution of the investigations into the Bank's U.S. BSA/AML program last year, higher revenue, and lower PCL in the current year, partially offset by the impact of U.S. balance sheet restructuring activities, higher governance and control investments, including costs for U.S. BSA/AML remediation, and an adjustment for client deposit rates. U.S. Retail adjusted net income was \$3,691 million (US\$2,641 million), a decrease of \$80 million (US\$125 million), or 2% (5% in U.S. dollars), compared with last year, primarily reflecting higher governance and control investments, including costs for U.S. BSA/AML remediation, and an adjustment for client deposit rates, partially offset by the impact of U.S. balance sheet restructuring activities, higher revenue, and lower PCL. The reported and adjusted annualized ROE excluding Schwab for the year were 3.9% and 8.5%, respectively, compared with -2.5% and 9.4%, respectively, last year.

Reported revenue for the year was US\$8,815 million, a decrease of US\$1,259 million, or 12%, compared with last year. On an adjusted basis, revenue for the year was US\$10,717 million, an increase of US\$417 million, or 4%. Reported net interest income of US\$8,833 million, increased US\$313 million, or 4%, and adjusted net interest income of US\$8,858 million, increased US\$338 million, or 4%, largely reflecting the impact of U.S. balance sheet restructuring activities and higher deposit margins, partially offset by an adjustment for client deposit rates. Reported net interest margin of 3.08%, increased 13 bps, and adjusted net interest margin of 3.09% increased 14 bps, due to U.S. balance sheet restructuring activities and higher deposit margins. Reported non-interest loss of US\$18 million, a decrease of US\$1,572 million, compared with last year, reflecting the impact of U.S. balance sheet restructuring activities, partially offset by higher fee income. On an adjusted basis, non-interest income of US\$1,859 million increased US\$79 million, or 4%, compared with last year, reflecting higher fee income.

Average loan volumes decreased US\$9 billion, or 5%, compared with last year. Personal loans decreased 4% and business loans decreased 5%, reflecting U.S. balance sheet restructuring activities. Excluding the impact of the loan portfolios identified for sale or run-off under our U.S. balance sheet restructuring program, average loan volumes increased US\$4 billion, or 2%.^{41,42} Average deposit volumes decreased US\$7 billion, or 2%, reflecting a 7% decrease in sweep deposits and a 3% decrease in business deposits, partially offset by a 2% increase in personal deposits.

Assets under administration (AUA) were US\$46 billion as at October 31, 2025, an increase of US\$3 billion, or 7%, compared with last year, and assets under management (AUM) were US\$10 billion as of October 31, 2025, an increase of US\$2 billion, or 25%, compared with last year, both reflecting net asset growth and market appreciation.

PCL for the year was US\$1,080 million, a decrease of US\$46 million, or 4%, compared with last year. PCL – impaired was US\$1,065 million, an increase of US\$9 million, or 1%, largely reflecting credit migration in the commercial lending portfolio, partially offset by lower provisions in the consumer lending portfolios. PCL – performing was US\$15 million, a decrease of US\$55 million, or 79%, compared with last year. The current year performing provisions largely reflect credit impacts from policy and trade uncertainty, partially offset by lower volume and the adoption impact of a model update in the credit card portfolio. U.S. Retail PCL including only the Bank's share of PCL in the U.S. strategic cards portfolio, as an annualized percentage of credit volume was 0.60%, flat compared with last year.

Effective fiscal 2025, U.S. Retail segment non-interest expenses include certain U.S. governance and control investments, including costs for U.S. BSA/AML remediation which were previously reported in the Corporate segment. Comparative amounts have been reclassified to conform with the presentation adopted in the current period. Reported non-interest expenses for the period were US\$6,852 million, a decrease of US\$2,779 million, or 29%, compared with last year, reflecting the impact of charges for the global resolution of the investigations into the Bank's U.S. BSA/AML program last year, partially offset by higher governance and control investments including costs of US\$507 million for U.S. BSA/AML remediation, and higher employee-related expenses, in the current year. On an adjusted basis, non-interest expenses increased US\$632 million, or 10%, reflecting higher governance and control investments, including costs for U.S. BSA/AML remediation, and higher employee-related expenses. For fiscal 2026, non-interest expenses are expected to grow in the mid-single digit range⁴³.

The reported and adjusted efficiency ratios for the year were 77.7% and 63.9%, respectively, compared with 95.6% and 60.4%, respectively, last year.

OPERATING ENVIRONMENT AND OUTLOOK

Fiscal 2026 is expected to be a highly complex year for the U.S. banking industry, reflecting an uncertain macroeconomic backdrop, evolving competitive landscape, and a deregulatory trend. Notwithstanding geopolitical and economic uncertainty and indications of declining consumer confidence, the U.S. economy has remained resilient, supported by sustained business investment and consumer spending. Competitive pressures continue to intensify as traditional and non-traditional financial institutions compete for market share while investment in transformational technology accelerates.

U.S. Retail's top priority is the continued execution against its U.S. BSA/AML remediation program and the strengthening of its governance and control infrastructure. In addition, in order to continue to meet the evolving needs of its clients while complying with, and maintaining an ample buffer to, the asset limitation set out in the OCC consent order, the Bank will continue to reduce previously identified non-core loans that do not align with U.S. Retail's focused strategy or have lower returns.

U.S. Retail will direct the increased capital capacity created by this non-core loan reduction to fund growth in more profitable core business lines where U.S. Retail has opportunities to deepen relationships, drive growth in deposits and diversify revenue streams. In addition, U.S. Retail will continue to drive disciplined execution of structural cost reductions. Net interest margin is expected to moderately expand in the first quarter of fiscal 2026⁴⁴.

THE CHARLES SCHWAB CORPORATION

Refer to Note 12 of the 2025 Consolidated Financial Statements for further information on Schwab.

⁴¹ Loan portfolios identified for sale or run-off include the Point of Sale finance business which services third party retailers, correspondent lending, export and import lending, commercial auto dealer portfolio, and other non-core portfolios. 2025 average loan volumes: US\$184 billion (2024: US\$192 billion). 2025 average loan volumes of loan portfolios identified for sale or run-off: US\$24 billion (2024: US\$36 billion). 2025 average loan volumes excluding loan portfolios identified for sale or run-off: US\$160 billion (2024: US\$156 billion).

⁴² For additional information about the Bank's use of non-GAAP financial measures, refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" section of this document.

⁴³ The Bank's expectations regarding expense growth are based on the assumptions regarding certain factors, including the Bank's ability to successfully execute against its governance and control initiatives, including U.S. BSA/AML remediation, the timing of business investments, and productivity and restructuring savings. Refer to the "Risk Factors That May Affect Future Results" section of this document for additional information about risks and uncertainties that may impact the Bank's estimates.

⁴⁴ The Bank's Q1 2026 net interest margin expectations for the segment are based on the Bank's assumptions regarding interest rates, deposit reinvestment rates, average asset levels, execution of planned restructuring opportunities, and other variables, and are subject to inherent risks and uncertainties, including those set out in the "Risk Factors That May Affect Future Results" section of this document.

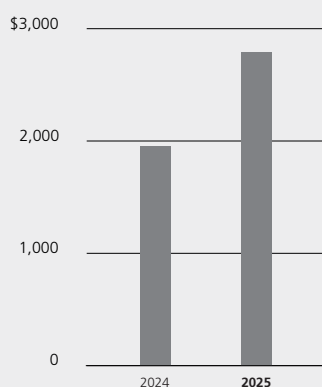
BUSINESS SEGMENT ANALYSIS

Wealth Management and Insurance

Wealth Management and Insurance provides wealth solutions and insurance protection to over 6 million customers in Canada and asset management products to institutional clients in Canada and globally.

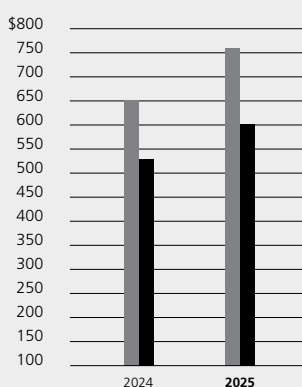
NET INCOME

(millions of Canadian dollars)



AUA/AUM⁴⁵

(billions of Canadian dollars)



■ AUA ■ AUM

INSURANCE PREMIUMS

(millions of Canadian dollars)

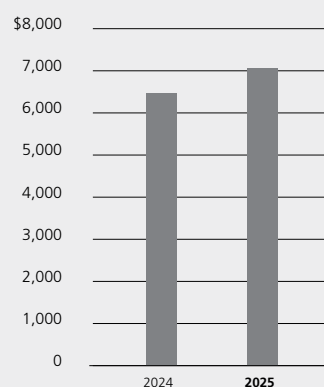


TABLE 19 REVENUE

(millions of Canadian dollars)

	2025	2024
Wealth Management	\$ 7,012	\$ 6,042
Insurance ¹	7,550	7,493
Total	\$ 14,562	\$ 13,535

¹ Includes recoveries from reinsurers for catastrophe claims of nil (2024: \$718 million)

⁴⁵ Includes AUA administered by TD Investor Services, which is part of the Canadian Personal and Commercial Banking segment.

KEY PRODUCT GROUPS

Wealth Management

- Direct Investing – platforms and resources for self-directed retail investors to facilitate research, investment management and trading in a range of investment products through online, phone and mobile channels.
- Wealth Advice – wealth management advice and financial planning solutions for mass affluent, high net worth and ultra high net worth clients, integrated with other Wealth businesses and the broader Bank.
- Asset Management – public and private market investment management solutions for retail and institutional clients, including a diversified suite of investment products designed to provide attractive risk-adjusted returns.

Insurance

- Property and Casualty – home, auto and small business insurance provided through direct channels and to members of affinity groups such as professional associations, post-secondary institutions such as universities and colleges, and employer groups.
- Life and Health – credit protection for Canadian Personal and Business Banking borrowing customers, life and health insurance products, credit card balance protection, and travel insurance products, distributed through customer-assisted and direct to consumer channels.

INDUSTRY PROFILE

The Canadian wealth management industry includes banks, insurance companies, independent asset managers, direct-to-consumer providers, independent financial advisors and planners, and full-service and discount brokerages. Growth relies on the ability to provide differentiated and integrated wealth solutions and holistic financial advice to retail and institutional investors while keeping pace with technological change and regulatory requirements. The property and casualty insurance industry in Canada is fragmented and competitive, consisting of numerous personal and commercial line writers offering products through broker, captive agent and direct distribution channels, while the life and health insurance industry is comprised of several large life and health insurers, and also includes several banks that provide life and health insurance. We expect that providing innovative digital capabilities and solutions will be a key differentiator for customers buying and servicing their insurance policies through direct channels.

STRATEGIC OBJECTIVES, ACCOMPLISHMENTS AND PRIORITIES

BUSINESS STRATEGY	BUSINESS HIGHLIGHTS IN 2025
Deeper Relationships	• Continued to increase client depth across TD to seamlessly meet clients' needs across channels, leading to record flows from Personal Banking to Wealth Management and within Wealth Management, and record flows from TD Direct Investing to Advice • Maintained strong market share positions and gained momentum across the businesses: – TD Direct Investing ranks #1 in market share of revenue and total assets⁴⁶ – TD Asset Management reinforced its position as #1 institutional asset manager in Canada⁴⁷ and continued to expand its institutional presence, winning new mandates domestically and globally – TD Asset Management was among the fastest growing ETF manufacturers in the industry – TD Private Investment Advice increased market share, outperforming bank-owned peers and the overall channel – TD Insurance ranked #1 as Canada's Leading Direct Distribution personal lines insurer and leader in the Affinity market in Canada⁴⁸, and #3 rank as personal home & auto insurer in Canada⁴⁹ • Wealth Management expanded co-location of Private Bankers in Retail branches and Commercial Banking Centres and expanded Private Banking Direct and Financial Planning Direct, broadening clients' access to specialist capabilities • Wealth Management recognized with multiple awards, reflecting the strength of the business, products, and platforms: – TD Direct Investing was ranked #1 Digital Brokerage in Canada by The Globe and Mail⁵⁰ for the third consecutive year – TD Asset Management recognized in 7 categories at the 2025 Canada London Stock Exchange Group Lipper Fund Awards⁵¹ – TD Asset Management received 24 Fundata FundGrade A+® Awards • TD Insurance maintained focus on deepening client relationships, partnering with Wealth Management to better protect high-net-worth clients with travel, home and auto insurance products • TD Insurance's Affinity partnerships remain a core differentiator, with TD Insurance ranked #1 in the General Insurance Affinity market and leveraging these relationships to extend reach into valuable client segments • General Insurance ran an innovative Pole Pillow Campaign, with coverage from over 100+ media publications, generating over 22 million total impressions and 100% positive sentiment, and strengthening TD Insurance's #1 Rank in Awareness for Home & Auto Insurance⁵²

⁴⁶ Investor Economics, Retail Distribution Report, June 2025

⁴⁷ Investor Economics, Managed Money Report, Spring 2025

⁴⁸ Rankings based on data available from OSFI, Insurers, Insurance Bureau of Canada, and Provincial Regulators as of December 2024

⁴⁹ Based on market data released by MSA research for the six months period ended June 30, 2025

⁵⁰ Globe and Mail, February 2025

⁵¹ 2025 Canada London Stock Exchange Group Lipper Fund Awards: <https://lipperfundawards.com/Awards/Canada/2025/Fund>

⁵² Ipsos, TD Insurance ranking, English Canada past 12 months ending June 2025 among Home & Auto insurance holders or next 12 months purchase intenders

BUSINESS STRATEGY	BUSINESS HIGHLIGHTS IN 2025
Simpler & Faster	- Enabled digital onboarding for all TD Wealth Financial Planning account types, with 90% of all accounts now onboarded digitally - Introduced capability for Wealth clients using the TD App to access Omni Dial through Easy Trade, enabling automatic authentication and reducing call times - Leveraged digital authentication and expanded eSign capabilities in TD Direct Investing, driving a significant drop in calls referred to the Retail branch - Introduced new services, features and capabilities to enhance client experience: - Enhanced TD Direct Investing self-serve and live chat capabilities - Launched TD Active Trader mobile app for Android and TD Advanced Dashboard mobile app - Launched a new High Net Worth planning tool in Advice - Broadened TD Asset Management ETF offerings and launched a new private market alternatives fund - TD Insurance remained Canada's leading digital direct insurer, with over 75% of customers digitally engaged, more than 40% of eligible Home & Auto transactions completed online, and the TD Insurance app recognized as "Canada's Top-Rated Home and Auto Insurance App" by Apple and Google⁵³ - Launched a new usage-based auto insurance program to deliver proactive, personalized driving advice to clients and reward safe driving habits
Disciplined Execution	- Continued to invest in Wealth Management operations, enhancing advisor and client experience through improved efficiency, productivity and reduced operational risk - Strengthened control environment to systematically address business risks - Maintained a robust reinsurance program and became the first Canadian insurer to sponsor a CAD denominated catastrophe bond, providing additional sources of capital protection against losses from severe weather events - Extended complimentary Wildfire Defense Systems coverage to more clients in Alberta and Saskatchewan to build resiliency against climate-related disruptions

KEY PRIORITIES FOR 2026

- Deeper Relationships:
 - Deepen client relationships across TD through partnerships between Canadian Personal Banking, Wealth Management, Insurance and Canadian Business Banking to satisfy client needs holistically while adhering to the Bank Act (Canada)
 - Expand distribution by deploying advisor talent acquisitions and development programs
 - Accelerate client acquisition through investments in Easy Trade and Active Trader platforms in Wealth Management and continued success in Insurance's marketing sophistication
- Simpler & Faster:
 - Continue to leverage AI capabilities and end-to-end use of analytics to deliver personalized and engaging experiences and advice, enhance advisor capacity and improve productivity, and in insurance claims fraud detection to accelerate profitable growth
 - Further advance digital client onboarding and account funding to enhance online, same-day and self-serve capabilities
 - Enhance advisor capacity by leveraging AI to improve productivity
 - Complete the unification of Wealth Management's discretionary advice businesses and client migration
- Disciplined Execution:
 - Sustainably lower expense base by re-envisioning Insurance business processes to further enable AI opportunities and leverage the advantage of TD Insurance's low cost direct to consumer model
 - Deliver disciplined expense management by expanding digital client onboarding in Wealth Management, productivity initiatives and structural cost reduction while continuing to invest in risk and control infrastructure
 - Provide Insurance clients with sound advice and support they need to prepare for the impacts of climate change

⁵³ Based on ratings on the App Store and Google Play as of September 15, 2025

TABLE 20 WEALTH MANAGEMENT AND INSURANCE		
(millions of Canadian dollars, except as noted)		
	2025	2024
Net interest income	\$ 1,493	\$ 1,226
Non-interest income ¹	13,069	12,309
Total revenue	14,562	13,535
Insurance service expenses ²	6,089	6,647
Non-interest expenses	4,698	4,285
Provision for (recovery of) income taxes	986	648
Net income	\$ 2,789	\$ 1,955
Selected volumes and ratios		
Return on common equity	44.3%	31.8%
Return on common equity – Wealth Management ³	62.1	52.0
Return on common equity – Insurance	24.2	10.7
Efficiency ratio	32.3	31.7
Efficiency ratio, net of ISE ⁴	55.4	62.2
Assets under administration (billions of Canadian dollars) ⁵	\$ 759	\$ 651
Assets under management (billions of Canadian dollars)	601	530
Average number of full-time equivalent staff	15,411	15,219

¹ Includes recoveries from reinsurers for catastrophe claims of nil (2024: \$718 million).

² Includes estimated losses related to catastrophe claims of \$101 million (2024: \$1,223 million).

³ Capital allocated to the business segment was 11.5% CET1 Capital.

⁴ Efficiency ratio, net of ISE is calculated by dividing non-interest expenses by total revenue, net of ISE. Total revenue, net of ISE – 2025: \$8,473 million, 2024: \$6,888 million. Total revenue, net of ISE is a non-GAAP financial measure. Refer to “Non-GAAP and Other Financial Measures” in the “Financial Results Overview” section and the Glossary of this document for additional information about this metric.

⁵ Includes AUA administered by TD Investment Services Inc. which is part of the Canadian Personal and Commercial Banking segment.

REVIEW OF FINANCIAL PERFORMANCE

Wealth Management and Insurance net income for the year was \$2,789 million, an increase of \$834 million, or 43%, compared with last year, reflecting lower estimated losses from catastrophe claims and higher revenue from both businesses, partially offset by higher non-interest expenses. Wealth Management net income for the year was \$2,070 million, an increase of \$434 million, or 27%, compared with last year, and Insurance net income for the year was \$719 million, an increase of \$400 million, compared with last year. The ROE for the year was 44.3%, compared with 31.8% last year. Wealth Management ROE for the year was 62.1%, compared with 52.0% last year, and Insurance ROE for the year was 24.2% compared with 10.7% last year.

Revenue for the year was \$14,562 million. This represents an increase of \$1,027 million, or 8%, compared with last year. Non-interest income was \$13,069 million. This represents an increase of \$760 million, or 6%, compared with last year, reflecting higher insurance premiums, fee-based revenue, and transaction revenue in the current year, partially offset by the impact of \$718 million in reinsurance recoveries for catastrophe claims in the prior year. Net interest income was \$1,493 million, an increase of \$267 million, or 22%, compared with last year, reflecting higher deposit volumes and margins.

AUA were \$759 billion as at October 31, 2025, an increase of \$108 billion, or 17%, compared with last year, reflecting market appreciation and net asset growth. AUM were \$601 billion as at October 31, 2025, an increase of \$71 billion, or 13%, compared with last year, primarily reflecting market appreciation and net asset growth.

Insurance service expenses for the year were \$6,089 million. This represents a decrease of \$558 million, or 8%, compared with last year, driven by \$916 million of estimated losses from catastrophe claims in the prior year, partially offset by higher claims severity in the current year.

Non-interest expenses for the year were \$4,698 million, an increase of \$413 million, or 10%, compared with last year, reflecting higher variable compensation, and higher technology spend supporting business growth.

The efficiency ratio for the year was 32.3%, compared with 31.7% last year. The efficiency ratio, net of ISE for the year was 55.5%, compared with 62.2% last year.

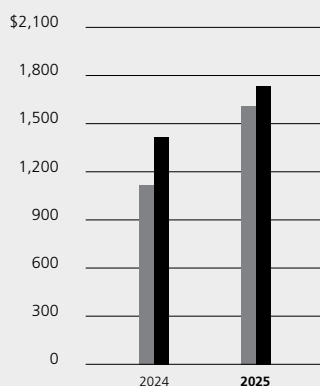
OPERATING ENVIRONMENT AND OUTLOOK

Market conditions are expected to be challenging in fiscal 2026 with subdued economic growth in the face of ongoing U.S. trade uncertainty. Wealth Management and Insurance's continued focus on its strategic priorities and investments in leading digital platforms is expected to help offset headwinds on fees from rising competition and increased claims severity. Wealth Management and Insurance will continue to support and deepen relationships with clients, leveraging AI capabilities to deliver personalization at scale and enable simple, intuitive experiences. The businesses will continue to deliver high-quality advice, educational content and innovative financial products to customers, with disciplined execution to navigate the changing environment.

Wholesale Banking

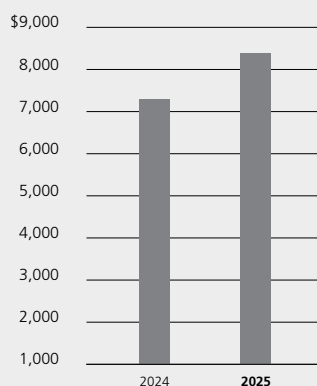
Operating under the brand names of TD Securities and TD Cowen, Wholesale Banking offers global markets and corporate and investment banking services to corporate, government, and institutional clients in key global financial centres across North America, Europe and Asia-Pacific.

NET INCOME^{54,55}
(millions of Canadian dollars)



■ Reported ■ Adjusted

TOTAL REVENUE⁵⁴
(millions of Canadian dollars)



AVERAGE GROSS LENDING PORTFOLIO
(billions of Canadian dollars)

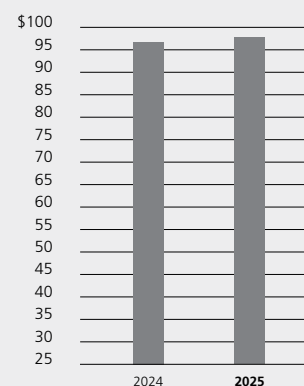


TABLE 2.1 REVENUE

(millions of Canadian dollars)

	2025	2024
Global markets	\$ 5,336	\$ 4,218
Corporate and investment banking	3,189	3,104
Other	(133)	(36)
Total	\$ 8,392	\$ 7,286

LINES OF BUSINESS

- Global Markets – sales, trading and research, debt and equity underwriting, client securitization, prime services, and trade execution services⁵⁵.
- Corporate and Investment Banking – corporate lending and syndications, debt and equity underwriting, M&A and capital markets advisory services, trade finance, cash management, investment portfolios, and related activities⁵⁵.
- Other – investment portfolios and other accounting adjustments.

INDUSTRY PROFILE

The wholesale banking sector is a mature, highly competitive market comprised of banks, large global investment firms, and independent

investment banks and broker dealers. Wholesale Banking provides global markets and corporate and investment banking services to corporate, government, and institutional clients. Firms continue to focus on generating client-driven trading revenue and investment banking fee income alongside strategic deployment of their balance sheet. Firms are also investing in technology to support advancements in markets infrastructure, platforms and systems, and growing levels of electronic trading across all markets. Competition is expected to remain intense and longer term, wholesale banks with a diversified client-focused business model, a full suite of products and services, and the ability to manage costs and capital effectively will be well-positioned to achieve attractive returns for shareholders.

⁵⁴ For additional information about the Bank's use of non-GAAP financial measures, refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" section of this document.

⁵⁵ Certain revenue streams are shared between Global Markets and Corporate and Investment Banking lines of business in accordance with an established agreement.

STRATEGIC OBJECTIVES, ACCOMPLISHMENTS AND PRIORITIES

BUSINESS STRATEGY	BUSINESS HIGHLIGHTS IN 2025
Deeper Relationships	- Completed the integration of Cowen, with clients now facing a single dealer that delivers a robust product suite and holistic client solutions - Achieved four consecutive quarters with over \$2 billion revenue - Corporate & Investment Banking continued to deliver its strong client franchise and full-service capabilities with multiple award recognitions and notable transactions: - Continued to expand its product suite by building a leading convertibles platform with marquee wins, and delivered innovative debt capital markets solutions for pre-capitalized securities - Ranked #1 in Canadian Loan Syndications and #2 in Canadian Corporate Debt Underwriting⁵⁶ - Achieved Top 10 ranking in key U.S. strategic growth areas, ranking #8 in U.S. Equity Underwriting, and #8 in U.S. Convertibles⁵⁶ - Awarded Canada's Best Investment Bank for Debt Capital Markets by Euromoney Awards for Excellence 2025 - Recognized at The Digital Banker Transaction Banking Innovation Awards 2025 for Best Bank for Trade Finance – Canada, and Outstanding Use of Technology in Trade Finance – North America - Sole Bookrunner on GameStop Corp.'s US\$2.25 billion zero-coupon convertible bond offering, the largest sole bookrunner convertible offering in the U.S. since 2016 - Led the NextEra Energy Capital Holdings \$2 billion three-part offering, the largest corporate Maple bond transaction in 2025 \$605 million unregistered block trade of Newmont Corporation's 13% interest in Orla Mining, TD's largest bookrunner equity transaction in the mining sector - Joint Bookrunner on the inaugural debt issuance from the Climate Investment Funds Capital Markets Mechanism, a US\$500 million bond offering - Global Markets delivered strong growth through its broad product offering, and deep institutional relationships: - Continued to expand U.S. Prime Services by enhancing cash prime services, streamlining global clearing, and progressing the build for arranged financing and synthetic prime capabilities - Scaled TDS Automated Trading in investment grade credit to become a Top 5 market participant⁵⁷ - TD became the first Canadian bank to offer algorithmic swap trading, enhancing product offerings for key clients - Recognized for excellence across the industry, including named Canada's Best FX Bank – 2025 by Euromoney, voted #1 Overall Commodities Dealer by Energy Risk Commodities Rankings 2025 - Ranked #3 overall in the 2025 Extel Canada Research Survey, and #2 in Washington Research and Communications Infrastructure in the 2025 U.S. Extel All-American Research Survey - Ranked #6 overall for U.S. Corporate Access by Buy-Side investors, and #1 in U.S. Healthcare Corporate Access in Extel's 2025 U.S. Corporate Access Survey (Buy-Side View)
Simpler & Faster	- Unified Global Markets leadership across Equities and Fixed Income, Currencies and Commodities, and realigned Corporate & Investment Banking leadership to create seamless client coverage - Deployed technology to enhance client and colleague experiences: - Launched AI Front Office Assistant, a research chatbot that aggregates insights to improve productivity and enhance client service - Advanced initiative to increase speed for client onboarding by enhancing internal workflow tracking systems and building automated onboarding tools - Simplified client experience with TD One Portal, which provides a single sign-on to access TD Securities products and services - Streamlined processes for new product approvals to enable faster time to market and upgraded core infrastructure and systems to modernize operating platforms
Disciplined Execution	- Strengthened risk and control frameworks by adding executive talent in key risk areas and enhancing regulatory responsiveness by improving organizational alignment - Enhanced first line risk management function through policy review, implemented enhanced governance programs, and adopted automation for testing and optimizing control inventory - Implemented framework to identify capital redeployment opportunities and drive higher client relationship returns - Launched cost-savings initiatives including modernizing platforms, simplifying business processes, and optimizing real estate, vendor and workforce strategy as outlined in the section "Significant Events – Restructuring Charges"

⁵⁶ For the 12 months ended October 31, 2025. Source: Bloomberg.

⁵⁷ For the 12 months ended October 31, 2025, based on internal tracking.

KEY PRIORITIES FOR 2026

- Deeper Relationships
 - Deepen client relationships in corporate and investment banking to drive revenue by aligning balance sheet and resources to key focus sectors
 - Progress the global integrated platforms, including global transaction banking and prime services solutions, to deliver a seamless client experience with innovative, best-in-class products and solutions
 - Enhance fixed income product suite and strengthen e-trading capabilities across Global Markets
 - Advance leading cash equities market share with enhanced product cross-sell and platform capabilities, and continue to align partnerships across the business to provide holistic cross product derivatives solutions for clients
- Simpler & Faster
 - Continue to simplify organizational structure and hire top talent
 - Continue to upgrade core systems to simplify processes and modernize infrastructure
- Disciplined Execution
 - Strengthen risk and control foundation by improving agility and responsiveness for regulatory compliance, automating processes, and enhancing risk management capabilities
 - Lower structural costs through moderation of expenses, process simplification and technology modernization, real estate and vendor optimization, and AI-driven efficiency gains
 - Advance disciplined approach to capital deployment through client level returns focus and strategic balance sheet deployment

TABLE 2.2 WHOLESALE BANKING		
(millions of Canadian dollars, except as noted)		
	2025	2024
Net interest income (TEB)	\$ (18)	\$ 582
Non-interest income	8,410	6,704
Total revenue	8,392	7,286
Provision for (recovery of) credit losses – impaired	185	247
Provision for (recovery of) credit losses – performing	105	70
Total provision for (recovery of) credit losses	290	317
Non-interest expenses – reported	6,048	5,576
Non-interest expenses – adjusted ^{1,2}	5,886	5,197
Provision for (recovery of) income taxes (TEB) – reported	444	275
Provision for (recovery of) income taxes (TEB) – adjusted ¹	479	357
Net income – reported	\$ 1,610	\$ 1,118
Net income – adjusted¹	1,737	1,415
Selected volumes and ratios		
Trading-related revenue (TEB) ³	\$ 3,498	\$ 2,782
Average gross lending portfolio (billions of Canadian dollars) ⁴	97.7	96.7
Return on common equity – reported ⁵	9.6%	7.1%
Return on common equity – adjusted ^{1,5}	10.4	8.9
Efficiency ratio – reported	72.1	76.5
Efficiency ratio – adjusted ¹	70.1	71.3
Average number of full-time equivalent staff	7,169	7,042

¹ For additional information about the Bank's use of non-GAAP financial measures, refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" section of this document.

² Adjusted non-interest expenses exclude the acquisition and integration-related charges for the Cowen acquisition – 2025: \$162 million (\$127 million after-tax), 2024: \$379 million (\$297 million after-tax).

³ Includes net interest income (loss) (TEB) of \$(1,326) million (2024 – \$(653) million), and trading income (loss) of \$4,824 million (2024 – \$3,435 million). Trading-related revenue (TEB) is a non-GAAP financial measure. Refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" section and the Glossary of this document for additional information about this metric.

⁴ Includes gross loans relating to Wholesale Banking, excluding letters of credit, cash collateral, credit default swaps, and allowance for credit losses.

⁵ Capital allocated to the business segment was 11.5% CET1 Capital.

REVIEW OF FINANCIAL PERFORMANCE

Wholesale Banking reported net income for the year was \$1,610 million, an increase of \$492 million, or 44%, compared with the prior year, primarily reflecting higher revenues and lower PCL, partially offset by higher non-interest expenses and higher income taxes. On an adjusted basis, net income was \$1,737 million, an increase of \$322 million, or 23%.

Revenue for the period was \$8,392 million, an increase of \$1,106 million, or 15%, compared with the prior year, primarily reflecting higher trading-related revenue, underwriting fees, including fees associated with the sale of Schwab shares, and equity commissions, partially offset by the net change in fair value of loan underwriting commitments.

PCL was \$290 million, a decrease of \$27 million compared with last year. PCL – impaired was \$185 million, a decrease of \$62 million, reflecting a lower pace of credit migration in the current year. PCL – performing was \$105 million, an increase of \$35 million. The current year performing provision reflects credit impacts from policy and trade uncertainty.

Reported non-interest expenses for the year were \$6,048 million, an increase of \$472 million, or 8%, compared with the prior year, primarily reflecting higher variable compensation, front office costs, spend supporting business growth, including technology, volume-related expenses, and the impact of foreign exchange translation, partially offset by lower acquisition and integration-related costs, and payments related to the U.S. record keeping and trading regulatory matters recorded last year. On an adjusted basis, non-interest expenses were \$5,886 million, an increase of \$689 million, or 13%. Effective November 1, 2025 there will no longer be any acquisition and integration-related charges related to the Cowen acquisition in Wholesale Banking⁵⁸.

OPERATING ENVIRONMENT AND OUTLOOK

The operating environment has improved in fiscal 2025 and the outlook for fiscal 2026 is constructive, although risks remain driven by economic and trade uncertainty as well as geopolitical and sustainability considerations. These factors may impact corporate and investor sentiment and market conditions which make Wholesale Banking results difficult to forecast. TD Securities is confident in its increasingly diversified and client-focused business model and believes it is well positioned for growth.

⁵⁸ The Bank's expectations regarding acquisition and integration-related charges related to the acquisition of Cowen are based on forward-looking assumptions that have inherent risk and uncertainties. Results may vary depending on factors both within and outside the Bank's control. Refer to the "Risk Factors That May Affect Future Results" section of this document for additional information about risks and uncertainties that may impact the Bank's estimates.

Corporate

Corporate segment is comprised of service and control functions. Certain costs relating to these functions are allocated to operating business segments. The basis of allocation and methodologies are reviewed periodically to align with management's evaluation of the Bank's business segments.

TABLE 23 CORPORATE		
(millions of Canadian dollars)	2025	2024
Net income (loss) – reported	\$ 6,881	\$ (1,130)
Adjustments for items of note		
Amortization of acquired intangibles	171	290
Acquisition and integration charges related to the Schwab transaction	–	109
Share of restructuring and other charges from investment in Schwab	–	49
Restructuring charges	686	566
Impact from the terminated FHN acquisition-related capital hedging strategy	205	242
Gain on sale of Schwab shares	(8,975)	(1,022)
Balance sheet restructuring	102	–
Indirect tax matters	–	226
Civil matter provision	–	274
Less: impact of income taxes on items of note	(144)	396
Net income (loss) – adjusted¹	\$ (786)	\$ (792)
Decomposition of items included in net (loss) – adjusted		
Net corporate expenses ²	\$ (1,815)	\$ (1,246)
Other	1,029	454
Net income (loss) – adjusted¹	\$ (786)	\$ (792)
Selected volumes		
Average number of full-time equivalent staff ³	18,312	17,995

¹ For additional information about the Bank's use of non-GAAP financial measures, refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" section of this document.

² For additional information about this metric, refer to the Glossary of this document.

³ Effective the third quarter of 2025, call center operations have been realigned from the Corporate segment to the businesses, providing end-to-end ownership of customer experience. The change mainly impacts the Canadian Personal and Commercial Banking segment. Average number of full-time equivalent staff has been restated for comparative periods.

Corporate segment includes expenses related to service and control functions, the impact of treasury and balance sheet management activities, certain enterprise level tax items, and intercompany items such as elimination of TEB and the retailer program partners' share of the results of the U.S. strategic cards portfolio.

Corporate segment's reported net income for the year was \$6,881 million, compared with a net loss of \$1,130 million last year. The higher net income primarily reflects the gain on the Schwab sale transaction and higher revenue from treasury and balance sheet management activities, partially offset by higher net corporate expenses. Net corporate expenses increased \$569 million, primarily reflecting continued investments in governance and controls. The adjusted net loss for the year was \$786 million, compared with \$792 million last year.

Summary of 2024 Performance

NET INCOME

Reported net income for the year was \$8,842 million, a decrease of \$1,792 million, or 17%, compared with last year. The decrease primarily reflects the impact of the charges for the global resolution of the investigations into the Bank's U.S. BSA/AML program in U.S. Retail, higher non-interest expenses, including higher governance and control investments, higher insurance service expenses and higher PCL, partially offset by higher revenues, the prior year impact in the Corporate segment of the Stanford litigation settlement, the lower current period impact of the terminated FHN acquisition-related capital hedging strategy, and the current year gain on sale of Schwab shares in the Corporate segment. On an adjusted basis, net income for the year was \$14,277 million, a decrease of \$718 million, or 5%, compared with last year. The reported ROE for the year was 8.2%, compared with 9.9% last year. The adjusted ROE for the year was 13.6%, compared with 14.2% last year.

Reported diluted EPS for the year was \$4.72, a decrease of 14%, compared with \$5.52 last year. Adjusted diluted EPS for the year was \$7.81, a decrease of 1%, compared with \$7.91 last year.

Reported revenue was \$57,223 million, an increase of \$6,533 million, or 13%, compared with last year. Adjusted revenue was \$56,789 million, an increase of \$4,752 million, or 9%, compared with last year.

NET INTEREST INCOME

Reported net interest income for the year was \$30,472 million, an increase of \$528 million, or 2%, compared with last year. The increase primarily reflects volume growth and higher deposit margins in Canadian Personal and Commercial Banking, partially offset by lower net interest income in Wholesale Banking. Adjusted net interest income was \$30,749 million, an increase of \$355 million, or 1%.

NON-INTEREST INCOME

Reported non-interest income for the year was \$26,751 million, an increase of \$6,005 million, or 29%, compared with last year, primarily reflecting higher lending revenue, trading-related revenue, underwriting fees, and equity commissions in Wholesale Banking, the prior period impact of the terminated FHN acquisition-related capital hedging strategy and the current year gain on sale of Schwab shares in the Corporate segment, higher insurance premiums, the impact of reinsurance recoveries for catastrophe claims, and higher fee-based and transaction revenue in Wealth Management and Insurance. Adjusted non-interest income was \$26,040 million, an increase of \$4,397 million, or 20%.

PROVISION FOR CREDIT LOSSES

PCL for the year was \$4,253 million, an increase of \$1,320 million compared with last year. PCL – impaired was \$3,877 million, an increase of \$1,391 million, reflecting credit migration in the non-retail and consumer lending portfolios. PCL – performing was \$376 million, a decrease of \$71 million. The current year performing provisions largely reflect current credit conditions including credit migration, and volume growth. Total PCL as an annualized percentage of credit volume was 0.46%.

INSURANCE SERVICE EXPENSES

Insurance service expenses for the year were \$6,647 million. This represents an increase of \$1,633 million, or 33%, compared with last year, of which \$916 million, or 18%, was driven by estimated losses from catastrophe claims. The remaining increase reflects less favourable prior years' claims development and increased claims severity.

NON-INTEREST EXPENSES

Reported non-interest expenses for the year were \$35,493 million, an increase of \$5,638 million, or 19%, compared with last year, primarily reflecting the impact of charges for the global resolution of the investigations into the Bank's U.S. BSA/AML program in U.S. Retail, investments in risk and control infrastructure, higher employee-related expenses, including TD Cowen, the FDIC special assessment in U.S. Retail,

and higher technology spend supporting business growth, partially offset by the prior year impacts of the Stanford litigation settlement and the payment related to termination of the First Horizon transaction in the Corporate segment. On an adjusted basis, non-interest expenses were \$29,148 million, an increase of \$2,631 million, or 10%.

PROVISION FOR INCOME TAXES

Reported total income and other taxes decreased by \$42 million, or 0.8%, compared with last year, reflecting a decrease in income tax expense of \$427 million, or 13.7%, partially offset by an increase in other taxes of \$385 million, or 19%. Adjusted total income and other taxes decreased by \$102 million from last year, or 1.8%, reflecting a decrease in income tax expense of \$296 million, or 8.1%, and an increase in other taxes of \$194 million, or 9.6%.

The Bank's reported effective income tax rate was 24.8% for 2024, compared with 24.2% last year. The year-over-year increase primarily reflects the tax impact of the non-deductible charges for the global resolution of the investigations into the Bank's U.S. BSA/AML program and lower tax-exempt dividend income, partially offset by the favourable tax impact associated with the gain on sale of Schwab shares, while the prior year tax rate was significantly impacted by adjustments associated with the implementation of the Canada Recovery Dividend and the Canadian federal tax rate increase as well as the terminated First Horizon transaction. For a reconciliation of the Bank's effective income tax rate with the Canadian statutory income tax rate, refer to Note 24 of the 2024 Consolidated Financial Statements.

The Bank reported its investment in Schwab using the equity method of accounting. Schwab's tax expense (2024: \$215 million; 2023: \$279 million) was not part of the Bank's effective tax rate.

BALANCE SHEET

Total assets were \$2,062 billion as at October 31, 2024, an increase of \$107 billion, from October 31, 2023. The impact of foreign exchange translation from the depreciation in the Canadian dollar increased total assets by \$3 billion. The increase in total assets reflects an increase in cash and interest-bearing deposits with banks of \$71 billion, loans, net of allowances for loan losses of \$53 billion, trading loans, securities, and other of \$24 billion, financial assets at fair value through other comprehensive income of \$24 billion, securities purchased under reverse repurchase agreements of \$4 billion and financial assets designated at fair value through profit or loss of \$1 billion. The increase was partially offset by a decrease in debt securities at amortized cost of \$37 billion, other assets of \$23 billion, derivative assets of \$9 billion and non-trading financial assets at fair value through profit or loss of \$1 billion.

Total liabilities were \$1,947 billion as at October 31, 2024, an increase of \$104 billion from October 31, 2023. The impact of foreign exchange translation from the depreciation in the Canadian dollar increased total liabilities by \$3 billion. The increase in total liabilities reflects an increase in deposits of \$71 billion, obligations related to securities sold under repurchase agreements of \$35 billion, financial liabilities designated at fair value through profit or loss of \$16 billion and subordinated notes and debentures of \$2 billion. The increase was partially offset by a decrease in other liabilities of \$16 billion, derivative liabilities of \$3 billion and trading deposits of \$1 billion.

Equity was \$115 billion as at October 31, 2024, an increase of \$3 billion from October 31, 2023. The increase reflects gains in accumulated other comprehensive income, partially offset by lower retained earnings. The increase in accumulated other comprehensive income is primarily driven by gains on cash flow hedges and the Bank's share of the other comprehensive income from investment in Schwab. The retained earnings decreased as the net income for the year is more than offset by the dividends paid and the premium on the repurchase of common shares.

Balance Sheet Review

TABLE 2.4 SELECTED CONSOLIDATED BALANCE SHEET ITEMS

(millions of Canadian dollars)

	As at	
	October 31 2025	October 31 2024
Assets		
Cash and Interest-bearing deposits with banks	\$ 116,929	\$ 176,367
Trading loans, securities, and other	220,136	175,770
Non-trading financial assets at fair value through profit or loss	7,395	5,869
Derivatives	82,972	78,061
Financial assets designated at fair value through profit or loss	6,986	6,417
Financial assets at fair value through other comprehensive income	126,369	93,897
Debt securities at amortized cost, net of allowance for credit losses	240,439	271,615
Securities purchased under reverse repurchase agreements	247,078	208,217
Loans, net of allowance for loan losses	953,012	949,549
Investment in Schwab	–	9,024
Other	93,242	86,965
Total assets	\$ 2,094,558	\$ 2,061,751
Liabilities		
Trading deposits	\$ 37,882	\$ 30,412
Derivatives	79,356	68,368
Financial liabilities designated at fair value through profit or loss	197,635	207,914
Deposits	1,267,104	1,268,680
Obligations related to securities sold under repurchase agreements	221,150	201,900
Subordinated notes and debentures	10,733	11,473
Other	152,871	157,844
Total liabilities	1,966,731	1,946,591
Total equity	127,827	115,160
Total liabilities and equity	\$ 2,094,558	\$ 2,061,751

Total assets were \$2,095 billion as at October 31, 2025, an increase of \$33 billion, from October 31, 2024. The impact of foreign exchange translation from the depreciation in the Canadian dollar increased total assets by \$8 billion.

The increase in total assets reflects an increase in trading loans, securities, and other of \$44 billion, securities purchased under reverse repurchase agreements of \$39 billion, financial assets at fair value through other comprehensive income of \$32 billion, other assets of \$6 billion, derivative assets of \$5 billion, loans, net of allowances for loan losses of \$3 billion, non-trading financial assets at fair value through profit or loss of \$2 billion, and financial assets designated at fair value through profit or loss of \$1 billion. The increase was partially offset by a decrease in cash and interest-bearing deposits with banks of \$59 billion, debt securities at amortized cost of \$31 billion, and investment in Schwab of \$9 billion.

Cash and interest-bearing deposits with banks decreased \$59 billion primarily reflecting cash management activities and the reduction of excess liquidity in relation to the U.S. balance sheet restructuring activities, partially offset by proceeds from the sale of Schwab.

Trading loans, securities, and other increased \$44 billion primarily in commodities held-for-trading, equity securities, and securitized mortgages.

Non-trading financial assets at fair value through profit or loss increased \$2 billion primarily reflecting new investments.

Derivative assets increased \$5 billion primarily reflecting changes in mark-to-market values of equity and commodity contracts.

Financial assets designated at fair value through profit or loss increased \$1 billion primarily reflecting purchases, partially offset by maturities and sales.

Financial assets at fair value through other comprehensive income increased \$32 billion primarily reflecting new investments primarily in government securities and asset-backed securities, partially offset by maturities and sales.

Debt securities at amortized cost, net of allowance for credit losses decreased \$31 billion primarily reflecting maturities and sales as a result of the U.S. balance sheet restructuring activities, partially offset by new investments and the impact of foreign exchange translation.

Securities purchased under reverse repurchase agreements increased \$39 billion primarily reflecting an increase in volume.

Loans, net of allowance for loan losses increased \$3 billion primarily reflecting volume growth in consumer instalment and other personal loans and the impact of foreign exchange translation, partially offset by the impact of deconsolidation of U.S. asset-backed commercial paper (ABCP) conduits, sale of U.S. residential mortgage loans (correspondent lending loans) in relation to the U.S. balance sheet restructuring activities and other volume reductions in residential mortgages.

Investment in Schwab decreased by \$9 billion, which reflects the sale of the Bank's entire remaining equity investment in Schwab on February 12, 2025.

Other assets increased \$6 billion primarily reflecting increase in amounts receivable from brokers, dealers and clients due to higher volumes of pending trades.

Total liabilities were \$1,967 billion as at October 31, 2025, an increase of \$20 billion from October 31, 2024. The impact of foreign exchange translation from the depreciation in the Canadian dollar increased total liabilities by \$8 billion.

The increase in total liabilities reflects an increase in obligations related to securities sold under repurchase agreements of \$19 billion, derivative liabilities of \$11 billion, and trading deposits of \$7 billion. The increase was partially offset by a decrease in financial liabilities designated at fair value through profit or loss of \$10 billion, other liabilities of \$5 billion, deposits of \$1 billion and subordinated notes and debentures of \$1 billion.

Trading deposits increased \$7 billion primarily reflecting new issuances, partially offset by maturities.

Derivative liabilities increased \$11 billion primarily reflecting changes in mark-to-market values of equity and commodity contracts.

Financial liabilities designated at fair value through profit or loss decreased \$10 billion primarily reflecting maturities, partially offset by new issuances and the impact of foreign exchange translation.

Deposits decreased \$1 billion primarily reflecting lower volume in bank deposits, including higher payments on advances to Federal Home Loan Bank (FHLB), partially offset by higher volumes in business and government and personal deposits, and the impact of foreign exchange translation.

Obligations related to securities sold under repurchase agreements increased \$19 billion primarily reflecting an increase in volume and the impact of foreign exchange translation.

Subordinated notes and debentures decreased \$1 billion reflecting redemptions, partially offset by new issuances.

Other liabilities decreased \$5 billion primarily reflecting the impact of deconsolidation of U.S. ABCP conduits, decrease in provisions for investigations related to the Bank's U.S. BSA/AML program due to payments, partially offset by increase in volume in securitization liabilities and obligations related to securities sold short.

Equity was \$128 billion as at October 31, 2025, an increase of \$13 billion from October 31, 2024. The increase primarily reflects an increase in retained earnings and gains in accumulated other comprehensive income. The retained earnings increased as a result of higher net income primarily driven by the sale of investment in Schwab, partially offset by the dividends paid and the premium on the repurchase of common shares. The increase in accumulated other comprehensive income is primarily driven by gains on cash flow hedges and the Bank's share of the other comprehensive income from investment in Schwab.

GROUP FINANCIAL CONDITION

Credit Portfolio Quality

AT A GLANCE OVERVIEW

- **Loans, net of allowance for loan losses were \$953 billion, an increase of \$4 billion compared with last year.**
- **Impaired loans net of Stage 3 allowances were \$3,832 million, an increase of \$425 million compared with last year.**
- **Provision for credit losses was \$4,506 million, compared with \$4,253 million last year.**
- **Total allowance for credit losses including off-balance sheet positions increased by \$604 million to \$9,745 million.**

LOAN PORTFOLIO

The Bank increased its loans net of allowance for loan losses by \$4 billion compared to the prior year, primarily reflecting volume growth in the real estate secured lending and Canadian commercial portfolios, partially offset by lower loans in the U.S. Retail segment reflecting the impact of balance sheet restructuring activities and foreign exchange.

While the majority of the Bank's credit risk exposure is related to loans, the Bank also engaged in activities that have off-balance sheet credit risk. These include credit instruments and derivative financial instruments, as explained in Note 29 of the 2025 Consolidated Financial Statements.

CONCENTRATION OF CREDIT RISK

The Bank's loan portfolio continued to be concentrated in Canadian and U.S. consumer lending, comprised of residential mortgages, consumer instalment and other personal loans, and credit card loans, representing 64% of total loans net of Stage 3 allowances, compared with 63% in the prior year. During the year, these portfolios increased by \$15 billion, or 3%, and totaled \$615 billion at year end. Residential mortgages represented 33% of total loans net of Stage 3 allowances in 2025, compared with 35% in the prior year. Consumer instalment and other personal loans, and credit card loans were 31% of total loans net of Stage 3 allowances in 2025, compared with 28% in the prior year.

The Bank's business and government loan portfolio was 36% of total loans net of Stage 3 allowances, compared with 37% in the prior year. The largest business and government sector concentrations in Canada were the Real estate and Financial sectors, which comprised 6% and 2% of net loans, respectively. Real estate and Financial sectors were the largest U.S. sector concentrations in 2025, representing 4% and 3% of net loans, respectively.

Geographically, the credit portfolio remained concentrated in Canada. In 2025, the percentage of loans net of Stage 3 allowances held in Canada was 69%, compared with 66% in the prior year. The largest Canadian regional exposure was in Ontario, which represented 41% of total loans net of Stage 3 allowances for 2025, compared with 39% in the prior year.

The remaining credit portfolio was predominantly in the U.S., which represented 30% of loans net of Stage 3 allowances, compared with 33% in the prior year. Exposures to other geographic regions were relatively small. The largest U.S. regional exposures were in New York and New England which represented 6% and 4% of total loans net of Stage 3 allowances, respectively, compared with 6% and 5%, respectively, in the prior year.

Under IFRS 9, *Financial Instruments* (IFRS 9), the Bank calculates allowances for expected credit losses (ECLs) on debt securities at amortized cost (DSAC) and debt securities at fair value through other comprehensive income (FVOCI). The Bank has \$363 billion in such debt securities of which \$363 billion are performing securities (Stage 1 and 2) and none are impaired. The allowance for credit losses on DSAC and debt securities at FVOCI was \$2 million and \$2 million, respectively.

TABLE 25 LOANS, NET OF STAGE 3 ALLOWANCE FOR LOAN LOSSES BY INDUSTRY SECTOR ^{1,2}						
(millions of Canadian dollars, except as noted)						
	October 31 2025		As at October 31 2024		Percentage of total October 31 2025	
	Gross loans	Stage 3 allowances for loan losses impaired	Net loans	Net loans		October 31 2024
Canada						
Residential mortgages	\$ 267,469	\$ 45	\$ 267,424	\$ 273,041	28.0%	28.6%
Consumer instalment and other personal						
HELOC ³	147,927	37	147,890	123,005	15.6	12.9
Indirect Auto	32,094	100	31,994	29,739	3.3	3.1
Other	21,032	51	20,981	19,837	2.2	2.1
Credit card	21,867	106	21,761	20,420	2.0	2.0
Total personal	490,389	339	490,050	466,042	51.1	48.7
Real estate						
Residential	28,802	1	28,801	27,867	3.0	2.9
Non-residential	27,781	11	27,770	25,937	2.9	2.7
Total real estate	56,583	12	56,571	53,804	5.9	5.6
Agriculture	12,770	6	12,764	11,211	1.3	1.2
Automotive	11,307	46	11,261	10,305	1.2	1.1
Financial	23,234	6	23,228	20,197	2.4	2.1
Food, beverage, and tobacco	3,429	13	3,416	3,291	0.4	0.3
Forestry	817	22	795	850	0.1	0.1
Government, public sector entities, and education	4,460	7	4,453	3,569	0.5	0.4
Health and social services	10,606	43	10,563	9,864	1.1	1.0
Industrial construction and trade contractors	6,120	27	6,093	6,164	0.6	0.6
Metals and mining	2,485	18	2,467	2,921	0.3	0.3
Oil and gas	2,605	4	2,601	2,254	0.3	0.2
Power and utilities	4,959	–	4,959	8,526	0.5	0.9
Professional and other services	5,649	30	5,619	5,690	0.6	0.6
Retail sector	5,225	61	5,164	4,954	0.5	0.5
Sundry manufacturing and wholesale	4,509	130	4,379	4,611	0.5	0.5
Telecommunications, cable, and media	1,558	6	1,552	5,319	0.2	0.6
Transportation	4,180	21	4,159	4,074	0.4	0.4
Other	6,962	17	6,945	5,799	0.7	0.6
Total business and government	167,458	469	166,989	163,403	17.5	17.0
Total Canada	\$ 657,847	\$ 808	\$ 657,039	\$ 629,445	68.6%	65.7%

¹ Primarily based on the geographic location of the customer's address.

² Includes loans that are measured at FVOCI.

³ Home equity line of credit.

TABLE 25 LOANS, NET OF STAGE 3 ALLOWANCE FOR LOAN LOSSES BY INDUSTRY SECTOR (continued) ^{1,2}

(millions of Canadian dollars, except as noted)

			As at		Percentage of total	
			October 31 2025	October 31 2024	October 31 2025	October 31 2024
	Gross loans	Stage 3 allowances for loan losses impaired	Net loans	Net loans		
United States						
Residential mortgages	\$ 47,594	\$ 35	\$ 47,559	\$ 58,548	5.0%	6.1%
Consumer instalment and other personal						
HELOC ³	12,481	22	12,459	11,503	1.3	1.3
Indirect Auto	44,225	58	44,167	42,923	4.6	4.5
Other	1,231	6	1,225	1,094	0.1	0.1
Credit card	19,789	354	19,435	19,835	2.0	2.1
Total personal	125,320	475	124,845	133,903	13.0	14.1
Real estate						
Residential	14,627	10	14,617	13,717	1.5	1.4
Non-residential	27,843	33	27,810	28,127	2.8	2.9
Total real estate	42,470	43	42,427	41,844	4.3	4.3
Agriculture	976	–	976	1,182	0.1	0.1
Automotive	3,593	11	3,582	13,119	0.4	1.4
Financial	27,414	–	27,414	25,418	2.9	2.7
Food, beverage, and tobacco	4,561	–	4,561	4,583	0.5	0.5
Forestry	661	16	645	573	0.1	0.1
Government, public sector entities, and education	18,050	1	18,049	17,390	1.8	1.8
Health and social services	14,574	5	14,569	15,246	1.5	1.6
Industrial construction and trade contractors	3,016	9	3,007	2,551	0.3	0.3
Metals and mining	2,072	1	2,071	1,906	0.2	0.2
Oil and gas	767	5	762	1,581	0.1	0.2
Power and utilities	7,007	70	6,937	6,355	0.7	0.7
Professional and other services	16,708	33	16,675	18,410	1.7	1.9
Retail sector	6,569	8	6,561	6,191	0.7	0.6
Sundry manufacturing and wholesale	8,499	4	8,495	9,690	0.9	1.0
Telecommunications, cable, and media	4,712	67	4,645	7,703	0.5	0.8
Transportation	3,372	21	3,351	5,045	0.3	0.5
Other	2,048	11	2,037	4,098	0.2	0.4
Total business and government	167,069	305	166,764	182,885	17.2	19.1
Total United States	292,389	780	291,609	316,788	30.2	33.2
International						
Personal	49	–	49	25	–	–
Business and government	11,704	–	11,704	10,073	1.2	1.1
Total international	11,753	–	11,753	10,098	1.2	1.1
Total	\$ 961,989	\$ 1,588	\$ 960,401	\$ 956,331	100.0%	100.0%
Stage 1 and Stage 2 allowance for loan losses – performing						
Personal, business and government			7,101	6,552		
Total, net of allowance			\$ 953,300	\$ 949,779		
Percentage change over previous year – loans, net of Stage 3 allowance for loan losses (impaired)			0.4%	3.9%		
Percentage change over previous year – loans, net of allowance			0.4	3.9		

¹ Primarily based on the geographic location of the customer's address.

² Includes loans that are measured at FVOCI.

³ Home equity line of credit.

TABLE 2 6 LOANS, NET OF STAGE 3 ALLOWANCE FOR LOAN LOSSES BY GEOGRAPHY ^{1,2}						
(millions of Canadian dollars, except as noted)						
			As at		Percentage of total	
			October 31 2025	October 31 2024	October 31 2025	October 31 2024
	Gross loans	Stage 3 allowances for loan losses impaired	Net loans	Net loans		
Canada						
Atlantic provinces	\$ 15,236	\$ 15	\$ 15,221	\$ 14,482	1.6%	1.5%
British Columbia ³	107,010	61	106,949	103,044	11.1	10.8
Ontario ³	396,616	598	396,018	374,859	41.3	39.2
Prairies ³	85,597	73	85,524	84,681	8.9	8.8
Québec	53,388	61	53,327	52,379	5.6	5.5
Total Canada	657,847	808	657,039	629,445	68.5	65.8
United States						
Carolinas (North and South)	17,460	27	17,433	17,922	1.8	1.9
Florida	29,127	56	29,071	27,792	3.0	2.9
New England ⁴	41,491	56	41,435	49,054	4.3	5.1
New Jersey	26,396	56	26,340	27,763	2.7	2.9
New York	59,260	154	59,106	59,327	6.2	6.2
Pennsylvania	16,667	22	16,645	17,495	1.7	1.8
Other ⁵	101,988	409	101,579	117,435	10.6	12.3
Total United States	292,389	780	291,609	316,788	30.3	33.1
International						
Europe	6,070	–	6,070	5,441	0.6	0.6
Other	5,683	–	5,683	4,657	0.6	0.5
Total international	11,753	–	11,753	10,098	1.2	1.1
Total excluding other loans	961,989	1,588	960,401	956,331	100.0	100.0
Total	\$ 961,989	\$ 1,588	\$ 960,401	\$ 956,331	100.0%	100.0%
Stage 1 and Stage 2 allowances			7,101	6,552		
Total, net of allowance			\$ 953,300	\$ 949,779		
Percentage change over previous year – loans, net of Stage 3 allowances for loan losses (impaired)			2025	2024		
Canada			4.4%	4.4%		
United States			(7.9)	3.3		
International			16.4	0.5		
Other loans			–	(100.0)		
Total			0.4%	3.9%		

¹ Primarily based on the geographic location of the customer's address.

² Includes loans that are measured at FVOCI.

³ The territories are included as follows: Yukon is included in British Columbia; Nunavut is included in Ontario; and Northwest Territories is included in the Prairies region.

⁴ The states included in New England are as follows: Connecticut, Maine, Massachusetts, New Hampshire, and Vermont.

⁵ Includes loans attributable to other states/regions including those outside TD's core U.S. geographic footprint.

REAL ESTATE SECURED LENDING

Retail real estate secured lending includes mortgages and lines of credit to North American consumers to satisfy financing needs including home purchases and refinancing. While the Bank retains first lien on the majority of properties held as security, there is a small portion of loans with second liens, but most of these are behind a TD mortgage or home equity line of credit that is in first position. In Canada, credit policies are designed so that the combined exposure of all uninsured facilities on one property does not exceed 80% of the collateral value at origination. Lending at a higher loan-to-value ratio is permitted by legislation but requires default insurance. This insurance is contractual coverage for the life of eligible facilities and protects the Bank's real estate secured lending portfolio against potential losses caused by borrowers' default. The Bank may also purchase default insurance on lower loan-to-value

ratio loans. The insurance is provided by either government-backed entities or approved private mortgage insurers. In the U.S., for residential mortgage originations, mortgage insurance is usually obtained from either government-backed entities or approved private mortgage insurers when the loan-to-value exceeds 80% of the collateral value at origination.

The Bank regularly performs stress tests on its real estate lending portfolio as part of its overall stress testing program. This is done with a view to determine the extent to which the portfolio would be vulnerable to a severe downturn in economic conditions. The effect of severe changes in house prices, interest rates, and unemployment levels are among the factors considered when assessing the impact on credit losses and the Bank's overall profitability. A variety of portfolio segments, including dwelling type and geographical regions, are examined during the exercise to determine whether specific vulnerabilities exist.

TABLE 27 CANADIAN REAL ESTATE SECURED LENDING^{1,2}

(millions of Canadian dollars)

(millions of Canadian dollars)					As at
			Amortizing	Non-amortizing	Total
	Residential Mortgages	Home equity lines of credit	Total amortizing real estate secured lending	Home equity lines of credit	
	October 31, 2025				
Total	\$ 267,469	\$ 110,829	\$ 378,298	\$ 37,098	\$ 415,396
	October 31, 2024				
Total	\$ 273,069	\$ 89,369	\$ 362,438	\$ 33,667	\$ 396,105

¹ Excludes loans classified as trading as the Bank intends to sell the loans immediately or in the near term, and loans designated at FVTPL for which no allowance is recorded.

² Amortizing includes loans where the fixed contractual payments are no longer sufficient to cover the interest based on the rates in effect at October 31, 2025 and October 31, 2024, respectively.

TABLE 28 REAL ESTATE SECURED LENDING^{1,2}

(millions of Canadian dollars, except as noted)

(millions of Canadian dollars, except as noted)												As at
	Residential mortgages				Home equity lines of credit				Total			
	Insured ³		Uninsured		Insured ³		Uninsured		Insured ³		Uninsured	
October 31, 2025												
Canada												
Atlantic provinces	\$ 2,377	0.9%	\$ 5,038	1.9%	\$ 139	0.1%	\$ 2,833	1.9%	\$ 2,516	0.6%	\$ 7,871	1.9%
British Columbia ⁴	7,849	2.9	47,101	17.6	708	0.5	28,551	19.3	8,557	2.1	75,652	18.2
Ontario ⁴	21,505	8.1	124,702	46.6	2,412	1.6	80,826	54.7	23,917	5.7	205,528	49.5
Prairies ⁴	16,350	6.1	22,746	8.5	1,320	0.9	15,738	10.6	17,670	4.3	38,484	9.3
Québec	5,933	2.2	13,868	5.2	433	0.3	14,967	10.1	6,366	1.5	28,835	6.9
Total Canada	54,014	20.2%	213,455	79.8%	5,012	3.4%	142,915	96.6%	59,026	14.2%	356,370	85.8%
United States	1,544		46,050		–		12,481		1,544		58,531	
Total	\$ 55,558		\$259,505		\$ 5,012		\$155,396		\$ 60,570		\$414,901	
October 31, 2024												
Canada												
Atlantic provinces	\$ 2,445	0.9%	\$ 4,753	1.7%	\$ 158	0.1%	\$ 2,207	1.8%	\$ 2,603	0.7%	\$ 6,960	1.8%
British Columbia ⁴	8,311	3.0	48,362	17.7	804	0.7	22,840	18.6	9,115	2.3	71,202	18.0
Ontario ⁴	21,943	8.1	126,294	46.3	2,734	2.2	67,567	54.9	24,677	6.2	193,861	48.9
Prairies ⁴	17,685	6.5	22,120	8.1	1,499	1.2	12,459	10.1	19,184	4.8	34,579	8.7
Québec	6,616	2.4	14,540	5.3	509	0.4	12,259	10.0	7,125	1.8	26,799	6.8
Total Canada	57,000	20.9%	216,069	79.1%	5,704	4.6%	117,332	95.4%	62,704	15.8%	333,401	84.2%
United States	1,517		57,063		–		11,525		1,517		68,588	
Total	\$ 58,517		\$273,132		\$ 5,704		\$128,857		\$ 64,221		\$401,989	

¹ Geographic location is based on the address of the property mortgaged.

² Excludes loans classified as trading as the Bank intends to sell the loans immediately or in the near term, and loans designated at FVTPL for which no allowance is recorded.

³ Default insurance is contractual coverage for the life of eligible facilities whereby the Bank's exposure to real estate secured lending, all or in part, is protected against potential losses caused by borrower default. It is provided by either government-backed entities or other approved private mortgage insurers.

⁴ The territories are included as follows: Yukon is included in British Columbia; Nunavut is included in Ontario; and the Northwest Territories is included in the Prairies region.

The following table provides a summary of the period over which the Bank's residential mortgages would be fully repaid based on the amount of the most recent payment received. All figures are calculated based on current customer payment amounts, including voluntary payments larger than the original contractual amounts and/or other voluntary prepayments. The most recent customer payment amount may exceed the original contractual amount due.

Balances with a remaining amortization longer than 30 years primarily reflect Canadian variable rate mortgages where prior interest rate increases relative to current customer payment levels have resulted in a longer current amortization period. At renewal, the amortization period for Canadian mortgages reverts to the remaining contractual amortization, which may require increased payments.

TABLE 29 RESIDENTIAL MORTGAGES BY REMAINING AMORTIZATION ^{1,2,3}									
	As at								
	<=5 years	>5 – 10 years	>10 – 15 years	>15 – 20 years	>20 – 25 years	>25 – 30 years	>30 – 35 years	>35 years	Total
	October 31, 2025								
Canada	0.8%	2.9%	8.3%	20.0%	31.9%	30.2%	1.2%	4.7%	100.0%
United States	2.6	1.6	3.5	9.0	24.1	57.8	0.8	0.6	100.0
Total	1.1%	2.7%	7.5%	18.3%	30.8%	34.5%	1.1%	4.0%	100.0%
	October 31, 2024								
Canada	0.8%	2.7%	6.4%	16.8%	33.3%	28.9%	2.4%	8.7%	100.0%
United States	2.3	1.3	3.4	7.6	14.2	70.2	0.5	0.5	100.0
Total	1.0%	2.5%	5.9%	15.1%	29.9%	36.2%	2.1%	7.3%	100.0%

¹ Excludes loans classified as trading as the Bank intends to sell the loans immediately or in the near term, and loans designated at FVTPL for which no allowance is recorded.

² Percentage based on outstanding balance.

³ A de minimis portion of the mortgage portfolio in Canada (October 31, 2024: \$15.6 billion or 6%) relates to mortgages in which the fixed contractual payments are no longer sufficient to cover the interest based on the rates in effect at October 31, 2025 and October 31, 2024, respectively.

TABLE 30 UNINSURED AVERAGE LOAN-TO-VALUE – Newly Originated and Newly Acquired ^{1,2,3}						
	For the 12 months ended					
	October 31, 2025			October 31, 2024		
	Residential mortgages	Home equity lines of credit ^{4,5}	Total	Residential mortgages	Home equity lines of credit ^{4,5}	Total
Canada						
Atlantic provinces	69%	69%	69%	69%	67%	68%
British Columbia ⁶	66	65	66	66	61	64
Ontario ⁶	68	66	67	67	61	64
Prairies ⁶	73	72	72	73	69	71
Québec	69	70	70	69	68	69
Total Canada	68	67	68	68	63	66
United States	70	59	66	73	61	68
Total	69%	67%	67%	69%	63%	66%

¹ Geographic location is based on the address of the property mortgaged.

² Excludes loans classified as trading as the Bank intends to sell the loans immediately or in the near term, and loans designated at FVTPL for which no allowance is recorded.

³ Based on house price at origination.

⁴ HELOC loan-to-value includes first position collateral mortgage if applicable.

⁵ HELOC fixed rate advantage option is included in loan-to-value calculation.

⁶ The territories are included as follows: Yukon is included in British Columbia; Nunavut is included in Ontario; and the Northwest Territories is included in the Prairies region.

SOVEREIGN RISK

The following table provides a summary of the Bank's direct credit exposures outside of Canada and the U.S. (Europe excludes United Kingdom).

TABLE 3.1		TOTAL NET EXPOSURE BY REGION AND COUNTERPARTY											
(millions of Canadian dollars)													As at
Region	Loans and commitments ¹				Derivatives, repos, and securities lending ²				Trading and investment portfolio ³				Total Exposure ⁴
	Corporate	Sovereign	Financial	Total	Corporate	Sovereign	Financial	Total	Corporate	Sovereign	Financial	Total	
October 31, 2025													
Europe	\$ 8,895	\$ 8	\$ 5,019	\$ 13,922	\$ 5,331	\$ 1,359	\$ 9,647	\$ 16,337	\$ 1,116	\$ 25,876	\$ 1,982	\$ 28,974	\$ 59,233
United Kingdom	6,731	2,577	2,483	11,791	3,199	1,537	12,237	16,973	270	176	661	1,107	29,871
Asia	182	23	2,527	2,732	241	538	3,795	4,574	138	8,346	1,829	10,313	17,619
Other ⁵	227	–	690	917	705	410	2,353	3,468	110	216	1,967	2,293	6,678
Total	\$ 16,035	\$ 2,608	\$ 10,719	\$ 29,362	\$ 9,476	\$ 3,844	\$ 28,032	\$ 41,352	\$ 1,634	\$ 34,614	\$ 6,439	\$ 42,687	\$ 113,401
October 31, 2024													
Europe	\$ 8,490	\$ 8	\$ 5,050	\$ 13,548	\$ 4,847	\$ 2,117	\$ 8,145	\$ 15,109	\$ 1,157	\$ 24,124	\$ 2,660	\$ 27,941	\$ 56,598
United Kingdom	8,462	3,124	2,661	14,247	3,490	1,172	13,536	18,198	866	1,691	1,104	3,661	36,106
Asia	241	30	2,412	2,683	519	533	2,739	3,791	290	10,486	893	11,669	18,143
Other ⁵	209	–	598	807	370	416	2,481	3,267	218	1,012	3,187	4,417	8,491
Total	\$ 17,402	\$ 3,162	\$ 10,721	\$ 31,285	\$ 9,226	\$ 4,238	\$ 26,901	\$ 40,365	\$ 2,531	\$ 37,313	\$ 7,844	\$ 47,688	\$ 119,338

¹ Exposures, including interest-bearing deposits with banks, are presented net of impairment charges where applicable.

² Exposures are calculated on a fair value basis and presented net of collateral. Derivatives are presented as net exposures where there is an International Swaps and Derivatives Association master netting agreement.

³ Trading exposures are net of eligible short positions.

⁴ In addition to the exposures identified above, the Bank also has \$30.3 billion (October 31, 2024 – \$35.5 billion) of exposure to supranational entities.

⁵ Other regional exposure largely attributable to Australia.

IMPAIRED LOANS

A loan is considered impaired and migrates to Stage 3 when it is 90 days or more past due for retail exposures, rated borrower risk rating (BRR) 9 for non-retail exposures, or when there is objective evidence that there has been a deterioration of credit quality to the extent that the Bank no longer has reasonable assurance as to the timely collection of the full amount of principal and interest. Gross impaired loans increased \$471 million, or 10%, compared with the prior year.

In Canada, impaired loans net of Stage 3 allowances increased by \$38 million, or 3% in 2025. Residential mortgages, consumer instalment and other personal loans, and credit cards, had net impaired loans of \$649 million, an increase of \$137 million, or 27%, compared with the prior year, reflecting credit migration. Business and government impaired loans net of Stage 3 allowances were \$523 million, a decrease of \$99 million, compared with \$622 million in the prior year, reflecting a decrease in the Canadian Commercial lending portfolio as resolutions outpaced new formations.

In the U.S., impaired loans net of Stage 3 allowances increased by \$409 million, or 18% in 2025. Residential mortgages, consumer instalment and other personal loans, and credit cards, had net impaired loans of \$1,157 million, an increase of \$39 million, or 3%, compared with the prior year, reflecting credit migration. Business and government net impaired loans were \$1,500 million, an increase of \$370 million, compared with \$1,130 million in the prior year, reflecting an increase in the Wholesale Banking and U.S. Commercial lending portfolios as new formations outpaced resolutions, and the impact of foreign exchange.

Geographically, 31% of total net impaired loans were located in Canada and 69% in the U.S. The largest regional concentration of net impaired loans in Canada was in Ontario, representing 22% of total net impaired loans, compared with 24% in the prior year. The largest regional concentration of net impaired loans in the U.S. was in New York, representing 30% of total net impaired loans, compared with 23% in the prior year.

TABLE 3 2 CHANGES IN GROSS IMPAIRED LOANS ¹		
(millions of Canadian dollars)		
	2025	2024
Personal, Business and Government Loans		
Impaired loans as at beginning of period	\$ 4,949	\$ 3,299
Classified as impaired during the period	9,073	8,655
Transferred to performing during the period	(1,438)	(1,094)
Net repayments	(2,388)	(1,801)
Disposals of loans	(65)	(158)
Amounts written off	(4,725)	(3,984)
Exchange and other movements	14	32
Impaired loans as at end of year	\$ 5,420	\$ 4,949

¹ Includes loans that are measured at FVOCI.

TABLE 3 3 IMPAIRED LOANS NET OF STAGE 3 ALLOWANCE FOR LOAN LOSSES BY INDUSTRY SECTOR ^{1,2,3}						
(millions of Canadian dollars, except as noted)				As at	Percentage of total	
	October 31 2025	October 31 2024			October 31 2025	October 31 2024
	Gross impaired loans	Stage 3 allowances for loan losses impaired	Net impaired loans	Net impaired loans		
Canada						
Residential mortgages	\$ 410	\$ 45	\$ 365	\$ 247	9.5%	7.2%
Consumer instalment and other personal						
HELOC	206	37	169	154	4.4	4.5
Indirect auto	128	100	28	34	0.8	1.0
Other	74	51	23	24	0.6	0.7
Credit card ⁴	170	106	64	53	1.7	1.6
Total personal	988	339	649	512	17.0	15.0
Real estate						
Residential	5	1	4	46	0.1	1.4
Non-residential	60	11	49	75	1.3	2.2
Total real estate	65	12	53	121	1.4	3.6
Agriculture	31	6	25	49	0.7	1.5
Automotive	128	46	82	76	2.1	2.2
Financial	7	6	1	11	–	0.3
Food, beverage, and tobacco	20	13	7	30	0.2	0.9
Forestry	39	22	17	7	0.4	0.2
Government, public sector entities, and education	11	7	4	4	0.1	0.1
Health and social services	83	43	40	80	1.0	2.4
Industrial construction and trade contractors	56	27	29	27	0.8	0.8
Metals and mining	58	18	40	8	1.0	0.2
Oil and gas	4	4	–	–	–	–
Power and utilities	–	–	–	–	–	–
Professional and other services	58	30	28	31	0.8	0.9
Retail sector	124	61	63	78	1.6	2.3
Sundry manufacturing and wholesale	206	130	76	63	2.0	1.8
Telecommunications, cable, and media	7	6	1	4	–	0.1
Transportation	49	21	28	20	0.7	0.6
Other	46	17	29	13	0.8	0.4
Total business and government	992	469	523	622	13.6	18.3
Total Canada	\$ 1,980	\$ 808	\$ 1,172	\$ 1,134	30.6%	33.3%

¹ Primarily based on the geographic location of the customer's address.

² Includes loans that are measured at FVOCI.

³ Excludes, debt securities classified as loans under IAS 39, *Financial Instruments: Recognition and Measurement* and DSAC and debt securities at FVOCI under IFRS 9.

⁴ Credit cards are considered impaired when they are 90 days past due and written off at 180 days past due.

TABLE 33 IMPAIRED LOANS NET OF STAGE 3 ALLOWANCE FOR LOAN LOSSES BY INDUSTRY SECTOR (continued)^{1,2,3}

(millions of Canadian dollars, except as noted)

			As at		Percentage of total	
			October 31 2025	October 31 2024	October 31 2025	October 31 2024
	Gross impaired loans	Stage 3 allowances for loan losses impaired	Net impaired loans	Net impaired loans		
United States						
Residential mortgages	\$ 568	\$ 35	\$ 533	\$ 458	13.9%	13.5%
Consumer instalment and other personal						
HELOC	302	22	280	260	7.3	7.6
Indirect auto	349	58	291	251	7.6	7.4
Other	15	6	9	5	0.2	0.1
Credit card ⁴	398	354	44	144	1.1	4.2
Total personal	1,632	475	1,157	1,118	30.1	32.8
Real estate						
Residential	178	10	168	191	4.4	5.6
Non-residential	574	33	541	384	14.1	11.3
Total real estate	752	43	709	575	18.5	16.9
Agriculture	2	–	2	2	0.1	0.1
Automotive	18	11	7	4	0.2	0.1
Financial	1	–	1	1	–	–
Food, beverage, and tobacco	10	–	10	10	0.3	0.3
Forestry	28	16	12	–	0.3	–
Government, public sector entities, and education	50	1	49	47	1.3	1.4
Health and social services	47	5	42	49	1.1	1.4
Industrial construction and trade contractors	40	9	31	34	0.8	1.0
Metals and mining	6	1	5	2	0.1	0.1
Oil and gas	5	5	–	–	–	–
Power and utilities	98	70	28	31	0.7	0.9
Professional and other services	191	33	158	141	4.1	4.1
Retail sector	65	8	57	46	1.5	1.3
Sundry manufacturing and wholesale	50	4	46	42	1.2	1.2
Telecommunications, cable, and media	350	67	283	105	7.4	3.1
Transportation	64	21	43	12	1.1	0.4
Other	28	11	17	29	0.5	0.9
Total business and government	1,805	305	1,500	1,130	39.2	33.2
Total United States	3,437	780	2,657	2,248	69.3	66.0
International	3	–	3	25	0.1	0.7
Total	\$ 5,420	\$ 1,588	\$ 3,832	\$ 3,407	100.0%	100.0%
Net impaired loans as a % of common equity			3.30%	3.27%		

¹ Primarily based on the geographic location of the customer's address.

² Includes loans that are measured at FVOCI.

³ Excludes, debt securities classified as loans under IAS 39, *Financial Instruments: Recognition and Measurement* and DSAC and debt securities at FVOCI under IFRS 9.

⁴ Credit cards are considered impaired when they are 90 days past due and written off at 180 days past due.

TABLE 3.4 IMPAIRED LOANS NET OF STAGE 3 ALLOWANCE FOR LOAN LOSSES BY GEOGRAPHY^{1,2,3}

(millions of Canadian dollars, except as noted)

	As at				Percentage of total	
	October 31 2025		October 31 2024		October 31 2025	October 31 2024
	Gross impaired loans	Stage 3 allowances for loan losses impaired	Net impaired loans	Net impaired loans		
Canada						
Atlantic provinces	\$ 38	\$ 15	\$ 23	\$ 21	0.6%	0.6%
British Columbia ⁴	193	61	132	130	3.5	3.8
Ontario ⁴	1,421	598	823	801	21.5	23.5
Prairies ⁴	186	73	113	136	2.9	4.0
Québec	142	61	81	46	2.1	1.4
Total Canada	1,980	808	1,172	1,134	30.6	33.3
United States						
Carolinas (North and South)	131	27	104	101	2.7	3.0
Florida	271	56	215	242	5.6	7.1
New England ⁵	329	56	273	232	7.1	6.8
New Jersey	320	56	264	260	6.9	7.6
New York	1,285	154	1,131	770	29.5	22.6
Pennsylvania	133	22	111	123	2.9	3.6
Other	968	409	559	520	14.6	15.3
Total United States	3,437	780	2,657	2,248	69.3	66.0
Total International	3	–	3	25	0.1	0.7
Total	\$ 5,420	\$ 1,588	\$ 3,832	\$ 3,407	100.0%	100.0%
Net impaired loans as a % of net loans			0.40%	0.36%		

¹ Primarily based on the geographic location of the customer's address.

² Includes loans that are measured at FVOCI.

³ Credit cards are considered impaired when they are 90 days past due and written off at 180 days past due.

⁴ The territories are included as follows: Yukon is included in British Columbia; Nunavut is included in Ontario; and the Northwest Territories is included in the Prairies region.

⁵ The states included in New England are as follows: Connecticut, Maine, Massachusetts, New Hampshire, and Vermont.

ALLOWANCE FOR CREDIT LOSSES

The allowance for credit losses including off-balance sheet positions of \$9,745 million as at October 31, 2025, was comprised of Stage 3 allowance for impaired loans of \$1,604 million, Stage 2 allowance of \$4,928 million, and Stage 1 allowance of \$3,209 million, and allowance for debt securities of \$4 million. The Stage 1 and 2 allowances are for performing loans and off-balance sheet instruments.

Stage 3 allowances (impaired)

The Stage 3 allowance for loan losses increased \$51 million, or 3%, compared with last year, largely reflected in the consumer lending portfolios, and the impact of foreign exchange.

Stage 1 and Stage 2 allowances (performing)

As at October 31, 2025, the performing allowance was \$8,137 million, up from \$7,584 million as at October 31, 2024. The increase this year largely reflected credit impacts from policy and trade uncertainty, credit conditions, including credit migration, and the impact of foreign exchange. The performing allowance for debt securities is flat compared with last year.

Forward-looking information, including macroeconomic variables deemed to be predictive of ECLs based on the Bank's experience, is used to determine ECL scenarios and associated probability weights to determine the probability-weighted ECLs. Each quarter, all base forecast macroeconomic variables are refreshed, resulting in new upside and downside macroeconomic scenarios. The probability weightings assigned to each ECL scenario are also reviewed each quarter and updated as required, as part of the Bank's ECL governance process. As a result of periodic reviews and quarterly updates, the allowance for credit losses may be revised to reflect updates in loss estimates based on the Bank's recent loss experience and its forward-looking views. The Bank periodically reviews the methodology and has performed certain additional quantitative and qualitative portfolio and loan level assessments of significant increase in credit risk. Refer to Note 3 of the Bank's 2025 Consolidated Financial Statements for further details on forward-looking information.

The probability-weighted allowance for credit losses reflects the Bank's forward-looking views. To the extent that certain anticipated effects cannot be fully incorporated into quantitative models, management continues to exercise expert credit judgment in determining the amount of ECLs, including for risks related to elevated uncertainty associated with policy and trade, and such adjustments will be updated as appropriate in future periods as additional information becomes available. Refer to Note 3 of the Bank's 2025 Consolidated Financial Statements for additional detail.

PROVISION FOR CREDIT LOSSES

The PCL is the amount charged to income to bring the total allowance for credit losses, including both Stage 1 and 2 allowances (performing) and Stage 3 allowance (impaired), to a level that management considers adequate to absorb expected and incurred credit-related losses in the Bank's loan portfolio. Provisions are reduced by any recoveries in the year.

In Canada, PCL – impaired related to residential mortgages, consumer instalment and other personal loans, and credit card loans was \$1,353 million, an increase of \$195 million, or 17%, compared to 2024 reflecting credit migration. PCL – impaired related to business and government loans was \$344 million, a decrease of \$101 million, compared to \$445 million in the prior year, reflecting lower impairments.

In the U.S., PCL – impaired related to residential mortgages, consumer instalment and other personal loans, and credit card loans was \$1,698 million, a decrease of \$14 million, or 1%, compared to 2024. PCL – impaired related to business and government loans was \$597 million, an increase of \$140 million, compared to \$457 million in the prior year, largely reflecting credit migration and the impact of foreign exchange.

Geographically, the largest regional concentration of PCL – impaired in Canada was in Ontario, consistent with the prior year. The largest regional concentration of PCL – impaired in the U.S. was in New York, consistent with the prior year.

The following table provides a summary of provisions charged to the Consolidated Statement of Income.

TABLE 3 5 PROVISION FOR CREDIT LOSSES ¹		
(millions of Canadian dollars)	2025	2024
Provision for credit losses – Stage 3 (impaired)		
Canadian Personal and Commercial Banking	\$ 1,710	\$ 1,555
U.S. Retail	1,499	1,437
Wholesale Banking	185	247
Corporate ²	615	638
Total provision for (recovery of) credit losses – Stage 3	4,009	3,877
Provision for credit losses – Stage 1 and Stage 2 (performing)		
Canadian Personal and Commercial Banking	433	200
U.S. Retail	15	95
Wholesale Banking	105	70
Corporate ²	(56)	11
Total provision for (recovery of) credit losses – Stage 1 and 2	497	376
Total Provision for (recovery of) credit losses	\$ 4,506	\$ 4,253

¹ Includes PCL for off-balance sheet instruments.

² Includes PCL on the retailer program partners' share of the U.S. strategic cards portfolio.

TABLE 3 6 PROVISION FOR CREDIT LOSSES BY INDUSTRY SECTOR ^{1,2}				
(millions of Canadian dollars, except as noted)	For the years ended		Percentage of total	
	October 31 2025	October 31 2024	October 31 2025	October 31 2024
Stage 3 provision for credit losses (impaired)				
Canada				
Residential mortgages	\$ 21	\$ 9	0.5%	0.2%
Consumer instalment and other personal				
HELOC	9	7	0.2	0.2
Indirect auto	440	396	11.0	10.2
Other	279	244	7.0	6.3
Credit card	604	502	15.0	12.9
Total personal	1,353	1,158	33.7	29.8
Real estate				
Residential	5	2	0.1	–
Non-residential	(1)	19	–	0.5
Total real estate	4	21	0.1	0.5
Agriculture	1	7	–	0.2
Automotive	50	69	1.2	1.8
Financial	(16)	37	(0.4)	1.0
Food, beverage, and tobacco	56	81	1.4	2.1
Forestry	12	3	0.3	0.1
Government, public sector entities, and education	1	–	–	–
Health and social services	7	18	0.2	0.4
Industrial construction and trade contractors	32	24	0.8	0.6
Metals and mining	9	4	0.2	0.1
Oil and gas	–	–	–	–
Power and utilities	–	–	–	–
Professional and other services	16	30	0.4	0.8
Retail sector	35	44	0.9	1.1
Sundry manufacturing and wholesale	79	63	2.0	1.6
Telecommunications, cable, and media	3	3	0.1	0.1
Transportation	43	31	1.1	0.8
Other	12	10	0.3	0.3
Total business and government	344	445	8.6	11.5
Total Canada	\$ 1,697	\$ 1,603	42.3%	41.3%

¹ Primarily based on the geographic location of the customer's address.

² Includes loans that are measured at FVOCI.

TABLE 3 6		PROVISION FOR CREDIT LOSSES BY INDUSTRY SECTOR (continued) ^{1,2}			
(millions of Canadian dollars, except as noted)		For the years ended		Percentage of total	
		October 31 2025	October 31 2024	October 31 2025	October 31 2024
United States					
Residential mortgages	\$	3	\$ (2)	0.1%	(0.1)%
Consumer instalment and other personal					
HELOC		(1)	3	–	0.1
Indirect auto		351	355	8.7	9.2
Other		183	233	4.6	6.0
Credit card		1,162	1,123	29.0	29.0
Total personal		1,698	1,712	42.4	44.2
Real estate					
Residential		56	13	1.4	0.3
Non-residential		41	89	1.0	2.3
Total real estate		97	102	2.4	2.6
Agriculture		2	1	0.1	–
Automotive		16	4	0.4	0.1
Financial		–	1	–	–
Food, beverage, and tobacco		6	10	0.1	0.3
Forestry		3	–	0.1	–
Government, public sector entities, and education		5	17	0.1	0.5
Health and social services		5	6	0.1	0.2
Industrial construction and trade contractors		64	18	1.6	0.5
Metals and mining		–	–	–	–
Oil and gas		–	–	–	–
Power and utilities		7	65	0.2	1.7
Professional and other services		43	47	1.1	1.2
Retail sector		67	29	1.7	0.7
Sundry manufacturing and wholesale		5	39	0.1	1.0
Telecommunications, cable, and media		160	53	4.0	1.4
Transportation		33	9	0.8	0.2
Other		84	56	2.1	1.4
Total business and government		597	457	14.9	11.8
Total United States		2,295	2,169	57.3	56.0
International		17	105	0.4	2.7
Total Stage 3 provision for credit losses (impaired)		\$ 4,009	\$ 3,877	100.0%	100.0%
Stage 1 and 2 provision for credit losses					
Personal, business, and government	\$	496	\$ 376		
Debt securities at amortized cost and FVOCI		1	–		
Total Stage 1 and 2 provision for credit losses		497	376		
Total provision for credit losses		\$ 4,506	\$ 4,253		

¹ Primarily based on the geographic location of the customer's address.

² Includes loans that are measured at FVOCI.

TABLE 37 PROVISION FOR CREDIT LOSSES BY GEOGRAPHY^{1,2}

(millions of Canadian dollars, except as noted)

	For the years ended		Percentage of total	
	October 31 2025	October 31 2024	October 31 2025	October 31 2024
Canada				
Atlantic provinces	\$ 72	\$ 63	1.6%	1.5%
British Columbia ³	204	186	4.5	4.4
Ontario ³	940	938	20.9	22.0
Prairies ³	305	276	6.8	6.5
Québec	176	140	3.9	3.3
Total Canada	1,697	1,603	37.7	37.7
United States				
Carolinas (North and South)	96	93	2.1	2.2
Florida	187	242	4.2	5.7
New England ⁴	199	186	4.4	4.4
New Jersey	160	158	3.6	3.7
New York	391	328	8.7	7.7
Pennsylvania	101	79	2.1	1.8
Other ⁵	1,161	1,083	25.8	25.5
Total United States	2,295	2,169	50.9	51.0
International	17	105	0.4	2.5
Total Stage 3 provision for credit losses (impaired)	4,009	3,877	89.0	91.2
Stage 1 and 2 provision for credit losses	497	376	11.0	8.8
Total provision for credit losses	\$ 4,506	\$ 4,253	100.0%	100.0%
	October 31 2025	October 31 2024		
Provision for credit losses as a % of average net loans⁵				
Canada				
Residential mortgages	0.01%	—%		
Credit card, consumer instalment and other personal	0.66	0.62		
Business and government	0.19	0.25		
Total Canada	0.26	0.25		
United States				
Residential mortgages	0.01	—		
Credit card, consumer instalment and other personal	2.28	2.43		
Business and government	0.36	0.28		
Total United States	0.79	0.75		
International	0.38	2.49		
Total Stage 3 provision for credit losses (impaired)	0.42	0.42		
Stage 1 and 2 provision for credit losses	0.05	0.04		
Total provision for credit losses as a % of average net loans	0.47%	0.46%		

¹ Primarily based on the geographic location of the customer's address.

² Includes loans that are measured at FVOCI.

³ The territories are included as follows: Yukon is included in British Columbia; Nunavut is included in Ontario; and Northwest Territories is included in the Prairies region.

⁴ The states included in New England are as follows: Connecticut, Maine, Massachusetts, New Hampshire, and Vermont.

⁵ Includes PCL attributable to other states/regions including those outside TD's core U.S. geographic footprint.

GROUP FINANCIAL CONDITION

Capital Position

TABLE 3 8 CAPITAL STRUCTURE AND RATIOS – Basel III		
(millions of Canadian dollars, except as noted)		
	2025	2024
Common Equity Tier 1 Capital		
Common shares plus related contributed surplus	\$ 25,010	\$ 25,543
Retained earnings	78,320	70,826
Accumulated other comprehensive income	12,874	7,904
Common Equity Tier 1 Capital before regulatory adjustments	116,204	104,273
Common Equity Tier 1 Capital regulatory adjustments		
Prudential valuation adjustments	(165)	–
Goodwill (net of related tax liability)	(18,753)	(18,645)
Intangibles (net of related tax liability)	(3,316)	(2,921)
Deferred tax assets excluding those arising from temporary differences	(202)	(212)
Cash flow hedge reserve	867	3,015
Shortfall of provisions to expected losses	–	–
Gains and losses due to changes in own credit risk on fair valued liabilities	(166)	(193)
Defined benefit pension fund net assets (net of related tax liability)	(811)	(731)
Investment in own shares	(9)	(21)
Non-significant investments in the capital of banking, financial, and insurance entities, net of eligible short positions (amount above 10% threshold)	–	(1,835)
Significant investments in the common stock of banking, financial, and insurance entities that are outside the scope of regulatory consolidation, net of eligible short positions (amount above 10% threshold)	–	–
Equity investments in funds subject to the fall-back approach	(90)	(32)
Other deductions or regulatory adjustments to CET1 as determined by OSFI	20	16
Total regulatory adjustments to Common Equity Tier 1 Capital	(22,625)	(21,559)
Common Equity Tier 1 Capital	93,579	82,714
Additional Tier 1 Capital instruments		
Directly issued qualifying Additional Tier 1 instruments plus stock surplus	11,623	10,887
Additional Tier 1 Capital instruments before regulatory adjustments	11,623	10,887
Additional Tier 1 Capital instruments regulatory adjustments		
Non-significant investments in the capital of banking, financial, and insurance entities, net of eligible short positions (amount above 10% threshold)	–	(3)
Significant investments in the capital of banking, financial, and insurance entities that are outside the scope of regulatory consolidation, net of eligible short positions	(700)	(350)
Total regulatory adjustments to Additional Tier 1 Capital	(700)	(353)
Additional Tier 1 Capital	10,923	10,534
Tier 1 Capital	104,502	93,248
Tier 2 Capital instruments and provisions		
Directly issued qualifying Tier 2 instruments plus related stock surplus	10,733	11,273
Collective allowances	1,661	1,512
Tier 2 Capital before regulatory adjustments	12,394	12,785
Tier 2 regulatory adjustments		
Investment in own Tier 2 instruments	–	–
Non-significant investments in the capital of banking, financial, and insurance entities, net of eligible short positions (amount above 10% threshold) ¹	–	(224)
Non-significant investments in the other TLAC-eligible instruments issued by G-SIBs and Canadian D-SIBs, where the institution does not own more than 10% of the issued common share capital of the entity: amount previously designated for the 5% threshold but that no longer meets the conditions	(30)	(64)
Significant investments in the capital of banking, financial, and insurance entities that are outside the scope of regulatory consolidation, net of eligible short positions	–	–
Total regulatory adjustments to Tier 2 Capital	(30)	(288)
Tier 2 Capital	12,364	12,497
Total Capital	\$ 116,866	\$ 105,745
Risk-weighted assets	\$ 636,424	\$ 630,900
Capital Ratios and Multiples		
Common Equity Tier 1 Capital (as percentage of risk-weighted assets)	14.7%	13.1%
Tier 1 Capital (as percentage of risk-weighted assets)	16.4	14.8
Total Capital (as percentage of risk-weighted assets)	18.4	16.8
Leverage ratio ²	4.6	4.2

¹ Includes other TLAC-eligible instruments issued by global systemically important banks (G-SIBs) and Canadian domestic systemically important banks (D-SIBs) that are outside the scope of regulatory consolidation, where the institution does not own more than 10% of the issued common share capital of the entity.

² The Leverage ratio is calculated as Tier 1 Capital divided by leverage exposure, as defined in the "Regulatory Capital" section of this document.

THE BANK'S CAPITAL MANAGEMENT OBJECTIVES

The Bank's capital management objectives are:

- To maintain an adequate level of capital based on the Bank's risk profile as determined by:
 - the Bank's Risk Appetite Statement (RAS);
 - capital requirements defined by relevant regulatory authorities; and
 - the Bank's internal assessment of capital requirements, including stress test analysis, consistent with the Bank's risk profile and risk tolerance levels.
- Manage capital levels, in order to:
 - insulate the Bank from unexpected loss events;
 - maintain stakeholder confidence in the Bank;
 - establish that the Bank has adequate capital under a severe but plausible stress event; and
 - facilitate business growth and/or strategic deployment consistent with the Bank's strategy and risk appetite.
- To have the most economic weighted-average cost of capital achievable, while preserving the appropriate mix of capital instruments to meet targeted capitalization levels and provide a satisfactory return on shareholders' equity.
- To support strong external debt ratings, in order to manage the Bank's overall cost of funds and to maintain access to required funding (in the event of unexpected loss or business growth).
- To maintain a robust capital planning process and framework to support capital funding decisions such as issuances, redemptions and distributions which in turn support the Bank's capital adequacy.

These objectives are applied in a manner consistent with the Bank's overall objective of providing a satisfactory return on shareholders' equity.

CAPITAL SOURCES

The Bank's capital is primarily derived from common shareholders and retained earnings. Other sources of capital include the Bank's preferred shareholders, limited recourse capital noteholders, perpetual subordinated capital noteholders, and holders of the Bank's subordinated debt.

CAPITAL MANAGEMENT

The Treasury and Balance Sheet Management (TBSM) group manages capital for the Bank and is responsible for forecasting and monitoring compliance with capital targets, recommending capital management actions, managing the internal capital adequacy assessment process (ICAAP), and developing and maintaining capital management policies. Oversight of capital management is provided by Risk Management and the Asset Liability and Capital Committee (ALCO). The Board of Directors (the Board) is ultimately responsible for oversight of capital adequacy risk management.

The Bank continues to hold sufficient capital levels to provide flexibility to support organic growth and strategic priorities. Strong capital ratios are the result of the Bank's internal capital generation, management of the balance sheet, and periodic issuance of capital securities.

ECONOMIC CAPITAL

Economic capital, an internal measure of capital requirements, is a key component of the Bank's internal assessment of capital adequacy. The economic capital framework requires assessment of all material risks to the Bank and determination of the amount of risk-based capital required to cover unexpected losses from the Bank's business operations in a manner consistent with the Bank's capital management objectives.

The Bank operates its capital regime under the Basel Capital Framework. In addition to addressing Pillar 1 risks covering credit, market, and operational risks, the Bank's economic capital framework captures other material Pillar 2 risks including non-trading market risk, additional credit risk, and "Other risks", such as business risk and insurance risk. The framework also captures diversification benefits across risk types and business segments.

Components of economic capital at the Bank reflect the requirements laid out in OSFI's ICAAP Guideline which includes senior management oversight, sound capital assessment and planning, comprehensive assessment of risk, stress testing, monitoring and reporting and internal control review.

REGULATORY CAPITAL

Capital requirements established by the Basel Committee on Banking Supervision (BCBS) are commonly referred to as Basel III. Under Basel III, Total Capital consists of three components, namely CET1, Additional Tier 1, and Tier 2 Capital. Risk sensitive regulatory capital ratios are calculated by dividing CET1, Tier 1, and Total Capital by risk-weighted assets (RWA), inclusive of any minimum requirements outlined under the regulatory floor. Basel III also introduced a non-risk sensitive leverage ratio to act as a supplementary measure to the risk-sensitive capital requirements. The leverage ratio is calculated by dividing Tier 1 Capital by leverage exposure which is primarily comprised of on-balance sheet assets with adjustments made to derivative and securities financing transaction exposures, and credit equivalent amounts of off-balance sheet exposures. TD manages its regulatory capital in accordance with OSFI's implementation of the Basel III Capital Framework.

OSFI's Capital Requirements under Basel III

OSFI's CAR and LR guidelines detail how the Basel III capital rules apply to Canadian banks.

The Domestic Stability Buffer (DSB) level increased from 3% to 3.5% as of November 1, 2023, and has remained stable since. Currently, the DSB can range from 0 to 4%, with the effective level adjusted by OSFI in response to developments in Canada's financial system and the broader economy.

OSFI has implemented the Basel III reforms with adjustments to make them suitable for domestic implementation. The Basel III reforms impact the calculation of credit risk, market risk and operational risk for Canadian banks, as well as amend the LR Guideline to include a requirement for domestic systemically important banks (D-SIBs) to hold a leverage ratio buffer of 0.50% in addition to the regulatory minimum requirement of 3.0%. The LR buffer requirement also applies to the TLAC leverage ratio.

On November 1, 2023, the standardized capital floor transitioned to 67.5% of RWA from the previous 65% of RWA. OSFI has stated that the floor will remain at 67.5% until further notice.

The Bank has implemented OSFI's Parental Stand-Alone (Solo) Total Loss Absorbing Capacity (TLAC) Framework for D-SIBs, which establishes a risk-based measure intended to ensure that a non-viable D-SIB has sufficient loss absorbing capacity on a stand-alone, legal entity basis to support its resolution. The Bank is compliant with the requirements set out in this framework.

The table below summarizes OSFI's published regulatory minimum capital targets for the Bank as at October 31, 2025.

Regulatory Capital and TLAC Target Ratios

	Minimum	Capital Conservation Buffer	D-SIB / G-SIB Surcharge ¹	Pillar 1 Regulatory Target ²	DSB	Pillar 1 & 2 Regulatory Target
CET1	4.5%	2.5%	1.0%	8.0%	3.5%	11.5%
Tier 1	6.0	2.5	1.0	9.5	3.5	13.0
Total Capital	8.0	2.5	1.0	11.5	3.5	15.0
Leverage	3.0	n/a ³	0.5	3.5	n/a	3.5
TLAC	18.0	2.5	1.0	21.5	3.5	25.0
TLAC Leverage	6.75	n/a	0.50	7.25	n/a	7.25

¹ The higher of the D-SIB and G-SIB surcharge applies to risk weighted capital. The D-SIB surcharge is currently equivalent to the Bank's 1% G-SIB additional common equity requirement for risk weighted capital. The G-SIB surcharge may increase above 1%, to a maximum of 4.5%, if the Bank's G-SIB score increases above certain thresholds. OSFI's LR Guideline includes a requirement for D-SIBs to hold a leverage ratio buffer set at 50% of a D-SIB's higher loss absorbency risk-weighted requirements, effectively 0.50%. This buffer also applies to the TLAC Leverage ratio.

² The Bank's countercyclical buffer requirement is 0% as of October 31, 2025.

³ Not applicable.

Capital Position and Capital Ratios

The Basel framework allows qualifying banks to determine capital levels consistent with the way they measure, manage, and mitigate risks. It specifies methodologies for the measurement of credit, trading market, and operational risks. The Bank uses the Internal Ratings-Based approaches to credit risk for all material portfolios.

For accounting purposes, IFRS is followed for consolidation of subsidiaries and joint ventures. For regulatory capital purposes, all subsidiaries of the Bank are consolidated except for insurance subsidiaries which are deconsolidated and follow prescribed treatment as per OSFI's CAR guidelines. Insurance subsidiaries are subject to their own capital adequacy reporting, such as OSFI's Minimum Capital Test for General Insurance and Life Insurance Capital Adequacy Test for Life and Health.

Some of the Bank's subsidiaries are individually regulated by either OSFI or other regulators. Many of these entities have minimum capital requirements which may limit the Bank's ability to repatriate or redeploy capital or funds for other uses.

As at October 31, 2025, the Bank's CET1, Tier 1, and Total Capital ratios were 14.7%, 16.4%, and 18.4%, respectively. The increase in the Bank's CET1 Capital ratio from 13.1% as at October 31, 2024, was primarily attributable to the sale of Schwab shares and internal capital generation, offset by common shares repurchased for cancellation, RWA growth across various segments and the impact of U.S. balance sheet restructuring.

As at October 31, 2025, the Bank's leverage ratio was 4.6%. Compared with the Bank's leverage ratio of 4.2% at October 31, 2024, the increase was attributable primarily to the sale of Schwab shares and internal capital generation, offset by common shares repurchased for cancellation, leverage exposures increases across various segments and the impact of U.S. balance sheet restructuring.

Common Equity Tier 1 Capital

CET1 Capital was \$93.6 billion as at October 31, 2025. Earnings and the sale of Schwab shares contributed the majority of CET1 Capital growth in the year. Capital management funding activities during the year included common share issuance of \$0.3 billion under the dividend reinvestment plan and from stock option exercises, offset by common shares repurchased of \$6.1 billion.

Tier 1 and Tier 2 Capital

Tier 1 Capital was \$104.5 billion as at October 31, 2025, consisting of CET1 Capital and Additional Tier 1 Capital of \$93.6 billion and \$10.9 billion, respectively. The Bank's Tier 1 Capital management activities during the year consisted of the issue and redemption of Tier 1-qualifying capital instruments as follows:

- On December 18, 2024, the Bank issued \$750 million 5.909% Fixed Rate Reset Limited Recourse Capital Notes, Series 5 NVCC (the "LRCNs"). The LRCNs will bear interest at a rate of 5.909 per cent annually, payable quarterly, for the initial period ending on, but excluding, January 1, 2030. Thereafter, the interest rate on the LRCNs will reset every five years at a rate equal to the prevailing Government of Canada Yield plus 3.10 per cent. The LRCNs will mature on January 1, 2085. Concurrently with the issuance of the LRCNs, the Bank issued 750,000 Non-Cumulative 5.909% Fixed Rate Reset Preferred Shares, Series 32 NVCC ("Preferred Shares Series 32"). The Preferred Shares Series 32 are eliminated on the Bank's Consolidated Financial Statements.
- On September 23, 2025, the Bank issued US\$750 million 6.350% Fixed Rate Reset Limited Recourse Capital Notes, Series 6 NVCC (the "LRCNs"). The LRCNs will bear interest at a rate of 6.350 per cent annually, payable quarterly, for the initial period ending on, but excluding, October 31, 2030. Thereafter, the interest rate on the LRCNs will reset every five years at a rate equal to the prevailing U.S. Treasury Rate plus 2.721 per cent. The LRCNs will mature on October 31, 2085. Concurrently with the issuance of the LRCNs, the Bank issued 750,000 Non-Cumulative 6.350% Fixed Rate Reset Preferred Shares, Series 33 NVCC ("Preferred Shares Series 33"). The Preferred Shares Series 33 are eliminated on the Bank's Consolidated Financial Statements.
- On January 31, 2025, the Bank redeemed all of its 20 million outstanding Non-Cumulative 5-Year Rate Reset Class A First Preferred Shares NVCC, Series 5 ("Series 5 Preferred Shares"), at a redemption price of \$25.00 per Series 5 Preferred Share, for a total redemption cost of approximately \$500 million.
- On July 31, 2025, the Bank redeemed all of its 14 million outstanding Non-Cumulative 5-Year Rate Reset Class A First Preferred Shares NVCC, Series 7 ("Series 7 Preferred Shares"), at a redemption price of \$25.00 per Series 7 Preferred Share, for a total redemption cost of approximately \$350 million.
- On October 31, 2025, the Bank redeemed all of its 8 million outstanding Non-Cumulative 5-Year Rate Reset Class A First Preferred Shares NVCC, Series 9 ("Series 9 Preferred Shares"), at a redemption price of \$25.00 per Series 9 Preferred Share, for a total redemption cost of approximately \$200 million.

Tier 2 Capital was \$12.4 billion as at October 31, 2025. Tier 2 Capital management activities during the year consisted of the issue and redemption of Tier 2-qualifying capital instruments as follows:

- On January 23, 2025, the Bank issued EUR 750 million of non-viability contingent capital (NVCC) fixed rate reset notes constituting subordinated indebtedness of the Bank, maturing on January 23, 2036. These notes will bear interest at a fixed rate of 4.030% per annum (paid annually) until January 23, 2031, and at the 5-year mid-swap rate plus 1.500% thereafter (paid annually) until maturity on January 23, 2036. With prior approval of OSFI, the Bank may, at its option, redeem the notes on January 23, 2031, in whole but not in part, at par plus accrued and unpaid interest by giving not more than 60 nor less than 10 days' notice to holders.
- On January 31, 2025, the Bank issued \$1 billion of NVCC medium-term notes constituting subordinated indebtedness of the Bank, maturing on February 1, 2035. These notes will bear interest at a fixed rate of 4.231% per annum (paid semi-annually) until February 1, 2030, and at Daily Compounded Canadian Overnight Repo Rate Average plus 1.540% thereafter (paid quarterly) until maturity on February 1, 2035. With prior approval of OSFI, the Bank may, at its option, redeem the notes on or after February 1, 2030, in whole or in part, at par plus accrued and unpaid interest by giving not more than 60 nor less than 10 days' notice to holders.
- On July 23, 2025, the Bank issued AUD 30 million of NVCC fixed-to-floating rate subordinated notes of the Bank, maturing on July 23, 2040. These notes bear interest at a fixed rate of 5.930% per annum (paid semi-annually) until July 23, 2035, and at the 3-month Bank Bill Swap rate plus 1.870% thereafter (paid quarterly) until maturity on July 23, 2040. With prior approval of OSFI, the Bank may, at its option, redeem the notes on July 23, 2035, in whole but not in part, at par plus accrued and unpaid interest by giving not more than 60 nor less than 10 days' notice to holders.
- On September 25, 2025 the Bank issued JPY 14 billion of fixed rate reset subordinated notes of the Bank maturing on September 25, 2030. These notes bear interest at a fixed rate of 2.058% per annum (paid semi-annually) until September 25, 2030 and at the 5-year Tokyo Overnight Average Rate (TONA) mid-swap rate plus 0.97% thereafter (paid semi-annually) until maturity on September 25, 2035. With prior approval of OSFI, the Bank may, at its option, redeem the notes on September 25, 2035, in whole but not in part, at par plus accrued and unpaid interest by giving not more than 60 nor less than 10 days' notice to holders.
- On April 22, 2025, the Bank redeemed all of its outstanding \$3 billion 3.105% NVCC medium-term notes due April 22, 2030 constituting subordinated indebtedness of the Bank, at a redemption price of 100 per cent of the principal amount, plus accrued and unpaid interest to, but excluding, April 22, 2025.

INTERNAL CAPITAL ADEQUACY ASSESSMENT PROCESS

The Bank's Internal Capital Adequacy Assessment Process (ICAAP) is an integrated enterprise-wide process that encompasses the governance, management, and control of risk and capital functions within the Bank. It provides a framework for relating risks to capital requirements through the Bank's capital modelling and stress testing practices which help inform the Bank's overall capital adequacy requirements.

The ICAAP is led by TBSM with support from numerous functional areas who collectively help assess the Bank's internal capital adequacy. This assessment evaluates the capacity to bear risk in alignment with the Bank's risk profile and RAS. TBSM assesses and monitors the overall adequacy of the Bank's available capital in relation to both internal and regulatory capital requirements under normal and stressed conditions.

NVCC Provision

If an NVCC trigger event were to occur, for all series of Class A First Preferred Shares excluding the preferred shares issued with respect to LRCNs, the maximum number of common shares that could be issued, assuming there are no declared and unpaid dividends on the respective series of preferred shares at the time of conversion, would be 0.6 billion in aggregate.

The LRCNs, by virtue of the recourse to the preferred shares held in the Limited Recourse Trust, include NVCC provisions. For LRCNs, if an NVCC trigger were to occur, the maximum number of common shares that could be issued, assuming there are no declared and unpaid dividends on the preferred shares series issued in connection with such LRCNs, would be 1.7 billion in aggregate.

For NVCC subordinated notes and debentures (including Perpetual Notes), if an NVCC trigger event were to occur, the maximum number of common shares that could be issued, assuming there is no accrued and unpaid interest on the respective subordinated notes and debentures, would be 3.3 billion in aggregate.

DIVIDEND RESTRICTIONS

The Bank is prohibited by the *Bank Act (Canada)* from declaring dividends on its preferred or common shares if there are reasonable grounds for believing that the Bank is, or the payment would cause the Bank to be, in contravention of the capital adequacy and liquidity regulations of the Bank Act (Canada) or directions of OSFI. The Bank does not anticipate that this condition will restrict it from paying dividends in the normal course of business. In addition, the ability to pay dividends on common shares without the approval of the holders of the outstanding preferred shares is restricted unless all dividends on the preferred shares have been declared and paid or set apart for payment. Currently, these limitations do not restrict the payment of dividends on common shares or preferred shares.

DIVIDENDS

On December 3, 2025, the Board approved a dividend in an amount of one dollar and eight cents (\$1.08) per fully paid common share in the capital stock of the Bank for the quarter ending January 31, 2026, payable on and after January 31, 2026, to shareholders of record at the close of business on January 9, 2026. The Bank has moved from an annual dividend review cycle to a semi-annual cycle to support the alignment of shareholder return with earnings growth.

At October 31, 2025, the quarterly dividend was \$1.05 per common share. Common share cash dividends declared and paid during the year totalled \$4.20 per share (2024 – \$4.08), representing a payout ratio of 50%, at the high end of the Bank's target payout range of 40-50% of adjusted earnings. For cash dividends payable on the Bank's preferred shares, refer to Note 19 of the 2025 Consolidated Financial Statements. As at October 31, 2025, 1,689 million common shares were outstanding (2024 – 1,750 million).

DIVIDEND REINVESTMENT PLAN

The Bank offers a Dividend Reinvestment Plan (DRIP) for its common shareholders. Participation in the plan is optional and under the terms of the plan, cash dividends on common shares are used to purchase additional common shares. At the option of the Bank, the common shares may be issued from treasury at an average market price based on the last five trading days before the date of the dividend payment, with a discount of between 0% to 5% at the Bank's discretion or purchased from the open market at market prices.

During the year ended October 31, 2025, the Bank satisfied the DRIP requirements through common shares issued from treasury with no discount for the first three months and open market common share purchases in the last nine months. During the year ended October 31, 2024, the Bank satisfied the DRIP requirements through common shares issued from treasury with no discount.

NORMAL COURSE ISSUER BID

On August 28, 2023, the Bank announced that the Toronto Stock Exchange (TSX) and OSFI approved a normal course issuer bid (2023 NCIB) to repurchase for cancellation up to 90 million of its common shares. The 2023 NCIB commenced on August 31, 2023 and continued until August 31, 2024. During the year ended October 31, 2024, the Bank repurchased 49.4 million common shares under the 2023 NCIB, at an average price of \$80.15 per share for a total amount of \$4.0 billion.

On February 24, 2025, the Bank announced that the TSX and OSFI had approved a normal course issuer bid (2025 NCIB) to purchase for cancellation up to 100 million of its common shares for up to \$8 billion. The 2025 NCIB commenced on March 3, 2025 and will end on February 28, 2026, or such earlier date as the Bank may determine. From the commencement of the 2025 NCIB to October 31, 2025, the Bank repurchased 64.6 million shares under the program, at an average price of \$94.29 per share for a total amount of \$6.1 billion.

The Bank intends to initiate a new normal course issuer bid program upon the completion of the 2025 NCIB, subject to regulatory approval. The Bank is targeting \$6-7 billion of common share repurchases in fiscal 2026 under the new program, subject to market conditions.

RISK-WEIGHTED ASSETS

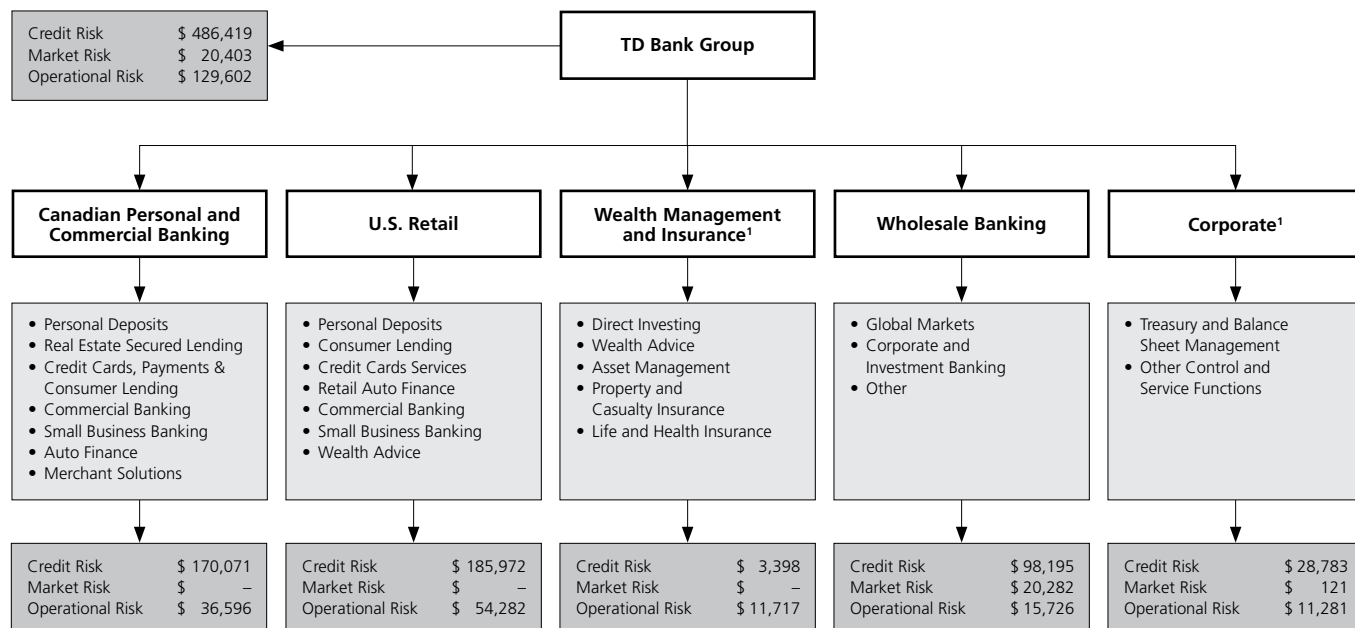
Based on Basel III, RWA are calculated for each of credit risk, market risk, and operational risk. Details of the Bank's RWA are included in the following table.

TABLE 39		RISK-WEIGHTED ASSETS	
(millions of Canadian dollars)		As at	
		October 31 2025	October 31 2024
Credit risk			
Retail			
Residential secured	\$	61,307	\$ 58,215
Qualifying revolving retail		43,917	40,186
Other retail		57,717	53,929
Non-retail			
Corporate		220,561	222,370
Sovereign		14,869	12,929
Bank		12,287	11,555
Securitization exposures		18,049	16,524
Subordinated debt, equity, and other capital instruments		25,933	37,986
Other assets		31,779	36,454
Exposures subject to standardized or Internal Ratings-Based (IRB) approaches		486,419	490,148
Total credit risk		486,419	490,148
Market risk		20,403	20,676
Operational risk		129,602	120,076
Total	\$	636,424	\$ 630,900

RISK-WEIGHTED ASSETS BY SEGMENT

The following chart provides a breakdown of the Bank's RWA as at October 31, 2025. RWA reflects capital requirements assessed based on regulatory prescribed rules for credit risk, trading market risk, and operational risk. The results shown in the chart do not reflect attribution of goodwill and intangibles. For additional information on the risks highlighted below, refer to the "Managing Risk" section of this document.

(millions of Canadian dollars)



¹ Effective the first quarter of 2025, Risk-weighted assets associated with investments in insurance subsidiaries are allocated to the Corporate segment.

TABLE 40	EQUITY AND OTHER SECURITIES ¹
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(thousands of shares/units and millions of Canadian dollars, except as noted)

	October 31, 2025		October 31, 2024	
	Number of shares/units	Amount	Number of shares/units	Amount
Common shares				
Common shares outstanding	1,689,496	\$ 24,727	1,750,272	\$ 25,373
Treasury – common shares	–	–	(213)	(17)
Total common shares	1,689,496	\$ 24,727	1,750,059	\$ 25,356
Stock options				
Vested	5,160		5,400	
Non-vested	9,027		9,312	
Preferred shares – Class A				
Series 1	20,000	\$ 500	20,000	\$ 500
Series 5 ²	–	–	20,000	500
Series 7 ³	–	–	14,000	350
Series 9 ⁴	–	–	8,000	200
Series 16	14,000	350	14,000	350
Series 18	14,000	350	14,000	350
Series 27	850	850	850	850
Series 28	800	800	800	800
	49,650	\$ 2,850	91,650	\$ 3,900
Other equity instruments^{5,6}				
Limited Recourse Capital Notes – Series 1	1,750	1,750	1,750	1,750
Limited Recourse Capital Notes – Series 2	1,500	1,500	1,500	1,500
Limited Recourse Capital Notes – Series 3 ⁷	1,750	2,403	1,750	2,403
Limited Recourse Capital Notes – Series 4 ⁷	750	1,023	750	1,023
Limited Recourse Capital Notes – Series 5 ⁸	750	750	–	–
Limited Recourse Capital Notes – Series 6 ^{7,9}	750	1,037	–	–
Perpetual Subordinated Capital Notes – Series 2023-9 ¹⁰	1	312	1	312
	56,901	\$ 11,625	97,401	\$ 10,888
Treasury – preferred shares and other equity instruments	(29)	(4)	(163)	(18)
Total preferred shares and other equity instruments	56,872	\$ 11,621	97,238	\$ 10,870

¹ For further details, including the conversion and exchange features, distributions, and significant terms and conditions, refer to Note 19 of the Bank's 2025 Consolidated Financial Statements.

² On January 31, 2025, the Bank redeemed all of its 20 million outstanding Non-Cumulative 5-Year Rate Reset Class A First Preferred Shares Non-Viability Contingent Capital (NVCC), Series 5 ("Series 5 Preferred Shares"), at a redemption price of \$25.00 per Series 5 Preferred Share, for a total redemption cost of approximately \$500 million.

³ On July 31, 2025, the Bank redeemed all of its 14 million outstanding Non-Cumulative 5-Year Rate Reset Class A First Preferred Shares NVCC, Series 7 ("Series 7 Preferred Shares"), at a redemption price of \$25.00 per Series 7 Preferred Share, for a total redemption cost of approximately \$350 million.

⁴ On October 31, 2025, the Bank redeemed all of its 8 million outstanding Non-Cumulative 5-Year Rate Reset Class A First Preferred Shares NVCC, Series 9 ("Series 9 Preferred Shares"), at a redemption price of \$25.00 per Series 9 Preferred Share, for a total redemption cost of approximately \$200 million.

⁵ For other equity instruments, the number of shares/units represents the number of notes issued.

⁶ Refer to the "Preferred Shares and Other Equity Instruments – Significant Terms and Conditions" table in Note 19 of the Bank's 2025 Consolidated Financial Statements for further details.

⁷ For LRCNs – Series 3, 4, and 6, the amount represents the Canadian dollar equivalent of the U.S. dollar notional amount.

⁸ On December 18, 2024, the Bank issued CA\$750 million 5.909% Fixed Rate Reset Limited Recourse Capital Notes, Series 5 NVCC (the "Series 5 LRCNs"). The Series 5 LRCNs will bear an interest rate of 5.909 per cent annually, payable quarterly, for the initial period ending on, but excluding, January 1, 2030. Thereafter, the interest rate on the Series 5 LRCNs will reset every five years at a rate equal to the prevailing Government of Canada Yield plus 3.10 per cent. The Series 5 LRCNs will mature on January 1, 2085. Concurrently with the issuance of the Series 5 LRCNs, the Bank issued 750,000 Non-Cumulative 5.909% Fixed Rate Reset Preferred Shares, Series 32 NVCC ("Preferred Shares Series 32"). The Preferred Shares Series 32 are eliminated on the Bank's Consolidated Financial Statements.

⁹ On September 23, 2025, the Bank issued US\$750 million 6.350% Fixed Rate Reset Limited Recourse Capital Notes, Series 6 NVCC (the "Series 6 LRCNs"). The Series 6 LRCNs will bear interest at a rate of 6.350 per cent annually, payable quarterly, for the initial period ending on, but excluding, October 31, 2030. Thereafter, the interest rate on the Series 6 LRCNs will reset every five years at a rate equal to the prevailing U.S. Treasury Rate plus 2.721 per cent. The Series 6 LRCNs will mature on October 31, 2085. Concurrently with the issuance of the Series 6 LRCNs, the Bank issued 750,000 Non-Cumulative 6.350% Fixed Rate Reset Preferred Shares, Series 33 NVCC ("Preferred Shares Series 33"). The Preferred Shares Series 33 are eliminated on the Bank's Consolidated Financial Statements.

¹⁰ For Perpetual Subordinated Capital Notes (AT1), the amount represents the Canadian dollar equivalent of the Singapore dollar notional amount.

Future Regulatory Capital Developments

On February 12, 2025, OSFI deferred increases to the Basel III standardized capital floor level until further notice. The capital floor subjects banks using internal model-based approaches to a floor, with the floor calculated as a percentage of RWA under the standardized approach. OSFI will notify the Bank at least two years prior to resuming an increase in the capital floor level.

On September 11, 2025, OSFI released revisions to the Capital Adequacy Requirements Guideline. The update includes many refinements to the calculation of regulatory capital requirements, with the aggregate impact immaterial to the capital position of the Bank. This change is effective November 1, 2025.

On February 20, 2025, OSFI published the Capital and Liquidity Treatment of Crypto-asset Exposures (Banking) Guideline (Crypto-asset Guideline). Subsequently on October 29, 2025, OSFI released revisions to the Crypto-asset Guideline. The update includes a requirement that an institution's gross exposure to certain crypto-assets, as defined in the Guideline, should not exceed 5% of the institution's net Tier 1 capital. This change is effective November 1, 2025.

Global Systemically Important Banks Designation and Disclosures

The Financial Stability Board (FSB), in consultation with the BCBS and national authorities, identifies G-SIBs. The G-SIB assessment methodology is based on the submissions of the largest global banks. Twelve indicators are used in the G-SIB assessment methodology to determine systemic importance. The score for a particular indicator is calculated by dividing the individual bank value by the aggregate amount for the indicator summed across all banks included in the assessment. Accordingly, an individual bank's ranking is reliant on the results and submissions of other global banks.

The Bank is required to publish the twelve indicators used in the G-SIB indicator-based assessment framework. Public disclosure of financial year-end data is required annually, no later than the date of a bank's first quarter public disclosure of shareholder financial data in the following year.

Public communications on G-SIB status are issued annually each November. On November 22, 2019, the Bank was designated as a G-SIB

by the FSB. The Bank continued to maintain its G-SIB status when the FSB published the 2025 list of G-SIBs on November 27, 2025. As a result of this designation, the Bank is subject to an additional loss absorbency requirement (CET1 as a percentage of RWA) of 1% under applicable FSB member authority requirements; however, in accordance with OSFI's CAR guideline, the higher of the D-SIB and G-SIB surcharges applies to Canadian banks designated as a G-SIB. As the D-SIB surcharge is currently equal to the incremental 1% G-SIB common equity ratio requirement, the Bank's G-SIB designation has no additional impact on the Bank's minimum CET1 regulatory requirements. The G-SIB surcharge may increase above 1% if the Bank's G-SIB score increases above certain thresholds to a maximum of 4.5%.

As a result of the Bank's G-SIB designation, the U.S. Federal Reserve requires that TD Group US Holding LLC (TDGUS), as TD's U.S. Intermediate Holding Company (IHC), maintain a minimum amount of TLAC and long-term debt.

GROUP FINANCIAL CONDITION

Securitization and Off-Balance Sheet Arrangements

In the normal course of operations, the Bank engages in a variety of financial transactions that, under IFRS, are either not recorded on the Bank's Consolidated Balance Sheet or are recorded in amounts that differ from the full contract or notional amounts. These off-balance sheet arrangements involve, among other risks, varying elements of market, credit, and liquidity risks which are discussed in the "Managing Risk" section of this document. Off-balance sheet arrangements are generally undertaken for risk management, capital management, and funding management purposes and include securitizations, contractual obligations, and certain commitments and guarantees.

STRUCTURED ENTITIES

TD carries out certain business activities through arrangements with structured entities (SEs). The Bank uses SEs to raise capital, obtain sources of liquidity by securitizing certain of the Bank's financial assets, to assist TD's clients in securitizing their financial assets, and to create investment products for the Bank's clients. Securitizations are an important part of the financial markets, providing liquidity by facilitating investor access to specific portfolios of assets and risks. Refer to Notes 2, 9, and 10 of the 2025 Consolidated Financial Statements for further information regarding the Bank's involvement with SEs.

Securitization of Bank-Originated Assets

The Bank securitizes residential mortgages, credit card loans, and business and government loans to enhance its liquidity position, to diversify sources of funding, and to optimize the management of the balance sheet.

The Bank securitizes residential mortgages under the National Housing Act Mortgage-Backed Securities (NHA MBS) program sponsored by the Canada Mortgage and Housing Corporation (CMHC). The securitization of the residential mortgages with the CMHC does not qualify for derecognition and the mortgages remain on the Bank's Consolidated Balance Sheet. Additionally, the Bank securitizes credit card loans by selling them to Bank-sponsored SEs that are consolidated by the Bank. The Bank also securitizes U.S. residential mortgages with U.S. government-sponsored entities which qualify for derecognition and are removed from the Bank's Consolidated Balance Sheet. Refer to Notes 9 and 10 of the 2025 Consolidated Financial Statements for further information.

Residential Mortgage Loans

The Bank securitizes residential mortgage loans through significant unconsolidated SEs and Canadian non-SE third parties. Residential mortgage loans securitized by the Bank may give rise to full derecognition of the financial assets depending on the individual arrangement of each transaction. In instances where the Bank fully derecognizes residential mortgage loans, the Bank may be exposed to the risks of

transferred loans through retained interests. As at October 31, 2025, there were \$28.6 billion of securitized residential mortgage loans outstanding through significant unconsolidated SEs (October 31, 2024 – \$24.0 billion), and \$10.0 billion outstanding through non-SE third parties (October 31, 2024 – \$6.7 billion).

Credit Card Loans

The Bank securitizes credit card loans through an SE. The Bank consolidates the SE as it serves as a financing vehicle for the Bank's assets, the Bank has power over the key economic decisions of the SE, and the Bank is exposed to the majority of the residual risks of the SE. As at October 31, 2025, the Bank had \$4.0 billion of securitized credit card receivables outstanding (October 31, 2024 – \$3.0 billion). Due to the nature of the credit card receivables, their carrying amounts approximate fair value.

Business and Government Loans

The Bank securitizes business and government loans through Canadian non-SE third parties. Business and government loans securitized by the Bank may be derecognized from the Bank's balance sheet depending on the individual arrangement of each transaction. In instances where the Bank fully derecognizes business and government loans, the Bank may be exposed to the risks of transferred loans through retained interests. There are no ECLs on the retained interests of the securitized business and government loans as the loans are all government insured. As at October 31, 2025, the Bank had \$97 million of securitized business and government loans outstanding (October 31, 2024 – \$189 million), with carrying value of retained interests of \$1 million (October 31, 2024 – \$1 million).

Securitization of Third-Party Originated Assets Significant Unconsolidated Special Purpose Entities Multi-Seller Conduits

The Bank securitizes third party-originated assets through Bank-sponsored SEs, including its Canadian multi-seller conduits which are not consolidated. Effective July 31, 2025, the Bank's U.S. multi-seller conduits are deconsolidated, as described below. Multi-seller conduits securitize third-party originated assets. The Bank administers multi-seller conduits and provides liquidity facilities as well as securities distribution services; it may also provide credit enhancements. TD's total potential exposure to loss through the provision of liquidity facilities for multi-seller conduits was \$57.5 billion as at October 31, 2025 (October 31, 2024 – \$16.8 billion). As at October 31, 2025, the Bank had funded exposure of \$38.5 billion under such liquidity facilities relating to outstanding issuances of ABCP (October 31, 2024 – \$15.4 billion).

TABLE 4.1

FUNDED EXPOSURE TO THIRD-PARTY ORIGINATED ASSETS SECURITIZED BY BANK-SPONSORED UNCONSOLIDATED CONDUITS¹

(millions of Canadian dollars, except as noted)

	As at	
	October 31 2025	October 31 2024
Residential mortgage loans	\$ 13,023	\$ 8,527
Automobile loans and leases	11,949	5,580
Telecommunication receivables ²	6,239	n/a
Trade receivables	4,726	–
Equipment leases	1,225	1,246
Credit card receivables ²	851	n/a
Consumer loans ²	240	n/a
Insurance premium receivables ²	145	n/a
Investment loans	66	66
Total funded exposure	\$ 38,464	\$ 15,419

¹ The Bank's funded exposure through the provision of liquidity facilities only relates to outstanding issuances of ABCP funding 'A' or above rated assets.

² Balances as at October 31, 2025 pertain only to the U.S. multi-seller ABCP conduits that were deconsolidated prospectively effective July 31, 2025, as described below.

As at October 31, 2025, the Bank held \$2.0 billion of ABCP issued by Bank-sponsored multi-seller conduits recorded on its 2025 Consolidated Balance Sheet (October 31, 2024 – \$0.4 billion).

CONSOLIDATION OF STRUCTURED ENTITIES

Effective July 31, 2025, the Bank concluded that it no longer controls its U.S. multi-seller ABCP conduits due to a change in the Bank's exposure to variable returns and has therefore deconsolidated these conduits prospectively. The deconsolidation has resulted in a decrease of \$17,702 million of Business and government loans, \$2,695 million of Non-trading financial assets at fair value through profit or loss (FVTPL), \$77 million of Other assets and \$19,332 million of Other liabilities on the Consolidated Balance Sheet. The Bank concurrently recognized \$1,142 million in Trading loans, securities, and other on the Consolidated Balance Sheet, representing the ABCPs purchased by the Bank (\$1,111 million as at October 31, 2024, which was previously eliminated upon consolidation). Impacts on the Consolidated Statement of Income as a result of deconsolidation are minimal. In addition, the Bank continues to provide liquidity facilities to these conduits. The total committed undrawn amount under these facilities as at October 31, 2025 was \$16.0 billion (October 31, 2024 – \$13.1 billion).

COMMITMENTS

The Bank enters into various commitments to meet the financing needs of the Bank's clients, to earn fee income, and to lease premises and equipment. Significant commitments of the Bank include financial and performance standby letters of credit, documentary and commercial letters of credit, commitments to extend credit, and obligations under long-term non-cancellable leases for premises and equipment. These products may expose the Bank to liquidity, credit, and reputational risks. There are adequate risk management and control processes in place to mitigate these risks. Certain commitments still remain off-balance sheet. Note 25 of the 2025 Consolidated Financial Statements provides detailed information about the Bank's commitments including credit-related arrangements and long-term commitments or leases.

GUARANTEES

In the normal course of business, the Bank enters into various guarantee contracts to support its clients. The Bank's significant types of guarantee products are financial and performance standby letters of credit, credit enhancements, and indemnification agreements. Certain guarantees remain off-balance sheet. Refer to Note 25 of the 2025 Consolidated Financial Statements for further information.

GROUP FINANCIAL CONDITION

Related Party Transactions

TRANSACTIONS WITH KEY MANAGEMENT PERSONNEL, THEIR CLOSE FAMILY MEMBERS, AND THEIR RELATED ENTITIES

Key management personnel are those persons having authority and responsibility for planning, directing, and controlling the activities of the Bank, directly or indirectly. The Bank considers certain of its officers and directors to be key management personnel. The Bank makes loans to its key management personnel, their close family members, and their related entities on market terms and conditions with the exception of banking products and services for key management personnel, which are subject to approved policy guidelines that govern all employees.

In addition, the Bank offers deferred share and other plans to non-employee directors, executives, and certain other key employees. Refer to Note 21 of the 2025 Consolidated Financial Statements for more details.

In the ordinary course of business, the Bank also provides various banking services to associated and other related corporations on terms similar to those offered to non-related parties.

TRANSACTIONS WITH SUBSIDIARIES, SCHWAB, AND SYM COR INC.

Transactions between the Bank and its subsidiaries meet the definition of related party transactions. If these transactions are eliminated on consolidation, they are not disclosed as related party transactions.

Transactions between the Bank, Schwab, and Symcor Inc. (Symcor) also qualify as related party transactions. As the Bank's entire remaining equity investment in Schwab was sold on February 12, 2025, Schwab is no longer a related party as of October 31, 2025, but was a related party up to the date of sale. There were no significant transactions between the Bank, Schwab, and Symcor during the year ended October 31, 2025, other than as described in the following sections and in Note 12 of the 2025 Consolidated Financial Statements.

i) TRANSACTIONS WITH SCHWAB

Prior to the sale of the Bank's entire remaining equity investment in Schwab on February 12, 2025, the Bank had significant influence over Schwab and accounted for its investment in Schwab using the equity method. Pursuant to the Stockholder Agreement in relation to the Bank's equity investment in Schwab, subject to certain conditions, the Bank had the right to designate two members of Schwab's Board of Directors and had representation on two Board Committees. Prior to the sale, the Bank's designated directors were the Bank's former Group President and Chief Executive Officer and the Bank's former Chair of the Board.

A description of significant transactions between the Bank and its affiliates with Schwab is set forth below.

Insured Deposit Account Agreement

As at October 31, 2025, deposits under the Schwab IDA Agreement were \$106 billion (US\$76 billion) (October 31, 2024 – \$117 billion (US\$84 billion)). The Bank paid fees of \$405 million related to sweep deposit accounts from November 1, 2024 to February 11, 2025, the period in which Schwab was a related party to the Bank. The Bank paid

fees, net of the termination fees received from Schwab, of \$908 million during the year ended October 31, 2024.

As at October 31, 2025, amounts receivable from Schwab were \$49 million (October 31, 2024 – \$12 million). As at October 31, 2025, amounts payable to Schwab were \$38 million (October 31, 2024 – \$42 million).

ii) TRANSACTIONS WITH SYMCOR

The Bank has one-third ownership in Symcor, a Canadian provider of business process outsourcing services offering a diverse portfolio of integrated solutions in item processing, statement processing and production, and cash management services. The Bank accounts for Symcor's results using the equity method of accounting. During the year ended October 31, 2025, the Bank paid \$89 million (October 31, 2024 – \$88 million) for these services. As at October 31, 2025, the amount payable to Symcor was \$7 million (October 31, 2024 – \$6 million).

The Bank and two other shareholder banks have also provided a \$100 million unsecured loan facility to Symcor which was undrawn as at October 31, 2025 and October 31, 2024.

GROUP FINANCIAL CONDITION

Financial Instruments

As a financial institution, the Bank's assets and liabilities are substantially composed of financial instruments. Financial assets of the Bank include, but are not limited to, cash, interest-bearing deposits, securities, loans, derivative instruments and securities purchased under reverse repurchase agreements; while financial liabilities include, but are not limited to, deposits, obligations related to securities sold short, securitization liabilities, obligations related to securities sold under repurchase agreements, derivative instruments, and subordinated debt.

The Bank uses financial instruments for both trading and non-trading activities. The Bank typically engages in trading activities by the purchase and sale of securities to provide liquidity and meet the needs of clients and, less frequently, by taking trading positions with the objective of earning a profit. Trading financial instruments include, but are not limited to, trading securities, trading deposits, and trading derivatives. Non-trading financial instruments include the majority of the Bank's lending portfolio, non-trading securities, hedging derivatives, and the

majority of the Bank's financial liabilities. In accordance with accounting standards related to financial instruments, financial assets or liabilities classified as held-for-trading, non-trading FVTPL, designated at FVTPL, FVOCI, and all derivatives are measured at fair value in the Bank's 2025 Consolidated Financial Statements. Debt securities, most loans, and other liabilities are carried at amortized cost using the effective interest rate (EIR) method. For details on how fair values of financial instruments are determined, refer to the "Accounting Judgments, Estimates, and Assumptions" – "Fair Value Measurements" section of this document. The use of financial instruments allows the Bank to earn profits in trading, interest, and fee income. Financial instruments also create a variety of risks which the Bank manages with its extensive risk management policies and procedures. The key risks include interest rate, credit, liquidity, market, and foreign exchange risks. For a more detailed description on how the Bank manages its risk, refer to the "Managing Risk" section of this document.

Risk Factors That May Affect Future Results

In addition to the risks described in the “Managing Risk” section, there are numerous other risk factors, many of which are beyond the Bank’s control and the effects of which can be difficult to predict, that could cause the Bank’s results to differ significantly from the Bank’s plans, objectives, and estimates or could impact the Bank’s reputation or the sustainability of its business model. All forward-looking statements, including those in this MD&A, are, by their very nature, subject to inherent risks and uncertainties, general and specific, which may cause the Bank’s actual results to differ materially from the plan, objectives, estimates or expectations expressed in the forward-looking statements. Some of these factors are discussed below and others are noted in the “Caution Regarding Forward-Looking Statements” section of this document.

TOP AND EMERGING RISKS

The Bank considers it critical to regularly assess its operating environment and highlight top and emerging risks. These are risks with a potential to have a material effect on the Bank and where the attention of senior management is focused due to the potential magnitude or immediacy of their impacts.

Risks are identified, discussed, and actioned by senior management and reported quarterly to the Risk Committee and the Board. Specific plans to mitigate top and emerging risks are prepared, monitored, and adjusted as required.

General Business and Economic Conditions

The Bank and its customers operate in Canada, the U.S., and, to a lesser extent, in other countries. As a result, the Bank’s earnings are significantly affected by the general business and economic conditions in these regions, which could have an adverse impact on the Bank’s results, business, financial condition or liquidity, and could result in changes to the way the Bank operates. These conditions include short-term and long-term interest rates, inflation, declines in economic activity (recession), volatility in financial markets, and related market liquidity, funding costs, real estate prices, employment levels, consumer spending and debt levels, evolving consumer trends and related changes to business models, business investment and overall business sentiment, government policy including levels of government spending, monetary policy, fiscal policy (including tax policy and rate changes), exchange rates, sovereign debt risks, and the effects of pandemics and other public health emergencies.

Geopolitical Risk

Government policy, international trade and political relations across the globe may impact overall market and economic stability, including in the regions where the Bank operates, or where its customers operate. Rapid changes and uncertainty related to global trade and policy may require organizations to adapt their strategies to the evolving landscape and may also reduce the predictability of business outcomes. While the nature and extent of risks may vary, they have the potential to disrupt global economic growth, create volatility in financial markets that may affect the Bank’s trading and non-trading activities, market liquidity, funding costs, interest rates, foreign exchange, commodity prices, credit spreads, fiscal policy, and directly and indirectly influence general business and economic conditions. Such factors may have an adverse impact on the Bank and its customers.

The evolution of geopolitical, policy, trade and tax-related risks, including the application or threat of any new or elevated tariffs to goods imported into the U.S., any retaliatory tariffs, and renegotiation of the Canada U.S. Mexico Agreement (CUSMA) have the potential to increase economic uncertainty, market volatility, disrupt global supply chains and trade flows, deteriorate business confidence and other adverse impacts. For example, tariffs can threaten to raise prices and reduce demand for imported goods weighing on activity in both importing and exporting countries; if set at very high rates, tariffs may halt the flow of trade altogether and lead to shortages throughout the supply chain.

Geopolitical risks consider ongoing global tensions, including escalation of the Russia-Ukraine war and the resulting tensions between Russia and other nations, social unrest and volatility in the Middle East, the ongoing conflict between Israel and Hamas, threats of terrorism and ongoing protectionist measures due to a decline in global alignment. These factors can result in sanctions and countersanctions and related operational complexities, supply chain disruptions, increased likelihood of cyber-attacks on critical public and private infrastructure and networks and have the potential to generate further regulatory and policy uncertainty. Should these geopolitical risks continue, they may have an adverse impact on the Bank, its business, financial condition and its customers.

Inflation, Interest Rates and Recession Uncertainty

Fluctuating interest rates and inflation, together with overall macroeconomic conditions, could have adverse impacts on the Bank’s cost of funding, result in increased loan delinquencies or impairments and higher credit losses due to deterioration in the financial condition of the Bank’s customers and may necessitate further increases in the Bank’s provision for credit losses and net charge offs, all of which could negatively impact the Bank’s business, financial condition, liquidity and results of operations. Inflation has declined from peak levels, but households continue to feel the effect of past price increases, which have weighed on confidence and reduced spending power. Heightened geopolitical risk and elevated tariffs and trade barriers adds uncertainty to the outlook for inflation and interest rates. A reacceleration in inflation could trigger a reversal in recent interest rate declines and a tightening in financial conditions, while a deterioration in economic conditions, especially within the labour market, could lead to faster decline in interest rates. In addition, actual stress levels experienced by the Bank’s borrowers may differ from assumptions incorporated in estimates or models used by the Bank. The uncertain inflation and interest rate environment increases concerns around the possibility of a recession in Canada, the U.S. and other regions where the Bank and its customers operate and continues to impact the macroeconomic and business environment. Such developments could have an adverse impact on the Bank’s business, financial condition, liquidity and results of operations.

Remediation of the Bank’s U.S. BSA/AML Program and Enterprise AML Program

On October 10, 2024, the Bank and certain of its U.S. subsidiaries consented to orders with the Office of the Comptroller of the Currency (OCC), the Federal Reserve Board (FRB), and the Financial Crimes Enforcement Network (FinCEN) and entered into plea agreements with the Department of Justice (DOJ), Criminal Division, Money Laundering and Asset Recovery Section and the United States Attorney’s Office for the District of New Jersey (collectively, the “Global Resolution”). The Global Resolution includes a number of limitations on the Bank’s U.S. business, including an asset limit in certain entities (TD Bank, N.A. and TD Bank USA, N.A., collectively referred to as the “U.S. Bank”) and more stringent approval processes for new retail bank products, services, markets and branches, that could adversely affect the Bank’s business, operations, financial condition, capital and credit ratings (some of which were downgraded following the announcement of the Global Resolution), cash flows and funding costs, as well as affect or restrict the ability of the Bank’s U.S. business to compete effectively. Board certifications will be required for dividend distributions from certain of the Bank’s U.S. subsidiaries, namely TD Bank, N.A., TD Bank US Holding Company, TD Bank USA, N.A. and TD Group US Holdings LLC, to help ensure the Bank continues to prioritize the U.S. Bank Secrecy Act/Anti-Money Laundering program (U.S. BSA/AML program) remediation. More details on the terms of the Global Resolution are set out under the heading “Update on the Remediation of the U.S. Bank Secrecy Act/Anti-Money Laundering Program and Enterprise AML Program”.

The orders and plea agreements have a number of short-term and long-term deliverables and obligations, many of which are overlapping and interdependent. Additional information about these deliverables and obligations are set out in the “Update on the Remediation of the U.S. Bank Secrecy Act/Anti-Money Laundering Program and Enterprise AML Program” section.

Satisfying the terms of the Global Resolution, including the requirement to remediate the Bank’s U.S. BSA/AML program, is expected to be a multi-year endeavor, and will not be entirely within the Bank’s control including because of (i) the requirement to obtain regulatory approval or non-objection before proceeding with various steps, and (ii) the requirement for the various deliverables to be acceptable to the regulators and/or the Monitor. The Bank, its regulators or applicable law enforcement agencies in various jurisdictions may also identify other issues as the Bank remediates and enhances its risk and control infrastructure, which may result in additional regulatory proceedings or requirements in the United States or elsewhere, and may result in significant additional consequences. Furthermore, there is risk that the remediation may not meet expectations set by regulators and this may result in additional actions against the Bank. Until the deficiencies in the Bank’s U.S. BSA/AML program are fully remediated, the Bank faces potentially escalating consequences. For example, if the U.S. Bank does not achieve compliance with all actionable articles in the OCC consent orders (and for each successive year that the U.S. Bank remains non-compliant), the OCC may require the U.S. Bank to further reduce total consolidated assets by up to 7%. Furthermore, delays in satisfying one regulatory requirement could affect the Bank’s progress on others. Failure to satisfy the requirements of the Global Resolution on a timely basis could result in additional fines, penalties, business restrictions, limitations on subsidiary capital distributions, increased capital or liquidity requirements, enforcement actions, increased regulatory oversight, and other adverse consequences, which could be significant. Compliance with the terms of the Global Resolution, as well as the implementation of their requirements and remediation of the U.S. BSA/AML program, is expected to continue to increase the Bank’s costs, require the Bank to revise some of its business strategies and plans and reallocate resources away from managing its business and require the Bank to undergo significant changes to its business, operations, products and services, and risk management practices. In particular, the remediation process will expose the Bank to the following risks that are described in more detail below: (i) Model Risk, as the Bank replaces and enhances the portfolio of tools being used to detect, escalate, investigate and action financial crime risks, (ii) Technology and Data Risk including risks associated with data availability, as the Bank implements new technology and data solutions, (iii) Third Party Risk, as the Bank engages third party advisors and vendors to support the Bank’s change objectives, and (iv) Operational Risk, as the Bank introduces new organization structures, creates new roles, onboards new talent, enhances the global control environment, and invests in updated processes and procedures to support financial crime risks. In addition, as a result of third-party reviews of governance at the Bank, required in connection with the remediation of the U.S. BSA/AML program, the Bank may be required to make changes in management and/or governance. As noted under “Update on U.S. BSA/AML Program Remediation and Enterprise AML Program Improvement Activities”, the Bank continues to make progress on its assessment and strengthening of the Bank’s Enterprise AML program and will be exposed to similar risks as noted above in respect of the Bank’s U.S. BSA/AML Program, and we have experienced an increase in identification of reportable transactions and/or events. The increase has added to the operational backlog in our FCRM investigations processing that the Bank currently faces, but is working towards remediating across the enterprise. In addition, other issues with the Bank’s Enterprise AML Program or its remediation may be identified by the Bank or its regulators, and may result in additional regulatory or other actions, including broadening the scope of remediation and improvements required.

The Global Resolution could have indirect adverse effects on the Bank and its subsidiaries and businesses, including subsidiaries and businesses that are not directly party to or subject to the orders and plea agreements, including by jeopardizing the status of certain regulatory qualifications, permissions, or exemptions, or by causing certain counterparties to seek to terminate contracts or other relationships with the Bank. For example, TD and its affiliates sought and received a permanent order from the U.S. Securities and Exchange Commission (SEC) allowing them to continue serving as an investment adviser, depositor or principal underwriter to certain investment companies that are registered with the SEC. In addition, TD and its affiliates also became disqualified from relying on the U.S. Department of Labor’s “qualified professional asset manager” exemption for purposes of providing asset management services to employee benefit plans subject to the U.S. Employee Retirement Income Security Act of 1974 (ERISA), and, as a result, TD has been relying on, and is expect to continue to be required to rely on, alternative exemptions for purposes of ERISA compliance. In the future, the Bank may be required to seek additional waivers, consents, approvals or other exemptions to continue operating its businesses as presently conducted, and any failure to obtain such waivers, consents, approvals or other exemptions or to comply with any undertaking when such waivers, consents, approval or other exemptions are granted could adversely affect the Bank’s results of operations or financial condition.

Failure to comply with the terms of the plea agreements with the DOJ during the five-year term of probation, including by failing to complete the compliance undertakings, failing to cooperate or to report alleged misconduct as required, or committing additional crimes, could also subject the Bank to further prosecution and additional financial penalties and ongoing compliance commitments, and could result in an extension of the length of the term of probation. In addition, the Bank’s current or former directors, officers and employees, as well as the current or former directors, officers and employees of the U.S. Bank, may become subject to civil or criminal investigations or enforcement proceedings in relation to the Bank’s U.S. BSA/AML program, which could result in claims against the Bank for damages or indemnification, further disruptions to the Bank’s personnel (including negative impact on the morale of its personnel) and its operations and further damage to its reputation or to the perceptions of the Bank among the Bank’s customers, service providers and investors.

The Global Resolution (including the limitations imposed on the Bank’s U.S. businesses imposed by the terms of the Global Resolution) may negatively affect the Bank’s brand and reputation, if any of the Bank’s or U.S. Bank’s former or current directors, officers or employees become subject to, or have adverse findings arising from, civil or criminal investigations or enforcement proceedings, or if the Bank is unable to satisfy the terms of the Global Resolution (including the requirement to remediate the Bank’s U.S. BSA/AML program) in a manner that is acceptable to the regulators and/or the Monitor. This potential negative impact on the Bank’s brand and reputation, as well as the limitations imposed on the Bank’s U.S. businesses by the Global Resolution, may adversely affect: (i) the Bank’s ability to attract and retain customers and employees; (ii) the willingness of key third parties, including service providers, vendors, financial counterparties, government agencies, and other market participants, to transact with the Bank; and (iii) the willingness of investors to retain Bank securities in their investment portfolios or to acquire Bank securities. See also “Level of Competition, Shifts in Consumer Attitudes, and Disruptive Technology”, “Ability to Attract, Develop, and Retain Key Talent”, “Third Party Risk”, and “Value and Market Price of our Common Shares and other Securities”, below.

The value and trading price of the Bank's securities could be negatively affected by a number of factors related to the terms of the Global Resolution, the remediation of the issues resulting in the investigations or the strengthening of the Bank's Enterprise AML Program, including if: (i) the Bank fails to satisfy the terms of the Global Resolution (including the requirement to remediate the Bank's U.S. BSA/AML program) in a manner that is acceptable to the regulators and/or the Monitor; (ii) the impact of the non-monetary penalties imposed on the Bank are more negative or sustained longer than anticipated, including if the limitations imposed on the Bank's U.S. businesses weaken the Bank's U.S. franchise; (iii) the Bank becomes subject to further prosecution or financial penalties (which may occur if the Bank fails to comply with the terms of the plea agreements with the DOJ during the five-year term of probation); (iv) the Bank's or U.S. Bank's former or current directors, officers or employees become subject to, or have adverse findings arising from, civil or criminal investigations or enforcement proceedings in relation to the Bank's U.S. BSA/AML program; (v) the impact on the Bank's brand and reputation is more negative or sustained than anticipated; and/or (vi) if any of the risks described in this "Remediation of the Bank's U.S. BSA/AML Program and Enterprise AML Program" section materializes. The foregoing factors may also lead to rating agencies further downgrading the Bank's credit ratings and outlooks. See also "Value and Market Price of our Common Shares and other Securities" and "Downgrade, Suspension or Withdrawal of Ratings Assigned by any Rating Agency", below.

See also the risks described under "Regulatory Oversight and Compliance Risk".

Regulatory Oversight and Compliance Risk

The Bank and its businesses are subject to extensive regulation and oversight by a number of different governments, regulators and self-regulatory organizations (collectively, "Bank regulators") around the world. Regulatory and legislative changes, as well as changes in the Bank's regulators' expectations occur in all jurisdictions in which the Bank operates.

Bank regulators around the world continue to focus on capital, liquidity, and interest rate risk (IRR) risk management; consumer protection and fair access; data access, use and management; technology and cybersecurity; insider risk, conduct risk and internal risk and control frameworks across the three lines of defense; foreign interference; and financial crime including money laundering, terrorist financing and economic sanctions risks and threats, among others. There is heightened focus by Bank regulators globally on the impact of tariffs, interest rates and inflation on customers, as well as on the Bank's operations and its management and oversight of risks associated with these matters. In addition, these risks continue to rapidly evolve, as a result of new or emerging threats, including geopolitical and those associated with the use of new, emerging and interrelated technologies, digital and crypto-assets, quantum computing, artificial intelligence (AI), machine learning, models and decision-making tools.

The content and application of laws, rules and regulations affecting financial services institutions may sometimes vary according to factors such as the size of the institution, the jurisdiction in which it is organized or operates, and other criteria. There can also be significant differences in the ways that similar regulatory initiatives affecting the financial services industry are implemented in Canada, the United States and other countries and regions in which the Bank does business. For example, when adopting rules that are intended to implement a global regulatory standard, a national regulator may introduce additional or more restrictive requirements. Furthermore, some of the Bank's regulators have the discretion to impose additional requirements, standards or guidance regarding the Bank's capital, liquidity and IRR risk management, or other matters within their regulatory scope, and in some cases the Bank may be

prohibited by law from publicly disclosing such additional requirements, standards or guidance. Compliance with these additional requirements, standards or guidance may increase the Bank's compliance and operational costs, and could adversely affect the Bank's businesses and results of operations. Regulators have indicated the potential for escalating consequences for banks that do not timely resolve open issues or have repeat issues. Furthermore, delays in satisfying one regulatory requirement could affect the Bank's progress on others. Failure to satisfy regulatory requirements on a timely basis could result in additional fines, penalties, business restrictions, limitations on subsidiary capital distributions, increased capital or liquidity requirements, enforcement actions, increased regulatory oversight, and other adverse consequences, which could be significant. Compliance with any consent orders, compliance agreements/orders or other regulatory enforcements, as well as the implementation of their requirements, may increase the Bank's costs, require the Bank to reallocate resources away from managing its business, negatively impact the Bank's capital and credit ratings, cash flows and funding costs, require the Bank to undergo significant changes to its business, operations, products and services, and risk management practices, damage the Bank's reputation, and subject the Bank to other adverse consequences, including additional financial penalties, restrictions and limitations.

The Bank monitors and evaluates the potential impact of applicable regulatory developments (including enacted and proposed rules, standards, public enforcement actions, consent orders, and regulatory guidance). However, while the Bank devotes substantial compliance, legal, and operational business resources to facilitate compliance with these developments by their respective effective dates, and also to the consideration of other Bank regulator expectations, it is possible that: (i) the Bank may not be able to accurately predict the impact of regulatory developments, or the interpretation or focus of enforcement actions taken by governments, regulators and courts, (ii) the Bank may not be able to develop or enhance the platforms, technology, or operational procedures and frameworks necessary to comply with, or adapt to, such rules or expectations in advance of or by their effective dates; or (iii) regulators and other parties could challenge the Bank's compliance. Also, it may be determined that the Bank has not adequately, completely or on a timely basis addressed regulatory developments or other regulatory requirements, including enforcement actions, to which it is subject, in a manner which meets Bank regulator expectations.

At any given time, the Bank is subject to a significant number of legal and regulatory proceedings and to numerous governmental and regulatory examinations. Additionally, the Bank has been subject to regulatory enforcement proceedings and has entered into settlement agreements with Bank regulators, and the Bank may continue to face a greater number or wider scope of investigations, enforcement actions and litigation. The Bank could also be subject to negative regulatory evaluation or examination findings not only because of violations of laws and regulations, but also due to failures, as determined by its regulators, to have adequate policies and procedures, or to remedy deficiencies on a timely basis. Regulatory and legislative changes and changes in expectations will continue to increase the Bank's compliance and operational risks and costs. In addition, legislative and regulatory initiatives could require the Bank to make significant modifications to its operations in the relevant countries or regions in order to comply with those requirements. This could result in increased costs as well as adversely affect the Bank's businesses and results of operations.

See also the risks described under the heading "Introduction of New and Changes to Current Laws, Rules and Regulations" and "Remediation of the Bank's U.S. BSA/AML Program and Enterprise AML Program".

Executing on Long-Term Strategies and Shorter-Term Key Strategic Priorities

The Bank has a number of strategies and priorities, including those detailed in the “Strategic Review” section and each Segment’s “Business Segment Analysis” section of this document, which may include large scale strategic or regulatory initiatives that are at various stages of development or implementation. Examples include organic growth strategies; transforming distribution models; anticipated cost reductions; revenue acceleration; simplifying operating models and processes; projects to meet new regulatory requirements; leveraging and scaling automation and AI capabilities; and modernizing existing platforms, technology and digital capabilities. Strategies may adjust in response to shifts in the internal and external environment and/or changes in leadership. Risk can be elevated due to the size, scope, velocity, interdependency, and complexity of projects; limited timeframes to complete projects; and competing priorities for limited specialized resources. The Bank may not achieve its strategic or financial objectives. In addition, the remediation of the Bank’s U.S. BSA/AML Program and Enterprise AML Program, including the limitations on the Bank’s U.S. business, could adversely affect the Bank’s ability to achieve some of its strategies and priorities.

The Bank regularly explores opportunities which include acquisitions and dispositions of companies or businesses, directly or indirectly, through its subsidiaries. In respect of acquisitions and dispositions, the Bank undertakes transaction assessments and due diligence before completing a merger, acquisition or disposition to confirm the transaction fits within the Bank’s Risk Appetite, and closely monitors integration activities and performance post-close. However, the Bank’s ability to successfully complete an acquisition or disposition is often subject to regulatory and other approvals, and the Bank cannot be certain when, or if, or on what terms and conditions, any required approvals will be granted.

While there is significant management attention on the governance, oversight, methodology, tools, and resources needed to manage the Bank’s strategies and priorities, the Bank’s ability to execute on them is dependent on a number of assumptions and factors. These include those set out in the “Economic Summary and Outlook”, “Key Priorities for 2026”, “Operating Environment and Outlook”, and “Managing Risk” sections of this document, as well as disciplined resource and expense management and the Bank’s ability to implement (and the costs associated with the implementation of) programs to comply with new or enhanced regulations or regulator demands, all of which may not be in the Bank’s control and are difficult to predict.

In addition, from time to time, the Bank may invest in companies without taking a controlling position in those companies. This may adversely impact the Bank financially if the investment does not perform or reputationally if the company makes decisions the Bank does not agree with.

If any of the Bank’s strategies, priorities, acquisition and integration activities, dispositions or investments are not successfully executed, or do not achieve their financial or strategic objectives, there may be an impact on the Bank’s operations and financial performance and the Bank’s earnings could grow more slowly or decline.

Schwab IDA Agreement Exposes the Bank to Certain Risks

The Bank has an insured deposit account agreement with Schwab and it may be affected by actions taken by Schwab, or if Schwab does not perform its obligations, pursuant to the Schwab IDA Agreement (as further described in the “Financial Results Overview” section of this document). Although the Schwab IDA Agreement requires Schwab to make certain payments to the Bank to compensate it for specific instances of non-performance by Schwab, if Schwab does not make such payments, the Bank’s financial results would be impacted including from a loss of revenues, a potential increase in the cost of funding to replace the deposits, and losses primarily related to hedging.

Technology and Cybersecurity Risk

Technology and Cybersecurity risks for large financial institutions like the Bank continue to increase, especially due to heightened geopolitical tensions and a challenging macroeconomic environment that increase the risk of cyber-attacks. The rising risk of attacks on critical infrastructure and supply chains is due, in part, to the proliferation, sophistication and constant evolution of new technologies and attack methodologies used by threat actors, such as organized criminals, nation states, sociopolitical entities and other internal and external parties. Heightened risks may also result from the size and scale of a financial institution’s operations, geographic footprint, the complexity of its technology infrastructure, its reliance on internet capabilities, cloud and telecommunications technologies to conduct financial transactions, such as the continued development of mobile and internet banking platforms, as well as opportunistic threats by actors that have accelerated exploitations of new weaknesses, misconfigurations or vulnerabilities.

The Bank’s technologies, systems and networks, those of the Bank’s customers (including their own devices), and those of third parties providing services to the Bank, continue to be subject to cyber-attacks, and may be subject to disruption of services, data security or other breaches (such as loss or exposure of confidential information, including customer or employee information), identity theft and corporate espionage, or other incidents. The Bank has experienced service disruptions due to technology failure or connectivity issues triggered by a third party and may be subject to service disruptions in the future due to cyber-attacks and/or technology failure or connectivity issues. The Bank’s use of third-party service providers, including their subcontractors and supply chain, which are subject to these potential incidents, increases the risk of potential attack, breach or disruption; and may delay our response as the Bank has less immediate oversight and direct control over the third parties’ technology infrastructure or information security.

The Bank may experience material loss or damage in the future as a result of online attacks on banking systems and applications, supply chain attacks, ransomware attacks, introduction of malicious software, denial of service attacks, malicious insiders or service provider exfiltration of data, AI-assisted attacks, and phishing attacks, among others. Any of these attacks could result in fraud, unauthorized disclosure or theft of data or funds, or the disruption of the Bank’s operations. Cyber-attacks may include attempts by malicious insiders or service providers of the Bank to disrupt operations, access or disclose sensitive information or other data of the Bank, its customers, or its employees. Attempts to deceive employees, customers, service providers, or other users of the Bank’s systems continue to occur, in an effort to obtain sensitive information, gain access to the Bank’s or its customers’ or employees’ data or customer or Bank funds, or to disrupt the Bank’s operations. While these deception attempts have not resulted in materially adverse impacts on the Bank thus far, there can be no assurance that future deception attempts may not be successful, especially as threats become more sophisticated. In addition, the Bank’s customers may use personal devices, such as computers, smartphones, and tablets, which limits the Bank’s ability to mitigate certain risks introduced through these personal devices.

The Bank regularly reviews external events and assesses, and may enhance, its controls and response capabilities as it considers necessary to help mitigate against the risk of cyber-attacks or data security or other breaches in response to the evolving threat environment, but these activities may not mitigate all risks, and the Bank may experience loss or damage arising from such attacks or breaches. As a result, the industry and the Bank are susceptible to experiencing potential financial and non-financial loss and/or harm from these attacks or breaches. The adoption of certain technologies, such as cloud computing, AI, machine learning, robotics, and process automation call for continued focus and investment to manage the Bank’s risks. It is possible that the Bank, or those with whom the Bank does business, have not anticipated or implemented or may not anticipate or implement effective measures against all such cyber and technology-related risks, particularly because the tactics, techniques, and procedures used by threat actors change frequently and risks can originate from a wide variety of sources that have also become increasingly sophisticated.

Furthermore, the Bank's owned and operated applications, platforms, networks, processes, products, and services could be subject to failures or disruptions, or non-compliance with regulations as a result of human error, natural disasters, utility or infrastructure disruptions, pandemics or other public health emergencies, malicious insiders or service providers, cyber-attacks or other criminal or terrorist acts, which may impact the Bank's operations. Such adverse effects could limit the Bank's ability to deliver products and services to customers, and/or damage the Bank's reputation, which in turn could lead to financial loss. Cyber insurance providers continue to be concerned about systemic cyber risk, causing coverage term changes across the industry. This has the potential to impact the Bank's ability to mitigate risks through cyber insurance and may limit the amount of coverage available for financial losses.

The Bank's investments in its technology and cyber infrastructure, including the investment in its risk and control environment, may be inadequate to meet regulatory expectations, remain competitive, serve clients effectively, and avoid business disruptions or operational errors.

Data Risk

Data risk is the risk associated with inadequate or inappropriate use, management, or protection of the Bank's data assets, which may adversely impact the Bank's operations, strategic objectives, reputation, customer trust and financial results, and may result in financial losses, regulatory investigations and enforcement proceedings, and legal proceedings.

Data use cases have increased due to process automation and greater reliance on analytics and business intelligence to support decision-making. There are heightened risks and expectations for managing integrity and quality of customer data and privacy. This risk highlights the importance of effective controls to mitigate data risk and build and maintain the trust of our customers, shareholders, and regulators. Data risk spans broadly across multiple risk categories and business segments and typically arises out of operational risks such as technology, cybersecurity, AI, fraud, third-party, model, people and process risks.

TD's investments to improve its risk and control environment, modernize its data and technology, and operating model changes to further enhance data management and protection may be insufficient to meet regulatory expectations, remain competitive, serve clients effectively, and avoid business disruptions or operational errors.

Model Risk

Model Risk is the potential for adverse consequences arising from decisions based on incorrect or misused models and their outputs. Model uncertainty remains due to geopolitical events that could impact model performance (i.e., data used to calibrate models is not reflective of current environment and structural economic changes). Short- and long-term mitigants have been identified and executed to help improve resilience of models trained on historical data; however, management's efforts to assess and update models may not adequately or successfully improve the predictiveness of such models.

External Fraud Activity

External fraud risk is the risk associated with activities perpetuated by individuals or entities outside of the organization, to deceive, manipulate, or exploit the organization or its customers, or that have the potential to do the same, for financial and/or non-financial gain resulting in financial loss to the organization or its customers, and/or harm to shareholder value or the Bank's brand or reputation. These acts are perpetrated by external parties, such as customers or others. In deciding whether to extend credit or enter into other transactions with customers or counterparties, the Bank may rely on information furnished by or on behalf of such customers, counterparties or other external parties, including financial statements and financial information and authentication information. The Bank may also rely on the representations of customers, counterparties, and other external parties as to the accuracy and completeness of such information. Misrepresentation of this information potentially exposes the Bank to increased external fraud events when transacting with customers or counterparties. In order to authenticate customers, whether through the Bank's phone or digital channels or in its branches and stores, the Bank may also rely on certain authentication methods which could be subject to external fraud because of the technologies utilized by external threat actors.

Additionally, TD, and the industry, continues to experience elevated levels of fraud attempts. The Bank's investments in external fraud prevention and detection programs, capabilities, measures and defences, keeps external fraud activity within tolerable levels but may not successfully mitigate against all external fraud activity which could result in financial loss or disruptions in the Bank's businesses. In addition to the risk of material loss (financial loss, misappropriation of confidential information or other assets of the Bank or its customers and counterparties) that could result from external fraud activity, the Bank could face legal action and customer and market confidence in the Bank could be impacted by external fraud activity.

Insider Risk

Insider risk is the risk associated with an individual who has, or had, authorized access to TD's people, processes, technology, information, and facilities who intentionally or recklessly misuses their access, knowledge, or authority for improper, unlawful or unethical activities that could negatively affect the Bank including employees or customers.

The financial industry continues to observe an increased number of insider risk cases, leading to new or emerging threats. These cases may lead to data or privacy breaches, intellectual property theft, fraud, operational disruptions, and regulatory and compliance risks.

The Bank closely monitors the internal threat environment across all typologies and continues to invest in TD's insider risk management program, both in the first line preventative, detective and resolution tools and process, as well as in the second line oversight activity. Notwithstanding these investments, the risk of insider fraudulent activity is not fully mitigated and the Bank could be exposed to potential adverse regulatory, financial, operational, legal, and reputational impacts and losses as a result of insider events.

Conduct Risk

Conduct risk is the risk arising from employee conduct or business practices causing unfair outcomes to persons to whom we offer or sell our products or services, or harm to market integrity. Conduct risk may arise from the failure to comply with laws, regulatory requirements and standards, or the TD Code of Conduct and Ethics.

Conduct risk is a risk across all industries that can have significant impact to organizations, including the Bank. From time to time, some of the Bank's employees have failed, and may in the future fail to comply with applicable laws, regulatory requirements and standards, and the TD Code of Conduct and Ethics. Our systems and procedures, including the TD Code of Conduct and Ethics, may be inadequate to ensure that our employees comply with the law and operate with integrity, leading to damage to our business and reputation, regulatory action, or other potential adverse impacts to the Bank.

Third-Party Risk

The Bank recognizes the value of using third parties to support its businesses, as they provide access to modern applications, processes, products and services, specialized expertise, innovation, economies of scale, and operational efficiencies. However, the Bank may become dependent on third parties with respect to continuity, reliability, and security, and their associated processes, people and facilities. As the financial services industry and its supply chains become more complex, the need for resilient, robust, holistic, and sophisticated controls, and ongoing oversight increases.

The Bank also recognizes that the applications, platforms, networks, processes, products, and services from third parties could be subject to failures or disruptions impacting the delivery of services or products to the Bank. These failures or disruptions could be because of human error, natural disasters, utility or infrastructure disruptions, changes in the financial condition of such third parties, other general business and economic conditions which may impact such third parties, pandemics or other public health emergencies, malicious insiders or service providers, cyber-attacks or other criminal or terrorist acts, or non-compliance with regulations. Such adverse effects could limit the Bank's ability to deliver products and services to customers, lead to disruptions in the Bank's businesses, expose the Bank to financial losses that the Bank is unable to recover from such third parties, and expose the Bank to legal, operational and regulatory risks, including those outlined under the headings "Remediation of the Bank's U.S. BSA/AML Program and Enterprise AML Program", "Regulatory Oversight and Compliance Risk" and "Legal Proceedings", and/or damage the Bank's reputation, which in turn could result in an adverse impact to the Bank's operations, earnings or financial condition.

Catastrophe Risk

Catastrophe risk is the possibility that single or multiple large-scale catastrophic events could contribute to increased variability in insurance loss claims that differ significantly from expectations. Catastrophic events can increase volatility in the Bank's insurance business results and adversely affect liquidity, profitability and financial condition. Examples include hurricanes, earthquakes, hailstorms, windstorms, floods, severe winter weather, wildfires, and man-made disasters.

Although we use industry-standard models to estimate the likelihood and financial impact of natural disasters across the regions where we operate, these events and their associated losses remain inherently unpredictable. The models assume various conditions and probability scenarios and may not accurately predict future losses. Climate change adds further uncertainty to the frequency and severity of catastrophic events and to future trends and exposures. Additionally, the geographic concentration of insured individuals can amplify claims.

These factors may lead to higher reinsurance costs and reduced coverage for insurers, which could, in turn, limit customers' access to insurance due to availability or affordability constraints. For the Bank, catastrophe risk may ultimately increase credit losses if real or personal property is damaged during such events, particularly when insurance coverage is insufficient.

Introduction of New and Changes to Current Laws, Rules and Regulations

The financial services industry is highly regulated. The Bank's operations, profitability and reputation could be adversely affected by the introduction of new laws, rules and regulations, amendments to, or changes in interpretation or application of current laws, rules and regulations, issuance of judicial decisions, and changes in enforcement pace or activities. These adverse effects could also result from the fiscal, economic, and monetary policies of various central banks, regulatory agencies, self-regulatory organizations and governments in Canada, the U.S., the United Kingdom, Ireland, Asia Pacific and other countries and regions, and changes in the interpretation or implementation of those policies. Such adverse effects may include incurring additional costs and devoting additional resources to address initial and ongoing compliance; limiting the types or nature of products and services the Bank can provide and fees it can charge; unfavourably impacting the pricing and delivery of products and services the Bank provides; increasing the ability of new and existing competitors to compete on the basis of pricing, products and services (including, in jurisdictions outside Canada, the favouring of certain domestic institutions); and increasing risks associated with potential non-compliance. In addition to the adverse impacts described above, the Bank's failure to comply with applicable laws, rules and regulations could result in sanctions, financial and non-financial penalties, and changes including restrictions on offering certain products or services or on operating in certain jurisdictions, that could adversely impact its earnings, operations and reputation. See also the risks described under the heading "Remediation of the Bank's U.S. BSA/AML Program and Enterprise AML Program" and "Regulatory Oversight and Compliance Risk".

The regulation of financial crime, including, anti-money laundering, anti-terrorist financing and economic sanctions, continues to be a high priority globally, with an increasing pace of regulatory change and geopolitical events, along with heightened and evolving regulatory standards in all the jurisdictions in which the Bank operates.

The global data and privacy landscape is dynamic and regulatory expectations continue to evolve. New and amended legislation is anticipated in various jurisdictions in which the Bank does business.

Canadian and global regulators have been increasingly focused on conduct, operational resilience, consumer protection and fair access matters and risks, which could lead to investigations, remediation requirements, and higher compliance costs.

Regulators are maintaining their focus on some sustainability-related matters, including climate change, greenwashing and sustainable finance. Regulators are also adapting to shifts in policies causing some regulators to pause the development of disclosure rules and/or introducing amendments to the existing disclosure requirements in some of the jurisdictions in which the Bank does business. In addition, there may be changes in interpretation or application of current laws, rules and regulations to incorporate sustainability matters in ways that were not previously anticipated.

Despite the Bank's monitoring and evaluation of the potential impact of rules, proposals, public enforcement actions, consent orders and regulatory guidance, unanticipated new regulations or regulatory interpretations applicable to the Bank may be introduced by governments and regulators around the world and the issuance of judicial decisions may result in unanticipated consequences to the Bank.

Canada

In Canada, there are a number of government and regulatory initiatives underway that could impact financial institutions and initiatives with respect to payments evolution and modernization, open banking, consumer protection, protection of customer data, technology and cybersecurity, climate risk management and disclosure, greenwashing, dealing with vulnerable persons, competitiveness of the financial services industry, and anti-money laundering.

Some examples include:

- The Client Relationship Model Phase 3 (CRM3) requirements in Canada are set to take effect starting January 1, 2026, promoting enhanced transparency in reporting all costs associated with investment funds, including direct and indirect fees. This represents a significant regulatory evolution from Client Relationship Model Phase 2 (CRM2) by requiring financial institutions to provide investors with a detailed view of total investment costs and their impact on returns, thus aiming to improve investor understanding and trust. The impact largely stems from required upgrades to IT systems to produce scalable reporting. The transition to CRM3 demands strategic planning and resource allocation to manage compliance without overwhelming operational capacity, making it a potentially costly and complex endeavor for major financial institutions in Canada.
- The federal government is implementing AML related requirements as part of its mandated five-year review of Canada's AML Regime. In addition, further changes are proposed under Bill C-2, *the Strong Borders Act*, which would provide FINTRAC with enhanced supervisory and enforcement tools and powers. Many of the provisions are anticipated to have or will have short coming into force dates once finalized. It can also be expected that further changes may be required following the completion of the Financial Action Task Force (FATF) Mutual Evaluation of Canada's AML Regime, which is currently underway and anticipated to be completed in mid-2026. The pace of this change, the short timelines to implement and the evolving risks could result in increased costs and risk that may impact the Bank's businesses, operations and results.
- The Canadian Securities Administrators (CSA) is examining the implications of data portability in Canadian capital markets and is engaging industry stakeholders through a new cohort-based and forward-looking Testing Environment: the CSA Collaboratory. The first test within the CSA Collaboratory will seek to provide the CSA with a greater understanding of the impacts of data portability solutions and in particular the collection, analysis and transfer of client data, which is sometimes referred to as e-KYC solutions.

There also continues to be emphasis on reducing regulatory burden in certain domains:

- Canadian Investment Regulatory Organization (CIRO) launched a consultation on exploring the adoption of a Consumer-driven banking framework with a goal to reduce regulatory duplication, align national standards, securities legislation, while providing education and guidance. CIRO's Rule Consolidation Project continues to move forward in successive iterations, aimed to secure adoption of prior Investment Dealer and Partially Consolidated (IDPC) and Mutual Fund Dealers Association (MFDA) rules, with deemed material impacts on stakeholders. This tranche of proposed rules has broad reach and relates to outsourcing and service arrangements, continuing education, reporting, and handling of complaints, internal investigations and other reportable matters, recordkeeping and client reporting, financial insolvency, client asset use and custody, and financing arrangements.

United States

The current U.S. regulatory environment is marked by a shift in regulatory priorities at the federal level. Federal regulators have been working to: (i) ease capital requirements, (ii) streamline bank merger processes, (iii) facilitate engagement with digital assets including cryptocurrency and fintech partnerships, (iv) reduce barriers to AI innovation, and (v) address perceived biases in banking services. These changes lead to heightened risks and regulatory uncertainty – especially as it pertains to the potential for increased state scrutiny due to reduced Federal regulatory activity. Notable regulatory changes include the CFPB's withdrawal of 67 guidance documents and various proposed rules, halting of ongoing examinations, and termination of various enforcement orders. In addition, the Federal Reserve, OCC, and FDIC have issued a proposed rule rescinding the 2023 Community Reinvestment Act (CRA) final rule and replacing it with the CRA regulations which were in effect in 1995, with limited technical amendments. The Agencies prior CRA framework remains in effect given the pending litigation.

With respect to regulatory capital requirements, the banking agencies have jointly commenced a holistic review of the U.S. capital framework with the intent to ensure U.S. capital requirements: (i) are appropriately calibrated, (ii) free of unnecessary complexity or duplication, and (iii) effectively support financial stability within the industry. As part of this review, the banking agencies are contemplating potential changes to various components of the regulatory capital framework, including, risk-based capital, leverage-based capital, stress testing, and capital surcharges applied to the largest U.S. banking institutions. The Federal Reserve has indicated that work on proposed rules for Supplementary Leverage Ratio (SLR), Stress Capital Buffer (SCB), Globally Systemically Important Bank (G-SIB) surcharge, and Basel III are all in process. It is unclear what the substance of the proposals, any resulting final rules, the timing on finalization of the rules, and the time frame for compliance, will be. In April 2025, the Federal Reserve issued a proposed rule allowing the averaging of stress testing results over a period of two years. This is expected to be the first in a series of proposals to provide greater transparency in stress testing and reduce the volatility of stress capital buffers applied to large institutions during the stress testing process.

Under the prior administration, the FDIC, OCC, and DOJ adopted final policy statements on bank mergers, certain provisions of which were expected to temper merger activity among large banks. The current administration has taken actions to signal a more receptive attitude toward large bank consolidations going forward. An Executive Order issued in August 2025 revoked the previous administration order which called for greater scrutiny of mergers and acquisitions activity, including in the banking sector. The OCC and FDIC have rescinded their 2024 merger policy statements and reinstated their previous approaches to review of proposed bank mergers, and the DOJ is also expected to reassess its approach to bank mergers.

There is growing momentum around reassessing the prior Administration's skeptical stance on cryptocurrencies and digital assets. Following an Executive Order aimed at fostering digital assets and cryptocurrencies, both the FDIC and OCC eliminated prior approval requirements for insured banks offering crypto-related services, and rescinded previous risk guidance. Additionally, the enactment of the GENIUS ACT created a statutory framework for stablecoins, and the potential for additional legislation regarding non-stablecoin digital assets (including a push for overall market structure legislation covering digital assets).

The OCC removed references to reputational risk from its examination guidance. The Federal Reserve has announced it will remove reputational risk from its examination process and has commenced the process of removing references to reputation and reputational risk from its supervisory materials and examination manuals. The FDIC is expected to follow in the near term; these changes may also be codified through legislation.

An Executive Order was issued in August 2025 on debanking. The Executive Order directs the banking regulators to review whether banks are currently or previously engaged in unlawful debanking, and to impose remedial or disciplinary measures on those banks found to have done so. The regulators are required to conduct this review within 120 days of the issuance of the executive order. The OCC issued a request for information to nine of its largest supervised institutions regarding debanking and announced it will consider any unlawful debanking in evaluating applications from their supervised institutions, as well as in Community Reinvestment Act examinations and ratings. The Small Business Administration is also engaging in a review of debanking for SBA lenders.

Further to the Executive Order on debanking, the OCC and FDIC introduced a joint proposed rule which would prohibit the OCC and FDIC from criticizing or taking adverse actions against a financial institution on the basis of reputational risk. This step towards regulatory codification by the OCC and FDIC follows earlier steps taken by the OCC to remove references to reputational risk from their examination guidance, and announcements made by the FRB that it has commenced the process of removing reputational risk from its supervisory materials and examination manuals.

The FDIC and OCC have also jointly issued a proposed rule that would define “unsafe and unsound practice” and revise the framework for issuing Matters Requiring Attention (MRA). This proposal is intended to shift the focus of bank supervision towards financial risk and away from process. Both the joint proposed rule on Reputational Risk and the joint proposed rule on Unsafe and Unsound Practices and Matters Requiring Attention have a 60 day comment period ending on December 29, 2025. On November 18, 2025, the FRB publicly released an internal memorandum on Supervisory Operating Principles, which outlines internal directives for bank examiners and other supervisory staff which directs such staff to focus on material financial risk and not processes and procedures (among other changes to the issuance, and evaluation of MRAs and regulatory findings). This internal memorandum is not a binding rule, but it articulates the priorities of the current FRB Vice Chair for Supervision, and exam staff are expected to follow these principles. It is expected that the federal banking regulators will continue to take steps which reorient banking regulations to focus on material financial risks, and to deemphasize reputational risks. The regulators are expected to continue their efforts to combat debanking, including as they assess responses to their information requests on this issue.

Europe

In Europe, there remains a degree of uncertainty in connection with the future of the United Kingdom – European Union relationship, and reforms implemented through the existing and forthcoming EU law and regulation, including the Capital Requirements Directive VI, could result in higher operational and system costs and potential changes in the types of products and services the Bank can offer to customers in the region.

Level of Competition, Shifts in Consumer Attitudes, and Disruptive Technology

The Bank operates in a highly competitive industry, and its performance is impacted by the level of competition. Customer acquisition and retention can be influenced by many factors, including the Bank's brand and reputation as well as the pricing, market differentiation, and overall customer experience of the Bank's products and services.

Enhanced competition from incumbents and new entrants may impact the Bank's pricing of products and services and may cause it to lose revenue and/or market share. Increased competition requires the Bank to make persistent short- and long-term investments to modernize, remain competitive, and continue delivering differentiated value to its customers. In addition, the Bank operates in environments where laws and regulations that apply to it may not universally or equitably apply to its current and emerging competitors, which could include the domestic institutions in jurisdictions outside of Canada or the U.S., or non-traditional providers (such as Fintech or big technology competitors) of financial products and services. Non-depository or non-financial institutions are often able to offer products and services that were traditionally banking products and compete with banks in offering digital financial solutions (primarily mobile or web-based services), without facing the same regulatory and

capital requirements or oversight. These competitors may also operate at much lower costs relative to revenue or balances than traditional banks or offer financial services at a loss to drive user growth or to support their other profitable businesses. These third-parties can seek to acquire customer relationships, react quickly to changes in consumer behaviours, and disintermediate customers from their primary financial institution, which can also increase fraud and privacy risks for customers and financial institutions in general. The nature of disruption is such that it can be difficult to anticipate and/or respond to adequately or quickly, representing inherent risks to certain Bank businesses, including payments, lending and self-directed investing. As such, this type of competition could also adversely impact the Bank's earnings and competitive positioning.

As described in the “Remediation of the Bank's U.S. BSA/AML Program and Enterprise AML Program” section above, on October 10, 2024, the Bank and certain of its U.S. subsidiaries consented to orders with the OCC, the Federal Reserve Board and FinCEN, and entered into plea agreements with the U.S. DOJ. The negative impact of potential non-compliance with such orders and plea agreements on the Bank's brand and reputation, along with the number of limitations on the Bank's U.S. business imposed by such orders, could adversely affect the Bank's ability to attract and retain customers in the U.S. or elsewhere.

AI adoption by TD and by our third-party vendors, including newer technologies such as generative AI and agentic AI, presents risks and challenges such as regulatory and legal uncertainty, the risk of biased results or unreliable outputs if commercially implemented, compliance risks, reputational risks and operational risks including sophisticated and scaled fraud / scams, cyber, privacy, data-related, intellectual property, and third-party risks. Despite the Bank's efforts to evaluate such technologies before their use, these efforts may not successfully mitigate these technologies' inherent risks and challenges, which could result in financial loss or disruption to the Bank's businesses. In addition, the Bank could face legal action and customer and market confidence in the Bank could be impacted. Given the risk of potential disintermediation from incumbents, new entrants and Fintech / big technology competitors, the Bank may be required to make significant incremental investments in its innovation strategies and frameworks in order to remain competitive. reputational risks and operational risks including sophisticated and scaled fraud / scams, cyber, privacy, data-related, intellectual property, and third-party risks. Despite the Bank's efforts to evaluate such technologies before their use, these efforts may not successfully mitigate these technologies' inherent risks and challenges, which could result in financial loss or disruption to the Bank's businesses. In addition, the Bank could face legal action and customer and market confidence in the Bank could be impacted. Given the risk of potential disintermediation from incumbents, new entrants and Fintech / big technology competitors, the Bank may be required to make significant incremental investments in its innovation strategies and frameworks in order to remain competitive.

Adoption of digital assets such as cryptocurrencies, stablecoins, tokenized deposits and/or similar distributed ledger instruments is an emerging market development. Given market activity and regulatory change, particularly in the U.S, the Bank may need to make incremental investments within its risk appetite to participate in these digital asset businesses. This may expose the Bank to new risks including, but not limited to, fraud, cyber, privacy, data, legal and compliance, operational, intellectual property, third-party, and liquidity risks. There is also the risk that broad customer adoption may disintermediate or substitute the Bank's payment products, investment services and/or client deposits, impacting capital, fee income, and its ability to acquire and/or retain customers.

Environmental and Social Risk (including Climate-Related Risk)

As a financial institution, the Bank is subject to environmental and social (E&S) risk. E&S risk is a transverse risk, driving financial and non-financial risks. Drivers of E&S risk are often multi-faceted and can originate from the Bank's internal environment, including its operations, business activities, environmental and social-related commitments, products, clients, colleagues, or suppliers. Drivers of E&S risk can also originate from the Bank's external environment, including the communities in which the Bank operates, as well as second-order impacts of physical risks and the transition to a low-carbon economy.

Climate-related risk is the risk of financial loss or other harm resulting from the physical and transition risks of climate change to the Bank, its clients or the communities in which the Bank operates. This includes physical risks arising from the consequences of a changing climate, including acute physical risks stemming from extreme weather events happening with increasing severity and frequency (e.g., wildfires and floods), and chronic physical risks stemming from longer-term, progressive shifts in climatic and environmental conditions (e.g., rising sea levels and global warming). Transition risks arise from the process of shifting to a low-carbon economy, influenced by new and emerging climate-related public policies, potential and actual litigation, changing societal demands and preferences, technologies, stakeholder expectations, and legal developments.

Social risk is the risk of financial loss or other harm to the Bank, its clients or the communities in which the Bank operates resulting from social factors, including, but not limited to, adverse human rights (e.g., discrimination, Indigenous Peoples' rights, modern slavery, including forced labour and child labour and human trafficking), the social impacts of climate change (e.g., poverty, and economic and physical displacement) and the health and wellbeing of employees (e.g., inclusion and diversity, pay equity, mental health, equality, physical wellbeing, and workplace safety).

E&S risks may have financial, reputational, and/or other implications for both the Bank and its stakeholders (including customers, suppliers, and shareholders) over a range of timeframes. These risks may arise from the Bank's actual or perceived actions, or inaction, in relation to climate change and other E&S issues, its progress against its E&S targets or commitments, or its disclosures on these matters. These risks could also result from E&S matters impacting the Bank's stakeholders. The Bank's participation in external E&S-related organizations or commitments may exacerbate these risks and subject the Bank to increased scrutiny from its stakeholders. In addition, the Bank may be subject to legal and regulatory risks relating to E&S matters, including regulatory orders, fines, and enforcement actions, financial supervisory capital adequacy requirements, and legal action by shareholders or other stakeholders, including the risks described in the "Other Risk Factors – Legal Proceedings" section.

Limitations on the availability and reliability of data and methodologies may also impact the Bank's ability to assess and evaluate E&S risks. Although these limitations are expected to improve over time as the Bank continues to advance its data capabilities by working with internal and external subject matter experts, leading to more robust and reliable E&S risk monitoring, analysis, and reporting, these efforts are not expected to eliminate all E&S risks.

Failure to successfully manage E&S-related expectations across various divergent perspectives may negatively impact the Bank's reputation and financial results. "Greenwashing" and "social washing" can occur where claims of E&S benefits are made in relation to products or services or corporate performance that are false, give a misleading impression, or are not supported or substantiated. These claims have accelerated in focus inside and outside the Bank. Public commitments, new products and disclosures can potentially expose financial institutions to risk. Investigations and fines related to greenwashing claims have occurred in jurisdictions in which the Bank operates, including Canada, the U.S. and Europe. Requirements and penalties for greenwashing continue to evolve, and the Bank continues to closely monitor trends in this space.

OTHER RISK FACTORS

Legal Proceedings

Given the highly regulated and consumer-facing nature of the financial services industry, the Bank is exposed to significant regulatory, quasi-regulatory and self-regulatory investigations and enforcement proceedings related to its businesses and operations. In addition, the Bank and its subsidiaries are from time to time named as defendants or are otherwise involved in various class actions and other litigation or disputes with third parties related to their businesses and operations. A single event involving a potential violation of law or regulation may give rise to numerous and overlapping investigations and proceedings by multiple

federal, provincial, state or local agencies and officials in Canada, the U.S. or other jurisdictions. In addition, failure to satisfy settlement or consent agreements could lead to additional enforcement proceedings. For example, failure to comply with the terms of the U.S. BSA/AML related plea agreements with the DOJ during the five-year term of probation, including by failing to complete the compliance undertakings, failing to cooperate or to report alleged misconduct as required, or committing additional crimes, could also subject the Bank to further prosecution and additional financial penalties and ongoing compliance commitments, and could result in an extension of the length of the term of probation. Furthermore, if another financial institution violates a law or regulation relating to a particular business activity or practice, this will often give rise to an investigation by regulators and other governmental agencies of the same or similar activity or practice by the Bank.

Actions currently pending against the Bank, or in which the Bank is otherwise involved, may result in judgments, settlements, fines, penalties, disgorgements, injunctions, increased exposure to litigation, business improvement orders, limitations or prohibitions from engaging in business activities, changes to the operation or management of business activities, or other results adverse to the Bank, which could materially affect the Bank's businesses, financial condition and operations, and/or cause serious reputational harm to the Bank, which could also affect the Bank's future business prospects. Moreover, some claims asserted against the Bank may be highly complex and include novel or untested legal theories. The outcome of such proceedings may be difficult to predict or estimate, in some instances, until late in the proceedings, investigations, or enforcement matters, which may last several years. Although the Bank establishes reserves for these matters according to accounting requirements, the amount of loss ultimately incurred in relation to those matters may be material and may be substantially different from the amounts accrued. Furthermore, the Bank may not establish reserves for matters where the outcome is uncertain. Regulators and other government agencies examine the operations of the Bank and its subsidiaries on both a routine- and targeted-exam basis, and they may pursue regulatory settlements, criminal proceedings or other enforcement actions against the Bank in the future.

For additional information relating to the Bank's material legal proceedings, refer to Note 25 of the 2025 Consolidated Financial Statements.

Ability to Attract, Develop, and Retain Key Talent

The Bank's future performance is dependent on the availability of qualified talent, the Bank's ability to attract, develop, and retain key talent and effectively manage changes in leadership. The Bank's management understands that the competition for talent continues across geographies, industries, and emerging capabilities in a number of sectors including financial services. This competition is expected to continue as a result of the rapid speed of AI adoption, regulatory expectations, economic conditions, and ongoing changes to established work models. This could result in increased attrition, particularly in areas where core professional and specialized skills are required.

As described in the "Remediation of the Bank's U.S. BSA/AML Program and Enterprise AML Program" section above, on October 10, 2024, the Bank and certain of its U.S. subsidiaries consented to orders with the OCC, the Federal Reserve Board and FinCEN, and entered into plea agreements with the U.S. DOJ. The negative impact of such orders and plea agreements on the Bank's reputation, along with the number of limitations on the Bank's U.S. business imposed by such orders, could adversely affect our ability to attract and retain our talent in the U.S. or elsewhere.

Although it is the goal of the Bank's enterprise programs, management resource policies and practices to attract, develop, and retain key talent employed by the Bank or an entity acquired by the Bank, the Bank may not be able to do so, and these actions may not be sufficient to mitigate attrition.

Foreign Exchange Rates, Interest Rates, Credit Spreads, Equity Prices, and Commodity Prices

Foreign exchange rate, interest rate, credit spread, equity price, and commodity price movements in Canada, the U.S., and other jurisdictions in which the Bank does business, impact the Bank's financial position and its future earnings. Changes in the value of the Canadian dollar relative to the global foreign exchange rates may also affect the earnings of the Bank's small business, commercial, and corporate customers. A change in the level of interest rates affects the interest spread between the Bank's deposits and loans, as well as other interest-bearing assets and liabilities, and, as a result, impacts the Bank's net interest income. In particular, elevated interest rates would increase the Bank's interest income from its investments, loan products and other assets but could also have adverse impacts on the Bank's cost of funding and may also result in the risks outlined under the heading "Inflation, Interest Rates and Recession Uncertainty". A change in the level of credit spreads affects the relative valuation of assets and liabilities and, as a result, impacts the Bank's earnings and widening credit spreads could also result in significant losses on the holding value of the Bank's mark-to-market investments or, if, to generate liquidity, the Bank has to sell assets that have suffered a decline in value. A change in equity prices for any unhedged tradeable equity securities held by the Bank may impact its financial position and future earnings. A change in commodity prices may impact the value of underlying assets and liabilities. The trading and non-trading market risk frameworks and policies manage the Bank's risk appetite for known market risk, but such activities may not be sufficient to mitigate against such market risk, and the Bank remains exposed to unforeseen market risk.

Downgrade, Suspension or Withdrawal of Ratings Assigned by Any Rating Agency

Credit ratings may impact the Bank's access to, and cost of, raising funding and its ability to engage in certain business activities on a cost-effective basis. Credit ratings and outlooks provided by rating agencies reflect their views and methodologies and are subject to change based on a number of factors including the Bank's financial strength, asset quality, competitive position, liquidity and capital positions, corporate governance and risk management, as well as factors not entirely within the Bank's control, including conditions affecting the greater financial services industry. Adjustments to our credit ratings may contribute to additional collateral or funding obligations which, depending on their severity, could have a material adverse effect on our liquidity, including credit-related contingent features in certain derivative contracts, our ability to raise funds and/or borrowing costs.

Some of the Bank's credit ratings were downgraded following the remediation of the Bank's U.S. BSA/AML Program and Enterprise AML Program, and the Bank's credit ratings and outlooks could be further downgraded if the rating agencies consider that the impact of the Global Resolution on the Bank is more negative or sustained longer than expected, including if the Bank fails to meet the requirements imposed by its regulators or if the non-monetary penalties weaken the Bank's U.S. franchise.

Value and Market Price of our Common Shares and other Securities

The market price of the Bank's common shares and other securities may be impacted by market conditions and other factors, and securityholders may not be able to sell their securities at or above the price at which they purchased such securities. The volume, value and trading price of the Bank's securities could fluctuate significantly in response to factors both related and unrelated to our operating or financial performance and/or future prospects, including: (i) variations in the Bank's financial and operating results and financial condition; (ii) the Bank's ability to satisfy the

terms of the Global Resolution; (iii) the impact of the Global Resolution on the Bank's businesses, operations and financial condition, including the asset limitation on the U.S. Bank; (iv) the Bank being subject to further prosecution or financial penalties, which may occur if the Bank fails to comply with the terms of the plea agreements with the DOJ during the five-year term of probation; (v) the Bank's or U.S. Bank's former or current directors, officers or employees becoming subject to civil or criminal investigations or enforcement proceedings in relation to the Bank's U.S. BSA/AML program; (vi) differences between the Bank's actual financial and operating results and financial condition and those expected by investors and analysts, including failure to meet financial targets; (vii) changes in perception by investors and analysts in the Bank's businesses, operations or financial condition; (viii) conduct by the Bank's employees, third party contractors or agents that adversely affects the Bank's reputation; (ix) the Bank's inability to execute on long-term strategies and shorter-term key strategic priorities; (x) the occurrence of significant technology or cybersecurity events; (xi) changes in the general business, market or economic conditions in the regions in which the Bank operates including as a result of geopolitical instability or in conditions affecting financial institutions or the financial services industry generally; (xii) fluctuations in inflation and interest rates; (xiii) volatility on exchanges on which the Bank's securities are traded; (xiv) actual or prospective changes in applicable laws, regulations or rules; and (xv) the materialization of other risks described in this "Risk Factors that May Affect Future Results" section.

Interconnectivity of Financial Institutions

The financial services industry is highly interconnected such that a significant volume of transactions occur among the members of the industry. The interconnectivity of multiple financial institutions with central or common agents, exchanges and clearinghouses increases the risk that a financial or operational failure at one institution or entity may cause more widespread failures that could materially impact our ability to conduct business. Any such failure, termination or constraint could adversely affect our ability to effect transactions, service our clients, manage our exposure to risk or result in financial loss or liability to our clients.

Additionally, the Bank routinely transacts among an array of different financial products and services with counterparties in the financial services industry, including banks, investment banks, governments, central banks, insurance companies and other financial institutions. A rapid deterioration of a counterparty, or of a systemically significant market participant that is not a counterparty of the Bank, could lead to creditworthiness concerns of other borrowers or counterparties in related or dependent industries, and can lead to substantial disruption within the financial markets. These conditions could cause the Bank to incur significant losses or other adverse impacts to the Bank's financial condition. Furthermore, there is no assurance that industry regulators or government authorities will provide support in the event of the failure or financial distress of other banks or financial institutions, or that they would do so in a timely fashion.

Accounting Policies and Methods Used by the Bank

The Bank's accounting policies and estimates are essential to understanding its results of operations and financial condition. Some of the Bank's policies require subjective, complex judgments and estimates as they relate to matters that are inherently uncertain. Changes in these judgments or estimates and changes to accounting standards and policies could have a materially adverse impact on the Bank's Consolidated Financial Statements, and its reputation. Material accounting policies as well as current and future changes in accounting policies are described in Note 2 and Note 4, respectively, and significant accounting judgments, estimates, and assumptions are described in Note 3 of the 2025 Consolidated Financial Statements.

Managing Risk

EXECUTIVE SUMMARY

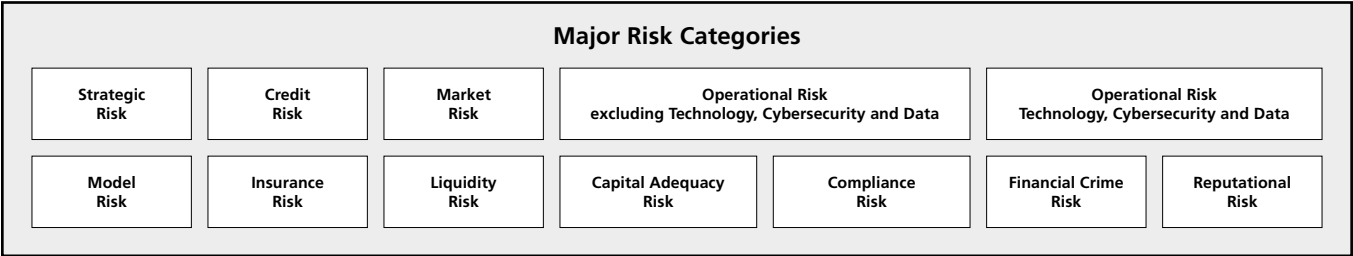
Growing profitability based on balanced revenue, expenses and capital growth involves selectively taking and managing risks within the Bank's risk appetite. The Bank's goal is to earn a stable and sustainable rate of return for every dollar of risk it takes, while putting significant emphasis on investing in its businesses to meet its strategic objectives.

The Bank's Enterprise Risk Framework (ERF) reinforces the Bank's risk culture, which emphasizes transparency and accountability, and supports a common understanding among stakeholders of how the Bank manages risk. The ERF addresses: (1) how the Bank defines the types of risk it is exposed to; (2) how the Bank determines the risks arising from the Bank's strategy and operations; (3) risk management governance and organization; and (4) how the Bank manages risk through processes that identify and assess, measure, control, monitor, and report on risk.

The Bank's risk management resources and processes are designed to both challenge and enable all its businesses and operations to understand the risks they face and to manage them within the Bank's risk appetite.

RISKS INVOLVED IN TD'S BUSINESSES

The Bank's Risk Inventory sets out the Bank's major risk categories and related subcategories to which the Bank's businesses and operations could be exposed. The Risk Inventory facilitates consistent risk identification, assessment, control, measurement, monitoring, reporting, and disclosure of TD's risks. The Risk Inventory is the starting point in developing risk management strategies and processes. The Bank's major risk categories are: Strategic Risk; Credit Risk; Market Risk; Operational Risk excluding Technology, Cybersecurity and Data; Operational Risk – Technology, Cybersecurity and Data; Model Risk; Insurance Risk; Liquidity Risk; Capital Adequacy Risk; Compliance Risk; Financial Crime Risk, and Reputational Risk.



RISK APPETITE

The Bank's Risk Appetite Statement (RAS) is the primary means used to communicate how the Bank views risk and determines the type and amount of risk it is willing to take to deliver on its strategy and to enhance shareholder value. In setting the risk appetite, the Bank takes into account its vision, purpose, strategy, shared commitments, and capacity to bear risk under both normal and recessionary/stress conditions. The core risk principles for the Bank's RAS are as follows:

- The Bank takes risks required to build its business, but only if those risks:
- 1. Fit the business strategy, and can be understood and managed.
- 2. Do not expose the enterprise to any significant single loss event; TD does not 'bet the Bank' on any single acquisition, business, product or decision.
- 3. Do not risk harming the TD brand.

The Bank's Risk Appetite Governance Framework (RAGF) describes the assumptions, responsibilities, and processes established to define, maintain, govern and monitor TD's risk appetite, and associated risk measures. The Bank considers current operating conditions and the impact of emerging risks in developing and applying its risk appetite. Adherence to the Bank's risk appetite is managed and monitored across the Bank and is informed by the RAGF and a broad collection of principles, frameworks, policies, processes, and tools.

The Bank's RAS describes, by major risk category, the Bank's risk principles and establishes both qualitative and quantitative measures, thresholds, and limits, as appropriate. RAS measures consider both normal and stress scenarios and include those that can be monitored at the enterprise level and cascaded to the segments.

Risk Management is responsible for establishing practices and processes to formulate, monitor, and report on the Bank's RAS measures. The Risk Management function also monitors and evaluates the effectiveness of these practices and processes, as well as the RAS measures. Compliance with RAS principles and measures is assessed and reported regularly to senior management, the Board, and the Risk Committee of the Board (Risk Committee); other measures are tracked on an ongoing basis by management, and escalated to senior management and the Board, as required.

RISK CULTURE

Risk culture is the attitudes and behaviours around taking and managing risk in the Bank and is guided by our shared commitments and the TD Culture Framework. The TD Culture Framework defines culture at TD including expected behaviours and desired outcomes, describes our fundamental mechanisms to drive; embed; and reinforce our desired culture and provides a comprehensive approach to culture oversight. The shared commitments are the behaviours that differentiate the Bank and help guide the way the Bank runs its business, grows its leaders, supports its colleagues, and serves its communities. Risk culture is one of the attributes that is integral to the Bank's overall organizational culture. The Risk Committee engages with the Chief Risk Officer (CRO) who leads a diverse team of risk professionals to drive a proactive risk culture. The central oversight for organizational culture at TD is led by Human Resources (HR) in partnership with Risk Management.

The Bank's risk culture starts with the "tone at the top" set by the Chief Executive Officer (CEO) and the Senior Executive Team (SET), and is supported by the Bank's vision, purpose, shared commitments, Code of Conduct and Ethics and risk appetite. These governing objectives describe and drive the behaviours, decision making, and business practices that the Bank seeks to foster among its employees, in building a culture where the only risks taken are those within our established risk appetite. The Bank's risk culture reinforces that it is everyone's accountability to self-reflect, learn from past experiences, encourage open communication, escalate matters on a timely basis, and strive for transparency on all aspects of risk taking. The Bank's employees are expected to challenge, communicate, self-identify and escalate in a timely, accurate and forthright manner when they believe the Bank is operating outside of its desired risk culture or risk appetite.

Ethics, integrity and conduct is a pillar of TD's culture and is a key component of the Bank's risk culture. The Bank's Code of Conduct and Ethics guides employees and directors to make decisions that meet the highest standards of integrity, professionalism, and ethical behaviour. Every Bank employee and director is expected and required to assess business decisions and actions on behalf of the organization in light of whether it is right, legal, and fair.

The Bank's desired risk culture is reinforced by linking compensation to management's performance against the Bank's risk appetite. An annual consolidated assessment of management's performance against the RAS is prepared by Risk Management, reviewed by the Risk Committee, and is used by the HR Committee as a key input into compensation decisions. All executives are individually assessed against objectives that include consideration of risk and control behaviours. This comprehensive approach allows the Bank to consider whether the actions of senior management resulted in risk and control events within their area of responsibility.

In addition, Oversight Functions operate independently from segments, supported by an organizational structure that is designed to provide objective oversight and independent challenge. Oversight Function heads, including the CRO, have unfettered access to respective Board committees to raise risk, compliance, and other issues. Lastly, awareness and communication of the Bank's RAS and the ERF take place across the organization through enterprise risk communication programs, employee orientation and training, and participation in internal risk management conferences. These activities further strengthen the Bank's risk culture by increasing the knowledge and understanding of the Bank's expectations for risk taking.

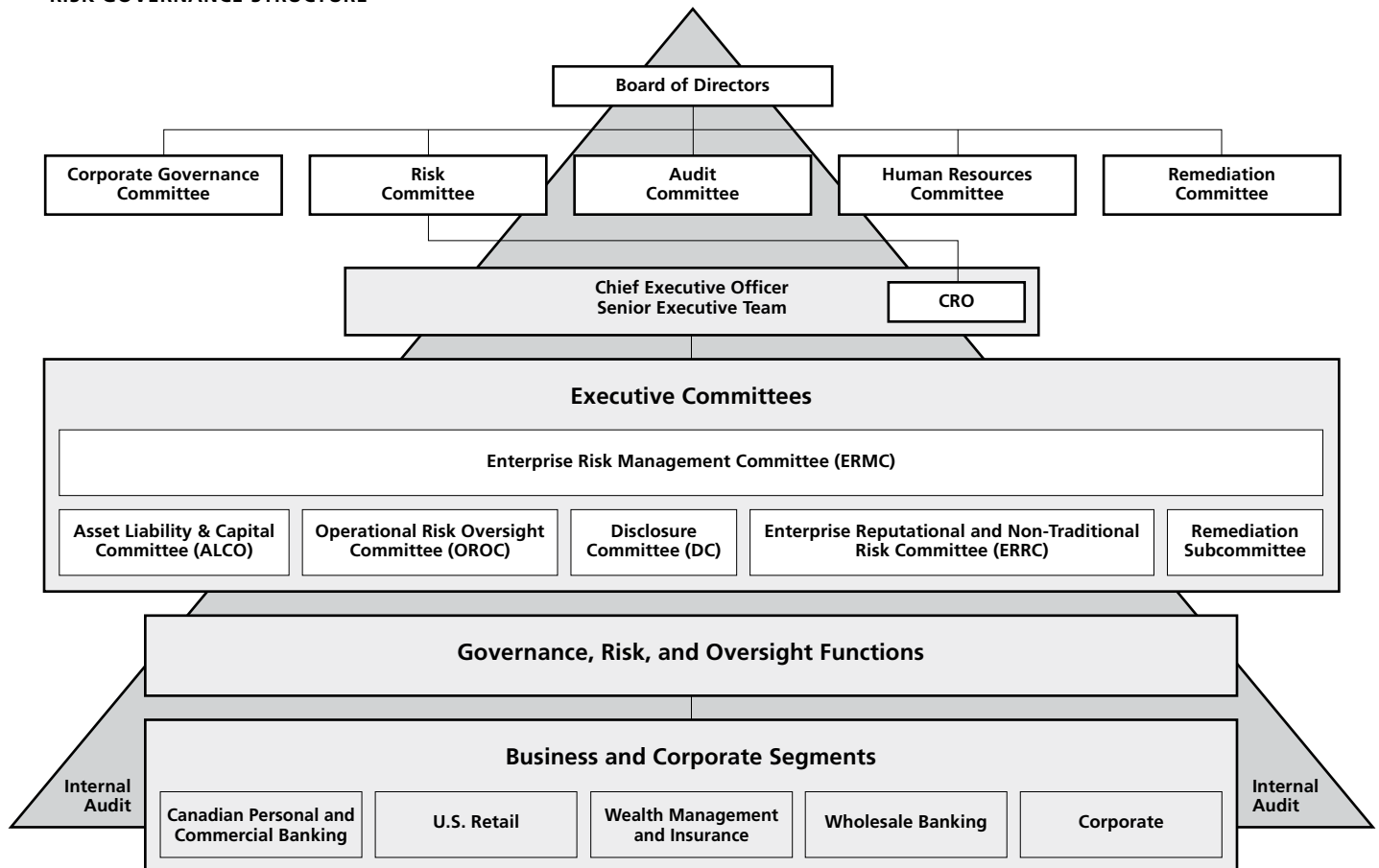
WHO MANAGES RISK

The Bank's risk governance structure emphasizes and balances strong independent oversight with clear ownership for risk across the Bank. Under the Bank's approach to risk governance, a "three lines of defence" model is employed, in which the first line of defence is the risk owner, the second line provides risk oversight, and the third line is internal audit.

The Bank's risk governance model includes a senior management committee structure that is designed to support transparent risk reporting and discussions. The Bank's overall risk and control oversight is provided by the Board and its Committees. The CEO and SET determine the Bank's long-term direction which is then carried out by segments within the Bank's risk appetite. Risk Management, headed by the CRO, sets enterprise risk strategy and policy and provides independent oversight to support a comprehensive and proactive risk management approach. The CRO, who is also a member of the SET, has unfettered access to the Risk Committee. In addition, the Chief Anti-Money Laundering Officer and the Chief Compliance Officer have unfettered access to the Audit Committee.

The Bank has a subsidiary governance framework to support its overall risk governance structure, including Boards of Directors, and committees for various subsidiary entities where appropriate. Specific to the U.S. Retail business segment, oversight of risk and controls is provided by the respective U.S. subsidiaries' Boards of Directors and their Board Risk and Audit Committees. The U.S. Chief Risk Officer (U.S. CRO) has unfettered access to the U.S. Board Risk Committee, the U.S. BSA Officer has unfettered access to the U.S. Board Audit and U.S. Compliance Committees, and the U.S. Chief Compliance Officer has unfettered access to the U.S. Audit Committee. In addition, as further described in "Update on the Remediation of the U.S. Bank Secrecy Act/Anti-Money Laundering Program and Enterprise AML Program", the Bank is undertaking a remediation of its U.S. BSA/AML Program, which is a cross-functional undertaking, spanning business lines and control functions. The Bank has established a dedicated program management infrastructure to monitor execution against the remediation program. This work is being overseen by the U.S. Compliance Committee and the Enterprise Remediation Committee.

RISK GOVERNANCE STRUCTURE



The Board of Directors

The Board oversees the Bank's strategic direction, the implementation of an effective risk culture and the internal control framework across the enterprise. It accomplishes its risk management mandate both directly and through its five committees: Audit, Risk, HR, Corporate Governance and Remediation. The Board reviews and approves the Bank's RAS and related RAS measures at least annually, and monitors the Bank's risk profile and performance relative to its risk appetite measures and principles. In addition, the Board has oversight of the Bank's management of capital, liquidity and of the integrity and effectiveness of the Bank's internal controls.

The Audit Committee

The Audit Committee oversees financial reporting, the adequacy and effectiveness of internal controls, including internal controls over financial reporting, and the activities of the Shareholders' Auditor, Internal Audit Division, Finance Department, TD Compliance Department, and Financial Crime Risk Management Department, including Anti-Money Laundering/Anti-Terrorist Financing/Economic Sanctions/Anti-Bribery and Anti-Corruption programs. The Committee also recommends to the Board and shareholders regarding the appointment of the external auditor. In addition, the Committee has oversight of the establishment and maintenance of policies and programs reasonably designed to achieve and maintain the Bank's compliance with applicable laws and regulations. In support of this oversight, the Committee reviews any significant litigation and regulatory matters. The Committee also acts as the audit committee for certain subsidiaries of the Bank that are federally regulated financial institutions.

The Risk Committee

The Risk Committee is responsible for reviewing and approving the Enterprise Risk Framework ("ERF") and related risk category frameworks and policies that are designed to help manage the Bank's risk exposures. The Committee also reviews and recommends the Enterprise RAS for approval by the Board annually. In addition, the Committee oversees the management of TD's risk profile and performance relative to its risk appetite. In support of this oversight, the Committee reviews and approves significant enterprise-wide risk management frameworks and policies, provides a forum for a comprehensive analysis of an enterprise view of risk including consideration of trends, and current and emerging risks.

The Human Resources Committee

The HR Committee oversees the management of the Bank's culture and approves the Bank's Culture Framework. It also satisfies itself that HR risks are appropriately identified, assessed, and managed in a manner consistent with the risk programs within the Bank, and with the sustainable achievement of the Bank's business objectives. In addition, the Committee monitors the Bank's compensation strategy, plans, policies and practices, including the appropriate consideration of risk.

The Corporate Governance Committee

The Corporate Governance Committee develops, and where appropriate, recommends to the Board for approval corporate governance principles, including the Bank's Code of Conduct and Ethics, aimed at fostering a healthy governance culture at the Bank, and also acts as the conduct review committee for the Bank and certain subsidiaries of the Bank that are federally regulated financial institutions, including providing oversight of conduct risk. In addition, the Committee has oversight of the Bank's strategy, performance and reporting on corporate responsibility for sustainability matters, the establishment and maintenance of policies in respect of the Bank's compliance with the consumer protection provisions of the Financial Consumer Protection Framework, and regularly assesses Board succession planning considerations.

The Remediation Committee

The Board approved the establishment of a Remediation Committee effective December 5, 2024, with a mandate to provide oversight of the Bank's compliance with certain regulatory enforcement-related orders and agreements. The Committee oversees and challenges, through regular reports from management across all three lines of defence, the timely progress, implementation and sustainability of required remediation activities, including oversight of the sustainable implementation of transformation initiatives and improvements in each applicable business and corporate segment.

Chief Executive Officer and Senior Executive Team

The CEO and the SET develop and recommend to the Board the Bank's long-term strategic direction and also develop and recommend for Board approval TD's RAS. The SET members set the "tone at the top" and manage risk in accordance with the Bank's RAS while considering the impact of current and emerging risks on the Bank's strategy and risk profile. This accountability includes identifying, understanding and communicating significant risks to the Risk Committee.

Executive Committees

The CEO, in consultation with the CRO establishes the Bank's executive committee structure. These committees are chaired by SET members and meet regularly to oversee governance, risk, and control activities and to review and monitor risk strategies and associated risk activities and practices.

The ERM, chaired by the CEO, oversees the management of major enterprise governance, risk, and control activities and promotes an integrated and effective risk management culture. The following executive committees have been established to manage specific major risks based on the nature of the risk and related business activity:

- ALCO – chaired by the Chief Financial Officer (CFO), the ALCO oversees directly and through its standing subcommittees (the Enterprise Capital Committee and Global Liquidity and Funding (GLF) Committee) the management of the Bank's consolidated non-trading market risk and each of its consolidated liquidity, funding, investments, and capital positions.
- OROC – chaired by the CRO, the OROC oversees the identification, monitoring, and control of key risks within the Bank's operational risk profile.
- DC – chaired by the CFO, the DC oversees that appropriate controls and procedures are in place and operating to permit timely, accurate, balanced, and compliant disclosure to regulators with respect to public disclosure, shareholders, and the market.
- ERRC – chaired by the CRO, the ERRC oversees the management of reputational risk within the Bank's risk appetite, provides a forum for discussion, review, and escalation for non-traditional risks, and acts as a decisioning body in cases where urgent risk assessment and decisions are required for select high-risk cross-segment/enterprise changes and where decision rights run across more than one group.
- Remediation Subcommittee – chaired by the CRO, this subcommittee provides dedicated senior executive oversight, direction, and guidance on risk transformation activities to address specific regulatory remediation, maturity initiatives, and provide Enterprise oversight of enforcement actions under the U.S. Remediation Office.

Risk Management

The Risk Management function, headed by the CRO, provides independent oversight of enterprise-wide risk management, risk governance, and control, including the setting of risk strategy and policy to manage risk in alignment with the Bank's risk appetite and business strategy. Risk Management's primary objective is to support a comprehensive and proactive approach to risk management that promotes a strong risk culture. Risk Management works with the segments and other oversight functions to establish policies, standards, and limits that align with the Bank's risk appetite and monitors and reports on current and emerging risks and compliance with the Bank's risk appetite. The CRO leads and directs a diverse team of risk management professionals, including regulatory compliance and financial crime risk management (including anti-money laundering), organized to oversee risks arising from each of the Bank's major risk categories. There is an established process in place for the identification and assessment of top and emerging risks, including tail risk i.e., low probability events that can result in large or unquantifiable losses, material intervention or action from regulators, and/or significant harm to the TD brand. In addition, the Bank has clear procedures governing when and how risk events and issues are communicated to senior management and the Risk Committee.

Business and Corporate Segments

Each business and corporate segment has a dedicated risk management function that reports directly to a senior risk executive who, in turn, reports to the CRO. This structure supports an appropriate level of independent oversight while emphasizing accountability for risk within the segment. Business and corporate management is responsible for setting the segment-level risk appetite and measures, which are reviewed and challenged by Risk Management, endorsed by the ERM, and approved by the CEO, to align with the Bank's RAS and manage risk within approved risk limits.

The corporate segment includes service and control groups (e.g., Platforms and Technology; Transformation, Enablement and Customer Experience; HR and Finance) that, like business segments, are responsible for assessing risk, designing and implementing controls and monitoring and reporting their ongoing effectiveness.

Internal Audit

The Bank's Internal Audit function provides independent and objective assurance to the Board regarding the reliability and effectiveness of key elements of the Bank's risk management, internal control, and governance processes.

TD Compliance Department (Compliance)

Compliance is an independent regulatory compliance risk and oversight function for business conduct and market conduct laws, rules and regulations (LRRs). Compliance is also responsible for the design and oversight of the Bank's Regulatory Compliance Management (RCM) program in accordance with the Enterprise RCM Framework and related standards and supports the provision of the Chief Compliance Officer's opinion to the Audit Committee as to whether the RCM controls are sufficiently robust to achieve compliance with applicable laws, rules and regulatory requirements enterprise-wide.

Financial Crime Risk Management (FCRM)

FCRM, previously Global Anti-Money Laundering, is responsible for the oversight of TD's regulatory compliance regarding AML, Anti-Terrorist Financing, Economic Sanctions, and Anti-Bribery/Anti-Corruption (collectively, "Financial Crime Risk" or "FCR") and assesses the adequacy of, adherence to and effectiveness of the Bank's day-to-day controls of the FCR Programs, using a risk-based approach. FCRM is also responsible for regulatory compliance and broader prudential risk management across the Bank in alignment with enterprise AML, Sanctions and Anti-Bribery/Anti-Corruption policies so that money laundering, terrorist financing, economic sanctions, and bribery and corruption risks are appropriately identified and mitigated. FCRM reports to the Audit Committee and ERM on the overall adequacy and effectiveness of the FCR Programs including AML, program design and operations.

As described in the "Update on the Remediation of the U.S. Bank Secrecy Act/Anti-Money Laundering Program and Enterprise AML Program" section, a remediation plan is in place to address U.S. BSA/AML regulatory requirements and deliver on enhancements to strengthen the AML program across the Global Bank, with the goal of enabling the Bank's compliance with regulatory expectations including how we identify, measure, monitor and mitigate AML related risks.

Both the U.S. and the Global programs have established risk mitigation and enhancement programs to help ensure that any interim risks are appropriately identified and managed according to established Risk Management standards during the period that the full multi-year remediation and enhancement activities are delivered. The scope of the risk mitigation program extends beyond FCRM specific risks and is focused on helping to ensure that additional risks arising from the Bank undertaking this type and scale of change are appropriately managed, including Model Risk, Technology and Data Risk, Third Party Risk and Operational Risk.

Three Lines of Defence

In order to further the understanding of responsibilities for risk management, the Bank employs the following “three lines of defence” model that describes the respective accountabilities of each line of defence in managing risk across the Bank.

THREE LINES OF DEFENCE	
First Line	Risk Owner
Identify and Control	• Own, identify, manage, measure, and monitor current and emerging risks in day-to-day activities, operations, products, and services. • Understand the risks, including tail risks, across relevant risk categories (what could go wrong and the potential impact to the Bank’s customers, colleagues, and the Bank itself). • Identify and understand the applicable LRRs, including LRRs specific to the business. • Promote ongoing initiatives to raise the profile of risk considerations and understand key risks impacting the business. • Implement governance and control processes to promote risk awareness, clear risk ownership within the business, and personal accountability. • Design, implement, and maintain appropriate mitigating controls, and assess the design and operating effectiveness of those controls. • Understand and monitor control gaps and proactively self-identify and remediate issues. • Conduct continuous monitoring of risk exposures, and any internal or external developments that may impact those risks. This includes monitoring and reporting on risk profile so that activities are within TD’s risk appetite and policies. • Implement risk-based approval processes for all new products, activities, processes, and systems. • Escalate risk issues and develop and implement action plans in a timely manner. • Develop and deliver training, tools, and advice to support its accountabilities. • Promote a strong risk culture.
Second Line	Risk Oversight
Set Standards and Challenge	• Establish and communicate enterprise governance, risk, and control strategies, frameworks, and policies. • Provide oversight and independent challenge to the first line through an effective objective assessment, that is evidenced and, where significant, documented, including: – Challenge the quality and sufficiency of the first line’s risk activities; – Identify and assess current and emerging risks and controls, using a risk-based approach, as appropriate; – Monitor the adequacy and effectiveness of internal control activities; – Review and discuss assumptions, material risk decisions and outcomes; – Aggregate and share results across business lines and control areas to identify similar events, patterns, or broad trends; and – Monitor the execution of the Bank’s remediation activities. • Identify and assess, and communicate relevant regulatory changes for the applicable LRRs. • Develop and implement risk measurement tools so that activities are within TD’s RAS. • Monitor and report on compliance with the Bank’s RAS and policies. • Escalate risk issues in a timely manner, with a focus on maintaining transparency to key stakeholders. • Report on the risks of the Bank on an enterprise-wide and disaggregated level to the Board and/or senior management, independently of the business lines or operational management. • Provide training, tools, and advice to support the first line in carrying out its accountabilities. • Promote a strong risk culture. • Where the second line of defence is a risk owner, roles and responsibilities defined under 1st line of defence apply
Third Line	Internal Audit
Independent Assurance	• Verify independently that TD’s ERF is designed and operating effectively. • Validate the effectiveness of the first and second lines of defence in fulfilling their mandates and managing risk.

APPROACH TO RISK MANAGEMENT PROCESSES

The Bank's comprehensive and proactive approach to risk management is comprised of four processes: risk identification and assessment, measurement, control, and monitoring and reporting.

Risk Identification and Assessment

Risk identification and assessment is focused on recognizing and understanding existing risks, risks that may arise from new or evolving business initiatives, aggregate risks, tail risks, and emerging risks from the changing environment. The Bank's objective is to establish and maintain integrated risk identification and assessment processes that enhance the understanding of risk interdependencies, consider how risk types intersect, and support the identification of emerging risks. To that end, the Bank's Enterprise-Wide Stress Testing (EWST) program enables senior management, the Board, and its committees to identify and articulate enterprise-wide risks and understand potential vulnerabilities for the Bank.

Risk Measurement

The ability to quantify risks is a key component of the Bank's risk management process. The Bank's risk measurement process aligns with regulatory requirements such as capital adequacy, leverage ratios, liquidity measures, stress testing, and maximum credit exposure guidelines established by its regulators. Additionally, the Bank has a process in place to quantify risks to provide accurate and timely measurements of the risks it assumes.

In quantifying risk, the Bank uses various risk measurement methodologies, including Value-at-Risk (VaR) analysis, scenario analysis, stress testing, and limits. Other examples of risk measurements include credit exposures, PCL, peer comparisons, trending analysis, liquidity coverage, leverage ratios, capital adequacy metrics, and operational risk event notification metrics. The Bank also requires segments and oversight functions to assess key risks and internal controls through a structured Risk and Control Self-Assessment program. Internal and external risk events are monitored to assess whether the Bank's internal controls are effective. This allows the Bank to identify, escalate, and monitor significant risk issues as needed.

Risk Control

The Bank's risk control processes are established and communicated through the Risk Committee and management approved policies, and associated management approved procedures, control limits, and delegated authorities which reflect its risk appetite and risk tolerances.

The Bank's approach to risk control also includes risk and capital assessments to appropriately capture key risks in its measurement and management of capital adequacy. This involves the review, challenge, and endorsement by senior management committees of the Bank's ICAAP and related economic capital practices. The Bank's performance is measured based on the allocation of risk-based capital to businesses and the cost charged against that capital.

Risk Monitoring and Reporting

The Bank monitors and reports on risk levels on a regular basis against its risk appetite and Risk Management reports on its risk monitoring activities to senior management, the Board and its Committees, and appropriate executive and management committees. Complementing regular risk monitoring and reporting, ad hoc risk reporting is provided to senior management, the Risk Committee, and the Board, as appropriate, for new and emerging risks or any significant changes to the Bank's risk profile. The Bank is developing methodologies and approaches for climate scenario analysis through participation in industry-wide working groups and the OSFI led Standardized Climate Scenario Exercise, and is working to embed the assessment of climate-related risks and opportunities into relevant Bank processes.

Stress Testing

Stress testing is an integral component of the Bank's risk management framework and serves as a key component of the Bank's capital, strategic and financial planning processes. Stress testing at the Bank comprises an annual enterprise-wide stress test featuring a range of scenarios, prescribed regulatory stress tests in multiple jurisdictions, and various ongoing and ad hoc stress tests and analysis. The results of these stress tests and analysis enable management to assess the impact of geopolitical events and changes to economic and other market factors on the Bank's financial condition and assist in the determination of capital and liquidity adequacy and targets, risk appetite and other limits. These exercises enable the identification and quantification of vulnerabilities, the monitoring of changes in risk profile relative to risk appetite limits, and evaluation of business plans.

The Bank utilizes a combination of quantitative modelling and qualitative approaches to assess the impact of changes in the macroeconomic environment on the Bank's income statement, balance sheet, and capital and liquidity position under hypothetical stress situations. Stress testing engages senior management across the lines of business, Finance, TBSM, Economics, and Risk Management. Stress test results are reviewed, challenged and approved by senior management and executive oversight committees. The Bank's Risk Committee also reviews, challenges, and discusses the results. The results are submitted, disclosed, or shared with regulators as required or requested.

Enterprise-Wide Stress Testing

The Bank conducts an annual EWST as part of a comprehensive capital and liquidity planning, strategic, and financial exercise that is a key component of the Bank's ICAAP framework. The EWST results are considered in establishing the Bank's capital targets and stress related risk appetite limits, evaluating the Bank's strategies and business plan, and identifying actions that senior management could take to manage the impact of stress events. In addition, the Bank conducts ad hoc stress tests and analysis for assessing the impact of events deemed to be potentially material or of concern in support of senior management's assessment of vulnerabilities and operational readiness to an uncertain or rapidly changing operating environment.

The program is subject to a well-defined governance framework that facilitates executive oversight and engagement throughout the organization. EWST methodologies and results are reviewed and challenged by executives and subject matter experts from the line of business, finance and risk teams. Stress testing results are further reviewed by ERM and are also shared with the Board and regulators. The Bank's EWST program involves the development, execution and assessment of stress scenarios with varying features and degrees of severity on the balance sheet, income statement, capital, liquidity, and leverage. It enables management to identify and assess enterprise-wide risks and understand potential vulnerabilities, and changes to the risk profile of the Bank. The stress scenarios are developed with consideration of the Bank's key business activities, exposures, concentrations and vulnerabilities. The scenarios are designed to be consistent with regulatory stress testing frameworks and cover a wide variety of risk factors meaningful to the Bank's risk profiles in North America and globally including changes to unemployment, gross domestic product, home prices, inflation and interest rates.

For the 2025 EWST program, the Bank developed and assessed a number of scenarios using validated approaches that explored emerging risks such as inflation, various interest rate environments, U.S. trade policy and tariffs, and elevated regulatory risks. The stress testing scenarios included a plausible typical recession calibrated to historical recessions in Canada and the U.S., a low probability and highly severe scenario related to geopolitical uncertainty accompanied with high inflation and interest rate environment, and an alternative scenario where concerns around federal deficits lead to increases in treasury yields and reduced economic activity. Supplemental analysis performed during 2025 explored strategic risks and other events including insider fraud, cybersecurity breach and sanctions violation to support senior management in assessing key risks and vulnerabilities.

Other Stress Tests and Analysis

Ongoing stress testing and scenario analyses within specific risk types supplement and support our enterprise-wide analysis. Results from these risk-specific programs are used in a variety of decision-making processes including risk limit setting, portfolio composition evaluation, risk appetite articulation and business strategy implementation. In addition, the Bank conducts ad hoc stress tests and analysis for the enterprise as well as for targeted portfolios, to evaluate potential vulnerabilities and operational readiness to specific changes in economic and market conditions including those related to evolving geopolitical risk events. During the year the Bank undertook stress analysis of various geopolitical scenarios related to trade policy to support management's assessment of associated key risks, vulnerabilities, and operational readiness. Refer to the Environmental and Social Risk (including Climate-Related Risk) section for a discussion of our climate program.

Stress tests are also conducted on certain legal entities and jurisdictions, in line with prescribed regulatory requirements. The Bank's U.S. holding company and operating bank subsidiaries' capital planning process including execution of stress tests are conducted in accordance with the U.S. Dodd-Frank Act stress testing (DFAST) requirements. In addition, certain Bank subsidiaries in Singapore, Ireland, and the United Kingdom conduct stress testing exercises as part of their respective ICAAP. The Bank undertakes other internal and regulatory based stress tests including liquidity and market risk, which are detailed in the respective sections.

The Bank also conducts scenario and sensitivity analysis as part of the Recovery and Resolution Planning program to assess potential mitigating actions and contingency planning strategies, as required.

Strategic Risk

Strategic risk is the risk of sub-optimal outcomes (including financial losses or reputational damage) arising from the Bank's strategic choices, execution of our strategies, responses to disruption (e.g., technological advancements or unforeseen competitive shifts) and regulatory shifts, or tail risk exposures (i.e., low probability events that can result in large or unquantifiable losses, material intervention or action from regulators, and/or significant harm to the TD brand). Strategic choices may span ongoing business operations and inorganic (Mergers & Acquisitions and strategic partnerships) activities.

WHO MANAGES STRATEGIC RISK

The CEO manages Strategic Risk, supported by members of the SET and the ERM. The CEO, together with the SET, defines the overall strategy, in consultation with, and subject to approval by the Board. The Enterprise Strategy group, under the leadership of the CFO, is charged with developing the Bank's long-term strategy and shorter-term strategic objectives and priorities with input and support from senior executives across the Bank.

Each member of the SET is responsible for establishing and managing short-and medium-term strategic priorities for their areas of responsibility (business segment or corporate function), and ensuring such strategies are aligned with the Bank's short-and medium-term objectives and priorities, and are within the Bank's risk appetite. Each member of the SET is also accountable to the CEO for identifying, assessing, measuring, controlling, monitoring, and reporting on the effectiveness and risks of their business segment or corporate function's strategies.

The CEO, members of the SET, and other senior executives report to the Board on the implementation of the Bank's strategies, identifying related risks and explaining how they are managed.

The ERM oversees the identification and monitoring of significant and emerging risks related to the Bank's strategies so that mitigating actions are taken where appropriate.

HOW TD MANAGES STRATEGIC RISK

The Bank's enterprise-wide strategies and operating performance, and those of significant business segments and corporate functions, are assessed regularly by the CEO and members of the SET through an integrated financial and strategic planning process, as well as operating results reviews.

The Bank's RAS establishes strategic risk limits at the enterprise and business segment levels. Limits include qualitative and quantitative assessments and are established to monitor and control business concentrations, strategic disruption, and E&S risks.

The Bank's annual integrated planning process establishes plans at the enterprise and segment levels. The plans incorporate market trends, TD's relative performance, short-and medium-term strategies, target metrics, key risks / mitigants, and alignment with the Bank's enterprise strategy and risk appetite.

Operating results are reviewed periodically during the year to monitor segment / function performance against the integrated financial and strategic plan. These reviews include an evaluation of short-and medium-term strategy and short-term strategic priorities, including the operating environment, relative performance and competitive positioning assessments, initiative execution status, and key risks / mitigants. The frequency of operating results reviews depends on the risk profile and size of the business segment or corporate function.

The Bank's strategic risk and adherence to its risk appetite is reviewed by the ERM in the normal course, as well as by the Board. Additionally, material acquisitions are assessed for their fit with the Bank's strategy and risk appetite in accordance with the Bank's Due Diligence Policy. This assessment is reviewed by the SET and Board as part of the decision process.

The shaded areas of this MD&A represent a discussion on risk management policies and procedures relating to credit, market, and liquidity risks as required under IFRS 7, *Financial Instruments: Disclosures* (IFRS 7), which permits these specific disclosures to be included in the MD&A. Therefore, the shaded areas which include Credit Risk, Market Risk, and Liquidity Risk, form an integral part of the audited Consolidated Financial Statements for the years ended October 31, 2025 and October 31, 2024.

The Basel Framework

The objective of the Basel Framework is to improve the consistency of capital requirements internationally and establish minimum regulatory capital standards which adequately capture risks. The Basel Framework sets different risk-sensitive approaches for calculating credit, market, and operational RWA.

Credit Risk

Credit risk is the risk of loss if a borrower or counterparty in a transaction fails to meet its agreed payment obligations.

Credit risk is one of the most significant and pervasive risks in banking. Every loan, extension of credit, or transaction that involves the transfer of payments between the Bank and other parties or financial institutions exposes the Bank to some degree of credit risk.

The Bank's primary objective is to be methodical in its credit risk assessment so that the Bank can understand, select, and manage its exposures to reduce significant fluctuations in earnings.

The Bank's strategy is to include central oversight of credit risk in each business, and reinforce a culture of transparency, accountability, independence, and balance.

WHO MANAGES CREDIT RISK

The responsibility for credit risk management is enterprise-wide. To reinforce ownership of credit risk, credit risk control functions are integrated into each business, but also report to Risk Management.

Each business segment's credit risk control unit is responsible for its credit decisions and must comply with established policies, exposure guidelines, credit approval limits, and policy/limit exception procedures. It must also adhere to established enterprise-wide standards of credit assessment and obtain Risk Management's approval for credit decisions beyond its discretionary authority.

Risk Management is accountable for oversight of credit risk by developing policies that govern and control portfolio risks, and approval of product-specific policies, as required.

The Risk Committee of the Board oversees the management of credit risk and annually approves certain significant credit risk policies.

HOW TD MANAGES CREDIT RISK

The Bank's Credit Risk Management Framework outlines the internal risk and control structure to manage credit risk and includes risk appetite, policies, processes, limits and governance. The Credit Risk Management Framework is maintained by Risk Management and supports alignment with the Bank's risk appetite for credit risk.

Credit risk policies and credit decision-making strategies, as well as the discretionary limits of officers throughout the Bank for extending lines of credit are approved by Risk Management, and the Board where applicable.

Limits are established to monitor and control country, industry, product, geographic, and group exposure risks in the portfolios in accordance with enterprise-wide policies.

In the Bank's Retail businesses, the Bank uses established underwriting guidelines (which include collateral and loan-to-value requirements) along with approved scoring techniques and standards in extending, monitoring, and reporting personal credit. Credit scores and decision strategies are used in the origination and ongoing management of new and existing retail credit exposures. Scoring models and decision strategies utilize a combination of borrower attributes, including, but not limited to, income, employment status, existing loan exposure and performance, and size of total bank relationship, as well as external data such as credit bureau

information, to determine the amount of credit the Bank is prepared to extend to retail customers and to estimate future credit performance. Established policies and procedures are in place to govern the use, and monitor and assess the performance of scoring models and decision strategies to align with expected performance results. Retail credit exposures approved within the credit underwriting centres are subject to ongoing Retail Risk Management review to assess the effectiveness of credit decisions and risk controls, as well as to identify emerging or systemic issues and trends. Material policy exceptions are tracked and reported and larger dollar exposures and material exceptions to policy are escalated to Retail Risk Management.

The Bank's Commercial Banking and Wholesale Banking businesses use credit risk models and policies to establish borrower and facility risk ratings (BRR and FRR), quantify and monitor the level of risk, and to aid in the Bank's effective management of risk. Risk ratings are also used to determine the amount of credit exposure the Bank is willing to extend to a particular borrower. Management processes are used to monitor country, industry, and borrower or counterparty risk ratings, which include daily, monthly, quarterly, and annual review requirements for credit exposures. The key parameters used in the Bank's credit risk models are monitored on an ongoing basis.

Unanticipated economic or political changes in a foreign country could affect cross-border payments for goods and services, loans, dividends, and trade related finance, as well as repatriation of the Bank's capital in that country. The Bank currently has credit exposure in a number of countries, with the majority of the exposure in North America. The Bank measures country risk using approved risk rating models and qualitative factors that are also used to establish country exposure limits covering all aspects of credit exposure across all businesses. Country risk ratings are managed on an ongoing basis and are subject to a detailed review at least annually.

As part of the Bank's credit risk strategy, the Bank sets limits on the amount of credit it is prepared to extend to specific industry sectors. The Bank monitors its concentration to any given industry to provide for a diversified loan portfolio and to reduce the risk of undue concentration. The Bank manages this risk using limits based on an internal risk rating methodology that considers relevant factors. The Bank assigns a maximum exposure limit or a concentration limit to each major industry segment which is a percentage of its total wholesale and commercial private sector exposure.

The Bank may also set limits on the amount of credit it is prepared to extend to a particular entity or group of entities, also referred to as "entity risk". All entity risk is approved by the appropriate decision-making authority using limits based on the entity's BRR. This exposure is monitored on a regular basis.

To determine the potential loss that could be incurred under a range of adverse scenarios, the Bank subjects its credit portfolios to stress tests. Stress tests assess vulnerability of the portfolios to the effects of severe but plausible situations, such as an economic downturn or a material market disruption.

Credit Risk and the Basel Framework

The Bank uses the Basel IRB to calculate credit risk RWA for all material portfolios. Based on exposure class, in accordance with the OSFI CAR guidelines, either a foundation approach (Foundation Internal Ratings-Based (FIRB)) or advanced approach (Advanced Internal Ratings-Based (AIRB)) is applied.

The following risk parameters are used in credit risk RWA calculations and may be subject to prescribed floors in some cases:

- Probability of default (PD) – the likelihood that the borrower will not be able to meet its scheduled repayments within a one-year time horizon.
- Loss given default (LGD) – the amount of loss the Bank would likely incur when a borrower defaults on a loan, which is expressed as a percentage of exposure at default (EAD).
- EAD – the total amount of the Bank's exposure at the time of default, including certain off-balance sheet items.

The FIRB approach primarily uses internally derived PD, while other components such as LGD and EAD are prescribed. The AIRB approach uses internally derived PD, LGD, and EAD.

To continue to qualify to use the IRB approaches for credit risk, the Bank must meet the ongoing conditions and requirements established by OSFI and the Basel Framework. The Bank regularly assesses its compliance with these requirements.

Credit Risk Exposures Subject to the IRB Approaches

Banks that adopt the IRB approaches to credit risk must report credit risk exposures by counterparty type, each having different underlying risk characteristics. These counterparty types may differ from the presentation in the Bank's 2025 Consolidated Financial Statements. The Bank's credit risk exposures are divided into two main portfolios, retail and non-retail.

Retail Exposures

In the retail portfolio, including individuals and small businesses, the Bank manages exposures on a pooled basis, using predictive credit scoring techniques. There are three sub-types of retail exposures: residential secured (for example, mortgages and HELOCs), qualifying revolving retail (for example, credit cards, unsecured lines of credit, and overdraft protection products), and other retail (for example, personal loans, including secured automobile loans, student lines of credit, and small business banking credit products).

The Bank calculates RWA for its retail exposures using the AIRB approach. All retail PD, LGD, and EAD parameter models are based on the internal default and loss performance history for each of the three retail exposure sub-types. These parameters are also used in the calculation of regulatory capital, economic capital, and allowance for credit losses.

Account-level PD, LGD, and EAD models are built for each product portfolio and calibrated based on the observed account-level default and loss performance for the portfolio.

Consistent with the AIRB approach, the Bank defines default for exposures as delinquency of 90 days or more for the majority of retail credit portfolios. LGD estimates used in the RWA calculations reflect economic losses, such as direct and indirect costs as well as any appropriate discount to account for time between default and ultimate recovery. EAD estimates reflect the historically observed utilization of credit limits at default. PD, LGD, and EAD models are calibrated using established statistical methods, such as logistic and linear regression techniques. Predictive attributes in the models may include account attributes, such as loan size, interest rate, and collateral, where applicable; an account's previous history and current status; an account's age on book; a customer's credit bureau attributes; a customer's other holdings with the Bank; and macroeconomic inputs, such as unemployment rate. For secured products such as residential mortgages, property characteristics, loan to value ratios, and a customer's equity in the property, play a significant role in PD as well as in LGD models.

All risk parameter estimates are updated on a quarterly basis based on the refreshed model inputs. Parameter estimation is fully automated based on approved formulas and is not subject to manual overrides.

Exposures are then assigned to pre-defined PD segments based on their estimated long-run average one-year PD.

The predictive power of the Bank's retail credit models is assessed against the most recently available one-year default and loss performance on a quarterly basis. All models are also subject to a comprehensive independent validation as outlined in the "Model Risk Management" section of this disclosure.

Long-run PD estimates are generated by including key economic indicators, such as interest rates and unemployment rates, and using their long-run average over the credit cycle to estimate PD.

LGD estimates are required to reflect a downturn scenario. Downturn LGD estimates are generated by using macroeconomic inputs, such as changes in housing prices and unemployment rates expected in an appropriately severe downturn scenario.

For unsecured products, downturn LGD estimates reflect the observed lower recoveries for exposures defaulted during the 2008 to 2009 recession. For products secured by residential real estate, such as mortgages and HELOCs, downturn LGD reflects the potential impact of a severe housing downturn. EAD estimates similarly reflect a downturn scenario.

The following table maps PD ranges to risk levels:

Risk Assessment	PD Segment	PD Range
Low Risk	1	0.00 to 0.15%
Normal Risk	2	0.16 to 0.41
	3	0.42 to 1.10
Medium Risk	4	1.11 to 2.93
	5	2.94 to 4.74
High Risk	6	4.75 to 7.59
	7	7.60 to 18.24
	8	18.25 to 99.99
Default	9	100.00

Non-Retail Exposures

In the non-retail portfolio, the Bank manages exposures on an individual borrower basis, using industry and sector-specific credit risk models, and expert judgment. The Bank has categorized non-retail credit risk exposures according to the following Basel counterparty types: corporate, including wholesale and commercial customers, sovereign, and bank. Under the IRB approaches, CMHC-insured mortgages are considered sovereign risk and are therefore classified as non-retail.

The Bank evaluates credit risk for non-retail exposures by using both a BRR and FRR. The Bank uses this system for all corporate, sovereign, and bank exposures. The Bank determines the risk ratings using industry and sector-specific credit risk models that are based on internal historical data. In Canada, for both the wholesale and commercial lending portfolios, credit risk models are calibrated based on internal data beginning in 1994. In the U.S., credit risk models are calibrated based on internal data beginning in 2007. All borrowers and facilities are assigned an internal risk rating that must be reviewed at least once each year. External data such as rating agency default rates or loss databases are used to benchmark the parameters.

Internal risk ratings (BRR and FRR) are key to portfolio monitoring and management, and are used to set exposure limits and loan pricing. Internal risk ratings are also used in the calculation of regulatory capital, economic capital, and allowance for credit losses.

Borrower Risk Rating and PD

Each borrower is assigned a BRR that reflects the PD of the borrower using proprietary models and expert judgment. In assessing borrower risk, the Bank reviews the borrower's competitive position, financial performance, economic, and industry trends, management quality, and access to funds. Under the IRB approaches, borrowers are grouped into BRR grades where a PD is calibrated for each BRR grade. Use of projections for model implied risk ratings is not permitted and BRRs may not incorporate a projected reversal, stabilization of negative trends, or the acceleration of existing positive trends. Historic financial results can however be sensitized to account for events that have occurred, or are about to occur, such as additional debt incurred by a borrower since the date of the last set of financial statements. In conducting an assessment of the BRR, all relevant and material information must be taken into account and the information being used must be current. Quantitative rating models are used to rank the expected through-the-cycle PD, and these models are segmented into categories based on industry and borrower size. The quantitative model output can be modified in some cases by expert judgment, as prescribed within the Bank's credit policies.

To calibrate PDs for each BRR band, the Bank computes yearly transition matrices based on annual cohorts and then estimates the average annual PD for each BRR. The PD is set at the average estimation level plus an appropriate adjustment to cover statistical and model uncertainty. The calibration process for PD is a through-the-cycle approach. TD's 21-point BRR scale broadly aligns to external ratings as follows:

Description	Rating Category	Standard & Poor's	Moody's Investor Services
Investment grade	0 to 1C	AAA to AA-	Aaa to Aa3
	2A to 2C	A+ to A-	A1 to A3
	3A to 3C	BBB+ to BBB-	Baa1 to Baa3
Non-investment grade	4A to 4C	BB+ to BB-	Ba1 to Ba3
	5A to 5C	B+ to B-	B1 to B3
Watch and classified	6 to 8	CCC+ to CC and below	Caa1 to Ca and below
Impaired/default	9A to 9B	Default	Default

Facility Risk Rating and LGD

The FRR maps to LGD, with different models used based on industry and obligor size, and takes into account facility-specific characteristics such as collateral, seniority ranking of debt, loan structure, and borrower enterprise value.

Average LGD and the statistical uncertainty of LGD are estimated for each FRR grade. In some FRR models, the scarcity of historical default events requires the model to output a rank-ordering which is then mapped through expert judgment to the quantitative LGD scale.

Under the FIRB approach, LGDs are prescribed whereas the AIRB approach stipulates the use of downturn LGD, where the downturn period, as determined by internal and/or external experience, suggests higher than average loss rates or lower than average recovery. To reflect this, calibrated LGDs take into account both the statistical estimation uncertainty and the higher than average LGDs experienced during downturn periods.

Exposure at Default

The Bank calculates non-retail EAD by first measuring the drawn amount of a facility and then adding a potential increased utilization at default from the undrawn portion, if any. Usage Given Default (UGD) is measured as the percentage of undrawn exposure that would be expected to be drawn by a borrower defaulting in the next year, in addition to the amount that already has been drawn by the borrower. In the absence of credit mitigation effects or other details, the EAD is set at the drawn amount plus (estimated UGD x undrawn) for AIRB exposure, or (prescribed UGD x undrawn) for FIRB exposures.

BRR and drawn ratio up to one-year prior to default are predictors for UGD under the AIRB approach. Consequently, the UGD estimates are calibrated by BRR and drawn ratio, the latter representing the ratio of the drawn to authorized amounts.

Historical UGD experience is studied for any downturn impacts, similar to the LGD downturn analysis. The Bank has not found downturn UGD to be significantly different from average UGD, therefore the UGDs under AIRB are set at the average calibrated level, by drawn ratio and/or BRR, plus an appropriate adjustment for statistical and model uncertainty.

UGDs under the FIRB approach are prescribed for relevant exposure classes.

Credit Risk Exposures Subject to the Standardized Approach (SA)

Currently the SA to credit risk is used for new portfolios, which are in the process of transitioning to IRB approaches, or exempted portfolios which are either immaterial or expected to wind down. The Bank primarily applies SA to certain segments within both the Retail and Non-retail portfolios. Under the SA, the exposure amounts are multiplied by risk weights prescribed by OSFI, based on the OSFI Capital Adequacy Requirements (CAR) guidelines, to determine RWA. These risk weights are assigned according to certain factors including counterparty type, product type, and the nature/extent of credit risk mitigation. The Bank uses external credit ratings, including Moody's and S&P to determine the

appropriate risk weight for its exposures to sovereigns and central banks, public sector entities (PSEs), multilateral development banks (MDBs), banks (securities firms and other financial institutions), and corporates. The Bank applies SA to certain retail portfolios, including Real Estate Secured Lending (RESL), where the assigned risk weight is primarily based on the exposure's Loan-to-Value ratio and whether the exposure is categorized as income producing or general.

Lower risk weights apply where approved credit risk mitigants exist. For off-balance sheet exposures, specified credit conversion factors are used to convert the notional amount of the exposure into a credit equivalent amount.

Derivative Exposures

Credit risk on derivative financial instruments, also known as counterparty credit risk, is the risk of a financial loss occurring as a result of the failure of a counterparty to meet its obligation to the Bank. Derivative-related credit risks are subject to the same credit approval standards that the Bank uses for assessing loans. These standards include evaluating the creditworthiness of counterparties, measuring and monitoring exposures, including wrong-way risk exposures, and managing the size, diversification, and maturity structure of the portfolios.

The Bank uses various qualitative and quantitative methods to measure and manage counterparty credit risk. These include statistical methods to measure the current and future potential risk, as well as ongoing stress testing to identify and quantify exposure under a range of adverse scenarios. The Bank establishes various limits to manage business volumes and concentrations. Risk Management independently measures and monitors counterparty credit risk relative to established credit policies and limits. As part of the credit risk monitoring process, management periodically reviews all exposures, including exposures resulting from derivative financial instruments to higher risk counterparties, and to assess the valuation of underlying financial instruments and the impact evolving market conditions may have on the Bank.

There are two types of wrong-way risk exposures, namely general and specific. General wrong-way risk arises when the PD of the counterparties moves in the same direction as a given market risk factor. Specific wrong-way risk arises when the exposure to a particular counterparty moves in the same direction as the PD of the counterparty due to the nature of the transactions entered into with that counterparty. These exposures require specific approval within the credit approval process. The Bank measures and manages specific wrong-way risk exposures in the same manner as direct loan obligations and controls them by way of approved credit facility limits.

The Bank uses the standardized approach for counterparty credit risk to calculate the EAD amount, which is defined by OSFI as a multiple of the summation of replacement cost and potential future exposure, to estimate the risk and determine regulatory capital requirements for derivative exposures.

Credit Valuation Adjustment Risk

The Bank maintains policies and procedures that govern the valuation and hedging of Credit Valuation Adjustment (CVA) risk. These policies, procedures and associated results are regularly reviewed and approved by senior management. While CVA risk, capital and hedging is managed and owned by a dedicated business function, the independent Risk Management function oversees the process, including the effectiveness of hedges, reporting and monitoring for compliance to policies and frameworks and adherence to risk appetite. Quantitative models used for CVA risk and CVA capital comply with TD's Model Risk Management Framework.

Validation of the Credit Risk Rating System

Credit risk rating systems and methodologies are independently validated on a regular basis to verify that they remain accurate predictors of risk. The validation process includes the following considerations:

- Risk parameter estimates – PDs, LGDs, and EADs are reviewed and updated against actual loss experience to verify that estimates continue to be reasonable predictors of potential loss.
- Model performance – Estimates continue to be discriminatory, stable, and predictive.
- Data quality – Data used in the risk rating system is accurate, appropriate, and sufficient.
- Assumptions – Key assumptions underlying the development of the model remain valid for the current portfolio and environment.

Risk Management verifies that the credit risk rating system complies with the Bank's Model Risk Policy. At least annually, the Risk Committee is informed of the performance of the credit risk rating system. The Risk Committee must approve any material changes to the Bank's credit risk rating system.

Credit Risk Mitigation

The techniques the Bank uses to reduce or mitigate credit risk include written policies and procedures to value and manage financial and non-financial security (collateral) and to review and negotiate netting agreements. The amount and type of collateral, and other credit risk mitigation techniques required, are based on the Bank's own assessment of the borrower's or counterparty's credit quality and capacity to pay.

In the Retail and Commercial banking businesses, security for loans is primarily non-financial and includes residential real estate, real estate under development, commercial real estate, automobiles, and other business assets, such as accounts receivable, inventory, and fixed assets. In the Wholesale Banking business, a large portion of loans are to investment grade borrowers where no security is pledged. Non-investment

grade borrowers typically pledge business assets in the same manner as commercial borrowers. Common standards across the Bank are used to value collateral, determine frequency of recalculation, and to document, register, perfect, and monitor collateral.

The Bank mitigates derivative counterparty exposure using mitigation strategies that include master netting agreements, collateral pledging, and central clearing houses. Master netting agreements allow the Bank to offset and arrive at a net obligation amount, whereas collateral agreements allow the Bank to secure the Bank's exposure. Security for derivative exposures is primarily financial and includes cash and negotiable securities issued by highly rated governments and investment grade issuers. Central clearing houses further reduce bilateral credit risk by taking the opposite position to each trade.

In all but exceptional situations, the Bank secures collateral by taking possession and controlling it in a jurisdiction where it can legally enforce its collateral rights. In exceptional situations and when demanded by the Bank's counterparty, the Bank holds or pledges collateral with an acceptable third-party custodian. The Bank documents all such third party arrangements with industry standard agreements.

Occasionally, the Bank may take guarantees to reduce the risk in credit exposures. For credit risk exposures subject to the IRB approaches, the Bank only recognizes irrevocable guarantees for Commercial Banking and Wholesale Banking credit exposures that are provided by entities with a better risk rating than that of the borrower or counterparty to the transaction.

The Bank makes use of credit derivatives to mitigate credit risk. The credit, legal, and other risks associated with these transactions are controlled through well-established procedures. The Bank's policy is to enter into these transactions with investment grade financial institutions and transact predominantly on a collateralized basis. Credit risk to these counterparties is managed through the same approval, limit, and monitoring processes the Bank uses for all counterparties for which it has credit exposure.

The Bank uses appraisals as well as valuations via automated valuation models (AVMs) to support property values when adjudicating loans collateralized by residential property. AVMs are computer-based tools used to estimate or validate the market value of residential property and uses market comparables and price trends for local market areas. The primary risk associated with the use of these tools is that the value of an individual property may vary significantly from the average for the market area. The Bank has specific risk management guidelines addressing the circumstances when they may be used, and processes to periodically validate AVMs including obtaining third-party appraisals.

Gross Credit Risk Exposure

Gross credit risk exposure, also referred to as EAD, is the total amount the Bank is exposed to at the time of default of a loan and is measured before counterparty-specific provisions or write-offs. Gross credit risk exposure does not reflect the effects of credit risk mitigation and includes both on balance sheet and off-balance sheet exposures. On-balance sheet

exposures consist primarily of outstanding loans, non-trading securities, derivatives, and certain other repo-style transactions. Off-balance sheet exposures consist primarily of undrawn commitments, guarantees, and certain other repo style transactions.

Gross credit risk exposures for the two approaches the Bank uses to measure credit risk are included in the following table.

(millions of Canadian dollars)							As at
	October 31, 2025			October 31, 2024			
	Standardized	IRB	Total	Standardized	IRB	Total	
Retail							
Residential secured	\$ 5,141	\$ 552,249	\$ 557,390	\$ 4,163	\$ 537,075	\$ 541,238	
Qualifying revolving retail	871	177,970	178,841	866	172,203	173,069	
Other retail	3,660	110,316	113,976	3,391	104,253	107,644	
Total retail	9,672	840,535	850,207	8,420	813,531	821,951	
Non-retail							
Corporate	2,402	758,573	760,975	2,346	721,156	723,502	
Sovereign	175	552,954	553,129	205	588,498	588,703	
Bank	7,121	180,614	187,735	4,541	171,250	175,791	
Total non-retail	9,698	1,492,141	1,501,839	7,092	1,480,904	1,487,996	
Gross credit risk exposures	\$ 19,370	\$ 2,332,676	\$ 2,352,046	\$ 15,512	\$ 2,294,435	\$ 2,309,947	

¹ Gross credit risk exposures represent EAD and are before the effects of credit risk mitigation. This table excludes securitization, equity, and other credit RWA.

Other Credit Risk Exposures

Non-trading Equity Exposures

The Bank applies the standardized approach to calculate RWA on non-trading equity exposures. Under the standardized approach, a 250% risk weight is applied to equity holdings with the exception of speculative unlisted equities that receive a 400% risk weight. Equity exposures to sovereigns and holdings made under legislated programs continue to follow the OSFI prescribed risk weights of 0%, 20% or 100%.

Securitization Exposures

The Bank applies risk weights to all securitization exposures under the revised securitization framework published by OSFI. The revised securitization framework includes a hierarchy of approaches to determine capital treatment, and transactions that meet the simple, transparent, and comparable requirements that are eligible for preferential capital treatment.

The Bank uses Internal Ratings-Based Approach (SEC-IRBA) for qualified exposures. Under SEC-IRBA, risk weights are determined using a loss coverage model that quantifies and monitors the level of risk. The SEC-IRBA also considers credit enhancements available for loss protection.

For externally rated exposures that do not qualify for SEC-IRBA, the Bank uses an External Ratings-Based Approach (SEC-ERBA). Risk weights are assigned to exposures using external ratings by external rating agencies, including Moody's and S&P. The SEC-ERBA also takes into account additional factors, including the type of the rating (long-term or short-term), maturity, and the seniority of the position.

For exposures that do not qualify for SEC-IRBA or SEC-ERBA, and are held by an ABCP issuing conduit, the Bank uses the Internal Assessment Approach (IAA).

Under the IAA, the Bank considers all relevant risk factors in assessing the credit quality of these exposures, including those published by the Moody's and S&P rating agencies. The Bank also uses loss coverage models and policies to quantify and monitor the level of risk, and facilitate its management. The Bank's IAA process includes an assessment of the extent by which the enhancement available for loss protection provides coverage of expected losses. The levels of stressed coverage the Bank requires for each internal risk rating are consistent with the rating agencies' published stressed factor requirements for their equivalent external ratings by asset class. Under the IAA, exposures are multiplied by OSFI prescribed risk weights to calculate RWA for capital purposes.

For exposures that do not qualify for SEC-IRBA, SEC-ERBA or the IAA, the Bank uses the SA (SEC-SA). Under SEC-SA, the primary factors that determine the risk weights include the asset class of the underlying loans, the seniority of the position, the level of credit enhancements, and historical delinquency rates.

Irrespective of the approach being used to determine the risk weights, all exposures are assigned an internal risk rating-based on the Bank's assessment, which must be reviewed at least annually. The ratings scale TD uses corresponds to the long-term ratings scales used by the rating agencies.

The Bank's internal rating process is subject to all of the key elements and principles of the Bank's risk governance structure, and is managed in the same way as outlined in this "Credit Risk" section.

The Bank uses the results of the internal rating in all aspects of its credit risk management, including performance tracking, control mechanisms, and management reporting.

Market Risk

Trading Market Risk is the risk of loss from financial instruments held in trading portfolios due to adverse movements in market factors. These market factors include interest rates, foreign exchange rates, equity prices, commodity prices, credit spreads, and their respective volatilities.

Structural (Non-Trading) Market Risk is the risk of loss on the balance sheet or volatility in earnings from traditional banking activities, such as personal and commercial banking products (loans and deposits), as well as related funding, investments and high-quality liquid assets (HQLA), due to adverse movements in market factors. These market factors are primarily interest rates, and foreign exchange rates.

The Bank is exposed to market risk in its trading and investment portfolios, as well as through its non-trading activities. The Bank is an active participant in the market through its trading and investment portfolios, seeking to realize returns for the Bank through careful management of its positions and inventories. In the Bank's non trading activities, it is exposed to market risk through the everyday banking transactions that the Bank executes with its customers.

MARKET RISK LINKAGE TO THE BALANCE SHEET

The following table provides a breakdown of the Bank's balance sheet into assets and liabilities exposed to trading and non-trading market risks.

Market risk of assets and liabilities included in the calculation of VaR and other metrics used for regulatory market risk capital purposes is classified as trading market risk.

TABLE 43 MARKET RISK LINKAGE TO THE BALANCE SHEET

(millions of Canadian dollars)

(millions of Canadian dollars)	October 31, 2025				October 31, 2024				As at	
	Balance sheet	Trading market risk	Non-trading market risk	Other	Balance sheet	Trading market risk	Non-trading market risk	Other	Non-trading market risk – primary risk sensitivity	
Assets subject to market risk										
Interest-bearing deposits with banks	\$ 109,417	\$ 940	\$ 108,477	\$ –	\$ 169,930	\$ 1,601	\$ 168,329	\$ –	Interest rate	
Trading loans, securities, and other	220,136	213,151	6,985	–	175,770	174,232	1,538	–	Interest rate	
Non-trading financial assets at fair value through profit or loss	7,395	–	7,395	–	5,869	–	5,869	–	Equity, foreign exchange, interest rate	
Derivatives	82,972	72,906	10,066	–	78,061	70,636	7,425	–	Equity, foreign exchange, interest rate	
Financial assets designated at fair value through profit or loss	6,986	–	6,986	–	6,417	–	6,417	–	Interest rate	
Financial assets at fair value through other comprehensive income	126,369	–	126,369	–	93,897	–	93,897	–	Equity, foreign exchange, interest rate	
Debt securities at amortized cost, net of allowance for credit losses	240,439	–	240,439	–	271,615	–	271,615	–	Foreign exchange, interest rate	
Securities purchased under reverse repurchase agreements	247,078	7,574	239,504	–	208,217	10,488	197,729	–	Interest rate	
Loans, net of allowance for loan losses	953,012	–	953,012	–	949,549	–	949,549	–	Interest rate	
Investment in Schwab	–	–	–	–	9,024	–	9,024	–	Equity	
Other assets ¹	2,047	–	2,047	–	2,230	–	2,230	–	Interest rate	
Assets not exposed to market risk	98,707	–	–	98,707	91,172	–	–	91,172		
Total Assets	\$ 2,094,558	\$ 294,571	\$ 1,701,280	\$ 98,707	\$ 2,061,751	\$ 256,957	\$ 1,713,622	\$ 91,172		
Liabilities subject to market risk										
Trading deposits	\$ 37,882	\$ 28,955	\$ 8,927	\$ –	\$ 30,412	\$ 26,827	\$ 3,585	\$ –	Equity, interest rate	
Derivatives	79,356	74,790	4,566	–	68,368	66,976	1,392	–	Equity, foreign exchange, interest rate	
Securitization liabilities at fair value	25,283	25,283	–	–	20,319	20,319	–	–	Interest rate	
Financial liabilities designated at fair value through profit or loss	197,635	3	197,632	–	207,914	2	207,912	–	Interest rate	
Deposits	1,267,104	–	1,267,104	–	1,268,680	–	1,268,680	–	Interest rate, foreign exchange	
Obligations related to securities sold short	43,795	42,475	1,320	–	39,515	37,812	1,703	–	Interest rate	
Obligations related to securities sold under repurchase agreements	221,150	13,922	207,228	–	201,900	13,540	188,360	–	Interest rate	
Securitization liabilities at amortized cost	14,841	–	14,841	–	12,365	–	12,365	–	Interest rate	
Subordinated notes and debentures	10,733	–	10,733	–	11,473	–	11,473	–	Interest rate	
Other liabilities ¹	16,934	–	16,934	–	34,066	–	34,066	–	Equity, interest rate	
Liabilities and Equity not exposed to market risk	179,845	–	–	179,845	166,739	–	–	166,739		
Total Liabilities and Equity	\$ 2,094,558	\$ 185,428	\$ 1,729,285	\$ 179,845	\$ 2,061,751	\$ 165,476	\$ 1,729,536	\$ 166,739		

¹ Relates to retirement benefits, insurance, and structured entity liabilities.

MARKET RISK IN TRADING ACTIVITIES

The overall objective of the Bank's trading businesses is to provide wholesale banking services, including facilitation and liquidity, to clients of the Bank. The Bank must take on risk in order to provide effective service in markets where its clients trade. In particular, the Bank needs to hold inventory, act as principal to facilitate client transactions, and underwrite new issues. The Bank also trades in order to have in-depth knowledge of market conditions to provide the most efficient and effective pricing and service to clients, while balancing the risks inherent in its dealing activities.

WHO MANAGES MARKET RISK IN TRADING ACTIVITIES

Primary responsibility for managing market risk in trading activities lies with Wholesale Banking, with oversight from the Market Risk function within Risk Management. The Global Market Risk Council meets regularly to review the market risk profile and trading results of the Bank's trading businesses. The committee is chaired by the Vice President, Head of Market Risk, and includes Wholesale Banking senior management.

HOW TD MANAGES MARKET RISK IN TRADING ACTIVITIES

Market risk plays a key part in the assessment of trading business strategies. The process for the Bank to launch new trading initiatives, or expand existing ones, involves an assessment of risk with respect to the Bank's risk appetite and business expertise and an assessment of the appropriate infrastructure required to monitor, control, and manage the risk. The Trading Market Risk Framework outlines the management of trading market risk and incorporates risk appetite, risk governance structures, risk identification, risk measurement, and risk control. The Trading Market Risk Framework is maintained by Risk Management and supports alignment with the Bank's risk appetite for trading market risk.

Processes are in place to classify positions as either trading book or banking book for the purpose of calculating regulatory capital, per OSFI CAR Guidelines. Policies define the governance and monitoring requirements of internal risk transfers.

Trading Limits

The Bank sets trading limits that are consistent with the approved business strategy for each business and its tolerance for the associated market risk, aligned to its market risk appetite. In setting limits, the Bank takes into account market volatility, market liquidity, organizational experience, and business strategy. Limits are prescribed at the Wholesale Banking level in aggregate, as well as at more granular levels.

The core market risk limits are based on the key risk drivers in the business and includes notional, credit spread, yield curve shift, price, and volatility limits.

Another primary measure of trading limits is VaR, which the Bank uses to monitor and control overall risk levels. VaR measures the adverse impact that potential changes in market rates and prices could have on the value of a portfolio over a specified period of time.

At the end of each day, risk positions are compared with risk limits, and any excesses are reported in accordance with established market risk policies and procedures.

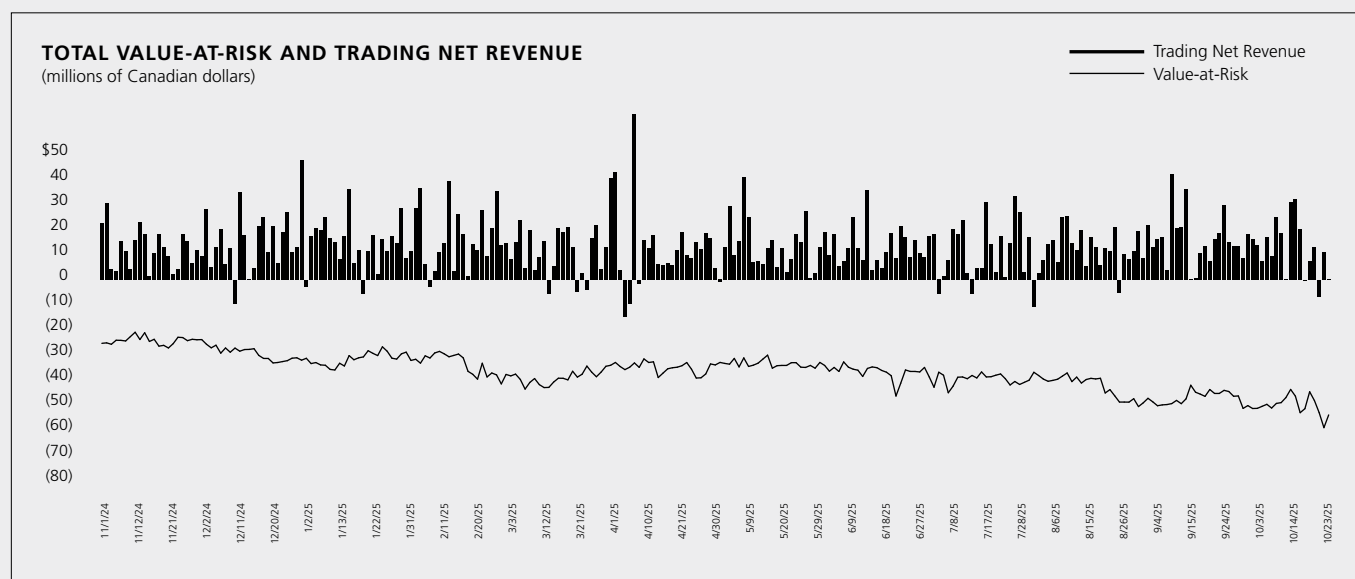
Calculating VaR

The Bank computes total VaR on a daily basis by combining the General Market Risk (GMR) and Idiosyncratic Debt Specific Risk (IDSR) associated with the Bank's trading positions.

GMR is determined by creating a distribution of potential changes to the market value of the current portfolio using historical simulation. The Bank values the current portfolio using the market price and rate changes of the most recent 259 trading days for equity, interest rate, foreign exchange, credit, and commodity products. GMR is computed as the threshold level that portfolio losses are not expected to exceed more than one out of every 100 trading days. A one-day holding period is used for GMR calculation.

IDSR measures idiosyncratic (single-name) credit spread risk for credit exposures in the trading portfolio using Monte Carlo simulation. The IDSR model is based on the historical behaviour of five-year idiosyncratic credit spreads. Similar to GMR, IDSR is computed as the threshold level that portfolio losses are not expected to exceed more than one out of every 100 trading days. IDSR is measured for a ten-day holding period.

The following graph discloses daily one-day VaR usage and trading net revenue, reported on a TEB, within Wholesale Banking. Trading net revenue includes trading income and net interest income related to positions within the Bank's market risk capital trading books. For the year ending October 31, 2025, there were 18 days of trading losses and trading net revenue was positive for 93% of the trading days, reflecting normal trading activity. Losses in the year did not exceed VaR on any trading day.



VaR is a valuable risk measure but it should be used in the context of its limitations, for example:

- VaR uses historical data to estimate future events, which limits its forecasting abilities;
- it does not provide information on losses beyond the selected confidence level; and
- it assumes that all positions can be liquidated during the holding period used for VaR calculation.

The Bank continuously improves its VaR methodologies and incorporates new risk measures in line with market conventions, industry practices, and regulatory requirements.

To mitigate some of the shortcomings of VaR, the Bank uses additional metrics designed for risk management. This include Stress Testing as well as sensitivities to various market risk factors.

The following table presents the end of year, average, high, and low usage of TD's portfolio metrics.

TABLE 4.4 **PORTFOLIO MARKET RISK MEASURES**

(millions of Canadian dollars)

	2025				2024			
	As at	Average	High	Low	As at	Average	High	Low
Interest rate risk	\$ 10.3	\$ 10.5	\$ 21.1	\$ 1.6	\$ 8.4	\$ 16.8	\$ 27.7	\$ 5.1
Credit spread risk	15.8	19.3	27.4	13.7	25.1	30.0	40.5	18.9
Equity risk	14.1	11.0	29.3	6.6	7.7	7.8	12.0	5.2
Foreign exchange risk	4.6	4.1	10.2	1.2	5.2	2.9	7.8	1.2
Commodity risk	37.6	24.6	46.0	3.8	6.0	4.5	11.5	2.2
Idiosyncratic debt specific risk	13.1	19.8	28.0	13.1	18.2	20.3	29.7	13.8
Diversification effect ¹	(41.7)	(52.7)	n/m ²	n/m	(45.0)	(50.8)	n/m	n/m
Total Value-at-Risk (one-day)	53.8	36.6	58.9	20.9	25.6	31.5	44.9	21.8

¹ The aggregate VaR is less than the sum of the VaR of the different risk types due to risk offsets resulting from portfolio diversification.

² Not meaningful. It is not meaningful to compute a diversification effect because the high and low may occur on different days for different risk types.

Markets experienced volatility across all asset classes in 2025 due to concerns surrounding ongoing U.S. tariffs and other geopolitical concerns. Key factors impacting VaR models during the period were new scenario

shocks incorporating market volatility rolling into the most recent 259-day trading window. As a result of these factors, average VaR has increased year-over-year.

Validation of VaR Model

The Bank uses a back-testing process to compare the actual profits and losses to VaR to review their consistency with the statistical results of the VaR model.

Stress Testing

The Bank's trading business is subject to an overall global stress test limit. In addition, global businesses have stress test limits, and each broad risk class has an overall stress test threshold. Stress scenarios are designed to model extreme economic events, replicate worst-case historical experiences, or introduce severe, but plausible, hypothetical changes in key market risk factors. The stress testing program includes scenarios developed using actual historical market data during periods of market disruption, in addition to hypothetical scenarios developed by Risk Management. Stress tests are produced and reviewed regularly. The events the Bank has modelled include the 1987 equity market crash, the 1998 Russian debt default crisis, the aftermath of September 11, 2001, the 2007 ABCP crisis, the credit crisis of Fall 2008, the Brexit referendum of June 2016, and the COVID-19 pandemic of 2020.

WHO MANAGES STRUCTURAL (NON-TRADING) MARKET RISK

The TBSM group manages the market risks of traditional non-trading banking activities, while the Wholesale Banking business manages non-trading market risks within that segment, all subject to oversight from the Asset Liability and Capital Committee (ALCO). The Treasury CRO / Non-Trading Market Risk function within Risk Management provides independent oversight, governance, and control of these market risks. The Risk Committee reviews and approves key non-trading market risk policies and monitors the Bank's positions and compliance with these policies through regular reporting and updates from senior management.

HOW TD MANAGES STRUCTURAL (NON-TRADING) MARKET RISK

Non-trading interest rate risk, if not managed, has the potential to increase earnings volatility and generate losses without contributing long-term expected value. To manage this risk, the Bank's non-trading asset and liability profile is managed in accordance with a target and series of limits to control the impact of interest rate changes on the Bank's NII, while maintaining the Bank's economic value sensitivity within risk appetite.

Managing Structural Interest Rate Risk

Interest rate risk is the impact that changes in interest rates could have on the Bank's margins, earnings, and economic value. Interest rate risk management is designed to generate a predictable, high-quality NII stream over time. The Bank has adopted a disciplined hedging approach to manage the net interest income from its asset and liability positions.

Key aspects of this approach are:

- Evaluating and managing the impact of rising or falling interest rates on net interest income and economic value, and developing strategies to manage overall sensitivity to rates across varying interest rate scenarios;
- Modelling the expected impact of customer behaviour on TD's products (e.g., how actively customers exercise embedded options, such as prepaying a loan or redeeming a deposit before its maturity date);
- Assigning target-modelled maturity profiles for non-maturity assets, liabilities, and equity;
- Measuring the margins of TD's banking products on a fully-hedged basis, including the impact of financial options that are granted to customers; and
- Developing and implementing strategies to stabilize net interest income from all retail and commercial banking products.

The Bank is exposed to the interest rate risk from "mismatched positions" which occur when asset and liability principal and interest cash flows have different repricing or maturity dates. The Bank measures this risk based on an assessment of: contractual cash flows, product-embedded optionality, customer behaviour expectations and the modelled maturity profiles for non-maturity products. To manage this risk, the Bank primarily uses financial derivatives, wholesale investments and funding transactions.

The Bank also measures its exposure to non-maturity liabilities, such as core deposits, by assessing interest rate elasticity and balance permanence using historical data and business judgment. Fluctuations of non-maturity deposits can occur due to factors such as interest rate and equity market movements, and changes to customer liquidity preferences.

Banking product optionality, whether from freestanding options such as mortgage rate commitments or options embedded within loans and deposits, expose the Bank to significant financial risk. To manage these exposures, the Bank uses a dynamic hedging approach designed to replicate the payoff of a purchased option.

- **Rate Commitments:** The Bank measures its exposure from freestanding mortgage rate commitment options using an expected funding profile based on historical experience. Customers' propensity to fund, and their preference for fixed or floating rate mortgage products, is influenced by factors such as market mortgage rates, client characteristics, and seasonality.
- **Asset Prepayment and other Embedded Options:** The Bank models its exposure to options embedded in some of its products based on analyses of customer behaviour. Examples of modeled options are the right to prepay residential mortgage loans, and the right to early redeem some term deposit products. For mortgages, econometric models are used to model prepayments and the effects of prepayment behaviour to the Bank. In general, mortgage prepayments are also affected by factors such as rate incentive along with mortgage age, home prices, gross domestic product (GDP) growth, etc. A combined impact is also assessed to determine a core liquidation speed that is independent of market incentives. A similar analysis is undertaken for other products with embedded optionality.

Structural Interest Rate Risk Measures

The primary measures for this risk are Economic Value of Shareholders' Equity (EVE) Sensitivity and Net Interest Income Sensitivity (NIIS).

EVE Sensitivity measures the impact of a specified interest rate shock to the net present value of the Bank's banking book assets, liabilities, and certain off-balance sheet items. It reflects a measurement of the potential present value impact on shareholders' equity without an assumed term profile for the management of the Bank's own equity and excludes product margins.

NIIS measures the change in NII over a twelve-month horizon resulting from resetting interest rates on banking book assets, liabilities and certain off-balance sheet items under a specified interest rate shock scenario.

The Bank's Market Risk policy sets overall limits on structural interest rate risk measures. These limits are periodically reviewed and approved by the Risk Committee. In addition to the Board policy limits, book-level risk limits for the Bank's management of non-trading interest rate risk are set by Risk Management. Exposures against these limits are routinely monitored and reported, and breaches of the Board limits, if any, are escalated to both the ALCO and the Risk Committee.

TABLE 45 STRUCTURAL INTEREST RATE SENSITIVITY MEASURES

(millions of Canadian dollars)

	October 31, 2025						As at October 31, 2024	
	EVE Sensitivity ^{1,2}			NII Sensitivity ^{1,2,3}			EVE Sensitivity ¹	NII Sensitivity ^{1,3}
	Canadian dollar ⁴	U.S. dollar	Total	Canadian dollar ⁴	U.S. dollar	Total	Total	Total
Before-tax impact of								
100 bps increase in rates	\$ (957)	\$ (1,558)	\$ (2,515)	\$ 400	\$ 390	\$ 790	\$ (2,489)	\$ 720
100 bps decrease in rates	865	1,227	2,092	(441)	(419)	(860)	1,914	(983)

¹ Does not include exposures from Wholesale Banking.

² Effective July 31, 2025, the sensitivity measures are reported by currency to better differentiate NIIS to movements in underlying rates.

³ Represents the twelve-month NII exposure to an immediate and sustained shock in rates, and may include adjustments for non-recurring items.

⁴ Includes other currency exposures.

As at October 31, 2025, an immediate and sustained 100 bps increase in interest rates would have a negative impact to the Bank's EVE of \$2,515 million, an increase of \$26 million from last year, and a positive impact to the Bank's NII of \$790 million, an increase of \$70 million from last year. An immediate and sustained 100 bps decrease in interest rates would have a positive impact to the Bank's EVE of \$2,092 million, an increase of \$178 million from last year, and a negative impact to

the Bank's NII of \$860 million, a decrease of \$123 million from last year. The year-over-year increase in EVE Sensitivity is primarily attributed to an increase in net fixed rate assets held, commensurate with growth in book capital. Year-over-year changes in NII Sensitivity are largely related to Treasury hedging alongside marginal changes in product mix. As at October 31, 2025, reported EVE and NII Sensitivities remain within the Bank's risk appetite and established Board limits.

Managing Non-trading Foreign Exchange Risk

Foreign exchange risk refers to losses that could result from changes in foreign-currency exchange rates. Assets and liabilities that are denominated in foreign currencies create foreign exchange risk.

The Bank is exposed to non-trading foreign exchange risk primarily from its investments in foreign operations. When the Bank's foreign currency assets are greater or less than its liabilities in that currency, they create a foreign currency open position. An adverse change in foreign exchange rates can impact the Bank's reported net income and shareholders' equity, and its capital ratios.

To minimize the impact of an adverse foreign exchange rate change on certain capital ratios, the Bank's net investments in foreign operations are hedged so that changes in certain capital ratios fall within risk appetite, in response to movement in foreign exchange rates. The Bank does not generally hedge the earnings of foreign subsidiaries which results in changes to the Bank's consolidated earnings when relevant foreign exchange rates change.

Other Non-trading Market Risks

Other structural market risks monitored on a regular basis include:

- **Basis Risk** – The Bank is exposed to risks related to the difference in various market indices.
- **Equity Risk** – The Bank is exposed to non-trading equity risk from investment securities designated at FVOCI, equity-linked guaranteed investment certificate product offerings and share-based compensation plans where certain employees are awarded share units equivalent to the Bank's common shares as compensation for services provided to the Bank. These share units are recorded as a liability over the vesting period and revalued at each reporting period until settled in cash, and changes in the Bank's share price can impact non-interest expenses. The Bank uses equity derivative instruments to manage its non-trading equity risk.

Managing Investment Portfolios

The Bank manages a securities portfolio that is integrated into the overall asset and liability management process for traditional banking activities. The securities portfolio is comprised of high-quality, low-risk securities and managed in a manner appropriate to the attainment of the following goals: (1) to generate a targeted credit of funds to deposit balances

that are in excess of loan balances; (2) to provide a sufficient pool of liquid assets to meet deposit and loan fluctuations and overall liquidity management objectives; (3) to provide eligible securities to meet collateral and cash management requirements; and (4) to manage the target interest rate risk profile of the balance sheet. The Risk Committee reviews and approves the Enterprise Investment Policy that sets out limits for the Bank's investment portfolio. In addition, the Wholesale Banking and Insurance businesses also hold investments that are managed separately.

WHY NET INTEREST MARGIN FLUCTUATES OVER TIME

As previously noted, the Bank's approach to structural (non-trading) market risk is designed to generate stable and predictable earnings over time, regardless of cash flow mismatches and the exercise of options granted to customers. This approach also creates margin certainty on loan and deposit profitability as they are booked. Despite this approach however, the Bank's NIM is subject to change over time for the following reasons (among others):

- Differences in margins earned on new and renewing products relative to the margin previously earned on matured products;
- Weighted-average margin impact from changes in business and product mix;
- Changes in the basis between certain market indices;
- Potential lags in changing product prices in response to changes in market interest rates, including rate-sensitive deposit pricing;
- Changes from the repricing of hedging strategies to manage the investment profile of the Bank's non-rate sensitive deposits; and
- Margin changes from the portion of the Bank's deposits that are non-rate sensitive but not expected to be longer term in nature, resulting in a shorter term investment profile and higher sensitivity to short-term rates.

The general level of interest rates will affect the return the Bank generates on its modelled maturity profile for core non-rate sensitive deposits and the investment profile for its net equity position as it evolves over time. The general level of market interest rate volatility is also a key driver of some modelled option exposures, and will affect the cost of hedging such exposures. The Bank's approach to managing these factors tends to moderate their impact over time, resulting in a more predictable NII stream over time.

Operational Risk

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events and also includes losses related to legal risk events and regulatory fines.

Operational risk is inherent in all of the Bank's business activities, including the practices and controls used to manage other risks such as credit, market, and liquidity risk. Failure to manage operational risk can result in financial loss (direct or indirect), reputational harm, or regulatory censure and penalties.

The Bank seeks to actively identify, mitigate and manage operational risk in order to create and sustain shareholder value, successfully execute the Bank's business strategies, operate efficiently, and provide reliable, secure and convenient access to financial services. The Bank maintains a formal enterprise-wide operational risk management framework that emphasizes a strong risk management and internal control culture throughout TD to help support operational resilience and the Bank's ability to withstand disruptions.

WHO MANAGES OPERATIONAL RISK

Operational Risk Management is an independent function that owns and maintains the Bank's Operational Risk Framework. This framework sets out the enterprise-wide governance processes, policies, and practices to identify, assess, measure, control, monitor, escalate, report, and communicate on operational risk. Operational Risk Management is designed to provide appropriate monitoring and reporting of the Bank's operational risk profile and exposures to senior management through the Operational Risk Oversight Committee (OROC), the Enterprise Risk Management Committee (ERMC), and the Risk Committee of the Board.

In addition to the framework, Operational Risk Management owns and maintains, or has oversight of, the Bank's operational risk policies including those that govern business continuity and crisis management, process & execution risk, third-party risk management, data risk management, fraud risk management, change governance, operational resilience, technology and cybersecurity risk management, people risk management and insider risk management.

Senior management of individual business segments and corporate functions are responsible for the day-to-day management of operational risk following the Bank's established operational risk framework, policies and the three lines of defence model. An independent risk management oversight function supports each business segment and corporate function to monitor and challenge the implementation and use of the operational risk management programs according to the nature and scope of the operational risks inherent in their area. Senior executives in each business segment and corporate area participate in a Risk Management Committee that oversees operational risk issues and initiatives.

Ultimately, every employee has a role to play in managing operational risk. In addition to policies and procedures guiding employee activities, training is available to all employees regarding specific types of operational risks and their role in helping to protect the Bank.

HOW TD MANAGES OPERATIONAL RISK

The Operational Risk Framework aligns with the Bank's Enterprise Risk Framework and risk appetite. The Framework outlines the internal risk and control environment to manage operational risk and includes the operational risk appetite, governance processes, and policies. The framework incorporates sound industry practices and is designed to meet regulatory requirements. Key components of the framework include:

Governance and Organization

Operational risk governance emphasizes and balances strong independent oversight with clear ownership for risk and control within each business segment and corporate function. Management reporting and organizational structures emphasize accountability, ownership, and effective oversight of each business segment's and each corporate function's operational risk exposures. In addition, the expectations of the Risk Committee and senior management for managing operational risk are set out by enterprise-wide policies and practices.

Risk and Control Self-Assessment

Internal controls are one of the primary methods of safeguarding the Bank's employees, customers, assets, and information, and in preventing and detecting errors and fraud. Management undertakes comprehensive assessments of key risk exposures and the internal controls in place to reduce or offset these risks. Senior management reviews the results of these assessments to assess whether management of the risk and internal controls are effective, appropriate, and compliant with the Bank's policies.

Operational Risk Event Monitoring

To reduce the Bank's exposure to future loss, the Bank must remain aware of and respond to its own and industry operational risks. The Bank's policies and processes require that operational risk events be identified, tracked, and reported to the appropriate level of management to facilitate the Bank's analysis and management of its risks and inform the assessment of suitable corrective and preventative action. The Bank also reviews, analyzes, and benchmarks itself against operational risk losses that have occurred at other institutions using information acquired through recognized industry data providers.

Scenario Analysis

Scenario Analysis is a systematic and repeatable process of obtaining expert business and risk opinion to derive assessments of the likelihood and potential loss estimates of high impact operational events that are unexpected and outside the normal course of business. The Bank applies this practice to meet risk measurement and risk management objectives. The process includes the use of relevant external operational loss event data along with the Bank's internal loss data and risk outlook that is assessed considering the Bank's operational risk profile and control structure. The program is designed to raise awareness and educate business segments and corporate functions regarding existing and emerging risks, which may result in the identification and assessment of new hypothetical scenarios and risk mitigation action plans to minimize tail risks.

Risk Reporting

Risk Management regularly monitors risk-related measures and the risk profile throughout the Bank to report to senior management and the Risk Committee. Operational risk measures are systematically tracked, assessed, and reported to promote management accountability and direct the appropriate level of attention to current and emerging issues.

Insurance

TD's Corporate Insurance team, with oversight from Risk Management, utilizes insurance and other risk transfer arrangements to mitigate and reduce potential future losses related to operational risk. Risk Management includes oversight of the effective use of insurance aligned with the Bank's risk management strategy and risk appetite. Insurance terms and provisions, including types and amounts of coverage, are regularly assessed so that the Bank's tolerance for risk and, where applicable, statutory requirements are satisfied. The management process includes conducting regular in-depth risk and financial analysis and identifying opportunities to transfer elements of the Bank's risk to third parties where appropriate. The Bank transacts with external insurers that satisfy its minimum financial strength rating requirements.

Technology and Cybersecurity

The Bank leverages technology to support its operations including new markets, competitive products, delivery channels, as well as other opportunities.

The Bank manages technology and cybersecurity risks to support day-to-day operations; and protect against unauthorized access to the Bank's technology, infrastructure, systems, information, and data. To enable this, the Bank monitors, manages, and continues to enhance its ability to mitigate these risks through enterprise-wide programs and the implementation of industry-accepted technology risk and cyber threat management practices to help support rapid detection and response.

The Bank's Platforms and Technology Risk Oversight Committee provides senior executive oversight, direction and guidance regarding management of risks relating to technology and cybersecurity, including cyber threats, cyber resiliency, cyber terrorism/activism, cyber fraud, cyber extortion, identity theft and data theft. This Committee endorses actions and makes recommendations to the CEO and the ERM as appropriate, including in some instances, supporting onward recommendations to the Risk Committee and the Board of Directors. Together with the Bank's Operational Risk Framework, technology and cybersecurity programs also include resiliency planning and testing, as well as disciplined technology operations practices.

Data Management

The Bank manages data risk through the Data Risk Management Framework which describes the governance, policies, and processes that TD's business and corporate segments, including oversight functions employ to help manage and govern data risk within the Bank's risk appetite.

The Bank's data assets are governed and managed with a view to preserve value and support business objectives. Inconsistent or inadequate data governance and management practices may compromise the Bank's data and information assets which could result in financial, regulatory or reputational impacts. The Bank's Enterprise Data Management Office develops and implements enterprise-wide standards and practices that describe how data and information assets should be created, used, or maintained on behalf of the Bank.

Business Continuity and Crisis Management

The Bank maintains an Enterprise Business Continuity and Crisis Management (EBCCM) program that supports management's ability to operate the Bank's businesses and operations (including providing customers access to products and services) in the event of a crisis or business disruption. Ongoing threat assessments, business impact analysis, planning, exercises, and testing are leveraged to achieve a target level of operational resiliency within the Bank's risk appetite. The program also includes establishing appropriate crisis and incident management governance structures and protocols, including an escalation path to decision-makers, coordinated actions, and internal and external communications, to enable TD to respond effectively to significant business disruptions.

Third-Party Management

A Third-Party Business Arrangement refers to any type of strategic or business arrangement between TD Bank and an entity(ies) or individuals, by contract or otherwise, save for engagements with the Bank's customers and employment contracts. While these relationships bring benefits to the Bank's businesses and customers, the Bank also needs to manage and minimize any risks related to the activity. The Bank does this through an enterprise Third-Party Risk Management program that is designed to manage third-party risks throughout the lifecycle of a relationship with a third-party. This process also provides risk management and senior management oversight of these arrangements that management considers appropriate based on the risk and criticality of the arrangement.

Operational Resilience

Operational resilience is the ability of the Bank to continue to deliver, and rapidly recover, critical services through business disruption events, whether internal or external.

The Bank's Operational Resilience program assesses the end-to-end availability of the Bank's most essential business and shared services, across critical, single points of failure, such as technology, third-parties, people, premises, and data, to assess whether the service can be delivered through disruptive events, and without causing intolerable harm to customers and financial markets.

Change and Delivery

The Bank has established an enterprise-wide standard for identifying and assessing the risks of proposed changes that affect Products/Services, Process/Operations and Technology, and formal methodologies for delivering the changes (i.e., Project Delivery Lifecycle, TD Agile and TD Scaled Agile). This approach involves senior management governance and oversight of the Bank's change portfolio and leverages the use of a standardized change risk assessment, change delivery methodologies, defined accountabilities and capabilities, and portfolio reporting and management tools to help support successful delivery.

Fraud Management

The Bank develops and implements enterprise-wide fraud management strategies, policies, and practices that are designed to minimize the number, size and scope of external fraudulent activities perpetrated against it. The Bank employs prevention, detection and monitoring capabilities across the enterprise that are designed to help protect customers, shareholders, and employees from increasingly sophisticated external fraud risk. External Fraud risk is managed by communicating appropriate policies, procedures, employee education in external fraud risks, and monitoring activity to help maintain adherence to the Fraud Risk Management Framework. The Fraud Risk Management Framework describes the governance, policies, and processes that the Bank's businesses employ to proactively manage and govern external fraud risk within the Bank's risk appetite which is embedded in the Bank's day to day operations and culture.

Operational Risk Capital Measurement

The Bank's operational risk capital is determined using the Basel III Standardized Approach (SA) for operational risk, and is a product of a Business Indicator Component (BIC) and an Internal Loss Multiplier (ILM). BIC is a financial-statement-based proxy for operational risk and is derived using financial information over the previous three years. ILM is derived using operational risk losses, net of recoveries, over the previous ten years, and the BIC.

People Risk Management

People risk is the risk associated with inadequacies in the Bank's organizational capacity, capability, and resources to support its business goals, objectives and strategies, human resource policies, processes, and practices to hire, develop and retain resources with appropriate capabilities and requisite domain expertise to operate and grow the business in a manner consistent with employment laws, and regulatory expectations. This includes the risk associated with misalignment between the Bank's stated desired culture and its actual culture. HR sets policies for key people and talent programs that business lines implement within their daily operations. HR is an oversight function and has central oversight for TD's culture and people risk for the Bank including compensation, performance management, conduct (in partnership with Risk Management), appreciation and recognition and talent. The Bank undertakes a Talent Review and Succession Management program, which focuses on the assessment, development and succession planning for senior and key roles within the organization. In addition, a Critical Roles program exists to strengthen our practices to assess capabilities and aims to enhance the management of talent in roles most critical to the Bank's success. Risk Management provides oversight and independent challenge to HR through an effective objective assessment of their activities and programs.

Insider Risk Management

Insider Risk exposure is inherent in the normal course of operating TD's businesses and insider risk continues to evolve, leading to new or emerging threats. The Bank has developed and implemented enterprise-wide insider risk management strategies, policies and practices that are designed to identify, prevent, and mitigate unauthorized insider activities. The Enterprise Insider Risk Framework describes governance, roles and responsibilities, and processes that the Bank's businesses and corporate functions employ to proactively manage and govern insider risk within the Bank's risk appetite.

Conduct Risk

Conduct risk is an overarching risk category that correlates with various enterprise risks, including but not limited to, consumer protection, market integrity, financial crimes, and operational risks. Conduct risk encompasses the potential for actions or behaviours by an organization or its employees that may lead to legal, regulatory compliance, reputational, and financial impact that can adversely affect customers, the market, employees, and the organization. TD has prioritized conduct risk management and has policies in place to protect, to maintain trust, and to foster a culture of integrity and accountability with our customers, the market, our employees, and the organization. This involves fostering a culture of ethical behavior, implementing robust governance frameworks, and ensuring employees understand and adhere to the organization's Code of Conduct and Ethics.

Conduct Risk and Insider Risk intersect when the inappropriate or unethical behavior of employees manifest in conduct incidents that harm customers, violate regulatory compliance, or compromise ethical standards of the organization. While Conduct Risk encompasses a broader category of ethical and compliance issues, Insider Risk is more specifically focused on threats from within the organization.

Regulatory Compliance Risk

Regulatory compliance risk arises from potential non-compliance with applicable laws, regulations, rules, regulatory guidance, voluntary codes and public commitments, or standards and codes set by self-regulatory organizations. The Bank faces regulatory compliance risk in nearly all of its operations and manages this risk mainly through the Enterprise RCM Framework. The TD Compliance Department owns and maintains the Enterprise RCM Framework, which provides an overview of the Bank's risk-based RCM program and guidance for the Bank's businesses and corporate functions.

Model Risk

Model risk is the potential for adverse consequences arising from decisions based on incorrect or misused models and their outputs. It can lead to financial loss, reputational risk, or incorrect business and strategic decisions.

WHO MANAGES MODEL RISK

Primary accountability for the management of model risk resides with the senior management of individual businesses with respect to the models they use. The Operational Risk Oversight Committee provides oversight of model governance, risk, and control matters. Model Risk Management monitors and reports on existing and emerging model risks, and provides periodic assessments to senior management, Risk Management, the Risk Committee, and regulators on the state of model risk at TD and alignment with the Bank's Model risk appetite. The Risk Committee approves the Bank's Model Risk Management Framework and Model Risk Policy.

HOW TD MANAGES MODEL RISK

The Bank manages model risk in accordance with management approved model risk policies and supervisory guidance which encompass the life cycle of a model, including proof of concept, development, validation and approval, implementation, usage, and ongoing model monitoring. The Bank's Model Risk Management Framework also captures models that may be partially or wholly qualitative or based on expert judgment.

Segments identify the need for a new model and are responsible for model development and documentation according to the Bank's policies and standards. During model development, controls with respect to code generation, acceptance testing, and usage are established and documented to a level of detail and comprehensiveness commensurate with their model risk rating. Once models are implemented, model owners are responsible for ongoing monitoring and usage in accordance with the Bank's Model Risk Policy. In cases where a model is deemed obsolete or unsuitable for its originally intended purposes, it is decommissioned in accordance with the Bank's policies.

Model Risk Management provides oversight, including maintaining a centralized inventory of all models as defined in the Bank's Model Risk Policy, independent validation before each initial use, annual model review, and ongoing validation on a pre-determined schedule depending on the model risk rating. Model Risk Management sets model monitoring and model implementation standards, and provides training to all stakeholders. The validation process varies in rigour, depending on the model risk rating, but at a minimum contains a detailed determination of:

- the conceptual soundness of model methodologies and underlying quantitative and qualitative assumptions;
- the risk associated with a model based on intrinsic risk, materiality and criticality;
- the sensitivity of a model to assumptions within the model and changes in data inputs including stress testing; and
- the limitations of a model and the compensating risk mitigation mechanisms in place to address the limitations.

As with traditional model approaches, AI models (including machine learning and Generative AI models) are also subject to the same standards and risk management practices.

At the conclusion of the validation process, a model will either be approved for use or will be rejected and require redevelopment or other courses of action. Models identified as obsolete or no longer appropriate for use, due to changes in industry practice, the business environment or Bank strategies, are decommissioned.

The Bank has policies and procedures in place designed to discern models from non-models, and the level of independent challenge and oversight is commensurate with the risk rating of the model. Non-models are subject to governance requirements such as End User Computing Standards.

Artificial Intelligence Risk

Artificial Intelligence (AI) risk is the potential harm to people, organizations, or systems resulting from the development, deployment and use of AI models. These risks can stem from various sources, including the data used to train the AI, the AI model itself, the way the model is used, and its interaction with people, organizations and systems.

Primary accountability for the management of AI risk resides with the senior management of individual businesses with respect to the AI that they use. In addition, various Risk and Control functions have oversight of AI risks, including but not limited to Compliance, Data Risk Management, Model Risk Management, Technology and Cybersecurity Risk Management, Privacy and Third-Party Risk Management.

All models, including AI models, are managed through TD's model lifecycle management process which employs a "three lines of defense" approach to AI risk management that emphasizes and balances strong independent oversight involving multiple oversight functions with clear accountabilities for, and ownership of, risks related to the deployment of models (including AI systems). The Model Risk Management Framework and Global Compliance Model Oversight Policy are examples of our comprehensive risk management process, including with respect to safety, fairness, monitoring and validation.

Insurance Risk

Insurance risk is the risk of financial loss due to actual experience emerging differently from expectations in insurance product pricing and/or design, underwriting, reinsurance protection, and claims or reserving either at the inception of an insurance or reinsurance contract, during the lifecycle of the claim or at the valuation date. Unfavourable experience could emerge due to adverse fluctuations in timing, actual size, frequency of claims (for example, driven by non-life premium risk, non-life reserving risk, catastrophic risk, mortality risk, morbidity risk, and longevity risk), policyholder behaviour, or associated expenses.

Insurance contracts provide financial protection by transferring insured risks to the issuer in exchange for premiums. The Bank is engaged in insurance businesses relating to property and casualty insurance, life and health insurance, and reinsurance, through various subsidiaries; it is through these businesses that the Bank is exposed to insurance risk.

WHO MANAGES INSURANCE RISK

Senior management within the insurance business units has primary responsibility for managing insurance risk with oversight by the CRO for Insurance, who reports into the Bank's Risk Management Group. The Bank's Audit Committee and the Bank's Corporate Governance Committee respectively act as the Audit and Conduct review committees for the Canadian insurance company subsidiaries. The insurance company subsidiaries also have their own boards of directors who provide additional risk management oversight.

HOW TD MANAGES INSURANCE RISK

The Bank's risk governance practices are designed to support independent oversight and control of risk within the insurance business. The TD Insurance Risk Committee and its subcommittees provide critical oversight of the risk management activities within the insurance business and monitor compliance with insurance risk policies. The Bank's Insurance Risk Management Framework and Insurance Risk Policy collectively outline the internal risk and control structure to manage insurance risk and include risk appetite, policies, processes, as well as limits and governance. These documents are maintained by Risk Management and support alignment with the Bank's risk appetite for insurance risk.

The assessment of insurance contract liabilities (remaining coverage and incurred claims) is central to the insurance operation. TD Insurance establishes reserves to cover estimated future payments (including loss adjustment expenses) on all claims or terminations/surrenders of premium arising from insurance contracts underwritten. The reserves cannot be established with complete certainty and represent management's best estimate for future payments. As such, TD Insurance regularly monitors estimates against actual and emerging experience and adjusts reserves as appropriate if experience emerges differently than anticipated. Liabilities for incurred claims and liabilities for remaining coverage are governed by the Bank's general insurance and life and health reserving risk policies.

Sound product design is an essential element of managing risk. In addition, TD's insurance products are priced considering required capital levels, with targeted returns set by management. The Bank's exposure to insurance risk is mostly short-term in nature as the principal underwriting risk relates to personal automobile and home insurance and small commercial insurance.

Insurance market cycles, as well as changes in insurance legislation, the regulatory environment, judicial environment, trends in court awards, climate patterns, pandemics or other applicable public health emergencies, and the economic environment may impact the performance of the insurance business. We maintain premium, pricing and underwriting policies or standards to help manage these inherent risks.

There is also exposure to concentration risk associated with general insurance and life and health insurance coverage. Exposure to insurance risk concentration is managed with an Accumulation Management Policy and through established underwriting guidelines, limits, and authorization levels that govern the acceptance of risk. Concentration of insurance risk is also mitigated through the purchase of reinsurance. The insurance business' reinsurance programs are governed by catastrophe and reinsurance risk management policies.

Strategies are in place to help manage the risk to the Bank's reinsurance business. Underwriting risk on business assumed is managed through a policy that limits exposure to certain types of business and countries. The vast majority of reinsurance treaties are annually renewable, which minimizes long-term risk. Pandemic exposure is reviewed and estimated annually within the reinsurance business to manage concentration risk.

Liquidity Risk

The risk of having insufficient cash or collateral to meet financial obligations and an inability to, in a timely manner, raise funding or monetize assets at a non-distressed price. Financial obligations can arise from deposit withdrawals, debt maturities, commitments to provide credit or liquidity support or the need to pledge additional collateral.

TD'S LIQUIDITY RISK APPETITE

TD follows a disciplined liquidity management program, which is subject to risk governance and oversight, and is designed to maintain sufficient liquidity to permit the Bank to operate through a significant liquidity event without relying on extraordinary central bank assistance. The Bank maintains access to a stable and diversified funding base and aligns its funding profile with that of the assets and contingent obligations it supports.

WHO MANAGES LIQUIDITY RISK

The Risk Committee, the ALCO and the Treasurer are accountable for the identification, assessment, control, monitoring and oversight of liquidity risk.

- The Risk Committee regularly reviews the Bank's liquidity position and approves the Bank's Liquidity Risk Management Framework biennially and related policies annually.
- The Bank's ALCO is responsible for establishing effective management structures and practices to ensure appropriate measurement, management, and governance of liquidity risk.
- The Global Liquidity & Funding (GLF) Committee, a subcommittee of the ALCO comprised of senior management from Treasury, Wholesale Banking and Risk Management, identifies and monitors the Bank's liquidity risks.

In addition to our committee oversight framework, liquidity risk management activities are subject to the three lines of defence governance model. Treasury, the first line of defence for the management of liquidity risk, is subject to independent second line challenge and oversight by Risk Management. TD's Internal Audit is the third line of defence. The three lines of defence are independent of the business whose activities generate liquidity risks.

HOW TD MANAGES LIQUIDITY RISK

The Bank manages the liquidity profile of its businesses in accordance with its defined liquidity risk appetite. The Bank's strategies, plans and governance practices underpin an integrated liquidity risk management program that is designed to reduce exposure to liquidity risk and maintain compliance with regulatory requirements. A combination of quantitative and qualitative measures is used to control liquidity risk with the objective of maintaining sufficient liquidity to satisfy the Bank's operational needs and client commitments in both normal and stress conditions. The Bank targets a 90-day survival horizon under a combined bank-specific and market-wide stress scenario, and surpluses over regulatory requirements, including those prescribed by OSFI's Liquidity Adequacy Requirements (LAR) guideline. The Bank's funding program emphasizes a stable, diversified deposit base as a core source of funding and maintains ready access to wholesale funding markets to diversify across terms, funding types, and currencies. This approach helps lower exposure to sudden contractions of wholesale funding capacity and minimizes structural liquidity gaps. The Bank also maintains a contingency funding plan (CFP) to enhance preparedness to address potential liquidity stress events.

The Bank's internal stress testing informs the management of liquidity risk. Among scenarios considered is a severe combined stress event resulting in elevated liquidity requirements and a loss of confidence in the Bank's ability to meet obligations as they come due. In addition to this bank-specific event, this scenario incorporates a market-wide liquidity stress that materially reduces the availability of funding for all institutions and decreases the marketability of assets. The Bank's liquidity risk management policies stipulate that the Bank must maintain a sufficient level of liquid assets to support business growth, and to cover stressed liquidity requirements under the stress scenario for a period of up to 90 days. Key elements of the scenario include:

- loss of access to wholesale funding including repayment of maturing debt in the next 90 days;
- accelerated deposit attrition or "run-off";
- increased utilization of available credit and liquidity facilities; and
- increased collateral requirements associated with downgrades in the Bank's credit ratings.

Internal measures and limits complement regulatory liquidity requirements, such as the Liquidity Coverage Ratio (LCR), the Net Stable Funding Ratio (NSFR), and the Net Cumulative Cash Flow (NCCF) monitoring tool prescribed in OSFI's LAR guidance. The Bank's liquidity is managed to the higher of its internal liquidity requirements and target buffers over the regulatory minimums.

The Bank also considers regional regulatory metrics as well as potential restrictions on liquidity transferability in the calculation of enterprise liquidity positions. Accordingly, surplus liquidity domiciled in regulated subsidiaries may be excluded from consolidated liquidity positions as appropriate.

The Bank's Funds Transfer Pricing process considers liquidity risk as a key determinant of the cost or credit of funds to businesses.

LIQUID ASSETS

The Bank's unencumbered liquid assets could be used to help address potential funding needs arising from stress events. Liquid asset eligibility considers estimated stressed market values and trading market depth, as well as operational, legal, or other impediments to sale, rehypothecation or pledging.

Assets held by the Bank to meet liquidity requirements are summarized in the following tables. The tables do not include assets held within the Bank's insurance businesses as these are used to support insurance-specific liabilities and capital requirements.

TABLE 46 SUMMARY OF LIQUID ASSETS BY TYPE AND CURRENCY

(millions of Canadian dollars, except as noted)

As at

	Bank-owned liquid assets	Securities received as collateral from securities financing and derivative transactions	Total liquid assets	Encumbered liquid assets	Unencumbered liquid assets ¹
October 31, 2025					
Cash and central bank reserves	\$ 17,966	\$ –	\$ 17,966	\$ 1,130	\$ 16,836
Obligations of government, federal agencies, public sector entities, and multilateral development banks ²	112,902	117,718	230,620	95,245	135,375
Equities	18,403	4,111	22,514	19,146	3,368
Other debt securities	6,229	6,219	12,448	9,213	3,235
Other securities	–	–	–	–	–
Total Canadian dollar-denominated	155,500	128,048	283,548	124,734	158,814
Cash and central bank reserves	89,425	–	89,425	185	89,240
Obligations of government, federal agencies, public sector entities, and multilateral development banks	215,537	160,502	376,039	179,623	196,416
Equities	65,295	42,664	107,959	62,020	45,939
Other debt securities	77,703	17,744	95,447	29,212	66,235
Other securities	31,647	2,937	34,584	8,161	26,423
Total non-Canadian dollar-denominated	479,607	223,847	703,454	279,201	424,253
Total	\$ 635,107	\$ 351,895	\$ 987,002	\$ 403,935	\$ 583,067
October 31, 2024					
Total Canadian dollar-denominated	163,269	117,083	280,352	110,064	170,288
Total non-Canadian dollar-denominated	482,052	179,665	661,717	247,478	414,239
Total	\$ 645,321	\$ 296,748	\$ 942,069	\$ 357,542	\$ 584,527

¹ Unencumbered liquid assets include on-balance sheet assets, assets borrowed or purchased under resale agreements, and other off-balance sheet collateral received less encumbered liquid assets.

² Includes National Housing Act Mortgage-Backed Securities (NHA MBS).

Unencumbered liquid assets held in The Toronto-Dominion Bank, its domestic and foreign subsidiaries, and branches are summarized in the following table.

TABLE 47 SUMMARY OF UNENCUMBERED LIQUID ASSETS BY BANK, SUBSIDIARIES, AND BRANCHES

(millions of Canadian dollars)

As at

	October 31 2025	October 31 2024
The Toronto-Dominion Bank (Parent)	\$ 257,722	\$ 237,005
Bank subsidiaries	306,961	314,306
Foreign branches	18,384	33,216
Total	\$ 583,067	\$ 584,527

The Bank's monthly average liquid assets for the years ended October 31, 2025, and October 31, 2024, are summarized in the following table.

TABLE 4 8 SUMMARY OF AVERAGE LIQUID ASSETS BY TYPE AND CURRENCY

(millions of Canadian dollars, except as noted)

Average for the years ended

	Bank-owned liquid assets	Securities received as collateral from securities financing and derivative transactions	Total liquid assets	Encumbered liquid assets	Unencumbered liquid assets ¹
October 31, 2025					
Cash and central bank reserves	\$ 25,713	\$ –	\$ 25,713	\$ 1,062	\$ 24,651
Obligations of government, federal agencies, public sector entities and multilateral development banks ²	112,447	109,050	221,497	92,535	128,962
Equities	15,946	4,607	20,553	16,422	4,131
Other debt securities	5,317	6,315	11,632	7,790	3,842
Other securities	–	–	–	–	–
Total Canadian dollar-denominated	159,423	119,972	279,395	117,809	161,586
Cash and central bank reserves	98,817	–	98,817	211	98,606
Obligations of government, federal agencies, public sector entities and multilateral development banks	223,041	147,932	370,973	163,352	207,621
Equities	60,733	42,275	103,008	59,742	43,266
Other debt securities	73,912	16,474	90,386	28,863	61,523
Other securities	22,523	4,100	26,623	8,076	18,547
Total non-Canadian dollar-denominated	479,026	210,781	689,807	260,244	429,563
Total	\$ 638,449	\$ 330,753	\$ 969,202	\$ 378,053	\$ 591,149
October 31, 2024					
Total Canadian dollar-denominated	157,333	117,603	274,936	108,068	166,868
Total non-Canadian dollar-denominated	423,522	168,349	591,871	221,582	370,289
Total	\$ 580,855	\$ 285,952	\$ 866,807	\$ 329,650	\$ 537,157

¹ Unencumbered liquid assets include on-balance sheet assets, assets borrowed or purchased under resale agreements, and other off-balance sheet collateral received less encumbered liquid assets.

² Includes NHA MBS.

Average unencumbered liquid assets held in The Toronto-Dominion Bank, its domestic and foreign subsidiaries, and branches are summarized in the following table.

TABLE 4 9 SUMMARY OF AVERAGE UNENCUMBERED LIQUID ASSETS BY BANK, SUBSIDIARIES, AND BRANCHES

(millions of Canadian dollars)

Average for the years ended

	October 31 2025	October 31 2024
The Toronto-Dominion Bank (Parent)	\$ 250,006	\$ 219,007
Bank subsidiaries	315,518	290,536
Foreign branches	25,625	27,614
Total	\$ 591,149	\$ 537,157

ASSET ENCUMBRANCE

In the course of the Bank's daily operations, assets are pledged to obtain funding, support trading and brokerage businesses, and participate in clearing and/or settlement systems. TD has pledging policies in place that govern the amount of assets we encumber, ensuring sufficient assets are available to meet liquidity requirements. A summary of on- and off-balance sheet encumbered and unencumbered assets is presented as follows.

TABLE 50 ENCUMBERED AND UNENCUMBERED ASSETS

(millions of Canadian dollars)

	As at				
	Total Assets	Encumbered		Unencumbered	
	Total Assets	Pledged as Collateral ¹	Other ²	Available as Collateral ³	Other ⁴
October 31, 2025					
Cash and due from banks	\$ 7,512	\$ –	\$ –	\$ –	\$ 7,512
Interest-bearing deposits with banks	109,417	5,700	–	99,510	4,207
Securities, trading loans, and other	1,042,834	478,953	25,714	502,937	35,230
Derivatives	82,972	–	–	–	82,972
Loans, net of allowance for loan losses	929,408	40,472	101,568	69,890	717,478
Other assets ⁵	93,242	262	–	–	92,980
Total assets	\$ 2,265,385	\$ 525,387	\$ 127,282	\$ 672,337	\$ 940,379
October 31, 2024					
Total assets	\$ 2,202,763	\$ 509,319	\$ 113,528	\$ 635,491	\$ 944,425

¹ Pledged collateral refers to the portion of assets that are pledged through encumbering activities, such as repurchase agreements, securities lending, derivative contracts, and requirements associated with participation in clearing houses and payment systems.

² Includes assets supporting TD's long-term funding activities such as asset securitization and issuance of covered bonds.

³ Represents assets that are readily available for use as collateral to generate funding or support collateral requirements. This category includes unencumbered loans backed by real estate that qualify as eligible collateral at the FHLB system.

⁴ Other unencumbered assets are not subject to any restrictions on their use to secure funding or as collateral but would not be considered immediately available.

⁵ Other assets include goodwill, other intangibles, land, buildings, equipment, other depreciable assets and right-of-use assets, deferred tax assets, amounts receivable from brokers, dealers, and clients, and other assets on the balance sheet not reported in the above categories.

LIQUIDITY STRESS TESTING AND CONTINGENCY FUNDING PLANS

In addition to the Bank's internal liquidity stress metric, the Bank performs liquidity stress testing on multiple alternate scenarios. These scenarios consist of a mix of TD-specific and market-wide stress events designed to evaluate the potential impact of risk factors material to the Bank's risk profile. Liquidity risk assessments are also part of the Bank's EWST program.

The Bank maintains CFPs for the enterprise and material subsidiaries operating in foreign jurisdictions. As they provide a playbook for managing stressed liquidity conditions, these plans are an integral component of the Bank's overall liquidity risk management framework. The CFPs outline different contingency levels based on the severity and duration of the liquidity event and identify recovery actions appropriate for each level. To support operational readiness, CFPs provide key steps required to implement each recovery action. Regional CFPs identify recovery actions to address region-specific stress events. The actions and governance structure outlined in the Bank's CFP are aligned with the Bank's Crisis Management Recovery Plan.

CREDIT RATINGS

Credit ratings may affect the Bank's access to, and cost of, raising funding and its ability to engage in certain business activities on a cost-effective basis. Credit ratings and outlooks provided by rating agencies reflect their views and methodologies and are subject to change based on several factors including the Bank's financial strength, competitive position, and liquidity, as well as factors not entirely within the Bank's control, including conditions affecting the overall financial services industry.

TABLE 5 1	CREDIT RATINGS ¹
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	As at			
	October 31, 2025			
	Moody's	S&P	Fitch	DBRS
Deposits/Counterparty ²	Aa1	A+	AA	AA
Legacy Senior Debt ³	Aa2	A+	AA	AA
Senior Debt ⁴	A2	A-	AA-	AA (low)
Covered Bonds	Aaa	–	AAA	AAA
Legacy Subordinated Debt – non-NVCC	A3	A-	A	A (high)
Tier 2 Subordinated Debt – NVCC	A3 (hyb)	BBB+	A	A (low)
AT1 Perpetual Debt – NVCC	Baa2 (hyb)	BBB-	BBB+	–
Limited Recourse Capital Notes – NVCC	Baa2 (hyb)	BBB-	BBB+	BBB (high)
Preferred Shares – NVCC	Baa2 (hyb)	BBB-	BBB+	Pfd-2
Short-Term Debt (Deposits)	P-1	A-1	F1+	R-1 (high)
Outlook	Stable	Stable	Negative	Stable

¹ The above ratings are for The Toronto-Dominion Bank legal entity. Subsidiaries' ratings are available on the Bank's website at <http://www.td.com/investor/credit.jsp>. Credit ratings are not recommendations to purchase, sell, or hold a financial obligation in as much as they do not comment on market price or suitability for a particular investor. Ratings are subject to revision or withdrawal at any time by the rating organization.

² Represents Moody's Long-Term Deposits Ratings and Counterparty Risk Rating, S&P's Issuer Credit Rating, Fitch's Long-Term Deposits Rating and DBRS' Long-Term Issuer Rating.

³ Includes (a) Senior debt issued prior to September 23, 2018; and (b) Senior debt issued on or after September 23, 2018 which is excluded from the bank recapitalization "bail-in" regime.

⁴ Subject to conversion under the bank recapitalization "bail-in" regime.

The Bank regularly reviews the level of increased collateral its trading counterparties would require in the event of a downgrade of TD's credit rating. The following table presents the additional collateral that could

have been contractually required to be posted to over-the-counter (OTC) derivative counterparties as of the reporting date in the event of one, two, and three-notch downgrades of the Bank's credit ratings.

TABLE 5 2	ADDITIONAL COLLATERAL REQUIREMENTS FOR RATING DOWNGRADES ¹
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(millions of Canadian dollars)

	Average for the years ended	
	October 31 2025	October 31 2024
One-notch downgrade	\$ 968	\$ 127
Two-notch downgrade	1,435	287
Three-notch downgrade	2,506	1,014

¹ These collateral requirements are based on each OTC trading counterparty's Credit Support Annex and the Bank's credit rating across applicable rating agencies.

LIQUIDITY COVERAGE RATIO

The LCR is a Basel III standard designed to ensure that banks have an adequate stock of unencumbered HQLA, consisting of cash or assets that can be converted into cash, to meet their liquidity needs for a 30-calendar day liquidity stress scenario.

In accordance with OSFI's LAR, the Bank must maintain a minimum LCR of 100%, except during periods of financial stress when institutions

are permitted to use their stock of HQLA. The Bank's LCR is calculated according to the scenario parameters in the LAR guideline, including prescribed HQLA eligibility criteria and haircuts, deposit run-off and, other outflow and inflow rates. LCR-eligible HQLA consist primarily of central bank reserves, sovereign-issued or sovereign-guaranteed securities, and high-quality securities issued by non-financial entities.

The following table summarizes the Bank's average daily LCR as of the relevant dates.

TABLE 53 AVERAGE LIQUIDITY COVERAGE RATIO ¹		
(millions of Canadian dollars, except as noted)		
	Average for the three months ended	
	October 31, 2025	
	Total unweighted value (average) ²	Total weighted value (average) ³
High-quality liquid assets		
Total high-quality liquid assets	\$ n/a ⁴	\$ 346,383
Cash outflows		
Retail deposits and deposits from small business customers, of which:	\$ 509,076	\$ 32,890
Stable deposits	270,781	8,123
Less stable deposits	238,295	24,767
Unsecured wholesale funding, of which:	396,154	194,365
Operational deposits (all counterparties) and deposits in networks of cooperative banks	144,433	34,275
Non-operational deposits (all counterparties)	225,836	134,205
Unsecured debt	25,885	25,885
Secured wholesale funding	n/a	52,452
Additional requirements, of which:	353,824	110,125
Outflows related to derivative exposures and other collateral requirements	53,113	46,624
Outflows related to loss of funding on debt products	12,058	12,058
Credit and liquidity facilities	288,653	51,443
Other contractual funding obligations	20,715	10,842
Other contingent funding obligations	842,403	13,118
Total cash outflows	\$ n/a	\$ 413,792
Cash inflows		
Secured lending	\$ 276,164	\$ 48,573
Inflows from fully performing exposures	36,025	12,167
Other cash inflows	87,208	87,208
Total cash inflows	\$ 399,397	\$ 147,948
	Average for the three months ended	
	October 31 2025	July 31 2025
	Total weighted value	Total weighted value
Total high-quality liquid assets	\$ 346,383	\$ 361,014
Total net cash outflows	265,844	261,288
Liquidity coverage ratio	130%	138%

¹ The LCR is calculated in accordance with OSFI's LAR guideline, which is reflective of liquidity-related requirements published by the BCBS. The LCR for the quarter ended October 31, 2025, is calculated as an average of the 62 daily data points in the quarter.

² Unweighted inflow and outflow values are outstanding balances maturing or callable within 30 days.

³ Weighted values are calculated after the application of respective HQLA haircuts, or inflow and outflow rates, and caps as prescribed by the OSFI LAR guideline.

⁴ Not applicable as per the LCR common disclosure template.

The Bank's average LCR was 130% for the quarter ended October 31, 2025 and continues to meet regulatory requirements.

The Bank holds a variety of liquid assets commensurate with its liquidity needs. Most of these liquid assets also qualify as HQLA under the OSFI LAR guideline. The LCR trended lower throughout the quarter as the bank continued to focus on deploying elevated surpluses from the sale of its equity investment in Schwab, this has reduced the LCR to a more sustainable level⁵⁹. The Bank's Level 1 assets for the quarter ended October 31, 2025, as calculated according to OSFI LAR and the BCBS LCR requirements, represent 86% of total HQLA (July 31, 2025 – 86%). In accordance with the OSFI LAR guideline, the Bank's reported HQLA excludes excess HQLA from U.S. Retail operations to reflect liquidity transfer considerations between U.S. Retail and affiliates as a result of the U.S. Federal Reserve Board's regulations. By excluding excess HQLA, the U.S. Retail LCR is effectively capped at 100% prior to total Bank consolidation.

NET STABLE FUNDING RATIO

The NSFR is a Basel III metric calculated as the ratio of total Available Stable Funding (ASF) to total Required Stable Funding (RSF). The Bank must maintain an NSFR ratio equal to or above 100% in accordance with the LAR guideline. The Bank's ASF comprises the Bank's liability and capital instruments (including deposits and wholesale funding). The assets that require stable funding are a function of the Bank's on and off-balance sheet activities, their liquidity characteristics, and OSFI's LAR guideline requirements.

⁵⁹ The Bank's expectations regarding liquidity levels are based on the Bank's assumptions regarding certain factors, including product growth, strategic plans, pace of share repurchases under the Bank's normal course issuer bid (which is subject to financial forecasts and capital requirements). The Bank's assumptions are subject to inherent uncertainties and may vary based on factors both within and outside the Bank's control, including general market conditions, economic outlooks and geopolitical matters. Refer to the "Risk Factors That May Affect Future Results" section of this document for additional information about risks and uncertainties that may impact the Bank's estimates.

TABLE 5.4 NET STABLE FUNDING RATIO ¹					
(millions of Canadian dollars, except as noted)					
					As at
					October 31, 2025
					Unweighted value by residual maturity
	No maturity ²	Less than 6 months	6 months to less than 1 year	More than 1 year	Weighted value ³
Available Stable Funding Item					
Capital	\$ 123,903	\$ n/a	\$ n/a	\$ 7,298	\$ 131,201
Regulatory capital	123,903	n/a	n/a	7,298	131,201
Other capital instruments	n/a	n/a	n/a	–	–
Retail deposits and deposits from small business customers:	470,047	77,963	31,984	29,816	566,493
Stable deposits	260,797	30,528	13,738	14,385	304,196
Less stable deposits	209,250	47,435	18,246	15,431	262,297
Wholesale funding:	277,611	413,129	83,843	242,848	468,169
Operational deposits	121,012	2,494	–	–	61,753
Other wholesale funding	156,599	410,635	83,843	242,848	406,416
Liabilities with matching interdependent assets ⁴	–	2,100	2,184	35,293	–
Other liabilities:	56,372			100,455	8,261
NSFR derivative liabilities	n/a			7,130	n/a
All other liabilities and equity not included in the above categories	56,372	84,006	2,116	7,203	8,261
Total Available Stable Funding					\$ 1,174,124
Required Stable Funding Item					
Total NSFR high-quality liquid assets	\$ n/a	\$ n/a	\$ n/a	\$ n/a	\$ 58,247
Deposits held at other financial institutions for operational purposes	–	–	–	–	–
Performing loans and securities:	130,084	283,945	145,572	664,550	788,062
Performing loans to financial institutions secured by Level 1 HQLA	–	85,880	7,854	10	10,823
Performing loans to financial institutions secured by non-Level 1 HQLA and unsecured performing loans to financial institutions	–	76,604	11,047	14,305	27,942
Performing loans to non-financial corporate clients, loans to retail and small business customers, and loans to sovereigns, central banks and PSEs, of which:	41,424	63,444	49,312	295,335	346,858
With a risk weight of less than or equal to 35% under the Basel II standardized approach for credit risk	n/a	–	–	–	–
Performing residential mortgages, of which:	36,947	53,704	74,431	280,717	291,115
With a risk weight of less than or equal to 35% under the Basel II standardized approach for credit risk	36,947	53,704	74,431	280,717	291,115
Securities that are not in default and do not qualify as HQLA, including exchange-traded equities	51,712	4,313	2,928	74,183	111,324
Assets with matching interdependent liabilities ⁴	–	2,526	3,638	33,412	–
Other assets:	90,168			146,980	126,170
Physical traded commodities, including gold	31,479	n/a	n/a	n/a	27,131
Assets posted as initial margin for derivative contracts and contributions to default funds of CCPs	–	–	–	21,565	18,330
NSFR derivative assets	n/a	–	–	11,764	4,634
NSFR derivative liabilities before deduction of variation margin posted	n/a			21,995	1,100
All other assets not included in the above categories	58,689	82,963	1,120	7,573	74,975
Off-balance sheet items	n/a			861,123	31,045
Total Required Stable Funding					\$ 1,003,524
Net Stable Funding Ratio					117%

As at

October 31, 2024

Total Available Stable Funding	\$ 1,154,060
Total Required Stable Funding	994,567
Net Stable Funding Ratio	116%

¹ The NSFR is calculated in accordance with OSFI's LAR guideline, which is reflective of liquidity-related requirements published by the BCBS.

² Items in the "no maturity" time bucket do not have a stated maturity. These may include, but are not limited to, items such as capital with perpetual maturity, non-maturity deposits, short positions, open maturity positions, non-HQLA equities, and physical traded commodities.

³ Weighted values are calculated after the application of respective NSFR weights, as prescribed by the OSFI LAR guideline.

⁴ Interdependent asset and liability items are deemed by OSFI to be interdependent and have RSF and ASF risk factors adjusted to zero. Interdependent liabilities cannot fall due while the asset is still on balance sheet, cannot be used to fund any other assets and principal payments from the asset cannot be used for anything other than repaying the liability. As such, the only interdependent assets and liabilities that qualify for this treatment at the Bank are the liabilities arising from the Canada Mortgage Bonds Program and their corresponding encumbered assets.

The Bank's NSFR for the quarter ended October 31, 2025 is 117% (October 31, 2024 – 116%), representing a surplus of \$171 billion, adhering to regulatory requirements.

FUNDING

The Bank has access to a variety of unsecured and secured funding sources. The Bank's funding activities are conducted in accordance with liquidity risk management policies that require assets be funded to the appropriate term and to a prudent diversification profile.

The Bank's primary approach to funding is to maximize the use of deposits raised through its personal, wealth and business banking channels. The deposits raised from these sources were approximately 64% (October 31, 2024 – 63%) of the Bank's total funding. Non-personal deposit funding as reflected below does not include the Bank's Wholesale Banking deposits (including Corporate & Investment Banking).

TABLE 55 SUMMARY OF DEPOSIT FUNDING¹

(millions of Canadian dollars)

	<i>As at</i>	
	October 31 2025	October 31 2024
Personal	\$ 650,396	\$ 641,667
Non-personal	316,319	310,422
Total	\$ 966,715	\$ 952,089

¹ The calculation methodology has been changed to reflect deposit funding from personal, wealth and business banking channels.

WHOLESALE FUNDING

The Bank maintains various registered external wholesale term (greater than 1 year) funding programs to provide access to diversified funding sources, including asset securitization, covered bonds, and unsecured wholesale debt. The Bank raises term funding through Senior Notes, NHA MBS, and notes backed by credit card receivables (Evergreen Credit Card Trust) and home equity lines of credit (Genesis Trust II). The Bank's wholesale funding is diversified by geography, currency, and funding types. The Bank raises short-term (1 year or less) funding using certificates of deposit and commercial paper.

The following table summarizes the registered term funding and capital programs by geography, with the related program size as at October 31, 2025.

Canada	United States	Europe
Capital Securities Program (\$20 billion)	U.S. SEC (F-3) Registered Capital and Debt Program (US\$75 billion)	U.K. Financial Conduct Authority (FCA) Registered Legislative Covered Bond Program (\$100 billion)
Canadian Senior Medium-Term Linked Notes Program (\$5 billion)		FCA Registered Global Medium-Term Note Program (US\$40 billion)
HELOC ABS Program (Genesis Trust II) (\$7 billion)		Non-Registered Structured Global Medium-Term Linked Notes Program (US\$20 billion)

The following table presents a breakdown of the Bank's term debt by currency and funding type. Term funding as at October 31, 2025, was \$192.0 billion (October 31, 2024 – \$184.5 billion).

Note that Table 56: Long-Term Funding and Table 57: Wholesale Funding do not include any funding accessed via repurchase transactions or securities financing.

TABLE 56 LONG-TERM FUNDING¹

	<i>As at</i>	
	October 31 2025	October 31 2024
Long-term funding by currency		
Canadian dollar	26%	25%
U.S. dollar	33	31
Euro	32	33
British pound	4	5
Other	5	6
Total	100%	100%
Long-term funding by type		
Senior unsecured medium-term notes	53%	51%
Covered bonds	37	40
Mortgage securitization ²	8	7
Term asset backed securities	2	2
Total	100%	100%

¹ The table includes secured and unsecured, senior and subordinated notes – excluding structured notes and commercial paper – issued to external investors with an original term-to-maturity of greater than one year.

² Mortgage securitization excludes the residential mortgage trading business.

The Bank maintains depositor concentration limits in respect of short-term wholesale deposits so that it is not overly reliant on individual depositors for funding. The Bank further limits short-term wholesale funding maturity concentration in an effort to mitigate refinancing risk during a stress event.

TABLE 57 WHOLESALE FUNDING

(millions of Canadian dollars)

								October 31 2025	As at October 31 2024
	Less than 1 month	1 to 3 months	3 to 6 months	6 months to 1 year	Up to 1 year	Over 1 to 2 years	Over 2 years	Total	Total
Deposits from banks ¹	\$ 1,763	\$ 195	\$ 316	\$ 464	\$ 2,738	\$ –	\$ –	\$ 2,738	\$ 1,856
Bearer deposit notes	646	2,179	2,652	255	5,732	–	–	5,732	787
Certificates of deposit	9,957	17,974	32,695	29,592	90,218	295	–	90,513	101,168
Commercial paper	7,373	15,625	19,777	10,544	53,319	440	–	53,759	60,339
Covered bonds	–	140	9,958	8,876	18,974	24,335	27,249	70,558	75,399
Mortgage securitization ²	–	1,814	752	2,742	5,308	3,851	30,965	40,124	32,684
Legacy senior unsecured medium-term notes ³	–	–	114	1,341	1,455	–	–	1,455	88
Senior unsecured medium-term notes ⁴	–	6,051	2,754	8,867	17,672	25,187	57,822	100,681	93,157
Subordinated notes and debentures ⁵	–	–	–	–	–	–	10,733	10,733	11,473
Term asset backed securitization	1,154	3,606	3,822	4,270	12,852	1,351	1,499	15,702	9,604
Other ⁶	35,181	4,494	962	1,975	42,612	1,375	3,833	47,820	70,951
Total	\$ 56,074	\$ 52,078	\$ 73,802	\$ 68,926	\$ 250,880	\$ 56,834	\$ 132,101	\$ 439,815	\$ 457,506
Of which:									
Secured	\$ 1,155	\$ 5,560	\$ 14,532	\$ 15,888	\$ 37,135	\$ 29,538	\$ 59,715	\$ 126,388	\$ 153,855
Unsecured	54,919	46,518	59,270	53,038	213,745	27,296	72,386	313,427	303,651
Total	\$ 56,074	\$ 52,078	\$ 73,802	\$ 68,926	\$ 250,880	\$ 56,834	\$ 132,101	\$ 439,815	\$ 457,506

¹ Only includes fixed-term commercial bank deposits.

² Includes mortgaged backed securities (MBS) issued to external investors and Wholesale Banking residential mortgage trading business.

³ Includes a) senior debt issued prior to September 23, 2018; and b) senior debt issued on or after September 23, 2018 which is excluded from the bank recapitalization "bail-in" regime, including debt with an original term-to-maturity of less than 400 days.

⁴ Comprised of senior debt subject to conversion under the bank recapitalization "bail-in" regime. Excludes \$3.3 billion of structured notes subject to conversion under the "bail-in" regime (October 31, 2024 – \$4.4 billion).

⁵ Subordinated notes and debentures are not considered wholesale funding as they may be raised primarily for capital management purposes.

⁶ Includes fixed-term deposits from non-bank institutions (unsecured) of \$26.9 billion (October 31, 2024 – \$17.3 billion) and the remaining are non-term deposits.

Excluding the Wholesale Banking residential mortgage trading business, the Bank's total 2025 mortgage-backed securities issued to external investors was \$4.6 billion (2024 – \$2.3 billion) and other asset-backed securities issued was \$1.4 billion (2024 – \$2.6 billion). The Bank

also issued \$28.2 billion of unsecured medium-term notes (2024 – \$13.6 billion) and \$4.8 billion of covered bonds (2024 – \$27.1 billion) during the year ended October 31, 2025.

MATURITY ANALYSIS OF ASSETS, LIABILITIES, AND OFF-BALANCE SHEET COMMITMENTS

The following table summarizes on-balance sheet and off-balance sheet categories by remaining contractual maturity. The values of credit instruments reported in the following table represent the maximum amount of additional credit that the Bank could be obligated to extend should such instruments be fully drawn or utilized. Since a significant portion of guarantees and commitments are expected to expire without being drawn upon, the total of the contractual amounts is not representative of expected future liquidity requirements. These contractual obligations have an impact on the Bank's short-term and long-term liquidity and capital resource needs.

The maturity analysis presented does not depict the degree of the Bank's maturity transformation or the Bank's exposure to interest rate and liquidity risk. The Bank's objective is to fund its assets appropriately to protect against borrowing cost volatility and potential reductions to funding market availability. The Bank utilizes stable non-maturity deposits (chequing and savings accounts) and term deposits as the primary source of long-term funding for the Bank's non-trading assets including personal and business term loans and the stable balance of revolving lines of credit. Additionally, the Bank issues long-term funding in respect of such non-trading assets and raises short-term funding primarily to finance trading assets. The liquidity of trading assets under stressed market conditions is considered when determining the appropriate term of the funding.

TABLE 58 REMAINING CONTRACTUAL MATURITY

(millions of Canadian dollars)

As at

	October 31, 2025									
	Less than 1 month	1 to 3 months	3 to 6 months	6 to 9 months	9 months to 1 year	Over 1 to 2 years	Over 2 to 5 years	Over 5 years	No specific maturity	Total
Assets										
Cash and due from banks	\$ 7,512	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ 7,512
Interest-bearing deposits with banks	106,857	724	39	–	–	–	–	–	1,797	109,417
Trading loans, securities, and other ¹	4,243	5,867	5,219	3,647	4,107	10,100	33,372	31,052	122,529	220,136
Non-trading financial assets at fair value through profit or loss	–	–	–	74	–	332	2,939	1,873	2,177	7,395
Derivatives	10,478	12,594	7,269	4,638	5,006	11,761	17,913	13,313	–	82,972
Financial assets designated at fair value through profit or loss	271	226	543	649	251	1,396	2,715	935	–	6,986
Financial assets at fair value through other comprehensive income	1,959	4,006	3,698	3,802	6,061	6,002	48,054	49,739	3,048	126,369
Debt securities at amortized cost, net of allowance for credit losses	4,850	3,768	5,670	7,152	3,992	28,954	70,952	115,102	(1)	240,439
Securities purchased under reverse repurchase agreements ²	164,872	40,541	28,394	6,906	4,840	786	739	–	–	247,078
Loans										
Residential mortgages	3,463	7,240	16,334	25,284	23,462	78,900	112,140	48,240	–	315,063
Consumer instalment and other personal	1,115	2,652	6,373	9,240	7,052	31,673	96,668	37,975	66,285	259,033
Credit card	–	–	–	–	–	–	–	–	41,662	41,662
Business and government	59,741	12,360	13,577	17,631	17,491	44,950	89,699	56,975	33,519	345,943
Total loans	64,319	22,252	36,284	52,155	48,005	155,523	298,507	143,190	141,466	961,701
Allowance for loan losses	–	–	–	–	–	–	–	–	(8,689)	(8,689)
Loans, net of allowance for loan losses	64,319	22,252	36,284	52,155	48,005	155,523	298,507	143,190	132,777	953,012
Goodwill ³	–	–	–	–	–	–	–	–	18,980	18,980
Other intangibles ³	–	–	–	–	–	–	–	–	3,409	3,409
Land, buildings, equipment, other depreciable assets, and right-of-use assets ³	–	3	2	4	10	86	679	3,333	6,015	10,132
Deferred tax assets	–	–	–	–	–	–	–	–	5,388	5,388
Amounts receivable from brokers, dealers, and clients	27,345	–	–	–	–	–	–	–	–	27,345
Other assets	5,207	2,630	3,076	521	485	199	412	507	14,951	27,988
Total assets	\$ 397,913	\$ 92,611	\$ 90,194	\$ 79,548	\$ 72,757	\$ 215,139	\$ 476,282	\$ 359,044	\$ 311,070	\$ 2,094,558
Liabilities										
Trading deposits	\$ 3,346	\$ 4,147	\$ 5,288	\$ 2,790	\$ 4,967	\$ 6,314	\$ 7,931	\$ 3,099	\$ –	\$ 37,882
Derivatives	10,690	13,350	8,930	7,039	4,359	8,034	15,169	11,785	–	79,356
Securitization liabilities at fair value	–	1,096	570	1,069	739	2,248	13,667	5,894	–	25,283
Financial liabilities designated at fair value through profit or loss	48,996	46,231	57,600	26,665	17,192	652	3	–	296	197,635
Deposits ^{4,5}										
Personal	15,300	30,652	24,351	17,289	19,285	17,296	12,784	2	513,437	650,396
Banks	15,232	96	56	–	49	2	2	–	11,796	27,233
Business and government	18,548	20,498	19,236	15,276	10,272	51,067	56,791	32,004	365,783	589,475
Total deposits	49,080	51,246	43,643	32,565	29,606	68,365	69,577	32,006	891,016	1,267,104
Obligations related to securities sold short ¹	2,677	575	1,304	1,647	1,245	6,351	14,346	12,879	2,771	43,795
Obligations related to securities sold under repurchase agreements ²	196,625	20,970	3,017	237	114	164	23	–	–	221,150
Securitization liabilities at amortized cost	–	719	182	367	567	1,602	5,104	6,300	–	14,841
Amounts payable to brokers, dealers, and clients	27,434	–	–	–	–	–	–	–	–	27,434
Insurance-related liabilities	215	405	607	608	641	1,137	1,508	1,288	869	7,278
Other liabilities	5,198	6,600	2,535	1,628	922	2,380	2,024	5,944	7,009	34,240
Subordinated notes and debentures	–	–	–	–	–	–	–	10,733	–	10,733
Equity	–	–	–	–	–	–	–	–	127,827	127,827
Total liabilities and equity	\$ 344,261	\$ 145,339	\$ 123,676	\$ 74,615	\$ 60,352	\$ 97,247	\$ 129,352	\$ 89,928	\$ 1,029,788	\$ 2,094,558
Off-balance sheet commitments										
Credit and liquidity commitments ^{6,7}	\$ 16,424	\$ 45,279	\$ 31,734	\$ 23,774	\$ 23,268	\$ 49,354	\$ 174,265	\$ 3,658	\$ 1,990	\$ 369,746
Other commitments ⁸	131	233	271	325	246	931	2,864	376	12	5,389
Unconsolidated structured entity commitments	1,312	1,004	1,855	3,143	1,787	7,012	2,930	–	–	19,043
Total off-balance sheet commitments	\$ 17,867	\$ 46,516	\$ 33,860	\$ 27,242	\$ 25,301	\$ 57,297	\$ 180,059	\$ 4,034	\$ 2,002	\$ 394,178

¹ Amount has been recorded according to the remaining contractual maturity of the underlying security.

² Certain contracts considered short-term are presented in 'less than 1 month' category.

³ Certain non-financial assets have been recorded as having 'no specific maturity'.

⁴ As the timing of demand deposits and notice deposits is non-specific and callable by the depositor, obligations have been included as having 'no specific maturity'.

⁵ Includes \$70 billion of covered bonds with remaining contractual maturities of \$10 billion in 'over 3 months to 6 months', \$4 billion in 'over 6 months to 9 months', \$5 billion in 'over 9 months to 1 year', \$24 billion in 'over 1 to 2 years', \$19 billion in 'over 2 to 5 years', and \$8 billion in 'over 5 years'.

⁶ Includes \$623 million in commitments to extend credit to private equity investments.

⁷ Commitments to extend credit exclude personal lines of credit and credit card lines, which are unconditionally cancellable at the Bank's discretion at any time.

⁸ Includes various purchase commitments as well as commitments for leases not yet commenced, and lease-related payments.

TABLE 5 8 REMAINING CONTRACTUAL MATURITY (continued)

(millions of Canadian dollars)

As at

	October 31, 2024									
	Less than 1 month	1 to 3 months	3 to 6 months	6 to 9 months	9 months to 1 year	Over 1 to 2 years	Over 2 to 5 years	Over 5 years	No specific maturity	Total
Assets										
Cash and due from banks	\$ 6,437	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ 6,437
Interest-bearing deposits with banks	165,665	23	–	–	–	–	–	–	4,242	169,930
Trading loans, securities, and other ¹	3,773	4,852	6,777	4,852	4,729	11,756	28,458	27,484	83,089	175,770
Non-trading financial assets at fair value through profit or loss	–	2	301	1,431	96	702	810	694	1,833	5,869
Derivatives	11,235	12,059	5,501	4,257	2,587	10,485	17,773	14,164	–	78,061
Financial assets designated at fair value through profit or loss	367	251	486	613	292	1,144	1,865	1,399	–	6,417
Financial assets at fair value through other comprehensive income	357	7,284	6,250	6,459	9,367	5,766	19,729	34,270	4,415	93,897
Debt securities at amortized cost, net of allowance for credit losses	1,620	4,237	4,763	6,367	4,072	30,513	93,429	126,617	(3)	271,615
Securities purchased under reverse repurchase agreements ²	134,310	35,360	19,897	10,119	5,299	1,722	482	–	1,028	208,217
Loans										
Residential mortgages	7,502	11,817	13,066	16,074	4,353	86,112	132,381	60,344	–	331,649
Consumer instalment and other personal	974	1,758	2,509	4,077	6,137	28,498	88,052	35,096	61,281	228,382
Credit card	–	–	–	–	–	–	–	–	40,639	40,639
Business and government	55,591	15,405	10,866	19,340	18,982	47,488	98,362	61,904	29,035	356,973
Total loans	64,067	28,980	26,441	39,491	29,472	162,098	318,795	157,344	130,955	957,643
Allowance for loan losses	–	–	–	–	–	–	–	–	(8,094)	(8,094)
Loans, net of allowance for loan losses	64,067	28,980	26,441	39,491	29,472	162,098	318,795	157,344	122,861	949,549
Investment in Schwab	–	–	–	–	–	–	–	–	9,024	9,024
Goodwill ³	–	–	–	–	–	–	–	–	18,851	18,851
Other intangibles ³	–	–	–	–	–	–	–	–	3,044	3,044
Land, buildings, equipment, other depreciable assets, and right-of-use assets ³	–	8	1	4	12	81	562	3,130	6,039	9,837
Deferred tax assets	–	–	–	–	–	–	–	–	4,937	4,937
Amounts receivable from brokers, dealers, and clients	22,115	–	–	–	–	–	–	–	–	22,115
Other assets	6,556	2,478	2,989	556	367	373	312	153	14,397	28,181
Total assets	\$ 416,502	\$ 95,534	\$ 73,406	\$ 74,149	\$ 56,293	\$ 224,640	\$ 482,215	\$ 365,255	\$ 273,757	\$ 2,061,751
Liabilities										
Trading deposits	\$ 4,522	\$ 2,516	\$ 2,768	\$ 2,101	\$ 3,715	\$ 5,488	\$ 7,566	\$ 1,736	\$ –	\$ 30,412
Derivatives	9,923	11,556	5,740	3,319	2,783	8,800	12,877	13,370	–	68,368
Securitization liabilities at fair value	–	1,004	328	644	97	3,313	9,443	5,490	–	20,319
Financial liabilities designated at fair value through profit or loss	50,711	25,295	51,967	40,280	37,964	1,477	–	–	220	207,914
Deposits^{4,5}										
Personal	14,229	31,997	30,780	16,971	19,064	15,120	15,590	7	497,909	641,667
Banks	14,714	4,287	2,434	16,343	6,954	–	3	–	12,963	57,698
Business and government	23,536	24,136	11,295	19,038	9,020	37,681	76,667	24,144	343,798	569,315
Total deposits	52,479	60,420	44,509	52,352	35,038	52,801	92,260	24,151	854,670	1,268,680
Obligations related to securities sold short ¹	1,431	2,392	750	971	603	8,303	10,989	12,610	1,466	39,515
Obligations related to securities sold under repurchase agreements ²	173,741	21,172	2,096	1,036	30	1,225	23	–	2,577	201,900
Securitization liabilities at amortized cost	119	589	819	438	144	1,843	4,823	3,590	–	12,365
Amounts payable to brokers, dealers, and clients	26,598	–	–	–	–	–	–	–	–	26,598
Insurance-related liabilities	224	448	671	671	705	1,184	1,656	727	883	7,169
Other liabilities	12,396	14,478	7,279	1,114	876	1,886	1,421	5,608	6,820	51,878
Subordinated notes and debentures	–	–	–	200	–	–	–	11,273	–	11,473
Equity	–	–	–	–	–	–	–	–	115,160	115,160
Total liabilities and equity	\$ 332,144	\$ 139,870	\$ 116,927	\$ 103,126	\$ 81,955	\$ 86,320	\$ 141,058	\$ 78,555	\$ 981,796	\$ 2,061,751
Off-balance sheet commitments										
Credit and liquidity commitments ^{6,7}	\$ 31,198	\$ 28,024	\$ 26,127	\$ 24,731	\$ 21,440	\$ 52,706	\$ 174,388	\$ 4,743	\$ 1,948	\$ 365,305
Other commitments ⁸	113	266	270	400	254	1,019	1,591	403	50	4,366
Unconsolidated structured entity commitments	–	–	–	125	766	490	19	–	–	1,400
Total off-balance sheet commitments	\$ 31,311	\$ 28,290	\$ 26,397	\$ 25,256	\$ 22,460	\$ 54,215	\$ 175,998	\$ 5,146	\$ 1,998	\$ 371,071

¹ Amount has been recorded according to the remaining contractual maturity of the underlying security.

² Certain contracts considered short-term are presented in 'less than 1 month' category.

³ Certain non-financial assets have been recorded as having 'no specific maturity'.

⁴ As the timing of demand deposits and notice deposits is non-specific and callable by the depositor, obligations have been included as having 'no specific maturity'.

⁵ Includes \$75 billion of covered bonds with remaining contractual maturities of \$2 billion in 'over 3 months to 6 months', \$10 billion in 'over 6 months to 9 months', \$18 billion in 'over 1 to 2 years', \$37 billion in 'over 2 to 5 years', and \$8 billion in 'over 5 years'.

⁶ Includes \$609 million in commitments to extend credit to private equity investments.

⁷ Commitments to extend credit exclude personal lines of credit and credit card lines, which are unconditionally cancellable at the Bank's discretion at any time.

⁸ Includes various purchase commitments as well as commitments for leases not yet commenced, and lease-related payments.

REGULATORY DEVELOPMENTS CONCERNING LIQUIDITY AND FUNDING

In May 2025, OSFI released draft guidelines for its 2026 proposed amendments to LAR for public consultation. Proposals introduce deposit categorizations for measuring liquidity risks from structured notes and deposits sourced through non-bank financial intermediaries and clarify expectations for instruments with contingent features and/or uncertain maturity profiles, particularly in relation to their early redemption characteristics and associated liquidity implications. Finalized proposals post-consultation are expected to be implemented in spring 2026.

Also in May, OSFI engaged institutions in a public consultation focused on Pillar 2: the supervisory review process. The discussion paper seeks views concerning how the four Basel III principles of Pillar 2 should apply to liquidity adequacy in Canada. OSFI's goal is to implement an internal liquidity adequacy assessment process (ILAAP) as a codified process for institutions to regularly assess their overall liquidity adequacy as part of the supervisory review process. This discussion paper is meant to consider the costs and benefits of implementing an ILAAP in Canada, and industry consultations are ongoing.

Capital Adequacy Risk

Capital adequacy risk is the risk of insufficient level and composition of capital being available in relation to the amount of capital required to carry out the Bank's strategy and/or satisfy regulatory and internal capital adequacy requirements under normal and stress conditions.

Capital is held to protect the viability of the Bank in the event of unexpected financial losses. Capital represents the loss-absorbing funding required to provide a cushion to protect depositors and other creditors from unexpected losses.

Managing capital levels requires that the Bank holds sufficient capital, in normal and stress environments, to avoid the risk of breaching minimum capital levels prescribed by regulators and internal limits.

WHO MANAGES CAPITAL ADEQUACY RISK

The Board oversees the Bank's capital adequacy and capital management by reviewing adherence to capital targets and approving the annual capital plan and the Capital Adequacy Risk Management Policy. The Risk Committee reviews and approves the Capital Adequacy Risk Management Framework. The CRO and the CFO oversee that the Bank's ICAAP is effective in meeting capital adequacy requirements.

The ALCO recommends and maintains the Capital Adequacy Risk Management Framework and the Capital Adequacy Risk Management Policy, and sets additional capital targets and minimum requirements, including the allocation of capital limits to business segments, to support ongoing compliance with the Capital Adequacy Risk Management Policy. The ALCO also reviews the ongoing adherence to established capital targets in support of the effective and prudent management of the Bank's capital position and maintenance of adequate capital.

TBSM is responsible for forecasting and monitoring compliance with capital targets, on a consolidated basis, with oversight provided by ALCO. TBSM updates the capital forecast, including appropriate changes to capital issuance, repurchase and redemption. The capital forecast is reviewed by ALCO. TBSM also leads the ICAAP and EWST processes. The Bank's business segments are responsible for managing to assigned RWA and leverage exposure limits.

Additionally, regulated subsidiaries of the Bank, including certain insurance subsidiaries and subsidiaries in the U.S. and other jurisdictions, manage their capital adequacy risk in accordance with applicable regulatory requirements. Capital management policies and procedures of subsidiaries are also required to conform with those of the Bank. U.S. regulated subsidiaries of the Bank are required to follow several regulatory guidelines, rules and expectations related to capital planning and stress testing including the U.S. Federal Reserve Board's Regulation YY establishing Enhanced Prudential Standards for Foreign Banking Organizations, applicable to U.S. Bank Holding Companies. Refer to the sections on "Future Regulatory Capital Developments", "Enterprise-Wide Stress Testing", and "Risk Factors That May Affect Future Results" for further details.

HOW TD MANAGES CAPITAL ADEQUACY RISK

Capital resources are managed in a manner designed so that the Bank's capital position can support business strategies under both current and future business operating environments. The Bank manages its operations within the capital constraints defined by both internal and regulatory capital requirements, so that it meets the higher of these requirements.

Regulatory capital requirements represent minimum capital levels. Capital targets are established to provide a sufficient buffer so that the Bank is able to continuously meet these minimum capital requirements. The purpose of these capital targets is to reduce the risk of a breach of minimum capital requirements, due to unexpected events, allowing management the opportunity to react to declining capital levels before minimum capital requirements are breached.

A periodic monitoring process is undertaken to plan and forecast capital requirements. As part of the annual planning process, business segments are allocated individual RWA and Leverage exposure limits. Capital generation and usage are monitored and reported to the ALCO.

The Bank assesses the sensitivity of its forecast capital requirements and new capital formations to various economic conditions through its EWST process. The results of the EWST are considered in the determination of capital targets and capital risk appetite limits.

The Bank also determines its internal capital requirements through the ICAAP process using models to measure the risk-based capital required based on its own tolerance for the risk of unexpected losses. This risk tolerance is calibrated to the required confidence level so that the Bank will be able to meet its obligations, even after absorbing severe unexpected losses over a one-year period.

In addition, the Bank has a Capital Contingency Plan that is designed to prepare management to maintain capital adequacy through periods of bank-specific or systemic market stress. The Capital Contingency Plan outlines the governance and procedures to be followed if the Bank's consolidated capital levels are forecast to fall below capital targets or when there are capital concerns from disruptive events or trends. It also outlines potential management actions that may be taken to prevent such a breach from occurring.

Compliance Risk

Compliance risk is the risk associated with the Bank's failure to comply (with letter or intent) with key federal and provincial/state banking, securities, trust and insurance laws, regulations, regulatory guidelines, voluntary codes and public commitments (collectively referred to as laws, rules and regulations (LRRs)), and other TD policies related to TD's activities and practices with respect to business conduct and market conduct as well as regulatory requirements applicable across the Bank, which can lead to fines, sanctions, liabilities, or reputational harm that could be material to the Bank.

The Bank is exposed to Compliance risk in virtually all of its activities. Failure to mitigate Compliance risk and meet regulatory and legal requirements can impact the Bank's ability to meet strategic objectives, poses a risk of censure or penalty, may lead to litigation, and puts the Bank's reputation at risk. Financial penalties, reputational damage, and other costs associated with legal proceedings and unfavourable judicial or regulatory determinations may also adversely affect the Bank's business, results of operations and financial condition. Compliance risk generally cannot be effectively mitigated by trying to limit its impact to any one business or jurisdiction as realized Compliance risk may adversely impact unrelated businesses or jurisdictions. Compliance risk exposure is inherent in the normal course of operating the Bank's businesses. Known Compliance risks continue to rapidly change as a result of evolving laws and regulatory expectations, as well as new or emerging threats, including geopolitical and those associated with use of new, emerging and interrelated technologies and use of, AI, machine learning, models and decision-making tools.

WHO MANAGES COMPLIANCE RISK

The proactive and effective management of Compliance risk is complex given the breadth and pervasiveness of exposure. All the Bank's businesses are accountable for operating their business in compliance with Compliance requirements applicable to their jurisdiction and specific businesses. All the Bank's businesses, including corporate functions, are also accountable for the Compliance risk that they generate in their operations, including Compliance risks that may arise in their dealings with third-party vendors. These accountabilities involve assessing the risk, designing and implementing controls, and monitoring and reporting on their ongoing effectiveness to safeguard the businesses from operating outside of the Bank's risk appetite. TD Compliance is an independent oversight function for Compliance Risk and provides objective guidance, and oversight with respect to managing Compliance risk. Legal, U.S. Regulatory Relations (USRR) and Regulatory Risk provide advice with respect to managing Compliance risk. Representatives of these groups interact regularly with senior executives of the Bank's businesses. Also, the senior management of Compliance have established regular meetings with and reporting to the Audit Committee, which oversees the establishment and maintenance of policies and programs designed to help achieve and maintain the Bank's compliance with the applicable LRRs. Senior management of the TD Compliance Department also report regularly to the Corporate Governance Committee, which oversees conduct risk management in the Bank, the establishment and maintenance of policies in respect of the Bank's compliance with the consumer protection provisions of the Canadian Financial Consumer Protection Framework, and in its capacity as the Bank's conduct review committee, related party transactions for the Bank and certain of its Canadian subsidiaries that are federally-regulated financial institutions. In addition, senior management of Regulatory Risk has established periodic reporting to the Board and regular reporting to the Risk Committee.

HOW TD MANAGES COMPLIANCE RISK

Effective management of Compliance risk is a result of enterprise-wide collaboration and requires (a) independent and objective identification and oversight of Compliance risk, (b) objective guidance and advisory services and/or independent challenge and oversight to identify, assess, control, and monitor Compliance risk, and (c) an approved set of frameworks, policies, procedures, guidelines, and practices. While each business line and corporate function is accountable for owning Compliance risk, Compliance as an oversight function plays a critical role in the management of Compliance risk at the Bank. Depending on the circumstances, it plays different roles at different times: 'trusted advisor', provider of objective guidance, independent challenge, and oversight and control (including 'gatekeeper' or approver).

Compliance performs the following functions: it acts as an independent oversight function to establish enterprise standards for business and oversight functions in managing compliance risk; it fosters a culture of integrity, ethics and compliance, with accountability understood and accepted throughout TD to manage and mitigate Compliance Risks. In addition to its responsibilities as an oversight function for Compliance risk, TD Compliance is also responsible for the design, implementation and update of the RCM program and assesses the adequacy of, adherence to, and effectiveness of the Bank's day-to-day RCM controls; it proactively manages regulatory change and maintains a RCM Regulatory Change Standard for oversight functions to do the same; and it supports the Chief Compliance Officer, TDBG in providing an opinion to the Audit Committee as to whether the RCM controls are sufficiently robust to achieve compliance with applicable regulatory requirements.

Compliance has developed methodologies and processes to measure and aggregate compliance risks on an ongoing basis as a baseline to assess whether the Bank's internal controls are effective in adequately identifying and mitigating such risks and determine whether individual or aggregate business activities are conducted within the Bank's risk appetite.

Legal acts as an independent provider of legal services and advice and protects the Bank from unacceptable legal risk. Legal has also developed methodologies for measuring litigation risk for adherence to the Bank's risk appetite.

Processes employed by Legal and Compliance (including policies and frameworks, training and education) support the responsibility of each business to adhere to Compliance requirements.

Finally, the Corporate and Public Affairs (CAPA), Regulatory Risk Management and Regulatory Relationships and Government Affairs (RRGA) departments also create and facilitate communication with elected officials and regulators, monitor legislation and regulations, support business relationships with governments, coordinate regulatory examinations, track and monitor issues from those examinations, support regulatory discussions on new or proposed products or business initiatives, and advance the public policy objectives of the Bank.

Financial Crime Risk

Financial Crime Risk is the risk associated with the Bank failing to sufficiently identify and manage risks associated with money laundering, terrorist financing, bribery/corruption activities and economic sanctions, or otherwise comply with associated legal and regulatory requirements for financial crime. Money Laundering and Terrorist Financing Risk is the risk that the Bank does not effectively identify or deter persons engaged in money laundering or terrorist financing from utilizing the Bank's products and services. Sanctions risk is the risk that the Bank does not effectively identify and manage exposure associated with applicable anti-terrorism, economic, and trade sanctions and export control laws and regulations required to fulfill foreign policy and national security goals of governments in the jurisdictions where the Bank operates. Bribery and Corruption risk is the risk that the Bank does not effectively identify and manage bribery or corruption-related activities and that would contravene applicable Anti-Bribery and Anti-Corruptions laws, regulations, and guidelines.

Financial Crime Risk is inherent in all business activities, including the practices for managing other risks across the Bank. The Bank plays a critical role in safeguarding the economy and protecting against money laundering and other financial crime. A strong risk management culture and comprehensive approach to preventing, detecting, and reporting financial crime risk is fundamental to effectively complying with legal and regulatory obligations. Effective anti-money laundering and countering the financing of terrorism measures are critical to the integrity of the global financial system. By implementing such measures, the Bank can help determine it is not facilitating money laundering or its predicate offences.

WHO MANAGES FINANCIAL CRIME RISK

Consistent with its overall approach to risk management, the Bank emphasizes and balances strong independent oversight and control of financial crime risk with clear accountabilities for, and ownership of, Financial Crime Risk. Effective financial crime risk management is a result of enterprise-wide collaboration and requires objective guidance, independent challenge, and subject matter expertise provided by Financial Crime Risk Management (FCRM), as well as other oversight functions partnering with Business Lines to identify, assess, control, test, monitor, and escalate Financial Crime Risk. The Bank establishes a strong risk management culture, starting from the Boards of Directors down through all levels within the organization, through its clear articulation of roles and responsibilities, and its overall infrastructure for governing the FCRM Program.

Financial Crime Risk Management, the Bank's dedicated financial crime risk management function in the Second Line of Defense, sets key financial crime programs and policies that Business Lines implement within daily operations. The FCRM Program is responsible for Anti-Money Laundering and Anti-Terrorist Financing, Sanctions, and Anti-Bribery and Anti-Corruption regulatory compliance and broader prudential

risk management across the Bank and it owns and oversees the Enterprise-wide programs and associated policies, standards, and models. It is the FCRM Program's responsibility, as a proactive and trusted advisor to Businesses and Corporate Office Functions, to support a consistent, adaptable, and effective culture across the organization so that Financial Crime Risk is appropriately identified and mitigated. Under the direction of the Global Head of Financial Crime Risk Management and U.S. Bank Secrecy Officer, the FCRM Program sets key policies and operates within a defined set of internal control processes, subject to governance and testing mechanisms designed to confirm its ongoing effective operation. While the FCRM Program sets and oversees the requirements to satisfy regulatory expectations, it is the responsibility of all employees across the Enterprise to meet these requirements and exercise effective risk management practices.

HOW TD MANAGES FINANCIAL CRIME RISK

The Financial Crime Risk Management Program is built around the prevention, detection, and reporting of Financial Crime Risk. The Program is designed to clearly articulate requirements to establish regulatory compliance and enable effective oversight from management and the Boards of Directors. The Bank achieves this through establishing program leadership with defined roles and responsibilities, documenting requirements in policy, and establishing a financial crime risk appetite that the Bank can review and assess against.

The effective management of Financial Crime Risk requires:

(1) Independent and objective FCRM functions engaged in the identification and oversight of Financial Crime Risk; (2) Objective guidance and advisement, and/or independent challenge and oversight provided by FCRM and other oversight functions by partnering themselves with the First Line of Defense to identify, assess, control, and monitor Financial Crime Risk; (3) A set of frameworks, policies, procedures, guidelines, and practices established for the consistent identification, assessment, monitoring, testing, and management of Financial Crime Risk across the Bank; and (4) Mandated authority to address and, if not satisfactorily resolved, escalate business activity, including individual or aggregate transactional, product, service, change management, corporate business or general business activity, significant regulatory investigations, regulatory enforcement actions and internal investigations, and strategic transaction activity, that is not managed within the Bank's risk appetite. To satisfy regulatory requirements and effectively address Financial Crime Risk, the FCRM Program follows an operating model with defined protocols for Program oversight, clear roles and responsibilities, and established communication channels. These processes are supported by the following areas: (1) People and Talent; (2) Training and Communications; (3) Policies and Standards; and (4) Risk Assessment. The Bank's comprehensive and proactive approach to financial crime risk management is comprised of four components: Risk Identification and Assessment, Measurement, Control, and Monitoring and Reporting.

Under the remediation of the Bank's U.S. BSA/AML Program and Enterprise AML Program, the Bank is strengthening its U.S. BSA/AML Program and Enterprise-wide AML/Anti-Terrorist Financing and Sanctions Programs. The Bank has established a dedicated program management infrastructure to monitor execution against these programs. For the U.S., the work is being overseen by the Compliance Committee of the U.S. subsidiary boards and is a multi-year endeavour, involving additional investments. In Canada, the work is subject to oversight by a Remediation Office and senior executive governance forums, including an Enterprise Risk Management Remediation Subcommittee, along with regular reporting to the Remediation Committee of the Board and the Audit Committee of the Board.

Reputational Risk

Reputational risk is the potential that stakeholders' perceptions regarding the Bank's business practices, actions or inactions, will or may cause a significant decline in TD's value, brand, or customer base, financial condition, or require costly measures to address. Stakeholders include customers, shareholders, employees, regulators, and the communities in which we operate.

TD recognizes that its reputation is a valuable business asset that is essential to optimizing shareholder value and therefore, is constantly at risk. Reputational risk can arise as a consequence of negative perceptions about the Bank's business practices involving any aspect of the Bank's operations but usually involves concerns about business ethics and integrity, competence, or the quality or suitability of products and services. As such, reputational risk is not managed in isolation from TD's other major risk categories, as all risk categories can have an impact on reputation, which in turn can impact the Bank's value, brand, liquidity or customer base.

WHO MANAGES REPUTATIONAL RISK

Effective reputational risk management is achieved through enterprise-wide collaboration supported by centralized oversight and coordination of the Reputational Risk Management governance and committee processes. Every employee and representative of the Bank has a responsibility to contribute in a positive way to the Bank's reputation and the management of reputational risk. Every Bank employee is expected and required to follow ethical practices at all times, including compliance with applicable policies, legislation, and regulations, and support positive interactions with the Bank's stakeholders. Reputational risk is most effectively managed when everyone at TD works continuously to protect and enhance the Bank's reputation. Where an employee is aware of or suspects any conduct that violates TD's Code of Conduct and Ethics, they have an obligation to immediately report such conduct.

TD senior management provides governance and oversight to the management of reputational risk through an established enterprise-wide structure of governing committees and mandates. The ERRC oversees the management of reputational risk within the Bank's risk appetite, including reputational risks arising from traditional and non-traditional risk. The Committee is the final point of senior management discussion and decision on reputational risks, subject to escalation to the Group President and CEO.

HOW TD MANAGES REPUTATIONAL RISK

The Bank's approach to the management of reputational risk combines the experience and knowledge of individual business and corporate segments, as well as governance, risk and oversight functions. It is based on enabling the Bank's businesses to understand their risks and developing the policies, processes, and controls required to manage these risks appropriately and in line with the Bank's strategy and reputational risk appetite. The Bank's Reputational Risk Management Framework provides a comprehensive overview of its approach to the management of this risk, and is supported by the Enterprise Risk Management Policy. This Policy is approved by the Group Head and CRO and sets out the requirements that business and corporate segments must meet to support TD in managing reputational risk within its risk appetite, including reputational risk arising from traditional and non-traditional risks. These requirements include implementing procedures and designating a business-level committee (where required by the Policy) to review and assess reputational risks and escalation to the ERRC as appropriate.

Environmental and Social Risk

E&S risk is the risk of financial loss or other harm resulting from the Bank's inability to manage and respond to changing environmental or social factors that impact or are associated with the Bank's operations, business activities, products, clients, or the communities in which the Bank operates.

Operating a complex financial institution in multiple jurisdictions exposes the Bank's businesses and operations to a broad range of financial and non-financial risks. Environmental and social issues, including climate change, expose the Bank to a set of risks (collectively, E&S risk) that are transverse, meaning they can drive financial and non-financial risks, including but not limited to credit, strategic, reputational, legal and regulatory compliance risks.

WHO MANAGES ENVIRONMENTAL AND SOCIAL RISK

ESG Risk Management (ESG RM) establishes enterprise governance, environmental, climate, and social risk frameworks, and policies for business segments and corporate functions to identify, manage, measure, control and monitor current and emerging environmental, climate, and social risks in day-to-day activities, operations, products, and services. Internal policies and procedures require business segments and corporate functions to consider the applicability and assessment of E&S risk in current and new business activity. Business unit governance and processes are required to incorporate an assessment of E&S risk, and apply an appropriate level of governance and oversight consistent with their business procedures. ESG RM also develops enterprise-wide tools, programs and training to support identification, measurement, management, and monitoring of E&S risk.

Senior Management oversight is maintained through monitoring and reporting to the OROC, ERRC and Risk Committee of the Board.

HOW TD MANAGES ENVIRONMENTAL AND SOCIAL RISK

The Bank follows a disciplined approach to managing financial and non-financial risks, including E&S risks which may have a present or future impact on the Bank's competitive position, brand or long-term shareholder value creation. The Bank considers current and potential E&S risk in our strategies by enabling informed decision-making based on internal capabilities, industry practices, legal and regulatory obligations, and stakeholder expectations – including shareholders and customers – as they continue to evolve.

The Enterprise E&S Risk Framework outlines how the Bank manages E&S risk, and this is reinforced by the Enterprise E&S Risk Policy and other risk-specific policies.

With respect to lending activities, the Bank takes a measured, client-focused and risk-based approach to E&S risks. The Bank conducts risk assessment and due diligence that could include the use of tools such as a Physical Risk Classification Framework, industry risk ratings, client engagement and questionnaires, financed emissions estimation, environmental site assessments, industry research, and media scans, as applicable. Risk assessment and due diligence results follow the Bank's risk governance process, which may include segment level and enterprise-level reputational risk committee oversight. Following this process, TD makes informed decisions to conduct transactions based on the risks presented and the Bank's ability to manage those risks.

The Bank continues to assess the impacts associated with new and material changes made to TD products, services, projects, and initiatives by incorporating E&S risk assessment into the Bank's Change Risk Management process. Additionally, the Bank's enterprise-wide Business Continuity and Crisis Management Program continue to support management's ability to operate the Bank's businesses and operations in the event of a business disruption incident, including the incremental impact of climate change, while the Third Party Risk Management program integrates E&S assessment factors as appropriate, for our most significant third parties.

The Bank's E&S metrics, targets and performance are publicly reported within the annual sustainability reporting suite. Key performance measures reported by the Bank are informed by the Global Reporting Initiative (GRI), the Sustainability Accounting Standards Board (SASB) and the FSB's Task Force on Climate-Related Financial Disclosures (TCFD) recommendations, with select metrics that are independently assured.

Climate-Related Risk

Climate-related risk is the risk of financial loss or other harm, including but not limited to credit, strategic, reputational, legal and regulatory compliance, resulting from the physical and transition risks of climate change to the Bank, its clients or the communities in which the Bank operates. This includes physical risks arising from the consequences of a changing climate, as well as transition risks arising from the process of shifting to a low-carbon economy. In its 2024 annual sustainability reporting suite, the Bank highlighted its progress to assess and manage climate-related risk and effectively manage its business strategies and continues to capture opportunities in light of these evolving risks.

The Bank's Climate Scenario Analysis program helps the Bank better understand the impacts of climate-related financial risks. Climate scenario analysis evaluates a range of hypothetical outcomes by considering a variety of alternative plausible future scenarios under a given set of assumptions and constraints. While scenarios are not designed to deliver precise outcomes or forecasts, they provide a way for the Bank to consider how the future might look and how it can prepare. The Bank continues to develop tools and capabilities regarding climate data and climate-related risk modelling to support its understanding of the transition and physical risks of climate change, which will help inform the Bank's approach to further integrate climate-related risk management activities across the enterprise.

The Bank continues to refresh and enhance the scope of its climate risk heatmap, supported by an industry risk review process and Physical Risk Classification Framework, to support physical and transition climate-related risk identification and assessment and to refine its understanding of the industry sector and geographical location sensitivities that climate-related risk may have on the Bank and its assets, clients, and communities in which it operates. The Bank continues to refine and expand the application of the Physical Climate Risk Classification Framework across its footprint and business lines to inform risk assessment processes and risk mitigation strategies.

The Bank contributes to public consultations and advocacy initiatives on emerging climate issues, including disclosure frameworks proposed by regulators and standard setters. The Bank also engages with environmental and community NGOs, industry associations, rating agencies, Indigenous communities and responsible investment organizations.

The Bank also participates in various North American working groups, and as a member of the Partnership for Carbon Accounting Financials, helps develop and refine calculation methodologies for emerging climate metrics. The Bank continues its membership in the Risk Management Association Climate Risk Consortium, which focuses on bringing financial institutions together to advance the awareness of and address the risks relevant to climate change, by developing frameworks and recommendations for governance, disclosure, and risk management principles.

TD recognizes it faces transition risk from its own activities, as well as from the clients we serve. In 2020, the Bank announced a target to achieve net-zero greenhouse gas (GHG) emissions associated with the Bank's operations and financing activities by 2050, in alignment with the associated principles of the Paris Agreement.

The Bank monitors and assesses legal, policy, regulatory, economic, technological and stakeholder developments and may adjust its metrics or targets to reflect these developments. In addition, methodologies or standards used by regulators, the financial sector, industry groups or associations that the Bank participates in or belongs to, or that the Bank or its clients use to measure and report on their GHG emissions could

result in the Bank amending or restating its baselines, calculated results or targets, and may result in the Bank withdrawing from or modifying its membership in certain groups or associations. Limitations on the availability and reliability of data may also impact the Bank's ability to assess and evaluate climate-related risks. The Bank is mindful of data availability and data quality limitations impacting risk management and financed emissions efforts and work continues through industry forums to address the lack of standardized taxonomies and methodologies. These limitations are expected to improve over time as the Bank continues to advance its data capabilities by working with internal and external subject matter experts.

Regulatory and Standard Setter Developments Concerning E&S Risk

In March 2025, OSFI released updates to Guideline B-15 to ensure continued interoperability with the requirements of the final Canadian Sustainability Standards Board (CSSB) standards. Key updates include postponing the implementation date for industry-based metrics and Scope 3 GHG emissions disclosures from fiscal year end 2025 to 2028. The Bank's 2025 annual sustainability report suite will incorporate the phased-in cross-industry metrics requirements, effective for October 31, 2025.

In April 2025, the Canadian Securities Administrators (CSA) announced that it is pausing work on the development of a new mandatory climate-related disclosure rule that is based on the two standards issued by the CSSB. The CSSB standards were released in December 2024 and are based on the international sustainability standards issued by the International Sustainability Standards Board (ISSB). They set out the disclosure requirements for financially material information about sustainability and climate-related risks and opportunities to meet investor information needs. For these standards to become mandatory requirements in Canada, they would need to be incorporated into a CSA rule. The Bank continues to assess the impact of adopting these standards and to monitor developments from various standard setters and regulators.

Codes of Conduct and Human Rights

The Bank has several policies, including the Bank's Code of Conduct and Ethics, which reflect the Bank's commitment to manage its business responsibly and in compliance with applicable laws. For additional information on the Code of Conduct and Ethics, refer to the "Compliance Risk" section above. The Bank publishes a Statement on Human Rights, which is refreshed periodically and reflects the corporate responsibility to respect human rights as set out in the United Nations Guiding Principles on Business and Human Rights (UNGPs). The Bank and its applicable subsidiaries also publish reports pursuant to modern slavery legislation to which they are subject. The Bank's current Human Rights Statement and Modern Slavery and Human Trafficking Report can be found here: <https://www.td.com/ca/en/about-td/for-investors/policies-and-references>.

TD's Financial Consumer Protection Framework Policy aims to promote responsible conduct within TD and protect its Canadian banking customers. It also includes components related to promoting transparency for customers to help them make informed decisions and provisions related to fair and equitable dealing (e.g., requirements for cancelling agreements, access to basic banking services and complaints processes).

In the U.S., TD's Fair & Responsible Banking Policy supports the Bank's commitment to treat all individuals fairly and equitably in offering and providing banking products and services: to mitigate risk to the consumer; to prevent discriminatory practices and unfair, deceptive or abusive acts or practices (UDAAP); and to maintain compliance with applicable federal and state laws and regulations. TD's Complaint Policy establishes requirements for the Bank to identify and address customer issues and continue to enhance its legendary customer experience.

The Bank's Supplier Code of Conduct also reflects its commitment to respect human rights. New or prospective suppliers providing goods or services through the Bank's centralized Procurement Group must register through an enterprise procurement system requiring them to represent that they operate in accordance with the expectations described in its Supplier Code of Conduct, including those relating to the protection of human rights and fair labour practices.

ACCOUNTING STANDARDS AND POLICIES

Critical Accounting Policies and Estimates

ACCOUNTING POLICIES AND ESTIMATES

The Bank's accounting policies and estimates are essential to understanding its results of operations and financial condition. A summary of the Bank's material accounting policies and estimates are presented in the Notes of the 2025 Consolidated Financial Statements. The Bank's material accounting policies are reviewed with the Audit Committee on a periodic basis. Critical accounting policies that require management's judgment and estimates include the classification and measurement of financial assets, accounting for impairments of financial assets, accounting for leases, the determination of fair value of financial instruments, accounting for derecognition, the valuation of goodwill and other intangibles, accounting for employee benefits, accounting for income taxes, accounting for provisions, accounting for insurance, the consolidation of structured entities, and accounting for revenue from contract with customers.

The Bank's 2025 Consolidated Financial Statements have been prepared in accordance with IFRS. For details of the Bank's accounting policies under IFRS, refer to Note 2 of the Bank's 2025 Consolidated Financial Statements.

ACCOUNTING JUDGMENTS, ESTIMATES, AND ASSUMPTIONS

The estimates used in the Bank's accounting policies are essential to understanding its results of operations and financial condition. Some of the Bank's policies require subjective, complex judgments and estimates as they relate to matters that are inherently uncertain. Changes in these judgments or estimates and changes to accounting standards and policies could have a materially adverse impact on the Bank's Consolidated Financial Statements. The Bank has established procedures to ensure that accounting policies are applied consistently and that the processes for changing methodologies, determining estimates, and adopting new accounting standards are well-controlled and occur in an appropriate and systematic manner.

CLASSIFICATION AND MEASUREMENT OF FINANCIAL ASSETS

Business Model Assessment

The Bank determines its business models based on the objective under which its portfolios of financial assets are managed. Refer to Note 2 of the Bank's 2025 Consolidated Financial Statements for details on the Bank's business models. In determining its business models, the Bank considers the following:

- Management's intent and strategic objectives and the operation of the stated policies in practice;
- The primary risks that affect the performance of the portfolio of assets and how these risks are managed;
- How the performance of the portfolio is evaluated and reported to management; and
- The frequency and significance of financial asset sales in prior periods, the reasons for such sales and the expected future sales activities.

Sales in themselves do not determine the business model and are not considered in isolation. Instead, sales provide evidence about how cash flows are realized. A held-to-collect business model will be reassessed by the Bank to determine whether any sales are consistent with an objective of collecting contractual cash flows if the sales are more than insignificant in value or more than infrequent.

Solely Payments of Principal and Interest Test

In assessing whether contractual cash flows represent solely payments of principal and interest (SPPI), the Bank considers the contractual terms of the instrument. This includes assessing whether the financial asset contains contractual terms that could change the timing or amount of contractual cash flows such that they would not be consistent with a basic lending arrangement. In making the assessment, the Bank considers the primary terms as follows and assesses if the contractual cash flows of the instrument continue to meet the SPPI test:

- Performance-linked features;
- Terms that limit the Bank's claim to cash flows from specified assets (non-recourse terms);
- Prepayment and extension terms;
- Leverage features;
- Features that modify elements of the time value of money; and
- Sustainability-linked features.

IMPAIRMENT OF FINANCIAL ASSETS

Significant Increase in Credit Risk

For retail exposures, criteria for assessing significant increase in credit risk are defined at the appropriate product or portfolio level and vary based on the exposure's credit risk at origination. The criteria include relative changes in PD, absolute PD backstop, and delinquency backstop when contractual payments are more than 30 days past due. Significant increase in credit risk since initial recognition has occurred when one of the criteria is met.

For non-retail exposures, BRR is determined on an individual borrower basis using industry and sector specific credit risk models that are based on historical data. Current and forward-looking information that is specific to the borrower, industry, and sector is considered based on expert credit judgment. Criteria for assessing significant increase in credit risk are defined at the appropriate segmentation level and vary based on the BRR of the exposure at origination. Criteria include relative changes in BRR, absolute BRR backstop, and delinquency backstop when contractual payments are more than 30 days past due. Significant increase in credit risk since initial recognition has occurred when one of the criteria is met.

Measurement of Expected Credit Loss

ECLs are recognized on the initial recognition of financial assets.

Allowance for credit losses represents management's unbiased estimate of the risk of default and ECLs on the financial assets, including any off-balance sheet exposures, at the balance sheet date.

For retail exposures, ECLs are calculated as the product of PD, LGD, and EAD at each time step over the remaining expected life of the financial asset and discounted to the reporting date based on the EIR. PD estimates represent the forward-looking PD, updated quarterly based on the Bank's historical experience, current conditions, and relevant forward-looking expectations over the expected life of the exposure to determine the lifetime PD curve. LGD estimates are determined based on historical charge-off events and recovery payments, current information about attributes specific to the borrower, and direct costs. Expected cash flows from collateral, guarantees, and other credit enhancements are incorporated in LGD if integral to the contractual terms. Relevant macroeconomic variables are incorporated in determining expected LGD. EAD represents the expected balance at default across the remaining expected life of the exposure. EAD incorporates forward-looking expectations about repayments of drawn balances and future draws where applicable.

For non-retail exposures, ECLs are calculated based on the present value of cash shortfalls determined as the difference between contractual cash flows and expected cash flows over the remaining expected life of the financial instrument. Lifetime PD is determined by mapping the exposure's BRR to forward-looking PD over the expected life. LGD estimates are determined by mapping the exposure's FRR to expected LGD which takes into account facility-specific characteristics such as collateral, seniority ranking of debt, and loan structure. Relevant macroeconomic variables are incorporated in determining expected PD and LGD. Expected cash flows are determined by applying the PD and LGD estimates to the contractual cash flows to calculate cash shortfalls over the expected life of the exposure.

Forward-Looking Information

In calculating ECLs, the Bank employs internally developed models that utilize parameters for PD, LGD, and EAD. Forward-looking macroeconomic factors including at the regional level are incorporated in the risk parameters as relevant. Additional risk factors that are industry or segment specific are also incorporated, where relevant. Forward-looking macroeconomic forecasts are generated by TD Economics as part of the ECL process: A base economic forecast is accompanied with upside and downside estimates of realistically possible economic conditions by considering the sources of uncertainty around the base forecast. All macroeconomic forecasts are updated quarterly for each variable on a regional basis where applicable and incorporated as relevant into the quarterly modelling of base, upside and downside risk parameters used in the calculation of ECL scenarios and probability-weighted ECLs. TD Economics will apply judgment to recommend probability weights to each forecast on a quarterly basis. The proposed macroeconomic forecasts and probability weightings are subject to a robust management review and challenge process by a cross-functional committee that includes representation from TD Economics, Risk, Finance, and Business. ECLs calculated under each of the three forecasts are applied against the respective probability weightings to determine the probability-weighted ECLs. Refer to Note 8 for further details on the macroeconomic variables and ECL sensitivity.

Expert Credit Judgment

Management's expert credit judgment is used to determine the best estimate for the qualitative component contributing to ECLs, based on an assessment of business and economic conditions, historical loss experience, loan portfolio composition, and other relevant indicators and forward-looking information that are not fully incorporated into the model calculation.

There remains elevated economic uncertainty, and management continues to exercise expert credit judgment in assessing if an exposure has experienced significant increase in credit risk since initial recognition and in determining the amount of ECLs at each reporting date. To the extent that certain effects are not fully incorporated into the model calculations, temporary quantitative and qualitative adjustments have been applied, including for risks related to elevated uncertainty associated with policy and trade, and such adjustments will be updated as appropriate in future periods.

LEASES

The Bank applies judgment in determining the appropriate lease term on a lease-by-lease basis. All facts and circumstances that create an economic incentive to exercise a renewal option or not to exercise a termination option including investments in major leaseholds, branch performance and past business practice are considered. The periods covered by renewal or termination options are only included in the lease term if it is reasonably certain that the Bank will exercise the options; management considers "reasonably certain" to be a high threshold. Changes in the economic environment or changes in the industry may impact the Bank's assessment of lease term, and any changes in the Bank's estimate of lease terms may have a material impact on the Bank's Consolidated Balance Sheet and Consolidated Statement of Income.

In determining the carrying amount of right-of-use (ROU) assets and lease liabilities, the Bank is required to estimate the incremental borrowing rate specific to each leased asset or portfolio of leased assets if the interest rate implicit in the lease is not readily determinable. The Bank determines the incremental borrowing rate of each leased asset or portfolio of leased assets by incorporating the Bank's creditworthiness, the security, term, and value of the ROU asset, and the economic environment in which the leased asset operates. The incremental borrowing rates are subject to change mainly due to changes in the macroeconomic environment.

FAIR VALUE MEASUREMENTS

The fair value of financial instruments traded in active markets at the balance sheet date is based on their quoted market prices. For all other financial instruments not traded in an active market, fair value may be based on other observable current market transactions involving the same or similar instruments, without modification or repackaging, or is based on a valuation technique which maximizes the use of observable market inputs. Observable market inputs may include interest rate yield curves, foreign exchange rates, and option volatilities. Valuation techniques include comparisons with similar instruments where observable market prices exist, discounted cash flow analysis, option pricing models, and other valuation techniques commonly used by market participants.

For certain complex or illiquid financial instruments, fair value is determined using valuation techniques in which current market transactions or observable market inputs are not available. Judgment is used when determining which valuation techniques to apply, liquidity considerations, and model inputs such as volatilities, correlations, spreads, discount rates, pre-payment rates, and prices of underlying instruments. Any imprecision in these estimates can affect the resulting fair value.

Judgment is also used in recording valuation adjustments to model fair values to account for system limitations or measurement uncertainty, such as when valuing complex and less actively traded financial instruments. If the market for a complex financial instrument develops, the pricing for this instrument may become more transparent, resulting in refinement of valuation models.

DERECOGNITION OF FINANCIAL ASSETS

Certain financial assets transferred may qualify for derecognition from the Bank's Consolidated Balance Sheet. To qualify for derecognition, certain key determinations must be made, including whether the Bank's rights to receive cash flows from the financial assets have been retained or transferred and the extent to which the risks and rewards of ownership of the financial assets have been retained or transferred. If the Bank neither transfers nor retains substantially all of the risks and rewards of ownership of the financial assets, a decision must be made as to whether the Bank has retained control of the financial assets.

Upon derecognition, the Bank will record a gain or loss on sale of those assets which is calculated as the difference between the carrying amount of the asset transferred and the sum of any cash proceeds received, including any financial assets received or financial liabilities assumed, and any cumulative gains or losses allocated to the transferred asset that had been recognized in AOCI. In determining the fair value of any financial assets received, the Bank estimates future cash flows by relying on estimates of the amount of interest that will be collected on the securitized assets, the yield to be paid to investors, the portion of the securitized assets that will be prepaid before their scheduled maturity, ECLs, the cost of servicing the assets, and the rate at which to discount these expected future cash flows. Actual cash flows may differ significantly from those estimated by the Bank.

Retained interests are financial interests in transferred assets retained by the Bank. They are classified as trading securities and are initially recognized at relative fair value on the Bank's Consolidated Balance Sheet. Subsequently, the fair value of retained interests is determined by estimating the present value of future expected cash flows. Differences between the actual cash flows and the Bank's estimated future cash flows are recognized in trading income (loss). These assumptions are subject to periodic reviews and may change due to significant changes in the economic environment.

GOODWILL

The recoverable amount of the Bank's cash-generating units (CGUs) or groups of CGUs is determined from internally developed valuation models that consider various factors and assumptions such as forecasted earnings, growth rates, discount rates, and terminal growth rates. Management is required to use judgment in estimating the recoverable amount of the CGUs or groups of CGUs, and the use of different assumptions and estimates in the calculations could influence the determination of the existence of impairment and the valuation of goodwill. Management believes that the assumptions and estimates used are reasonable and supportable. Where possible, assumptions generated internally are compared to relevant market information. The carrying amounts of the Bank's CGUs or groups of CGUs are determined by management using risk-based capital models to adjust net assets and liabilities by CGU. These models consider various factors including market risk, credit risk, and operational risk, including investment capital (comprised of goodwill and other intangibles). Any capital not directly attributable to the CGUs is held within the Corporate segment. The Bank's capital oversight committees provide oversight to the Bank's capital allocation methodologies.

EMPLOYEE BENEFITS

The projected benefit obligation and expense related to the Bank's pension and post-retirement defined benefit plans are determined using multiple assumptions that may significantly influence the value of these amounts. Actuarial assumptions including discount rates, compensation increases, health care cost trend rates, and mortality rates are management's best estimates and are reviewed annually with the Bank's actuaries. The Bank develops each assumption using relevant historical experience of the Bank in conjunction with market-related data and considers if the market-related data indicates there is any prolonged or significant impact on the assumptions. The discount rate used to value the projected benefit obligation is determined by reference to market yields on high-quality corporate bonds with terms matching the plans' specific cash flows.

The other assumptions are also long-term estimates. All assumptions are subject to a degree of uncertainty. Differences between actual experiences and the assumptions, as well as changes in the assumptions resulting from changes in future expectations, result in remeasurement gains and losses which are recognized in other comprehensive income (OCI) during the year and also impact expenses in future periods.

INCOME TAXES

The Bank is subject to taxation in numerous jurisdictions. There are many transactions and calculations in the ordinary course of business for which the ultimate tax determination is uncertain. The Bank maintains provisions for uncertain tax positions that it believes appropriately reflect the risk of tax positions under discussion, audit, dispute, or appeal with tax authorities, or which are otherwise considered to involve uncertainty. These provisions are made using the Bank's best estimate of the amount expected to be paid based on an assessment of all relevant factors, which are reviewed at the end of each reporting period. However, it is possible that at some future date, changes in these liabilities could result from audits by the relevant taxing authorities.

Deferred tax assets are recognized only when it is probable that sufficient taxable profit will be available in future periods against which deductible temporary differences may be utilized. The amount of the deferred tax asset recognized and considered realizable could, however, be reduced if projected income is not achieved due to various factors, such as unfavourable business conditions. If projected income is not expected to be achieved, the Bank would decrease its deferred tax assets to the amount that it believes can be realized. The magnitude of the decrease is significantly influenced by the Bank's forecast of future profit generation, which determines the extent to which it will be able to utilize the deferred tax assets.

PROVISIONS

Provisions arise when there is some uncertainty in the timing or amount of a loss in the future. Provisions are based on the Bank's best estimate of all expenditures required to settle its present obligations, considering all relevant risks and uncertainties, as well as, when material, the effect of the time value of money.

Many of the Bank's provisions relate to various legal and regulatory actions that the Bank is involved in during the ordinary course of business. Legal and regulatory provisions require the involvement of both the Bank's management and legal counsel when assessing the probability of a loss and estimating any monetary impact. Throughout the life of a provision, the Bank's management or legal counsel may learn of additional information that may impact its assessments about the probability of loss or about the estimates of amounts involved. Changes in these assessments may lead to changes in the amount recorded for provisions. In addition, the actual costs of resolving these claims may be substantially higher or lower than the amounts recognized. The Bank reviews its legal and regulatory provisions on a case-by-case basis after considering, among other factors, the progress of each case, the Bank's experience, the experience of others in similar cases, and the opinions and views of legal counsel.

Certain of the Bank's provisions relate to restructuring initiatives initiated by the Bank. Restructuring provisions require management's best estimate, including forecasts of economic conditions. Throughout the life of a provision, the Bank may become aware of additional information that may impact the assessment of amounts to be incurred. Changes in these assessments may lead to changes in the amount recorded for restructuring provisions.

INSURANCE

The assumptions used in establishing the Bank's insurance contract liabilities are based on best estimates of possible outcomes.

For property and casualty insurance contracts, the ultimate cost of LIC is estimated using a range of standard actuarial claims projection techniques by the appointed actuary in accordance with Canadian accepted actuarial practices. Additional qualitative judgment is used to assess the extent to which past trends may or may not apply in the future, in order to arrive at the estimated ultimate claims cost amounts that present the most likely outcome taking into account all the uncertainties involved.

For life and health insurance contracts, insurance contract liabilities consider all future policy cash flows, including premiums, claims, and expenses required to administer the policies. Critical assumptions used in the measurement of life and health insurance contract liabilities are determined by the appointed actuary.

Further information on insurance risk assumptions is provided in Note 20 of the 2025 Consolidated Financial Statements.

CONSOLIDATION OF STRUCTURED ENTITIES

Management judgment is required when assessing whether the Bank should consolidate an entity. For instance, it may not be feasible to determine if the Bank controls an entity solely through an assessment of voting rights for certain structured entities. In these cases, judgment is required to establish whether the Bank has decision-making power over the key relevant activities of the entity and whether the Bank has the ability to use that power to absorb significant variable returns from the entity. If it is determined that the Bank has both decision-making power and significant variable returns from the entity, judgment is also used to determine whether any such power is exercised by the Bank as principal, on its own behalf, or as agent, on behalf of another counterparty.

Assessing whether the Bank has decision-making power includes understanding the purpose and design of the entity in order to determine its key economic activities. In this context, an entity's key economic activities are those which predominantly impact the economic performance of the entity. When the Bank has the current ability to direct the entity's key economic activities, it is considered to have decision-making power over the entity.

The Bank also evaluates its exposure to the variable returns of a structured entity in order to determine if it absorbs a significant proportion of the variable returns the entity is designed to create. As part of this evaluation, the Bank considers the purpose and design of the entity in order to determine whether it absorbs variable returns from the structured entity through its contractual holdings, which may take the form of securities issued by the entity, derivatives with the entity, or other arrangements such as guarantees, liquidity facilities, or lending commitments.

If the Bank has decision-making power over the entity and absorbs significant variable returns from the entity, it then determines if it is acting as principal or agent when exercising its decision-making power. Key factors considered include the scope of its decision-making power; the rights of other parties involved with the entity, including any rights to remove the Bank as decision-maker or rights to participate in key decisions; whether the rights of other parties are exercisable in practice; and the variable returns absorbed by the Bank and by other parties involved with the entity. When assessing consolidation, a presumption exists that the Bank exercises decision-making power as principal if it is also exposed to significant variable returns, unless an analysis of the factors above indicates otherwise.

The decisions above are made with reference to the specific facts and circumstances relevant for the structured entity and related transaction(s) under consideration.

REVENUE FROM CONTRACTS WITH CUSTOMERS

The Bank applies judgment to determine the timing of satisfaction of performance obligations which affects the timing of revenue recognition, by evaluating the pattern in which the Bank transfers control of services promised to the customer. A performance obligation is satisfied over time when the customer simultaneously receives and consumes the benefits as the Bank performs the service. For performance obligations satisfied over time, revenue is generally recognized using the time-elapsed method which is based on time elapsed in proportion to the period over which the service is provided, for example, personal deposit account bundle fees. The time-elapsed method is a faithful depiction of the transfer of control for these services as control is transferred evenly to the customer when the Bank provides a stand-ready service or effort is expended evenly by the Bank to provide a service over the contract period. In contracts where the Bank has a right to consideration from a customer in an amount

that corresponds directly with the value to the customer of the Bank's performance completed to date, the Bank recognizes revenue in the amount to which it has a right to invoice.

The Bank satisfies a performance obligation at a point in time if the customer obtains control of the promised services at that date. Determining when control is transferred requires the use of judgment. For transaction-based services, the Bank determines that control is transferred to the customer at a point in time when the customer obtains substantially all of the benefits from the service rendered and the Bank has a present right to payment, which generally coincides with the moment the transaction is executed.

The Bank exercises judgment in determining whether costs incurred in connection with acquiring new revenue contracts would meet the requirement to be capitalized as incremental costs to obtain or fulfil a contract with customers.

ACCOUNTING STANDARDS AND POLICIES

Current and Future Changes in Accounting Policies

CURRENT CHANGES IN ACCOUNTING POLICIES

There were no new accounting policies adopted by the Bank for the fiscal year ended October 31, 2025.

FUTURE CHANGES IN ACCOUNTING POLICIES

The following standard and amendments have been issued but are not yet effective on the date of issuance of the Bank's Consolidated Financial Statements.

Presentation and Disclosure in Financial Statements

In April 2024, the IASB issued IFRS 18, *Presentation and Disclosure in Financial Statements* (IFRS 18), which replaces the guidance in IAS 1, *Presentation of Financial Statements* and sets out requirements for presentation and disclosure of information, focusing on providing relevant information to users of the financial statements. IFRS 18 introduces changes to the structure of the statement of profit or loss, aggregation and disaggregation of financial information, and management-defined performance measures to be disclosed in the notes to the financial statements. It will be effective for the Bank's annual period beginning November 1, 2027. Early application is permitted. The standard will be applied retrospectively with restatement of comparatives. The Bank is currently assessing the impact of adopting this standard.

Amendments to the Classification and Measurement of Financial Instruments

In May 2024, the IASB issued *Amendments to the Classification and Measurement of Financial Instruments*, which amended IFRS 9 and IFRS 7. The amendments address matters identified during the post-implementation review of the classification and measurement requirements of IFRS 9. The amendments clarify how to assess the contractual cash flow characteristics of financial assets that include environmental, social, and governance linked features and other similar contingent features. The amendments also clarify the treatment of non-recourse assets and contractually linked instruments. Furthermore, the amendments clarify that a financial liability is derecognized on the settlement date and provide an accounting policy choice to derecognize a financial liability settled using an electronic payment system before the settlement date if certain conditions are met. Finally, the amendments introduce additional disclosure requirements for financial instruments with contingent features and equity instruments classified at FVOCI.

The amendments will be effective for the Bank's annual period beginning November 1, 2026. Early adoption is permitted, with an option to early adopt the amendments related to the classification of financial assets and associated disclosures only. The Bank is required to apply the amendments retrospectively, but is not required to restate prior periods. The Bank is currently assessing the impact of adopting these amendments.

Controls and Procedures

DISCLOSURE CONTROLS AND PROCEDURES

An evaluation was performed under the supervision and with the participation of the Bank's management, including the Chief Executive Officer and Chief Financial Officer, of the effectiveness of the Bank's disclosure controls and procedures, as defined in the rules of the SEC and Canadian Securities Administrators, as of October 31, 2025. Based on that evaluation, the Bank's management, including the Chief Executive Officer and Chief Financial Officer, concluded that the Bank's disclosure controls and procedures were effective as of October 31, 2025.

MANAGEMENT'S REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

The Bank's management is responsible for establishing and maintaining adequate internal control over financial reporting for the Bank. The Bank's internal control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records, that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Bank; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with IFRS, and that receipts and expenditures of the Bank are being made only in accordance with authorizations of the Bank's management and directors; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the Bank's assets that could have a material effect on the financial statements.

The Bank's management has used the criteria established in the 2013 Internal Control – Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission to assess, with the participation of the Chief Executive Officer and Chief Financial Officer, the effectiveness of the Bank's internal control over financial reporting. Based on this assessment management has concluded that as at October 31, 2025, the Bank's internal control over financial reporting was effective based on the applicable criteria. The effectiveness of the Bank's internal control over financial reporting has been audited by the independent auditors, Ernst & Young LLP, a registered public accounting firm that has also audited the Consolidated Financial Statements of the Bank as of, and for the year ended October 31, 2025. Their Report on Internal Control over Financial Reporting under Standards of the Public Company Accounting Oversight Board (United States), included in the Report of Independent Registered Public Accounting Firm – Internal Control over Financial Reporting, expresses an unqualified opinion on the effectiveness of the Bank's internal control over financial reporting as of October 31, 2025.

CHANGES IN INTERNAL CONTROL OVER FINANCIAL REPORTING

During the year and quarter ended October 31, 2025, there have been no changes in the Bank's policies and procedures and other processes that comprise its internal control over financial reporting, that have materially affected, or are reasonably likely to materially affect, the Bank's internal control over financial reporting. Refer to Note 2 and Note 3 of the Bank's 2025 Consolidated Financial Statements for further information regarding the Bank's changes to accounting policies, procedures, and estimates.

ADDITIONAL FINANCIAL INFORMATION

Unless otherwise indicated, all amounts are expressed in Canadian dollars and have been primarily derived from the Bank's 2025 Consolidated

Financial Statements, prepared in accordance with IFRS as issued by the IASB.

TABLE 59	SELECT ANNUAL INFORMATION ¹		
(millions of Canadian dollars, except as noted)	2025	2024	2023
Total revenue	\$ 67,777	\$ 57,223	\$ 50,690
Net income available to common shareholders	19,973	8,316	10,071
Basic earnings per share	11.57	4.73	5.53
Diluted earnings per share	11.56	4.72	5.52
Dividends declared per common share	4.20	4.08	3.84
Total Assets (billions of Canadian dollars)	2,094.6	2,061.8	1,955.1
Deposits (billions of Canadian dollars)	1,267.1	1,268.7	1,198.2

¹ For the year ended October 31, 2023, certain amounts have been restated for the adoption of IFRS 17, *Insurance Contracts* (IFRS 17).

TABLE 60 INVESTMENT PORTFOLIO – Securities Maturity Schedule^{1,2}

(millions of Canadian dollars)

As at

	Remaining terms to maturities ³						Total October 31 2025	Total October 31 2024
	Within 1 year	Over 1 year to 3 years	Over 3 years to 5 years	Over 5 years to 10 years	Over 10 years	With no specific maturity		
Securities at fair value through other comprehensive income								
Government and government-related securities								
Canadian government debt								
<i>Federal</i>								
Fair value	\$ 1,878	\$ 1,619	\$ 5,108	\$ 7,175	\$ 111	\$ –	\$ 15,891	\$ 18,139
Amortized cost	1,876	1,611	5,109	7,210	150	–	15,956	18,281
Yield	2.36%	2.16%	2.65%	3.16%	2.81%	–%	2.80%	2.30%
<i>Provinces</i>								
Fair value	1,050	3,253	5,973	10,372	432	–	21,080	21,270
Amortized cost	1,046	3,232	5,928	10,335	430	–	20,971	21,263
Yield	2.61%	2.60%	2.24%	3.18%	4.09%	–%	2.82%	2.61%
U.S. federal government debt								
Fair value	8,859	1,500	12,997	17,278	–	–	40,634	29,503
Amortized cost	8,852	2,223	14,316	15,007	–	–	40,398	29,553
Yield	3.28%	3.82%	4.03%	4.21%	–%	–%	3.92%	4.02%
U.S. states, municipalities, and agencies								
Fair value	3,146	1	3,507	4,370	2,834	–	13,858	5,694
Amortized cost	3,146	1	3,504	4,359	2,871	–	13,881	5,818
Yield	3.89%	4.05%	4.58%	4.70%	4.83%	–%	4.51%	2.17%
Other OECD government-guaranteed debt								
Fair value	273	1,612	5,932	58	–	–	7,875	1,679
Amortized cost	273	1,612	5,921	58	–	–	7,864	1,687
Yield	1.17%	4.10%	4.34%	4.07%	–%	–%	4.18%	1.80%
Canadian mortgage-backed securities								
Fair value	436	1,460	–	–	–	–	1,896	2,137
Amortized cost	431	1,438	–	–	–	–	1,869	2,125
Yield	2.25%	3.22%	–%	–%	–%	–%	3.00%	2.43%
Other debt securities								
Asset-backed securities								
Fair value	914	274	2,932	1,615	2,974	–	8,709	1,384
Amortized cost	913	273	2,929	1,612	2,986	–	8,713	1,397
Yield	2.84%	4.41%	4.46%	4.58%	4.94%	–%	4.48%	5.78%
Non-agency CMO ⁴								
Fair value	–	–	–	–	–	–	–	–
Amortized cost	–	–	–	–	–	–	–	–
Yield	–%	–%	–%	–%	–%	–%	–%	–%
Corporate and other debt								
Fair value	2,681	3,280	2,212	1,643	3,275	–	13,091	9,446
Amortized cost	2,675	3,257	2,190	1,609	3,279	1	13,011	9,419
Yield	3.26%	3.35%	3.91%	3.98%	4.38%	–%	3.77%	3.01%
Equity securities								
Common shares								
Fair value	–	–	–	–	–	2,536	2,536	3,914
Cost	–	–	–	–	–	2,332	2,332	3,810
Yield	–%	–%	–%	–%	–%	3.57%	3.57%	5.59%
Preferred shares								
Fair value	–	–	–	–	–	511	511	501
Cost	–	–	–	–	–	523	523	632
Yield	–%	–%	–%	–%	–%	5.04%	5.04%	3.82%
Total securities at fair value through other comprehensive income								
Fair value	\$ 19,237	\$ 12,999	\$ 38,661	\$ 42,511	\$ 9,626	\$ 3,047	\$ 126,081	\$ 93,667
Amortized cost	19,212	13,647	39,897	40,190	9,716	2,856	125,518	93,985
Yield	3.18%	3.21%	3.71%	3.82%	4.65%	3.84%	3.68%	3.16%

¹ Yields represent the weighted-average yield of each security owned at the end of the period. The effective yield includes the contractual interest or stated dividend rate and is adjusted for the amortization of premiums and discounts; the effect of related hedging activities is excluded.

² There were securities from two issuers where the book values were greater than 10% as at October 31, 2025 but none as at October 31, 2024.

³ Represents contractual maturities. Actual maturities may differ due to prepayment privileges in the applicable contract.

⁴ Collateralized mortgage obligation.

TABLE 60 INVESTMENT PORTFOLIO – Securities Maturity Schedule (continued)^{1,2}

(millions of Canadian dollars)

As at

	Remaining terms to maturities ³						Total October 31 2025	Total October 31 2024
	Within 1 year	Over 1 year to 3 years	Over 3 years to 5 years	Over 5 years to 10 years	Over 10 years	With no specific maturity		
Debt securities at amortized cost								
Government and government-related securities								
Canadian government debt								
<i>Federal</i>								
Fair value	\$ 12,262	\$ 12,295	\$ 2,770	\$ 9,361	\$ 1,257	\$ –	\$ 37,945	\$ 22,825
Amortized cost	12,267	12,206	2,784	9,368	1,293	–	37,918	22,991
Yield	2.22%	2.99%	2.54%	3.09%	3.73%	–%	2.76%	2.35%
<i>Provinces</i>								
Fair value	931	3,358	7,836	6,417	328	–	18,870	18,514
Amortized cost	934	3,370	7,811	6,395	326	–	18,836	18,614
Yield	1.69%	2.33%	2.30%	3.16%	3.85%	–%	2.59%	2.67%
U.S. federal government and agencies debt								
Fair value	–	21,273	5,122	–	13,713	–	40,108	49,281
Amortized cost	–	21,692	5,775	91	13,633	–	41,191	51,326
Yield	–%	1.42%	1.63%	3.89%	2.14%	–%	1.69%	1.40%
U.S. states, municipalities, and agencies								
Fair value	1,922	1,908	5,206	23,713	19,580	–	52,329	70,247
Amortized cost	1,922	1,939	5,286	24,090	20,099	–	53,336	72,773
Yield	2.65%	1.69%	2.77%	1.89%	4.69%	–%	3.05%	3.48%
Other OECD government-guaranteed debt								
Fair value	7,966	13,945	7,832	3,099	–	–	32,842	40,909
Amortized cost	8,006	13,428	6,882	2,891	–	–	31,207	39,394
Yield	1.15%	1.70%	2.35%	1.99%	–%	–%	1.73%	1.61%
Other debt securities								
Asset-backed securities								
Fair value	10	1,128	4,504	6,008	15,406	–	27,056	29,422
Amortized cost	10	1,140	4,509	5,981	15,407	–	27,047	29,708
Yield	2.79%	2.95%	3.81%	4.66%	4.99%	–%	4.63%	4.41%
Non-agency CMO								
Fair value	–	–	–	–	13,163	–	13,163	14,874
Amortized cost	–	–	–	–	13,274	–	13,274	15,362
Yield	–%	–%	–%	–%	3.21%	–%	3.21%	3.02%
Canadian issuers								
Fair value	105	1,052	871	532	10	–	2,570	4,620
Amortized cost	105	1,051	867	532	9	–	2,564	4,722
Yield	2.10%	2.17%	2.08%	3.77%	4.22%	–%	2.48%	2.10%
Other issuers								
Fair value	2,177	6,572	3,920	1,605	–	–	14,274	15,484
Amortized cost	2,188	6,775	4,392	1,711	–	–	15,066	16,725
Yield	1.40%	2.55%	2.94%	3.06%	–%	–%	2.56%	2.71%
Total debt securities at amortized cost								
Fair value	\$ 25,373	\$ 61,531	\$ 38,061	\$ 50,735	\$ 63,457	\$ –	\$ 239,157	\$ 266,176
Amortized cost	25,432	61,601	38,306	51,059	64,041	–	240,439	271,615
Yield	1.83%	2.02%	2.54%	2.66%	3.89%	–%	2.72%	2.67%

¹ Yields represent the weighted-average yield of each security owned at the end of the period. The effective yield includes the contractual interest or stated dividend rate and is adjusted for the amortization of premiums and discounts; the effect of related hedging activities is excluded.

² There were securities from two issuers where the book values were greater than 10% as at October 31, 2025 but none as at October 31, 2024.

³ Represents contractual maturities. Actual maturities may differ due to prepayment privileges in the applicable contract.

TABLE 6 1 LOAN PORTFOLIO – Maturity Schedule

(millions of Canadian dollars)

As at

	Remaining term-to-maturity					Total October 31 2025	Total October 31 2024
	Within 1 year	Over 1 to 5 years	Over 5 years to 15 years	Over 15 years			
Canada							
Residential mortgages	\$ 75,041	\$ 190,608	\$ 1,820	\$ –	\$ 267,469	\$ 273,069	
Consumer instalment and other personal							
HELOC	61,934	85,823	170	–	147,927	123,036	
Indirect auto	899	15,159	16,036	–	32,094	29,837	
Other	19,142	723	1,167	–	21,032	19,885	
Credit card	21,867	–	–	–	21,867	20,510	
Total personal	178,883	292,313	19,193	–	490,389	466,337	
Real estate							
Residential	16,590	10,795	1,260	157	28,802	27,874	
Non-residential	14,868	10,788	1,813	312	27,781	25,962	
Total real estate	31,458	21,583	3,073	469	56,583	53,836	
Total business and government (including real estate)	109,737	48,362	7,942	1,417	167,458	163,958	
Total loans – Canada	288,620	340,675	27,135	1,417	657,847	630,295	
United States							
Residential mortgages	745	443	1,542	44,864	47,594	58,580	
Consumer instalment and other personal							
HELOC	9,921	75	740	1,745	12,481	11,525	
Indirect auto	533	25,550	18,142	–	44,225	42,981	
Other	253	972	6	–	1,231	1,099	
Credit card	19,789	–	–	–	19,789	20,123	
Total personal	31,241	27,040	20,430	46,609	125,320	134,308	
Real estate							
Residential	3,567	7,992	2,738	330	14,627	13,727	
Non-residential	8,109	15,366	3,665	703	27,843	28,152	
Total real estate	11,676	23,358	6,403	1,033	42,470	41,879	
Total business and government (including real estate)	43,770	81,743	34,532	7,024	167,069	183,107	
Total loans – United States	75,011	108,783	54,962	53,633	292,389	317,415	
Other International							
Personal	49	–	–	–	49	25	
Business and government	7,371	3,902	431	–	11,704	10,138	
Total loans – Other international	7,420	3,902	431	–	11,753	10,163	
Other loans							
Debt securities classified as loans	–	–	–	–	–	–	
Acquired credit-impaired loans	–	–	–	–	–	–	
Total other loans	–	–	–	–	–	–	
Total loans	\$ 371,051	\$ 453,360	\$ 82,528	\$ 55,050	\$ 961,989	\$ 957,873	

TABLE 6 2 LOAN PORTFOLIO – Rate Sensitivity

(millions of Canadian dollars)

As at

	October 31, 2025			October 31, 2024		
	Over 1 to 5 years	Over 5 to 15 years	Over 15 years	Over 1 to 5 years	Over 5 to 15 years	Over 15 years
Fixed rate	\$ 287,967	\$ 67,523	\$ 36,896	\$ 302,548	\$ 68,990	\$ 44,741
Variable rate	165,393	15,005	18,154	168,941	16,419	20,037
Total	\$ 453,360	\$ 82,528	\$ 55,050	\$ 471,489	\$ 85,409	\$ 64,778

TABLE 63 ALLOWANCE FOR LOAN LOSSES		
(millions of Canadian dollars, except as noted)		
	2025	2024
Allowance for loan losses – Balance at beginning of year	\$ 8,094	\$ 7,136
Provision for credit losses	4,505	4,253
Write-offs		
Canada		
Residential mortgages	7	5
Consumer instalment and other personal		
HELOC	4	8
Indirect Auto	531	437
Other	324	281
Credit card	704	587
Total personal	1,570	1,318
Real estate		
Residential	2	3
Non-residential	5	4
Total real estate	7	7
Total business and government (including real estate)	417	264
Total Canada	1,987	1,582
United States		
Residential mortgages	4	3
Consumer instalment and other personal		
HELOC	7	3
Indirect Auto	523	501
Other	209	266
Credit card	1,373	1,293
Total personal	2,116	2,066
Real estate		
Residential	57	8
Non-residential	56	100
Total real estate	113	108
Total business and government (including real estate)	540	336
Total United States	2,656	2,402
Other International		
Personal	–	–
Business and government	82	–
Total other international	82	–
Other loans		
Debt securities classified as loans	–	–
Acquired credit-impaired loans ^{1,2}	–	–
Total other loans	–	–
Total write-offs against portfolio	4,725	3,984
Recoveries		
Canada		
Residential mortgages	–	–
Consumer instalment and other personal		
HELOC	1	1
Indirect Auto	93	77
Other	48	47
Credit card	116	107
Total personal	258	232
Real estate		
Residential	–	–
Non-residential	1	–
Total real estate	1	–
Total business and government (including real estate)	24	23
Total Canada	\$ 282	\$ 255

¹ Includes all FDIC covered loans and other ACI loans.

² Other adjustments are required as a result of the accounting for FDIC covered loans.

TABLE 63 ALLOWANCE FOR LOAN LOSSES (continued)		
(millions of Canadian dollars, except as noted)		
	2025	2024
United States		
Residential mortgages	\$ 7	\$ 1
Consumer instalment and other personal		
HELOC	9	3
Indirect Auto	172	163
Other	26	32
Credit card	278	212
Total personal	492	411
Real estate		
Residential	1	2
Non-residential	27	14
Total real estate	28	16
Total business and government (including real estate)	57	41
Total United States	549	452
Other International		
Personal	–	–
Business and government	1	–
Total other international	1	–
Other loans		
Debt securities classified as loans	–	–
Acquired credit-impaired loans ^{1,2}	–	–
Total other loans	–	–
Total recoveries on portfolio	832	707
Net write-offs	(3,893)	(3,277)
Disposals	(22)	(39)
Foreign exchange and other adjustments	14	15
Total allowance for loan losses, including off-balance sheet positions	8,698	8,088
Less: Change in allowance for off-balance sheet positions ³	9	(6)
Total allowance for loan losses, at end of period	\$ 8,689	\$ 8,094
Ratio of net write-offs in the period to average loans outstanding	0.41%	0.35%

¹ Includes all FDIC covered loans and other ACI loans.

² Other adjustments are required as a result of the accounting for FDIC covered loans.

³ The allowance for loan losses for off-balance sheet positions is recorded in Other liabilities on the Consolidated Balance Sheet.

TABLE 6 4		AVERAGE DEPOSITS					
(millions of Canadian dollars, except as noted)		For the years ended					
		October 31, 2025			October 31, 2024		
		Average balance	Total interest expense	Average rate paid	Average balance	Total interest expense	Average rate paid
Deposits booked in Canada¹							
Non-interest-bearing demand deposits	\$	19,166	\$ –	–%	\$ 18,246	\$ –	–%
Interest-bearing demand deposits		98,939	5,006	5.06	87,264	7,291	8.36
Notice deposits		329,475	1,387	0.42	312,014	1,595	0.51
Term deposits		408,341	15,353	3.76	383,720	16,730	4.36
Total deposits booked in Canada		855,921	21,746	2.54	801,244	25,616	3.20
Deposits booked in the United States							
Non-interest-bearing demand deposits		11,051	–	–	11,233	–	–
Interest-bearing demand deposits		42,417	1,372	3.23	34,784	1,377	3.96
Notice deposits		366,734	7,764	2.12	363,171	8,780	2.42
Term deposits		144,428	6,075	4.21	131,054	6,985	5.33
Total deposits booked in the United States		564,630	15,211	2.69	540,242	17,142	3.17
Deposits booked in other international							
Non-interest-bearing demand deposits		–	–	–	5	–	–
Interest-bearing demand deposits		7,885	254	3.22	1,532	81	5.29
Notice deposits		–	–	–	–	–	–
Term deposits		73,069	2,828	3.87	79,611	4,021	5.05
Total deposits booked in other international		80,954	3,082	3.81	81,148	4,102	5.05
Total average deposits	\$	1,501,505	\$ 40,039	2.67%	\$ 1,422,634	\$ 46,860	3.29%

¹ As at October 31, 2025, deposits by foreign depositors in TD's Canadian bank offices amounted to \$234 billion (October 31, 2024 – \$218 billion).

TABLE 6 5		DEPOSITS – Denominations of \$100,000 or greater ¹				
(millions of Canadian dollars)		As at				
		Remaining term-to-maturity				Total
		Within 3 months	3 months to 6 months	6 months to 12 months	Over 12 months	
		October 31, 2025				
Canada		\$ 98,967	\$ 53,964	\$ 61,602	\$ 164,862	\$ 379,395
United States ²		45,371	33,745	15,509	4,006	98,631
Other international		37,949	7,220	20,475	84	65,728
Total		\$ 182,287	\$ 94,929	\$ 97,586	\$ 168,952	\$ 543,754
		October 31, 2024				
Canada		\$ 87,189	\$ 39,584	\$ 68,581	\$ 162,097	\$ 357,451
United States ²		41,824	33,614	27,596	3,336	106,370
Other international		36,401	9,911	35,960	258	82,530
Total		\$ 165,414	\$ 83,109	\$ 132,137	\$ 165,691	\$ 546,351

¹ Deposits in Canada, U.S., and Other international include wholesale and retail deposits.

² Includes deposits based on denominations of US\$250,000 or greater of \$43.5 billion in 'within 3 months', \$35.2 billion in 'over 3 months to 6 months', \$17.6 billion in 'over 6 months to 12 months', and \$3.8 billion in 'over 12 months' (October 31, 2024 – \$36.9 billion in 'within 3 months', \$30.5 billion in 'over 3 months to 6 months', \$30.0 billion in 'over 6 months to 12 months', \$3.2 billion in 'over 12 months').

TABLE 6 6 NET INTEREST INCOME ON AVERAGE INTEREST-EARNING BALANCES^{1,2}

(millions of Canadian dollars, except as noted)

	2025			2024		
	Average balance	Interest ³	Average rate	Average balance	Interest ³	Average rate
Interest-earning assets						
Interest-bearing deposits with Banks						
Canada	\$ 32,986	\$ 1,141	3.46%	\$ 29,251	\$ 1,833	6.27%
U.S.	96,099	3,950	4.11	72,331	3,446	4.76
Securities						
Trading						
Canada	82,454	3,026	3.67	77,792	3,110	4.00
U.S.	26,674	976	3.66	26,410	999	3.78
Non-trading						
Canada	129,989	4,630	3.56	117,514	6,067	5.16
U.S.	214,597	9,793	4.56	226,820	10,293	4.54
Securities purchased under reverse repurchase agreements						
Canada	86,383	2,711	3.14	86,905	4,253	4.89
U.S.	86,647	4,644	5.36	74,237	4,837	6.52
Loans						
Residential mortgages⁴						
Canada	295,546	11,654	3.94	287,609	12,772	4.44
U.S.	52,366	2,111	4.03	56,771	2,203	3.88
Consumer instalment and other personal						
Canada	180,223	9,364	5.20	165,582	8,377	5.06
U.S.	55,762	3,454	6.19	52,340	3,243	6.20
Credit card						
Canada	22,093	2,985	13.51	20,581	2,712	13.18
U.S.	19,291	3,615	18.74	18,953	3,652	19.27
Business and government⁴						
Canada	182,407	9,170	5.03	173,410	10,364	5.98
U.S.	164,923	9,165	5.56	163,744	10,097	6.17
International⁵						
	145,420	5,232	3.60	124,093	5,131	4.13
Total interest-earning assets⁶	1,873,860	87,621	4.68	1,774,343	93,389	5.26
Interest-bearing liabilities						
Deposits						
Personal⁷						
Canada	344,072	5,393	1.57	328,798	7,124	2.17
U.S.	271,867	7,103	2.61	264,636	7,647	2.89
Banks^{8,9}						
Canada	23,160	766	3.31	20,121	1,078	5.36
U.S.	28,597	903	3.16	24,319	908	3.73
Business and government^{8,9}						
Canada	429,316	15,587	3.63	394,345	17,414	4.42
U.S.	191,620	7,205	3.76	179,530	8,587	4.78
Subordinated notes and debentures						
	11,673	519	4.45	10,417	436	4.19
Obligations related to securities sold short and under repurchase agreements						
Canada	78,361	2,590	3.31	77,529	3,596	4.64
U.S.	111,981	6,345	5.67	109,960	7,015	6.38
Securitization liabilities¹⁰						
	36,304	886	2.44	30,503	1,002	3.28
Other liabilities						
Canada	5,117	234	4.57	4,092	156	3.81
U.S.	15,879	1,277	8.04	20,321	1,137	5.60
International^{8,9}						
	143,342	5,751	4.01	135,392	6,817	5.04
Total interest-bearing liabilities⁶	1,691,289	54,559	3.23	1,599,963	62,917	3.93
Total interest-earning assets, net interest income, and net interest margin	\$ 1,873,860	\$ 33,062	1.76%	\$ 1,774,343	\$ 30,472	1.72%
Add: non-interest earning assets	234,004	–	–	201,032	–	–
Total assets, net interest income and margin	\$ 2,107,864	\$ 33,062	1.57%	\$ 1,975,375	\$ 30,472	1.54%

¹ Net interest income includes dividends on securities.

² Geographic classification of assets and liabilities is based on the domicile of the booking point of assets and liabilities.

³ Interest income includes loan fees earned by the Bank, which are recognized in net interest income over the life of the loan through the effective interest rate method (EIRM).

⁴ Includes average trading loans of \$26 billion (2024 – \$20 billion).

⁵ Comprised of interest-bearing deposits with Banks, securities, securities purchased under reverse repurchase agreements, and business and government loans.

⁶ Average interest-earning assets and average interest-bearing liabilities are non-GAAP financial measures that depict the Bank's financial position, and are calculated using daily balances. For additional information about the Bank's use of non-GAAP financial measures, refer to "Non-GAAP and Other Financial Measures" in the "Financial Results Overview" section of this document.

⁷ Includes charges incurred on the Schwab IDA Agreement of \$1.4 billion (2024 – \$0.9 billion).

⁸ Includes average trading deposits with a fair value of \$31 billion (2024 – \$31 billion).

⁹ Includes average deposit designated at FVTPL of \$202 billion (2024 – \$188 billion).

¹⁰ Includes average securitization liabilities at fair value of \$23 billion (2024 – \$18 billion) and average securitization liabilities at amortized cost of \$14 billion (2024 – \$13 billion).

The following table presents an analysis of the change in net interest income due to volume and interest rate changes. In this analysis, changes

due to volume/interest rate variance have been allocated to average interest rate.

TABLE 67 ANALYSIS OF CHANGE IN NET INTEREST INCOME ^{1,2}			
(millions of Canadian dollars)			
	2025 vs. 2024		
	Increase (decrease) due to changes in		
	Average volume	Average rate	Net change
Interest-earning assets			
Interest-bearing deposits with banks			
Canada	\$ 234	\$ (926)	\$ (692)
U.S.	1,132	(628)	504
Securities			
Trading			
Canada	186	(270)	(84)
U.S.	10	(33)	(23)
Non-trading			
Canada	644	(2,081)	(1,437)
U.S.	(555)	55	(500)
Securities purchased under reverse repurchase agreements			
Canada	(26)	(1,516)	(1,542)
U.S.	809	(1,002)	(193)
Loans			
Residential mortgages			
Canada	352	(1,470)	(1,118)
U.S.	(170)	78	(92)
Consumer instalment and other personal			
Canada	741	246	987
U.S.	213	(2)	211
Credit card			
Canada	199	74	273
U.S.	65	(102)	(37)
Business and government			
Canada	537	(1,731)	(1,194)
U.S.	73	(1,005)	(932)
International	896	(795)	101
Total interest income	5,340	(11,108)	(5,768)
Interest-bearing liabilities			
Deposits			
Personal			
Canada	331	(2,062)	(1,731)
U.S.	210	(754)	(544)
Banks			
Canada	163	(475)	(312)
U.S.	160	(165)	(5)
Business and government			
Canada	1,545	(3,372)	(1,827)
U.S.	578	(1,960)	(1,382)
Subordinated notes and debentures	53	30	83
Obligations related to securities sold short and under repurchase agreements			
Canada	39	(1,045)	(1,006)
U.S.	129	(799)	(670)
Securitization liabilities	191	(307)	(116)
Other liabilities			
Canada	38	40	78
U.S.	(249)	389	140
International	389	(1,455)	(1,066)
Total interest expense	3,577	(11,935)	(8,358)
Net interest income	\$ 1,763	\$ 827	\$ 2,590

¹ Geographic classification of assets and liabilities is based on the domicile of the booking point of assets and liabilities.

² Interest income includes loan fees earned by the Bank, which are recognized in net interest income over the life of the loan through the EIRM.

Financial and Banking Terms

Adjusted Results: Non-GAAP financial measures used to assess each of the Bank's businesses and to measure the Bank's overall performance. To arrive at adjusted results, the Bank adjusts for "items of note", from reported results. The items of note relate to items which management does not believe are indicative of underlying business performance.

Allowance for Credit Losses: Represent expected credit losses (ECLs) on financial assets, including any off-balance sheet exposures, at the balance sheet date. Allowance for credit losses consists of Stage 3 allowance for impaired financial assets and Stage 2 and Stage 1 allowance for performing financial assets and off-balance sheet instruments. The allowance is increased by the provision for credit losses, decreased by write-offs net of recoveries and disposals, and impacted by foreign exchange.

Amortized Cost: The amount at which a financial asset or financial liability is measured at initial recognition minus principal repayments, plus or minus the cumulative amortization, using EIRM, of any differences between the initial amount and the maturity amount, and minus any reduction for impairment.

Assets under Administration (AUA): Assets that are beneficially owned by customers where the Bank provides services of an administrative nature, such as the collection of investment income and the placing of trades on behalf of the clients (where the client has made his or her own investment selection). The majority of these assets are not reported on the Bank's Consolidated Balance Sheet.

Assets under Management (AUM): Assets that are beneficially owned by customers, managed by the Bank, where the Bank has discretion to make investment selections on behalf of the client (in accordance with an investment policy). In addition to the TD family of mutual funds, the Bank manages assets on behalf of individuals, pension funds, corporations, institutions, endowments and foundations. These assets are not reported on the Bank's Consolidated Balance Sheet. Some assets under management that are also administered by the Bank are included in assets under administration.

Asset-Backed Commercial Paper (ABCP): A form of commercial paper that is collateralized by other financial assets. Institutional investors usually purchase such instruments in order to diversify their assets and generate short-term gains.

Asset-Backed Securities (ABS): A security whose value and income payments are derived from and collateralized (or "backed") by a specified pool of underlying assets.

Average Common Equity: Average common equity for the business segments reflects the average allocated capital. The Bank's methodology for allocating capital to its business segments is largely aligned with the common equity capital requirements under Basel III.

Average Interest-Earning Assets: A non-GAAP financial measure that depicts the Bank's financial position, and is calculated as the average carrying value of deposits with banks, loans and securities based on daily balances for the period ending October 31 in each fiscal year.

Basic Earnings per Share (EPS): A performance measure calculated by dividing net income available to common shareholders by the weighted average number of common shares outstanding for the period. Adjusted basic EPS is calculated in the same manner using adjusted net income.

Basis Points (bps): A unit equal to 1/100 of 1%. Thus, a 1% change is equal to 100 basis points.

Book Value per Share: A measure calculated by dividing common shareholders' equity by number of common shares at the end of the period.

Carrying Value: The value at which an asset or liability is carried at on the Consolidated Balance Sheet.

Catastrophe Claims: Insurance claims that relate to any single event that occurred in the period, for which the aggregate insurance claims are equal to or greater than an internal threshold of \$5 million before reinsurance. The Bank's internal threshold may change from time to time.

Collateralized Mortgage Obligation (CMO): They are collateralized debt obligations consisting of mortgage-backed securities that are separated and issued as different classes of mortgage pass-through securities with different terms, interest rates, and risks. CMOs by private issuers are collectively referred to as non-agency CMOs.

Common Equity Tier 1 (CET1) Capital: This is a primary Basel III capital measure comprised mainly of common equity, retained earnings and qualifying non-controlling interest in subsidiaries. Regulatory deductions made to arrive at the CET1 Capital include goodwill and intangibles, unconsolidated investments in banking, financial, and insurance entities, deferred tax assets, defined benefit pension fund assets, and shortfalls in allowances.

Common Equity Tier 1 (CET1) Capital Ratio: CET1 Capital ratio represents the predominant measure of capital adequacy under Basel III and equals CET1 Capital divided by RWA.

Compound Annual Growth Rate (CAGR): A measure of growth over multiple time periods from the initial investment value to the ending investment value assuming that the investment has been compounding over the time period.

Credit Valuation Adjustment (CVA): CVA represents a capital charge that measures credit risk due to default of derivative counterparties. This charge requires banks to capitalize for the potential changes in counterparty credit spread for the derivative portfolios.

Diluted EPS: A performance measure calculated by dividing net income available to common shareholders by the weighted average number of common shares outstanding adjusting for the effect of all potentially dilutive common shares. Adjusted diluted EPS is calculated in the same manner using adjusted net income.

Dividend Payout Ratio: A ratio represents the percentage of Bank's earnings being paid to common shareholders in the form of dividends and is calculated by dividing common dividends by net income available to common shareholders. Adjusted dividend payout ratio is calculated in the same manner using adjusted net income.

Dividend Yield: A ratio calculated as the dividend per common share for the year divided by the daily average closing stock price during the year.

Effective Income Tax Rate: A rate and performance indicator calculated by dividing the provision for income taxes as a percentage of net income before taxes. Adjusted effective income tax rate is calculated in the same manner using adjusted results.

Effective Interest Rate (EIR): The rate that discounts expected future cash flows for the expected life of the financial instrument to its carrying value. The calculation takes into account the contractual interest rate, along with any fees or incremental costs that are directly attributable to the instrument and all other premiums or discounts.

Effective Interest Rate Method (EIRM): A technique for calculating the actual interest rate in a period based on the amount of a financial instrument's book value at the beginning of the accounting period. Under EIRM, the effective interest rate, which is a key component of the calculation, discounts the expected future cash inflows and outflows expected over the life of a financial instrument.

Efficiency Ratio: The efficiency ratio measures operating efficiency and is calculated by taking the non-interest expenses as a percentage of total revenue. A lower ratio indicates a more efficient business operation. Adjusted efficiency ratio is calculated in the same manner using adjusted non-interest expenses and adjusted total revenue.

Enhanced Disclosure Task Force (EDTF): Established by the FSB in May 2012, comprised of banks, analysts, investors, and auditors, with the goal of enhancing the risk disclosures of banks and other financial institutions.

Expected Credit Losses (ECLs): ECLs are the probability-weighted present value of expected cash shortfalls over the remaining expected life of the financial instrument and considers reasonable and supportable information about past events, current conditions, and forecasts of future events and economic conditions that impact the Bank's credit risk assessment.

Fair Value: The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, under current market conditions.

Fair value through other comprehensive income (FVOCI): Under IFRS 9, if the asset passes the contractual cash flows test (named SPPI), the business model assessment determines how the instrument is classified. If the instrument is being held to collect contractual cash flows, that is, if it is not expected to be sold, it is measured as amortized cost. If the business model for the instrument is to both collect contractual cash flows and potentially sell the asset, it is measured at FVOCI.

Fair value through profit or loss (FVTPL): Under IFRS 9, the classification is dependent on two tests, a contractual cash flow test (named SPPI) and a business model assessment. Unless the asset meets the requirements of both tests, it is measured at fair value with all changes in fair value reported in profit or loss.

Federal Deposit Insurance Corporation (FDIC): A U.S. government corporation which provides deposit insurance guaranteeing the safety of a depositor's accounts in member banks. The FDIC also examines and supervises certain financial institutions for safety and soundness, performs certain consumer-protection functions, and manages banks in receiverships (failed banks).

Forward Contracts: Over-the-counter contracts between two parties that oblige one party to the contract to buy and the other party to sell an asset for a fixed price at a future date.

Futures: Exchange-traded contracts to buy or sell a security at a predetermined price on a specified future date.

Hedging: A risk management technique intended to mitigate the Bank's exposure to fluctuations in interest rates, foreign currency exchange rates, or other market factors. The elimination or reduction of such exposure is accomplished by engaging in capital markets activities to establish offsetting positions.

Impaired Loans: Loans where, in management's opinion, there has been a deterioration of credit quality to the extent that the Bank no longer has reasonable assurance as to the timely collection of the full amount of principal and interest.

Loss Given Default (LGD): It is the amount of the loss the Bank would likely incur when a borrower defaults on a loan, which is expressed as a percentage of exposure at default.

Mark-to-Market (MTM): A valuation that reflects current market rates as at the balance sheet date for financial instruments that are carried at fair value.

Master Netting Agreements: Legal agreements between two parties that have multiple derivative contracts with each other that provide for the net settlement of all contracts through a single payment, in a single currency, in the event of default or termination of any one contract.

Net Corporate Expenses: Non-interest expenses related to corporate service and control groups which are not allocated to a business segment.

Net Interest Margin: A non-GAAP ratio calculated as net interest income as a percentage of average interest-earning assets to measure performance. This metric is an indicator of the profitability of the Bank's earning assets less the cost of funding. Adjusted net interest margin is calculated in the same manner using adjusted net interest income.

Non-Viability Contingent Capital (NVCC): Instruments (preferred shares and subordinated debt) that contain a feature or a provision that allows the financial institution to either permanently convert these instruments into common shares or fully write-down the instrument, in the event that the institution is no longer viable.

Notional: A reference amount on which payments for derivative financial instruments are based.

Office of the Superintendent of Financial Institutions Canada (OSFI): The regulator of Canadian federally chartered financial institutions and federally administered pension plans.

Operating Leverage: A non-GAAP measure that the Bank calculates as the difference between the % change in adjusted revenue (U.S. Retail in source currency) net of insurance service expense (ISE), and adjusted expenses (U.S. Retail in US\$) grossed up by the retailer program partners' share of PCL for the Bank's U.S. strategic card portfolio. Collectively, these adjustments provide a measure of operating leverage that management believes is more reflective of underlying business performance.

Options: Contracts in which the writer of the option grants the buyer the future right, but not the obligation, to buy or to sell a security, exchange rate, interest rate, or other financial instrument or commodity at a predetermined price at or by a specified future date.

Price-Earnings Ratio: A ratio calculated by dividing the closing share price by EPS based on a trailing four quarters to indicate market performance. Adjusted price-earnings ratio is calculated in the same manner using adjusted EPS.

Probability of Default (PD): It is the likelihood that a borrower will not be able to meet its scheduled repayments.

Provision for Credit Losses (PCL): Amount added to the allowance for credit losses to bring it to a level that management considers adequate to reflect expected credit-related losses on its portfolio.

Return on Common Equity (ROE): The consolidated Bank ROE is calculated as net income available to common shareholders as a percentage of average common shareholders' equity, utilized in assessing the Bank's use of equity. ROE for the business segments is calculated as the segment net income available to common shareholders as a percentage of average allocated capital. Adjusted ROE is calculated in the same manner using adjusted net income.

Return on Tangible Common Equity (ROTCE): A non-GAAP financial measure calculated as reported net income available to common shareholders after adjusting for the after-tax amortization of acquired intangibles, which are treated as an item of note, as a percentage of average Tangible common equity. Adjusted ROTCE is calculated in the same manner using adjusted net income. Both measures can be utilized in assessing the Bank's use of equity.

Return on Risk-weighted Assets: Net income available to common shareholders as a percentage of average risk-weighted assets.

Risk-Weighted Assets (RWA): Assets calculated by applying a regulatory risk-weight factor to on and off-balance sheet exposures. The risk-weight factors are established by the OSFI to convert on and off-balance sheet exposures to a comparable risk level.

Securitization: The process by which financial assets, mainly loans, are transferred to structures, which normally issue a series of asset-backed securities to investors to fund the purchase of loans.

Solely Payments of Principal and Interest (SPPI): Contractual cash flows of a financial asset that are consistent with a basic lending arrangement.

Swaps: Contracts that involve the exchange of fixed and floating interest rate payment obligations and currencies on a notional principal for a specified period of time.

Tangible common equity (TCE): A non-GAAP financial measure calculated as common shareholders' equity less goodwill, imputed goodwill, and intangibles on an investment in Schwab and other acquired intangible assets, net of related deferred tax liabilities. It can be utilized in assessing the Bank's use of equity.

Taxable Equivalent Basis (TEB): A calculation method (not defined in GAAP) that increases revenues and the provision for income taxes on certain tax-exempt securities to an equivalent before-tax basis to facilitate comparison of net interest income from both taxable and tax-exempt sources.

Tier 1 Capital Ratio: Tier 1 Capital represents the more permanent forms of capital, consisting primarily of common shareholders' equity, retained earnings, preferred shares and innovative instruments. Tier 1 Capital ratio is calculated as Tier 1 Capital divided by RWA.

Total Capital Ratio: Total Capital is defined as the total of net Tier 1 and Tier 2 Capital. Total Capital ratio is calculated as Total Capital divided by RWA.

Total Shareholder Return (TSR): The total return earned on an investment in TD's common shares. The return measures the change in shareholder value, assuming dividends paid are reinvested in additional shares.

Trading-Related Revenue: A non-GAAP financial measure that is the total of trading income (loss), net interest income on trading positions, and income from financial instruments designated at FVTPL that are managed within a trading portfolio. Trading-related revenue (TEB) in the Wholesale Banking segment is also a non-GAAP financial measure and is calculated in the same manner, including TEB adjustments. Both are used for measuring trading performance.

Value-at-Risk (VaR): A metric used to monitor and control overall risk levels and to calculate the regulatory capital required for market risk in trading activities. VaR measures the adverse impact that potential changes in market rates and prices could have on the value of a portfolio over a specified period of time.

FINANCIAL RESULTS

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MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL INFORMATION

The management of The Toronto-Dominion Bank and its subsidiaries (the "Bank") is responsible for the integrity, consistency, objectivity, and reliability of the Consolidated Financial Statements of the Bank and related financial information as presented. International Financial Reporting Standards as issued by the International Accounting Standards Board, as well as the requirements of the *Bank Act (Canada)*, and related regulations have been applied and management has exercised its judgment and made best estimates where appropriate.

The Bank's accounting system and related internal controls are designed, and supporting procedures maintained, to provide reasonable assurance that financial records are complete and accurate, and that assets are safeguarded against loss from unauthorized use or disposition. These supporting procedures include the careful selection and training of qualified staff, the establishment of organizational structures providing a well-defined division of responsibilities and accountability for performance, and the communication of policies and guidelines of business conduct throughout the Bank.

Management has assessed the effectiveness of the Bank's internal control over financial reporting as at October 31, 2025, using the framework found in Internal Control – Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission 2013 Framework. Based upon this assessment, management has concluded that as at October 31, 2025, the Bank's internal control over financial reporting is effective.

The Bank's Board of Directors, acting through the Audit Committee, which is composed entirely of independent directors, oversees management's responsibilities for financial reporting. The Audit Committee reviews the Consolidated Financial Statements and recommends them to the Board for approval. Other responsibilities of the Audit Committee include monitoring the Bank's system of internal control over the financial reporting process and making recommendations to the Board and shareholders regarding the appointment of the external auditor.

The Bank's Chief Auditor, who has full and free access to the Audit Committee, conducts an extensive program of audits. This program supports the system of internal control and is carried out by a professional staff of auditors.

The Office of the Superintendent of Financial Institutions Canada, makes such examination and enquiry into the affairs of the Bank as deemed necessary to ensure that the provisions of the *Bank Act (Canada)*, having reference to the safety of the depositors, are being duly observed and that the Bank is in sound financial condition.

Ernst & Young LLP, the independent auditors appointed by the shareholders of the Bank, have audited the effectiveness of the Bank's internal control over financial reporting as of October 31, 2025, in addition to auditing the Bank's Consolidated Financial Statements as of the same date. Their reports, which expressed unqualified opinions, can be found on the following pages. Ernst & Young LLP have full and free access to, and meet periodically with, the Audit Committee to discuss their audit and matters arising therefrom, such as, comments they may have on the fairness of financial reporting and the adequacy of internal controls.



Raymond Chun
Group President and
Chief Executive Officer



Kelvin Tran
Group Head and
Chief Financial Officer

Toronto, Canada
December 3, 2025

INDEPENDENT AUDITOR'S REPORT

To the Shareholders and the Board of Directors of The Toronto-Dominion Bank

Opinion

We have audited the consolidated financial statements of The Toronto-Dominion Bank and its subsidiaries (TD), which comprise the Consolidated Balance Sheets as at October 31, 2025 and 2024, and the Consolidated Statements of Income, Consolidated Statements of Comprehensive Income, Consolidated Statements of Changes in Equity, and Consolidated Statements of Cash Flows for the years then ended, and notes to the consolidated financial statements, including a summary of material accounting policies (collectively referred to as the "consolidated financial statements").

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of TD as at October 31, 2025 and 2024, and its consolidated financial performance and its consolidated cash flows for the years then ended, in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board.

Basis for Opinion

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of TD in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in Canada, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the year ended October 31, 2025. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Allowance for credit losses

Key audit matter

TD describes its significant accounting judgments, estimates, and assumptions in relation to the allowance for credit losses in Note 3 of the consolidated financial statements. As disclosed in Note 8 to the consolidated financial statements, TD recognized \$9,745 million in allowances for credit losses on its consolidated balance sheet using an expected credit loss model (ECL). The ECL is an unbiased and probability-weighted estimate of credit losses expected to occur in the future, which

is based on the probability of default (PD), loss given default (LGD) and exposure at default (EAD) or the expected cash shortfall relating to the underlying financial asset. The ECL is determined by evaluating a range of possible outcomes incorporating the time value of money and reasonable and supportable information about past events, current conditions, and future economic forecasts. ECL allowances are measured at amounts equal to either (i) 12-month ECL; or (ii) lifetime ECL for those financial instruments that have experienced a significant increase in credit risk (SICR) since initial recognition or when there is objective evidence of impairment.

Auditing the allowance for credit losses was complex and required the application of significant judgment and involvement of specialists because of the sophistication of the models, the forward-looking nature of the key assumptions, and the inherent interrelationship of the critical variables used in measuring the ECL. Key areas of judgment include evaluating: (i) the models and methodologies used for measuring both the 12-month and lifetime expected credit losses; (ii) the assumptions used in the ECL scenarios including forward-looking information (FLI) and assigning probability weighting; (iii) the determination of SICR; and (iv) the assessment of the qualitative component applied to the modelled ECL based on management's expert credit judgment.

How our audit addressed the key audit matter

We obtained an understanding, evaluated the design, and tested the operating effectiveness of management's controls over the allowance for credit losses. The controls we tested included, amongst others, the development and validation of models and selection of appropriate inputs including economic forecasting, determination of non-retail borrower risk ratings, the integrity of the data used including the associated controls over relevant information technology (IT) systems, and the governance and oversight over the modelled results and the use of expert credit judgment.

To test the allowance for credit losses, our audit procedures included, amongst others, involving our credit risk specialists to assess whether the methodology and assumptions, including management's SICR triggers, used in significant models that estimate the ECL across various portfolios are consistent with the requirements of IFRS. This included reperforming the model validation procedures for a sample of models to evaluate whether management's conclusions were appropriate. With the assistance of our economic specialists, we evaluated the models, methodology and process used by management to develop the FLI variable forecasts for each scenario and the scenario probability weights. For a sample of FLI variables, we compared management's FLI to independently derived forecasts and publicly available information. On a sample basis, we recalculated the ECL to test the mathematical accuracy of management's models. We tested the completeness and accuracy of data used in measuring the ECL by agreeing to source documents and systems and evaluated a sample of management's non-retail borrower risk ratings against TD's risk rating policy. With the assistance of our credit risk specialists, we also evaluated management's methodology and governance over the application of expert credit judgment by evaluating that the amounts recorded were reflective of underlying credit quality and macroeconomic trends. We also assessed the adequacy of disclosures related to the allowance for credit losses.

Fair value measurement of derivatives

Key audit matter

TD describes its significant accounting judgments, estimates, and assumptions in relation to the fair value measurement of derivatives in Note 3 of the consolidated financial statements. As disclosed in Note 5 of the consolidated financial statements, TD has derivative assets of \$82,972 million and derivative liabilities of \$79,356 million recorded at

fair value. Certain of these derivatives are complex and illiquid and require valuation techniques that may include complex models and non-observable inputs, requiring management's estimation and judgment.

Auditing the valuation of certain derivatives required the application of significant auditor judgment and involvement of valuation specialists in assessing the complex models and non-observable inputs used. Certain valuation inputs used to determine fair value that may be non-observable include volatilities, correlations, and credit spreads. The valuation of certain derivatives is sensitive to these inputs as they are forward-looking and could be affected by future economic and market conditions.

How our audit addressed the key audit matter

We obtained an understanding, evaluated the design, and tested the operating effectiveness of management's controls, including the associated controls over relevant IT systems, over the valuation of TD's derivative portfolio. The controls we tested included, amongst others, the controls over the suitability and mechanical accuracy of models used in the valuation of derivatives, and controls over management's independent assessment of fair values, including the integrity of data used in the valuation such as the significant inputs noted above.

To test the valuation of these derivatives, our audit procedures included, amongst others, an evaluation of the methodologies and significant inputs used by TD. With the assistance of our valuation specialists, we performed an independent valuation for a sample of derivatives to assess the modelling assumptions and significant inputs used to estimate the fair value, which involved obtaining significant inputs from independent external sources, where available. We also assessed the adequacy of the disclosures related to the fair value measurement of derivatives.

Measurement of provision for uncertain tax positions

Key audit matter

TD describes its significant accounting judgments, estimates, and assumptions in relation to income taxes in Note 3 and Note 23 of the consolidated financial statements. As a financial institution operating in multiple jurisdictions, TD is subject to complex and constantly evolving tax legislation. Uncertainty in a tax position may arise as tax laws are subject to interpretation. TD uses significant judgment in i) determining whether it is probable that TD will have to make a payment to tax authorities upon their examination of certain uncertain tax positions and ii) measuring the amount of the provision.

Auditing TD's provision for uncertain tax positions involved the application of judgment and is based on interpretation of tax legislation and jurisprudence.

How our audit addressed the key audit matter

We obtained an understanding, evaluated the design, and tested the operating effectiveness of management's controls over TD's provision for uncertain tax positions. The controls we tested included, amongst others, the controls over the assessment of the technical merits of tax positions and management's process to measure the provision for uncertain tax positions.

With the assistance of our tax professionals, we assessed the technical merits and the amount recorded for uncertain tax positions. Our audit procedures included, amongst others, using our knowledge of, and experience with, the application of tax laws by the relevant income tax authorities to evaluate TD's interpretations and assessment of tax laws with respect to uncertain tax positions. We assessed the implications of correspondence received by TD from the relevant tax authorities and evaluated income tax opinions or other third-party advice obtained. We also assessed the adequacy of the disclosures related to uncertain tax positions.

Valuation of Goodwill in the U.S. Personal and Commercial Banking group of Cash Generating Units

Key audit matter

TD describes its significant accounting judgments, estimates, and assumptions in relation to the recoverable amount of its cash generating units ("CGU") or group of CGUs to which goodwill has been allocated in Note 3 of the consolidated financial statements. As disclosed in Note 13 of the consolidated financial statements, TD has \$14,776 million of goodwill in the U.S. Retail segment, which predominantly relates to the U.S. Personal and Commercial Banking group of cash generating units ("US P&C CGUs"). Goodwill is assessed for impairment annually, or more frequently if impairment indicators are present.

Auditing the recoverable amount for the U.S. P&C CGUs was complex and required the application of significant auditor judgment and involvement of valuation specialists in assessing certain significant assumptions in the impairment test. Significant assumptions in the estimate of the recoverable amount included the discount rate and certain forward-looking assumptions, such as the terminal growth rate, and forecasted earnings, which are affected by expectations about future market or economic conditions.

How our audit addressed the key audit matter

We obtained an understanding, evaluated the design, and tested the operating effectiveness of management's controls over the recoverable amount of TD's U.S. P&C CGUs. The controls we tested included, amongst others, the controls over management's review of TD's forecast as well as controls over management's review of the model and methodology over significant assumptions such as the discount rate and the terminal growth rate. We also tested controls over management's review of the integrity of the data used and the mathematical accuracy of their valuation model.

To test the estimated recoverable amount of the U.S. P&C CGUs, our audit procedures included, amongst others, with the assistance of our valuation specialists, assessing the methodology and testing the significant assumptions and underlying data used by TD in its assessment. We considered the selection and application of the discount rate by evaluating the inputs and mathematical accuracy of the calculation, while also developing an independent estimate and comparing it to the discount rate selected by management. We considered the selection and application of the terminal growth rate by evaluating the selected rate against relevant market and economic forecast data. We evaluated the reasonability of the forecasted earnings by comparing to historical results and considering our current understanding of the business as well as current economic trends. We assessed the historical accuracy of management's prior year estimates by performing a comparison of management's prior year projections to actual results. We performed sensitivity analysis on the significant assumptions to consider the impact of changes in the recoverable amount that would result from changes in the assumptions. We also assessed the adequacy of the disclosures related to the valuation of goodwill.

Other Information

Management is responsible for the other information. The other information comprises:

- Management's Discussion and Analysis; and
- The information, other than the consolidated financial statements and our auditor's report thereon, in the 2025 Annual Report.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information, and in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

We obtained Management's Discussion and Analysis and the 2025 Annual Report prior to the date of this auditor's report. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact in this auditor's report. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing TD's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate TD or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing TD's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of TD's internal control.

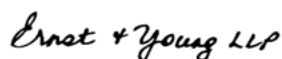
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on TD's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause TD to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within TD as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the work performed for the purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Helen Mitchell.

The logo for Ernst & Young LLP, featuring the company name in a stylized, handwritten-style font.

Chartered Professional Accountants
Licensed Public Accountants

Toronto, Canada
December 3, 2025

REPORT OF INDEPENDENT REGISTERED PUBLIC ACCOUNTING FIRM

To the Shareholders and the Board of Directors of The Toronto-Dominion Bank

Opinion on the Consolidated Financial Statements

We have audited the accompanying Consolidated Balance Sheets of The Toronto-Dominion Bank (TD) as of October 31, 2025 and 2024, the related Consolidated Statements of Income, Comprehensive Income, Changes in Equity, and Cash Flows for the years then ended, and the related notes (collectively referred to as the “consolidated financial statements”). In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of TD at October 31, 2025 and 2024, its consolidated financial performance and its consolidated cash flows for the years then ended, in conformity with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (PCAOB), TD's internal control over financial reporting as of October 31, 2025, based on criteria established in Internal Control – Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 framework) and our report dated December 3, 2025, expressed an unqualified opinion thereon.

Basis for Opinion

These consolidated financial statements are the responsibility of TD's management. Our responsibility is to express an opinion on TD's consolidated financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to TD in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audits in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement, whether due to error or fraud. Our audits included performing procedures to assess the risks of material misstatement of the financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements. Our audits also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements. We believe that our audits provide a reasonable basis for our opinion.

Critical Audit Matters

The critical audit matters communicated below are matters arising from the current period audit of the consolidated financial statements that were communicated or required to be communicated to the audit committee and that: (1) relate to accounts or disclosures that are material to the consolidated financial statements, and (2) involved our especially challenging, subjective, or complex judgments. The communication of critical audit matters does not alter in any way our opinion on the consolidated financial statements, taken as a whole, and we are not, by communicating the critical audit matters below, providing separate opinions on the critical audit matters or on the accounts or disclosures to which they relate.

Allowance for credit losses

Description of the Matter

TD describes its significant accounting judgments, estimates, and assumptions in relation to the allowance for credit losses in Note 3 of the consolidated financial statements. As disclosed in Note 8 to the consolidated financial statements, TD recognized \$9,745 million in

allowances for credit losses on its consolidated balance sheet using an expected credit loss model (ECL). The ECL is an unbiased and probability-weighted estimate of credit losses expected to occur in the future, which is based on the probability of default (PD), loss given default (LGD) and exposure at default (EAD) or the expected cash shortfall relating to the underlying financial asset. The ECL is determined by evaluating a range of possible outcomes incorporating the time value of money and reasonable and supportable information about past events, current conditions, and future economic forecasts. ECL allowances are measured at amounts equal to either (i) 12-month ECL; or (ii) lifetime ECL for those financial instruments that have experienced a significant increase in credit risk (SICR) since initial recognition or when there is objective evidence of impairment.

Auditing the allowance for credit losses was complex and required the application of significant judgment and involvement of specialists because of the sophistication of the models, the forward-looking nature of the key assumptions, and the inherent interrelationship of the critical variables used in measuring the ECL. Key areas of judgment include evaluating: (i) the models and methodologies used for measuring both the 12-month and lifetime expected credit losses; (ii) the assumptions used in the ECL scenarios including forward-looking information (FLI) and assigning probability weighting; (iii) the determination of SICR; and (iv) the assessment of the qualitative component applied to the modelled ECL based on management's expert credit judgment.

How We Addressed the Matter in Our Audit

We obtained an understanding, evaluated the design, and tested the operating effectiveness of management's controls over the allowance for credit losses. The controls we tested included, amongst others, the development and validation of models and selection of appropriate inputs including economic forecasting, determination of non-retail borrower risk ratings, the integrity of the data used including the associated controls over relevant information technology (IT) systems, and the governance and oversight over the modelled results and the use of expert credit judgment.

To test the allowance for credit losses, our audit procedures included, amongst others, involving our credit risk specialists to assess whether the methodology and assumptions, including management's SICR triggers, used in significant models that estimate the ECL across various portfolios are consistent with the requirements of IFRS. This included reperforming the model validation procedures for a sample of models to evaluate whether management's conclusions were appropriate. With the assistance of our economic specialists, we evaluated the models, methodology and process used by management to develop the FLI variable forecasts for each scenario and the scenario probability weights. For a sample of FLI variables, we compared management's FLI to independently derived forecasts and publicly available information. On a sample basis, we recalculated the ECL to test the mathematical accuracy of management's models. We tested the completeness and accuracy of data used in measuring the ECL by agreeing to source documents and systems and evaluated a sample of management's non-retail borrower risk ratings against TD's risk rating policy. With the assistance of our credit risk specialists, we also evaluated management's methodology and governance over the application of expert credit judgment by evaluating that the amounts recorded were reflective of underlying credit quality and macroeconomic trends. We also assessed the adequacy of disclosures related to the allowance for credit losses.

Fair value measurement of derivatives

Description of the Matter

TD describes its significant accounting judgments, estimates, and assumptions in relation to the fair value measurement of derivatives in Note 3 of the consolidated financial statements. As disclosed in Note 5 of the consolidated financial statements, TD has derivative assets of \$82,972 million and derivative liabilities of \$79,356 million recorded at fair value. Certain of these derivatives are complex and illiquid and require valuation techniques that may include complex models and non-observable inputs, requiring management's estimation and judgment.

Auditing the valuation of certain derivatives required the application of significant auditor judgment and involvement of valuation specialists in assessing the complex models and non-observable inputs used. Certain valuation inputs used to determine fair value that may be non-observable include volatilities, correlations, and credit spreads. The valuation of certain derivatives is sensitive to these inputs as they are forward-looking and could be affected by future economic and market conditions.

How We Addressed the Matter in Our Audit

We obtained an understanding, evaluated the design, and tested the operating effectiveness of management's controls, including the associated controls over relevant IT systems, over the valuation of TD's derivative portfolio. The controls we tested included, amongst others, the controls over the suitability and mechanical accuracy of models used in the valuation of derivatives, and controls over management's independent assessment of fair values, including the integrity of data used in the valuation such as the significant inputs noted above.

To test the valuation of these derivatives, our audit procedures included, amongst others, an evaluation of the methodologies and significant inputs used by TD. With the assistance of our valuation specialists, we performed an independent valuation for a sample of derivatives to assess the modelling assumptions and significant inputs used to estimate the fair value, which involved obtaining significant inputs from independent external sources, where available. We also assessed the adequacy of the disclosures related to the fair value measurement of derivatives.

Measurement of provision for uncertain tax positions

Description of the Matter

TD describes its significant accounting judgments, estimates, and assumptions in relation to income taxes in Note 3 and Note 23 of the consolidated financial statements. As a financial institution operating in multiple jurisdictions, TD is subject to complex and constantly evolving tax legislation. Uncertainty in a tax position may arise as tax laws are subject to interpretation. TD uses significant judgment in i) determining whether it is probable that TD will have to make a payment to tax authorities upon their examination of certain uncertain tax positions and ii) measuring the amount of the provision.

Auditing TD's provision for uncertain tax positions involved the application of judgment and is based on interpretation of tax legislation and jurisprudence.

How We Addressed the Matter in Our Audit

We obtained an understanding, evaluated the design, and tested the operating effectiveness of management's controls over TD's provision for uncertain tax positions. The controls we tested included, amongst others, the controls over the assessment of the technical merits of tax positions and management's process to measure the provision for uncertain tax positions.

With the assistance of our tax professionals, we assessed the technical merits and the amount recorded for uncertain tax positions. Our audit procedures included, amongst others, using our knowledge of, and experience with, the application of tax laws by the relevant income tax authorities to evaluate TD's interpretations and assessment of tax laws with respect to uncertain tax positions. We assessed the implications of correspondence received by TD from the relevant tax authorities and evaluated income tax opinions or other third-party advice obtained. We also assessed the adequacy of the disclosures related to uncertain tax positions.

Valuation of Goodwill in the U.S. Personal and Commercial Banking group of Cash Generating Units

Description of the Matter

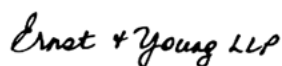
TD describes its significant accounting judgments, estimates, and assumptions in relation to the recoverable amount of its cash generating units ("CGU") or group of CGUs to which goodwill has been allocated in Note 3 of the consolidated financial statements. As disclosed in Note 13 of the consolidated financial statements, TD has \$14,776 million of goodwill in the U.S. Retail segment, which predominantly relates to the U.S. Personal and Commercial Banking group of cash generating units ("US P&C CGUs"). Goodwill is assessed for impairment annually, or more frequently if impairment indicators are present.

Auditing the recoverable amount for the U.S. P&C CGUs was complex and required the application of significant auditor judgment and involvement of valuation specialists in assessing certain significant assumptions in the impairment test. Significant assumptions in the estimate of the recoverable amount included the discount rate and certain forward-looking assumptions, such as the terminal growth rate, and forecasted earnings, which are affected by expectations about future market or economic conditions.

How We Addressed the Matter in Our Audit

We obtained an understanding, evaluated the design, and tested the operating effectiveness of management's controls over the recoverable amount of TD's U.S. P&C CGUs. The controls we tested included, amongst others, the controls over management's review of TD's forecast as well as controls over management's review of the model and methodology over significant assumptions such as the discount rate and the terminal growth rate. We also tested controls over management's review of the integrity of the data used and the mathematical accuracy of their valuation model.

To test the estimated recoverable amount of the U.S. P&C CGUs, our audit procedures included, amongst others, with the assistance of our valuation specialists, assessing the methodology and testing the significant assumptions and underlying data used by TD in its assessment. We considered the selection and application of the discount rate by evaluating the inputs and mathematical accuracy of the calculation, while also developing an independent estimate and comparing it to the discount rate selected by management. We considered the selection and application of the terminal growth rate by evaluating the selected rate against relevant market and economic forecast data. We evaluated the reasonability of the forecasted earnings by comparing to historical results and considering our current understanding of the business as well as current economic trends. We assessed the historical accuracy of management's prior year estimates by performing a comparison of management's prior year projections to actual results. We performed sensitivity analysis on the significant assumptions to consider the impact of changes in the recoverable amount that would result from changes in the assumptions. We also assessed the adequacy of the disclosures related to the valuation of goodwill.



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We have served as TD's sole auditor since 2006. Prior to 2006, we or our predecessor firm have served as joint auditor with various other firms since 1955.

Toronto, Canada
December 3, 2025

REPORT OF INDEPENDENT REGISTERED PUBLIC ACCOUNTING FIRM**To the Shareholders and the Board of Directors of The Toronto-Dominion Bank*****Opinion on Internal Control over Financial Reporting***

We have audited The Toronto-Dominion Bank's (TD) internal control over financial reporting as of October 31, 2025, based on criteria established in Internal Control – Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 framework) (the COSO criteria). In our opinion, TD maintained, in all material respects, effective internal control over financial reporting as of October 31, 2025, based on the COSO criteria.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (PCAOB), the Consolidated Balance Sheets of TD as of October 31, 2025 and 2024, the related Consolidated Statements of Income, Comprehensive Income, Changes in Equity and Cash Flows for the years then ended, and the related notes, and our report dated December 3, 2025, expressed an unqualified opinion thereon.

Basis for Opinion

TD's management is responsible for maintaining effective internal control over financial reporting, and for its assessment of the effectiveness of internal control over financial reporting included in the accompanying Management's Report on Internal Control over Financial Reporting contained in the accompanying Management's Discussion and Analysis. Our responsibility is to express an opinion on TD's internal control over financial reporting based on our audit. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to TD in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audit in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether effective internal control over financial reporting was maintained in all material respects.

Our audit included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, testing and evaluating the design and operating effectiveness of internal control based on the assessed risk, and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion.

Definition and Limitations of Internal Control over Financial Reporting

A company's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with International Financial Reporting Standards as issued by the International Accounting Standards Board. A company's internal control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with International Financial Reporting Standards as issued by the International Accounting Standards Board, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

The logo for Ernst & Young LLP, featuring the company name in a stylized, handwritten-style script.

Chartered Professional Accountants
Licensed Public Accountants

Toronto, Canada
December 3, 2025

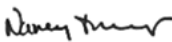
Consolidated Balance Sheet

(As at and in millions of Canadian dollars)

	October 31 2025	October 31 2024
ASSETS		
Cash and due from banks	\$ 7,512	\$ 6,437
Interest-bearing deposits with banks	109,417	169,930
	116,929	176,367
Trading loans, securities, and other (Note 5)	220,136	175,770
Non-trading financial assets at fair value through profit or loss (Note 5)	7,395	5,869
Derivatives (Notes 5, 11)	82,972	78,061
Financial assets designated at fair value through profit or loss (Notes 5, 7)	6,986	6,417
Financial assets at fair value through other comprehensive income (Note 5)	126,369	93,897
	443,858	360,014
Debt securities at amortized cost, net of allowance for credit losses (Notes 5, 7)	240,439	271,615
Securities purchased under reverse repurchase agreements (Note 6)	247,078	208,217
Loans (Notes 5, 8)		
Residential mortgages	315,063	331,649
Consumer instalment and other personal	259,033	228,382
Credit card	41,662	40,639
Business and government	345,943	356,973
	961,701	957,643
Allowance for loan losses (Note 8)	(8,689)	(8,094)
Loans, net of allowance for loan losses	953,012	949,549
Other		
Investment in Schwab (Note 12)	–	9,024
Goodwill (Note 13)	18,980	18,851
Other intangibles (Note 13)	3,409	3,044
Land, buildings, equipment, other depreciable assets, and right-of-use assets (Note 14)	10,132	9,837
Deferred tax assets (Note 23)	5,388	4,937
Amounts receivable from brokers, dealers, and clients	27,345	22,115
Other assets (Note 15)	27,988	28,181
	93,242	95,989
Total assets	\$ 2,094,558	\$ 2,061,751
LIABILITIES		
Trading deposits (Notes 5, 16)	\$ 37,882	\$ 30,412
Derivatives (Notes 5, 11)	79,356	68,368
Securitization liabilities at fair value (Notes 5, 9)	25,283	20,319
Financial liabilities designated at fair value through profit or loss (Notes 5, 16)	197,635	207,914
	340,156	327,013
Deposits (Notes 5, 16)		
Personal	650,396	641,667
Banks	27,233	57,698
Business and government	589,475	569,315
	1,267,104	1,268,680
Other		
Obligations related to securities sold short (Note 5)	43,795	39,515
Obligations related to securities sold under repurchase agreements (Note 6)	221,150	201,900
Securitization liabilities at amortized cost (Notes 5, 9)	14,841	12,365
Amounts payable to brokers, dealers, and clients	27,434	26,598
Insurance contract liabilities (Note 20)	7,278	7,169
Other liabilities (Note 17)	34,240	51,878
	348,738	339,425
Subordinated notes and debentures (Notes 5, 18)	10,733	11,473
Total liabilities	1,966,731	1,946,591
EQUITY		
Shareholders' Equity		
Common shares (Note 19)	24,727	25,373
Preferred shares and other equity instruments (Note 19)	11,625	10,888
Treasury – common shares (Note 19)	–	(17)
Treasury – preferred shares and other equity instruments (Note 19)	(4)	(18)
Contributed surplus	285	204
Retained earnings	78,320	70,826
Accumulated other comprehensive income (loss)	12,874	7,904
Total equity	127,827	115,160
Total liabilities and equity	\$ 2,094,558	\$ 2,061,751

The accompanying Notes are an integral part of these Consolidated Financial Statements.


Raymond Chun
 Group President and
 Chief Executive Officer


Nancy G. Tower
 Chair, Audit Committee

Consolidated Statement of Income

(millions of Canadian dollars, except as noted)

For the years ended October 31

	2025	2024
Interest income¹ (Note 28)		
Loans	\$ 51,730	\$ 53,676
Reverse repurchase agreements	9,859	11,621
Securities		
Interest	18,209	20,295
Dividends	2,648	2,371
Deposits with banks	5,175	5,426
	87,621	93,389
Interest expense (Note 28)		
Deposits	40,039	46,860
Securitization liabilities	886	1,002
Subordinated notes and debentures	519	436
Repurchase agreements and short sales	11,602	13,322
Other	1,513	1,297
	54,559	62,917
Net interest income	33,062	30,472
Non-interest income		
Investment and securities services	8,522	7,400
Credit fees	1,650	1,898
Trading income (loss)	4,602	3,628
Service charges	2,788	2,626
Card services	2,905	2,947
Insurance revenue (Note 20)	7,737	6,952
Other income (loss) (Notes 7, 8, 12)	6,511	1,300
	34,715	26,751
Total revenue	67,777	57,223
Provision for (recovery of) credit losses (Note 8)	4,506	4,253
Insurance service expenses (Note 20)	6,089	6,647
Non-interest expenses		
Salaries and employee benefits	18,227	16,733
Occupancy, including depreciation	1,961	1,958
Technology and equipment, including depreciation	2,872	2,656
Amortization of other intangibles	780	702
Communication and marketing	1,643	1,516
Restructuring charges (Note 25)	686	566
Brokerage-related and sub-advisory fees	528	498
Professional, advisory and outside services	4,288	3,064
Other	2,554	7,800
	33,539	35,493
Income before income taxes and share of net income from investment in Schwab	23,643	10,830
Provision for (recovery of) income taxes (Note 23)	3,410	2,691
Share of net income from investment in Schwab (Note 12)	305	703
Net income	20,538	8,842
Preferred dividends and distributions on other equity instruments	565	526
Net income available to common shareholders	\$ 19,973	\$ 8,316
Earnings per share (Canadian dollars) (Note 24)		
Basic	\$ 11.57	\$ 4.73
Diluted	11.56	4.72
Dividends per common share (Canadian dollars)	4.20	4.08

¹ Includes \$79,001 million for the year ended October 31, 2025 (October 31, 2024 – \$84,324 million), which has been calculated based on the effective interest rate method (EIRM).

The accompanying Notes are an integral part of these Consolidated Financial Statements.

Consolidated Statement of Comprehensive Income

(millions of Canadian dollars)

For the years ended October 31

	2025	2024
Net income	\$ 20,538	\$ 8,842
Other comprehensive income (loss)		
Items that will be subsequently reclassified to net income		
Net change in unrealized gain/(loss) on financial assets at fair value through other comprehensive income		
Change in unrealized gain/(loss)	579	285
Reclassification to earnings of net loss/(gain)	71	(23)
Changes in allowance for credit losses recognized in earnings	1	(1)
Income taxes relating to:		
Change in unrealized gain/(loss)	(159)	(68)
Reclassification to earnings of net loss/(gain)	(1)	12
	491	205
Net change in unrealized foreign currency translation gain/(loss) on investments in foreign operations, net of hedging activities		
Change in unrealized gain/(loss)	1,094	540
Reclassification to earnings of net loss/(gain)	(534)	(19)
Net gain/(loss) on hedges	(1,088)	(457)
Reclassification to earnings of net loss/(gain) on hedges	799	41
Income taxes relating to:		
Net gain/(loss) on hedges	298	122
Reclassification to earnings of net loss/(gain) on hedges	(220)	(11)
	349	216
Net change in gain/(loss) on derivatives designated as cash flow hedges		
Change in gain/(loss)	7,840	3,354
Reclassification to earnings of loss/(gain)	(4,858)	173
Income taxes relating to:		
Change in gain/(loss)	(2,164)	(929)
Reclassification to earnings of loss/(gain)	1,337	(50)
	2,155	2,548
Share of other comprehensive income (loss) from investment in Schwab	1,870	2,007
Items that will not be subsequently reclassified to net income		
Remeasurement gain/(loss) on employee benefit plans		
Gain/(loss)	22	(151)
Income taxes	(5)	40
	17	(111)
Change in net unrealized gain/(loss) on equity securities designated at fair value through other comprehensive income		
Change in net unrealized gain/(loss)	150	222
Income taxes	(39)	(60)
	111	162
Gain/(loss) from changes in fair value due to own credit risk on financial liabilities designated at fair value through profit or loss		
Gain/(loss)	(8)	22
Income taxes	2	(6)
	(6)	16
Total other comprehensive income (loss)	4,987	5,043
Total comprehensive income (loss)	\$ 25,525	\$ 13,885
Attributable to:		
Common shareholders	\$ 24,960	\$ 13,359
Preferred shareholders and other equity instrument holders	565	526

The accompanying Notes are an integral part of these Consolidated Financial Statements.

Consolidated Statement of Changes in Equity

(millions of Canadian dollars)

For the years ended October 31

	2025	2024
Common shares (Note 19)		
Balance at beginning of year	\$ 25,373	\$ 25,434
Proceeds from shares issued on exercise of stock options	165	112
Shares issued as a result of dividend reinvestment plan	130	529
Purchase of shares for cancellation and other	(941)	(702)
Balance at end of year	24,727	25,373
Preferred shares and other equity instruments (Note 19)		
Balance at beginning of year	10,888	10,853
Issuance of shares and other equity instruments	1,787	1,335
Redemption of shares and other equity instruments	(1,050)	(1,300)
Balance at end of year	11,625	10,888
Treasury – common shares (Note 19)		
Balance at beginning of year	(17)	(64)
Purchase of shares	(13,094)	(11,209)
Sale of shares	13,111	11,256
Balance at end of year	–	(17)
Treasury – preferred shares and other equity instruments (Note 19)		
Balance at beginning of year	(18)	(65)
Purchase of shares and other equity instruments	(1,535)	(625)
Sale of shares and other equity instruments	1,549	672
Balance at end of year	(4)	(18)
Contributed surplus		
Balance at beginning of year	204	155
Net premium (discount) on sale of treasury instruments	32	20
Issuance of stock options, net of options exercised	12	22
Other	37	7
Balance at end of year	285	204
Retained earnings		
Balance at beginning of year	70,826	73,008
Impact of reclassification of securities supporting insurance operations related to the adoption of IFRS 17	–	(10)
Net income attributable to equity instrument holders	20,538	8,842
Common dividends	(7,228)	(7,163)
Preferred dividends and distributions on other equity instruments	(565)	(526)
Share and other equity instrument issue expenses	(7)	(7)
Net premium on repurchase of common shares and redemption of preferred shares and other equity instruments (Note 19)	(5,265)	(3,295)
Remeasurement gain/(loss) on employee benefit plans	17	(111)
Realized gain/(loss) on equity securities designated at fair value through other comprehensive income	4	88
Balance at end of year	78,320	70,826
Accumulated other comprehensive income (loss)		
<i>Net unrealized gain/(loss) on financial assets at fair value through other comprehensive income:</i>		
Balance at beginning of year	(208)	(413)
Impact of reclassification of securities supporting insurance operations related to the adoption of IFRS 17	–	10
Other comprehensive income (loss)	490	196
Allowance for credit losses	1	(1)
Balance at end of year	283	(208)
<i>Net unrealized gain/(loss) on equity securities designated at fair value through other comprehensive income:</i>		
Balance at beginning of year	35	(127)
Other comprehensive income (loss)	115	250
Reclassification of loss/(gain) to retained earnings	(4)	(88)
Balance at end of year	146	35
<i>Gain/(loss) from changes in fair value due to own credit risk on financial liabilities designated at fair value through profit or loss:</i>		
Balance at beginning of year	(22)	(38)
Other comprehensive income (loss)	(6)	16
Balance at end of year	(28)	(22)
<i>Net unrealized foreign currency translation gain/(loss) on investments in foreign operations, net of hedging activities:</i>		
Balance at beginning of year	12,893	12,677
Other comprehensive income (loss)	349	216
Balance at end of year	13,242	12,893
<i>Net gain/(loss) on derivatives designated as cash flow hedges:</i>		
Balance at beginning of year	(2,924)	(5,472)
Other comprehensive income (loss)	2,155	2,548
Balance at end of year	(769)	(2,924)
<i>Share of accumulated other comprehensive income (loss) from Investment in Schwab</i>		
	–	(1,870)
Total accumulated other comprehensive income	12,874	7,904
Total equity	\$ 127,827	\$ 115,160

The accompanying Notes are an integral part of these Consolidated Financial Statements.

Consolidated Statement of Cash Flows

(millions of Canadian dollars)

For the years ended October 31

	2025	2024
Cash flows from (used in) operating activities		
Net income	\$ 20,538	\$ 8,842
Adjustments to determine net cash flows from (used in) operating activities		
Provision for (recovery of) credit losses (Note 8)	4,506	4,253
Depreciation (Note 14)	1,386	1,325
Amortization of other intangibles (Note 13)	780	702
Net securities loss/(gain) (Note 7)	1,951	358
Share of net income from investment in Schwab (Note 12)	(305)	(703)
Gain on sale of Schwab shares (Note 12)	(9,159)	(1,022)
Deferred taxes (Note 23)	(764)	(1,061)
Changes in operating assets and liabilities		
Interest receivable and payable (Notes 15, 17)	(1,072)	1,133
Securities sold under repurchase agreements	19,250	35,046
Securities purchased under reverse repurchase agreements	(38,861)	(3,884)
Obligations related to securities sold short	4,280	(5,146)
Trading loans, securities, and other	(44,366)	(23,680)
Loans net of securitization and sales	(8,024)	(57,908)
Deposits	5,894	69,922
Derivatives	6,077	6,049
Non-trading financial assets at fair value through profit or loss	(1,526)	1,471
Financial assets and liabilities designated at fair value through profit or loss	(10,848)	15,185
Securitization liabilities	7,440	5,552
Current income taxes	441	658
Amounts receivable and payable from brokers, dealers, and clients	(4,394)	4,027
Other, including unrealized foreign currency translation loss/(gain)	(22,870)	(6,182)
Net cash from (used in) operating activities	(69,646)	54,937
Cash flows from (used in) financing activities		
Issuance of subordinated notes and debentures (Note 18)	2,283	3,324
Redemption or repurchase of subordinated notes and debentures (Note 18)	(3,175)	(1,544)
Common shares issued, net of issuance costs (Note 19)	150	100
Repurchase of common shares, including tax on net value of share repurchases (Note 19)	(6,206)	(3,997)
Preferred shares and other equity instruments issued, net of issuance costs (Note 19)	1,780	1,328
Redemption of preferred shares and other equity instruments (Note 19)	(1,050)	(1,300)
Sale of treasury shares and other equity instruments (Note 19)	14,692	11,948
Purchase of treasury shares and other equity instruments (Note 19)	(14,629)	(11,834)
Dividends paid on shares and distributions paid on other equity instruments	(7,663)	(7,160)
Repayment of lease liabilities	(1,683)	(678)
Net cash from (used in) financing activities	(15,501)	(9,813)
Cash flows from (used in) investing activities		
Interest-bearing deposits with banks	61,591	(71,153)
Activities in financial assets at fair value through other comprehensive income		
Purchases	(77,185)	(42,542)
Proceeds from maturities	33,481	18,825
Proceeds from sales	14,425	4,130
Activities in debt securities at amortized cost		
Purchases	(53,435)	(11,306)
Proceeds from maturities	49,646	49,606
Proceeds from sales	39,026	5,772
Net purchases of land, buildings, equipment, other depreciable assets, and other intangibles (Note 14)	(2,145)	(2,177)
Net cash acquired from divestitures (Note 12)	20,784	3,423
Net cash from (used in) investing activities	86,188	(45,422)
Effect of exchange rate changes on cash and due from banks	34	14
Net increase (decrease) in cash and due from banks	1,075	(284)
Cash and due from banks at beginning of year	6,437	6,721
Cash and due from banks at end of year	\$ 7,512	\$ 6,437
Supplementary disclosure of cash flows from operating activities		
Amount of income taxes paid (refunded) during the year	\$ 4,332	\$ 3,812
Amount of interest paid during the year	55,466	61,779
Amount of interest received during the year	84,808	91,013
Amount of dividends received during the year	2,687	2,694

The accompanying Notes are an integral part of these Consolidated Financial Statements.

Notes to Consolidated Financial Statements

NOTE 1 NATURE OF OPERATIONS

CORPORATE INFORMATION

The Toronto-Dominion Bank is a bank chartered under the *Bank Act (Canada)*. The shareholders of a bank are not, as shareholders, liable for any liability, act, or default of the bank except as otherwise provided under the *Bank Act (Canada)*. The Toronto-Dominion Bank and its subsidiaries are collectively known as TD Bank Group (“TD” or the “Bank”). The Bank was formed through the amalgamation on February 1, 1955, of The Bank of Toronto (chartered in 1855) and The Dominion Bank (chartered in 1869). The Bank is incorporated and domiciled in Canada with its registered and principal business offices located at 66 Wellington Street West, Toronto, Ontario. TD serves customers in four business segments operating in a number of locations in key financial centres around the globe: Canadian Personal and Commercial Banking, U.S. Retail, Wealth Management and Insurance, and Wholesale Banking.

BASIS OF PREPARATION

The accompanying Consolidated Financial Statements and accounting principles followed by the Bank have been prepared in accordance with International Financial Reporting Standards (IFRS), as issued by the International Accounting Standards Board (IASB), including the accounting requirements of the Office of the Superintendent of Financial Institutions

Canada (OSFI). The Consolidated Financial Statements are presented in Canadian dollars, unless otherwise indicated.

These Consolidated Financial Statements were prepared using the accounting policies as described in Note 2. Certain comparative amounts have been revised to conform with the presentation adopted in the current period.

The preparation of the Consolidated Financial Statements requires that management make judgments, estimates, and assumptions regarding the reported amount of assets, liabilities, revenue and expenses, and disclosure of contingent assets and liabilities, as further described in Note 3. Accordingly, actual results may differ from estimated amounts as future confirming events occur.

The accompanying Consolidated Financial Statements of the Bank were approved and authorized for issue by the Bank’s Board of Directors, in accordance with a recommendation of the Audit Committee, on December 3, 2025.

The risk management policies and procedures of the Bank are provided in the Management’s Discussion and Analysis (MD&A). The shaded sections of the “Managing Risk” section of the 2025 MD&A, relating to market, liquidity, and insurance risks, are an integral part of these Consolidated Financial Statements, as permitted by IFRS.

NOTE 2 SUMMARY OF MATERIAL ACCOUNTING POLICIES

BASIS OF CONSOLIDATION

The Consolidated Financial Statements include the assets, liabilities, results of operations, and cash flows of the Bank and its subsidiaries including certain structured entities which it controls.

The Bank’s Consolidated Financial Statements have been prepared using uniform accounting policies for like transactions and events in similar circumstances. All intercompany transactions, balances, and unrealized gains and losses on transactions are eliminated on consolidation.

Subsidiaries

Subsidiaries are corporations or other legal entities controlled by the Bank, generally through directly holding more than half of the voting power of the entity. Control of subsidiaries is determined based on the power exercisable through ownership of voting rights and is generally aligned with the risks and/or returns (collectively referred to as “variable returns”) absorbed from subsidiaries through those voting rights. As a result, the Bank controls and consolidates subsidiaries when it holds the majority of the voting rights of the subsidiary, unless there is evidence that another investor has control over the subsidiary. The existence and effect of potential voting rights that are currently exercisable or convertible are considered in assessing whether the Bank controls an entity. Subsidiaries are consolidated from the date the Bank obtains control and continue to be consolidated until the date when control ceases to exist.

The Bank may consolidate certain subsidiaries where it owns 50% or less of the voting rights. Most of those subsidiaries are structured entities as described in the following section.

Structured Entities

Structured entities are entities created to accomplish a narrow and well-defined objective. Structured entities may take the form of a corporation, trust, partnership, or unincorporated entity. They are often created with

legal arrangements that impose limits on the decision-making powers of their governing board, trustee, or management. Structured entities are consolidated when the substance of the relationship between the Bank and the structured entity indicates that the Bank controls the entity. When assessing whether the Bank has to consolidate a structured entity, the Bank evaluates three primary criteria in order to conclude whether, in substance:

- The Bank has the power to direct the activities of the structured entity that have the most significant impact on the entity’s variable returns;
- The Bank is exposed to significant variable returns arising from the entity; and
- The Bank has the ability to use its power to affect the variable returns to which it is exposed.

Consolidation conclusions are reassessed at the end of each financial reporting period. The Bank’s policy is to consider the impact on consolidation of all significant changes in circumstances, focusing on the following:

- Substantive changes in ownership, such as the purchase or disposal of more than an insignificant interest in an entity;
- Changes in contractual or governance arrangements of an entity;
- Additional activities undertaken, such as providing a liquidity facility beyond the original terms or entering into a transaction not originally contemplated;
- Changes in the financing structure of an entity; and
- Changes in the rights to exercise power over an entity.

INVESTMENTS IN ASSOCIATES AND JOINT VENTURES

Entities over which the Bank has significant influence are associates and entities over which the Bank has joint control are joint ventures. Significant influence is the power to participate in the financial and operating policy

decisions of an investee, but is not control or joint control over these entities. Significant influence is presumed to exist where the Bank holds between 20% and 50% of the voting rights of an entity. Significant influence may also exist where the Bank holds less than 20% of the voting rights and has influence over financial and operating policy-making processes, through board representation and significant commercial arrangements. Associates and joint ventures are accounted for using the equity method of accounting. Investments in associates and joint ventures are carried on the Consolidated Balance Sheet initially at cost and increased or decreased to recognize the Bank's share of the profit or loss of the associate or joint venture, capital transactions, including the receipt of any dividends, and write-downs to reflect any impairment in the value of such entities. These increases or decreases, together with any gains and losses realized on disposition, are reported on the Consolidated Statement of Income. The carrying amount of the investments also includes the Bank's share of the investee's other comprehensive income or loss, which is reported in the relevant section of the Consolidated Statement of Comprehensive Income.

At each balance sheet date, the Bank assesses whether there is any objective evidence that the investment in an associate or joint venture is impaired. The Bank calculates the amount of impairment as the difference between the higher of fair value or value-in-use and its carrying value.

CASH AND DUE FROM BANKS

Cash and due from banks consist of cash and amounts due from banks which are issued by investment grade financial institutions. These amounts are due on demand or have an original maturity of three months or less.

REVENUE RECOGNITION

Revenue is recognized at an amount that reflects the consideration the Bank expects to be entitled to in exchange for transferring services to a customer, excluding amounts collected on behalf of third parties. The Bank recognizes revenue when it transfers control of a good or a service to a customer at a point in time or over time. The determination of when performance obligations are satisfied requires the use of judgment. Refer to Note 3 for further details.

The Bank identifies contracts with customers subject to IFRS 15, *Revenue from Contracts with Customers*, which create enforceable rights and obligations. The Bank determines the performance obligations based on distinct services promised to the customers in the contracts. The Bank's contracts generally have a term of one year or less, consist of a single performance obligation, and the performance obligations generally reflect services.

For each contract, the Bank determines the transaction price, which includes estimating variable consideration and assessing whether the price is constrained. Variable consideration is included in the transaction price to the extent that it is highly probable that a significant reversal of the amount will not occur when the uncertainty associated with the amount of variable consideration is subsequently resolved. As such, the estimate of the variable consideration is constrained until the end of the invoicing period. The uncertainty is generally resolved at the end of the reporting period and as such, no significant judgment is required when recognizing variable consideration in revenues.

The Bank's receipt of payment from customers generally occurs subsequent to the satisfaction of performance obligations or a short time thereafter. As such, the Bank has not recognized any material contract assets (unbilled receivables) or contract liabilities (deferred revenues) and there is no significant financing component associated with the consideration due to the Bank.

When another party is involved in the transfer of services to a customer, an assessment is made to evaluate whether the Bank is the principal such that revenues are reported on a gross basis or the agent such that revenues are reported on a net basis. The Bank is the principal when it controls the services in the contract promised to the customer before they are transferred. Control is demonstrated by the Bank being primarily responsible for fulfilling the transfer of the services to the customer, having discretion in establishing pricing of the services, or both.

Investment and securities services

Investment and securities services income includes asset management fees, administration and commission fees, and investment banking fees. The Bank recognizes asset management and administration fees based on time elapsed, which depicts the rendering of investment management and related services over time. The fees are primarily calculated based on average daily or point in time assets under management (AUM) or assets under administration (AUA) depending on the investment mandate.

Commission fees include sales, trailer and brokerage commissions. Sales and brokerage commissions are generally recognized at a point in time when the transaction is executed. Trailer commissions are recognized over time and are generally calculated based on the average daily net asset value of the fund during the period.

Investment banking fees include advisory fees and underwriting fees and are generally recognized at a point in time upon successful completion of the engagement.

Credit fees

Credit fees include liquidity fees, restructuring fees, letter of credit fees, and loan syndication fees. Liquidity, restructuring, and letter of credit fees are recognized in income over the period in which the service is provided. Loan syndication fees are generally recognized at a point in time upon completion of the financing placement.

Service charges

Service charges income is earned on personal and commercial deposit accounts and consists of account fees and transaction-based service charges. Account fees relate to account maintenance activities and are recognized in income over the period in which the service is provided. Transaction-based service charges are recognized as earned at a point in time when the transaction is complete.

Card services

Card services income includes interchange income as well as card fees such as annual and transactional fees. Interchange income is recognized at a point in time when the transaction is authorized and funded. Card fees are recognized as earned at the transaction date with the exception of annual fees, which are recognized over a twelve-month period.

FINANCIAL INSTRUMENTS

Classification and Measurement of Financial Assets

The Bank classifies its financial assets into the following categories:

- Amortized cost;
- Fair value through other comprehensive income (FVOCI);
- Held-for-trading;
- Non-trading fair value through profit or loss (FVTPL); and
- Designated as measured at FVTPL.

The Bank recognizes financial assets on a settlement date basis, except for derivatives and securities, which are recognized on a trade date basis.

Debt Instruments

The classification and measurement for debt instruments is based on the Bank's business models for managing its financial assets and whether the contractual cash flows represent solely payments of principal and interest (SPPI). Refer to Note 3 for judgment with respect to the determination of the Bank's business models and whether contractual cash flows represent SPPI.

The Bank has determined its business models as follows:

- Held-to-collect: the objective is to collect contractual cash flows;
- Held-to-collect-and-sell: the objective is both to collect contractual cash flows and sell the financial assets; and
- Held-for-sale and other business models: the objective is neither of the above.

The Bank performs the SPPI test for financial assets held within the held-to-collect and held-to-collect-and-sell business models. If these financial assets have contractual cash flows which are inconsistent with a basic

lending arrangement that do not pass the SPPI test, they are classified as non-trading financial assets measured at FVTPL. In a basic lending arrangement, interest includes consideration for time value of money, credit risk, other basic lending risks, and a reasonable profit margin.

Debt Securities and Loans Measured at Amortized Cost

Debt securities and loans held within a held-to-collect business model where their contractual cash flows pass the SPPI test are measured at amortized cost. The carrying amount of these financial assets is adjusted by an allowance for credit losses recognized and measured as described in the Impairment – Expected Credit Loss Model section of this Note, as well as any write-offs and unearned income which includes prepaid interest, loan origination fees and costs, commitment fees, loan syndication fees, and unamortized discounts or premiums. Interest income is recognized using EIRM. The effective interest rate (EIR) is the rate that discounts expected future cash flows for the expected life of the financial instrument to its carrying value. The calculation takes into account the contractual interest rate, along with any fees or incremental costs that are directly attributable to the instrument and all other premiums or discounts. Loan origination fees and costs are considered to be adjustments to the loan yield and are recognized in interest income over the term of the loan. Commitment fees are recognized in credit fees over the commitment period when it is unlikely that the commitment will be called upon; otherwise, they are recognized in interest income over the term of the resulting loan. Loan syndication fees are recognized in credit fees upon completion of the financing placement unless the yield on any loan retained by the Bank is less than that of other comparable lenders involved in the financing syndicate. In such cases, an appropriate portion of the fee is recognized as a yield adjustment in interest income over the term of the loan.

Debt Securities and Loans Measured at Fair Value through Other Comprehensive Income

Debt securities and loans held within a held-to-collect-and-sell business model where their contractual cash flows pass the SPPI test are measured at FVOCI. Fair value changes are recognized in other comprehensive income, except for impairment gains or losses, interest income and foreign exchange gains and losses on the instrument's amortized cost, which are recognized in the Consolidated Statement of Income. Interest income is recognized using EIRM. The expected credit loss (ECL) allowance is recognized and measured as described in the Impairment – Expected Credit Loss Model section of this Note. When the financial asset is derecognized, the cumulative gain or loss previously recognized in other comprehensive income is reclassified from equity to income and recognized in other income (loss).

Financial Assets Held-for-Trading

The held-for-sale business model includes financial assets held within a trading portfolio, which have been originated, acquired, or incurred principally for the purpose of selling in the near term, or if they form part of a portfolio of identified financial instruments that are managed together and for which there is evidence of short-term profit-taking. Financial assets held within this business model consist of trading securities, trading loans, as well as certain securities purchased under reverse repurchase agreements.

Trading portfolio assets are accounted for at fair value with changes in fair value recognized in trading income (loss). Transaction costs are expensed as incurred. Dividends are recognized on the ex-dividend date and interest is recognized on an accrual basis. Both dividends and interest are included in interest income.

Non-Trading Financial Assets Measured at Fair Value through Profit or Loss

Non-trading financial assets measured at FVTPL include financial assets held within the held-for-sale and other business models, for example debt securities and loans managed on a fair value basis. Financial assets held within the held-to-collect or held-to-collect-and-sell business models that do not pass the SPPI test are also classified as non-trading financial assets

measured at FVTPL. Changes in fair value as well as any gains or losses realized on disposal are recognized in other income (loss). Interest income from debt instruments is included in interest income on an accrual basis.

Financial Assets Designated at Fair Value through Profit or Loss

Debt instruments in a held-to-collect or held-to-collect-and-sell business model can be designated at initial recognition as measured at FVTPL, provided the designation can eliminate or significantly reduce an accounting mismatch that would otherwise arise from measuring these financial assets on a different basis. The FVTPL designation is available only for those financial instruments for which a reliable estimate of fair value can be obtained. Once financial assets are designated at FVTPL, the designation is irrevocable. Changes in fair value as well as any gains or losses realized on disposal are recognized in other income (loss). Interest income from these financial assets is included in interest income on an accrual basis.

Equity Instruments

Equity investments are required to be measured at FVTPL, except where the Bank has elected at initial recognition to irrevocably designate an equity investment, held for purposes other than trading, at FVOCI. If such an election is made, the fair value changes, including any associated foreign exchange gains or losses, are recognized in other comprehensive income and are not subsequently reclassified to net income, including upon disposal. Realized gains and losses are transferred directly to retained earnings upon disposal. Consequently, there is no review required for impairment. Dividends will normally be recognized in interest income unless the dividends represent a recovery of part of the cost of the investment. Gains and losses on trading and non-trading equity investments measured at FVTPL are included in trading income (loss) and other income (loss), respectively.

Classification and Measurement for Financial Liabilities

The Bank classifies its financial liabilities into the following categories:

- Held-for-trading;
- Designated at FVTPL; and
- Other liabilities.

Financial Liabilities Held-for-Trading

Financial liabilities are held within a trading portfolio if they have been incurred principally for the purpose of repurchasing in the near term, or form part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking. Financial liabilities held-for-trading are primarily trading deposits, securitization liabilities at fair value, obligations related to securities sold short and certain obligations related to securities sold under repurchase agreements.

Trading portfolio liabilities are accounted for at fair value, with changes in fair value as well as any gains or losses realized on disposal recognized in trading income (loss). Transaction costs are expensed as incurred. Interest is recognized on an accrual basis in interest expense.

Financial Liabilities Designated at Fair Value through Profit or Loss

Certain financial liabilities may be designated at FVTPL at initial recognition. To be designated at FVTPL, financial liabilities must meet one of the following criteria: (1) the designation eliminates or significantly reduces a measurement or recognition inconsistency; (2) the financial liabilities or a group of financial assets and financial liabilities are managed, and their performance is evaluated, on a fair value basis in accordance with a documented risk management or investment strategy; or (3) the instrument contains one or more embedded derivatives unless a) the embedded derivative does not significantly modify the cash flows that otherwise would be required by the contract, or b) it is clear with little or no analysis that separation of the embedded derivative from the financial instrument is prohibited. In addition, the FVTPL designation is available only for those financial instruments for which a reliable estimate of fair value can be obtained. Once financial liabilities are designated at FVTPL, the designation is irrevocable.

Financial liabilities designated at FVTPL are carried at fair value on the Consolidated Balance Sheet, with changes in fair value as well as any gains or losses realized on disposal recognized in other income (loss), except for the amount of change in fair value attributable to changes in the Bank's own credit risk, which is presented in other comprehensive income. Amounts recognized in other comprehensive income are not subsequently reclassified to net income upon derecognition of the financial liability; instead, they are transferred directly to retained earnings.

Changes in fair value attributable to changes in the Bank's own credit risk are measured as the difference between: (i) the period-over-period change in the present value of the expected cash flows using an all-in discount curve reflecting both the interest rate benchmark curve and the Bank's own credit curve; and (ii) the period-over-period change in the present value of the same expected cash flows using a discount curve based solely on the interest rate benchmark curve.

For loan commitments and financial guarantee contracts that are designated at FVTPL, the full change in fair value of the liability is recognized in other income (loss).

Interest is recognized on an accrual basis in interest expense.

Other Financial Liabilities

Deposits

Deposits, other than deposits included in a trading portfolio and deposits designated at FVTPL, are accounted for at amortized cost. Accrued interest on deposits is included in Other liabilities on the Consolidated Balance Sheet. Interest, including capitalized transaction costs, is recognized on an accrual basis using EIRM as Interest expense on the Consolidated Statement of Income.

Subordinated Notes and Debentures

Subordinated notes and debentures are accounted for at amortized cost. Accrued interest on subordinated notes and debentures is included in Other liabilities on the Consolidated Balance Sheet. Interest, including capitalized transaction costs, is recognized on an accrual basis using EIRM as Interest expense on the Consolidated Statement of Income.

Reclassification of Financial Assets and Financial Liabilities

Financial assets and financial liabilities are not reclassified subsequent to their initial recognition, except for financial assets for which the Bank changes its business model for managing financial assets. Such reclassifications of financial assets are expected to be rare in practice.

Impairment – Expected Credit Loss Model

The ECL model applies to financial assets, including loans and debt securities measured at amortized cost, loans and debt securities measured at FVOCI, loan commitments, and financial guarantees that are not measured at FVTPL.

The ECL model consists of three stages: Stage 1 – Twelve-month ECLs for performing financial assets, Stage 2 – Lifetime ECLs for financial assets that have experienced a significant increase in credit risk since initial recognition, and Stage 3 – Lifetime ECLs for financial assets that are credit-impaired. ECLs are the difference between all the contractual cash flows that are due to the Bank in accordance with the contract and all the cash flows the Bank expects to receive, discounted at the original EIR. If a significant increase in credit risk has occurred since initial recognition, impairment is measured as lifetime ECLs. Otherwise, impairment is measured as twelve-month ECLs which represent the portion of lifetime ECLs that are expected to occur based on default events that are possible within twelve months after the reporting date. If credit quality improves in a subsequent period such that the increase in credit risk since initial recognition is no longer considered significant, the loss allowance reverts to being measured based on twelve-month ECLs.

Significant Increase in Credit Risk

For retail exposures, significant increase in credit risk is assessed based on changes in the twelve-month probability of default (PD) since initial recognition, using a combination of individual and collective information that incorporates borrower and account specific attributes and relevant forward-looking macroeconomic variables.

For non-retail exposures, significant increase in credit risk is assessed based on changes in the internal risk rating (borrower risk ratings (BRR)) since initial recognition. Refer to the shaded areas of the "Managing Risk" section of the 2025 MD&A for further details on the Bank's 21-point BRR scale to risk levels.

For both retail and non-retail exposures, delinquency backstop when contractual payments are more than 30 days past due is also used in assessing significant increase in credit risk.

The Bank defines default as delinquency of 90 days or more for most retail products and BRR of 9 for non-retail exposures. Exposures are considered credit-impaired and migrate to Stage 3 when the definition of default is met or when there is objective evidence that there has been a deterioration of credit quality to the extent the Bank no longer has reasonable assurance as to the timely collection of the full amount of principal and interest.

When assessing whether there has been a significant increase in credit risk since the initial recognition of a financial asset, the Bank considers all reasonable and supportable information that is available without undue cost or effort about past events, current conditions, and forecast of future economic conditions. Refer to Note 3 for additional details.

Measurement of Expected Credit Losses

ECLs are measured as the probability-weighted present value of expected cash shortfalls over the remaining expected life of the financial instrument and consider reasonable and supportable information about past events, current conditions, and forecasts of future events and economic conditions that impact the Bank's credit risk assessment. Expected life is the maximum contractual period the Bank is exposed to credit risk, including extension options for which the borrower has the unilateral right to exercise. For certain financial instruments that include both a loan and an undrawn commitment, and the Bank's contractual ability to demand repayment and cancel the undrawn commitment does not limit the Bank's exposure to credit losses to the contractual notice period, ECLs are measured over the period the Bank is exposed to credit risk. For example, ECLs for credit cards are measured over the borrowers' expected behavioural life, incorporating survivorship assumptions and borrower-specific attributes.

The Bank leverages its Advanced Internal Ratings-Based models used for regulatory capital purposes and incorporates adjustments where appropriate to calculate ECLs.

Forward-Looking Information and Expert Credit Judgment

Forward-looking information is considered when determining significant increase in credit risk and measuring ECLs. Forward-looking macroeconomic factors are incorporated in the risk parameters as relevant.

Qualitative factors that are not already considered in the quantitative models are incorporated by applying expert credit judgment in determining the final ECLs. Refer to Note 3 for additional details.

Modified Loans

In cases where a borrower experiences financial difficulties, the Bank may grant certain modifications to the terms and conditions of a loan. Modifications may include payment deferrals, extension of amortization periods, rate reductions, principal forgiveness, debt consolidation, forbearance and other modifications intended to minimize the economic loss and to avoid foreclosure or repossession of collateral. The Bank has policies in place to determine the appropriate remediation strategy based on the individual borrower.

If the Bank determines that a modification results in expiry of cash flows, the original asset is derecognized and a new asset is recognized based on the new contractual terms. Significant increase in credit risk is assessed relative to the risk of default on the date of modification.

If the Bank determines that a modification does not result in derecognition, significant increase in credit risk is assessed based on the risk of default at initial recognition of the original asset. Expected cash flows arising from the modified contractual terms are considered when calculating ECLs for the modified asset. For loans that were modified while having lifetime ECLs, the loans can revert to having twelve-month ECLs after a period of performance and improvement in the borrower's financial condition.

Allowance for Loan Losses

The allowance for loan losses represents management's calculation of probability-weighted ECLs in the lending portfolios, including any off-balance sheet exposures, at the balance sheet date. The allowance for loan losses for lending portfolios reported on the Consolidated Balance Sheet, which includes credit-related allowances for residential mortgages, consumer instalment and other personal, credit card, business and government loans, is deducted from Loans on the Consolidated Balance Sheet. The allowance for loan losses for loans measured at FVOCI is included in the Consolidated Statement of Changes in Equity. The allowance for loan losses for off-balance sheet instruments, which relates to certain guarantees, letters of credit, and undrawn lines of credit, is recognized in Other liabilities on the Consolidated Balance Sheet. Allowances for lending portfolios reported on the balance sheet and off-balance sheet exposures are calculated using the same methodology. The allowance is increased by the provision for credit losses and decreased by write-offs net of recoveries and disposals. Each quarter, allowances are reassessed and adjusted based on any changes in management's estimate of ECLs. Loan losses on impaired loans in Stage 3 continue to be recognized by means of an allowance for loan losses until a loan is written off.

A loan is written off against the related allowance for loan losses when there is no realistic prospect of recovery. Non-retail loans are generally written off when all reasonable collection efforts have been exhausted, such as when a loan is sold, when all security has been realized, or when all security has been resolved with the receiver or bankruptcy court. Non-real estate retail loans are generally written off when contractual payments are 180 days past due, or when a loan is sold. Real estate secured retail loans are generally written off when the security is realized. The time period over which the Bank performs collection activities on the contractual amount outstanding of financial assets that are written off varies from one jurisdiction to another and generally spans between less than one year to five years.

Allowance for Credit Losses on Debt Securities

The allowance for credit losses on debt securities represents management's calculation of probability-weighted ECLs. Debt securities measured at amortized cost are presented net of the allowance for credit losses on the Consolidated Balance Sheet. The allowance for credit losses on debt securities measured at FVOCI are included in the Consolidated Statement of Changes in Equity. The allowance for credit losses is increased by the provision for credit losses and decreased by write-offs net of recoveries and disposals.

Acquired Performing Loans

Acquired performing loans are initially measured at fair value, which considers incurred and expected future credit losses estimated at the acquisition date and also reflects adjustments based on the acquired loan's interest rate in comparison to current market rates. On acquisition, twelve-month ECLs are recognized on the acquired performing loans, resulting in the carrying amount being lower than fair value. Acquired performing loans are subsequently accounted for at amortized cost based on their contractual cash flows and any acquisition related discount or premium, including credit-related discounts, is considered to be an adjustment to the loan yield and is recognized in interest income using EIRM over the term of the loan, or the expected life of the loan for acquired performing loans with revolving terms.

SHARE CAPITAL AND OTHER EQUITY INSTRUMENTS

The Bank classifies financial instruments that it issues as either financial liabilities, equity instruments, or compound instruments.

Issued instruments that are mandatorily redeemable or convertible into a variable number of the Bank's common shares at the holder's option are classified as liabilities on the Consolidated Balance Sheet. Dividend or interest payments on these instruments are recognized in Interest expense on the Consolidated Statement of Income.

Issued instruments are classified as equity when there is no contractual obligation to transfer cash or other financial assets to redeem or convert these instruments. Such instruments, if not mandatorily redeemable or convertible into a variable number of the Bank's common shares at the holder's option, are classified as equity on the Consolidated Balance Sheet. Incremental costs directly attributable to the issue of equity instruments are included in equity as a deduction from the proceeds, net of tax. Dividends and distributions on these instruments are recognized as a reduction in equity.

Compound instruments are comprised of both liability and equity components in accordance with the substance of the contractual arrangement. The liability component is initially measured at fair value with any residual amount assigned to the equity component. Issuance costs are allocated proportionately to the liability and equity components.

Common shares, preferred shares, and other equity instruments issued and held by the Bank are classified as treasury instruments in equity, and the cost of these instruments is recorded as a reduction in equity. Upon the sale of treasury instruments, the difference between the sale proceeds and the cost of the instruments is recorded in or against contributed surplus.

GUARANTEES

The Bank issues guarantee contracts that require payments to be made to guaranteed parties based on: (1) changes in the underlying economic characteristics relating to an asset or liability of the guaranteed party; (2) failure of another party to perform under an obligating agreement; or (3) failure of another third party to pay its indebtedness when due. Guarantees are initially measured and recorded at their fair value. The fair value of a guarantee liability at initial recognition is normally equal to the present value of the guarantee fees received over the life of the contract. The Bank's release from risk is recognized over the term of the guarantee using a systematic and rational amortization method.

If a guarantee meets the definition of a derivative, it is carried at fair value on the Consolidated Balance Sheet and reported as a derivative asset or derivative liability at fair value. Guarantees that are considered derivatives are over-the-counter (OTC) credit derivative contracts designed to transfer the credit risk in an underlying financial instrument from one counterparty to another.

DERIVATIVES

Derivatives are instruments that derive their value from changes in underlying interest rates, foreign exchange rates, credit spreads, commodity prices, equities, or other financial or non-financial measures. Such instruments include interest rate, foreign exchange, equity, commodity, and credit derivative contracts. The Bank uses these instruments for trading and non-trading purposes. Derivatives are carried at their fair value on the Consolidated Balance Sheet.

Derivatives Held for Trading Purposes

The Bank enters into trading derivative contracts to meet the needs of its customers, to provide liquidity and market-making related activities, and in certain cases, to manage risks related to its trading portfolios. The realized and unrealized gains or losses on trading derivatives are recognized in trading income (loss).

Derivatives Held for Non-trading Purposes

Non-trading derivatives are primarily used to manage interest rate, foreign exchange, and other market risks of the Bank's traditional banking activities. When derivatives are held for non-trading purposes and when the transactions meet the hedge accounting requirements of IAS 39, *Financial Instruments: Recognition and Measurement* (IAS 39), they are presented as non-trading derivatives and receive hedge accounting treatment, as appropriate. Certain derivative instruments that are held for economic hedging purposes, and do not meet the hedge accounting requirements of IAS 39, are also presented as non-trading derivatives with the change in fair value of these derivatives recognized in Non-interest income.

Hedging Relationships

Hedge Accounting

The Bank has an accounting policy choice to apply the hedge accounting requirements of IFRS 9, *Financial Instruments* (IFRS 9), or IAS 39. The Bank has made the decision to continue applying the IAS 39 hedge accounting requirements and complies with the revised annual hedge accounting disclosures as required by the related amendments to IFRS 7, *Financial Instruments: Disclosures* (IFRS 7).

At the inception of a hedging relationship, there is formal documentation of the relationship between the hedging instrument and the hedged item, its risk management objective, and strategy for undertaking the hedge. The Bank also requires a documented assessment, both at hedge inception and on an ongoing basis, of whether or not the derivatives that are used in hedging relationships are highly effective in offsetting the changes attributable to the hedged risks in the fair values or cash flows of the hedged items. In order to be considered highly effective, the hedging instrument and the hedged item must be highly and inversely correlated such that the changes in the fair value of the hedging instrument will substantially offset the effects of the hedged exposure throughout the term of the hedging relationship. If a hedging relationship becomes ineffective, it no longer qualifies for hedge accounting and any subsequent change in the fair value of the hedging instrument is recognized in Non-interest income on the Consolidated Statement of Income.

Changes in fair value relating to the derivative component excluded from the assessment of hedge effectiveness are recognized in Net interest income or Non-interest income, as applicable, on the Consolidated Statement of Income.

When derivatives are designated in hedge accounting relationships, the Bank classifies them either as: (1) hedges of the changes in fair value of recognized assets, liabilities or firm commitments (fair value hedges); (2) hedges of the variability in highly probable future cash flows attributable to recognized assets, liabilities or forecast transactions (cash flow hedges); or (3) hedges of net investments in foreign operations (net investment hedges).

Fair Value Hedges

The Bank's fair value hedges principally consist of interest rate swaps that are used to protect against changes in the fair value of fixed-rate financial instruments due to movements in market interest rates.

The change in the fair value of the derivative that is designated and qualifies as a fair value hedge, as well as the change in the fair value of the hedged item attributable to the hedged risk, is recognized in Net interest income to the extent that the hedging relationship is effective. Any change in fair value relating to the ineffective portion of the hedging relationship is recognized immediately in Non-interest income.

The cumulative adjustment to the carrying amount of the hedged item (the basis adjustment) is amortized to Net interest income on the Consolidated Statement of Income based on a recalculated EIR over the remaining expected life of the hedged item, with amortization beginning no later than when the hedged item ceases to be adjusted for changes in its fair value attributable to the hedged risk. Where the hedged item has been derecognized, the basis adjustment is immediately released to Net interest income or Non-interest income, as applicable, on the Consolidated Statement of Income.

Cash Flow Hedges

The Bank is exposed to variability in future cash flows attributable to interest rate, foreign exchange rate, and equity price risks. The amounts and timing of future cash flows are projected for each hedged exposure on the basis of their contractual terms and other relevant factors, including estimates of prepayments and defaults.

The effective portion of the change in the fair value of the derivative that is designated and qualifies as a cash flow hedge is initially recognized in other comprehensive income. The change in fair value of the derivative relating to the ineffective portion is recognized immediately in Non-interest income. Amounts in accumulated other comprehensive income (AOCI) are

reclassified to Net interest income or Non-interest income, as applicable, on the Consolidated Statement of Income in the same period during which the hedged item affects income.

When a hedging instrument expires or is sold, or when a hedge no longer meets the criteria for hedge accounting, any cumulative gain or loss existing in AOCI at that time remains in AOCI until the forecast transaction impacts the Consolidated Statement of Income. When a forecast transaction is no longer expected to occur, the cumulative gain or loss that was reported in AOCI is immediately reclassified to Net interest income or Non-interest income, as applicable, on the Consolidated Statement of Income.

Net Investment Hedges

Hedges of net investments in foreign operations are accounted for similar to cash flow hedges. The change in fair value on the hedging instrument relating to the effective portion is recognized in other comprehensive income. The change in fair value of the hedging instrument relating to the ineffective portion is recognized immediately in Non-interest income. Gains and losses in AOCI are reclassified as Non-interest income in the Consolidated Statement of Income upon the disposal or partial disposal of the investment in the foreign operation. The Bank designates derivatives and non-derivatives (such as foreign currency deposit liabilities) as hedging instruments in net investment hedges of spot or forward exchange risk.

Embedded Derivatives

Derivatives may be embedded in financial liabilities or other host contracts. Embedded derivatives are treated as separate derivatives when their economic characteristics and risks are not closely related to those of the host instrument, a separate instrument with the same terms as the embedded derivative would meet the definition of a derivative, and the combined contract is not measured at fair value with changes in fair value recognized in income, such as held-for-trading or designated at FVTPL. These embedded derivatives, which are bifurcated from the host contract, are recognized as Derivatives on the Consolidated Balance Sheet and measured at fair value with subsequent changes in fair value recognized in Non-interest income on the Consolidated Statement of Income.

TRANSLATION AND PRESENTATION OF FOREIGN CURRENCIES

The Bank's Consolidated Financial Statements are presented in Canadian dollars. Items included in the financial statements of each of the Bank's entities are measured using their functional currency, which is the currency of the primary economic environment in which they operate.

Monetary assets and liabilities denominated in a currency that differs from an entity's functional currency are translated into the functional currency of the entity at exchange rates prevailing at the balance sheet date. Non-monetary assets and liabilities carried at cost are translated at historical exchange rates. Non-monetary assets and liabilities carried at fair value are translated at the exchange rate in effect at the balance sheet date. Revenue and expenses are translated into an entity's functional currency at average exchange rates for the period, except for depreciation and amortization. Depreciation and amortization are translated at historical exchange rates. Translation gains and losses are included in Non-interest income except for equity investments designated at FVOCI where unrealized translation gains and losses are recorded in other comprehensive income.

Foreign operations are those with a functional currency other than Canadian dollars. For the purpose of translation into the Bank's presentation currency, all assets and liabilities are first measured in the functional currency of the foreign operation and subsequently, translated at exchange rates prevailing at the balance sheet date. Income and expenses are translated at average exchange rates for the period. Unrealized translation gains and losses relating to these foreign operations, net of gains or losses arising from net investment hedges and applicable income taxes, are included in other comprehensive income. Translation gains and losses in AOCI are recognized on the Consolidated Statement of Income upon the disposal or partial disposal of the foreign operation. The investment balance of foreign entities accounted for by the

equity method, including the Bank's investment in The Charles Schwab Corporation ("Schwab") prior to the sale, is translated into Canadian dollars using exchange rates prevailing at the balance sheet date with exchange gains or losses recognized in other comprehensive income.

OFFSETTING OF FINANCIAL INSTRUMENTS

Financial assets and liabilities are offset, with the net amount presented on the Consolidated Balance Sheet, only if the Bank currently has a legally enforceable right to set off the recognized amounts, and intends either to settle on a net basis or to realize the asset and settle the liability simultaneously. In all other situations, assets and liabilities are presented on a gross basis.

DETERMINATION OF FAIR VALUE

The fair value of a financial instrument on initial recognition is normally the transaction price, as evidenced by the fair value of the consideration given or received. The best evidence of fair value is quoted prices in active markets. When there is no active market for the instrument, the fair value may be based on other observable current market transactions involving the same or similar instruments, without modification or repackaging, or based on a valuation technique which maximizes the use of observable market inputs.

When financial assets and liabilities have offsetting market risks or credit risks, the Bank applies a measurement exception, as described in Note 5 under *Portfolio Exception*. The value determined from application of the portfolio exception must be allocated to the individual financial instruments within the group to arrive at the fair value of an individual financial instrument. Balance sheet offsetting presentation requirements, as described above under the Offsetting of Financial Instruments section of this Note, are then applied, if applicable.

Valuation adjustments reflect the Bank's assessment of factors that market participants would use in pricing the asset or liability. The Bank recognizes various types of valuation adjustments including, but not limited to, adjustments for bid-offer spreads, adjustments for the unobservability of inputs used in pricing models, and adjustments for assumptions about risk, such as the creditworthiness of either counterparty and market implied unsecured funding costs and benefits for OTC derivatives.

If there is a difference between the initial transaction price and the value based on a valuation technique, the difference is referred to as inception profit or loss. Inception profit or loss is recognized upon initial recognition of the instrument only if the fair value is based on observable inputs. When an instrument is measured using a valuation technique that utilizes significant non-observable inputs, it is initially valued at the transaction price, which is considered the best estimate of fair value. Subsequent to initial recognition, any difference between the transaction price and the value determined by the valuation technique at initial recognition is recognized as non-observable inputs become observable.

If the fair value of a financial asset measured at fair value becomes negative, it is recognized as a financial liability until either its fair value becomes positive, at which time it is recognized as a financial asset, or until it is extinguished.

DERECOGNITION OF FINANCIAL INSTRUMENTS

Financial Assets

The Bank derecognizes a financial asset when the contractual rights to that asset have expired. Derecognition may also be appropriate where the contractual right to receive future cash flows from the asset have been transferred, or where the Bank retains the rights to future cash flows from the asset, but assumes an obligation to pay those cash flows to a third party subject to certain criteria.

When the Bank transfers a financial asset, it is necessary to assess the extent to which the Bank has retained the risks and rewards of ownership of the transferred asset. If substantially all the risks and rewards of ownership of the financial asset have been retained, the Bank continues to recognize the financial asset and also recognizes a financial liability for the consideration received. Certain transaction costs incurred are also capitalized and amortized using EIRM. If substantially all the risks

and rewards of ownership of the financial asset have been transferred, the Bank will derecognize the financial asset and recognize separately as assets or liabilities any rights and obligations created or retained in the transfer. The Bank determines whether substantially all the risks and rewards have been transferred by quantitatively comparing the variability in cash flows before and after the transfer. If the variability in cash flows does not change significantly as a result of the transfer, the Bank has retained substantially all of the risks and rewards of ownership.

If the Bank neither transfers nor retains substantially all the risks and rewards of ownership of the financial asset, the Bank derecognizes the financial asset where it has relinquished control of the financial asset. The Bank is considered to have relinquished control of the financial asset where the transferee has the practical ability to sell the transferred financial asset. Where the Bank has retained control of the financial asset, it continues to recognize the financial asset to the extent of its continuing involvement in the financial asset. Under these circumstances, the Bank usually retains the rights to future cash flows relating to the asset through a residual interest and is exposed to some degree of risk associated with the financial asset.

The derecognition criteria are also applied to the transfer of part of an asset, rather than the asset as a whole, or to a group of similar financial assets in their entirety, when applicable. If transferring a part of an asset, it must be a specifically identified cash flow, a fully proportionate share of the asset, or a fully proportionate share of a specifically identified cash flow.

Securitization

Securitization is the process by which financial assets are transformed into securities. The Bank securitizes financial assets by transferring those financial assets to a third party and as part of the securitization, certain financial assets may be retained and may consist of an interest-only strip and, in some cases, a cash reserve account (collectively referred to as "retained interests"). If the transfer qualifies for derecognition, a gain or loss on sale of the financial assets is recognized immediately in other income (loss) after considering the effect of hedge accounting on the assets sold, if applicable. The amount of the gain or loss is calculated as the difference between the carrying amount of the asset transferred and the sum of any cash proceeds received, the fair value of any financial asset received or financial liability assumed, and any cumulative gain or loss allocated to the transferred asset that had been recognized in AOCI. To determine the value of the retained interest initially recorded, the previous carrying value of the transferred asset is allocated between the amount derecognized from the balance sheet and the retained interest recorded, in proportion to their relative fair values on the date of transfer. Subsequent to initial recognition, as market prices are generally not available for retained interests, fair value is determined by estimating the present value of future expected cash flows using management's best estimates of key assumptions that market participants would use in determining such fair value. Refer to Note 3 for assumptions used by management in determining the fair value of retained interests. Retained interest is classified as trading securities with subsequent changes in fair value recorded in trading income (loss).

Where the Bank retains the servicing rights, the benefits of servicing are assessed against market expectations. When the benefits of servicing are more than adequate, a servicing asset is recognized. Similarly, when the benefits of servicing are less than adequate, a servicing liability is recognized. Servicing assets and servicing liabilities are initially recognized at fair value and subsequently carried at amortized cost.

Financial Liabilities

The Bank derecognizes a financial liability when the obligation under the liability is discharged, cancelled, or expires. If an existing financial liability is replaced by another financial liability from the same lender on substantially different terms or where the terms of the existing liability are substantially modified, the original liability is derecognized and a new liability is recognized with the difference in the respective carrying amounts recognized on the Consolidated Statement of Income.

Securities Purchased Under Reverse Repurchase Agreements, Securities Sold Under Repurchase Agreements, and Securities Borrowing and Lending

Securities purchased under reverse repurchase agreements involve the purchase of securities by the Bank under agreements to resell the securities at a future date. These agreements are treated as collateralized lending transactions whereby the Bank takes possession of the purchased securities, but does not acquire the risks and rewards of ownership. The Bank monitors the market value of the purchased securities relative to the amounts due under the reverse repurchase agreements, and when necessary, requires transfer of additional collateral. In the event of counterparty default, the agreements provide the Bank with the right to liquidate the collateral held and offset the proceeds against the amount owing from the counterparty.

Obligations related to securities sold under repurchase agreements involve the sale of securities by the Bank to counterparties under agreements to repurchase the securities at a future date. These agreements do not result in the risks and rewards of ownership being relinquished and are treated as collateralized borrowing transactions. The Bank monitors the market value of the securities sold relative to the amounts due under the repurchase agreements, and when necessary, transfers additional collateral or may require counterparties to return the collateral pledged. Certain transactions that do not meet derecognition criteria are also included in obligations related to securities sold under repurchase agreements. Refer to Note 9 for further details.

Securities purchased under reverse repurchase agreements and obligations related to securities sold under repurchase agreements are initially recorded on the Consolidated Balance Sheet at the respective prices at which the securities were originally acquired or sold, plus accrued interest. Subsequently, the agreements are measured at amortized cost on the Consolidated Balance Sheet, plus accrued interest, except when they are held-for-trading or are designated at FVTPL. Interest earned on reverse repurchase agreements and interest incurred on repurchase agreements is determined using EIRM for agreements measured at amortized cost and recognized on an accrual basis for agreements measured at fair value, and is included in Interest income and Interest expense, respectively, on the Consolidated Statement of Income. Changes in fair value on reverse repurchase agreements and repurchase agreements that are held-for-trading or are designated at FVTPL are included in Trading income (loss) or in Other income (loss) on the Consolidated Statement of Income.

In securities lending transactions, the Bank lends securities to a counterparty and receives collateral in the form of cash or securities. If cash collateral is received, the Bank records the cash along with an obligation to return the cash as Obligations related to securities sold under repurchase agreements on the Consolidated Balance Sheet. Where securities are received as collateral, the Bank does not record the collateral on the Consolidated Balance Sheet.

In securities borrowing transactions, the Bank borrows securities from a counterparty and pledges either cash or securities as collateral. If cash is pledged as collateral, the Bank records the transaction as Securities purchased under reverse repurchase agreements on the Consolidated Balance Sheet. If securities are pledged as collateral, the securities remain on the Bank's Consolidated Balance Sheet.

Where securities are received or pledged as collateral, securities lending income and securities borrowing fees are recorded in Non-interest income and Non-interest expenses, respectively, on the Consolidated Statement of Income over the term of the transaction. Where cash is pledged or received as collateral, interest received or incurred is included in Interest income and Interest expense, respectively, on the Consolidated Statement of Income.

Physical commodities purchased or sold with an agreement to sell or repurchase the physical commodities at a later date at a fixed price, are also included in securities purchased under reverse repurchase agreements

and obligations related to securities sold under repurchase agreements, respectively, if the derecognition criteria are not met. These instruments are measured at fair value.

GOODWILL

Goodwill represents the excess purchase price paid over the net fair value of identifiable assets and liabilities acquired in a business combination. Goodwill is carried at its initial cost less accumulated impairment losses.

Goodwill is allocated to a cash-generating unit (CGU) or a group of CGUs that is expected to benefit from the synergies of the business combination, regardless of whether any assets acquired and liabilities assumed are assigned to the CGU or group of CGUs. A CGU is the smallest identifiable group of assets that generates cash flows largely independent of the cash inflows from other assets or groups of assets. Each CGU or group of CGUs, to which goodwill is allocated, represents the lowest level within the Bank at which the goodwill is monitored for internal management purposes and is not larger than an operating segment. If the composition of a CGU or group of CGUs to which goodwill has been allocated changes as a result of the sale of a business, restructuring or other changes, the goodwill is reallocated to the units affected using a relative value approach, unless the Bank can demonstrate that some other method better reflects the goodwill associated with the units affected.

Goodwill is assessed for impairment at least annually and when an event or change in circumstances indicates that the carrying amount may be impaired. When impairment indicators are present, the recoverable amount of the CGU or group of CGUs, which is the higher of its estimated fair value less costs of disposal and its value-in-use, is determined. If the carrying amount of the CGU or group of CGUs is higher than its recoverable amount, an impairment loss exists. The impairment loss is recognized on the Consolidated Statement of Income and cannot be reversed in future periods.

INTANGIBLE ASSETS

Intangible assets represent identifiable non-monetary assets and are acquired either separately or through a business combination, or internally generated software. The Bank's intangible assets consist primarily of credit card related intangibles, software intangibles, and other intangibles. Intangible assets are initially recognized at cost, or at fair value if acquired through a business combination, and are amortized over their estimated useful lives (4 to 15 years) proportionate to their expected economic benefits, except for software which is amortized over its estimated useful life (3 to 7 years) on a straight-line basis. In respect of internally generated software, development costs are capitalized only if the costs can be measured reliably, the asset is technically feasible, future economic benefits are probable, and the Bank intends to and has sufficient resources to complete development of the asset. Research costs are expensed as incurred.

The Bank assesses its intangible assets for impairment indicators on a quarterly basis. When impairment indicators are present, the recoverable amount of the asset, which is the higher of its estimated fair value less costs of disposal and its value-in-use, is determined. If the carrying amount of the asset is higher than its recoverable amount, the asset is written down to its recoverable amount. Where it is not possible to estimate the recoverable amount of an individual asset, the Bank estimates the recoverable amount of the CGU to which the asset belongs. If the CGU is not impaired, the useful life of the intangible asset is assessed with any changes applied on a prospective basis. An impairment loss is recognized on the Consolidated Statement of Income in the period in which the impairment is identified. Impairment losses recognized previously are assessed and reversed if the circumstances leading to the impairment are no longer present. Reversal of any impairment loss will not exceed the carrying amount of the intangible asset that would have been determined had no impairment loss been recognized for the asset in prior periods.

LAND, BUILDINGS, EQUIPMENT, AND OTHER DEPRECIABLE ASSETS

Land is recognized at cost. Buildings, computer equipment, furniture and fixtures, other equipment, and leasehold improvements are recognized at cost less accumulated depreciation and provisions for impairment, if any. Gains or losses on disposal are included in Non-interest income on the Consolidated Statement of Income.

The Bank records the obligation associated with the retirement of a long-lived asset at fair value in the period in which it is incurred and can be reasonably estimated, and records a corresponding increase to the carrying amount of the asset. The asset is depreciated on a straight-line basis over its remaining useful life while the liability is accreted to reflect the passage of time until the eventual settlement of the obligation.

Depreciation is recognized on a straight-line basis over the useful lives of the assets estimated by asset category, as follows:

Asset	Useful Life
Buildings	15 to 40 years
Computer equipment	2 to 8 years
Furniture and fixtures	3 to 15 years
Other equipment	5 to 15 years
Leasehold improvements	Lesser of the remaining lease term and the remaining useful life of the asset

The Bank assesses its depreciable assets for changes in useful life or impairment on a quarterly basis. Where an impairment indicator exists and the depreciable asset does not generate separate cash flows on a stand-alone basis, impairment is assessed based on the recoverable amount of the CGU to which the depreciable asset belongs. If the CGU is not impaired, the useful life of the depreciable asset is assessed with any changes applied on a prospective basis. Any impairment loss is recognized on the Consolidated Statement of Income in the period in which the impairment is identified. Impairment losses previously recognized are assessed and reversed if the circumstances leading to their impairment are no longer present. Reversal of any impairment loss will not exceed the carrying amount of the depreciable asset that would have been determined had no impairment loss been recognized for the asset in prior periods.

NON-CURRENT ASSETS HELD-FOR-SALE

Individual non-current assets or disposal groups are classified as held-for-sale if they are available for immediate sale in their present condition subject only to terms that are usual and customary for sales of such assets or disposal groups, and their sale must be highly probable to occur within one year. For a sale to be highly probable, management must be committed to a sales plan and initiate an active program to market the sale of the non-current assets or disposal groups. Non-current assets or disposal groups classified as held-for-sale are measured at the lower of their carrying amount and fair value less costs to sell on the Consolidated Balance Sheet. Write-downs on premises related non-current assets and write-downs on equipment on initial classification as held-for-sale are included in Non-interest expenses on the Consolidated Statement of Income. Subsequently, a non-current asset or disposal group that is held-for-sale is no longer depreciated or amortized, and any subsequent write-downs in fair value less costs to sell or such increases not in excess of cumulative write-downs, are recognized in Other income on the Consolidated Statement of Income.

SHARE-BASED COMPENSATION

The Bank grants share options to certain key employees as compensation for services provided to the Bank. The Bank uses a binomial tree-based valuation option pricing model to estimate fair value for all share option compensation awards. The cost of the share options is based on the fair value estimated at the grant date and is recognized as compensation expense and contributed surplus over the service period required for employees to become fully entitled to the awards. This period is generally equal to the vesting period in addition to a period prior to the grant date. For the Bank's share options, this period is generally equal to five years. When options are exercised, the amount initially recognized in the contributed surplus balance is reduced, with a corresponding increase in common shares.

The Bank has various other share-based compensation plans where certain employees of the Bank are awarded share units equivalent to the Bank's common shares as compensation for services provided to the Bank. The obligation related to share units is included in other liabilities on the Consolidated Balance Sheet. Compensation expense is recognized based on the fair value of the share units at the grant date adjusted for changes in fair value between the grant date and the vesting date, net of hedging activities, over the service period required for employees to become fully entitled to the awards. This period is generally equal to the vesting period, in addition to a period prior to the grant date. For the Bank's share units, this period is generally equal to four years.

EMPLOYEE BENEFITS

Defined Benefit Plans

Actuarial valuations are prepared at least every three years to determine the present value of the projected benefit obligation related to the Bank's defined benefit plans. In periods between actuarial valuations, an extrapolation is performed based on the most recent valuation completed. All rereasurement gains and losses are recognized immediately in other comprehensive income, with cumulative gains and losses reclassified to retained earnings. Pension and post-retirement defined benefit plan expenses are determined based upon separate actuarial valuations using the projected benefit method pro-rated on service and management's best estimates of discount rate, compensation increases, health care cost trend rate, and mortality rates, which are reviewed annually with the Bank's actuaries. The discount rate used to value liabilities is determined by reference to market yields on high-quality corporate bonds with terms matching the plans' specific cash flows. The expense recognized includes the cost of benefits for employee service provided in the current year, net interest expense or income on the net defined benefit liability or asset, past service costs related to plan amendments, curtailments or settlements, and administrative costs. Plan amendment costs are recognized in the period of a plan amendment, irrespective of its vested status. Curtailments and settlements are recognized by the Bank when the curtailment or settlement occurs. A curtailment occurs when there is a significant reduction in the number of employees covered by the plan. A settlement occurs when the Bank enters into a transaction that eliminates all further legal or constructive obligation for part or all of the benefits provided under a defined benefit plan.

The fair value of plan assets and the present value of the projected benefit obligation are measured as at October 31. The net defined benefit asset or liability represents the difference between the cumulative rereasurement gains and losses, expenses, and recognized contributions and is reported in other assets or other liabilities.

Net defined benefit assets recognized by the Bank are subject to a ceiling which limits the asset recognized on the Consolidated Balance Sheet to the amount that is recoverable through refunds of contributions or future contribution holidays. In addition, where a regulatory funding

deficit exists related to a defined benefit plan, the Bank is required to record a liability equal to the present value of all future cash payments required to eliminate that deficit.

Defined Contribution Plans

For defined contribution plans, annual pension expense is equal to the Bank's contributions to those plans.

INSURANCE

Insurance contracts are aggregated into groups which are measured at the risk-adjusted present value of cash flows in fulfilling the contracts. Insurance revenue is recognized on the Consolidated Statement of Income as insurance services are provided over the coverage period of the contracts within the groups. Insurance service expenses are reported on the Consolidated Statement of Income as insurance claims and related expenses are recognized and when contract groups are expected to be onerous. Contract groups are onerous if their fulfillment cash flows are expected to result in a net outflow. The liabilities from insurance groups are comprised of the liability for remaining coverage (LRC) and the liability for incurred claims (LIC) and are reported as Insurance contract liabilities on the Consolidated Balance Sheet. The LRC is the obligation to investigate and pay claims that have not yet occurred and includes a loss component related to onerous contract groups. The LIC is the estimate of claims incurred, including claims that have occurred but have not been reported, and related insurance costs.

The Bank measures its insurance contract groups using one of two measurement models, the premium allocation approach (PAA) or the general measurement model (GMM). The majority of insurance contract groups are measured using the PAA, which includes the Bank's property and casualty insurance contracts and short-term life and health insurance contracts. The PAA is a simplified model applied to insurance contracts that are either one year or less or where the PAA approximates the GMM. Contracts using the GMM are longer-term life and health contracts.

The LRC for insurance contract groups using the PAA is measured as the premiums received less insurance acquisition cash flows paid. The LRC is adjusted for the recognition of insurance revenue and amortization of acquisition cash flows reported in insurance service expenses on a straight-line basis over the contractual terms of the underlying insurance contracts, usually twelve months. The LRC for longer term contracts using the GMM model is measured using estimates and assumptions that reflect the timing and uncertainty of insurance cash flows. Under both the PAA and GMM, when a group of contracts is expected to be onerous, a loss component (expected loss related to fulfilling the group's insurance contracts) is established which increases the LRC and insurance service expenses. The loss component of the LRC is subsequently recognized as a reduction to insurance service expenses over the contractual term of the underlying insurance contracts to offset claims incurred and related expenses.

The Bank measures the LIC at the present value of current estimates of claims and related costs for insurable events occurring at or before the Consolidated Balance Sheet date. The LIC includes a risk adjustment, which represents the compensation the Bank requires for bearing the uncertainty related to non-financial risks in its fulfillment of insurance contracts. Expenses related to claims incurred, including claims arising from catastrophes, and related costs are reported in insurance service expenses while changes related to discounting the liability are recorded as insurance finance income or expenses in other income (loss).

Estimates used in the measurement of insurance contract liabilities are determined in accordance with accepted actuarial practices. Current estimates of claims and related expenses are determined on a case-by-case basis and consider such variables as past loss experience, current claims trends and changes in the prevailing social, economic, and legal environment. These estimates are continually reviewed, and as experience develops and new information becomes known, the estimates are adjusted as necessary. In addition to reported claims information, the Bank's insurance contract liabilities include a provision to account for the future development of insurance claims, including insurance claims incurred but

not reported by policyholders (IBNR). IBNR liabilities are evaluated based on historical development trends and actuarial methodologies for groups of claims with similar attributes.

Reinsurance contracts held are recognized and measured using the same principles as insurance contracts. Reinsurance contract assets are presented in Other assets on the Consolidated Balance Sheet and the net results from reinsurance contracts held are presented in Other income (loss) on the Consolidated Statement of Income. Refer to Note 20 for further detail on the balances and results of insurance and reinsurance contracts.

PROVISIONS & CONTINGENT LIABILITIES

Provisions are recognized when the Bank has a present obligation (legal or constructive) as a result of a past event, the amount of which can be reliably estimated, and it is probable that an outflow of resources will be required to settle the obligation.

Provisions are measured based on management's best estimate of the consideration required to settle the obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. If the effect of the time value of money is material, provisions are measured at the present value of the expenditure expected to be required to settle the obligation, using a discount rate that reflects the current market assessment of the time value of money and the risks specific to the obligation.

Contingent liabilities exist when there is a possible obligation which is yet to be confirmed or a present obligation which has been confirmed but the outflow of future resources is not probable or is not reliably measurable. Contingent liabilities are not recorded in the Bank's Consolidated Financial Statements and are disclosed if material unless there is a remote chance that it will result in a future outflow of resources to settle.

INCOME TAXES

Income tax is comprised of current and deferred tax. Income tax is recognized in the Provision for (recovery of) income taxes on the Consolidated Statement of Income, except to the extent that it relates to items recognized in other comprehensive income or directly in equity, in which case the related taxes are also recognized in other comprehensive income or directly in equity, respectively.

Deferred tax is recognized on temporary differences between the carrying amounts of assets and liabilities on the Consolidated Balance Sheet and the amounts attributed to such assets and liabilities for tax purposes. Deferred tax assets and liabilities are determined based on the tax rates that are expected to apply when the assets or liabilities are reported for tax purposes. Deferred tax assets are recognized only when it is probable that sufficient taxable profit will be available in future periods against which deductible temporary differences may be utilized. Deferred tax liabilities are not recognized on temporary differences arising on investments in subsidiaries, branches, and associates, and interests in joint ventures if the Bank controls the timing of the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future.

The Bank records a provision for uncertain tax positions if it is probable that the Bank will have to make a payment to tax authorities upon their examination of a tax position. This provision is measured at the Bank's best estimate of the amount expected to be paid. Provisions are reversed in provision for (recovery of) income taxes in the period in which management determines they are no longer required or as determined by statute.

LEASES

An arrangement contains a lease if there is an identified asset and the Bank has a right to control that asset for a period of time in exchange for consideration. A right-of-use (ROU) asset and lease liability is recognized for all leases except for short-term leases and low value leases, as described below. At the lease commencement date, the lease liability is initially recognized at the present value of the future lease payments over the remaining lease term and is discounted using the Bank's incremental borrowing rate. The right-of-use asset is recognized at cost, comprising an amount equal to the lease liability, subject to certain adjustments.

Subsequently, the right-of-use asset is measured at cost less accumulated depreciation and impairment and adjusted for any remeasurement of lease liabilities, while the lease liability is accreted using the Bank's incremental borrowing rate. The lease liability is remeasured when there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or changes in the Bank's assumptions or strategies relating to the exercise of purchase, extension, or termination options.

The Bank's leases consist primarily of real estate, equipment and other asset leases. Right-of-use assets are recorded in Land, buildings,

equipment, other depreciable assets and right-of-use assets on the Consolidated Balance Sheet and lease liabilities are included in Other liabilities on the Consolidated Balance Sheet. Interest expense on lease liabilities is included in Net interest income and depreciation expense on the right-of-use assets is recognized in Non-interest expenses on the Consolidated Statement of Income.

Short-term leases, which have a lease term of twelve months or less, and leases of low-value assets are exempt, and their payments are recognized in Non-interest expenses on a straight-line basis within the Bank's Consolidated Statement of Income.

NOTE 3 SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES, AND ASSUMPTIONS

The estimates used in the Bank's accounting policies are essential to understanding its results of operations and financial condition. Some of the Bank's policies require subjective, complex judgments and estimates as they relate to matters that are inherently uncertain. Changes in these judgments or estimates and changes to accounting standards and policies could have a materially adverse impact on the Bank's Consolidated Financial Statements. The Bank has established procedures to ensure that accounting policies are applied consistently and that the processes for changing methodologies, determining estimates, and adopting new accounting standards are well-controlled and occur in an appropriate and systematic manner.

CLASSIFICATION AND MEASUREMENT OF FINANCIAL ASSETS

Business Model Assessment

The Bank determines its business models based on the objective under which its portfolios of financial assets are managed. Refer to Note 2 for details on the Bank's business models. In determining its business models, the Bank considers the following:

- Management's intent and strategic objectives and the operation of the stated policies in practice;
- The primary risks that affect the performance of the portfolio of assets and how these risks are managed;
- How the performance of the portfolio is evaluated and reported to management; and
- The frequency and significance of financial asset sales in prior periods, the reasons for such sales and the expected future sales activities.

Sales in themselves do not determine the business model and are not considered in isolation. Instead, sales provide evidence about how cash flows are realized. A held-to-collect business model will be reassessed by the Bank to determine whether any sales are consistent with an objective of collecting contractual cash flows if the sales are more than insignificant in value or more than infrequent.

Solely Payments of Principal and Interest Test

In assessing whether contractual cash flows represent SPPI, the Bank considers the contractual terms of the instrument. This includes assessing whether the financial asset contains contractual terms that could change the timing or amount of contractual cash flows such that they would not be consistent with a basic lending arrangement. In making the assessment, the Bank considers the primary terms as follows and assesses if the contractual cash flows of the instrument continue to meet the SPPI test:

- Performance-linked features;
- Terms that limit the Bank's claim to cash flows from specified assets (non-recourse terms);
- Prepayment and extension terms;
- Leverage features;
- Features that modify elements of the time value of money; and
- Sustainability-linked features.

IMPAIRMENT OF FINANCIAL ASSETS

Significant Increase in Credit Risk

For retail exposures, criteria for assessing significant increase in credit risk are defined at the appropriate product or portfolio level and vary based on the exposure's credit risk at origination. The criteria include relative changes in PD, absolute PD backstop, and delinquency backstop when contractual payments are more than 30 days past due. Significant increase in credit risk since initial recognition has occurred when one of the criteria is met.

For non-retail exposures, BRR is determined on an individual borrower basis using industry and sector specific credit risk models that are based on historical data. Current and forward-looking information that is specific to the borrower, industry, and sector is considered based on expert credit judgment. Criteria for assessing significant increase in credit risk are defined at the appropriate segmentation level and vary based on the BRR of the exposure at origination. Criteria include relative changes in BRR, absolute BRR backstop, and delinquency backstop when contractual payments are more than 30 days past due. Significant increase in credit risk since initial recognition has occurred when one of the criteria is met.

Measurement of Expected Credit Loss

ECLs are recognized on the initial recognition of financial assets.

Allowance for credit losses represents management's unbiased estimate of the risk of default and ECLs on the financial assets, including any off-balance sheet exposures, at the balance sheet date.

For retail exposures, ECLs are calculated as the product of PD, loss given default (LGD), and exposure at default (EAD) at each time step over the remaining expected life of the financial asset and discounted to the reporting date based on the EIR. PD estimates represent the forward-looking PD, updated quarterly based on the Bank's historical experience, current conditions, and relevant forward-looking expectations over the expected life of the exposure to determine the lifetime PD curve.

LGD estimates are determined based on historical charge-off events and recovery payments, current information about attributes specific to the borrower, and direct costs. Expected cash flows from collateral, guarantees, and other credit enhancements are incorporated in LGD if integral to the contractual terms. Relevant macroeconomic variables are incorporated in determining expected LGD. EAD represents the expected balance at default across the remaining expected life of the exposure. EAD incorporates forward-looking expectations about repayments of drawn balances and future draws where applicable.

For non-retail exposures, ECLs are calculated based on the present value of cash shortfalls determined as the difference between contractual cash flows and expected cash flows over the remaining expected life of the financial instrument. Lifetime PD is determined by mapping the exposure's BRR to forward-looking PD over the expected life. LGD estimates are determined by mapping the exposure's facility risk rating (FRR) to expected LGD which takes into account facility-specific characteristics

such as collateral, seniority ranking of debt, and loan structure. Relevant macroeconomic variables are incorporated in determining expected PD and LGD. Expected cash flows are determined by applying the PD and LGD estimates to the contractual cash flows to calculate cash shortfalls over the expected life of the exposure.

Forward-Looking Information

In calculating ECLs, the Bank employs internally developed models that utilize parameters for PD, LGD, and EAD. Forward-looking macroeconomic factors including at the regional level are incorporated in the risk parameters as relevant. Additional risk factors that are industry or segment specific are also incorporated, where relevant. Forward-looking macroeconomic forecasts are generated by TD Economics as part of the ECL process: A base economic forecast is accompanied with upside and downside estimates of realistically possible economic conditions by considering the sources of uncertainty around the base forecast. All macroeconomic forecasts are updated quarterly for each variable on a regional basis where applicable and incorporated as relevant into the quarterly modelling of base, upside and downside risk parameters used in the calculation of ECL scenarios and probability-weighted ECLs. TD Economics will apply judgment to recommend probability weights to each forecast on a quarterly basis. The proposed macroeconomic forecasts and probability weightings are subject to a robust management review and challenge process by a cross-functional committee that includes representation from TD Economics, Risk, Finance, and Business. ECLs calculated under each of the three forecasts are applied against the respective probability weightings to determine the probability-weighted ECLs. Refer to Note 8 for further details on the macroeconomic variables and ECL sensitivity.

Expert Credit Judgment

Management's expert credit judgment is used to determine the best estimate for the qualitative component contributing to ECLs, based on an assessment of business and economic conditions, historical loss experience, loan portfolio composition, and other relevant indicators and forward-looking information that are not fully incorporated into the model calculation.

There remains elevated economic uncertainty, and management continues to exercise expert credit judgment in assessing if an exposure has experienced significant increase in credit risk since initial recognition and in determining the amount of ECLs at each reporting date. To the extent that certain effects are not fully incorporated into the model calculations, temporary quantitative and qualitative adjustments have been applied, including for risks related to elevated uncertainty associated with policy and trade, and such adjustments will be updated as appropriate in future periods.

LEASES

The Bank applies judgment in determining the appropriate lease term on a lease-by-lease basis. All facts and circumstances that create an economic incentive to exercise a renewal option or not to exercise a termination option including investments in major leaseholds, branch performance and past business practice are considered. The periods covered by renewal or termination options are only included in the lease term if it is reasonably certain that the Bank will exercise the options; management considers "reasonably certain" to be a high threshold. Changes in the economic environment or changes in the industry may impact the Bank's assessment of lease term, and any changes in the Bank's estimate of lease terms may have a material impact on the Bank's Consolidated Balance Sheet and Consolidated Statement of Income.

In determining the carrying amount of right-of-use (ROU) assets and lease liabilities, the Bank is required to estimate the incremental borrowing rate specific to each leased asset or portfolio of leased assets if the interest rate implicit in the lease is not readily determinable. The Bank determines the incremental borrowing rate of each leased asset or portfolio of leased

assets by incorporating the Bank's creditworthiness, the security, term, and value of the ROU asset, and the economic environment in which the leased asset operates. The incremental borrowing rates are subject to change mainly due to changes in the macroeconomic environment.

FAIR VALUE MEASUREMENTS

The fair value of financial instruments traded in active markets at the balance sheet date is based on their quoted market prices. For all other financial instruments not traded in an active market, fair value may be based on other observable current market transactions involving the same or similar instruments, without modification or repackaging, or is based on a valuation technique which maximizes the use of observable market inputs. Observable market inputs may include interest rate yield curves, foreign exchange rates, and option volatilities. Valuation techniques include comparisons with similar instruments where observable market prices exist, discounted cash flow analysis, option pricing models, and other valuation techniques commonly used by market participants.

For certain complex or illiquid financial instruments, fair value is determined using valuation techniques in which current market transactions or observable market inputs are not available. Judgment is used when determining which valuation techniques to apply, liquidity considerations, and model inputs such as volatilities, correlations, spreads, discount rates, pre-payment rates, and prices of underlying instruments. Any imprecision in these estimates can affect the resulting fair value.

Judgment is also used in recording valuation adjustments to model fair values to account for system limitations or measurement uncertainty, such as when valuing complex and less actively traded financial instruments. If the market for a complex financial instrument develops, the pricing for this instrument may become more transparent, resulting in refinement of valuation models.

An analysis of the fair value of financial instruments and further details as to how they are measured are provided in Note 5.

DERECOGNITION OF FINANCIAL ASSETS

Certain financial assets transferred may qualify for derecognition from the Bank's Consolidated Balance Sheet. To qualify for derecognition, certain key determinations must be made, including whether the Bank's rights to receive cash flows from the financial asset have been retained or transferred and the extent to which the risks and rewards of ownership of the financial assets have been retained or transferred. If the Bank neither transfers nor retains substantially all of the risks and rewards of ownership of the financial asset, a decision must be made as to whether the Bank has retained control of the financial asset.

Upon derecognition, the Bank will record a gain or loss on sale of those assets which is calculated as the difference between the carrying amount of the asset transferred and the sum of any cash proceeds received, including any financial assets received or financial liabilities assumed, and any cumulative gains or losses allocated to the transferred asset that had been recognized in AOCI. In determining the fair value of any financial assets received, the Bank estimates future cash flows by relying on estimates of the amount of interest that will be collected on the securitized assets, the yield to be paid to investors, the portion of the securitized assets that will be prepaid before their scheduled maturity, ECLs, the cost of servicing the assets, and the rate at which to discount these expected future cash flows. Actual cash flows may differ significantly from those estimated by the Bank.

Retained interests are financial interests in transferred assets retained by the Bank. They are classified as trading securities and are initially recognized at relative fair value on the Bank's Consolidated Balance Sheet. Subsequently, the fair value of retained interests is determined by estimating the present value of future expected cash flows. Differences between the actual cash flows and the Bank's estimated future cash flows are recognized in trading income (loss). These assumptions are subject to periodic reviews and may change due to significant changes in the economic environment.

GOODWILL

The recoverable amount of the Bank's CGUs or groups of CGUs is determined from internally developed valuation models that consider various factors and assumptions such as forecasted earnings, growth rates, discount rates, and terminal growth rates. Management is required to use judgment in estimating the recoverable amount of the CGUs or groups of CGUs, and the use of different assumptions and estimates in the calculations could influence the determination of the existence of impairment and the valuation of goodwill. Management believes that the assumptions and estimates used are reasonable and supportable. Where possible, assumptions generated internally are compared to relevant market information. The carrying amounts of the Bank's CGUs or groups of CGUs are determined by management using risk-based capital models to adjust net assets and liabilities by CGU. These models consider various factors including market risk, credit risk, and operational risk, including investment capital (comprised of goodwill and other intangibles). Any capital not directly attributable to the CGUs is held within the Corporate segment. The Bank's capital oversight committees provide oversight to the Bank's capital allocation methodologies.

EMPLOYEE BENEFITS

The projected benefit obligation and expense related to the Bank's pension and post-retirement defined benefit plans are determined using multiple assumptions that may significantly influence the value of these amounts. Actuarial assumptions including discount rates, compensation increases, health care cost trend rates, and mortality rates are management's best estimates and are reviewed annually with the Bank's actuaries. The Bank develops each assumption using relevant historical experience of the Bank in conjunction with market-related data and considers if the market-related data indicates there is any prolonged or significant impact on the assumptions. The discount rate used to value the projected benefit obligation is determined by reference to market yields on high-quality corporate bonds with terms matching the plans' specific cash flows. The other assumptions are also long-term estimates. All assumptions are subject to a degree of uncertainty. Differences between actual experiences and the assumptions, as well as changes in the assumptions resulting from changes in future expectations, result in remeasurement gains and losses which are recognized in other comprehensive income (OCI) during the year and also impact expenses in future periods.

INCOME TAXES

The Bank is subject to taxation in numerous jurisdictions. There are many transactions and calculations in the ordinary course of business for which the ultimate tax determination is uncertain. The Bank maintains provisions for uncertain tax positions that it believes appropriately reflect the risk of tax positions under discussion, audit, dispute, or appeal with tax authorities, or which are otherwise considered to involve uncertainty. These provisions are made using the Bank's best estimate of the amount expected to be paid based on an assessment of all relevant factors, which are reviewed at the end of each reporting period. However, it is possible that at some future date, changes in these liabilities could result from audits by the relevant taxing authorities.

Deferred tax assets are recognized only when it is probable that sufficient taxable profit will be available in future periods against which deductible temporary differences may be utilized. The amount of the deferred tax asset recognized and considered realizable could, however, be reduced if projected income is not achieved due to various factors, such as unfavourable business conditions. If projected income is not expected to be achieved, the Bank would decrease its deferred tax assets to the amount that it believes can be realized. The magnitude of the decrease is significantly influenced by the Bank's forecast of future profit generation, which determines the extent to which it will be able to utilize the deferred tax assets.

PROVISIONS

Provisions arise when there is some uncertainty in the timing or amount of a loss in the future. Provisions are based on the Bank's best estimate of all expenditures required to settle its present obligations, considering all relevant risks and uncertainties, as well as, when material, the effect of the time value of money.

Many of the Bank's provisions relate to various legal and regulatory actions that the Bank is involved in during the ordinary course of business. Legal and regulatory provisions require the involvement of both the Bank's management and legal counsel when assessing the probability of a loss and estimating any monetary impact. Throughout the life of a provision, the Bank's management or legal counsel may learn of additional information that may impact its assessments about the probability of loss or about the estimates of amounts involved. Changes in these assessments may lead to changes in the amount recorded for provisions. In addition, the actual costs of resolving these claims may be substantially higher or lower than the amounts recognized. The Bank reviews its legal and regulatory provisions on a case-by-case basis after considering, among other factors, the progress of each case, the Bank's experience, the experience of others in similar cases, and the opinions and views of legal counsel.

Certain of the Bank's provisions relate to restructuring initiatives initiated by the Bank. Restructuring provisions require management's best estimate, including forecasts of economic conditions. Throughout the life of a provision, the Bank may become aware of additional information that may impact the assessment of amounts to be incurred. Changes in these assessments may lead to changes in the amount recorded for restructuring provisions.

INSURANCE

The assumptions used in establishing the Bank's insurance contract liabilities are based on best estimates of possible outcomes.

For property and casualty insurance contracts, the ultimate cost of LIC is estimated using a range of standard actuarial claims projection techniques by the appointed actuary in accordance with Canadian accepted actuarial practices. Additional qualitative judgment is used to assess the extent to which past trends may or may not apply in the future, in order to arrive at the estimated ultimate claims cost amounts that present the most likely outcome taking into account all the uncertainties involved.

For life and health insurance contracts, insurance contract liabilities consider all future policy cash flows, including premiums, claims, and expenses required to administer the policies. Critical assumptions used in the measurement of life and health insurance contract liabilities are determined by the appointed actuary.

Further information on insurance risk assumptions is provided in Note 20.

CONSOLIDATION OF STRUCTURED ENTITIES

Management judgment is required when assessing whether the Bank should consolidate an entity. For instance, it may not be feasible to determine if the Bank controls an entity solely through an assessment of voting rights for certain structured entities. In these cases, judgment is required to establish whether the Bank has decision-making power over the key relevant activities of the entity and whether the Bank has the ability to use that power to absorb significant variable returns from the entity. If it is determined that the Bank has both decision-making power and significant variable returns from the entity, judgment is also used to determine whether any such power is exercised by the Bank as principal, on its own behalf, or as agent, on behalf of another counterparty.

Assessing whether the Bank has decision-making power includes understanding the purpose and design of the entity in order to determine its key economic activities. In this context, an entity's key economic activities are those which predominantly impact the economic performance of the entity. When the Bank has the current ability to direct the entity's key economic activities, it is considered to have decision-making power over the entity.

The Bank also evaluates its exposure to the variable returns of a structured entity in order to determine if it absorbs a significant proportion of the variable returns the entity is designed to create. As part of this evaluation, the Bank considers the purpose and design of the entity in order to determine whether it absorbs variable returns from the structured entity through its contractual holdings, which may take the form of securities issued by the entity, derivatives with the entity, or other arrangements such as guarantees, liquidity facilities, or lending commitments.

If the Bank has decision-making power over the entity and absorbs significant variable returns from the entity, it then determines if it is acting as principal or agent when exercising its decision-making power. Key factors considered include the scope of its decision-making power; the rights of other parties involved with the entity, including any rights to remove the Bank as decision-maker or rights to participate in key decisions; whether the rights of other parties are exercisable in practice; and the variable returns absorbed by the Bank and by other parties involved with the entity. When assessing consolidation, a presumption exists that the Bank exercises decision-making power as principal if it is also exposed to significant variable returns, unless an analysis of the factors above indicates otherwise.

The decisions above are made with reference to the specific facts and circumstances relevant for the structured entity and related transaction(s) under consideration.

REVENUE FROM CONTRACTS WITH CUSTOMERS

The Bank applies judgment to determine the timing of satisfaction of performance obligations which affects the timing of revenue recognition, by evaluating the pattern in which the Bank transfers control of services promised to the customer. A performance obligation is satisfied over time when the customer simultaneously receives and consumes the benefits as the Bank performs the service. For performance obligations satisfied over time, revenue is generally recognized using the time-elapsed method which is based on time elapsed in proportion to the period over which the service is provided, for example, personal deposit account bundle fees. The time-elapsed method is a faithful depiction of the transfer of control for these services as control is transferred evenly to the customer when the Bank provides a stand-ready service or effort is expended evenly by the Bank to provide a service over the contract period. In contracts where the Bank has a right to consideration from a customer in an amount that corresponds directly with the value to the customer of the Bank's performance completed to date, the Bank recognizes revenue in the amount to which it has a right to invoice.

The Bank satisfies a performance obligation at a point in time if the customer obtains control of the promised services at that date. Determining when control is transferred requires the use of judgment. For transaction-based services, the Bank determines that control is transferred to the customer at a point in time when the customer obtains substantially all of the benefits from the service rendered and the Bank has a present right to payment, which generally coincides with the moment the transaction is executed.

The Bank exercises judgment in determining whether costs incurred in connection with acquiring new revenue contracts would meet the requirement to be capitalized as incremental costs to obtain or fulfil a contract with customers.

NOTE 4 CURRENT AND FUTURE CHANGES IN ACCOUNTING POLICIES

CURRENT CHANGES IN ACCOUNTING POLICIES

There were no new accounting policies adopted by the Bank for the fiscal year ended October 31, 2025.

FUTURE CHANGES IN ACCOUNTING POLICIES

The following standard and amendments have been issued but are not yet effective on the date of issuance of the Bank's Consolidated Financial Statements.

Presentation and Disclosure in Financial Statements

In April 2024, the IASB issued IFRS 18, *Presentation and Disclosure in Financial Statements* (IFRS 18), which replaces the guidance in IAS 1, *Presentation of Financial Statements* and sets out requirements for presentation and disclosure of information, focusing on providing relevant information to users of the financial statements. IFRS 18 introduces changes to the structure of the statement of profit or loss, aggregation and disaggregation of financial information, and management-defined performance measures to be disclosed in the notes to the financial statements. It will be effective for the Bank's annual period beginning November 1, 2027. Early application is permitted. The standard will be applied retrospectively with restatement of comparatives. The Bank is currently assessing the impact of adopting this standard.

Amendments to the Classification and Measurement of Financial Instruments

In May 2024, the IASB issued *Amendments to the Classification and Measurement of Financial Instruments*, which amended IFRS 9 and IFRS 7. The amendments address matters identified during the post-implementation review of the classification and measurement requirements of IFRS 9. The amendments clarify how to assess the contractual cash flow characteristics of financial assets that include environmental, social, and governance linked features and other similar contingent features. The amendments also clarify the treatment of non-recourse assets and contractually linked instruments. Furthermore, the amendments clarify that a financial liability is derecognized on the settlement date and provide an accounting policy choice to derecognize a financial liability settled using an electronic payment system before the settlement date if certain conditions are met. Finally, the amendments introduce additional disclosure requirements for financial instruments with contingent features and equity instruments classified at FVOCI.

The amendments will be effective for the Bank's annual period beginning November 1, 2026. Early adoption is permitted, with an option to early adopt the amendments related to the classification of financial assets and associated disclosures only. The Bank is required to apply the amendments retrospectively, but is not required to restate prior periods. The Bank is currently assessing the impact of adopting these amendments.

Certain assets and liabilities, primarily financial instruments, are carried on the balance sheet at their fair value on a recurring basis. These financial instruments include trading loans and securities, non-trading financial assets at FVTPL, financial assets and liabilities designated at FVTPL, financial assets at FVOCI, derivatives, certain securities purchased under reverse repurchase agreements, trading deposits, securitization liabilities at fair value, obligations related to securities sold short, and certain obligations related to securities sold under repurchase agreements. All other financial assets and financial liabilities are carried at amortized cost.

(a) VALUATION GOVERNANCE

Valuation processes are guided by policies and procedures that are approved by senior management and subject matter experts. Senior Executive oversight over the valuation process is provided through various valuation committees. Further, the Bank has a number of additional controls in place, including an independent price verification process to ensure the accuracy of fair value measurements reported in the financial statements. The sources used for independent pricing comply with the standards set out in the approved valuation-related policies, which include consideration of the reliability, relevancy, and timeliness of data.

(b) METHODS AND ASSUMPTIONS

The Bank calculates fair value for measurement and disclosure purposes based on the following methods of valuation and assumptions:

Government and Government-Related Securities

The fair value of Canadian government debt securities is determined by quoted prices in active markets, reference to recent transaction prices, or third-party vendor prices. In cases where external and independent prices are not readily available, alternate techniques based on the risk metrics and unique characteristics of the security are utilized.

The fair value of Canadian residential mortgage-backed securities (MBS) is based on third-party vendor prices, reference to recent transaction prices, or valuation techniques that utilize observable inputs such as benchmark government bond prices, government bond yield curves, quoted yield spreads and prepayment rate assumptions related to the underlying collateral.

The fair value of U.S. government and agency debt securities is determined by reference to recent transaction prices, broker quotes, or third-party vendor prices. For U.S. agency MBS pricing, brokers or third-party vendors may use a pool-specific valuation model to value these securities, using observable market inputs.

The fair value of other Organisation for Economic Co-operation and Development (OECD) government-guaranteed debt is based on broker quotes and third-party vendor prices, or where external and independent prices are not readily available, alternate techniques based on the risk metrics and unique characteristics of the security are utilized.

Other Debt Securities

The fair value of corporate and other debt securities is based on broker quotes, third-party vendor prices, or alternate techniques utilizing the risk metrics and unique characteristics of the security. Asset-backed securities are primarily fair valued using third-party vendor prices, including those generated by issue-specific valuation models using observable market inputs.

Equity Securities

The fair value of equity securities is based on quoted prices in active markets, where available. Where quoted prices in active markets are not readily available, such as for private equity securities, or where there is a wide bid-ask spread, fair value is determined based on quoted market prices for similar securities or through valuation techniques, including discounted cash flow analysis, multiples of earnings before taxes, depreciation and amortization, and other relevant valuation techniques.

If there are trading restrictions on the equity security held, a valuation adjustment is recognized against available prices to reflect the nature of the restriction. However, restrictions that are not part of the security held and represent a separate contractual arrangement that has been entered into by the Bank and a third party do not impact the fair value of the original instrument.

The cost of Federal Reserve stock and Federal Home Loan Bank (FHLB) stock approximates fair value.

Retained Interests

Retained interests are classified as trading securities and are initially recognized at their relative fair market value. Subsequently, the fair value of retained interests recognized by the Bank is determined by estimating the present value of future expected cash flows. Differences between the actual cash flows and the Bank's estimate of future cash flows are recognized in income. These assumptions are subject to periodic review and may change due to significant changes in the economic environment.

Loans

The estimated fair value of loans carried at amortized cost reflects changes in market price that have occurred since the loans were originated or purchased. Estimated fair value is determined by discounting the expected future cash flows related to these loans at current market interest rates for loans with similar credit risks. Changes in interest rates have minimal impact on the fair value of floating-rate loans since they reprice to the market frequently, and therefore their carrying value approximates their fair value. The fair value of loans is not adjusted for the value of any credit protection the Bank has purchased to mitigate credit risk.

The fair value of loans carried at FVTPL, which includes trading loans and non-trading loans at FVTPL, is determined using observable market prices, where available. Where the Bank is a market maker for loans traded in the secondary market, fair value is determined using executed prices, or prices for comparable trades. For those loans where the Bank is not a market maker, the Bank obtains broker quotes from other reputable dealers, or uses valuation techniques to determine fair value.

The fair value of loans carried at FVOCI is assumed to approximate amortized cost as they are generally floating rate performing loans that are short term in nature.

Commodities

The fair value of commodities is based on quoted prices in active markets, where available. The Bank also transacts commodity derivative contracts which can be traded on an exchange or in OTC markets.

Derivative Financial Instruments

The fair value of exchange-traded derivative financial instruments is based on quoted market prices. The fair value of OTC derivative financial instruments is estimated using well established valuation techniques, such as discounted cash flow techniques, the Black-Scholes model, and Monte Carlo simulation. The valuation models incorporate inputs that are observable in the market or can be derived from observable market data.

Prices derived by using models are recognized net of valuation adjustments. The inputs used in the valuation models depend on the type of derivative and the nature of the underlying instrument and are specific to the instrument being valued. Inputs can include, but are not limited to, interest rate yield curves, foreign exchange rates, dividend yield projections, commodity spot and forward prices, recovery rates, volatilities, spot prices, and correlation.

A credit valuation adjustment (CVA) is recognized against the model value of OTC derivatives to account for the uncertainty that the counterparty in a derivative transaction may not be able to fulfil its obligations under the transaction to the Bank. In determining CVA, the Bank takes into account master netting agreements and collateral, and considers the creditworthiness of the counterparty, using market observed or proxy credit spreads, in assessing potential future amounts owed to the Bank.

The fair value of a derivative is partly a function of collateralization. The Bank uses relevant overnight borrowing curves to discount the cash flows for collateralized derivatives as most collateral is posted in cash and can be funded at the overnight rate.

A funding valuation adjustment (FVA) is recognized against the model value of OTC derivatives to recognize the market implied unsecured funding costs and benefits considered in the pricing and fair value determination. Some of the key drivers of FVA include the market implied funding spread and the expected average exposure by counterparty.

The Bank will continue to monitor industry practice on valuation adjustments and may refine the methodology as market practices evolve.

Deposits

The estimated fair value of term deposits is determined by discounting the expected future cash flows using interest rates currently offered for deposits with similar terms.

For deposits with no defined maturities, the Bank considers fair value to equal carrying value, which is equivalent to the amount payable on the balance sheet date.

For trading deposits and deposits designated at FVTPL, which is included in financial liabilities designated at FVTPL, fair value is determined using discounted cash flow valuation techniques which maximize the use of observable market inputs such as benchmark yield curves and foreign exchange rates. The Bank considers the impact of its own creditworthiness in the valuation of these deposits by reference to observable market inputs.

Securitization Liabilities

The fair value of securitization liabilities is based on quoted market prices or quoted market prices for similar financial instruments, where available. Where quoted prices are not available, fair value is determined using valuation techniques, which maximize the use of observable inputs, such as Canada Mortgage Bond (CMB) curves and MBS curves.

Obligations Related to Securities Sold Short

The fair value of these obligations is based on the fair value of the underlying securities, which can include equity or debt securities. As these obligations are fully collateralized, the method used to determine fair value would be the same as that of the relevant underlying equity or debt securities.

Securities Purchased Under Reverse Repurchase Agreements and Obligations Related to Securities Sold Under Repurchase Agreements

Commodities and certain bonds and equities purchased or sold with an agreement to sell or repurchase them at a later date at a fixed price are carried at fair value. The fair value of these agreements is based on valuation techniques such as discounted cash flow models which maximize the use of observable market inputs such as interest rate swap curves and commodity forward prices.

Subordinated Notes and Debentures

The fair value of subordinated notes and debentures are based on quoted market prices.

Portfolio Exception

IFRS 13, *Fair Value Measurement* provides a measurement exception that allows an entity to determine the fair value of a group of financial assets and liabilities with offsetting risks based on the sale or transfer of its net exposure to a particular risk or risks. The Bank manages certain financial assets and financial liabilities, such as derivative assets and derivative liabilities, on the basis of net exposure to a particular risk, or risks; and uses mid-market prices as a basis for establishing fair values for the offsetting risk positions and applies the most representative price within the bid-ask spread to the net open position, as appropriate. Refer to Note 2 for further details on the use of the portfolio exception to establish fair value.

(c) FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES NOT CARRIED AT FAIR VALUE

The carrying value and fair value of financial assets and liabilities not carried at fair value are disclosed in the table below. For these instruments, fair values are calculated for disclosure purposes only, using the valuation techniques used by the Bank. In addition, the Bank has determined that the carrying value of certain financial assets and liabilities approximates their fair value, which include: cash and due from banks, interest-bearing deposits with banks, amounts receivable from brokers, dealers, and clients, other assets, amounts payable to brokers, dealers, and clients, and other liabilities. Substantially all securities purchased under reverse repurchase agreements and obligations related to securities sold under repurchase agreements are measured at amortized cost where the carrying value approximates their fair value.

Financial Assets and Liabilities not carried at Fair Value¹

(millions of Canadian dollars)

	October 31, 2025		October 31, 2024	
	Carrying value	Fair value	Carrying value	Fair value
FINANCIAL ASSETS				
Debt securities at amortized cost, net of allowance for credit losses				
Government and government-related securities	\$ 183,593	\$ 182,478	\$ 206,815	\$ 202,667
Other debt securities	56,846	56,679	64,800	63,509
Total debt securities at amortized cost, net of allowance for credit losses	240,439	239,157	271,615	266,176
Total loans, net of allowance for loan losses	953,012	956,424	949,549	949,227
Total financial assets not carried at fair value	\$ 1,193,451	\$ 1,195,581	\$ 1,221,164	\$ 1,215,403
FINANCIAL LIABILITIES				
Deposits	\$ 1,267,104	\$ 1,267,466	\$ 1,268,680	\$ 1,266,562
Securitization liabilities at amortized cost	14,841	14,805	12,365	12,123
Subordinated notes and debentures	10,733	10,929	11,473	11,628
Total financial liabilities not carried at fair value	\$ 1,292,678	\$ 1,293,200	\$ 1,292,518	\$ 1,290,313

¹ This table excludes financial assets and liabilities where the carrying value approximates their fair value.

(d) FAIR VALUE HIERARCHY

IFRS requires disclosure of a three-level hierarchy for fair value measurements based upon the observability of inputs to the valuation of an asset or liability as of the measurement date. The three levels are defined as follows:

Level 1: Fair value is based on quoted market prices for identical assets or liabilities that are traded in an active exchange market or highly liquid and actively traded in OTC markets.

Level 2: Fair value is based on observable inputs other than Level 1 prices, such as quoted market prices for similar (but not identical) assets or liabilities in active markets, quoted market prices for identical assets or liabilities in markets that are not active, and other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities. Level 2 assets and liabilities include debt securities with quoted prices that are traded less frequently than exchange-traded instruments and derivative contracts

whose value is determined using valuation techniques with inputs that are observable in the market or can be derived principally from or corroborated by observable market data.

Level 3: Fair value is based on non-observable inputs that are supported by little or no market activity and that are significant to the fair value of the assets or liabilities. Financial instruments classified within Level 3 of the fair value hierarchy are initially recognized at their transaction price, which is considered the best estimate of fair value. After initial measurement, the fair value of Level 3 assets and liabilities is determined using valuation models, discounted cash flow methodologies, or similar techniques.

Fair Value Hierarchy for Assets and Liabilities not carried at Fair Value

The following table presents the levels within the fair value hierarchy for each of the financial assets and liabilities not carried at fair value as at October 31, 2025 and October 31, 2024, but for which fair value is disclosed.

Fair Value Hierarchy for Assets and Liabilities not carried at Fair Value¹

(millions of Canadian dollars)

	October 31, 2025				October 31, 2024			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
ASSETS								
Debt securities at amortized cost, net of allowance for credit losses								
Government and government-related securities	\$ –	\$ 182,478	\$ –	\$ 182,478	\$ –	\$ 202,667	\$ –	\$ 202,667
Other debt securities	–	56,679	–	56,679	–	63,509	–	63,509
Total debt securities at amortized cost, net of allowance for credit losses	–	239,157	–	239,157	–	266,176	–	266,176
Total loans, net of allowance for loan losses	–	280,842	675,582	956,424	–	285,070	664,157	949,227
Total assets with fair value disclosures	\$ –	\$ 519,999	\$ 675,582	\$ 1,195,581	\$ –	\$ 551,246	\$ 664,157	\$ 1,215,403
LIABILITIES								
Deposits	\$ –	\$ 1,267,466	\$ –	\$ 1,267,466	\$ –	\$ 1,266,562	\$ –	\$ 1,266,562
Securitization liabilities at amortized cost	–	14,805	–	14,805	–	12,123	–	12,123
Subordinated notes and debentures	–	10,929	–	10,929	–	11,628	–	11,628
Total liabilities with fair value disclosures	\$ –	\$ 1,293,200	\$ –	\$ 1,293,200	\$ –	\$ 1,290,313	\$ –	\$ 1,290,313

¹ This table excludes financial assets and liabilities where the carrying value approximates their fair value.

The following table presents the levels within the fair value hierarchy for each of the assets and liabilities measured at fair value on a recurring basis as at October 31, 2025 and October 31, 2024.

Fair Value Hierarchy for Assets and Liabilities Measured at Fair Value on a Recurring Basis

	As at							
	October 31, 2025				October 31, 2024			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
FINANCIAL ASSETS AND COMMODITIES								
Trading loans, securities, and other¹								
Government and government-related securities								
Canadian government debt								
Federal	\$ 4,892	\$ 3,875	\$ –	\$ 8,767	\$ 691	\$ 9,551	\$ –	\$ 10,242
Provinces	–	4,537	–	4,537	–	6,398	–	6,398
U.S. federal, state, municipal governments, and agencies debt	2,973	20,811	–	23,784	–	18,861	–	18,861
Other OECD government-guaranteed debt	283	5,818	–	6,101	–	9,722	–	9,722
Mortgage-backed securities	–	768	–	768	–	1,352	–	1,352
Other debt securities								
Canadian issuers	–	6,695	67	6,762	–	6,611	12	6,623
Other issuers	–	16,508	–	16,508	–	15,845	14	15,859
Equity securities	87,713	171	25	87,909	68,682	34	12	68,728
Trading loans	–	30,032	–	30,032	–	23,518	–	23,518
Commodities	33,446	1,521	–	34,967	13,504	962	–	14,466
Retained interests	–	1	–	1	–	1	–	1
	129,307	90,737	92	220,136	82,877	92,855	38	175,770
Non-trading financial assets at fair value through profit or loss								
Securities	465	5,019	1,567	7,051	391	1,188	1,233	2,812
Loans	–	344	–	344	–	3,057	–	3,057
	465	5,363	1,567	7,395	391	4,245	1,233	5,869
Derivatives								
Interest rate contracts	6	10,990	8	11,004	2	15,440	–	15,442
Foreign exchange contracts	30	53,576	3	53,609	47	51,001	13	51,061
Credit contracts	–	44	–	44	–	6	–	6
Equity contracts	162	12,534	–	12,696	64	6,167	–	6,231
Commodity and other contracts	752	4,867	–	5,619	548	4,756	17	5,321
	950	82,011	11	82,972	661	77,370	30	78,061
Financial assets designated at fair value through profit or loss								
Securities ¹	–	6,986	–	6,986	–	6,417	–	6,417
	–	6,986	–	6,986	–	6,417	–	6,417
Financial assets at fair value through other comprehensive income								
Government and government-related securities								
Canadian government debt								
Federal	100	15,791	–	15,891	–	18,139	–	18,139
Provinces	–	21,080	–	21,080	–	21,270	–	21,270
U.S. federal, state, municipal governments, and agencies debt	851	53,641	–	54,492	–	35,197	–	35,197
Other OECD government-guaranteed debt	–	7,875	–	7,875	–	1,679	–	1,679
Mortgage-backed securities	–	1,896	–	1,896	–	2,137	–	2,137
Other debt securities								
Asset-backed securities	–	8,709	–	8,709	–	1,384	–	1,384
Corporate and other debt	–	13,091	–	13,091	–	9,439	7	9,446
Equity securities	1,136	–	1,911	3,047	1,058	2	3,355	4,415
Loans	–	288	–	288	–	230	–	230
	2,087	122,371	1,911	126,369	1,058	89,477	3,362	93,897
Securities purchased under reverse repurchase agreements								
	–	7,574	–	7,574	–	10,488	–	10,488

¹ Balances reflect the reduction of securities owned (long positions) by the amount of identical securities sold but not yet purchased (short positions).

Fair Value Hierarchy for Assets and Liabilities Measured at Fair Value on a Recurring Basis (continued)

(millions of Canadian dollars)

	October 31, 2025				October 31, 2024			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
FINANCIAL LIABILITIES								
Trading deposits	\$ –	\$ 37,609	\$ 273	\$ 37,882	\$ –	\$ 29,907	\$ 505	\$ 30,412
Derivatives								
Interest rate contracts	6	9,572	76	9,654	3	13,283	158	13,444
Foreign exchange contracts	24	42,496	5	42,525	30	40,936	12	40,978
Credit contracts	–	440	–	440	–	403	–	403
Equity contracts	–	19,528	155	19,683	–	7,974	24	7,998
Commodity and other contracts	806	6,193	55	7,054	673	4,845	27	5,545
	836	78,229	291	79,356	706	67,441	221	68,368
Securitization liabilities at fair value	–	25,283	–	25,283	–	20,319	–	20,319
Financial liabilities designated at fair value through profit or loss	–	197,633	2	197,635	–	207,890	24	207,914
Obligations related to securities sold short¹	15,342	28,453	–	43,795	1,783	37,732	–	39,515
Obligations related to securities sold under repurchase agreements	–	11,557	–	11,557	–	9,736	–	9,736

¹ Balances reflect the reduction of securities owned (long positions) by the amount of identical securities sold but not yet purchased (short positions).

(e) TRANSFERS BETWEEN FAIR VALUE HIERARCHY LEVELS FOR ASSETS AND LIABILITIES MEASURED AT FAIR VALUE ON A RECURRING BASIS

The Bank's policy is to record transfers of assets and liabilities between the different levels of the fair value hierarchy using the fair values as at the end of each reporting period. Assets and liabilities are transferred between Level 1 and Level 2 depending on whether there is sufficient frequency and volume in an active market.

During the year ended October 31, 2025, the Bank transferred \$810 million of trading loans, securities, and other, and \$561 million of obligations related to securities sold short from Level 2 to Level 1. During the year ended October 31, 2025, there were no significant transfers from Level 1 to Level 2. There were no significant transfers between Level 1 and Level 2 during the year ended October 31, 2024.

Movements of Level 3 instruments

Significant transfers into and out of Level 3 occur mainly due to the following reasons:

- Transfers from Level 3 to Level 2 occur when techniques used for valuing the instrument incorporate significant observable market inputs or broker-dealer quotes which were previously not observable.
- Transfers from Level 2 to Level 3 occur when an instrument's fair value, which was previously determined using valuation techniques with significant observable market inputs, is now determined using valuation techniques with significant unobservable inputs.

Due to the unobservable nature of the inputs used to value Level 3 financial instruments, there may be uncertainty about the valuation of these instruments. The fair value of Level 3 instruments may be drawn from a range of reasonably possible alternatives. In determining the appropriate levels for these unobservable inputs, parameters are chosen so that they are consistent with prevailing market evidence and management judgment.

There were no significant transfers between Level 2 and Level 3 during the years ended October 31, 2025 and October 31, 2024.

There were no other significant changes to the unobservable inputs and sensitivities for assets and liabilities classified as Level 3 during the years ended October 31, 2025 and October 31, 2024.

(f) RECONCILIATION OF CHANGES IN FAIR VALUE FOR LEVEL 3 ASSETS AND LIABILITIES

The following tables set out changes in fair value of all assets and liabilities measured at fair value using significant Level 3 unobservable inputs for the years ended October 31, 2025 and October 31, 2024.

Reconciliation of Changes in Fair Value for Level 3 Assets and Liabilities

(millions of Canadian dollars)

	Fair value as at November 1 2024	Total realized and unrealized gains (losses)		Movements ¹		Transfers		Fair value as at October 31 2025	Change in unrealized gains (losses) on instruments still held ⁵
		Included in income ²	Included in OCI ^{3,4}	Purchases/ Issuances	Sales/ Settlements	Into Level 3	Out of Level 3		
FINANCIAL ASSETS									
Trading loans, securities, and other									
Government and government-related securities	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –
Other debt securities	26	(1)	–	–	(26)	70	(2)	67	(2)
Equity securities	12	1	–	21	(9)	–	–	25	–
	38	–	–	21	(35)	70	(2)	92	(2)
Non-trading financial assets at fair value through profit or loss									
Securities	1,233	33	–	385	(74)	–	(10)	1,567	(5)
	1,233	33	–	385	(74)	–	(10)	1,567	(5)
Financial assets at fair value through other comprehensive income									
Other debt securities	7	–	–	–	(7)	–	–	–	–
Equity securities	3,355	3	15	13	(1,472)	–	(3)	1,911	13
	\$ 3,362	\$ 3	\$ 15	\$ 13	\$ (1,479)	\$ –	\$ (3)	\$ 1,911	\$ 13
FINANCIAL LIABILITIES									
Trading deposits⁶	\$ (505)	\$ 33	\$ –	\$ (191)	\$ 350	\$ –	\$ 40	\$ (273)	\$ 32
Derivatives⁷									
Interest rate contracts	(158)	80	–	–	10	–	–	(68)	83
Foreign exchange contracts	1	(18)	–	–	4	8	3	(2)	(3)
Equity contracts	(24)	(108)	–	–	(24)	(2)	3	(155)	(108)
Commodity and other contracts	(10)	(45)	–	–	–	–	–	(55)	(48)
	(191)	(91)	–	–	(10)	6	6	(280)	(76)
Financial liabilities designated at fair value through profit or loss	(24)	10	–	(24)	36	–	–	(2)	1

¹ Includes foreign exchange.

² Gains/losses on financial assets and liabilities are recognized within Non-interest income on the Consolidated Statement of Income.

³ Other comprehensive income.

⁴ Includes realized gains/losses transferred to retained earnings on disposal of equities designated at FVOCI. Refer to Note 7 for further details.

⁵ Changes in unrealized gains/losses on financial assets at FVOCI are recognized in AOCI.

⁶ Issuances and repurchases of trading deposits are reported on a gross basis.

⁷ Consists of derivative assets of \$11 million (October 31, 2024/November 1, 2024 – \$30 million; November 1, 2023 – \$22 million) and derivative liabilities of \$291 million (October 31, 2024/November 1, 2024 – \$221 million; November 1, 2023 – \$176 million), which have been netted in this table for presentation purposes only.

Reconciliation of Changes in Fair Value for Level 3 Assets and Liabilities (continued)

	Fair value as at November 1 2023	Total realized and unrealized gains (losses)		Movements ¹		Transfers		Fair value as at October 31 2024	Change in unrealized gains (losses) on instruments still held ⁵
		Included in income ²	Included in OCI ^{3,4}	Purchases/ Issuances	Sales/ Settlements	Into Level 3	Out of Level 3		
FINANCIAL ASSETS									
Trading loans, securities, and other									
Government and government-related securities	\$ 67	\$ –	\$ –	\$ –	\$ (67)	\$ –	\$ –	\$ –	\$ –
Other debt securities	65	1	–	91	(88)	33	(76)	26	–
Equity securities	10	(1)	–	11	(8)	–	–	12	–
	142	–	–	102	(163)	33	(76)	38	–
Non-trading financial assets at fair value through profit or loss									
Securities	980	98	–	232	(76)	–	(1)	1,233	80
	980	98	–	232	(76)	–	(1)	1,233	80
Financial assets at fair value through other comprehensive income									
Other debt securities	27	–	(3)	3	(20)	–	–	7	–
Equity securities	2,377	–	(7)	1,171	(205)	19	–	3,355	3
	\$ 2,404	\$ –	\$ (10)	\$ 1,174	\$ (225)	\$ 19	\$ –	\$ 3,362	\$ 3
FINANCIAL LIABILITIES									
Trading deposits ⁶	\$ (985)	\$ (13)	\$ –	\$ (122)	\$ 540	\$ –	\$ 75	\$ (505)	\$ (6)
Derivatives ⁷									
Interest rate contracts	(126)	(70)	–	–	38	–	–	(158)	(34)
Foreign exchange contracts	(6)	14	–	–	2	(14)	5	1	4
Equity contracts	(21)	(5)	–	–	(2)	3	1	(24)	(6)
Commodity and other contracts	(1)	(5)	–	–	(4)	–	–	(10)	(9)
	(154)	(66)	–	–	34	(11)	6	(191)	(45)
Financial liabilities designated at fair value through profit or loss	(22)	127	–	(260)	131	–	–	(24)	127

¹ Includes foreign exchange.

² Gains/losses on financial assets and liabilities are recognized within Non-interest income on the Consolidated Statement of Income.

³ Other comprehensive income.

⁴ Includes realized gains/losses transferred to retained earnings on disposal of equities designated at FVOCI. Refer to Note 7 for further details.

⁵ Changes in unrealized gains/losses on financial assets at FVOCI are recognized in AOCI.

⁶ Issuances and repurchases of trading deposits are reported on a gross basis.

⁷ Consists of derivative assets of \$11 million (October 31, 2024/November 1, 2024 – \$30 million; November 1, 2023 – \$22 million) and derivative liabilities of \$291 million (October 31, 2024/November 1, 2024 – \$221 million; November 1, 2023 – \$176 million), which have been netted in this table for presentation purposes only.

(g) VALUATION OF ASSETS AND LIABILITIES CLASSIFIED AS LEVEL 3
Significant unobservable inputs in Level 3 positions

The following section discusses the significant unobservable inputs for Level 3 positions and assesses the potential effect that a change in each unobservable input may have on the fair value measurement.

Price Equivalent

Certain financial instruments, mainly debt and equity securities, are valued using price equivalents when market prices are not available, with fair value measured by comparison with observable pricing data from instruments with similar characteristics. For debt securities, the price equivalent is expressed in 'basis points', and represents a percentage of the par amount. For equity securities, the price equivalent is based on a percentage of a proxy price. There may be wide ranges depending on the liquidity of the securities. New issuances of debt and equity securities are priced at 100% of the issue price.

Correlation

The movements of inputs are not necessarily independent from other inputs. Such relationships, where material to the fair value of a given instrument, are captured via correlation inputs into the pricing models. The Bank includes correlation between the asset class, as well as across asset classes. For example, price correlation is the relationship between prices of equity securities in equity basket derivatives, and quanto correlation is the relationship between instruments which settle in one currency and the underlying securities which are denominated in another currency.

Implied Volatility

Implied volatility is the value of the volatility of the underlying instrument which, when input in an option pricing model, such as Black-Scholes, will return a theoretical value equal to the current market price of the option. Implied volatility is a forward-looking and subjective measure, and differs from historical volatility because the latter is calculated from known past returns of a security.

Funding Ratio

The funding ratio is a significant unobservable input required to value loan commitments issued by the Bank. The funding ratio represents an estimate of the percentage of commitments that are ultimately funded by the Bank. The funding ratio is based on a number of factors such as observed historical funding percentages within the various lending channels and the future economic outlook, considering factors including, but not limited to, competitive pricing and fixed/variable mortgage rate gap. An increase/decrease in the funding ratio will increase/decrease loan commitment liability values in relationship to prevailing interest rates.

Earnings Multiple, Discount Rate, and Liquidity Discount

Earnings multiple, discount rate, and liquidity discount are significant inputs used when valuing certain equity securities. Earnings multiples are selected based on comparable entities and a higher multiple will result in a higher fair value. Discount rates are applied to cash flow forecasts to reflect time value of money and the risks associated with the cash flows. A higher discount rate will result in a lower fair value. Liquidity discounts may be applied as a result of the difference in liquidity between the comparable entity and the equity securities being valued.

Inflation Rate Swap Curve

Inflation rate swap contracts valuation reflects spread between interest rate curves and the inflation rates. The inflation rates are not observable and are determined using proxy inputs such as inflation indices (e.g., Consumer Price Index).

Net Asset Value

The fair value of certain private funds is based on the net asset value determined by the fund managers based on valuation methodologies, as there are no observable prices for these instruments.

Valuation techniques and inputs used in the fair value measurement of Level 3 assets and liabilities

The following table presents the Bank's assets and liabilities recognized at fair value and classified as Level 3, together with the valuation techniques used to measure fair value, the significant inputs used in the valuation technique that are considered unobservable, and a range of values for those unobservable inputs. The range of values represents the highest and lowest inputs used in calculating the fair value.

Valuation Techniques and Inputs Used in the Fair Value Measurement of Level 3 Assets and Liabilities

As at							
			October 31, 2025		October 31, 2024		
	Valuation technique	Significant unobservable inputs (Level 3)	Lower range	Upper range	Lower range	Upper range	Unit
Other debt securities	Market comparable	Bond price equivalent	–	108	–	102	points
Equity securities¹	Market comparable	New issue price	100	100	100	100	%
Non-trading financial assets at fair value through profit or loss	Market comparable	New issue price	100	100	100	100	%
	Discounted cash flow	Discount rates	11	11	9	9	%
	EBITDA multiple	Earnings multiple	n/a²	n/a	–	20.0	times
	Price-based	Net Asset Value³	n/a	n/a	n/a	n/a	
Derivatives							
Interest rate contracts	Discounted cash flow	Inflation rate swap curve	n/a	n/a	2	2	%
	Option model	Funding ratio	n/a	n/a	75	75	%
	Swaption Model	Currency-specific volatility	46	277	56	319	%
Foreign exchange contracts	Option model	Currency-specific volatility	3	26	5	26	%
Equity contracts	Option model	Price correlation	29	81	16	67	%
		Dividend yield	–	8	2	7	%
		Equity volatility	12	111	13	27	%
Commodity and other contracts	Option model	Quanto correlation	(67)	(47)	(67)	(47)	%
	Market comparable	Price equivalent	90	95	n/a	n/a	points
Trading deposits	Swaption model	Currency-specific volatility	46	277	53	319	%
Financial liabilities designated at fair value through profit or loss	Option model	Funding ratio	56	66	2	70	%

¹ Equity securities exclude the fair value of Federal Reserve stock and FHLB stock of \$1.7 billion (October 31, 2024 – \$3.2 billion) which are redeemable by the issuer at cost which approximates fair value. These securities cannot be traded in the market, hence, these securities have not been subjected to the sensitivity analysis.

² Not applicable.

³ Net asset value information for private funds has not been disclosed due to the wide range in prices for these instruments.

The following table summarizes the potential effect of using reasonably possible alternative assumptions for financial assets and financial liabilities held, that are classified in Level 3 of the fair value hierarchy as at October 31, 2025 and October 31, 2024. For trading securities, non-trading securities at FVTPL and equity securities at FVOCI, the sensitivity was calculated based on an upward and downward shock of

the fair value reported. For interest rate derivatives, the Bank performed a sensitivity analysis on the mortgage spreads and unobservable inflation curve. For equity derivatives, the sensitivity was calculated based on an upward and downward shock of fair value. For financial liabilities designated at FVTPL, the sensitivity was calculated based on an upward and downward shock of the funding ratio.

Sensitivity Analysis of Level 3 Financial Assets and Liabilities

(millions of Canadian dollars)

	As at			
	October 31, 2025		October 31, 2024	
	Impact to net assets		Impact to net assets	
	Decrease in fair value	Increase in fair value	Decrease in fair value	Increase in fair value
FINANCIAL ASSETS				
Trading loans, securities, and other				
Securities	\$ 5	\$ 1	\$ 3	\$ 1
Non-trading financial assets at fair value through profit or loss				
Securities	189	63	155	39
Financial assets at fair value through other comprehensive income				
Equity securities	31	11	30	12
FINANCIAL LIABILITIES				
Trading deposits	–	–	–	–
Derivatives				
Interest rate contracts	35	18	28	17
Equity contracts	2	1	1	–
	37	19	29	17
Financial liabilities designated at fair value through profit or loss	–	–	2	4
Total	\$ 262	\$ 94	\$ 219	\$ 73

For the years ended October 31, 2025 and 2024, the aggregate difference yet to be recognized in net income due to the difference between the transaction price and the amount determined using valuation techniques with significant non-observable inputs at initial recognition were immaterial.

(h) FINANCIAL INSTRUMENTS DESIGNATED AT FAIR VALUE

Securities Designated at Fair Value through Profit or Loss

Certain securities supporting insurance contract liabilities within the Bank's insurance underwriting subsidiaries have been designated at FVTPL to eliminate or significantly reduce an accounting mismatch. Insurance contract liabilities are measured using a discount factor and changes in the discount factor are recognized on the Consolidated Statement of Income. The unrealized gains or losses on securities designated at FVTPL are recognized on the Consolidated Statement of Income in the same period as gains or losses resulting from changes to the discount rate used to value the insurance contract liabilities.

In addition, certain debt securities have been designated at FVTPL as they are economically hedged with derivatives and the designation eliminates or significantly reduces an accounting mismatch.

Financial Liabilities Designated at Fair Value through Profit or Loss

Certain deposits have been designated at FVTPL to reduce an accounting mismatch from related economic hedges, and are included in Financial liabilities designated at FVTPL on the Consolidated Balance Sheet. In addition, certain obligations related to securities sold under repurchase agreements have been designated at FVTPL as the instruments are part of a portfolio that is managed on a fair value basis and have been included in Obligations related to securities sold under repurchase agreements on the Consolidated Balance Sheet. The fair value of obligations related to securities sold under repurchase agreements designated at FVTPL was \$8,738 million as at October 31, 2025 (October 31, 2024 – \$9,736 million).

For financial liabilities designated at FVTPL, the estimated amount that the Bank would be contractually required to pay at maturity, which is based on notional amounts, was \$1,708 million less than its fair value as at October 31, 2025 (October 31, 2024 – \$2,744 million).

NOTE 6 OFFSETTING FINANCIAL ASSETS AND FINANCIAL LIABILITIES

The Bank enters into netting agreements with counterparties (such as clearing houses) to manage the credit risks associated primarily with repurchase and reverse repurchase transactions, securities borrowing and lending transactions, and OTC and exchange-traded derivatives. These netting agreements and similar arrangements generally allow the counterparties to set-off liabilities against available assets received. The right to set-off is a legal right to settle or otherwise eliminate all or a portion of an amount due by applying against that amount an amount receivable from the other party. These agreements effectively reduce the Bank's credit exposure by what it would have been if those same counterparties were liable for the gross exposure on the same underlying contracts.

Netting arrangements are typically constituted by a master netting agreement which specifies the general terms of the agreement between the counterparties, including information on the basis of the netting

calculation, types of collateral, and the definition of default and other termination events for transactions executed under the agreement. The master netting agreements contain the terms and conditions by which all (or as many as possible) relevant transactions between the counterparties are governed. Multiple individual transactions are subsumed under this general master netting agreement, forming a single legal contract under which the counterparties conduct their relevant mutual business. In addition to the mitigation of credit risk, placing individual transactions under a single master netting agreement that provides for netting of transactions in scope also helps to mitigate settlement risks associated with transacting in multiple jurisdictions or across multiple contracts. These arrangements include clearing agreements, global master repurchase agreements, and global master securities lending agreements.

In the normal course of business, the Bank enters into contracts to buy and sell goods and services from various suppliers. Some of these contracts may have netting provisions that allow for the offset of various trade payables and receivables in the event of default of one of the parties. While these are not disclosed in the following table, the gross amount of all payables and receivables to and from the Bank's vendors is disclosed in Note 15 in accounts receivable and other items, and in Note 17 in accounts payable, accrued expenses, and other items.

The Bank also enters into regular way purchases and sales of stocks and bonds. Some of these transactions may have netting provisions that allow for the offset of broker payables and broker receivables related to these purchases and sales. While these are not disclosed in the following table, the amount of receivables are presented in amounts receivable from brokers, dealers, and clients, and payables are disclosed in amounts payable to brokers, dealers, and clients.

The following table provides a summary of the financial assets and liabilities which are subject to enforceable master netting agreements and similar arrangements, including amounts not otherwise set-off on the Consolidated Balance Sheet, as well as financial collateral received to mitigate credit exposures for these financial assets and liabilities. The gross financial assets and liabilities are reconciled to net amounts and are presented within the associated line on the Consolidated Balance Sheet, after transactions with the same counterparties have been offset. Related amounts and collateral received that are not offset on the Consolidated Balance Sheet but are otherwise subject to the same enforceable netting agreements and similar arrangements, are then presented to arrive at a net amount.

Offsetting Financial Assets and Financial Liabilities

(millions of Canadian dollars)

As at						
October 31, 2025						
	Gross amounts of recognized financial instruments before balance sheet netting	Gross amounts of recognized financial instruments offset in the Consolidated Balance Sheet	Net amount of financial instruments presented in the Consolidated Balance Sheet	Amounts subject to an enforceable master netting agreement	Collateral	Net Amount
Financial Assets						
Derivatives	\$ 84,781	\$ 1,809	\$ 82,972	\$ 45,857	\$ 15,132	\$ 21,983
Securities purchased under reverse repurchase agreements	266,189	19,111	247,078	21,509	216,312	9,257
Total	350,970	20,920	330,050	67,366	231,444	31,240
Financial Liabilities						
Derivatives	81,165	1,809	79,356	45,857	28,537	4,962
Obligations related to securities sold under repurchase agreements	240,261	19,111	221,150	21,509	198,524	1,117
Total	\$ 321,426	\$ 20,920	\$ 300,506	\$ 67,366	\$ 227,061	\$ 6,079
October 31, 2024						
Financial Assets						
Derivatives	\$ 79,949	\$ 1,888	\$ 78,061	\$ 42,849	\$ 14,214	\$ 20,998
Securities purchased under reverse repurchase agreements	225,475	17,258	208,217	20,904	184,116	3,197
Total	305,424	19,146	286,278	63,753	198,330	24,195
Financial Liabilities						
Derivatives	70,256	1,888	68,368	42,849	19,903	5,616
Obligations related to securities sold under repurchase agreements	219,158	17,258	201,900	20,904	179,318	1,678
Total	\$ 289,414	\$ 19,146	\$ 270,268	\$ 63,753	\$ 199,221	\$ 7,294

¹ Excess collateral as a result of overcollateralization has not been reflected in the table.

² Includes amounts where the contractual set-off rights are subject to uncertainty under the laws of the relevant jurisdiction.

NOTE 7	SECURITIES
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Securities are held by the Bank for both trading and non-trading activities. Trading securities are included in Trading loans, securities, and other on the Consolidated Balance Sheet. Non-trading securities are included in Non-trading financial assets at FVTPL, Financial assets designated at FVTPL, Financial assets at FVOCI, or Debt securities at amortized cost, net of allowance for credit losses on the Consolidated Balance Sheet.

(a) REMAINING TERMS TO MATURITIES OF SECURITIES

The remaining terms to contractual maturities of the securities held by the Bank are shown on the following table.

Securities Maturity Schedule

(millions of Canadian dollars)

							October 31 2025	October 31 2024
	Remaining terms to maturities ¹						Total	Total
	Within 1 year	Over 1 year to 3 years	Over 3 years to 5 years	Over 5 years to 10 years	Over 10 years	With no specific maturity		
Trading securities								
Government and government-related securities								
Canadian government debt								
Federal	\$ 2,508	\$ 917	\$ 1,012	\$ 2,723	\$ 1,607	\$ –	\$ 8,767	\$ 10,242
Provinces	1,184	251	457	972	1,673	–	4,537	6,398
U.S. federal, state, municipal governments, and agencies debt	5,689	3,383	1,943	2,466	10,303	–	23,784	18,861
Other OECD government-guaranteed debt	4,575	652	456	318	100	–	6,101	9,722
Mortgage-backed securities								
Residential	250	248	51	3	–	–	552	1,040
Commercial	11	95	101	9	–	–	216	312
	14,217	5,546	4,020	6,491	13,683	–	43,957	46,575
Other debt securities								
Canadian issuers	598	2,653	1,406	1,474	631	–	6,762	6,623
Other issuers	4,794	6,601	3,243	1,456	293	121	16,508	15,859
	5,392	9,254	4,649	2,930	924	121	23,270	22,482
Equity securities								
Common shares	–	–	–	–	–	87,790	87,790	68,670
Preferred shares	–	–	–	–	–	119	119	58
	–	–	–	–	–	87,909	87,909	68,728
Retained interests								
	–	1	–	–	–	–	1	1
Total trading securities	\$ 19,609	\$ 14,801	\$ 8,669	\$ 9,421	\$ 14,607	\$ 88,030	\$155,137	\$137,786
Non-trading financial assets at fair value through profit or loss								
Government and government-related securities								
U.S. federal, state, municipal governments, and agencies debt	\$ –	\$ –	\$ –	\$ –	\$ 333	\$ –	\$ 333	\$ 271
	–	–	–	–	333	–	333	271
Other debt securities								
Canadian issuers	27	122	110	31	–	689	979	912
Asset-backed securities	–	2,261	778	507	704	–	4,250	414
Other issuers	–	–	–	–	–	117	117	50
	27	2,383	888	538	704	806	5,346	1,376
Equity securities								
Common shares	–	–	–	–	–	1,314	1,314	1,105
Preferred shares	–	–	–	–	–	58	58	60
	–	–	–	–	–	1,372	1,372	1,165
Total non-trading financial assets at fair value through profit or loss	\$ 27	\$ 2,383	\$ 888	\$ 538	\$ 1,037	\$ 2,178	\$ 7,051	\$ 2,812
Financial assets designated at fair value through profit or loss								
Government and government-related securities								
Canadian government debt								
Federal	\$ 182	\$ 5	\$ –	\$ 2	\$ 1	\$ 1	\$ 191	\$ 294
Provinces	525	376	1,055	737	51	7	2,751	2,443
U.S. federal, state, municipal governments, and agencies debt	18	–	–	–	–	–	18	9
Other OECD government-guaranteed debt	400	90	23	–	–	–	513	310
	1,125	471	1,078	739	52	8	3,473	3,056
Other debt securities								
Canadian issuers	742	1,484	352	91	–	8	2,677	2,395
Other issuers	72	571	155	38	–	–	836	966
	814	2,055	507	129	–	8	3,513	3,361
Total financial assets designated at fair value through profit or loss	\$ 1,939	\$ 2,526	\$ 1,585	\$ 868	\$ 52	\$ 16	\$ 6,986	\$ 6,417

¹ Represents contractual maturities. Actual maturities may differ due to prepayment privileges in the applicable contract.

Securities Maturity Schedule (continued)

(millions of Canadian dollars)

							October 31 2025	As at October 31 2024
	Remaining terms to maturities ¹							
	Within 1 year	Over 1 year to 3 years	Over 3 years to 5 years	Over 5 years to 10 years	Over 10 years	With no specific maturity	Total	Total
Securities at fair value through other comprehensive income								
Government and government-related securities								
Canadian government debt								
Federal	\$ 1,878	\$ 1,619	\$ 5,108	\$ 7,175	\$ 111	\$ –	\$ 15,891	\$ 18,139
Provinces	1,050	3,253	5,973	10,372	432	–	21,080	21,270
U.S. federal, state, municipal governments, and agencies debt	12,005	1,501	16,504	21,648	2,834	–	54,492	35,197
Other OECD government-guaranteed debt	273	1,612	5,932	58	–	–	7,875	1,679
Mortgage-backed securities	436	1,460	–	–	–	–	1,896	2,137
	15,642	9,445	33,517	39,253	3,377	–	101,234	78,422
Other debt securities								
Asset-backed securities	914	274	2,932	1,615	2,974	–	8,709	1,384
Corporate and other debt	2,681	3,280	2,212	1,643	3,275	–	13,091	9,446
	3,595	3,554	5,144	3,258	6,249	–	21,800	10,830
Equity securities								
Common shares	–	–	–	–	–	2,536	2,536	3,914
Preferred shares	–	–	–	–	–	511	511	501
	–	–	–	–	–	3,047	3,047	4,415
Total securities at fair value through other comprehensive income	\$ 19,237	\$ 12,999	\$ 38,661	\$ 42,511	\$ 9,626	\$ 3,047	\$ 126,081	\$ 93,667
Debt securities at amortized cost, net of allowance for credit losses								
Government and government-related securities								
Canadian government debt								
Federal	\$ 12,267	\$ 12,206	\$ 2,784	\$ 9,368	\$ 1,293	\$ –	\$ 37,918	\$ 22,991
Provinces	934	3,370	7,811	6,395	326	–	18,836	18,614
U.S. federal, state, municipal governments, and agencies debt	1,922	23,631	11,061	24,181	33,732	–	94,527	124,099
Other OECD government-guaranteed debt	8,006	13,428	6,882	2,891	–	–	31,207	39,394
	23,129	52,635	28,538	42,835	35,351	–	182,488	205,098
Other debt securities								
Asset-backed securities	10	1,140	4,509	5,981	15,407	–	27,047	29,708
Non-agency collateralized mortgage obligation portfolio	–	–	–	–	13,274	–	13,274	15,362
Canadian issuers	105	1,051	867	532	9	–	2,564	4,722
Other issuers	2,188	6,775	4,392	1,711	–	–	15,066	16,725
	2,303	8,966	9,768	8,224	28,690	–	57,951	66,517
Total debt securities at amortized cost, net of allowance for credit losses	25,432	61,601	38,306	51,059	64,041	–	240,439	271,615
Total securities	\$ 66,244	\$ 94,310	\$ 88,109	\$104,397	\$ 89,363	\$ 93,271	\$ 535,694	\$ 512,297

¹ Represents contractual maturities. Actual maturities may differ due to prepayment privileges in the applicable contract.

(b) UNREALIZED SECURITIES GAINS (LOSSES)

The following table summarizes the unrealized gains and losses as at October 31, 2025 and October 31, 2024.

Unrealized Securities Gains (Losses) for Securities at Fair Value Through Other Comprehensive Income

(millions of Canadian dollars)

	October 31, 2025				October 31, 2024			
	Cost/ amortized cost ¹	Gross unrealized gains	Gross unrealized (losses)	Fair value	Cost/ amortized cost ¹	Gross unrealized gains	Gross unrealized (losses)	Fair value
Government and government-related securities								
Canadian government debt								
Federal	\$ 15,956	\$ 23	\$ (88)	\$ 15,891	\$ 18,281	\$ 17	\$ (159)	\$ 18,139
Provinces	20,971	120	(11)	21,080	21,263	77	(70)	21,270
U.S. federal, state, municipal governments, and agencies debt	54,279	267	(54)	54,492	35,371	22	(196)	35,197
Other OECD government-guaranteed debt	7,864	15	(4)	7,875	1,687	1	(9)	1,679
Mortgage-backed securities	1,869	29	(2)	1,896	2,125	17	(5)	2,137
	100,939	454	(159)	101,234	78,727	134	(439)	78,422
Other debt securities								
Asset-backed securities	8,713	11	(15)	8,709	1,397	1	(14)	1,384
Corporate and other debt	13,011	106	(26)	13,091	9,419	77	(50)	9,446
	21,724	117	(41)	21,800	10,816	78	(64)	10,830
Total debt securities	122,663	571	(200)	123,034	89,543	212	(503)	89,252
Equity securities								
Common shares	2,332	226	(22)	2,536	3,810	176	(72)	3,914
Preferred shares	523	67	(79)	511	632	29	(160)	501
	2,855	293	(101)	3,047	4,442	205	(232)	4,415
Total securities at fair value through other comprehensive income	\$ 125,518	\$ 864	\$ (301)	\$ 126,081	\$ 93,985	\$ 417	\$ (735)	\$ 93,667

¹ Includes the foreign exchange translation of amortized cost balances at the period-end spot rate.

(c) EQUITY SECURITIES DESIGNATED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

The Bank designated certain equity securities at FVOCI. The following table summarizes the fair value of equity securities designated at FVOCI as at

October 31, 2025 and October 31, 2024, and dividend income recognized on these securities for the years ended October 31, 2025 and October 31, 2024.

Equity Securities Designated at Fair Value Through Other Comprehensive Income

(millions of Canadian dollars)

	As at		For the years ended	
	October 31, 2025	October 31, 2024	October 31, 2025	October 31, 2024
	Fair value		Dividend income recognized	
Common shares	\$ 2,536	\$ 3,914	\$ 201	\$ 153
Preferred shares	511	501	141	155
Total	\$ 3,047	\$ 4,415	\$ 342	\$ 308

The Bank disposed of certain equity securities in line with the Bank's investment strategy and disposed of FHLB stocks in accordance with FHLB member stockholding requirements, as follows:

Equity Securities Net Realized Gains (Losses)

(millions of Canadian dollars)

	For the years ended	
	October 31, 2025	October 31, 2024
Equity Securities ¹		
Fair value	\$ 273	\$ 643
Cumulative realized gain/(loss)	13	121
FHLB Stock		
Fair value	1,483	187
Cumulative realized gain/(loss)	—	—

¹ Includes disposal of the Bank's holdings in First Horizon Corporation ("First Horizon") common shares in the third quarter of fiscal 2024.

(d) DEBT SECURITIES NET REALIZED GAINS (LOSSES)

The Bank disposed of certain debt securities measured at amortized cost and FVOCI during the year. The following table summarizes the net realized gains and losses on securities disposed of during the years ended October 31, 2025 and October 31, 2024, which are included in Other income (loss) on the Consolidated Statement of Income.

Debt Securities Net Realized Gains (Losses)¹

(millions of Canadian dollars)	For the years ended	
	October 31 2025	October 31 2024
Debt securities at amortized cost	\$ (1,880)	\$ (381)
Debt securities at fair value through other comprehensive income	(71)	23
Total	\$ (1,951)	\$ (358)

¹ Includes \$1,929 million (US\$1,366 million) (October 31, 2024 – \$311 million (US\$226 million)) of pre-tax losses on debt securities related to balance sheet restructuring activities undertaken in the U.S. Retail segment. Refer to Note 25 for additional information regarding the asset limitation on TD's two U.S. bank subsidiaries.

(e) CREDIT QUALITY OF DEBT SECURITIES

The Bank evaluates non-retail credit risk on an individual borrower basis, using both a BRR and FRR, as detailed in the shaded area of the “Managing Risk” section of the 2025 MD&A. This system is used to assess all non-retail exposures, including debt securities.

The following table provides the gross carrying amounts of debt securities measured at amortized cost and debt securities at FVOCI by internal risk rating for credit risk management purposes, presenting separately those debt securities that are subject to Stage 1, Stage 2, and Stage 3 allowances. Refer to the “Allowance for Credit Losses” table in Note 8 for details regarding the allowance and provision for credit losses on debt securities.

Debt Securities by Risk Rating

(millions of Canadian dollars)	October 31, 2025				October 31, 2024			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
	As at				As at			
Debt securities¹								
Investment grade	\$ 362,521	\$ –	\$ n/a	\$ 362,521	\$ 360,272	\$ –	\$ n/a	\$ 360,272
Non-investment grade	738	167	n/a	905	439	91	n/a	530
Watch and classified	n/a	49	n/a	49	n/a	68	n/a	68
Default	n/a	n/a	–	–	n/a	n/a	–	–
Total debt securities	363,259	216	–	363,475	360,711	159	–	360,870
Allowance for credit losses on debt securities at amortized cost	2	–	–	2	3	–	–	3
Total debt securities, net of allowance	\$ 363,257	\$ 216	\$ –	\$ 363,473	\$ 360,708	\$ 159	\$ –	\$ 360,867

¹ Includes debt securities backed by government-guaranteed loans of \$94 million (October 31, 2024 – \$113 million), which are reported in Non-investment grade or a lower risk rating based on the issuer's credit risk.

As at October 31, 2025, total debt securities, net of allowance, in the table above, include debt securities measured at amortized cost, net of allowance, of \$240,439 million (October 31, 2024 – \$271,615 million), and debt securities measured at FVOCI of \$123,034 million (October 31, 2024 – \$89,252 million).

The difference between probability-weighted ECLs and base ECLs on debt securities at FVOCI and at amortized cost as at both October 31, 2025 and October 31, 2024, was insignificant. Refer to Note 3 for further details.

NOTE 8 LOANS, IMPAIRED LOANS, AND ALLOWANCE FOR CREDIT LOSSES**(a) LOANS**

The following table provides details regarding the Bank's loans as at October 31, 2025 and October 31, 2024.

Loans (millions of Canadian dollars)	As at October 31	
	2025	2024
Residential mortgages	\$ 315,063	\$ 331,649
Consumer instalment and other personal	259,033	228,382
Credit card	41,662	40,639
Business and government	345,943	356,973
	961,701	957,643
Loans at FVOCI ¹	288	230
Total loans	961,989	957,873
Total allowance for loan losses	8,689	8,094
Total loans, net of allowance	\$ 953,300	\$ 949,779

¹ Included in Financial assets at fair value through other comprehensive income on the Consolidated Balance Sheet.

Business and government loans and loans at FVOCI are grouped together as reflected below for presentation in the “Loans by Risk Rating” table.

Loans – Business and Government

(millions of Canadian dollars)	As at October 31	
	2025	2024
Loans at amortized cost	\$ 345,943	\$ 356,973
Loans at FVOCI (Note 5)	288	230
Loans	346,231	357,203
Allowance for loan losses	3,847	3,583
Loans, net of allowance	\$ 342,384	\$ 353,620

(b) CREDIT QUALITY OF LOANS

In the retail portfolio, including individuals and small businesses, the Bank manages exposures on a pooled basis, using predictive credit scoring techniques. For non-retail exposures, each borrower is assigned a BRR that reflects the PD of the borrower using proprietary industry and sector specific risk models and expert judgment. Refer to the shaded areas of the “Managing Risk” section of the 2025 MD&A for further details, including the mapping of PD ranges to risk levels for retail exposures as well as the Bank's 21-point BRR scale to risk levels and external ratings for non-retail exposures.

The following tables provide the gross carrying amounts of loans and credit risk exposures on loan commitments and financial guarantee contracts by internal risk rating for credit risk management purposes, presenting separately those that are subject to Stage 1, Stage 2, and Stage 3 allowances.

Loans by Risk Rating

(millions of Canadian dollars)

	October 31, 2025				October 31, 2024			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Residential mortgages^{1,2,3}								
Low Risk	\$ 221,168	\$ 765	\$ n/a	\$ 221,933	\$ 238,101	\$ 655	\$ n/a	\$ 238,756
Normal Risk	70,217	8,391	n/a	78,608	65,318	13,620	n/a	78,938
Medium Risk	351	9,490	n/a	9,841	370	9,614	n/a	9,984
High Risk	3	3,700	391	4,094	5	3,201	347	3,553
Default	n/a	n/a	587	587	n/a	n/a	418	418
Total loans	291,739	22,346	978	315,063	303,794	27,090	765	331,649
Allowance for loan losses	102	175	80	357	116	189	60	365
Loans, net of allowance	291,637	22,171	898	314,706	303,678	26,901	705	331,284
Consumer instalment and other personal⁴								
Low Risk	110,513	2,588	n/a	113,101	101,171	2,624	n/a	103,795
Normal Risk	75,881	19,812	n/a	95,693	66,105	12,054	n/a	78,159
Medium Risk	29,757	6,792	n/a	36,549	27,188	6,352	n/a	33,540
High Risk	5,407	7,209	448	13,064	4,017	7,881	412	12,310
Default	n/a	n/a	626	626	n/a	n/a	578	578
Total loans	221,558	36,401	1,074	259,033	198,481	28,911	990	228,382
Allowance for loan losses	699	1,220	274	2,193	667	1,120	262	2,049
Loans, net of allowance	220,859	35,181	800	256,840	197,814	27,791	728	226,333
Credit card								
Low Risk	8,011	4	n/a	8,015	6,902	16	n/a	6,918
Normal Risk	12,222	119	n/a	12,341	11,714	188	n/a	11,902
Medium Risk	12,780	902	n/a	13,682	12,908	1,122	n/a	14,030
High Risk	2,727	4,329	419	7,475	2,832	4,382	437	7,651
Default	n/a	n/a	149	149	n/a	n/a	138	138
Total loans	35,740	5,354	568	41,662	34,356	5,708	575	40,639
Allowance for loan losses	743	1,089	460	2,292	704	1,015	378	2,097
Loans, net of allowance	34,997	4,265	108	39,370	33,652	4,693	197	38,542
Business and government^{1,2,3,5}								
Investment grade or Low/Normal Risk	139,518	152	n/a	139,670	158,425	102	n/a	158,527
Non-investment grade or Medium Risk	173,836	13,289	n/a	187,125	166,892	11,851	n/a	178,743
Watch and classified or High Risk	538	16,098	77	16,713	704	16,610	89	17,403
Default	n/a	n/a	2,723	2,723	n/a	n/a	2,530	2,530
Total loans	313,892	29,539	2,800	346,231	326,021	28,563	2,619	357,203
Allowance for loan losses	1,195	1,878	774	3,847	983	1,758	842	3,583
Loans, net of allowance	312,697	27,661	2,026	342,384	325,038	26,805	1,777	353,620
Total loans	862,929	93,640	5,420	961,989	862,652	90,272	4,949	957,873
Total allowance for loan losses	2,739	4,362	1,588	8,689	2,470	4,082	1,542	8,094
Total loans, net of allowance	\$ 860,190	\$ 89,278	\$ 3,832	\$ 953,300	\$ 860,182	\$ 86,190	\$ 3,407	\$ 949,779

¹ Includes impaired loans with a balance of \$273 million (October 31, 2024 – \$259 million) which did not have a related allowance for loan losses as the realizable value of the collateral exceeded the loan amount.

² Excludes trading loans and non-trading loans at FVTPL with a fair value of \$30 billion (October 31, 2024 – \$24 billion) and \$0.3 billion (October 31, 2024 – \$3 billion), respectively.

³ Includes insured mortgages of \$69 billion (October 31, 2024 – \$71 billion).

⁴ Includes Canadian government-insured real estate personal loans of \$5 billion (October 31, 2024 – \$6 billion).

⁵ Includes loans guaranteed by government agencies of \$24 billion (October 31, 2024 – \$24 billion), which are primarily reported in non-investment grade or a lower risk rating based on the borrowers' credit risk.

Loans by Risk Rating (continued) – Off-Balance Sheet Credit Instruments¹

(millions of Canadian dollars)

	As at							
	October 31, 2025				October 31, 2024			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Retail Exposures²								
Low Risk	\$ 318,759	\$ 1,464	\$ n/a	\$ 320,223	\$ 268,234	\$ 1,365	\$ n/a	\$ 269,599
Normal Risk	62,564	1,147	n/a	63,711	93,576	1,332	n/a	94,908
Medium Risk	16,381	1,295	n/a	17,676	18,562	1,247	n/a	19,809
High Risk	1,282	1,092	–	2,374	1,126	1,181	–	2,307
Default	n/a	n/a	–	–	n/a	n/a	–	–
Non-Retail Exposures³								
Investment grade	319,274	–	n/a	319,274	287,830	–	n/a	287,830
Non-investment grade	103,936	5,710	n/a	109,646	99,866	6,968	n/a	106,834
Watch and classified	150	4,905	–	5,055	328	5,418	–	5,746
Default	n/a	n/a	343	343	n/a	n/a	252	252
Total off-balance sheet credit instruments	822,346	15,613	343	838,302	769,522	17,511	252	787,285
Allowance for off-balance sheet credit instruments	470	566	16	1,052	439	593	11	1,043
Total off-balance sheet credit instruments, net of allowance	\$ 821,876	\$ 15,047	\$ 327	\$ 837,250	\$ 769,083	\$ 16,918	\$ 241	\$ 786,242

¹ Excludes mortgage commitments.

² Includes \$401 billion (October 31, 2024 – \$384 billion) of personal lines of credit and credit card lines, which are unconditionally cancellable at the Bank's discretion at any time.

³ Includes \$67 billion (October 31, 2024 – \$66 billion) of the undrawn component of uncommitted credit and liquidity facilities.

(c) IMPAIRED LOANS

The following table presents information related to the Bank's impaired loans as at October 31, 2025 and October 31, 2024.

Impaired Loans

(millions of Canadian dollars)

	As at							
	October 31, 2025				October 31, 2024			
	Unpaid principal balance ¹	Carrying value	Related allowance for credit losses	Average gross impaired loans	Unpaid principal balance ¹	Carrying value	Related allowance for credit losses	Average gross impaired loans
Residential mortgages	\$ 1,033	\$ 978	\$ 80	\$ 886	\$ 827	\$ 765	\$ 60	\$ 685
Consumer instalment and other personal	1,114	1,074	274	1,054	1,045	990	262	894
Credit card	569	568	460	568	575	575	378	544
Business and government	3,096	2,800	774	2,791	2,812	2,619	842	1,875
Total	\$ 5,812	\$ 5,420	\$ 1,588	\$ 5,299	\$ 5,259	\$ 4,949	\$ 1,542	\$ 3,998

¹ Represents contractual amount of principal owed.

(d) ALLOWANCE FOR CREDIT LOSSES

The following table provides details on the Bank's allowance for credit losses as at and for the years ended October 31, 2025 and October 31, 2024, including allowance for off-balance sheet instruments in the applicable categories.

Allowance for Credit Losses

(millions of Canadian dollars)

	Balance at beginning of year	Provision for credit losses	Write-offs, net of recoveries	Foreign exchange, disposals, and other adjustments	Balance at end of year	Balance at beginning of year	Provision for credit losses	Write-offs, net of recoveries	Foreign exchange, disposals, and other adjustments	Balance at end of year
						<i>For the years ended</i>				
October 31, 2025						October 31, 2024				
Residential mortgages	\$ 365	\$ (5)	\$ (4)	\$ 1	\$ 357	\$ 403	\$ (34)	\$ (7)	\$ 3	\$ 365
Consumer instalment and other personal	2,133	1,385	(1,250)	5	2,273	1,895	1,407	(1,173)	4	2,133
Credit card	2,699	1,763	(1,685)	13	2,790	2,577	1,676	(1,561)	7	2,699
Business and government	3,940	1,362	(954)	(27)	4,321	3,310	1,204	(536)	(38)	3,940
Total allowance for loan losses, including off- balance sheet instruments	9,137	4,505	(3,893)	(8)	9,741	8,185	4,253	(3,277)	(24)	9,137
Debt securities at amortized cost	3	–	–	(1)	2	2	1	–	–	3
Debt securities at FVOCI	1	1	–	–	2	2	(1)	–	–	1
Total allowance for credit losses on debt securities	4	1	–	(1)	4	4	–	–	–	4
Total allowance for credit losses	\$ 9,141	\$ 4,506	\$ (3,893)	\$ (9)	\$ 9,745	\$ 8,189	\$ 4,253	\$ (3,277)	\$ (24)	\$ 9,141
Comprising:										
Allowance for credit losses on loans at amortized cost	\$ 8,094				\$ 8,689	\$ 7,136				\$ 8,094
Allowance for credit losses on loans at FVOCI	–				–	–				–
Allowance for loan losses	8,094				8,689	7,136				8,094
Allowance for off-balance sheet instruments	1,043				1,052	1,049				1,043
Allowance for credit losses on debt securities	4				4	4				4

(e) ALLOWANCE FOR LOAN LOSSES BY STAGE

The following table provides details on the Bank's allowance for loan losses by stage as at and for the years ended October 31, 2025 and October 31, 2024.

Allowance for Loan Losses by Stage

(millions of Canadian dollars)

	October 31, 2025				October 31, 2024			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Residential Mortgages								
Balance at beginning of period	\$ 116	\$ 189	\$ 60	\$ 365	\$ 154	\$ 192	\$ 57	\$ 403
Provision for credit losses								
Transfer to Stage 1 ¹	108	(103)	(5)	—	137	(133)	(4)	—
Transfer to Stage 2	(26)	56	(30)	—	(30)	52	(22)	—
Transfer to Stage 3	—	(42)	42	—	—	(32)	32	—
Net remeasurement due to transfers into stage ²	(24)	15	—	(9)	(30)	22	—	(8)
New originations or purchases ³	25	n/a	n/a	25	32	n/a	n/a	32
Net repayments ⁴	(4)	(4)	—	(8)	(4)	—	—	(4)
Derecognition of financial assets (excluding disposals and write-offs) ⁵	(14)	(20)	(28)	(62)	(7)	(27)	(35)	(69)
Changes to risk, parameters, and models ⁶	(80)	84	45	49	(135)	114	36	15
Disposals	—	—	—	—	—	—	—	—
Write-offs	—	—	(11)	(11)	—	—	(8)	(8)
Recoveries	—	—	7	7	—	—	1	1
Foreign exchange and other adjustments	1	—	—	1	(1)	1	3	3
Balance at end of period	\$ 102	\$ 175	\$ 80	\$ 357	\$ 116	\$ 189	\$ 60	\$ 365
Consumer Instalment and Other Personal								
Balance, including off-balance sheet instruments, at beginning of period	\$ 696	\$ 1,175	\$ 262	\$ 2,133	\$ 688	\$ 1,010	\$ 197	\$ 1,895
Provision for credit losses								
Transfer to Stage 1 ¹	696	(691)	(5)	—	607	(603)	(4)	—
Transfer to Stage 2	(239)	329	(90)	—	(246)	329	(83)	—
Transfer to Stage 3	(10)	(298)	308	—	(11)	(254)	265	—
Net remeasurement due to transfers into stage ²	(297)	282	9	(6)	(267)	300	9	42
New originations or purchases ³	345	n/a	n/a	345	359	n/a	n/a	359
Net repayments ⁴	(87)	(107)	(17)	(211)	(76)	(95)	(16)	(187)
Derecognition of financial assets (excluding disposals and write-offs) ⁵	(87)	(115)	(49)	(251)	(74)	(104)	(50)	(228)
Changes to risk, parameters, and models ⁶	(295)	698	1,105	1,508	(286)	590	1,117	1,421
Disposals	—	—	—	—	—	—	—	—
Write-offs	—	—	(1,597)	(1,597)	—	—	(1,496)	(1,496)
Recoveries	—	—	347	347	—	—	323	323
Foreign exchange and other adjustments	2	2	1	5	2	2	—	4
Balance, including off-balance sheet instruments, at end of period	724	1,275	274	2,273	696	1,175	262	2,133
Less: Allowance for off-balance sheet instruments ⁷	25	55	—	80	29	55	—	84
Balance at end of period	\$ 699	\$ 1,220	\$ 274	\$ 2,193	\$ 667	\$ 1,120	\$ 262	\$ 2,049
Credit Card⁸								
Balance, including off-balance sheet instruments, at beginning of period	\$ 947	\$ 1,374	\$ 378	\$ 2,699	\$ 988	\$ 1,277	\$ 312	\$ 2,577
Provision for credit losses								
Transfer to Stage 1 ¹	1,299	(1,257)	(42)	—	1,087	(1,051)	(36)	—
Transfer to Stage 2	(352)	441	(89)	—	(323)	404	(81)	—
Transfer to Stage 3	(25)	(1,047)	1,072	—	(21)	(881)	902	—
Net remeasurement due to transfers into stage ²	(503)	461	26	(16)	(476)	477	25	26
New originations or purchases ³	160	n/a	n/a	160	153	n/a	n/a	153
Net repayments ⁴	(5)	8	74	77	25	11	65	101
Derecognition of financial assets (excluding disposals and write-offs) ⁵	(60)	(97)	(310)	(467)	(55)	(71)	(367)	(493)
Changes to risk, parameters, and models ⁶	(521)	1,495	1,035	2,009	(432)	1,204	1,117	1,889
Disposals	—	—	—	—	—	—	—	—
Write-offs	—	—	(2,078)	(2,078)	—	—	(1,880)	(1,880)
Recoveries	—	—	393	393	—	—	319	319
Foreign exchange and other adjustments	4	8	1	13	1	4	2	7
Balance, including off-balance sheet instruments, at end of period	944	1,386	460	2,790	947	1,374	378	2,699
Less: Allowance for off-balance sheet instruments ⁷	201	297	—	498	243	359	—	602
Balance at end of period	\$ 743	\$ 1,089	\$ 460	\$ 2,292	\$ 704	\$ 1,015	\$ 378	\$ 2,097

¹ Transfers represent stage transfer movements prior to ECL remeasurement.

² Represents the mechanical remeasurement between twelve-month (i.e., Stage 1) and lifetime ECLs (i.e., Stage 2 or 3) due to stage transfers necessitated by credit risk migration, as described in the "Significant Increase in Credit Risk" section of Note 2 and Note 3, holding all other factors impacting the change in ECLs constant.

³ Represents the increase in the allowance resulting from loans that were newly originated, purchased, or renewed.

⁴ Represents the changes in the allowance related to cash flow changes associated with new draws or repayments on loans outstanding.

⁵ Represents the decrease in the allowance resulting from loans that were fully repaid and excludes the decrease associated with loans that were disposed or fully written off.

⁶ Represents the changes in the allowance related to current period changes in risk (e.g., PD) caused by changes to macroeconomic factors, level of risk, parameters, and/or models, subsequent to stage migration. Refer to the "Measurement of Expected Credit Losses", "Forward-Looking Information" and "Expert Credit Judgment" sections of Note 2 and Note 3 for further details.

⁷ The allowance for loan losses for off-balance sheet instruments is recorded in Other liabilities on the Consolidated Balance Sheet.

⁸ Credit cards are considered impaired and migrate to Stage 3 when they are 90 days past due and written off at 180 days past due. Refer to Note 2 for further details.

Allowance for Loan Losses by Stage (continued)

(millions of Canadian dollars)

	October 31, 2025				For the years ended October 31, 2024			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Business and Government								
Balance, including off-balance sheet instruments, at beginning of period	\$ 1,150	\$ 1,937	\$ 853	\$ 3,940	\$ 1,319	\$ 1,521	\$ 470	\$ 3,310
Provision for credit losses								
Transfer to Stage 1 ¹	356	(352)	(4)	–	266	(265)	(1)	–
Transfer to Stage 2	(727)	766	(39)	–	(568)	584	(16)	–
Transfer to Stage 3	(10)	(482)	492	–	(19)	(350)	369	–
Net remeasurement due to transfers into stage ¹	(103)	193	3	93	(86)	158	13	85
New originations or purchases ¹	1,458	n/a	n/a	1,458	1,165	n/a	n/a	1,165
Net repayments ¹	13	(44)	(209)	(240)	20	(60)	(77)	(117)
Derecognition of financial assets (excluding disposals and write-offs) ¹	(804)	(940)	(368)	(2,112)	(683)	(611)	(297)	(1,591)
Changes to risk, parameters, and models ¹	82	998	1,083	2,163	(271)	917	1,016	1,662
Disposals	–	–	(22)	(22)	–	–	(39)	(39)
Write-offs	–	–	(1,039)	(1,039)	–	–	(600)	(600)
Recoveries	–	–	85	85	–	–	64	64
Foreign exchange and other adjustments	24	16	(45)	(5)	7	43	(49)	1
Balance, including off-balance sheet instruments, at end of period	1,439	2,092	790	4,321	1,150	1,937	853	3,940
Less: Allowance for off-balance sheet instruments ²	244	214	16	474	167	179	11	357
Balance at end of period	1,195	1,878	774	3,847	983	1,758	842	3,583
Total Allowance, including off-balance sheet instruments, at end of period	3,209	4,928	1,604	9,741	2,909	4,675	1,553	9,137
Less: Total Allowance for off-balance sheet instruments²	470	566	16	1,052	439	593	11	1,043
Total Allowance for Loan Losses at end of period	\$ 2,739	\$ 4,362	\$ 1,588	\$ 8,689	\$ 2,470	\$ 4,082	\$ 1,542	\$ 8,094

¹ For explanations regarding this line item, refer to the "Allowance for Loan Losses by Stage" table on the previous page in this Note.

² The allowance for loan losses for off-balance sheet instruments is recorded in Other liabilities on the Consolidated Balance Sheet.

The allowance for credit losses on all remaining financial assets is not significant.

(f) FORWARD-LOOKING INFORMATION

Relevant macroeconomic factors are incorporated in risk parameters as appropriate. Additional risk factors that are industry or segment specific are also incorporated, where relevant. The key macroeconomic variables used in determining ECLs include regional unemployment rates for all retail exposures and regional housing price indices for residential mortgages and home equity lines of credit. For business and government loans, the key macroeconomic variables include gross domestic product (GDP), unemployment rates, interest rates, and credit spreads. Refer to Note 3 for a discussion of how forward-looking information is generated and considered in determining whether there has been a significant increase in credit risk and in measuring ECLs.

Macroeconomic Variables

Select macroeconomic variables are projected over the forecast period. The following table sets out average values of the macroeconomic variables over the four calendar quarters starting with the current quarter, and the remaining 4-year forecast period for the base forecast and upside and downside scenarios used in determining the Bank's ECLs as at October 31, 2025. As the forecast period increases, information about the future becomes less readily available and projections are anchored on assumptions around structural relationships between economic parameters that are inherently much less certain. The baseline forecast reflects some tempering in growth and higher unemployment as a result of tariffs. While trade tensions have eased in recent months, uncertainty about the economic outlook remains elevated. Any further escalation in trade tensions would pose a downside risk to the economic outlook. However, the Bank's Canadian and U.S. downside scenarios reflect a recession and help capture these risks accordingly through its allowance process.

Macroeconomic Variables

	As at					
	October 31, 2025					
	Base Forecast		Upside Scenario		Downside Scenario	
	Average Q4 2025- Q3 2026 ¹	Remaining 4-year period ¹	Average Q4 2025- Q3 2026 ¹	Remaining 4-year period ¹	Average Q4 2025- Q3 2026 ¹	Remaining 4-year period ¹
Unemployment rate						
Canada	7.1%	6.0%	6.4%	5.7%	7.8%	7.2%
United States	4.3	4.0	4.1	3.8	5.5	5.4
Real GDP						
Canada	0.9	1.7	1.0	1.9	(1.0)	2.0
United States	1.7	2.1	1.8	2.2	(0.4)	2.4
Home prices						
Canada (average existing price) ²	4.1	4.0	4.3	4.5	(5.5)	3.7
United States (CoreLogic HPI) ³	(0.1)	3.5	0.6	4.1	(7.5)	4.0
Central bank policy interest rate						
Canada	2.25	2.25	2.50	2.50	1.13	1.42
United States	3.50	3.25	3.75	3.50	2.06	2.30
U.S. 10-year treasury yield	4.02	4.00	4.34	4.24	3.60	3.60
U.S. 10-year BBB spread (%-pts)	1.38	1.60	1.24	1.53	2.27	1.90
Exchange rate (U.S. dollar/Canadian dollar)	\$ 0.74	\$ 0.75	\$ 0.74	\$ 0.76	\$ 0.68	\$ 0.71

Macroeconomic Variables

	As at					
	October 31, 2024					
	Base Forecast		Upside Scenario		Downside Scenario	
	Average Q4 2024- Q3 2025 ¹	Remaining 4-year period ¹	Average Q4 2024- Q3 2025 ¹	Remaining 4-year period ¹	Average Q4 2024- Q3 2025 ¹	Remaining 4-year period ¹
Unemployment rate						
Canada	6.7%	6.0%	5.7%	5.6%	7.7%	7.3%
United States	4.3	4.0	3.8	3.7	5.4	5.4
Real GDP						
Canada	1.7	2.0	2.1	2.2	(0.4)	2.3
United States	1.9	2.1	2.7	2.4	(0.2)	2.4
Home prices						
Canada (average existing price) ²	6.0	3.0	8.2	3.4	(7.1)	3.7
United States (CoreLogic HPI) ³	1.3	3.0	4.2	3.8	(8.5)	4.1
Central bank policy interest rate						
Canada	3.19	2.27	4.19	2.61	1.69	1.81
United States	3.69	3.00	5.00	3.39	2.81	2.06
U.S. 10-year treasury yield	3.52	3.45	4.49	3.81	3.40	3.34
U.S. 10-year BBB spread (%-pts)	1.75	1.80	1.59	1.76	2.51	2.10
Exchange rate (U.S. dollar/Canadian dollar)	\$ 0.74	\$ 0.75	\$ 0.75	\$ 0.76	\$ 0.71	\$ 0.71

¹ The numbers represent average values for the quoted periods, and average of year-on-year growth for real GDP and home prices.

² The average home price is the average transacted sale price of homes sold via the Multiple Listing Service; data is collected by the Canadian Real Estate Association.

³ The CoreLogic home price index (HPI) is a repeat-sales index which tracks increases and decreases in the same home's sales price over time.

(g) SENSITIVITY OF ALLOWANCE FOR CREDIT LOSSES

ECLs are sensitive to the inputs used in internally developed models, the macroeconomic variables in the forward-looking forecasts and respective probability weightings in determining the probability-weighted ECLs, and other factors considered when applying expert credit judgment. Changes in these inputs, assumptions, models, and judgments would affect the assessment of significant increase in credit risk and the measurement of ECLs.

The following table presents the base ECL scenario compared to the probability-weighted ECLs, with the latter derived from three ECL scenarios for performing loans and off-balance sheet instruments. The difference reflects the impact of deriving multiple scenarios around the base ECLs and resultant change in ECLs due to non-linearity and sensitivity to using macroeconomic forecasts.

Change from Base to Probability-Weighted ECLs

(millions of Canadian dollars, except as noted)	As at	
	October 31, 2025	October 31, 2024
Probability-weighted ECLs	\$ 8,137	\$ 7,584
Base ECLs	7,737	7,185
Difference – in amount	\$ 400	\$ 399
Difference – in percentage	5.2%	5.6%

ECLs for performing loans and off-balance sheet instruments consist of an aggregate amount of Stage 1 and Stage 2 probability-weighted ECLs which are twelve-month ECLs and lifetime ECLs, respectively. Transfers from Stage 1 to Stage 2 ECLs result from a significant increase in credit risk since initial recognition of the loan. The following table shows the estimated impact of staging on ECLs by presenting all performing loans and off-balance sheet instruments calculated using twelve-month ECLs compared to the current aggregate probability-weighted ECLs, holding all risk profiles constant.

Incremental Lifetime ECLs Impact

(millions of Canadian dollars)	As at	
	October 31, 2025	October 31, 2024
Probability-weighted ECLs	\$ 8,137	\$ 7,584
All performing loans and off-balance sheet instruments using 12-month ECLs	6,435	5,631
Incremental lifetime ECLs impact	\$ 1,702	\$ 1,953

Loans Past Due but not Impaired¹

(millions of Canadian dollars)	As at					
	October 31, 2025			October 31, 2024		
	31-60 days	61-89 days	Total	31-60 days	61-89 days	Total
Residential mortgages	\$ 407	\$ 129	\$ 536	\$ 443	\$ 111	\$ 554
Consumer instalment and other personal	930	301	1,231	983	335	1,318
Credit card	373	253	626	375	269	644
Business and government	247	85	332	244	83	327
Total	\$ 1,957	\$ 768	\$ 2,725	\$ 2,045	\$ 798	\$ 2,843

¹ Includes loans that are measured at FVOCI.

(j) MODIFIED FINANCIAL ASSETS

The amortized cost of financial assets with lifetime allowance that were modified during the year ended October 31, 2025, was \$210 million (October 31, 2024 – \$214 million) before modification, with insignificant modification gain or loss. The gross carrying amount of modified financial assets for which the loss allowance changed from lifetime to twelve-month ECLs during the years ended October 31, 2025 and October 31, 2024 were insignificant.

(k) COLLATERAL

As at October 31, 2025, the collateral held against total gross impaired loans represents 84% (October 31, 2024 – 82%) of total gross impaired loans. The fair value of non-financial collateral is determined at the origination date of the loan. A revaluation of non-financial collateral is performed if there has been a significant change in the terms

(h) FORECLOSED ASSETS

Foreclosed assets are repossessed non-financial assets where the Bank gains title, ownership, or possession of individual properties, such as real estate properties, which are managed for sale in an orderly manner with the proceeds used to reduce or repay any outstanding debt. The Bank does not generally occupy foreclosed properties for its business use. The Bank predominantly relies on third-party appraisals to determine the carrying value of foreclosed assets. Foreclosed assets held for sale were \$101 million as at October 31, 2025 (October 31, 2024 – \$126 million) and were recorded in Other assets on the Consolidated Balance Sheet.

(i) LOANS PAST DUE BUT NOT IMPAIRED

A loan is classified as past due when a borrower has failed to make a payment by the contractual due date. The following table summarizes loans that are past due but not impaired. Loans less than 31 days contractually past due are excluded as they do not generally reflect a borrower's ability to meet their payment obligations.

and conditions of the loan and/or the loan is considered impaired. Management considers the nature of the collateral, seniority ranking of the debt, and loan structure in assessing the value of collateral. These estimated cash flows are reviewed at least annually, or more frequently when new information indicates a change in the timing or amount expected to be received.

(l) SALE OF U.S. RESIDENTIAL MORTGAGE LOANS

On March 26, 2025, the Bank sold US\$8.6 billion of certain U.S. residential mortgage loans (correspondent loans) which resulted in the recognition of a pre-tax loss including transaction costs of US\$507 million in Other income (loss) on the Consolidated Statement of Income. The sale related to balance sheet restructuring activities undertaken in the U.S. Retail segment. Refer to Note 25 for additional information regarding the asset limitation on TD's two U.S. bank subsidiaries.

NOTE 9 TRANSFERS OF FINANCIAL ASSETS

LOAN SECURITIZATIONS

The Bank securitizes loans through structured entity or non-structured entity third parties. Most loan securitizations do not qualify for derecognition since in most circumstances, the Bank continues to be exposed to substantially all of the prepayment, interest rate, and/or credit risk associated with the securitized financial assets and has not transferred substantially all of the risk and rewards of ownership of the securitized assets. Where loans do not qualify for derecognition, they are not derecognized from the Bank's Consolidated Balance Sheet, retained interests are not recognized, and a securitization liability is recognized for the cash proceeds received. Certain transaction costs incurred are also capitalized and amortized using EIRM.

The Bank securitizes insured residential mortgages under the National Housing Act Mortgage-Backed Securities (NHA MBS) program sponsored by the Canada Mortgage and Housing Corporation (CMHC). The MBS that are created through the NHA MBS program are sold to the Canada Housing Trust (CHT) as part of the CMB program, sold to third-party investors, or are held by the Bank. The CHT issues CMB to third-party investors and uses resulting proceeds to purchase NHA MBS from the Bank and other mortgage issuers in the Canadian market. Assets purchased by the CHT are commingled in a single trust from which CMB are issued. The Bank continues to be exposed to substantially all of the risks of the underlying mortgages, through the retention of a seller swap which transfers principal and interest payment risk on the NHA MBS back to the Bank in return for coupon paid on the CMB issuance and as such, the sales do not qualify for derecognition.

The Bank securitizes U.S. originated residential mortgages with U.S. government agencies which qualify for derecognition from the Bank's Consolidated Balance Sheet. As part of the securitization, the Bank retains the right to service the transferred mortgage loans. The MBS that are created through the securitization are typically sold to third-party investors.

The Bank also securitizes business and government loans to entities which may be structured entities. These securitizations may give rise

to derecognition of the financial assets depending on the individual arrangement of each transaction.

In addition, the Bank transfers credit card receivables to structured entities that the Bank consolidates. Refer to Note 10 for further details.

The following table summarizes the securitized asset types that did not qualify for derecognition, along with their associated securitization liabilities as at October 31, 2025 and October 31, 2024.

Financial Assets Not Qualifying for Derecognition Treatment as Part of the Bank's Securitization Programs

(millions of Canadian dollars)

	October 31, 2025		October 31, 2024	
	Fair value	Carrying amount	Fair value	Carrying amount
Nature of transaction				
Securitization of residential mortgage loans	\$ 38,674	\$ 38,704	\$ 30,543	\$ 30,787
Other financial assets transferred related to securitization ¹	1,968	1,966	2,623	2,619
Total	40,642	40,670	33,166	33,406
Associated liabilities²	\$ 40,088	\$ 40,124	\$ 32,442	\$ 32,684

¹ Includes asset-backed securities, asset-backed commercial paper (ABCP), cash, repurchase agreements, and Government of Canada securities used to fulfil funding requirements of the Bank's securitization structures after the initial securitization of mortgage loans.

² Includes securitization liabilities carried at amortized cost of \$15 billion as at October 31, 2025 (October 31, 2024 – \$12 billion), and securitization liabilities carried at fair value of \$25 billion as at October 31, 2025 (October 31, 2024 – \$20 billion).

Other Financial Assets Not Qualifying for Derecognition

The Bank enters into certain transactions where it transfers previously recognized commodities and financial assets, such as debt and equity securities, but retains substantially all of the risks and rewards of those assets. These transferred assets are not derecognized and the transfers are accounted for as financing transactions. The most common transactions of this nature are repurchase agreements and securities lending agreements, in which the Bank retains substantially all of the associated credit, price, interest rate, and foreign exchange risks and rewards associated with the assets.

The following table summarizes the carrying amount of financial assets and the associated transactions that did not qualify for derecognition, as well as their associated financial liabilities as at October 31, 2025 and October 31, 2024.

Other Financial Assets Not Qualifying for Derecognition

(millions of Canadian dollars)

	As at	
	October 31 2025	October 31 2024
Carrying amount of assets		
<i>Nature of transaction</i>		
Repurchase agreements ^{1,2}	\$ 36,074	\$ 40,725
Securities lending agreements	56,316	52,781
Total	92,390	93,506
Carrying amount of associated liabilities²	\$ 35,364	\$ 40,450

¹ Includes \$2.1 billion, as at October 31, 2025 (October 31, 2024 – \$2.8 billion) of assets related to repurchase agreements or swaps that are collateralized by physical precious metals.

² Associated liabilities are all related to repurchase agreements.

TRANSFERS OF FINANCIAL ASSETS QUALIFYING FOR DERECOGNITION

Transferred financial assets that are derecognized in their entirety where the Bank has a continuing involvement

Continuing involvement may arise if the Bank retains any contractual rights or obligations subsequent to the transfer of financial assets. Certain business and government loans securitized by the Bank are derecognized from the Bank's Consolidated Balance Sheet. In instances where the Bank fully derecognizes business and government loans, the Bank may be exposed to the risks of transferred loans through a retained interest. As at October 31, 2025, the fair value of retained interests was \$1 million (October 31, 2024 – \$1 million). A gain or loss on sale of the loans is recognized immediately in other income (loss) after considering the effect of hedge accounting on the assets sold, if applicable. The amount of the gain or loss recognized depends on the previous carrying values of the loans involved in the transfer, allocated between the assets sold and the retained interests based on their relative fair values at the date of transfer.

Certain portfolios of U.S. residential mortgages originated by the Bank are sold and derecognized from the Bank's Consolidated Balance Sheet. In certain instances, the Bank has a continuing involvement to service those loans. As at October 31, 2025, the carrying value of these servicing rights was \$75 million (October 31, 2024 – \$81 million) and the fair value was \$139 million (October 31, 2024 – \$133 million). A gain or loss on sale of the loans is recognized immediately in other income (loss). The gain (loss) on sale of the loans for the year ended October 31, 2025 was (\$25) million (October 31, 2024 – (\$3) million).

The Bank uses structured entities for a variety of purposes including: (1) to facilitate the transfer of specified risks to clients; (2) as financing vehicles for itself or for clients; or (3) to segregate assets on behalf of investors. The Bank is typically restricted from accessing the assets of the structured entity under the relevant arrangements.

The Bank is involved with structured entities that it sponsors, as well as entities sponsored by third parties. Factors assessed when determining if the Bank is the sponsor of a structured entity include whether the Bank is the predominant user of the entity; whether the entity's branding or marketing identity is linked with the Bank; and whether the Bank provides an implicit or explicit guarantee of the entity's performance to investors or other third parties. The Bank is not considered to be the sponsor of a structured entity if it only provides arm's-length services to the entity, for example, by acting as administrator, distributor, custodian, asset manager, or loan servicer. Sponsorship of a structured entity may indicate that the Bank had power over the entity at inception; however, this is not sufficient to determine if the Bank consolidates the entity. Regardless of whether or not the Bank sponsors an entity, consolidation is determined on a case-by-case basis.

(a) SPONSORED STRUCTURED ENTITIES

The following section outlines the Bank's involvement with key sponsored structured entities.

Securitizations

The Bank securitizes its own assets and facilitates the securitization of client assets through structured entities, such as conduits, which issue ABCP or other securitization entities which issue longer-dated term securities. Securitizations are an important source of liquidity for the Bank, allowing it to diversify its funding sources and to optimize its balance sheet management approach.

The Bank sponsors both single-seller and multi-seller securitization conduits. Depending on the specifics of the entity, the variable returns absorbed through ABCP may be significantly mitigated by variable returns retained by the sellers. The Bank provides liquidity facilities to certain conduits for the benefit of ABCP investors which are structured as loan facilities between the Bank, as the sole liquidity lender, and the Bank-sponsored entity. If an entity experiences difficulty issuing ABCP due to illiquidity in the commercial market, the entity may draw on the loan facility, and use the proceeds to pay maturing ABCP. The ABCP issued by each multi-seller conduit is in the conduit's own name with recourse to the financial assets owned by the multi-seller conduit, and is non-recourse to the Bank except through our participation in liquidity facilities. The Bank's exposure to the variable returns of these conduits from its provision of liquidity facilities and any related commitments is mitigated by the sellers' continued exposure to variable returns through the provision of first loss protection, as described below. The Bank provides administration and securities distribution services to its sponsored securitization conduits, which may result in it holding an investment in the ABCP issued by these entities. In some cases, the Bank may also provide credit enhancements or may transact derivatives with securitization conduits. The Bank earns fees from the conduits which are recognized when earned.

The Bank sells assets to single-seller conduits which it controls and consolidates. Control results from the Bank's power over the entity's key economic decisions, predominantly, the mix of assets sold into the conduit and exposure to the variable returns of the transferred assets, usually through a derivative or the provision of credit mitigation in the form of cash reserves, over-collateralization, or guarantees over the performance of the entity's portfolio of assets.

Multi-seller conduits provide sellers with alternate sources of financing through the securitization of their assets. These conduits are similar to single-seller conduits except that financial assets are purchased from more than one seller and commingled into a single portfolio of assets. Each transaction is structured with transaction-specific first loss protection provided by the third-party seller. This enhancement can take various forms, including but not limited to overcollateralization, excess spread, subordinated classes of financial assets, guarantees or letters of credit. The Bank is typically deemed to have power over the entity's key economic decisions, namely, the selection of sellers and related assets sold as well as other decisions related to the management of risk in the vehicle. Where the Bank has power over multi-seller conduits, but is not exposed to significant variable returns it does not consolidate such entities.

Investment Funds and Other Asset Management Entities

As part of its asset management business, the Bank creates investment funds and trusts (including mutual funds), enabling it to provide its clients with a broad range of diversified exposure to different risk profiles, in accordance with the client's risk appetite. Such entities may be actively managed or may be passively directed, for example, through the tracking of a specified index, depending on the entity's investment strategy. Financing for these entities is obtained through the issuance of securities to investors, typically in the form of fund units. Based on each entity's specific strategy and risk profile, the proceeds from this issuance are used by the entity to purchase a portfolio of assets. An entity's portfolio may contain investments in securities, derivatives, or other assets, including cash. At the inception of a new investment fund or trust, the Bank will typically invest an amount of seed capital in the entity, allowing it to establish a performance history in the market. Over time, the Bank sells its seed capital holdings to third-party investors, as the entity's AUM increases. As a result, the Bank's holding of seed capital investment in its own sponsored investment funds and trusts is typically not significant to the Consolidated Financial Statements. Aside from any seed capital investments, the Bank's interest in these entities is generally limited to fees earned for the provision of asset management services. The Bank does not typically provide guarantees over the performance of these funds.

The Bank is typically considered to have power over the key economic decisions of sponsored asset management entities; however, it does not consolidate an entity unless it is also exposed to significant variable returns of the entity. This determination is made on a case-by-case basis, in accordance with the Bank's consolidation policy.

Financing Vehicles

The Bank may use structured entities to provide a cost-effective means of financing its operations, including raising capital or obtaining funding. These structured entities include TD Covered Bond (Legislative) Guarantor Limited Partnership (the "Covered Bond Entity").

The Bank issues, or has issued, debt under its covered bond program where the principal and interest payments of the notes are guaranteed by the Covered Bond Entity. The Bank sold a portfolio of assets to the Covered Bond Entity and provided a loan to the Covered Bond Entity to facilitate the purchase. The Bank is restricted from accessing the Covered Bond Entity's assets under the relevant agreement. Investors in the Bank's covered bonds may have recourse to the Bank should the assets of the Covered Bond Entity be insufficient to satisfy the covered bond liabilities. The Bank consolidates the Covered Bond Entity as it has power over the key economic activities and retains all the variable returns in this entity.

(b) THIRD-PARTY SPONSORED STRUCTURED ENTITIES

In addition to structured entities sponsored by the Bank, the Bank is also involved with structured entities sponsored by third parties. Key involvement with third-party sponsored structured entities is described in the following section.

Third-party Sponsored Securitization Programs

The Bank participates in the securitization programs of government-sponsored structured entities, including the CMHC, a Crown corporation of the Government of Canada, and similar U.S. government-sponsored entities. CMHC guarantees both NHA MBS and CMB which are issued through the CHT.

The Bank is exposed to the variable returns in the CHT, through its retention of seller swaps resulting from its participation in the CHT program. The Bank does not have power over the CHT as its key economic activities are controlled by the Government of Canada. The Bank's exposure to the CHT is included in the balance of residential mortgage loans as noted in Note 9, and is not disclosed in the table accompanying this Note.

The Bank participates in the securitization programs sponsored by U.S. government agencies. The Bank is not exposed to significant variable returns from these agencies and does not have power over the key economic activities of these agencies, which are controlled by the U.S. government.

Investment Holdings and Derivatives

The Bank may hold interests in third-party structured entities, predominantly in the form of direct investments in securities or partnership interests issued by those structured entities, or through derivatives transacted with counterparties which are structured entities. Investments in, and derivatives with, structured entities are recognized on the Bank's Consolidated Balance Sheet. The Bank does not typically consolidate third-party structured entities where its involvement is limited to investment holdings and/or derivatives as the Bank would not generally have power over the key economic decisions of these entities.

Financing Transactions

In the normal course of business, the Bank may enter into financing transactions with third-party structured entities including commercial loans, reverse repurchase agreements, prime brokerage margin lending, and similar collateralized lending transactions. While such transactions expose the Bank to the structured entities' counterparty credit risk, this exposure is mitigated by the collateral related to these transactions. The Bank typically has neither power nor significant variable returns due to financing transactions with structured entities and would not generally consolidate such entities. Financing transactions with third-party sponsored structured entities are included on the Bank's Consolidated Financial Statements and have not been included in the table accompanying this Note.

Arm's-length Servicing Relationships

In addition to the involvement outlined above, the Bank may also provide services to structured entities on an arm's-length basis, for example as sub-advisor to an investment fund or asset servicer. Similarly, the Bank's asset management services provided to institutional investors may include transactions with structured entities. As a consequence of providing these services, the Bank may be exposed to variable returns from these structured entities, for example, through the receipt of fees or short-term exposure to the structured entity's securities. Any such exposure is typically mitigated by collateral or some other contractual arrangement with the structured entity or its sponsor. The Bank generally has neither power nor significant variable returns from the provision of arm's-length services to

a structured entity and, consequently does not consolidate such entities. Fees and other exposures through servicing relationships are included on the Bank's Consolidated Financial Statements and have not been included in the table accompanying this Note.

(c) INVOLVEMENT WITH CONSOLIDATED STRUCTURED ENTITIES Securitizations

The Bank securitizes credit card receivables through securitization entities, predominantly single-seller conduits. These conduits are consolidated by the Bank based on the factors described above. Aside from the exposure resulting from its involvement as seller and sponsor of consolidated securitization conduits described above, including the liquidity facilities provided, the Bank has no contractual or non-contractual arrangements to provide financial support to consolidated securitization conduits. The Bank's interests in securitization conduits generally rank senior to interests held by other parties, in accordance with the Bank's investment and risk policies. As a result, the Bank has no significant obligations to absorb losses before other holders of securitization issuances.

Consolidation of Structured Entities

Effective July 31, 2025, the Bank concluded that it no longer controls its U.S. multi-seller ABCP conduits due to a change in the Bank's exposure to variable returns and has therefore deconsolidated these conduits prospectively. The deconsolidation has resulted in a decrease of \$17,702 million of Business and government loans, \$2,695 million of Non-trading financial assets at fair value through profit or loss (FVTPL), \$77 million of Other assets and \$19,332 million of Other liabilities on the Consolidated Balance Sheet. The Bank concurrently recognized \$1,142 million in Trading loans, securities, and other on the Consolidated Balance Sheet, representing the ABCPs purchased by the Bank (\$1,111 million as at October 31, 2024, which was previously eliminated upon consolidation). Impacts on the Consolidated Statement of Income as a result of deconsolidation are minimal. In addition, the Bank continues to provide liquidity facilities to these conduits. The total committed undrawn amount under these facilities as at October 31, 2025 was \$16.0 billion (October 31, 2024 – \$13.1 billion).

Other Consolidated Structured Entities

Depending on the specific facts and circumstances of the Bank's involvement with structured entities, the Bank may consolidate asset management entities, financing vehicles, or third-party sponsored structured entities, based on the factors described above. Aside from its exposure resulting from its involvement as sponsor or investor in the structured entities as previously discussed, the Bank does not typically have other contractual or non-contractual arrangements to provide financial support to these consolidated structured entities.

(d) INVOLVEMENT WITH UNCONSOLIDATED STRUCTURED ENTITIES

The following table presents information related to the Bank's unconsolidated structured entities. Unconsolidated structured entities include both TD and third-party sponsored entities. Securitizations include holdings in TD-sponsored multi-seller conduits, as well as third-party sponsored mortgage and asset-backed securitizations, including government-sponsored agency securities such as CMBs, and U.S. government agency issuances. Investment Funds and Trusts include holdings in third-party funds and trusts, as well as holdings in TD-sponsored asset management funds and trusts and commitments to certain U.S. municipal funds. Amounts in Other are mainly related to investments in community-based U.S. tax-advantage entities described in Note 12. These holdings do not result in the consolidation of these entities as TD does not have control over these entities.

Carrying Amount and Maximum Exposure to Unconsolidated Structured Entities

(millions of Canadian dollars)

	October 31, 2025				October 31, 2024			
	Securizations	Investment funds and trusts	Other	Total	Securizations	Investment funds and trusts	Other	Total
FINANCIAL ASSETS								
Trading loans, securities, and other	\$ 10,875	\$ 1,114	\$ 6	\$ 11,995	\$ 7,559	\$ 992	\$ –	\$ 8,551
Non-trading financial assets at fair value through profit or loss	4,583	854	178	5,615	684	836	98	1,618
Derivatives ¹	–	1,668	–	1,668	–	680	–	680
Financial assets designated at fair value through profit or loss	176	107	–	283	–	298	–	298
Financial assets at fair value through other comprehensive income	36,650	737	–	37,387	22,615	967	2	23,584
Debt securities at amortized cost, net of allowance for credit losses	93,453	1,210	–	94,663	117,890	1,210	–	119,100
Loans	729	4	–	733	4,114	3	–	4,117
Other	27	7	6,024	6,058	2	88	5,762	5,852
Total assets	146,493	5,701	6,208	158,402	152,864	5,074	5,862	163,800
FINANCIAL LIABILITIES								
Deposits	–	–	1,226	1,226	–	–	1,451	1,451
Derivatives ¹	–	3,988	–	3,988	–	645	–	645
Obligations related to securities sold short	2,703	317	–	3,020	2,324	331	–	2,655
Total liabilities	2,703	4,305	1,226	8,234	2,324	976	1,451	4,751
Off-balance sheet exposure²	57,910	4,253	3,358	65,521	22,897	4,392	2,990	30,279
Maximum exposure to loss from involvement with unconsolidated structured entities	\$ 201,700	\$ 5,649	\$ 8,340	\$ 215,689	\$ 173,437	\$ 8,490	\$ 7,401	\$ 189,328
Size of sponsored unconsolidated structured entities³	\$ 38,029	\$ 69,554	\$ 1	\$ 107,584	\$ 15,850	\$ 45,272	\$ 12	\$ 61,134

¹ Derivatives primarily subject to vanilla interest rate or foreign exchange risk are not included in these amounts as those derivatives are designed to align the structured entity's cash flows with risks absorbed by investors and are not predominantly designed to expose the Bank to variable returns created by the entity.

² For the purposes of this disclosure, off-balance sheet exposure represents the notional value of liquidity facilities, guarantees, or other off-balance sheet commitments without considering the effect of collateral or other credit enhancements.

³ The size of sponsored unconsolidated structured entities is provided based on the most appropriate measure of size for the type of entity: (1) The par value of notes issued by securitization conduits and similar liability issuers; (2) the total AUM of investment funds and trusts; and (3) the total fair value of partnership or equity shares in issue for partnerships and similar equity issuers.

Sponsored Unconsolidated Structured Entities in which the Bank has no Significant Investment at the End of the Period

Sponsored unconsolidated structured entities in which the Bank has no significant investment at the end of the period are predominantly investment funds and trusts created for the asset management business. The Bank would not typically hold investments, with the exception of seed capital, in these structured entities. However, the Bank continues to earn fees from asset management services provided to these entities, some of which could be based on the performance of the fund. Fees payable are generally senior in the entity's priority of payment and would also be backed by collateral, limiting the Bank's exposure to loss from

these entities. The Bank earned non-interest income of \$2.4 billion (October 31, 2024 – \$2.3 billion) from its involvement with these asset management entities for the year ended October 31, 2025, of which \$2.1 billion (October 31, 2024 – \$1.9 billion) was received directly from these entities. The total AUM in these entities as at October 31, 2025 was \$334 billion (October 31, 2024 – \$302.9 billion). Any assets transferred by the Bank during the period are commingled with assets obtained from third parties in the market. Except as previously disclosed, the Bank has no contractual or non-contractual arrangements to provide financial support to unconsolidated structured entities.

NOTE 11

DERIVATIVES

(a) DERIVATIVE PRODUCT TYPES AND RISK EXPOSURES

The majority of the Bank's derivative contracts are OTC transactions that are bilaterally negotiated between the Bank and the counterparty to the contract. The remainder are exchange-traded contracts transacted through organized and regulated exchanges and consist primarily of options and futures.

The Bank's derivative transactions relate to trading and non-trading activities. The purpose of derivatives held for non-trading activities is primarily for managing interest rate, foreign exchange, and equity risk related to the Bank's funding, lending, investment, and other structural market risk management activities. The Bank's risk management strategy for these risks is discussed in shaded sections of the "Managing Risk" section of the MD&A.

Where hedge accounting is applied, only specific or a combination of risk components are hedged, including benchmark interest rate, foreign exchange rate, and equity price components. All these risk components are observable in the relevant market environment and the change in the fair value or the variability in cash flows attributable to these risk components can be reliably measured for hedged items. The Bank also enters into derivative transactions to economically hedge certain exposures that do not otherwise qualify for hedge accounting, or where hedge accounting is not considered feasible.

Where the derivatives are in hedge relationships, the main sources of ineffectiveness can be attributed to differences between hedging instruments and hedged items:

- Differences in fixed rates, when contractual coupons of the fixed rate hedged items are designated;
- CVA on the hedging derivatives; and
- Mismatch in critical terms such as tenor and timing of cash flows between hedging instruments and hedged items.

To mitigate a portion of the ineffectiveness, the Bank designates the benchmark risk component of contractual cash flows of hedged items and executes hedging derivatives with high-quality counterparties. The majority of the Bank's hedging derivatives are collateralized.

Interest Rate Derivatives

Interest rate swaps are OTC contracts in which two counterparties agree to exchange cash flows over a period of time based on rates applied to a specified notional amount. This includes interest rate swaps that are transacted and settled through a clearing house which acts as a central counterparty. A typical interest rate swap would require one counterparty to pay a fixed market interest rate in exchange for a variable market interest rate determined from time to time, with both calculated on a specified notional amount. No exchange of principal amount takes place.

Forward rate agreements are OTC contracts that effectively fix a future interest rate for a period of time. A typical forward rate agreement provides that at a pre-determined future date, a cash settlement will be made between the counterparties based upon the difference between a contracted rate and a market rate to be determined in the future, calculated on a specified notional amount. No exchange of principal amount takes place.

Interest rate options are contracts in which the purchaser of an option pays the writer of the option a premium to acquire the right, but not the obligation, to buy or sell a specified financial instrument at a contracted price on a specified future date, series of future dates, or within a specified time period. The underlying financial instrument will have a market price which varies in response to changes in interest rates. In managing the Bank's interest rate exposure, the Bank acts as both a writer and purchaser of these options. Options are transacted both OTC and through exchanges.

Interest rate futures are standardized contracts transacted on an exchange, with interest bearing instruments as the underlying reference assets. These contracts differ from forward rate agreements in that they are in standard amounts with standard settlement dates and are transacted on an exchange.

The Bank uses interest rate swaps to hedge its exposure to benchmark interest rate risk by modifying the repricing or maturity characteristics of existing and/or forecast assets and liabilities, including funding and investment activities. These swaps are designated in either fair value hedges against fixed rate assets/liabilities or cash flow hedges against floating rate assets/liabilities. For fair value hedges, the Bank assesses and measures the hedge effectiveness based on the change in the fair value of the derivative hedging instrument relative to the change in the fair value of the hedged item. For cash flow hedges, the Bank uses a hypothetical derivative having terms that identically match the critical terms of the hedged item as the proxy for measuring the change in cash flows of the hedged item.

Foreign Exchange Derivatives

Foreign exchange forwards are OTC contracts in which one counterparty contracts with another to exchange a specified amount of one currency for a specified amount of a second currency, at a future date or range of dates.

Swap contracts comprise foreign exchange swaps and cross-currency interest rate swaps. Foreign exchange swaps are transactions in which a foreign currency is simultaneously purchased in the spot market and sold in the forward market, or vice-versa. Cross-currency interest rate

swaps are transactions in which counterparties exchange principal and interest cash flows in different currencies over a period of time. These contracts are used to manage either currency or currency and interest rate risk exposures.

Foreign exchange contract options are OTC or exchange-traded contracts in which the purchaser of an option pays the writer of the option a premium to purchase the right, but not the obligation, to buy or sell a specified amount of one currency at a predetermined exchange rate on or before a specified future date.

Foreign exchange futures contracts are similar to foreign exchange forward contracts but differ in that they are in standard currency amounts with standard settlement dates and are transacted on an exchange.

The Bank uses non-derivative instruments such as foreign currency deposit liabilities and derivative instruments such as cross-currency swaps and foreign exchange forwards to hedge its foreign currency exposure. These hedging instruments are designated in either net investment hedges or cash flow hedges. For net investment hedges, the Bank assesses and measures the hedge effectiveness based on the change in the fair value of the hedging instrument relative to the translation gains and losses on the net investment in the foreign operation. For cash flow hedges, the Bank assesses and measures the hedge effectiveness based on the change in the fair value of the hedging instrument relative to the change in the cash flows of the foreign currency denominated asset/liability attributable to foreign exchange risk, using the hypothetical derivative method.

Credit Derivatives

The Bank uses credit derivatives such as credit default swaps (CDS) and total return swaps to manage risks in the Bank's corporate loan portfolio and other cash instruments, as well as managing counterparty credit risk on derivatives. Credit risk is the risk of loss if a borrower or counterparty in a transaction fails to meet its agreed payment obligations. The Bank uses credit derivatives to mitigate industry concentration and borrower-specific exposure as part of the Bank's portfolio risk management techniques. The credit, legal, and other risks associated with these transactions are controlled through well established procedures. The Bank's policy is to enter into these transactions with investment grade financial institutions. Credit risk to these counterparties is managed through the same approval, limit, and monitoring processes that is used for all counterparties to which the Bank has credit exposure.

Credit derivatives are OTC contracts designed to transfer the credit risk in an underlying financial instrument (usually termed as a reference asset) from one counterparty to another. The most common credit derivatives are CDS, which include contracts transacted through clearing houses, and total return swaps. In CDS contracts, the CDS purchaser acquires credit protection on a reference asset or group of assets from a writer of CDS in exchange for a premium. The purchaser may pay the agreed premium at inception or over a period of time. The credit protection compensates the purchaser for deterioration in value of the reference asset or group of assets upon the occurrence of certain credit events such as bankruptcy, or changes in specified credit rating or credit index. Settlement may be cash based or physical, requiring the delivery of the reference asset to the CDS writer. In total return swap contracts, one counterparty agrees to pay or receive from the other cash amounts based on changes in the value of a reference asset or group of assets, including any returns such as interest earned on these assets in exchange for amounts that are based on prevailing market funding rates. These cash settlements are made regardless of whether there is a credit event.

Other Derivatives

The Bank also transacts in equity and commodity derivatives in both exchange and OTC markets.

Equity swaps are OTC contracts in which one counterparty agrees to pay, or receive from the other, cash amounts based on changes in the value of a stock index, a basket of stocks or a single stock. These contracts sometimes include a payment in respect of dividends.

Equity options give the purchaser of the option, for a premium, the right, but not the obligation, to buy from or sell to the writer of an option, an underlying stock index, basket of stocks or a single stock at a contracted price. Options are transacted both OTC and through exchanges.

Equity index futures are standardized contracts transacted on an exchange. They are based on an agreement to pay or receive a cash amount based on the difference between the contracted price level of an underlying stock index and its corresponding market price level at a specified future date. There is no actual delivery of stocks that comprise the underlying index. These contracts are in standard amounts with standard settlement dates.

Equity forwards are OTC contracts in which one counterparty contracts with another to buy or sell a single stock or stock index, or to settle the contract in cash based on changes in the value of a reference asset, at a future date.

Commodity and other contracts include commodity forwards, futures, swaps, and options, such as precious metals and energy-related products in both OTC and exchange markets.

The Bank applies hedge accounting on certain equity forwards and/or total return swaps to hedge exposure to equity price risk. These derivatives are designated as cash flow hedges. The Bank assesses and measures the hedge effectiveness based on the change in the fair value of the hedging instrument relative to the change in the cash flows of the hedged item attributable to movement in equity price, using the hypothetical derivative method.

Fair Value of Derivatives

(millions of Canadian dollars)

	October 31, 2025		October 31, 2024	
	Fair value as at balance sheet date		Fair value as at balance sheet date	
	Positive	Negative	Positive	Negative
Derivatives held or issued for trading purposes				
Interest rate contracts ¹				
Forward rate agreements	\$ 119	\$ 93	\$ 232	\$ 48
Swaps	7,968	6,432	11,971	9,470
Options written	–	1,121	–	1,118
Options purchased	1,237	–	1,210	–
Total interest rate contracts	9,324	7,646	13,413	10,636
Foreign exchange contracts ¹				
Forward contracts	3,585	1,935	3,617	2,521
Swaps	14,776	14,845	15,456	14,304
Cross-currency interest rate swaps	24,854	23,378	24,366	22,496
Options written	–	575	–	619
Options purchased	503	–	507	–
Total foreign exchange contracts	43,718	40,733	43,946	39,940
Credit derivative contracts				
Credit default swaps – protection purchased	12	311	–	294
Credit default swaps – protection sold	32	1	5	2
Total credit derivative contracts	44	312	5	296
Other contracts				
Equity contracts	9,485	16,808	5,286	6,636
Commodity and other contracts	5,619	7,054	5,321	5,545
Total other contracts	15,104	23,862	10,607	12,181
Fair value – trading	68,190	72,553	67,971	63,053
Derivatives held or issued for non-trading purposes				
Interest rate contracts				
Forward rate agreements	–	–	8	–
Swaps	1,680	2,006	2,005	2,807
Options written	–	–	–	1
Options purchased	–	2	16	–
Total interest rate contracts	1,680	2,008	2,029	2,808
Foreign exchange contracts				
Forward contracts	35	1,129	386	494
Swaps	29	1	80	20
Cross-currency interest rate swaps	9,827	662	6,649	524
Total foreign exchange contracts	9,891	1,792	7,115	1,038
Credit derivative contracts				
Credit default swaps – protection purchased	–	128	1	107
Total credit derivative contracts	–	128	1	107
Other contracts				
Equity contracts	3,211	2,875	945	1,362
Total other contracts	3,211	2,875	945	1,362
Fair value – non-trading	14,782	6,803	10,090	5,315
Total fair value	\$ 82,972	\$ 79,356	\$ 78,061	\$ 68,368

¹ The fair values of interest rate futures and foreign exchange futures are immaterial and therefore excluded from this table.

The following table distinguishes derivatives held or issued for non-trading purposes between those that have been designated in qualifying hedge accounting relationships and those which have not been designated in qualifying hedge accounting relationships as at October 31, 2025 and October 31, 2024.

Fair Value of Non-Trading Derivatives¹

(millions of Canadian dollars)

(millions of Canadian dollars)										As at
October 31, 2025										
Derivative Assets						Derivative Liabilities				
Derivatives in qualifying hedging relationships			Derivatives not in qualifying hedging relationships	Total	Derivatives in qualifying hedging relationships			Derivatives not in qualifying hedging relationships	Total	
Fair value	Cash flow	Net investment			Fair value	Cash flow	Net investment			
Derivatives held or issued for non-trading purposes										
Interest rate contracts	\$ 1,275	\$ 199	\$ –	\$ 206	\$ 1,680	\$ 300	\$ 771	\$ –	\$ 937	\$ 2,008
Foreign exchange contracts	–	9,651	11	229	9,891	–	1,485	286	21	1,792
Credit derivative contracts	–	–	–	–	–	–	–	–	128	128
Other contracts	–	1,808	–	1,403	3,211	–	21	–	2,854	2,875
Fair value – non-trading	\$ 1,275	\$ 11,658	\$ 11	\$ 1,838	\$ 14,782	\$ 300	\$ 2,277	\$ 286	\$ 3,940	\$ 6,803
October 31, 2024										
Derivatives held or issued for non-trading purposes										
Interest rate contracts	\$ 932	\$ 123	\$ –	\$ 974	\$ 2,029	\$ 309	\$ 1,290	\$ –	\$ 1,209	\$ 2,808
Foreign exchange contracts	–	6,945	–	170	7,115	–	846	–	192	1,038
Credit derivative contracts	–	–	–	1	1	–	–	–	107	107
Other contracts	–	337	–	608	945	–	132	–	1,230	1,362
Fair value – non-trading	\$ 932	\$ 7,405	\$ –	\$ 1,753	\$ 10,090	\$ 309	\$ 2,268	\$ –	\$ 2,738	\$ 5,315

¹ Certain derivative assets qualify to be offset with certain derivative liabilities on the Consolidated Balance Sheet. Refer to Note 6 for further details.

Fair Value Hedges

The following table presents the effects of fair value hedges on the Consolidated Balance Sheet and the Consolidated Statement of Income.

Fair Value Hedges

(millions of Canadian dollars)

For the years ended or as at

	October 31, 2025					
	Change in value of hedged items for ineffectiveness measurement	Change in fair value of hedging instruments for ineffectiveness measurement	Hedge ineffectiveness	Carrying amounts for hedged items	Accumulated amount of fair value hedge adjustments on hedged items ^{1,2}	Accumulated amount of fair value hedge adjustments on de-designated hedged items
Assets						
Interest rate risk						
Debt securities at amortized cost	\$ 2,031	\$ (2,033)	\$ (2)	\$ 112,729	\$ (7,849)	\$ (3,195)
Financial assets at fair value through other comprehensive income	1,616	(1,618)	(2)	93,230	472	18
Loans	517	(514)	3	31,906	(14)	(5)
Total assets	4,164	(4,165)	(1)	237,865	(7,391)	(3,182)
Liabilities						
Interest rate risk						
Deposits	(1,090)	1,088	(2)	165,311	(875)	27
Securitization liabilities at amortized cost	(141)	141	–	8,599	169	–
Subordinated notes and debentures	(53)	53	–	2,825	82	(54)
Total liabilities	(1,284)	1,282	(2)	176,735	(624)	(27)
Total	\$ 2,880	\$ (2,883)	\$ (3)			
October 31, 2024						
Assets						
Interest rate risk						
Debt securities at amortized cost	\$ 6,856	\$ (6,899)	\$ (43)	\$ 113,323	\$ (10,995)	\$ (3,015)
Financial assets at fair value through other comprehensive income	3,127	(3,146)	(19)	53,253	(1,086)	(71)
Loans	1,789	(1,798)	(9)	52,765	(328)	4
Total assets	11,772	(11,843)	(71)	219,341	(12,409)	(3,082)
Liabilities						
Interest rate risk						
Deposits	(2,291)	2,265	(26)	125,519	(3,543)	(136)
Securitization liabilities at amortized cost	(163)	163	–	6,865	68	–
Subordinated notes and debentures	(50)	50	–	3,158	27	(91)
Total liabilities	(2,504)	2,478	(26)	135,542	(3,448)	(227)
Total	\$ 9,268	\$ (9,365)	\$ (97)			

¹ The Bank has portfolios of fixed rate financial assets and liabilities whereby the principal amount changes frequently due to originations, issuances, maturities and prepayments. The interest rate risk hedges on these portfolios are rebalanced dynamically.

² Reported balances represent adjustments to the carrying values of hedged items as included in the "Carrying amounts for hedged items" column in this table.

Cash Flow Hedges and Net Investment Hedges

The following table presents the effects of cash flow hedges and net investment hedges on the Bank's Consolidated Statement of Income and the Consolidated Statement of Comprehensive Income.

Cash Flow and Net Investment Hedges

(millions of Canadian dollars)

For the years ended

	October 31, 2025					
	Change in value of hedged items for ineffectiveness measurement	Change in fair value of hedging instruments for ineffectiveness measurement	Hedge ineffectiveness	Hedging gains (losses) recognized in other comprehensive income ¹	Amount reclassified from accumulated other comprehensive income (loss) to earnings ¹	Net change in other comprehensive income (loss) ¹
Cash flow hedges²						
Interest rate risk ³	\$ (1,859)	\$ 1,860	\$ 1	\$ 1,619	\$ (1,048)	\$ 2,667
Foreign exchange risk ^{4,5,6}	(5,199)	5,201	2	4,679	4,559	120
Equity price risk	(1,531)	1,542	11	1,542	1,347	195
Total cash flow hedges	\$ (8,589)	\$ 8,603	\$ 14	\$ 7,840	\$ 4,858	\$ 2,982
Net investment hedges⁷	\$ 1,088	\$ (1,088)	\$ –	\$ (1,088)	\$ (799)	\$ (289)
October 31, 2024						
Cash flow hedges²						
Interest rate risk ³	\$ (3,602)	\$ 3,606	\$ 4	\$ 2,128	\$ (2,311)	\$ 4,439
Foreign exchange risk ^{4,5,6}	(1,863)	1,867	4	1,287	2,204	(917)
Equity price risk	56	(59)	(3)	(59)	(66)	7
Total cash flow hedges	\$ (5,409)	\$ 5,414	\$ 5	\$ 3,356	\$ (173)	\$ 3,529
Net investment hedges	\$ 457	\$ (457)	\$ –	\$ (457)	\$ (41)	\$ (416)

¹ Effects on OCI are presented on a pre-tax basis.

² During the years ended October 31, 2025 and October 31, 2024, there were no instances where forecast hedged transactions failed to occur.

³ Hedged items include forecast interest cash flows on loans, deposits, and securitization liabilities.

⁴ For non-derivative instruments designated as hedging foreign exchange risk, fair value change is measured as the gains and losses due to spot foreign exchange movements.

⁵ Cross-currency swaps may be used to hedge 1) foreign exchange risk, or 2) a combination of interest rate risk and foreign exchange risk in a single hedge relationship. Cross-currency swaps in both types of hedge relationships are disclosed in the foreign exchange risk category.

⁶ Hedged items include principal and interest cash flows on foreign denominated securities, loans, deposits, other liabilities, and subordinated notes and debentures.

⁷ The amount reclassified from accumulated other comprehensive income (loss) to earnings relates to the sale of the Bank's equity investment in Schwab.

Reconciliation of Accumulated Other Comprehensive Income (Loss)¹

(millions of Canadian dollars)

For the years ended

	October 31, 2025				
	Accumulated other comprehensive income (loss) at beginning of year	Net changes in other comprehensive income (loss)	Accumulated other comprehensive income (loss) at end of year	Accumulated other comprehensive income (loss) on designated hedges	Accumulated other comprehensive income (loss) on de-designated hedges
Cash flow hedges					
Interest rate risk	\$ (2,002)	\$ 2,667	\$ 665	\$ 1,727	\$ (1,062)
Foreign exchange risk	(2,008)	120	(1,888)	(1,888)	–
Equity price risk	(14)	195	181	181	–
Total cash flow hedges	\$ (4,024)	\$ 2,982	\$ (1,042)	\$ 20	\$ (1,062)
Net investment hedges					
Foreign translation risk	\$ (6,768)	\$ (289)	\$ (7,057)	\$ (7,057)	\$ –
October 31, 2024					
Cash flow hedges					
Interest rate risk	\$ (6,441)	\$ 4,439	\$ (2,002)	\$ 455	\$ (2,457)
Foreign exchange risk	(1,091)	(917)	(2,008)	(2,008)	–
Equity price risk	(21)	7	(14)	(14)	–
Total cash flow hedges	\$ (7,553)	\$ 3,529	\$ (4,024)	\$ (1,567)	\$ (2,457)
Net investment hedges					
Foreign translation risk	\$ (6,352)	\$ (416)	\$ (6,768)	\$ (6,768)	\$ –

¹ Presented on a pre-tax basis.

(b) NOTIONAL AMOUNTS

The notional amounts are not recorded as assets or liabilities as they represent the face amount of the contract to which a rate or price is applied to determine the amount of cash flows to be exchanged. Notional amounts do not represent the potential gain or loss associated with

the market risk nor are they indicative of the credit risk associated with derivative financial instruments.

The following table discloses the notional amount of OTC and exchange-traded derivatives.

Over-the-Counter and Exchange-Traded Derivatives

(millions of Canadian dollars)

					October 31 2025		As at October 31 2024
	Over-the-Counter ¹		Trading				
	Clearing house ²	Non clearing house	Exchange- traded	Total	Non- trading ³	Total	Total
Notional							
Interest rate contracts							
Futures	\$ –	\$ –	\$ 1,207,135	\$ 1,207,135	\$ –	\$ 1,207,135	\$ 761,112
Forward rate agreements	942,703	31,384	–	974,087	579	974,666	574,289
Swaps	19,608,951	623,143	–	20,232,094	1,910,412	22,142,506	19,839,245
Options written	–	150,130	53,654	203,784	105	203,889	99,490
Options purchased	–	171,046	56,203	227,249	3	227,252	119,511
Total interest rate contracts	20,551,654	975,703	1,316,992	22,844,349	1,911,099	24,755,448	21,393,647
Foreign exchange contracts							
Forward contracts	48	456,331	–	456,379	26,687	483,066	380,615
Swaps	–	1,824,527	–	1,824,527	2,160	1,826,687	1,692,601
Cross-currency interest rate swaps	–	1,716,271	–	1,716,271	181,907	1,898,178	1,669,577
Options written	–	62,931	326	63,257	–	63,257	56,777
Options purchased	–	58,215	40	58,255	–	58,255	49,359
Total foreign exchange contracts	48	4,118,275	366	4,118,689	210,754	4,329,443	3,848,929
Credit derivative contracts							
Credit default swaps – protection purchased	13,907	1,934	–	15,841	2,890	18,731	15,504
Credit default swaps – protection sold	1,889	329	–	2,218	–	2,218	1,893
Total credit derivative contracts	15,796	2,263	–	18,059	2,890	20,949	17,397
Other contracts							
Equity contracts	–	218,155	191,085	409,240	32,295	441,535	278,028
Commodity and other contracts	174	99,416	188,539	288,129	–	288,129	245,595
Total other contracts	174	317,571	379,624	697,369	32,295	729,664	523,623
Total	\$ 20,567,672	\$ 5,413,812	\$ 1,696,982	\$ 27,678,466	\$ 2,157,038	\$ 29,835,504	\$ 25,783,596

¹ Collateral held under a Credit Support Annex to help reduce counterparty credit risk is in the form of high-quality and liquid assets such as cash and high-quality government securities. Acceptable collateral is governed by the Collateralized Trading Policy.

² Derivatives executed through a central clearing house reduce settlement risk due to the ability to net settle offsetting positions for capital purposes and therefore receive preferential capital treatment compared to those settled with non-central clearing house counterparties.

³ Includes \$1,762 billion of OTC derivatives that are transacted with clearing houses (October 31, 2024 – \$1,532 billion) and \$395 billion of OTC derivatives that are transacted with non-clearing houses (October 31, 2024 – \$394 billion). There were no exchange-traded derivatives both as at October 31, 2025 and October 31, 2024.

The following table distinguishes the notional amount of derivatives held or issued for non-trading purposes between those that have been designated in qualifying hedge accounting relationships and those which have not been designated in qualifying hedge accounting relationships.

Notional of Non-Trading Derivatives

(millions of Canadian dollars)

	As at				
	October 31, 2025				
	Derivatives in qualifying hedging relationships			Derivatives not in qualifying hedging relationships	Total
Derivatives held or issued for hedging (non-trading) purposes	Fair value	Cash flow ¹	Net Investment ¹		
Interest rate contracts	\$ 436,988	\$ 380,109	\$ –	\$ 1,094,002	\$ 1,911,099
Foreign exchange contracts	–	172,269	23,220	15,265	210,754
Credit derivative contracts	–	–	–	2,890	2,890
Other contracts	–	2,551	–	29,744	32,295
Total notional non-trading	\$ 436,988	\$ 554,929	\$ 23,220	\$ 1,141,901	\$ 2,157,038

October 31, 2024					
Interest rate contracts	\$ 395,687	\$ 340,741	\$ –	\$ 974,641	\$ 1,711,069
Foreign exchange contracts	–	159,693	–	15,771	175,464
Credit derivative contracts	–	–	–	2,708	2,708
Other contracts	–	2,409	–	33,640	36,049
Total notional non-trading	\$ 395,687	\$ 502,843	\$ –	\$ 1,026,760	\$ 1,925,290

¹ Certain cross-currency swaps are executed using multiple derivatives, including interest rate swaps. These derivatives are used to hedge foreign exchange rate risk in cash flow hedges and net investment hedges.

The following table discloses the notional principal amount of OTC derivatives and exchange-traded derivatives based on their contractual terms to maturity.

Derivatives by Remaining Term-to-Maturity

(millions of Canadian dollars)

Notional Principal	October 31				October 31
	2025				2024
	Within 1 year	Over 1 year to 5 years	Over 5 years	Total	Total
Interest rate contracts					
Futures	\$ 891,230	\$ 315,905	\$ –	\$ 1,207,135	\$ 761,112
Forward rate agreements	946,656	28,010	–	974,666	574,289
Swaps	7,262,622	9,998,401	4,881,483	22,142,506	19,839,245
Options written	159,225	41,237	3,427	203,889	99,490
Options purchased	165,281	59,498	2,473	227,252	119,511
Total interest rate contracts	9,425,014	10,443,051	4,887,383	24,755,448	21,393,647
Foreign exchange contracts					
Forward contracts	461,515	19,334	2,217	483,066	380,615
Swaps	1,781,558	42,098	3,031	1,826,687	1,692,601
Cross-currency interest rate swaps	551,107	945,450	401,621	1,898,178	1,669,577
Options written	58,108	5,149	–	63,257	56,777
Options purchased	53,584	4,666	5	58,255	49,359
Total foreign exchange contracts	2,905,872	1,016,697	406,874	4,329,443	3,848,929
Credit derivative contracts					
Credit default swaps – protection purchased	4,943	8,716	5,072	18,731	15,504
Credit default swaps – protection sold	554	1,119	545	2,218	1,893
Total credit derivative contracts	5,497	9,835	5,617	20,949	17,397
Other contracts					
Equity contracts	338,989	90,121	12,425	441,535	278,028
Commodity and other contracts	256,783	30,286	1,060	288,129	245,595
Total other contracts	595,772	120,407	13,485	729,664	523,623
Total	\$ 12,932,155	\$ 11,589,990	\$ 5,313,359	\$ 29,835,504	\$ 25,783,596

The following table discloses the notional amount and average price of derivative instruments designated in qualifying hedge accounting relationships.

Hedging Instruments by Remaining Term-to-Maturity

(millions of Canadian dollars, except as noted)

	October 31 2025				As at October 31 2024
	Within 1 year	Over 1 year to 5 years	Over 5 years	Total	Total
Notional					
Interest rate risk					
Interest rate swaps					
Notional – pay fixed	\$ 15,114	\$ 126,746	\$ 106,458	\$ 248,318	\$ 230,740
Average fixed interest rate %	2.77	3.02	2.58		
Notional – received fixed	121,601	190,068	44,210	355,879	317,149
Average fixed interest rate %	3.04	3.01	3.15		
Total notional – interest rate risk	136,715	316,814	150,668	604,197	547,889
Foreign exchange risk¹					
Forward contracts					
Notional – USD/CAD	2,127	3,902	38	6,067	7,816
Average FX forward rate	1.31	1.31	1.30		
Notional – EUR/CAD	2,808	14,007	2,756	19,571	15,141
Average FX forward rate	1.59	1.55	1.60		
Notional – other	257	–	–	257	901
Cross-currency swaps^{2,3}					
Notional – USD/CAD	39,860	29,184	11,449	80,493	46,944
Average FX rate	1.36	1.35	1.32		
Notional – EUR/CAD	15,336	34,779	14,373	64,488	61,877
Average FX rate	1.45	1.47	1.49		
Notional – GBP/CAD	–	8,189	–	8,189	9,760
Average FX rate	–	1.68	–		
Notional – other currency pairs ⁴	5,997	9,101	1,326	16,424	17,254
Total notional – foreign exchange risk	66,385	99,162	29,942	195,489	159,693
Equity Price Risk					
Notional – equity contracts	2,551	–	–	2,551	2,409
Total notional	\$ 205,651	\$ 415,976	\$ 180,610	\$ 802,237	\$ 709,991

¹ Foreign currency denominated deposit liabilities are also used to hedge foreign exchange risk. Includes \$60.3 billion (October 31, 2024 – \$77.4 billion) of the carrying value of these non-derivative hedging instruments designated under net investment hedges.

² Cross-currency swaps may be used to hedge 1) foreign exchange risk, or 2) a combination of interest rate risk and foreign exchange risk in a single hedge relationship. Cross-currency swaps in both types of hedge relationships are disclosed in the foreign exchange risk category.

³ Certain cross-currency swaps are executed using multiple derivatives, including interest rate swaps. The notional amount of these interest rate swaps, excluded from the above, is \$212.9 billion as at October 31, 2025 (October 31, 2024 – \$188.5 billion).

⁴ Includes derivatives executed to manage non-trading foreign currency exposures, when more than one currency is involved prior to hedging to the Canadian dollar, or when the currency pair is not a significant exposure for the Bank.

(c) DERIVATIVE-RELATED RISKS

Market Risk

Derivatives, in the absence of any compensating upfront cash payments, generally have no market value at inception. They obtain value, positive or negative, as relevant interest rates, foreign exchange rates, equity, commodity or credit prices or indices change, such that the previously contracted terms of the derivative transactions have become more or less favourable than what can be negotiated under current market conditions for contracts with the same terms and the same remaining period to expiry. The potential for derivatives to increase or decrease in value as a result of the foregoing factors is generally referred to as market risk.

Credit Risk

Credit risk on derivatives, also known as counterparty credit risk, is the risk of a financial loss occurring as a result of the failure of a counterparty to meet its obligation to the Bank.

Derivative-related credit risks are subject to the same credit approval, limit and monitoring standards that are used for managing other

transactions that create credit exposure. This includes evaluating the creditworthiness of counterparties, and managing the size, diversification and maturity structure of the portfolios. The Bank actively engages in risk mitigation strategies through the use of multi-product derivative master netting agreements, collateral and other risk mitigation techniques. Master netting agreements reduce risk to the Bank by allowing the Bank to close out and net transactions with counterparties subject to such agreements upon the occurrence of certain events. The current replacement cost and credit equivalent amount shown in the following table are based on the standardized approach for counterparty credit risk. According to this approach, the current replacement cost accounts for the fair value of the positions, posted and received collateral, and master netting agreement clauses. The credit equivalent amount is the sum of the current replacement cost and the potential future exposure, which is calculated by applying factors determined by OSFI to the notional principal amount of the derivatives. The risk-weighted amount is determined by applying the adequate risk weights to the credit equivalent amount.

Credit Exposure of Derivatives

(millions of Canadian dollars)

	As at					
	October 31, 2025			October 31, 2024		
	Current replacement cost	Credit equivalent amount	Risk-weighted amount	Current replacement cost	Credit equivalent amount	Risk-weighted amount
Interest rate contracts						
Forward rate agreements	\$ 49	\$ 162	\$ 61	\$ 35	\$ 102	\$ 29
Swaps	2,838	8,962	1,323	4,215	11,037	964
Options written	5	147	26	7	140	26
Options purchased	10	151	29	17	123	23
Total interest rate contracts	2,902	9,422	1,439	4,274	11,402	1,042
Foreign exchange contracts						
Forward contracts	1,064	5,180	978	1,746	5,643	1,022
Swaps	2,802	16,099	2,373	3,234	16,136	2,246
Cross-currency interest rate swaps	3,358	15,195	1,574	4,124	17,176	1,515
Options written	34	334	74	36	291	59
Options purchased	43	279	68	50	239	64
Total foreign exchange contracts	7,301	37,087	5,067	9,190	39,485	4,906
Other contracts						
Credit derivatives	–	192	26	–	207	30
Equity contracts	729	12,531	2,994	669	8,964	2,348
Commodity and other contracts	746	4,777	1,044	1,115	5,752	848
Total other contracts	1,475	17,500	4,064	1,784	14,923	3,226
Total derivatives	11,678	64,009	10,570	15,248	65,810	9,174
Qualifying Central Counterparty Contracts	11,772	24,449	797	10,529	19,117	652
Total	\$ 23,450	\$ 88,458	\$ 11,367	\$ 25,777	\$ 84,927	\$ 9,826

Current Replacement Cost of Derivatives

(millions of Canadian dollars, except as noted)

By sector	As at							
	Canada ¹		United States ¹		Other international ¹		Total	
	October 31 2025	October 31 2024	October 31 2025	October 31 2024	October 31 2025	October 31 2024	October 31 2025	October 31 2024
Financial	\$ 3,367	\$ 4,647	\$ 56	\$ 38	\$ 605	\$ 272	\$ 4,028	\$ 4,957
Government	2,695	3,594	77	98	1,018	2,618	3,790	6,310
Other	1,818	1,670	673	639	1,369	1,671	3,860	3,980
Total current replacement cost	\$ 7,880	\$ 9,911	\$ 806	\$ 775	\$ 2,992	\$ 4,561	\$ 11,678	\$ 15,247

By location of risk	October 31 2025	October 31 2024	October 31 2025 % mix	October 31 2024 % mix
Canada	\$ 3,237	\$ 3,737	27.7%	24.5%
United States	3,930	4,937	33.7	32.4
Other international				
United Kingdom	717	775	6.1	5.1
Europe – other	1,919	2,828	16.4	18.5
Other	1,875	2,970	16.1	19.5
Total Other international	4,511	6,573	38.6	43.1
Total current replacement cost	\$ 11,678	\$ 15,247	100.0%	100.0%

¹ Based on geographic location of unit responsible for recording revenue.

Certain of the Bank's derivative contracts are governed by master derivative agreements having provisions that may permit the Bank's counterparties to require, upon the occurrence of a certain contingent event: (1) the posting of collateral or other acceptable remedy such as assignment of the affected contracts to an acceptable counterparty; or (2) settlement of outstanding derivative contracts. Most often, these contingent events are in the form of a downgrade of the senior debt rating of the Bank, either as counterparty or as guarantor of one of the Bank's subsidiaries. At October 31, 2025, the aggregate net liability position of those contracts would require: (1) the posting of collateral or other acceptable remedy totalling \$331 million (October 31, 2024 – \$511 million) in the event of a one-notch or two-notch downgrade in the Bank's senior debt rating; and (2) funding totalling \$358 million (October 31, 2024 – \$134 million) following the termination and settlement of outstanding derivative contracts in the event of a one-notch or two-notch downgrade in the Bank's senior debt rating.

Certain of the Bank's derivative contracts are governed by master derivative agreements having credit support provisions that permit

the Bank's counterparties to call for collateral depending on the net mark-to-market exposure position of all derivative contracts governed by that master derivative agreement. Some of these agreements may permit the Bank's counterparties to require, upon the downgrade of the senior debt ratings of the Bank, to post additional collateral. As of October 31, 2025, the fair value of all derivative instruments with credit risk related contingent features in a net liability position was \$17 billion (October 31, 2024 – \$16 billion). The Bank has posted \$18 billion (October 31, 2024 – \$17 billion) of collateral for this exposure in the normal course of business. As of October 31, 2025, the impact of a one-notch downgrade in the Bank's senior debt ratings would require the Bank to post an additional \$1,015 million (October 31, 2024 – \$49 million) of collateral to that posted in the normal course of business. The increase is attributable to the clarification of downgrade requirements under a single Credit Support Annex with no economic impact. A two-notch downgrade in the Bank's senior debt ratings would require the Bank to post an additional \$1,536 million (October 31, 2024 – \$1,228 million) of collateral to that posted in the normal course of business.

(d) IMPACT FROM TERMINATED FIRST HORIZON ACQUISITION-RELATED CAPITAL HEDGING STRATEGY

Prior to the termination of the merger agreement with First Horizon on May 4, 2023, the Bank had implemented a strategy to mitigate the impact of interest rate volatility to capital on closing of the acquisition. In order to mitigate this impact, the Bank de-designated certain interest rate swaps hedging fixed income investments in fair value hedge accounting relationships. As a result of the de-designation, mark-to-market gains (losses) on these swaps were recognized in earnings, without any corresponding offset from the previously hedged investments. The de-designation also triggered the amortization of the investments' basis adjustment to net interest income over the remaining expected life of the investments.

Following the announcement to terminate the merger agreement, the Bank discontinued this strategy and reinstated hedge accounting on the portfolio of fixed income investments using new swaps entered into at higher market rates. The impact from the higher swap rates and the basis adjustment amortization discussed above is reported in net interest income. Income recognized from this strategy will reverse over time causing a decrease to net interest income. This impact is expected to continue until fiscal 2029. For the year ended October 31, 2025, the decrease to net interest income was \$205 million (October 31, 2024 – \$242 million), recorded in the Corporate segment.

NOTE 12 INVESTMENTS IN ASSOCIATES AND JOINT VENTURES

INVESTMENT IN THE CHARLES SCHWAB CORPORATION

On February 12, 2025, the Bank sold its entire remaining equity investment in Schwab through a registered offering and share repurchase by Schwab. Immediately prior to the sale, TD held 184.7 million shares of Schwab's common stock, representing 10.1% economic ownership. The sale of the shares resulted in proceeds of \$21.0 billion and the Bank recognized in Other income (loss) a net gain on sale of \$9.2 billion. This gain is net of the release of related cumulative foreign currency translation from AOCI, the release of AOCI on designated net investment hedging items, and direct transaction costs. For segment reporting, the Bank recognized an after-tax gain of \$8.6 billion in its Corporate segment and \$184 million of underwriting fees in its Wholesale segment as a result of TD Securities acting as a lead bookrunner on the transaction.

The Bank discontinued recording its share of earnings available to common shareholders from its investment in Schwab following the sale. The Bank's share of net income from its prior investment in Schwab of \$305 million during the year ended October 31, 2025, reflects net income after adjustments for amortization of certain intangibles net of tax.

The stockholder agreement to which the Bank and Schwab were party (the "Stockholder Agreement") was terminated by the Bank's sale of its equity investment in Schwab. The Bank continues to have a business relationship with Schwab through the insured deposit account agreement ("Schwab IDA Agreement").

Prior to the sale, the Bank had significant influence over Schwab and the ability to participate in the financial and operational policy-making decisions of Schwab through a combination of the Bank's ownership, board representation and the insured deposit account agreement between the Bank and Schwab. As such, the Bank accounted for its investment in Schwab using the equity method. The Bank's share of Schwab's earnings available to common shareholders was reported with a one-month lag. The Bank took into account changes in the one-month lag period that would significantly affect the results.

On August 21, 2024, the Bank sold 40.5 million shares of common stock of Schwab for proceeds of \$3.4 billion (US\$2.5 billion). The share sale reduced the Bank's ownership interest in Schwab from 12.3% to 10.1%. The Bank recognized \$1.0 billion (US\$0.7 billion) as other income in fiscal 2024.

As at October 31, 2024, the Bank's reported investment in Schwab was approximately 10.1%, consisting of 7.5% of the outstanding voting common shares and the remainder in non-voting common shares of Schwab with an aggregate fair value of \$18 billion (US\$13 billion) based on the closing price of US\$70.83 on the New York Stock Exchange.

Under the Stockholder Agreement, the Bank had the right to designate two members of Schwab's Board of Directors and had representation on two Board Committees, subject to the Bank meeting certain conditions.

The Bank's designated directors were the Bank's former Group President and Chief Executive Officer and the Bank's former Chair of the Board. Under the Stockholder Agreement, the Bank was not permitted to own more than 9.9% voting common shares of Schwab, and the Bank was subject to customary standstill restrictions and subject to certain exceptions, transfer restrictions.

The carrying value of the Bank's prior investment in Schwab of \$9.0 billion as at October 31, 2024 represented the Bank's share of Schwab's stockholders' equity, adjusted for goodwill, other intangibles, and cumulative translation adjustment. The Bank's share of net income from its investment in Schwab of \$703 million during the year ended October 31, 2024, reflects net income after adjustments for amortization of certain intangibles net of tax. The following tables represent the gross amount of Schwab's total assets, liabilities, net revenues, net income available to common stockholders, other comprehensive income (loss), and comprehensive income (loss) for the comparative year.

Summarized Financial Information

(millions of Canadian dollars)	As at
	September 30 2024
Total assets	\$ 630,363
Total liabilities	566,502

(millions of Canadian dollars)	For the year ended September 30
	2024
Total net revenues	\$ 25,493
Total net income available to common stockholders	6,376
Total other comprehensive income (loss)	8,356
Total comprehensive income (loss)	14,732

Insured Deposit Account Agreement

On May 4, 2023, the Bank and Schwab entered into an amended Schwab IDA Agreement, with an initial expiration of July 1, 2034. Pursuant to the Schwab IDA Agreement, the Bank makes sweep deposit accounts available to clients of Schwab. Schwab designates a portion of the deposits with the Bank as fixed-rate obligation amounts (FROA). Remaining deposits are designated as floating-rate obligations. The FROA floor is set at US\$60 billion.

Refer to Note 26 for further details on the Schwab IDA Agreement.

INVESTMENTS IN OTHER ASSOCIATES OR JOINT VENTURES

Except for Schwab as disclosed above, the Bank did not have investments in associates or joint ventures which were individually material as of October 31, 2025, or October 31, 2024. The carrying amount of the Bank's investments in other associates and joint ventures as at October 31, 2025 was \$5.2 billion (October 31, 2024 – \$4.9 billion), recorded in Other assets on the Consolidated Balance Sheet.

Other associates and joint ventures consisted predominantly of investments in private funds or partnerships that make equity investments, provide debt financing or support community-based tax-advantaged investments. The investments in these entities generate a return primarily through the realization of U.S. federal and state income tax credits, including Low Income Housing Tax Credits, New Markets Tax Credits, and Historic Tax Credits.

NOTE 13 GOODWILL AND OTHER INTANGIBLES

GOODWILL

The recoverable amount of the Bank's CGUs or groups of CGUs is determined from internally developed valuation models that consider various factors and assumptions such as forecasted earnings, growth rates, discount rates, and terminal growth rates. Management is required to use judgment in estimating the recoverable amount of the CGUs or groups of CGUs, and the use of different assumptions and estimates in the calculations could influence the determination of the existence of impairment and the valuation of goodwill. Management believes that the assumptions and estimates used are reasonable and supportable. Where possible, assumptions generated internally are compared to relevant market information. The carrying amounts of the Bank's CGUs or groups of CGUs are determined by management using risk-based capital models to adjust net assets and liabilities by CGU. These models consider various factors including market risk, credit risk, and operational risk, including investment capital (comprised of goodwill and other intangibles). As at the date of the last impairment test, the amount of capital not directly attributable to the CGUs and held within the Corporate segment was approximately \$22.9 billion (2024 – \$11.5 billion) and primarily related to treasury assets and excess capital managed within the Corporate segment. The Bank's capital oversight committees provide oversight to the Bank's capital allocation methodologies.

Key Assumptions

The recoverable amount of each CGU or group of CGUs has been determined based on its estimated value-in-use. In assessing value-in-use, estimated future cash flows based on the Bank's internal forecast are discounted using an appropriate pre-tax discount rate.

The following were the key assumptions applied in the goodwill impairment testing:

Discount Rate

The pre-tax discount rates used reflect current market assessments of the risks specific to each group of CGUs and are dependent on the risk profile and capital requirements of each group of CGUs.

Forecasted Earnings

The earnings included in the goodwill impairment testing for each group of CGUs were based on the Bank's internal forecast, which projects expected cash flows over the next five years, with the exception of the U.S. Personal and Commercial Banking group of CGUs where cash flow projections covering a seven year period were used, which more closely aligns with the long-term strategic growth plan for the business.

Terminal Growth Rates

Beyond the Bank's internal forecast, cash flows were assumed to grow at a steady terminal growth rate. Terminal growth rates were based on the expected long-term growth of gross domestic product and inflation and ranged from 3.7% to 4.2% (2024 – 2.0% to 4.1%).

In considering the sensitivity of the key assumptions discussed above, management determined that a reasonably possible change in any of the above would not result in the recoverable amount of any of the groups of CGUs to be less than their carrying amount.

Goodwill by Segment

(millions of Canadian dollars)

	Canadian Personal and Commercial Banking	U.S. Retail ¹	Wealth Management and Insurance	Wholesale Banking	Total
Carrying amount of goodwill as at November 1, 2023	\$ 902	\$ 14,620	\$ 2,122	\$ 958	\$ 18,602
Additions (disposals) ²	–	–	–	128	128
Foreign currency translation adjustments and other	–	43	3	75	121
Carrying amount of goodwill as at October 31, 2024 ³	\$ 902	\$ 14,663	\$ 2,125	\$ 1,161	\$ 18,851
Additions (disposals)	–	–	–	–	–
Foreign currency translation adjustments and other	1	113	7	8	129
Carrying amount of goodwill as at October 31, 2025³	\$ 903	\$ 14,776	\$ 2,132	\$ 1,169	\$ 18,980

Pre-tax discount rates

2024	9.7–9.9%	10.7–11.8%	10.9–11.0%	14.4%
2025	9.9–10.7	11.0–11.8	11.0–11.9	13.3

¹ Goodwill predominantly relates to U.S. Personal and Commercial Banking.

² Includes adjustments to the purchase price allocation in connection with the Cowen acquisition.

³ Accumulated impairment as at October 31, 2025 and October 31, 2024 was nil.

OTHER INTANGIBLES

The following table presents details of other intangibles as at October 31, 2025 and October 31, 2024.

Other Intangibles

(millions of Canadian dollars)

	Core deposit intangibles	Credit card related intangibles	Internally generated software	Other software	Other intangibles	Total
Cost						
As at November 1, 2023	\$ 2,712	\$ 850	\$ 3,103	\$ 236	\$ 1,556	\$ 8,457
Additions	–	–	961	23	9	993
Disposals	–	–	(5)	(6)	(6)	(17)
Fully amortized intangibles	–	–	(627)	(60)	–	(687)
Foreign currency translation adjustments and other ¹	8	1	(25)	2	36	22
As at October 31, 2024	\$ 2,720	\$ 851	\$ 3,407	\$ 195	\$ 1,595	\$ 8,768
Additions	–	–	1,095	70	–	1,165
Disposals	–	–	(3)	(7)	5	(5)
Fully amortized intangibles	(2,741)	(734)	(300)	(46)	(509)	(4,330)
Foreign currency translation adjustments and other	21	1	(4)	1	(9)	10
As at October 31, 2025	\$ –	\$ 118	\$ 4,195	\$ 213	\$ 1,082	\$ 5,608
Amortization and impairment						
As at November 1, 2023	\$ 2,712	\$ 785	\$ 1,127	\$ 163	\$ 899	\$ 5,686
Disposals	–	–	–	(3)	–	(3)
Impairment losses (reversals)	–	–	–	–	–	–
Amortization charge for the year	–	11	498	32	161	702
Fully amortized intangibles	–	–	(627)	(60)	–	(687)
Foreign currency translation adjustments and other ¹	8	–	(2)	3	17	26
As at October 31, 2024	\$ 2,720	\$ 796	\$ 996	\$ 135	\$ 1,077	\$ 5,724
Disposals	–	–	(7)	(3)	–	(10)
Impairment losses (reversals)	–	–	–	–	–	–
Amortization charge for the year	–	11	586	58	125	780
Fully amortized intangibles	(2,741)	(734)	(300)	(46)	(509)	(4,330)
Foreign currency translation adjustments and other	21	1	13	1	(1)	35
As at October 31, 2025	\$ –	\$ 74	\$ 1,288	\$ 145	\$ 692	\$ 2,199
Net Book Value:						
As at October 31, 2024	\$ –	\$ 55	\$ 2,411	\$ 60	\$ 518	\$ 3,044
As at October 31, 2025	–	44	2,907	68	390	3,409

¹ Includes amounts related to restructuring. Refer to Note 25 for further details.

NOTE 14 LAND, BUILDINGS, EQUIPMENT, OTHER DEPRECIABLE ASSETS, AND RIGHT-OF-USE ASSETS

The following table presents details of the Bank's land, buildings, equipment, and other depreciable assets as at October 31, 2025 and October 31, 2024.

Land, Buildings, Equipment, and Other Depreciable Assets

(millions of Canadian dollars)

	Land	Buildings	Computer equipment	Furniture, fixtures, and other depreciable assets	Leasehold improvements	Total
Cost						
As at November 1, 2023	\$ 919	\$ 2,555	\$ 917	\$ 1,511	\$ 3,679	\$ 9,581
Additions	–	216	153	362	485	1,216
Disposals ¹	–	(9)	(65)	(137)	(127)	(338)
Fully depreciated assets	–	(22)	(143)	(171)	(289)	(625)
Foreign currency translation adjustments and other ²	6	47	(11)	2	42	86
As at October 31, 2024	925	2,787	851	1,567	3,790	9,920
Additions	–	173	167	328	321	989
Disposals ¹	–	(5)	(42)	(92)	(7)	(146)
Fully depreciated assets	–	(46)	(226)	(167)	(347)	(786)
Foreign currency translation adjustments and other ²	(72)	(153)	(13)	6	21	(211)
As at October 31, 2025	\$ 853	\$ 2,756	\$ 737	\$ 1,642	\$ 3,778	\$ 9,766
Accumulated depreciation and impairment losses						
As at November 1, 2023	\$ –	\$ 992	\$ 418	\$ 787	\$ 1,792	\$ 3,989
Depreciation charge for the year	–	93	179	165	298	735
Disposals ¹	–	(9)	(62)	(134)	(108)	(313)
Impairment losses	–	–	11	7	1	19
Fully depreciated assets	–	(22)	(143)	(171)	(289)	(625)
Foreign currency translation adjustments and other ²	–	25	(4)	13	42	76
As at October 31, 2024	–	1,079	399	667	1,736	3,881
Depreciation charge for the year	–	100	176	198	300	774
Disposals ¹	–	(2)	(42)	(90)	(4)	(138)
Impairment losses	–	1	21	5	2	29
Fully depreciated assets	–	(46)	(226)	(167)	(347)	(786)
Foreign currency translation adjustments and other ²	–	(74)	–	29	36	(9)
As at October 31, 2025	\$ –	\$ 1,058	\$ 328	\$ 642	\$ 1,723	\$ 3,751
Net Book Value Excluding Right-of-Use Assets:						
As at October 31, 2024	\$ 925	\$ 1,708	\$ 452	\$ 900	\$ 2,054	\$ 6,039
As at October 31, 2025	853	1,698	409	1,000	2,055	6,015

¹ Cash received from disposals was \$3 million for the year ended October 31, 2025 (October 31, 2024 – \$22 million).

² Includes amounts related to restructuring and adjustments to reclassify held-for-sale items to other assets. Refer to Note 25 for further details.

The following table presents details of the Bank's ROU assets as recorded in accordance with IFRS 16, *Leases*. Refer to Note 17 and Note 25 for the related lease liabilities details.

Right-of-Use Assets Net Book Value

(millions of Canadian dollars)

	Land	Buildings	Computer equipment	Total
As at November 1, 2023	\$ 709	\$ 3,101	\$ 32	\$ 3,842
Additions	3	373	48	424
Depreciation	(97)	(462)	(13)	(572)
Reassessments, modifications, and variable lease payment adjustments	21	130	(20)	131
Terminations and impairment	–	1	–	1
Foreign currency translation adjustments and other	(3)	(25)	–	(28)
As at October 31, 2024	\$ 633	\$ 3,118	\$ 47	\$ 3,798
Additions	3	490	7	500
Depreciation	(92)	(478)	(13)	(583)
Reassessments, modifications, and variable lease payment adjustments	54	295	–	349
Terminations and impairment	–	–	–	–
Foreign currency translation adjustments and other	2	51	–	53
As at October 31, 2025	\$ 600	\$ 3,476	\$ 41	\$ 4,117

**Total Land, Buildings, Equipment, Other Depreciable Assets,
and Right-of-Use Assets Net Book Value**

(millions of Canadian dollars)

	Land	Buildings	Computer equipment	Furniture, fixtures, and other depreciable assets	Leasehold improvements	Total
As at October 31, 2024	\$ 1,558	\$ 4,826	\$ 499	\$ 900	\$ 2,054	\$ 9,837
As at October 31, 2025	1,453	5,174	450	1,000	2,055	10,132

NOTE 15 OTHER ASSETS

Other Assets

(millions of Canadian dollars)

	October 31 2025	As at October 31 2024
Accounts receivable and other items	\$ 9,366	\$ 8,076
Accrued interest	5,674	5,509
Cheques and other items in transit	–	1,656
Current income tax receivable	3,849	4,061
Defined benefit asset (Note 22)	1,111	1,042
Investments in other associates and joint ventures (Note 12)	5,237	4,855
Prepaid expenses	1,815	1,794
Reinsurance contract assets	936	1,188
Total	\$ 27,988	\$ 28,181

NOTE 16 DEPOSITS

Demand deposits are those for which the Bank does not have the right to require notice prior to withdrawal, which primarily include business and government chequing accounts. Notice deposits are those for which the Bank can legally require notice prior to withdrawal, which include both savings and chequing accounts. Term deposits are payable on a given date of maturity and are purchased by customers to earn interest over a

fixed period, with terms ranging from one day to ten years and generally include fixed term deposits, guaranteed investment certificates, senior debt, and similar instruments. The aggregate amount of term deposits in denominations of \$100,000 or more as at October 31, 2025 was \$544 billion (October 31, 2024 – \$546 billion).

Deposits

(millions of Canadian dollars)

							As at	
							October 31 2025	October 31 2024
	By Type			By Country			Total	Total
	Demand	Notice	Term ¹	Canada	United States	International		
Personal	\$ 24,606	\$ 488,831	\$ 136,959	\$ 354,799	\$ 295,597	\$ –	\$ 650,396	\$ 641,667
Banks	11,379	417	15,437	21,937	1,235	4,061	27,233	57,698
Business and government ²	161,003	204,780	223,692	426,753	161,610	1,112	589,475	569,315
	196,988	694,028	376,088	803,489	458,442	5,173	1,267,104	1,268,680
Trading	–	–	37,882	27,633	4,290	5,959	37,882	30,412
Designated at fair value through profit or loss ³	–	–	197,336	63,949	78,960	54,427	197,336	207,668
Total	\$ 196,988	\$ 694,028	\$ 611,306	\$ 895,071	\$ 541,692	\$ 65,559	\$ 1,502,322	\$ 1,506,760
Non-interest-bearing deposits included above⁴								
Canada							\$ 60,796	\$ 58,873
United States							73,364	73,509
International							1	–
Interest-bearing deposits included above⁴								
Canada							834,275	781,526
United States ⁵							468,328	504,896
International							65,558	87,956
Total^{2,6}							\$ 1,502,322	\$ 1,506,760

¹ Includes \$104.3 billion (October 31, 2024 – \$97.6 billion) of senior debt which is subject to the bank recapitalization “bail-in” regime. This regime provides certain statutory powers to the Canada Deposit Insurance Corporation, including the ability to convert specified eligible shares and liabilities into common shares in the event that the Bank becomes non-viable.

² Includes \$70.6 billion relating to covered bondholders (October 31, 2024 – \$75.4 billion).

³ Financial liabilities designated at FVTPL on the Consolidated Balance Sheet also includes \$299 million (October 31, 2024 – \$246 million) of loan commitments, financial guarantees and other liabilities designated at FVTPL.

⁴ The geographical splits of the deposits are based on the point of origin of the deposits.

⁵ Includes \$7.2 billion (October 31, 2024 – \$13.1 billion) of U.S. federal funds deposited and \$1.1 billion (October 31, 2024 – \$36.2 billion) of deposits and advances with the FHLB.

⁶ Includes deposits of \$807.7 billion (October 31, 2024 – \$810.2 billion) denominated in U.S. dollars and \$111.1 billion (October 31, 2024 – \$140.7 billion) denominated in other foreign currencies.

Term Deposits by Remaining Term-to-Maturity

(millions of Canadian dollars)

							As at	
							October 31 2025	October 31 2024
	Within 1 year	Over 1 year to 2 years	Over 2 years to 3 years	Over 3 years to 4 years	Over 4 years to 5 years	Over 5 years	Total	Total
Personal	\$ 106,877	\$ 17,296	\$ 6,753	\$ 3,752	\$ 2,279	\$ 2	\$ 136,959	\$ 143,758
Banks	15,433	2	1	–	1	–	15,437	44,735
Business and government	83,830	51,067	28,311	14,668	13,812	32,004	223,692	225,517
Trading	20,538	6,314	4,140	1,538	2,253	3,099	37,882	30,412
Designated at fair value through profit or loss	196,684	652	–	–	–	–	197,336	207,668
Total	\$ 423,362	\$ 75,331	\$ 39,205	\$ 19,958	\$ 18,345	\$ 35,105	\$ 611,306	\$ 652,090

Term Deposits due within a Year

(millions of Canadian dollars)

					As at	
					October 31 2025	October 31 2024
	Within 3 months	Over 3 months to 6 months	Over 6 months to 12 months	Total	Total	
Personal	\$ 45,952	\$ 24,351	\$ 36,574	\$ 106,877	\$ 113,041	
Banks	15,328	56	49	15,433	44,732	
Business and government	39,046	19,236	25,548	83,830	87,025	
Trading	7,493	5,288	7,757	20,538	15,622	
Designated at fair value through profit or loss	95,227	57,600	43,857	196,684	206,191	
Total	\$ 203,046	\$106,531	\$ 113,785	\$ 423,362	\$ 466,611	

NOTE 17 OTHER LIABILITIES
Other Liabilities

(millions of Canadian dollars)

	<i>As at</i>	
	October 31 2025	October 31 2024
Accounts payable, accrued expenses, and other items	\$ 8,954	\$ 7,706
Accrued interest	4,652	5,559
Accrued salaries and employee benefits	7,313	5,386
Cheques and other items in transit	255	–
Current income tax payable	296	67
Deferred tax liabilities (Note 23)	303	300
Defined benefit liability (Note 22)	1,372	1,380
Lease liabilities ¹	5,352	5,013
Liabilities related to structured entities (Note 10)	4,008	22,792
Provisions (Note 25)	1,735	3,675
Total	\$ 34,240	\$ 51,878

¹ Refer to Note 25 for lease liability maturity and lease payment details.

NOTE 18 SUBORDINATED NOTES AND DEBENTURES

Subordinated notes and debentures are direct unsecured obligations of the Bank or its subsidiaries and are subordinated in right of payment to the claims of depositors and certain other creditors. Redemptions,

cancellations, exchanges, and modifications of subordinated debentures qualifying as regulatory capital are subject to the consent and approval of OSFI.

Subordinated Notes and Debentures¹

(millions of Canadian dollars, except as noted)

	<i>As at</i>				
Maturity date	Interest rate (%)²	Reset spread (%)	Earliest par redemption date	October 31 2025	October 31 2024
May 26, 2025 ³	9.150	n/a	–	\$ –	\$ 200
April 22, 2030 ⁴	3.105	n/a	April 22, 2025	–	2,989
March 4, 2031	4.859	3.490 ⁵	March 4, 2026	1,252	1,257
September 15, 2031	3.625	2.205 ⁶	September 15, 2026	1,997	2,045
January 26, 2032	3.060	1.330 ⁷	January 26, 2027	1,715	1,637
April 9, 2034	5.177	1.530 ⁷	April 9, 2029	1,820	1,803
September 10, 2034	5.146	1.500 ⁸	September 10, 2029	1,396	1,359
October 30, 2034	1.601	1.032 ⁹	October 30, 2029	181	183
January 23, 2036	4.030	1.500 ⁶	January 23, 2031	1,209	–
February 1, 2035	4.231	1.540 ⁷	February 1, 2030	1,009	–
September 25, 2035	2.058	0.970 ¹⁰	September 25, 2030	127	–
July 23, 2040	5.930	1.870 ¹¹	July 23, 2035	27	–
Total				\$ 10,733	\$ 11,473

¹ The outstanding subordinated notes and debentures include non-viability contingent capital (NVCC) provisions and qualify as regulatory capital under OSFI's Capital Adequacy Requirements (CAR) guideline. Refer to Note 19 for further details.

² Interest rate is for the period to but excluding the earliest par redemption date and, thereafter, if not otherwise redeemed, it will be reset at the applicable reset rate.

³ On May 26, 2025, this note matured and all of the accrued interest and outstanding principal was repaid in full.

⁴ On April 22, 2025, the Bank redeemed all of its outstanding \$3 billion 3.105% medium-term notes due April 22, 2030, at a redemption price of 100 per cent of the principal amount, plus accrued and unpaid interest to, but excluding, the redemption date.

⁵ To be reset at a rate to be determined with consent of the noteholders as the CORRA-based rate and spread considered to be reasonably equivalent to the of 3-month bankers' acceptance rate (as such term is defined in the applicable offering document) plus the reset spread noted.

⁶ To be reset at a rate of 5-year Mid-Swap Rate plus the reset spread noted.

⁷ To be reset at Daily Compounded Canadian Overnight Repo Rate Average plus the reset spread noted.

⁸ To be reset at the prevailing 5-year U.S. Treasury Rate plus the reset spread noted.

⁹ To be reset at the Japanese government bond yield plus the reset spread noted.

¹⁰ To be reset at the 5-year Tokyo Overnight Average Rate mid-swap rate plus the reset spread noted.

¹¹ To be reset at the 3-month Bank Bill Swap Rate plus the reset spread noted.

COMMON SHARES

The Bank is authorized by its shareholders to issue an unlimited number of common shares, without par value, for unlimited consideration. The common shares are not redeemable or convertible. Dividends are typically declared by the Board of Directors of the Bank on a quarterly basis and the amount may vary from quarter to quarter.

PREFERRED SHARES AND OTHER EQUITY INSTRUMENTS

Preferred Shares

The Bank is authorized by its shareholders to issue, in one or more series, an unlimited number of Class A First Preferred Shares, without nominal or par value. Non-cumulative preferential dividends are payable either quarterly or semi-annually in accordance with applicable terms, as and when declared by the Board of Directors of the Bank. All preferred shares issued by the Bank currently include NVCC provisions, necessary for the preferred shares to qualify as regulatory capital under OSFI's CAR guideline. NVCC provisions require the conversion of the impacted instruments into a variable number of common shares upon the occurrence of a Trigger Event. A Trigger Event is currently defined in the CAR Guideline as an event where OSFI determines that the Bank is, or is about to become, non-viable and that after conversion or write-off, as applicable, of all non-common capital instruments and consideration of any other relevant factors or circumstances, the viability of the Bank is expected to be restored, or where the Bank has accepted or agreed to accept a capital injection or equivalent support from a federal or provincial government of Canada without which the Bank would have been determined by OSFI to be non-viable.

Limited Recourse Capital Notes

The Bank has issued Limited Recourse Capital Notes (the "LRCNs") with recourse limited to assets held in a trust consolidated by the Bank (the "Limited Recourse Trust"). The Limited Recourse Trust's assets consist of Class A First Preferred Shares of the Bank, each series of which is issued concurrently with the LRCNs (the "LRCN Preferred Shares"). The LRCN Preferred Shares are eliminated on the Bank's Consolidated Financial Statements.

In the event of (i) non-payment of interest following any interest payment date, (ii) non-payment of the redemption price in case of a redemption of the LRCNs, (iii) non-payment of principal plus accrued and unpaid interest at the maturity of the LRCNs, (iv) an event of default on the LRCNs, or (v) a Trigger Event, the recourse of each LRCN holder will be limited to that holder's pro rata share of the Limited Recourse Trust's assets.

The LRCNs, by virtue of the recourse to the LRCN Preferred Shares, include standard NVCC provisions necessary for them to qualify as Additional Tier 1 Capital under OSFI's CAR guideline. NVCC provisions require the conversion of the instrument into a variable number of common shares upon the occurrence of a Trigger Event. In such an event, each LRCN Preferred Share will automatically and immediately be converted into a variable number of common shares which will be delivered to LRCN holders in satisfaction of the principal amount of, and accrued and unpaid interest on, the LRCNs. The number of common shares issued will be determined based on the conversion formula set out in the terms of the respective series of LRCN Preferred Shares.

The LRCNs are compound instruments with both equity and liability features. Non-payment of interest and principal in cash does not constitute an event of default and will trigger the delivery of the LRCN Preferred Shares. The liability component has a nominal value and, therefore, the proceeds received upon issuance have been presented as equity, and any interest payments are accounted for as distributions on other equity instruments.

Perpetual Subordinated Capital Notes

The Bank has issued Perpetual Subordinated Capital Notes ("Perpetual Notes"). The Perpetual Notes have no scheduled maturity or redemption date. Interest payments are at the discretion of the Bank. The Perpetual Notes include standard NVCC provisions necessary for them to qualify as Additional Tier 1 Capital under OSFI's CAR guideline.

The Perpetual Notes are compound instruments with both equity and liability features. The liability component has a nominal value and, therefore, the proceeds received upon issuance have been presented as equity, and any interest payments are accounted for as distributions on other equity instruments.

The following table summarizes the changes to the shares and other equity instruments issued and outstanding and treasury instruments held as at and for the years ended October 31, 2025 and October 31, 2024.

Shares and Other Equity Instruments Issued and Outstanding and Treasury Instruments Held

(thousands of shares or other equity instruments and millions of Canadian dollars)

	October 31, 2025		October 31, 2024	
	Number of shares	Amount	Number of shares	Amount
Common Shares				
Balance as at beginning of year	1,750,272	\$ 25,373	1,791,422	\$ 25,434
Proceeds from shares issued on exercise of stock options	2,260	165	1,657	112
Shares issued as a result of dividend reinvestment plan	1,575	130	6,592	529
Purchase of shares for cancellation and other	(64,611)	(941)	(49,399)	(702)
Balance as at end of year – common shares	1,689,496	\$ 24,727	1,750,272	\$ 25,373
Preferred Shares and Other Equity Instruments				
Preferred Shares – Class A				
Series 1	20,000	\$ 500	20,000	\$ 500
Series 5 ¹	–	–	20,000	500
Series 7 ²	–	–	14,000	350
Series 9 ³	–	–	8,000	200
Series 16	14,000	350	14,000	350
Series 18	14,000	350	14,000	350
Series 27	850	850	850	850
Series 28	800	800	800	800
	49,650	\$ 2,850	91,650	\$ 3,900
Other Equity Instruments⁴				
Limited Recourse Capital Notes – Series 1	1,750	\$ 1,750	1,750	\$ 1,750
Limited Recourse Capital Notes – Series 2	1,500	1,500	1,500	1,500
Limited Recourse Capital Notes – Series 3 ⁵	1,750	2,403	1,750	2,403
Limited Recourse Capital Notes – Series 4 ⁵	750	1,023	750	1,023
Limited Recourse Capital Notes – Series 5	750	750	–	–
Limited Recourse Capital Notes – Series 6 ⁵	750	1,037	–	–
Perpetual Subordinated Capital Notes – Series 2023-9 ⁶	1	312	1	312
	7,251	8,775	5,751	6,988
Balance as at end of year – preferred shares and other equity instruments	56,901	\$ 11,625	97,401	\$ 10,888
Treasury – common shares⁷				
Balance as at beginning of year	213	\$ (17)	748	\$ (64)
Purchase of shares	145,166	(13,094)	139,135	(11,209)
Sale of shares	(145,379)	13,111	(139,670)	11,256
Balance as at end of year – treasury – common shares	–	\$ –	213	\$ (17)
Treasury – preferred shares and other equity instruments⁷				
Balance as at beginning of year	163	\$ (18)	142	\$ (65)
Purchase of shares and other equity instruments	4,614	(1,535)	6,556	(625)
Sale of shares and other equity instruments	(4,748)	1,549	(6,535)	672
Balance as at end of year – treasury – preferred shares and other equity instruments	29	\$ (4)	163	\$ (18)

¹ On January 31, 2025, the Bank redeemed all of its 20 million outstanding Non-Cumulative 5-Year Rate Reset Class A First Preferred Shares NVCC, Series 5 ("Series 5 Preferred Shares"), at a redemption price of \$25.00 per Series 5 Preferred Share, for a total redemption cost of approximately \$500 million.

² On July 31, 2025, the Bank redeemed all of its 14 million outstanding Non-Cumulative 5-Year Rate Reset Class A First Preferred Shares NVCC, Series 7 ("Series 7 Preferred Shares"), at a redemption price of \$25.00 per Series 7 Preferred Share, for a total redemption cost of approximately \$350 million.

³ On October 31, 2025, the Bank redeemed all of its 8 million outstanding Non-Cumulative 5-Year Rate Reset Class A First Preferred Shares NVCC, Series 9 ("Series 9 Preferred Shares"), at a redemption price of \$25.00 per Series 9 Preferred Share, for a total redemption cost of approximately \$200 million.

⁴ For Other Equity Instruments, the number of shares represents the number of notes issued.

⁵ For LRCNs – Series 3, 4, and 6, the amount represents the Canadian dollar equivalent of the U.S. dollar notional amount. Refer to "Preferred Shares and Other Equity Instruments – Significant Terms and Conditions" table for further details.

⁶ For Perpetual Subordinated Capital Notes (AT1), the amount represents the Canadian dollar equivalent of the Singapore dollar notional amount. Refer to "Preferred Shares and Other Equity Instruments – Significant Terms and Conditions" table for further details.

⁷ When the Bank purchases its own equity instruments as part of its trading business, they are classified as treasury instruments and the cost of these instruments is recorded as a reduction in equity.

Preferred Shares and Other Equity Instruments – Significant Terms and Conditions

	Issue date	Annual yield (%) ¹	Dividend frequency ¹	Reset spread (%) ¹	Next redemption/ conversion date ^{1,2}	Convertible into ^{1,2}
NVCC Rate Reset Preferred Shares						
Series 1	June 4, 2014	4.970	Quarterly	2.240	October 31, 2029	Series 2
Series 16	July 14, 2017	6.301	Quarterly	3.010	October 31, 2027	Series 17
Series 18	March 14, 2018	5.747	Quarterly	2.700	April 30, 2028	Series 19
Series 27	April 4, 2022	5.750	Semi-annual	3.317	October 31, 2027	–
Series 28	July 25, 2022	7.232	Semi-annual	4.200	October 31, 2027	–
	Issue date	Annual yield (%)	Coupon frequency	Reset spread (%)	Next redemption date	Recourse to Preferred Shares ³
Other Equity Instruments						
Perpetual Subordinated Capital Notes ⁴	July 10, 2024	5.700	Semi-annual	2.652	July 31, 2029	n/a
<i>NVCC Limited Recourse Capital Notes⁵</i>						
Series 1	July 29, 2021	3.600	Semi-annual	2.747	October 31, 2026	Series 26
Series 2	September 14, 2022	7.283	Semi-annual	4.100	October 31, 2027	Series 29
Series 3 ⁶	October 17, 2022	8.125	Quarterly	4.075	October 31, 2027	Series 30
Series 4 ⁶	July 3, 2024	7.250	Quarterly	2.977	July 31, 2029	Series 31
Series 5	December 18, 2024	5.909	Quarterly	3.100	January 1, 2030	Series 32
Series 6 ⁶	September 23, 2025	6.350	Quarterly	2.721	October 31, 2030	Series 33

¹ Non-cumulative preferred dividends for each series are payable as and when declared by the Board of Directors. Unless redeemed, the dividend rate of the Rate Reset Preferred Shares will reset on the next earliest optional redemption/conversion date and every 5 years thereafter to equal the then 5-year Government of Canada bond yield plus the noted reset spread. If converted into a series of floating rate preferred shares, the dividend rate for the quarterly period will be equal to the then 90-day Government of Canada Treasury bill yield plus the noted reset spread unless otherwise stated.

² Subject to regulatory consent and unless otherwise stated, preferred shares are redeemable on the next earliest optional redemption date as noted and every 5 years thereafter. Preferred Shares, except Series 27 and Series 28, are convertible into the corresponding series of floating rate preferred shares on the conversion date noted and every 5 years thereafter if not redeemed. If converted, the holders have the option to convert back to the original series of preferred shares every 5 years.

³ LRCN Preferred Share Series 26, Series 29, and Series 32 were issued at a price of \$1,000 per share and LRCN Preferred Share Series 30, Series 31, and Series 33 were issued at a price of US\$1,000 per share. The LRCN Preferred Shares are eliminated on the Bank's Consolidated Balance Sheet.

⁴ Perpetual Subordinated Capital Notes are denominated in Singapore dollars. Unless redeemed, the interest rate on Perpetual Subordinated Capital Notes will reset on the next interest reset date and every 5 years thereafter to a rate equal to the then prevailing 5-year SORA-OIS Rate plus the noted reset spread.

⁵ LRCNs may be redeemed at the option of the Bank, with the prior written approval of OSFI, in whole or in part on prior notice by the Bank as of the earliest redemption date and each optional redemption date thereafter. Unless redeemed or otherwise stated, the interest rate on the LRCNs will reset on the next earliest optional redemption date and every 5 years thereafter at a rate equal to the then 5-year Government of Canada bond yield plus the noted reset spread.

⁶ LRCN Series 3, 4, and 6 are denominated in U.S. dollars. Unless redeemed, the interest rate on LRCN Series 3, 4, and 6 will reset on the next interest reset date and every 5 years thereafter to equal the then 5-year U.S. Treasury yield plus the noted reset spread.

NVCC Provision

If an NVCC trigger event were to occur, for all series of Class A First Preferred Shares excluding the preferred shares issued with respect to LRCNs, the maximum number of common shares that could be issued, assuming there are no declared and unpaid dividends on the respective series of preferred shares at the time of conversion, would be 0.6 billion in aggregate.

The LRCNs, by virtue of the recourse to the preferred shares held in the Limited Recourse Trust, include NVCC provisions. For LRCNs, if an NVCC trigger were to occur, the maximum number of common shares that could be issued, assuming there are no declared and unpaid dividends on the preferred shares series issued in connection with such LRCNs, would be 1.7 billion in aggregate.

For NVCC subordinated notes and debentures (including Perpetual Notes), if an NVCC trigger event were to occur, the maximum number of common shares that could be issued, assuming there is no accrued and unpaid interest on the respective subordinated notes and debentures, would be 3.3 billion in aggregate.

DIVIDEND RESTRICTIONS

The Bank is prohibited by the *Bank Act (Canada)* from declaring dividends on its preferred or common shares if there are reasonable grounds for believing that the Bank is, or the payment would cause the Bank to be, in contravention of the capital adequacy and liquidity regulations of the *Bank Act (Canada)* or directions of OSFI. The Bank does not anticipate that this condition will restrict it from paying dividends in the normal course of business. In addition, the ability to pay dividends on common shares without the approval of the holders of the outstanding preferred shares is restricted unless all dividends on the preferred shares have been declared and paid or set apart for payment. Currently, these limitations do not restrict the payment of dividends on common shares or preferred shares.

DIVIDENDS

On December 3, 2025, the Board approved a dividend in an amount of one dollar and eight cents (\$1.08) per fully paid common share in the capital stock of the Bank for the quarter ending January 31, 2026, payable on and after January 31, 2026, to shareholders of record at the close of business on January 9, 2026.

At October 31, 2025, the quarterly dividend was \$1.05 per common share. Common share cash dividends declared and paid during the year totalled \$4.20 per share (October 31, 2024 – \$4.08), representing a payout ratio of 50%, at the high end of the Bank's target payout range of 40-50% of adjusted earnings. For cash dividends payable on the Bank's preferred shares, refer to Note 19. As at October 31, 2025, 1,689 million common shares were outstanding (October 31, 2024 – 1,750 million).

DIVIDEND REINVESTMENT PLAN

The Bank offers a Dividend Reinvestment Plan (DRIP) for its common shareholders. Participation in the plan is optional and under the terms of the plan, cash dividends on common shares are used to purchase additional common shares. At the option of the Bank, the common shares may be issued from treasury at an average market price based on the last five trading days before the date of the dividend payment, with a discount of between 0% to 5% at the Bank's discretion or purchased from the open market at market prices.

During the year ended October 31, 2025, the Bank satisfied the DRIP requirements through common shares issued from treasury with no discount for the first three months and open market common share purchases in the last nine months. During the year ended October 31, 2024, the Bank satisfied the DRIP requirements through common shares issued from treasury with no discount.

NORMAL COURSE ISSUER BID

On August 28, 2023, the Bank announced that the Toronto Stock Exchange (TSX) and OSFI approved a normal course issuer bid (2023 NCIB) to repurchase for cancellation up to 90 million of its common shares. The 2023 NCIB commenced on August 31, 2023 and continued until August 31, 2024. During the year ended October 31, 2024, the Bank repurchased 49.4 million common shares under the 2023 NCIB, at an average price of \$80.15 per share for a total amount of \$4.0 billion.

On February 24, 2025, the Bank announced that the TSX and OSFI had approved a normal course issuer bid (2025 NCIB) to purchase for cancellation up to 100 million of its common shares for up to \$8 billion. The 2025 NCIB commenced on March 3, 2025 and will end on February 28, 2026, or such earlier date as the Bank may determine. From the commencement of the 2025 NCIB to October 31, 2025, the Bank repurchased 64.6 million shares under the program, at an average price of \$94.29 per share for a total amount of \$6.1 billion.

NOTE 20 INSURANCE

(a) INSURANCE SERVICE RESULT

Insurance revenue and expenses are presented on the Consolidated Statement of Income under Insurance revenue and Insurance service expenses, respectively. Net income or expense from reinsurance is presented in other income (loss). The following table shows components

of the insurance service result included in the Consolidated Statement of Income for the Bank which includes the results of property and casualty insurance, life and health insurance, as well as reinsurance issued and held in Canada and internationally.

Insurance Service Result

(millions of Canadian dollars)

	For the year ended	
	October 31 2025	October 31 2024
Insurance revenue	\$ 7,737	\$ 6,952
Insurance service expenses	6,089	6,647
Insurance service result before reinsurance contracts held	1,648	305
Net income (expense) from reinsurance contracts held	(172)	524
Insurance service result	\$ 1,476	\$ 829

Net income (expense) from reinsurance contracts held is comprised of recoveries from reinsurers offset by ceded premiums. For the year ended October 31, 2025, the Bank recognized recoveries from reinsurers of \$439 million (October 31, 2024 – \$1,054 million) and ceded premiums of \$611 million (October 31, 2024 – \$530 million). For the year ended October 31, 2025, the Bank recognized insurance finance expenses of \$299 million (October 31, 2024 – \$443 million) from insurance and

reinsurance contracts in other income (loss). The Bank's investment return on securities supporting insurance contracts is comprised of interest income reported in net interest income and fair value changes reported in other income (loss). Investment return on securities supporting insurance contracts was \$247 million for the year ended October 31, 2025 (October 31, 2024 – \$372 million).

(b) INSURANCE CONTRACT LIABILITIES

Insurance contract liabilities are comprised of amounts related to the LRC, LIC and other insurance liabilities.

The following table presents movements in the property and casualty insurance liabilities.

Property and casualty insurance contract liabilities by LRC and LIC

(millions of Canadian dollars)

	For the year ended October 31, 2025				
	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk adjustment	
Insurance contract liabilities at beginning of year	\$ 714	\$ 101	\$ 5,989	\$ 221	\$ 7,025
Insurance revenue	(6,230)				(6,230)
Insurance service expenses:					
Incurred claims and other insurance service expenses	–	(148)	4,420	70	4,342
Amortization of insurance acquisition cash flows	864	–	–	–	864
Losses (reversal of losses) on onerous contracts	–	163	–	–	163
Changes to liabilities for incurred claims	–	–	(34)	(116)	(150)
Insurance service result	(5,366)	15	4,386	(46)	(1,011)
Insurance finance expenses	2	–	332	11	345
Total changes in the Consolidated Statement of Income	(5,364)	15	4,718	(35)	(666)
Cash flows:					
Premiums received	6,268	–	–	–	6,268
Claims and other insurance service expenses paid	–	–	(4,576)	–	(4,576)
Acquisition cash flows paid	(912)	–	–	–	(912)
Total cash flows	5,356	–	(4,576)	–	780
Insurance contract liabilities at end of year	\$ 706	\$ 116	\$ 6,131	\$ 186	\$ 7,139

Property and casualty insurance contract liabilities by LRC and LIC (continued)

(millions of Canadian dollars)

For the year ended October 31, 2024

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk adjustment	
Insurance contract liabilities at beginning of year	\$ 630	\$ 129	\$ 4,740	\$ 220	\$ 5,719
Insurance revenue	(5,506)	–	–	–	(5,506)
Insurance service expenses:					
Incurred claims and other insurance service expenses	–	(145)	5,099	96	5,050
Amortization of insurance acquisition cash flows	803	–	–	–	803
Losses (reversal of losses) on onerous contracts	–	117	–	–	117
Changes to liabilities for incurred claims	–	–	(65)	(114)	(179)
Insurance service result	(4,703)	(28)	5,034	(18)	285
Insurance finance expenses	7	–	479	19	505
Total changes in the Consolidated Statement of Income	(4,696)	(28)	5,513	1	790
Cash flows:					
Premiums received	5,576	–	–	–	5,576
Claims and other insurance service expenses paid	–	–	(4,264)	–	(4,264)
Acquisition cash flows paid	(796)	–	–	–	(796)
Total cash flows	4,780	–	(4,264)	–	516
Insurance contract liabilities at end of year	\$ 714	\$ 101	\$ 5,989	\$ 221	\$ 7,025

Other insurance contract liabilities were \$139 million as at October 31, 2025 (October 31, 2024 – \$144 million) and include life and health insurance contract liabilities of \$113 million (October 31, 2024 – \$121 million).

(c) PROPERTY AND CASUALTY CLAIMS DEVELOPMENT

The following table shows the estimates of the insurance liabilities for incurred claims net of reinsurance assets for incurred claims (net LIC) with subsequent developments during the periods and cumulative payments to date. The original estimates are evaluated monthly for redundancy or deficiency. The evaluation is based on actual payments in full or partial settlement of claims and current estimates of the net LIC related to claims still open or claims still unreported.

Incurred Claims by Accident Year

(millions of Canadian dollars)

	Accident Year										Total
	2016 and prior	2017	2018	2019	2020	2021	2022	2023	2024	2025	
Net ultimate claims cost at end of accident year	\$ 6,645	\$ 2,425	\$ 2,631	\$ 2,727	\$ 2,646	\$ 2,529	\$ 3,242	\$ 3,830	\$ 4,478	\$ 4,397	
Revised estimates											
One year later	6,327	2,307	2,615	2,684	2,499	2,367	3,182	4,039	4,515		
Two years later	5,990	2,258	2,573	2,654	2,412	2,278	3,167	3,994			
Three years later	5,647	2,201	2,522	2,575	2,278	2,225	3,165				
Four years later	5,440	2,151	2,465	2,489	2,230	2,211					
Five years later	5,377	2,108	2,408	2,474	2,224						
Six years later	5,315	2,086	2,396	2,471							
Seven years later	5,281	2,078	2,399								
Eight years later	5,267	2,078									
Nine years later	5,266										
Current estimates of cumulative net claims	5,266	2,078	2,399	2,471	2,224	2,211	3,165	3,994	4,515	4,397	
Cumulative net claims paid to date	(5,115)	(2,033)	(2,309)	(2,335)	(2,059)	(1,961)	(2,662)	(3,057)	(3,010)	(2,178)	
Net undiscounted provision for unpaid claims	151	45	90	136	165	250	503	937	1,505	2,219	\$ 6,001
Effect of discounting											(517)
Effect of risk adjustment for non-financial risk											167
Net liabilities for incurred claims											\$ 5,651
Insurance liabilities for incurred claims											6,317
Reinsurance assets for incurred claims											(666)

(d) RISK ADJUSTMENT FOR NON-FINANCIAL RISK AND DISCOUNTING

The risk adjustment reflects an amount that an insurer would reasonably pay to remove the uncertainty that future cash flows will exceed the expected value amount. The Bank has estimated the risk adjustment for its property and casualty operations' LIC using statistical techniques in accordance with Canadian accepted actuarial principles to develop potential future observations and a confidence level range of 75th to 85th percentile.

Insurance contract liabilities are calculated by discounting expected future cash flows. The interest rates used to discount the Bank's insurance balances over a duration of 1 to 10 years range from 2.8% to 4.1% as at October 31, 2025 (October 31, 2024 – 3.8% to 4.5%).

(e) SENSITIVITY TO INSURANCE RISK

A variety of assumptions are made related to the future level of claims, policyholder behaviour, expenses and sales levels when products are designed and priced, as well as when actuarial liabilities are determined. Such assumptions require a significant amount of professional judgment. The LIC is sensitive to certain assumptions. It has not been possible to quantify the sensitivity of certain assumptions such as legislative changes or uncertainty in the estimation process. Actual experience may differ from the assumptions made by the Bank.

For property and casualty insurance, the main assumption underlying the LIC is that past claims development experience can be used to project future claims development and hence ultimate claims costs. As such, these methods extrapolate the development of paid and incurred losses, average costs per claim, and claim numbers based on the observed development of earlier years and expected loss ratios. Net LIC estimates are based on various quantitative and qualitative factors including the discount rate, the risk adjustment, reinsurance, trends in claims severity and frequency, and other external drivers.

Qualitative and other unforeseen factors could negatively impact the Bank's ability to accurately assess the risk of the insurance policies that the Bank underwrites. In addition, there may be significant lags between the occurrence of an insured event and the time it is actually reported to the Bank and additional lags between the time of reporting and final settlements of claims.

The following table outlines the sensitivity of the Bank's property and casualty LIC to reasonably possible movements in the discount rate, risk adjustment, and the frequency and severity of claims, with all other assumptions held constant. Movements in the assumptions may be non-linear.

Sensitivity of Critical Assumptions – Property and Casualty Insurance

(millions of Canadian dollars)

	As at			
	October 31, 2025		October 31, 2024	
	Impact on net income (loss) before income taxes	Impact on equity	Impact on net income (loss) before income taxes	Impact on equity
Impact of a 1% change				
Discount rate				
Increase in assumption	\$ 135	\$ 100	\$ 121	\$ 90
Decrease in assumption	(143)	(107)	(129)	(95)
Impact of a 5% change				
Frequency of claims				
Increase in assumption	\$ (202)	\$ (150)	\$ (182)	\$ (135)
Decrease in assumption	202	150	182	135
Severity of claims				
Increase in assumption	(289)	(215)	(288)	(213)
Decrease in assumption	289	215	288	213
Risk adjustment				
Increase in assumption	(39)	(29)	(52)	(38)
Decrease in assumption	34	25	40	29

For life and health insurance, the processes used to determine critical assumptions are as follows:

- Mortality, morbidity, and lapse assumptions are based on industry and historical company data; and
- Expense assumptions are based on the annual expense study.

Sensitivity analysis was performed on these critical assumptions for the life and health insurance business and impacts were deemed not significant to the Bank's Consolidated Financial Statements.

(f) CONCENTRATION OF INSURANCE RISK

Concentration risk is the risk resulting from large exposures to similar risks that are positively correlated.

Risk associated with automobile, residential and other products may vary in relation to the geographical area of the risk insured. Exposure to concentrations of insurance risk, by type of risk, is mitigated by ceding these risks through reinsurance contracts, as well as careful selection and implementation of underwriting strategies, which is in turn largely achieved through diversification by line of business and geographical areas. For automobile insurance, legislation is in place at a provincial level and this creates differences in risk selection and underwriting strategies among the different provinces.

As at October 31, 2025, for the property and casualty insurance business, 64.3% of insurance revenue was mainly derived from automobile policies (October 31, 2024 – 65.5%) followed by residential with 35.3% (October 31, 2024 – 34.3%). The distribution by provinces show that business is mostly concentrated in Ontario with 51.4% of insurance revenue (October 31, 2024 – 50.5%). The Western provinces represented 31.0% (October 31, 2024 – 31.9%), followed by the Atlantic provinces with 10.5% (October 31, 2024 – 10.6%), and Québec at 6.7% (October 31, 2024 – 6.8%).

Concentration risk is not a major concern for the life and health insurance business as it does not have a material level of regional specific characteristics like those exhibited in the property and casualty insurance business. Reinsurance is used to limit the liability on a single claim and from a single weather-related event. Concentration risk is further limited by diversification across uncorrelated risks. This limits the impact of a regional pandemic and other concentration risks. To improve understanding of exposure to this risk, a pandemic scenario is tested annually.

STOCK OPTION PLAN

The Bank maintains a stock option program for certain key employees. Options on common shares are granted to eligible employees of the Bank under the plan for terms of ten years and vest over a four-year period. These options provide holders with the right to purchase common shares of the Bank at a fixed price equal to the closing market price of the shares

on the TSX on the day prior to the date the options were issued. The outstanding options expire on various dates to December 12, 2034. The following table summarizes the Bank's stock option activity and related information, adjusted to reflect the impact of the 2014 stock dividend on a retrospective basis, for the years ended October 31, 2025 and October 31, 2024.

Stock Option Activity

(millions of shares and Canadian dollars)

	2025		2024	
	Number of shares	Weighted-average exercise price	Number of shares	Weighted-average exercise price
Number outstanding, beginning of year	14.7	\$ 79.17	14.1	\$ 76.58
Granted	2.0	75.76	2.6	81.78
Exercised	(2.3)	65.99	(1.7)	60.07
Forfeited/expired	(0.2)	85.29	(0.3)	85.36
Number outstanding, end of year	14.2	\$ 80.65	14.7	\$ 79.17
Exercisable, end of year	5.2	\$ 70.94	5.4	\$ 68.51
Available for grant	3.4		5.1	

The weighted-average share price for the options exercised in 2025 was \$93.40 (2024 – \$80.57).

The following table summarizes information relating to stock options outstanding and exercisable as at October 31, 2025.

Range of Exercise Prices

(millions of shares and Canadian dollars)

	Options outstanding			Options exercisable	
	Number of shares outstanding	Weighted-average remaining contractual life (years)	Weighted-average exercise price	Number of shares exercisable	Weighted-average exercise price
\$53.15-\$69.39	1.7	2.3	68.07	1.7	68.07
\$71.88-\$72.64	2.2	4.0	72.13	2.2	72.13
\$72.84-\$81.78	5.6	7.5	77.67	1.3	72.84
\$90.55	2.4	7.0	90.55	–	–
\$95.33	2.3	6.0	95.33	–	–

For the year ended October 31, 2025, the Bank recognized compensation expense for stock option awards of \$22.9 million (October 31, 2024 – \$34.2 million). For the year ended October 31, 2025, 2.0 million (October 31, 2024 – 2.6 million) options were granted by the Bank at a weighted-average fair value of \$12.80 per option (2024 – \$14.36 per option) estimated using a binomial tree-based valuation option pricing model.

The following table summarizes the assumptions used for estimating the fair value of options for the years ended October 31, 2025 and October 31, 2024.

Assumptions Used for Estimating the Fair Value of Options

(in Canadian dollars, except as noted)

	2025	2024
Risk-free interest rate	3.08%	3.41%
Option contractual life	10 years	10 years
Expected volatility	19.47%	18.92%
Expected dividend yield	3.94%	3.78%
Exercise price/share price	\$ 75.76	\$ 81.78

The risk-free interest rate is based on Government of Canada benchmark bond yields as at the grant date. Expected volatility is calculated based on the historical average daily volatility and expected dividend yield is based on dividend payouts in the last fiscal year. These assumptions are measured over a period corresponding to the option contractual life.

OTHER SHARE-BASED COMPENSATION PLANS

The Bank operates restricted share unit and performance share unit plans which are offered to certain employees of the Bank. Under these plans, participants are awarded share units equivalent to the Bank's common shares that generally vest over three years. During the vesting period, dividend equivalents accrue to the participants in the form of additional share units. At the maturity date, the participant receives cash representing the value of the share units. The final number of performance share units will typically vary from 80% to 120% of the number of units outstanding at maturity (consisting of initial units awarded plus additional units in lieu of dividends) based on the Bank's total shareholder return relative to the average of a peer group of large Canadian financial institutions. For the year ended October 31, 2025, the Bank awarded 12.9 million of such share units at a weighted-average price of \$76.19 (2024 – 9.9 million units at a weighted-average price of \$81.54). The number of such share units outstanding under these plans as at October 31, 2025 was 32.2 million (October 31, 2024 – 27.9 million).

The Bank also offers deferred share unit plans to eligible employees and non-employee directors. Under these plans, a portion of the participant's annual incentive award may be deferred, or in the case of non-employee directors, a portion of their annual compensation may be delivered as share units equivalent to the Bank's common shares. The deferred share units are not redeemable by the participant until termination of employment or directorship. Once these conditions are met, the deferred share units must be redeemed for cash no later than the end of the next

calendar year. Dividend equivalents accrue to the participants in the form of additional units. For the year ended October 31, 2025, the Bank awarded 0.2 million deferred share units at a weighted-average price of \$79.30 (2024 – 0.2 million units at a weighted-average price of \$81.57). As at October 31, 2025, 5.9 million deferred share units were outstanding (October 31, 2024 – 6.6 million).

Compensation expense for these plans is recorded in the year the incentive award is earned by the plan participant. Changes in the value of these plans are recorded, net of the effects of related hedges, on the Consolidated Statement of Income. For the year ended October 31, 2025, the Bank recognized compensation expense, net of the effects of hedges, for these plans of \$1,043 million (2024 – \$970 million). The compensation expense recognized before the effects of hedges was \$2,390 million (2024 – \$903 million). The carrying amount of the liability relating to these plans, based on the closing share price, was \$4.4 billion at October 31, 2025 (October 31, 2024 – \$2.7 billion), and is reported in Other liabilities on the Consolidated Balance Sheet.

EMPLOYEE OWNERSHIP PLAN

The Bank also operates a share purchase plan available to Canadian employees. Employees can contribute up to 10% of their annual eligible earnings (net of source deductions) to the Employee Ownership Plan. For participating employees below the level of Vice President, the Bank matches 100% of the first \$250 of employee contributions each year and the remainder of employee contributions at 50% to an overall maximum of 3.5% of the employee's eligible earnings or \$2,250, whichever comes first. The Bank's contributions vest once an employee has completed two years of continuous service with the Bank. For the year ended October 31, 2025, the Bank's contributions totalled \$93 million (2024 – \$91 million) and were expensed as salaries and employee benefits. As at October 31, 2025, an aggregate of 23 million (October 31, 2024 – 24 million) common shares were held under the Employee Ownership Plan. The shares in the Employee Ownership Plan are purchased in the open market and are considered outstanding for computing the Bank's basic and diluted earnings per share. Dividends earned on the Bank's common shares held by the Employee Ownership Plan are used to purchase additional common shares for the Employee Ownership Plan in the open market.

NOTE 22 EMPLOYEE BENEFITS

PENSION AND OTHER POST-RETIREMENT BENEFIT PLANS

The Bank sponsors a number of pension and post-retirement benefit plans for current eligible and former employees. Pension arrangements include defined benefit pension plans, defined contribution pension plans and supplementary arrangements that provide pension benefits in excess of statutory limits. The Bank also provides certain post-retirement benefits.

The Bank's principal defined benefit pension plans, consisting of The Pension Fund Society of The Toronto-Dominion Bank (the "Society") and the defined benefit portion of the TD Pension Plan (Canada) (the "TDPP DB"), are for eligible Canadian Bank employees who elected to join the Society or the TDPP DB. The Society was closed to new members on January 30, 2009, and the TDPP DB commenced on March 1, 2009. Effective December 31, 2018, the TDPP DB was closed to new employees hired after that date. All new permanent employees hired in Canada on or after January 1, 2019 are eligible to join the defined contribution portion of the TDPP (the "TDPP DC") after one year of service. Benefits under the principal defined benefit pension plans are determined based upon the period of plan participation and the average salary of the member in the best consecutive five years in the last ten years of combined plan membership. Benefits under the TDPP DC are funded from the balance of the accumulated contributions of the member and the Bank plus the member's investment earnings. Annual expense for the TDPP DC is equal to the Bank's contributions to the plan.

Funding for the Bank's principal defined benefit pension plans is provided by contributions from the Bank and members of the plans through a separate trust. In accordance with legislation, the Bank contributes amounts, as determined on an actuarial basis, to the plans and has the ultimate responsibility for ensuring that the liabilities of the

plans are adequately funded over time. Any deficits determined in the funding valuations must generally be funded over a period not exceeding fifteen years. The Bank's funding policy is to make at least the minimum annual contributions required by legislation. Any contributions in excess of the minimum requirements are discretionary. The principal defined benefit pension plans are registered with OSFI and the Canada Revenue Agency and are subject to the acts and regulations that govern federally regulated pension plans. The 2025 and 2024 contributions were made in accordance with the actuarial valuation reports for funding purposes as at October 31, 2024 and October 31, 2023, respectively. Valuations for funding purposes are being prepared as of October 31, 2025.

Post-retirement defined benefit plans are unfunded and, where offered, generally include health care and dental benefits or, to assist with the cost, a benefits subsidy to be used to reduce the cost of coverage. Employees must meet certain age and service requirements to be eligible for post-retirement benefits and are generally required to pay a portion of the cost of the benefits. Effective June 1, 2017, the Bank's principal post-retirement defined benefit plan, covering eligible Canadian employees, was closed to new employees hired on or after that date.

(a) INVESTMENT STRATEGY AND ASSET ALLOCATION

The principal defined benefit pension plans are expected to each achieve a rate of return that meets or exceeds the change in value of the plan's respective liabilities over rolling five-year periods. The investments are managed with the primary objective of providing reasonable rates of return, consistent with available market opportunities, economic conditions, consideration of plan liabilities, prudent portfolio management, and the target risk profiles for the plans.

The asset allocations by asset category for the principal defined benefit pension plans are as follows:

Plan Asset Allocation

(millions of Canadian dollars except as noted)	Society ¹				TDPP DB ¹			
	Target range	% of total	Fair value		Target range	% of total	Fair value	
			Quoted	Unquoted			Quoted	Unquoted
As at October 31, 2025								
Debt	60-90%	71%	\$ –	\$ 4,172	55-75%	65%	\$ –	\$ 2,245
Equity	0-21	7	124	297	0-30	9	65	238
Alternative investments ²	0-29	22	–	1,312	5-38	26	–	894
Other ³	n/a	n/a	–	218	n/a	n/a	–	307
Total		100%	\$ 124	\$ 5,999		100%	\$ 65	\$ 3,684
As at October 31, 2024								
Debt	60-90%	71%	\$ –	\$ 4,245	55-75%	67%	\$ –	\$ 2,106
Equity	0-21	5	104	194	0-30	5	54	106
Alternative investments ²	0-29	24	–	1,458	5-38	28	–	877
Other ³	n/a	n/a	–	86	n/a	n/a	–	188
Total		100%	\$ 104	\$ 5,983		100%	\$ 54	\$ 3,277

¹ The principal defined benefit pension plans invest in investment vehicles which may hold shares or debt issued by the Bank.

² The principal defined benefit pension plans' alternative investments are primarily private equity, infrastructure, and real estate funds.

³ Consists mainly of amounts due to and due from brokers for securities traded but not yet settled, bond repurchase agreements, interest and dividends receivable, and Pension Enhancement Account assets, which are invested at the members' discretion in certain mutual and pooled funds.

Public debt instruments of the Bank's principal defined benefit pension plans must meet or exceed a credit rating of BBB – at the time of purchase.

The equity portfolios of the principal defined benefit pension plans are broadly diversified primarily across small to large capitalization quality companies with no individual holding exceeding 10% of the equity portfolio or 10% of the outstanding shares of any one company. Foreign equities are included to further diversify the portfolio. A maximum of 10% of the equity portfolio can be invested in emerging market equities.

Derivatives can be utilized by the principal defined benefit pension plans provided they are not used to create financial leverage, unless the financial leverage is for risk management purposes. The principal defined benefit pension plans are permitted to invest in alternative investments, such as private equity, infrastructure equity, and real estate.

(b) RISK MANAGEMENT PRACTICES

The Bank's principal defined benefit pension plans are overseen by a single retirement governance structure established by the Human Resources Committee of the Bank's Board of Directors. The governance structure utilizes retirement governance committees who have responsibility to oversee plan operations and investments, acting in a fiduciary capacity. Strategic, material plan changes require the approval of the Bank's Board of Directors.

The principal defined benefit pension plans' investments include financial instruments which are exposed to various risks. These risks include market risk (including foreign currency, interest rate, inflation, equity price, and credit spread risks), credit risk, and liquidity risk. Key material risks faced by defined benefit plans are a decline in interest rates or credit spreads, which could increase the present value of the projected benefit obligation by more than the change in the value of plan assets, and from longevity risk (that is, lower mortality rates).

Asset-liability matching strategies are employed to focus on obtaining an appropriate balance between earning an adequate return and having changes in liability values hedged by changes in asset values.

The principal defined benefit pension plans manage these financial risks in accordance with the *Pension Benefits Standards Act, 1985*, applicable regulations, as well as the plans' written investment policies. Specific risk management practices monitored for the principal defined benefit pension plans include performance, credit exposure, and asset mix.

(c) OTHER SIGNIFICANT PENSION AND POST-RETIREMENT BENEFIT PLANS

Canada Trust (CT) Pension Plan

As a result of the acquisition of CT Financial Services Inc., the Bank sponsors a defined benefit pension plan, which is closed to new members, but for which active members continue to accrue benefits. Funding for the plan is provided by contributions from the Bank and members of the plan.

TD Insurance Pension Plan

As a result of the acquisition of Meloche Monnex Inc., the Bank sponsors a defined benefit pension plan, which is closed to new members, but for which active members continue to accrue benefits. Funding for the plan is provided by contributions from the Bank.

TD Bank, N.A. Retirement Plans

TD Bank, N.A. and its subsidiaries maintain a defined contribution 401(k) plan covering all employees. Annual expense is equal to the Bank's contributions to the plan. TD Bank, N.A. also has frozen defined benefit pension plans covering certain legacy TD Banknorth and TD Auto Finance (legacy Chrysler Financial) employees.

Government Pension Plans

The Bank also makes contributions to government pension plans, including the Canada Pension Plan, Quebec Pension Plan and Social Security under the *U.S. Federal Insurance Contributions Act*.

(d) DEFINED CONTRIBUTION PLAN EXPENSE

The following table summarizes expenses for the Bank's defined contribution plans.

Defined Contribution Plan Expenses

(millions of Canadian dollars)	For the years ended October 31	
	2025	2024
Defined contribution pension plans ¹	\$ 362	\$ 310
Government pension plans ²	597	533
Total	\$ 959	\$ 843

¹ Includes the TDPP DC and the TD Bank, N.A. defined contribution 401(k) plan.

² Includes Canada Pension Plan, Quebec Pension Plan, and Social Security under the *U.S. Federal Insurance Contributions Act*.

(e) DEFINED BENEFIT PLAN FINANCIAL INFORMATION

The following table presents the financial position of the Bank's principal pension and post-retirement defined benefit plans and the Bank's other material defined benefit pension plans for the years ended

October 31, 2025 and October 31, 2024. Other employee defined benefit plans operated by the Bank and certain of its subsidiaries are not considered material for disclosure purposes.

Employee Defined Benefit Plans' Obligations, Assets, Funded Status, and Expense

(millions of Canadian dollars, except as noted)

	Principal pension plans		Principal post-retirement benefit plan ¹		Other pension plans ²	
	2025	2024	2025	2024	2025	2024
Change in projected benefit obligation						
Projected benefit obligation at beginning of year	\$ 8,470	\$ 6,833	\$ 397	\$ 352	\$ 2,500	\$ 2,264
Service cost – benefits earned	276	217	6	5	19	15
Interest cost on projected benefit obligation	374	381	17	20	116	128
Remeasurement (gain) loss – financial	(15)	1,155	5	40	16	220
Remeasurement (gain) loss – demographic	–	–	–	–	(14)	(1)
Remeasurement (gain) loss – experience	107	92	(1)	–	(29)	20
Members' contributions	109	112	–	–	–	–
Benefits paid	(400)	(355)	(19)	(20)	(161)	(149)
Change in foreign currency exchange rate	–	–	–	–	10	3
Past service cost ³	–	35	–	–	2	–
Projected benefit obligation as at October 31	8,921	8,470	405	397	2,459	2,500
Wholly or partially funded projected benefit obligation	8,921	8,470	–	–	1,858	1,898
Unfunded projected benefit obligation	–	–	405	397	601	602
Total projected benefit obligation as at October 31	8,921	8,470	405	397	2,459	2,500
Change in plan assets						
Plan assets at fair value at beginning of year	9,418	8,220	–	–	2,000	1,816
Interest income on plan assets	425	464	–	–	94	102
Remeasurement gain (loss) – return on plan assets less interest income	41	988	–	–	38	177
Members' contributions	109	112	–	–	–	–
Employer's contributions	289	–	19	20	69	56
Benefits paid	(400)	(355)	(19)	(20)	(161)	(149)
Change in foreign currency exchange rate	–	–	–	–	10	3
Defined benefit administrative expenses	(10)	(11)	–	–	(4)	(5)
Plan assets at fair value as at October 31	9,872	9,418	–	–	2,046	2,000
Excess (deficit) of plan assets at fair value over projected benefit obligation	951	948	(405)	(397)	(413)	(500)
Effect of asset limitation and minimum funding requirement	–	–	–	–	(26)	(21)
Net defined benefit asset (liability)	951	948	(405)	(397)	(439)	(521)
Recorded in						
Other assets in the Bank's Consolidated Balance Sheet	951	948	–	–	160	94
Other liabilities in the Bank's Consolidated Balance Sheet	–	–	(405)	(397)	(599)	(615)
Net defined benefit asset (liability)	951	948	(405)	(397)	(439)	(521)
Annual expense						
Net employee benefits expense includes the following:						
Service cost – benefits earned	276	217	6	5	19	15
Net interest cost (income) on net defined benefit liability (asset)	(51)	(83)	17	20	22	26
Interest cost on asset limitation and minimum funding requirement	–	11	–	–	1	3
Past service cost ³	–	35	–	–	2	–
Defined benefit administrative expenses	11	9	–	–	4	5
Total	\$ 236	\$ 189	\$ 23	\$ 25	\$ 48	\$ 49
Actuarial assumptions used to determine the annual expense						
Weighted-average discount rate for projected benefit obligation	4.83%	5.66%	4.80%	5.71%	5.06%	5.95%
Weighted-average rate of compensation increase	2.78%	2.78%	3.00%	3.05%	1.37%	1.35%
Assumed life expectancy at age 65, in years						
Male aged 65	23.2	23.2	23.2	23.2	21.9	21.9
Female aged 65	24.3	24.3	24.3	24.3	23.5	23.4
Male aged 45	24.1	24.1	24.1	24.1	22.7	22.6
Female aged 45	25.2	25.2	25.2	25.2	24.3	24.3
Actuarial assumptions used to determine the projected benefit obligation as at October 31						
Weighted-average discount rate for projected benefit obligation	4.80%	4.83%	4.70%	4.80%	4.97%	5.06%
Weighted-average rate of compensation increase	2.79%	2.78%	3.00%	3.00%	1.39%	1.37%
Assumed life expectancy at age 65, in years						
Male aged 65	23.3	23.2	23.3	23.2	22.0	21.9
Female aged 65	24.4	24.3	24.4	24.3	23.6	23.5
Male aged 45	24.2	24.1	24.2	24.1	22.7	22.7
Female aged 45	25.3	25.2	25.3	25.2	24.4	24.3

¹ The rate of increase for health care costs for the next year used to measure the expected cost of benefits covered for the principal post-retirement defined benefit plan is 2.46%. The rate is assumed to decrease gradually to 0.89% by the year 2040 and remain at that level thereafter (2024 – 2.59% grading to 0.89% by the year 2040 and remain at that level thereafter).

² Includes Canada Trust defined benefit pension plan, TD Banknorth defined benefit pension plan, TD Auto Finance defined benefit pension plan, TD Insurance defined benefit pension plan, and supplemental executive defined benefit pension plans.

³ Relates to the Pension Fund Society that was modified in fiscal 2024.

The Bank recognized the following amounts on the Consolidated Balance Sheet.

Amounts Recognized in the Consolidated Balance Sheet

(millions of Canadian dollars)

	As at	
	October 31 2025	October 31 2024
Other assets		
Principal defined benefit pension plans	\$ 951	\$ 948
Other defined benefit pension plans	160	94
Total	1,111	1,042
Other liabilities		
Principal post-retirement defined benefit plan	405	397
Other defined benefit pension plans	599	615
Other employee benefit plans ¹	368	368
Total	1,372	1,380
Net amount recognized	\$ (261)	\$ (338)

¹ Consists of other pension and other post-retirement benefit plans operated by the Bank and its subsidiaries that are not considered material for disclosure purposes.

The following table summarizes the remeasurements recognized in OCI for the Bank's principal pension and post-retirement defined benefit plans and certain of the Bank's other material defined benefit pension plans.

Amounts Recognized in Other Comprehensive Income for Remeasurement of Defined Benefit Plans^{1,2}

(millions of Canadian dollars)

(millions of Canadian dollars)						
	Principal pension plans		Principal post-retirement benefit plan		Other pension plans	
	For the years ended October 31					
	2025	2024	2025	2024	2025	2024
Remeasurement gains (losses) – financial	\$ 15	\$ (1,155)	\$ (5)	\$ (40)	\$ (16)	\$ (220)
Remeasurement gains (losses) – demographic	–	–	–	–	14	1
Remeasurement gains (losses) – experience	(107)	(92)	1	–	29	(20)
Remeasurement gains (losses) – return on plan assets less interest income	42	986	–	–	38	177
Changes in asset limitation and minimum funding requirement	–	206	–	–	(4)	35
Total	\$ (50)	\$ (55)	\$ (4)	\$ (40)	\$ 61	\$ (27)

¹ Amounts are presented on a pre-tax basis.

² Excludes net remeasurement gains (losses) recognized in OCI in respect of other employee defined benefit plans operated by the Bank and certain of its subsidiaries not considered material for disclosure purposes totalling \$15 million (2024 – (\$29) million).

(f) CASH FLOWS

During the year ended October 31, 2026, the Bank expects to contribute \$190 million to its principal defined benefit pension plans, \$22 million to its principal post-retirement defined benefit plan, and \$61 million to its other defined benefit pension plans. Future contribution amounts may change upon the Bank's review of its contribution levels during the year.

The following table summarizes the expected future benefit payments for the next 10 years.

Expected Future Benefit Payments

(millions of Canadian dollars)

	Principal pension plans	Principal post-retirement benefit plan	Other pension plans
Benefit payments expected to be paid in:			
2026	\$ 435	\$ 22	\$ 165
2027	458	23	167
2028	484	24	168
2029	506	24	169
2030	527	25	170
2031-2035	2,918	134	830
Total	\$ 5,328	\$ 252	\$ 1,669

(g) MATURITY PROFILE

The breakdown of the projected benefit obligations between active, deferred, and retired members is as follows:

Disaggregation of Projected Benefit Obligation

(millions of Canadian dollars)

	Principal pension plans		Principal post-retirement benefit plan		Other pension plans	
					As at October 31	
	2025	2024	2025	2024	2025	2024
Active members	\$ 5,956	\$ 5,722	\$ 170	\$ 163	\$ 472	\$ 488
Deferred members	633	543	—	—	456	373
Retired members	2,332	2,205	235	234	1,531	1,639
Total	\$ 8,921	\$ 8,470	\$ 405	\$ 397	\$ 2,459	\$ 2,500

The weighted-average duration of the projected benefit obligations is as follows:

Duration of Projected Benefit Obligation

(number of years)

	Principal pension plans		Principal post-retirement benefit plan		Other pension plans	
					As at October 31	
	2025	2024	2025	2024	2025	2024
Weighted-average duration	13	14	13	13	11	11

(h) SENSITIVITY ANALYSIS

The following table provides the sensitivity of the projected benefit obligation for the Bank's principal defined benefit pension plans, the principal post-retirement defined benefit plan, and the Bank's significant other defined benefit pension plans to actuarial assumptions considered significant by the Bank. These include discount rate, rates of compensation increase, life expectancy, and health care cost initial trend

rates, as applicable. The sensitivity analysis provided in the table should be used with caution, as it is hypothetical and the impact of changes in each significant assumption may not be linear. For each sensitivity test, the impact of a reasonably possible change in a single factor is shown with other assumptions left unchanged. Actual experience may result in simultaneous changes in a number of key assumptions, which could magnify or diminish certain sensitivities.

Sensitivity of Significant Defined Benefit Plan Actuarial Assumptions

(millions of Canadian dollars, except as noted)

	As at		
	October 31, 2025		
	Obligation Increase (Decrease)		
	Principal pension plans	Principal post-retirement benefit plan	Other pension plans
Impact of an absolute change in significant actuarial assumptions			
Discount rate			
1% decrease in assumption	\$ 1,280	\$ 53	\$ 286
1% increase in assumption	(1,017)	(43)	(237)
Rates of compensation increase			
1% decrease in assumption	(240)	— ¹	(23)
1% increase in assumption	213	— ¹	28
Life expectancy			
1 year decrease in assumption	(157)	(11)	(76)
1 year increase in assumption	152	11	75
Health care cost initial trend rate			
1% decrease in assumption	n/a	(7)	n/a
1% increase in assumption	n/a	8	n/a

¹ An absolute change in this assumption is immaterial.

The provision for (recovery of) income taxes is comprised of the following:

Provision for (Recovery of) Income Taxes

(millions of Canadian dollars)

For the years ended October 31

	2025	2024
Provision for (recovery of) income taxes – Consolidated Statement of Income		
Current income taxes		
Provision for (recovery of) income taxes for the current period	\$ 4,281	\$ 3,956
Adjustments in respect of prior years and other	(107)	(204)
Total current income taxes	4,174	3,752
Deferred income taxes		
Provision for (recovery of) deferred income taxes related to the origination and reversal of temporary differences	(778)	(1,254)
Effect of changes in tax rates	(45)	(13)
Adjustments in respect of prior years and other	59	206
Total deferred income taxes	(764)	(1,061)
Total provision for (recovery of) income taxes – Consolidated Statement of Income	3,410	2,691
Provision for (recovery of) income taxes – Statement of Other Comprehensive Income		
Current income taxes	628	767
Deferred income taxes	323	183
Total provision for (recovery of) income taxes – Statement of Other Comprehensive Income	951	950
Income taxes – other items including business combinations and other adjustments		
Current income taxes	(134)	(38)
Deferred income taxes	(7)	(12)
	(141)	(50)
Total provision for (recovery of) income taxes	4,220	3,591
Current income taxes		
Federal	2,078	1,712
Provincial	1,454	1,221
Foreign	1,136	1,548
	4,668	4,481
Deferred income taxes		
Federal	(162)	92
Provincial	(132)	54
Foreign	(154)	(1,036)
	(448)	(890)
Total provision for (recovery of) income taxes	\$ 4,220	\$ 3,591

The Bank's statutory and effective tax rate is outlined in the following table.

Reconciliation to Statutory Income Tax Rate

(millions of Canadian dollars, except as noted)

		2025		2024
Income taxes at Canadian statutory income tax rate	\$ 6,572	27.8%	\$ 3,009	27.8%
Increase (decrease) resulting from:				
Dividends received	(13)	(0.1)	(28)	(0.3)
Rate differentials on international operations ¹	(3,037)	(12.8)	(270)	(2.5)
Other – net	(112)	(0.5)	(20)	(0.2)
Provision for income taxes and effective income tax rate	\$ 3,410	14.4%	\$ 2,691	24.8%

¹ The 2025 amount includes the Pillar Two Global Minimum Tax impact to provision for income taxes as discussed in the International Tax Reform – Pillar Two Global Minimum Tax section below.

International Tax Reform – Pillar Two Global Minimum Tax

On December 20, 2021, the OECD published Pillar Two model rules as part of its efforts toward international tax reform. The Pillar Two model rules provide for the implementation of a 15% global minimum tax for large multinational enterprises, which is to be applied on a jurisdiction-by-jurisdiction basis. Pillar Two legislation was enacted in Canada on June 20, 2024 under Bill C-69, which includes the *Global Minimum Tax Act* addressing the Pillar Two model rules. Similar legislation has

passed in other jurisdictions in which the Bank operates and will result in additional taxes being paid in these countries. The rules were effective and implemented by the Bank on November 1, 2024. The IASB previously issued amendments to IAS 12 *Income Taxes* for a temporary mandatory exception from the recognition and disclosure of deferred taxes related to the implementation of Pillar Two model rules, which the Bank has applied. For the year ended October 31, 2025, the Bank's effective tax rate increased by approximately 0.3% due to Pillar Two taxes.

Other Tax Matters

The Canada Revenue Agency (CRA), Revenu Québec Agency (RQA) and Alberta Tax and Revenue Administration (ATRA) are denying certain dividend and interest deductions claimed by the Bank. During the year ended October 31, 2025, the CRA and the ATRA reassessed the Bank for a total of \$15 million of additional income tax and interest in respect of the 2019 and 2020 taxation years. As at October 31, 2025, the CRA has reassessed the Bank for \$1,676 million for the years 2011 to 2020, the RQA has reassessed the Bank for \$52 million for the years 2011 to

2018, and the ATRA has reassessed the Bank for \$71 million for the years 2011 to 2020. In total, the Bank has been reassessed for \$1,799 million of income tax and interest. The Bank expects to continue to be reassessed for open years. The Bank is of the view that its tax filing positions were appropriate and filed a Notice of Appeal with the Tax Court of Canada on March 21, 2023.

Deferred tax assets and liabilities comprise of the following:

Deferred Tax Assets and Liabilities

(millions of Canadian dollars)

	As at	
	October 31 2025	October 31 2024
Deferred tax assets		
Allowance for credit losses	\$ 1,760	\$ 1,592
Trading loans	26	31
Employee benefits	1,089	1,036
Losses available for carry forward	44	45
Tax credits	81	89
Land, buildings, equipment, other depreciable assets, and right-of-use assets	437	366
Securities	478	589
Deferred income	359	353
Intangibles	202	92
Other	923	727
Total deferred tax assets	5,399	4,920
Deferred tax liabilities		
Pensions	91	81
Goodwill	223	202
Total deferred tax liabilities	314	283
Net deferred tax assets	5,085	4,637
Reflected on the Consolidated Balance Sheet as follows:		
Deferred tax assets	5,388	4,937
Deferred tax liabilities ¹	303	300
Net deferred tax assets	\$ 5,085	\$ 4,637

¹ Included in Other liabilities on the Consolidated Balance Sheet.

The amount of temporary differences, unused tax losses, and unused tax credits for which no deferred tax asset is recognized on the Consolidated Balance Sheet was \$735 million as at October 31, 2025 (October 31, 2024 – \$658 million), of which \$1 million (October 31, 2024 – \$2 million) is scheduled to expire within five years.

Certain taxable temporary differences associated with the Bank's investments in subsidiaries, branches and associates, and interests in joint ventures did not result in the recognition of deferred tax liabilities as at October 31, 2025. The total amount of these temporary differences was \$84 billion as at October 31, 2025 (October 31, 2024 – \$72 billion).

The movement in the net deferred tax asset for the years ended October 31, 2025 and October 31, 2024, was as follows:

Deferred Income Tax Expense (Recovery)

(millions of Canadian dollars)

	2025				2024			
	Consolidated statement of income	Other comprehensive income	Business combinations and other	Total	Consolidated statement of income	Other comprehensive income	Business combinations and other	Total
Deferred income tax expense (recovery)								
Allowance for credit losses	\$ (168)	\$ –	\$ –	\$ (168)	\$ (126)	\$ –	\$ –	\$ (126)
Trading loans	5	–	–	5	(1)	–	–	(1)
Employee benefits	(55)	2	–	(53)	(154)	(15)	–	(169)
Losses available for carry forward	1	–	–	1	82	–	–	82
Tax credits	8	–	–	8	(43)	–	–	(43)
Land, buildings, equipment, other depreciable assets, and right-of-use assets	(71)	–	–	(71)	105	–	–	105
Securities	(219)	330	–	111	(494)	219	–	(275)
Deferred (income) expenses	(6)	–	–	(6)	(591)	–	–	(591)
Intangibles	(110)	–	–	(110)	(102)	–	–	(102)
Other deferred tax assets	(189)	–	(7)	(196)	291	–	(12)	279
Pensions	19	(9)	–	10	(56)	(21)	–	(77)
Goodwill	21	–	–	21	28	–	–	28
Total deferred income tax expense (recovery)	\$ (764)	\$ 323	\$ (7)	\$ (448)	\$ (1,061)	\$ 183	\$ (12)	\$ (890)

NOTE 24 EARNINGS PER SHARE

Basic earnings per share is calculated by dividing net income attributable to common shareholders by the weighted-average number of common shares outstanding for the period.

Diluted earnings per share is calculated using the same method as basic earnings per share except that certain adjustments are made to net

income attributable to common shareholders and the weighted-average number of shares outstanding for the effects of all dilutive potential common shares that are assumed to be issued by the Bank.

The following table presents the Bank's basic and diluted earnings per share for the years ended October 31, 2025 and October 31, 2024.

Basic and Diluted Earnings Per Share

(millions of Canadian dollars, except as noted)

	For the years ended October 31	
	2025	2024
Basic earnings per share		
Net income attributable to common shareholders	\$ 19,973	\$ 8,316
Weighted-average number of common shares outstanding (millions)	1,726.3	1,758.8
Basic earnings per share (Canadian dollars)	\$ 11.57	\$ 4.73
Diluted earnings per share		
Net income attributable to common shareholders	\$ 19,973	\$ 8,316
Net income available to common shareholders including impact of dilutive securities	19,973	8,316
Weighted-average number of common shares outstanding (millions)	1,726.3	1,758.8
Effect of dilutive securities		
Stock options potentially exercisable (millions) ¹	1.7	1.2
Weighted-average number of common shares outstanding – diluted (millions)	1,728.0	1,760.0
Diluted earnings per share (Canadian dollars)¹	\$ 11.56	\$ 4.72

¹ For the year ended October 31, 2025, the computation of diluted earnings per share excluded average options outstanding of 2.3 million with a weighted-average exercise price of \$95.33 as the option price was greater than the average market price of the Bank's common shares. For the year ended October 31, 2024, the computation of diluted earnings per share excluded average options outstanding of 6.9 million with an exercise price of \$89.49, as the option price was greater than the average market price of the Bank's common shares.

(a) PROVISIONS

The following table summarizes the Bank's provisions recorded in other liabilities.

Provisions

(millions of Canadian dollars)

	Restructuring	Legal, Regulatory and Other	Total
Balance as at November 1, 2024	\$ 236	\$ 2,396	\$ 2,632
Additions	701	143	844
Amounts used	(492)	(2,272)	(2,764)
Release of unused amounts	(15)	(55)	(70)
Foreign currency translation adjustments and other	(12)	53	41
Balance as at October 31, 2025, before allowance for credit losses for off-balance sheet instruments	\$ 418	\$ 265	\$ 683
Add: Allowance for credit losses for off-balance sheet instruments ¹			1,052
Balance as at October 31, 2025			\$ 1,735

¹ Refer to Note 8 for further details.

(b) RESTRUCTURING

The Bank continued to undertake certain measures in the fourth quarter of 2025 to reduce its cost base and achieve greater efficiency. In connection with this program, the Bank incurred \$686 million pre-tax of restructuring charges during the year ended October 31, 2025 (October 31, 2024 – \$566 million). The restructuring charges primarily relate to: (i) employee severance and other personnel-related costs recorded as provisions; (ii) asset impairment and other rationalization, including certain business wind-downs and (iii) real estate optimization mainly recorded as a reduction to buildings and land.

(c) LEGAL AND REGULATORY MATTERS

In the ordinary course of business, the Bank and its subsidiaries are involved in various legal and regulatory actions, including but not limited to civil claims and lawsuits, regulatory examinations, investigations, audits, and requests for information by governmental, regulatory and self-regulatory agencies and law enforcement authorities in various jurisdictions, in respect of our businesses and compliance programs. The Bank establishes provisions when it becomes probable that the Bank will incur a loss and the amount can be reliably estimated. The Bank also estimates the aggregate range of reasonably possible losses (RPL) in its legal and regulatory actions (that is, those which are neither probable nor remote), in excess of provisions. However, the Bank does not disclose the specific possible loss associated with each underlying matter given the substantial uncertainty associated with each possible loss as described below and the negative consequences to the Bank's resolution of the matters that comprise the RPL should individual possible losses be disclosed. As at October 31, 2025, the Bank's RPL is from zero to approximately \$440.7 million (October 31, 2024 – from zero to approximately \$625 million). The Bank's provisions and RPL represent the Bank's best estimates based upon currently available information for actions for which estimates can be made, but there are a number of factors that could cause the Bank's actual losses to be significantly different from its provisions or RPL. For example, the Bank's estimates involve significant judgment due to the varying stages of the proceedings, the existence of multiple defendants in many proceedings whose share of liability has yet to be determined, the numerous yet-unresolved issues in many of the proceedings, some of which are beyond the Bank's control and/or involve novel legal theories and interpretations, the attendant uncertainty of the various potential outcomes of such proceedings, and the fact that the underlying matters will change from time to time. In addition, some actions seek very large or indeterminate damages. Based on the Bank's current knowledge, and subject to the factors listed above as well as other uncertainties inherent in litigation and regulatory matters, other than as described below, since October 31, 2025, no other legal or regulatory matter has arisen or progressed to the point that it would reasonably be expected to result in a material financial impact to the Bank.

As previously disclosed, on October 10, 2024, the Bank announced that, following active cooperation and engagement with authorities and regulators, it reached a resolution (the "Global Resolution") of previously disclosed investigations related to its U.S. Bank Secrecy Act (BSA) and Anti-Money Laundering (AML) compliance programs (collectively, the "U.S. BSA/AML program"). The Bank and certain of its U.S. subsidiaries consented to orders with the Office of the Comptroller of the Currency (OCC), the Federal Reserve Board, and the Financial Crimes Enforcement Network and entered into plea agreements with the Department of Justice (DOJ), Criminal Division, Money Laundering and Asset Recovery Section and the United States Attorney's Office for the District of New Jersey. Details of the Global Resolution include: (i) a total payment of US\$3.088 billion (\$4.233 billion), all of which was provisioned during the 2024 fiscal year; (ii) TD Bank, N.A. (TDBNA) pleading guilty to one count of conspiring to fail to maintain an adequate AML program, failing to file accurate currency transaction reports (CTRs) and launder money and TD Bank US Holding Company (TDBUSH) pleading guilty to two counts of causing TDBNA to fail to maintain an adequate AML program and to fail to file accurate CTRs; (iii) requirements to remediate the Bank's U.S. BSA/AML program; (iv) a requirement to prioritize the funding and staffing of the remediation, which includes Board certifications for dividend distributions from certain of the Bank's U.S. subsidiaries to the Bank; (v) formal oversight of the U.S. BSA/AML remediation through an independent compliance monitorship; (vi) a prohibition against the average combined total assets of TD's two U.S. banking subsidiaries (TDBNA and TD Bank USA, N.A.) (collectively, the "U.S. Bank") exceeding US\$434 billion (representing the combined total assets of the U.S. Bank as at September 30, 2024) (the "Asset Limitation"), and if the U.S. Bank does not achieve compliance with all actionable articles in the OCC consent orders (and for each successive year that the U.S. Bank remains non-compliant), the OCC may require the U.S. Bank to further reduce total consolidated assets by up to 7%; (vii) the U.S. Bank being subject to OCC supervisory approval processes for any additions of new bank products, services, markets, and stores prior to the OCC's acceptance of the U.S. Bank's improved AML policies and procedures, to ensure the AML risk of new initiatives is appropriately considered and mitigated; (viii) requirements for the Bank and TD Group U.S. Holdings, LLC (TDGUS) to retain a third party to assess the effectiveness of the corporate governance and U.S. management structure and composition to adequately oversee U.S. operations; (ix) requirements to comply with the terms of the plea agreements with the DOJ during a five-year term of probation (which could be extended as a result of the Bank failing to complete the compliance undertakings, failing to cooperate or to report alleged misconduct as required, or committing additional crimes); (x) an ongoing obligation to cooperate with DOJ investigations; and (xi) an ongoing obligation to report evidence or allegations of violations by

the Bank, its affiliates, or their employees that may be a violation of U.S. federal law. The Bank is focused on meeting the terms of the consent orders and plea agreements, including meeting its requirements to remediate the Bank's U.S. BSA/AML compliance programs. During the first fiscal quarter of 2025, the Bank fully paid the remainder of the monetary penalty owed pursuant to the consent orders and plea agreements that were entered into as part of the Global Resolution. The payment was covered by provisions previously taken by the Bank for this matter.

As previously disclosed, the Bank and some former and current directors, officers and employees have been named as defendants in proposed class action lawsuits in the United States and Canada purporting to be brought on behalf of the Bank's shareholders alleging, among other things, that a decline in the price of the Bank's shares was the result of misleading disclosures with respect to the Bank's AML compliance programs and/or the potential outcomes of the government agencies' or regulators' investigations. The two proposed class actions filed in the United States have been consolidated under the caption *Tiessen v. The Toronto-Dominion Bank, et al.*, in the United States District Court for the Southern District of New York, and a consolidated amended complaint has been filed which names TD Bank, N.A., TDBUSH, and certain former and current officers as defendants. On May 30, 2025, the defendants filed motions to dismiss in the *Tiessen* case. Out of the three proposed class actions in Ontario, *Parkin v. The Toronto-Dominion Bank, et al.*, has been identified as the lead action with the other two Ontario actions being stayed. There remains one further proposed class action in Quebec which has been stayed. A putative shareholder derivative action, captioned *Rubin v. Masrani, et al.*, has also been filed purportedly on behalf of TD in the United States in the Supreme Court of the State of New York, New York County, against certain former and current TD directors, officers and employees, and certain of TD's U.S. affiliates and subsidiaries. The complaint asserts alleged breaches of duties and other claims against the individual defendants in connection with the Bank's U.S. BSA/AML compliance programs. On October 31, 2025, TD filed a motion to dismiss the *Rubin* action. Certain purported TD shareholders have also filed an application in the Ontario Superior Court of Justice (*The Trustees of International Brotherhood of Electrical Workers, et al., v. The Toronto-Dominion Bank, et al.*) seeking leave to bring a shareholder derivative action in the Delaware Court of Chancery on behalf of TD and TDBUSH against certain current and former directors and officers. All of the proceedings are still in early stages and none of the proposed class action lawsuits have been certified to proceed as a class action. Losses or damages cannot be estimated at this time.

As previously disclosed, the Bank has been named as defendant in a purported class action lawsuit in the United States purporting to be brought on behalf of First Horizon shareholders alleging that a decline in the price of First Horizon shares was the result of alleged misleading disclosures the Bank made with respect to its U.S. BSA/AML compliance programs and its effect on the Bank's contemplated merger with First Horizon. The lawsuit also names some of the Bank's former and current officers and a former employee as defendants. On November 26, 2025, the court dismissed plaintiffs' complaint, but gave plaintiffs a final opportunity to amend their complaint again to attempt to address its deficiencies. These proceedings are still in early stages and have not been certified to proceed as a class action. Losses or damages cannot be estimated at this time.

As previously disclosed, the Bank is a defendant in Canada and/or the United States in a number of matters brought by customers, including class actions, alleging claims in connection with various fees, practices and credit decisions. The cases are in various stages of maturity and include, among others: a Quebec action against members of the financial services industry (including the Bank) regarding the existence and amount of the insufficient or non-sufficient funds fee, a Quebec action against certain brokers (including TD Direct Investing) regarding disclosure of foreign conversion fees, and a Quebec action against members of the automobile insurance industry (including Primum Insurance Company) regarding underwriting practices in Quebec.

As previously disclosed, on September 30, 2024, TD Securities (USA) LLC (TDS-US) entered into a Deferred Prosecution Agreement

(DPA) with the U.S. DOJ related to the actions of a former TDS trader. Pursuant to the terms of the DPA, TDS-US agreed to pay total monetary sanctions of approximately US\$15.5 million, which consists of a criminal penalty, forfeiture and victim compensation. TDS-US and, in certain instances, TD Group US Holdings LLC, further agreed to abide by certain cooperation, reporting and compliance obligations in connection with the DPA. These include, but are not limited to: (i) an ongoing obligation to cooperate with DOJ investigations; (ii) an ongoing obligation to report evidence or allegations of violations by TDS-US of certain federal statutes; (iii) the implementation and maintenance of a corporate compliance program that meets certain enumerated standards; and (iv) an ongoing obligation to regularly report to the DOJ on its efforts to bolster its compliance program. TDS-US also resolved investigations by the U.S. Securities and Exchange Commission (SEC) and the Financial Industry Regulatory Authority (FINRA) relating to the actions of the former TDS-US trader. As part of the resolutions, TDS-US agreed to pay approximately US\$7 million in total monetary sanctions to the SEC and US\$6 million to FINRA.

As previously disclosed, the Bank was named as a defendant in *Rotstain v. Trustmark National Bank, et al.*, a putative class action lawsuit in the United States District Court for the Northern District of Texas related to a US\$7.2 billion Ponzi scheme perpetrated by R. Allen Stanford, the owner of Stanford International Bank, Limited, an offshore bank based in Antigua. In fiscal year 2023, the Bank reached a settlement agreement pursuant to which the Bank agreed to pay US\$1.205 billion to the U.S. Receiver to resolve all claims against the Bank arising from or related to R. Allen Stanford, including the claims asserted in the *Rotstain et al. v. Trustmark National Bank et al. and Smith et al. v. Independent Bank actions*. Under the terms of the agreement, all involved parties have agreed to a bar order dismissing and releasing all current or future claims arising from or related to R. Allen Stanford. On May 31, 2024, the claims against the Bank were dismissed with prejudice in *Rotstain v. Trustmark National Bank, et al.* This brings to a close the Stanford litigation in the United States. A case regarding the same facts was also brought in Ontario by the Joint Liquidators of Stanford International Bank Ltd. appointed by the Eastern Caribbean Supreme Court, under the title *McDonald v. The Toronto-Dominion Bank*; on July 20, 2023, the Canadian proceeding ended following the Supreme Court of Canada's dismissal of an application for leave to appeal by the Joint Liquidators.

As previously disclosed, in the third quarter of 2024, the Bank and certain of its subsidiaries resolved the investigations by the SEC and the Commodity Futures Trading Commission concerning compliance with records preservation requirements relating to business communications exchanged on unapproved electronic channels. The Bank and its subsidiaries in the aggregate paid penalties totaling US\$124.5 million, for which the Bank was fully provisioned, and agreed to various other customary terms similar to those imposed on other financial institutions that have resolved similar investigations.

As previously disclosed, in the second quarter of 2024, the Bank and certain of its subsidiaries reached a settlement in principle relating to a civil matter, pursuant to which the Bank recorded a provision of \$274 million.

Refer to Note 23 for disclosures related to tax matters.

(d) COMMITMENTS

Credit-related Arrangements

In the normal course of business, the Bank enters into various commitments and contingent liability contracts. The primary purpose of these contracts is to make funds available for the financing needs of customers. The Bank's policy for requiring collateral security with respect to these contracts and the types of collateral security held is generally the same as for loans made by the Bank.

Financial and performance standby letters of credit represent irrevocable assurances that the Bank will make payments in the event that a customer cannot meet its obligations to third parties and they carry the same credit risk, recourse, and collateral security requirements as loans extended to customers. Performance standby letters of credit are considered non-financial guarantees as payment does not depend on the occurrence of a credit event and is generally related to a non-financial trigger event.

Documentary and commercial letters of credit are instruments issued on behalf of a customer authorizing a third party to draw drafts on the Bank up to a certain amount subject to specific terms and conditions. The Bank is at risk for any drafts drawn that are not ultimately settled by the customer, and the amounts are collateralized by the assets to which they relate.

Commitments to extend credit represent unutilized portions of authorizations to extend credit in the form of loans. A discussion on the types of liquidity facilities the Bank provides to its securitization conduits is included in Note 10.

The values of credit instruments reported as follows represent the maximum amount of additional credit that the Bank could be obligated to extend should contracts be fully utilized.

Credit Instruments

(millions of Canadian dollars)		As at
	October 31 2025	October 31 2024
Financial and performance standby letters of credit	\$ 48,348	\$ 44,463
Documentary and commercial letters of credit	321	337
Commitments to extend credit¹		
Original term-to-maturity of one year or less	96,042	76,060
Original term-to-maturity of more than one year	244,078	245,846
Total	\$ 388,789	\$ 366,706

¹ Commitments to extend credit exclude personal lines of credit and credit card lines, which are unconditionally cancellable at the Bank's discretion at any time.

In addition, as at October 31, 2025, the Bank is committed to fund \$617 million (October 31, 2024 – \$594 million) of private equity investments.

Long-term Commitments or Leases

The Bank has obligations under long-term non-cancellable leases for premises and equipment. The maturity profile for undiscounted lease liabilities is \$31 million for 2026, \$128 million for 2027, \$186 million for 2028, \$359 million for 2029, \$482 million for 2030, \$5,490 million for 2031 and thereafter. Total lease payments, including \$7 million (October 31, 2024 – \$19 million) paid for short-term and low-value asset leases, for the year ended October 31, 2025, were \$833 million (October 31, 2024 – \$829 million).

(e) ASSETS SOLD WITH RECOURSE

In connection with its securitization activities, the Bank typically makes customary representations and warranties about the underlying assets which may result in an obligation to repurchase the assets. These representations and warranties attest that the Bank, as the seller, has executed the sale of assets in good faith, and in compliance with relevant laws and contractual requirements. In the event that they do not meet these criteria, the loans may be required to be repurchased by the Bank.

(f) GUARANTEES

In addition to financial and performance standby letters of credit, the following types of transactions represent the principal guarantees that the Bank has entered into.

Credit Enhancements

The Bank guarantees payments to counterparties in the event that third-party credit enhancements supporting asset pools are insufficient.

Indemnification Agreements

In the normal course of operations, the Bank provides indemnification agreements to various counterparties in transactions such as service agreements, leasing transactions, and agreements relating to acquisitions

and dispositions. Under these agreements, the Bank is required to compensate counterparties for costs incurred as a result of various contingencies such as changes in laws and regulations and litigation claims. The nature of certain indemnification agreements prevent the Bank from making a reasonable estimate of the maximum potential amount that the Bank would be required to pay such counterparties.

The Bank also indemnifies directors, officers, and other persons, to the extent permitted by law, against certain claims that may be made against them as a result of their services to the Bank or, at the Bank's request, to another entity.

(g) PLEDGED ASSETS AND COLLATERAL

In the ordinary course of business, securities and other assets are pledged against liabilities or contingent liabilities, including repurchase agreements, securitization liabilities, covered bonds, obligations related to securities sold short, and securities borrowing transactions. Assets are also deposited for the purposes of participation in clearing and payment systems and depositories or to have access to the facilities of central banks in foreign jurisdictions, or as security for contract settlements with derivative exchanges or other derivative counterparties.

Details of assets pledged against liabilities and collateral assets held or repledged are shown in the following table:

Sources and Uses of Pledged Assets and Collateral

(millions of Canadian dollars)		As at
	October 31 2025	October 31 2024
Sources of pledged assets and collateral		
Bank assets		
Interest-bearing deposits with banks	\$ 5,700	\$ 6,161
Loans	213,125	205,337
Securities	236,430	240,425
Other assets	262	238
	455,517	452,161
Third-party assets ¹		
Collateral received and available for sale or repledging	439,278	364,178
Less: Collateral not repledged	(84,094)	(73,996)
	355,184	290,182
	810,701	742,343
Uses of pledged assets and collateral²		
Derivatives	18,709	15,964
Obligations related to securities sold under repurchase agreements	204,710	186,777
Securities borrowing and lending	170,642	137,292
Obligations related to securities sold short	37,320	34,336
Securitization	44,674	36,806
Covered bond	69,695	76,698
Clearing systems, payment systems, and depositories	11,048	10,540
Foreign governments and central banks	20	26
Other	95,851	124,408
	652,669	622,847
Assets pledged but not encumbered ³	158,032	119,496
Total	\$ 810,701	\$ 742,343

¹ Includes collateral received from reverse repurchase agreements, securities lending, margin loans, and other client activity.

² Includes \$68 billion of on-balance sheet assets that the Bank has pledged and that the counterparty can subsequently repledge as at October 31, 2025 (October 31, 2024 – \$63.7 billion).

³ Represents assets pledged as pre-positioned collateral or to generate unused borrowing capacity with the U.S. Federal Reserve Bank and the FHLB system.

Parties are considered to be related if one party has the ability to directly or indirectly control the other party or exercise significant influence over the other party in making financial or operational decisions. The Bank's related parties include key management personnel, their close family members and their related entities, subsidiaries, associates, joint ventures, and post-employment benefit plans for the Bank's employees.

TRANSACTIONS WITH KEY MANAGEMENT PERSONNEL, THEIR CLOSE FAMILY MEMBERS, AND THEIR RELATED ENTITIES

Key management personnel are those persons having authority and responsibility for planning, directing, and controlling the activities of the Bank, directly or indirectly. The Bank considers certain of its officers and directors to be key management personnel. The Bank makes loans to its key management personnel, their close family members, and their related entities on market terms and conditions with the exception of banking products and services for key management personnel, which are subject to approved policy guidelines that govern all employees.

As at October 31, 2025, \$131 million (October 31, 2024 – \$14 million) of related party loans were outstanding from key management personnel, their close family members, and their related entities. This amount also includes balances from certain retired key management personnel.

COMPENSATION

The remuneration of key management personnel was as follows:

Compensation

(millions of Canadian dollars)	For the years ended October 31	
	2025	2024
Short-term employee benefits	\$ 52	\$ 30
Post-employment benefits	3	1
Share-based payments	54	23
Total	\$ 109	\$ 54

In addition, the Bank offers deferred share and other plans to non-employee directors, executives, and certain other key employees. Refer to Note 21 for further details.

In the ordinary course of business, the Bank also provides various banking services to associated and other related corporations on terms similar to those offered to non-related parties.

TRANSACTIONS WITH SUBSIDIARIES, SCHWAB, AND SYMCOR INC.

Transactions between the Bank and its subsidiaries meet the definition of related party transactions. If these transactions are eliminated on consolidation, they are not disclosed as related party transactions.

Transactions between the Bank, Schwab, and Symcor Inc. (Symcor) also qualify as related party transactions. As the Bank's entire remaining equity investment in Schwab was sold on February 12, 2025, Schwab is no longer a related party as of October 31, 2025, but was a related party up to the date of sale. There were no significant transactions between the Bank, Schwab, and Symcor during the year ended October 31, 2025, other than as described in the following sections and in Note 12.

i) TRANSACTIONS WITH SCHWAB

A description of significant transactions between the Bank and its affiliates with Schwab is set forth below.

Insured Deposit Account Agreement

As at October 31, 2025, deposits under the Schwab IDA Agreement were \$106 billion (US\$76 billion) (October 31, 2024 – \$117 billion (US\$84 billion)). The Bank paid fees of \$405 million related to sweep deposit accounts from November 1, 2024 to February 11, 2025, the period in which Schwab was a related party to the Bank. The Bank paid fees, net of the termination fees received from Schwab, of \$908 million during the year ended October 31, 2024.

As at October 31, 2025, amounts receivable from Schwab were \$49 million (October 31, 2024 – \$12 million). As at October 31, 2025, amounts payable to Schwab were \$38 million (October 31, 2024 – \$42 million).

ii) TRANSACTIONS WITH SYMCOR

The Bank has one-third ownership in Symcor, a Canadian provider of business process outsourcing services offering a diverse portfolio of integrated solutions in item processing, statement processing and production, and cash management services. The Bank accounts for Symcor's results using the equity method of accounting. During the year ended October 31, 2025, the Bank paid \$89 million (October 31, 2024 – \$88 million) for these services. As at October 31, 2025, the amount payable to Symcor was \$7 million (October 31, 2024 – \$6 million).

The Bank and two other shareholder banks have also provided a \$100 million unsecured loan facility to Symcor which was undrawn as at October 31, 2025 and October 31, 2024.

For management reporting purposes, the Bank reports its results under four key business segments: Canadian Personal and Commercial Banking, U.S. Retail, Wealth Management and Insurance, and Wholesale Banking. The Bank's other activities are grouped into the Corporate segment.

Canadian Personal and Commercial Banking provides financial products and services to personal, small business and commercial customers, and includes TD Auto Finance Canada. U.S. Retail is comprised of personal and business banking in the U.S., TD Auto Finance U.S., and the U.S. wealth business. On February 12, 2025, the Bank sold its entire remaining equity investment in Schwab. Prior to the sale, the Bank's investment in Schwab was reported in the U.S. Retail segment, refer to Note 12 for further details. Wealth Management and Insurance includes the Canadian wealth business which provides investment products and services to institutional and retail investors, and the insurance business which provides property and casualty insurance, as well as life and health insurance products to customers across Canada. Wholesale Banking provides a wide range of capital markets, investment banking, and corporate banking products and services, including underwriting and distribution of new debt and equity issues, providing advice on strategic acquisitions and divestitures, and

meeting the daily trading, funding, and investment needs of the Bank's clients. The Corporate segment includes the effects of certain asset securitization programs, treasury management, elimination of taxable equivalent adjustments and other management reclassifications, corporate level tax items, and residual unallocated revenue and expenses. Effective fiscal 2025, certain U.S. governance and control investments, including costs for U.S. BSA/AML remediation, previously reported in the Corporate segment are now reported in the U.S. Retail segment. Comparative amounts have been reclassified to conform with the presentation adopted in the current period.

The results of each business segment reflect revenue, expenses, and assets generated by the businesses in that segment. Due to the complexity of the Bank, its management reporting model uses various estimates, assumptions, allocations, and risk-based methodologies for funds transfer pricing, inter-segment revenue, income tax rates, capital, indirect expenses and cost transfers to measure business segment results. The basis of allocation and methodologies are reviewed periodically to align with management's evaluation of the Bank's business segments. Transfer pricing of funds is generally applied at market rates. Intersegment

revenue is negotiated between each business segment and approximates the fair value of the services provided. Income tax provision or recovery is generally applied to each segment based on a statutory tax rate and may be adjusted for items and activities unique to each segment. Amortization of intangibles acquired as a result of business combinations is included in the Corporate segment. Accordingly, net income for business segments is presented before amortization of these intangibles.

Non-interest income is earned by the Bank primarily through investment and securities services, credit fees, trading income, service charges, card services, and insurance revenues. Revenues from investment and securities services are earned predominantly in the Wealth Management and Insurance segment. Revenues from credit fees are primarily earned in the Wholesale Banking and Canadian Personal and Commercial Banking segments. Trading income is earned within Wholesale Banking. Both

service charges and card services revenue are mainly earned in the U.S. Retail and Canadian Personal and Commercial Banking segments. Insurance revenue is earned in the Wealth Management and Insurance segment.

Net interest income within Wholesale Banking is calculated on a taxable equivalent basis (TEB), which means that the value of non-taxable or tax-exempt income, primarily dividends, is adjusted to its equivalent before-tax value. Using TEB allows the Bank to measure income from all securities and loans consistently and makes for a more meaningful comparison of net interest income with similar institutions. The TEB adjustment reflected in Wholesale Banking is reversed in the Corporate segment.

The following table summarizes the segment results for the years ended October 31, 2025 and October 31, 2024.

Results by Business Segment¹

(millions of Canadian dollars)

	For the years ended					
	October 31, 2025					
	Canadian Personal and Commercial Banking	U.S. Retail	Wealth Management and Insurance	Wholesale Banking ²	Corporate ²	Total
Net interest income (loss)	\$ 16,701	\$ 12,368	\$ 1,493	\$ (18)	\$ 2,518	\$ 33,062
Non-interest income (loss)	3,985	(63)	13,069	8,410	9,314	34,715
Total revenue	20,686	12,305	14,562	8,392	11,832	67,777
Provision for (recovery of) credit losses	2,143	1,514	–	290	559	4,506
Insurance service expenses	–	–	6,089	–	–	6,089
Non-interest expenses	8,382	9,599	4,698	6,048	4,812	33,539
Income (loss) before income taxes and share of net income from investment in Schwab	10,161	1,192	3,775	2,054	6,461	23,643
Provision for (recovery of) income taxes	2,844	(472)	986	444	(392)	3,410
Share of net income from investment in Schwab ^{3,4}	–	277	–	–	28	305
Net income (loss)	\$ 7,317	\$ 1,941	\$ 2,789	\$ 1,610	\$ 6,881	\$ 20,538
October 31, 2024						
Net interest income (loss)	\$ 15,697	\$ 11,600	\$ 1,226	\$ 582	\$ 1,367	\$ 30,472
Non-interest income (loss)	4,093	2,113	12,309	6,704	1,532	26,751
Total revenue	19,790	13,713	13,535	7,286	2,899	57,223
Provision for (recovery of) credit losses	1,755	1,532	–	317	649	4,253
Insurance service expenses	–	–	6,647	–	–	6,647
Non-interest expenses	8,010	13,141	4,285	5,576	4,481	35,493
Income (loss) before income taxes and share of net income from investment in Schwab	10,025	(960)	2,603	1,393	(2,231)	10,830
Provision for (recovery of) income taxes	2,806	69	648	275	(1,107)	2,691
Share of net income from investment in Schwab ^{3,4}	–	709	–	–	(6)	703
Net income (loss)	\$ 7,219	\$ (320)	\$ 1,955	\$ 1,118	\$ (1,130)	\$ 8,842

¹ The retailer program partners' share of revenues and credit losses is presented in the Corporate segment, with an offsetting amount (representing the partners' net share) recorded in Non-interest expenses, resulting in no impact to Corporate reported Net income (loss). The Net income (loss) included in the U.S. Retail segment includes only the portion of revenue and credit losses attributable to the Bank under the agreements.

² Net interest income within Wholesale Banking is calculated on a TEB. The TEB adjustment reflected in Wholesale Banking is reversed in the Corporate segment.

³ The after-tax amounts for amortization of acquired intangibles, the Bank's share of acquisition and integration charges associated with Schwab's acquisition of TD Ameritrade, the Bank's share of Schwab's restructuring charges, and the Bank's share of Schwab's Federal Deposit Insurance Corporation special assessment charge were recorded in the Corporate segment.

⁴ The Bank's share of Schwab's earnings was reported with a one-month lag. Refer to Note 12 for further details.

Total Assets by Business Segment

(millions of Canadian dollars)

	Canadian Personal and Commercial Banking	U.S. Retail	Wealth Management and Insurance	Wholesale Banking	Corporate	Total
As at October 31, 2025						
Total assets	\$ 616,115	\$ 530,729	\$ 25,231	\$ 754,391	\$ 168,092	\$ 2,094,558
As at October 31, 2024						
Total assets	\$ 584,468	\$ 606,572	\$ 23,217	\$ 686,795	\$ 160,699	\$ 2,061,751

RESULTS BY GEOGRAPHY

For reporting of geographic results, segments are grouped into Canada, United States, and Other international. Transactions are primarily recorded

in the location responsible for recording the revenue or assets. This location frequently corresponds with the location of the legal entity through which the business is conducted and the location of the customer.

Results by Geography

(millions of Canadian dollars)

	For the years ended October 31	As at October 31
	2025	2025
	Total revenue	Total assets
Canada	\$ 33,916	\$ 1,167,980
United States	29,706	753,258
Other international	4,155	173,320
Total	\$ 67,777	\$ 2,094,558
	2024	2024
Canada	\$ 31,453	\$ 1,146,243
United States	22,097	749,353
Other international	3,673	166,155
Total	\$ 57,223	\$ 2,061,751

NOTE 28 INTEREST INCOME AND EXPENSE

The following tables present interest income and interest expense by basis of accounting measurement.

Interest Income

(millions of Canadian dollars)

	For the years ended October 31	
	2025	2024
Measured at amortized cost ¹	\$ 74,659	\$ 80,581
Measured at FVOCI – Debt instruments ¹	4,342	3,743
	79,001	84,324
Measured or designated at FVTPL	8,282	8,742
Measured at FVOCI – Equity instruments	338	323
Total	\$ 87,621	\$ 93,389

¹ Interest income is calculated using EIRM.

Interest Expense

(millions of Canadian dollars)

	For the years ended October 31	
	2025	2024
Measured at amortized cost ^{1,2}	\$ 43,268	\$ 50,382
Measured or designated at FVTPL	11,291	12,535
Total	\$ 54,559	\$ 62,917

¹ Interest expense is calculated using EIRM.

² Includes interest expense on lease liabilities for the year ended October 31, 2025 of \$163 million (October 31, 2024 – \$151 million).

Concentration of credit risk exists where a number of borrowers or counterparties are engaged in similar activities, are located in the same geographic area or have comparable economic characteristics. Their ability

to meet contractual obligations may be similarly affected by changing economic, political or other conditions. The Bank's portfolio could be sensitive to changing conditions in particular geographic regions.

Concentration of Credit Risk

(millions of Canadian dollars,
except as noted)

	As at					
	Loans ^{1,2}		Credit Instruments ^{3,4}		Derivative financial instruments ^{5,6}	
	October 31 2025	October 31 2024	October 31 2025	October 31 2024	October 31 2025	October 31 2024
Canada	69%	66%	30%	32%	28%	28%
United States	30	33	67	64	33	32
United Kingdom	–	–	1	1	9	9
Europe – other	–	–	2	2	22	21
Other international	1	1	–	1	8	10
Total	100%	100%	100%	100%	100%	100%
	\$ 953,300	\$ 949,779	\$ 388,789	\$ 366,706	\$ 72,333	\$ 69,970

¹ Of the total loans the only industry segment which equalled or exceeded 5% of the total concentration as at October 31, 2025 was real estate 10% (October 31, 2024 – 10%).

² Includes loans that are measured at FVOCI.

³ As at October 31, 2025, the Bank had commitments and contingent liability contracts in the amount of \$389 billion (October 31, 2024 – \$367 billion). Included are commitments to extend credit totalling \$340 billion (October 31, 2024 – \$322 billion), of which the credit risk is dispersed as detailed in the table above.

⁴ Of the commitments to extend credit, industry segments which equalled or exceeded 5% of the total concentration were as follows as at October 31, 2025: financial institutions 22% (October 31, 2024 – 19%); power and utilities 11% (October 31, 2024 – 11%); government, public sector entities and education 7% (October 31, 2024 – 7%); automotive 7% (October 31, 2024 – 7%); professional

and other services 8% (October 31, 2024 – 8%); sundry manufacturing and wholesale 7% (October 31, 2024 – 7%); telecommunications, cable and media 5% (October 31, 2024 – 5%).

⁵ As at October 31, 2025, the current replacement cost of derivative financial instruments, excluding the impact of master netting agreements and collateral, amounted to \$72 billion (October 31, 2024 – \$70 billion). Based on the location of the ultimate counterparty, the credit risk was allocated as detailed in the table above. The table excludes the fair value of exchange traded derivatives.

⁶ The largest concentration by counterparty type was with financial institutions (including non-banking financial institutions), which accounted for 74% of the total as at October 31, 2025 (October 31, 2024 – 66%). The second largest concentration was with governments, which accounted for 16% of the total as at October 31, 2025 (October 31, 2024 – 24%). No other industry segment exceeded 5% of the total.

The following table presents the maximum exposure to credit risk of financial instruments, before taking account of any collateral held or other credit enhancements.

Gross Maximum Credit Risk Exposure

(millions of Canadian dollars)

	As at	
	October 31 2025	October 31 2024
Cash and due from banks	\$ 7,512	\$ 6,437
Interest-bearing deposits with banks	109,417	169,930
Securities ¹		
Financial assets designated at fair value through profit or loss		
Government and government-insured securities	3,473	3,056
Other debt securities	3,513	3,361
Trading		
Government and government-insured securities	43,957	46,575
Other debt securities	23,270	22,482
Retained interest	1	1
Non-trading securities at fair value through profit or loss		
Government and government-insured securities	333	271
Other debt securities	5,346	1,376
Securities at fair value through other comprehensive income		
Government and government-insured securities	101,234	78,422
Other debt securities	21,800	10,830
Debt securities at amortized cost		
Government and government-insured securities	182,488	205,098
Other debt securities	57,951	66,517
Securities purchased under reverse purchase agreements	247,078	208,217
Derivatives ²	82,972	78,061
Loans		
Residential mortgages	314,706	331,284
Consumer instalment and other personal	256,840	226,333
Credit card	39,370	38,542
Business and government	342,096	353,390
Trading loans	30,032	23,518
Non-trading loans at fair value through profit or loss	344	3,057
Loans at fair value through other comprehensive income	288	230
Amounts receivable from brokers, dealers, and clients	27,345	22,115
Other assets	12,318	12,761
Total assets	1,913,684	1,911,864
Credit instruments ³	388,789	366,706
Unconditionally cancellable commitments to extend credit	468,663	450,574
Total credit exposure	\$ 2,771,136	\$ 2,729,144

¹ Excludes equity securities.

² The carrying amount of the derivative assets represents the maximum credit risk exposure related to derivative contracts.

³ The balance represents the maximum amount of additional funds that the Bank could be obligated to extend should the contracts be fully utilized. The actual maximum exposure may differ from the amount reported above. Refer to Note 25 for further details.

The Bank manages its capital in accordance with guidelines established by OSFI. The regulatory capital guidelines measure capital in relation to credit, market, and operational risks. The Bank has various capital policies, procedures, and controls which it utilizes to achieve its goals and objectives. The Bank is designated as a domestic systemically important bank (D-SIB) and a global systemically important bank (G-SIB).

The Bank's capital management objectives are:

- To maintain an adequate level of capital based on the Bank's risk profile as determined by:
 - the Bank's Risk Appetite Statement;
 - capital requirements defined by relevant regulatory authorities; and
 - the Bank's internal assessment of capital requirements, including stress test analysis, consistent with the Bank's risk profile and risk tolerance levels.
- Manage capital levels, in order to:
 - insulate the Bank from unexpected loss events;
 - maintain stakeholder confidence in the Bank;
 - establish that the Bank has adequate capital under a severe but plausible stress event; and
 - facilitate business growth and/or strategic deployment consistent with the Bank's strategy and risk appetite.
- To have the most economic weighted-average cost of capital achievable, while preserving the appropriate mix of capital instruments to meet targeted capitalization levels and provide a satisfactory return on shareholders' equity.
- To support strong external debt ratings, in order to manage the Bank's overall cost of funds and to maintain access to required funding (in the event of unexpected loss or business growth).
- To maintain a robust capital planning process and framework to support capital funding decisions such as issuances, redemptions and distributions which in turn support the Bank's capital adequacy.

These objectives are applied in a manner consistent with the Bank's overall objective of providing a satisfactory return on shareholders' equity.

Basel III Capital Framework

Capital requirements of the Basel Committee on Banking Supervision are commonly referred to as Basel III. Under Basel III, Total Capital consists of three components, namely Common Equity Tier 1 (CET1), Additional Tier 1, and Tier 2 Capital. Risk sensitive regulatory capital ratios are calculated by dividing CET1, Tier 1, and Total Capital by risk-weighted assets (RWA), inclusive of any minimum requirements outlined under the regulatory floor. Basel III also implemented a non-risk sensitive leverage ratio to act as a supplementary measure to the risk-sensitive capital requirements. The leverage ratio is calculated by dividing Tier 1 Capital by leverage exposure which is primarily comprised of on-balance sheet assets with adjustments made to derivative and securities financing transaction exposures, and credit equivalent amounts of off-balance sheet exposures. TD manages its regulatory capital in accordance with OSFI's implementation of the Basel III Capital Framework.

Capital Position and Capital Ratios

The Basel framework allows qualifying banks to determine capital levels consistent with the way they measure, manage, and mitigate risks. It specifies methodologies for the measurement of credit, trading market, and operational risks. The Bank uses the Internal Ratings-Based approaches to credit risk for all material portfolios.

For accounting purposes, IFRS is followed for consolidation of subsidiaries and joint ventures. For regulatory capital purposes, all subsidiaries of the Bank are consolidated except for insurance subsidiaries which are deconsolidated and follow prescribed treatment per OSFI's CAR guidelines. Insurance subsidiaries are subject to their own capital adequacy reporting, such as OSFI's Minimum Capital Test for General Insurance and Life Insurance Capital Adequacy Test for Life and Health.

Some of the Bank's subsidiaries are individually regulated by either OSFI or other regulators. Many of these entities have minimum capital requirements which may limit the Bank's ability to extract capital or funds for other uses.

Canadian banks designated as D-SIBs are required to comply with OSFI's minimum targets for risk-based capital and leverage ratios. The minimum targets include a D-SIB surcharge and Domestic Stability Buffer (DSB) for CET1, Tier 1, Total Capital and risk-based Total Loss Absorbing Capacity (TLAC) ratios. The DSB level was increased to 3.5% as of November 1, 2023, and as a result the published regulatory minimum targets are set at 11.5%, 13.0%, 15.0% and 25.0%, respectively. The OSFI target includes the greater of the D-SIB or G-SIB surcharge, both of which are currently 1% for the Bank. The OSFI target for leverage requires D-SIBs to hold a leverage ratio buffer of 0.50% in addition to the existing minimum requirement. This sets the published regulatory minimum targets for leverage and TLAC leverage ratios at 3.5% and 7.25%, respectively.

The Bank complied with all minimum risk-based capital and leverage ratio requirements set by OSFI during the year ended October 31, 2025.

The following table summarizes the Bank's regulatory capital position as at October 31, 2025 and October 31, 2024.

Regulatory Capital Position

(millions of Canadian dollars, except as noted)	As at	
	October 31 2025	October 31 2024
Capital		
Common Equity Tier 1 Capital	\$ 93,579	\$ 82,714
Tier 1 Capital	104,502	93,248
Total Capital	116,866	105,745
Risk-weighted assets used in the calculation of capital ratios	636,424	630,900
Capital and leverage ratios		
Common Equity Tier 1 Capital ratio	14.7%	13.1%
Tier 1 Capital ratio	16.4	14.8
Total Capital ratio	18.4	16.8
Leverage ratio	4.6	4.2
TLAC Ratio	31.8	28.7
TLAC Leverage Ratio	8.9	8.1

The following is a list of the directly or indirectly held significant subsidiaries.

SIGNIFICANT SUBSIDIARIES¹

(millions of Canadian dollars)

		October 31, 2025
North America	Address of Head or Principal Office ²	Carrying value of shares owned by the Bank ³
Meloche Monnex Inc.	Montreal, Québec	\$ 3,202
Security National Insurance Company	Montreal, Québec	
Primum Insurance Company	Toronto, Ontario	
TD Direct Insurance Inc.	Toronto, Ontario	
TD General Insurance Company	Toronto, Ontario	
TD Home and Auto Insurance Company	Toronto, Ontario	
TD Wealth Holdings Canada Limited	Toronto, Ontario	12,683
TD Asset Management Inc.	Toronto, Ontario	
GMI Servicing Inc.	Winnipeg, Manitoba	
TD Waterhouse Private Investment Counsel Inc.	Toronto, Ontario	
TD Waterhouse Canada Inc.	Toronto, Ontario	
TD Auto Finance (Canada) Inc.	Toronto, Ontario	4,542
TD Group US Holdings LLC	Wilmington, Delaware	75,699
Toronto Dominion Holdings (U.S.A.), Inc.	New York, New York	
Cowen Inc.	New York, New York	
Cowen Structured Holdings LLC	New York, New York	
Cowen Structured Holdings Inc.	New York, New York	
TD Arranged Services LLC	New York, New York	
RCG LV Pearl, LLC	New York, New York	
Cowen Financial Products LLC	New York, New York	
Cowen Holdings, Inc.	New York, New York	
Cowen CV Acquisition LLC	New York, New York	
Cowen Execution Holdco LLC	New York, New York	
Westminster Research Associates LLC	New York, New York	
RCG Insurance Company	New York, New York	
TD Prime Services LLC	New York, New York	
TD Financial Products LLC	Chicago, Illinois	
TD Securities (USA) LLC	New York, New York	
Toronto Dominion (Texas) LLC	New York, New York	
Toronto Dominion (New York) LLC	New York, New York	
Toronto Dominion Investments LLC	New York, New York	
TD Bank US Holding Company	Cherry Hill, New Jersey	
Epoch Investment Partners, Inc.	New York, New York	
TD Bank USA, National Association	Cherry Hill, New Jersey	
TD Bank, National Association	Cherry Hill, New Jersey	
TD Equipment Finance, Inc.	Mt. Laurel, New Jersey	
TD Private Client Wealth LLC	New York, New York	
TD Public Finance LLC	New York, New York	
TD Wealth Management Services Inc.	Mt. Laurel, New Jersey	
TD Investment Services Inc.	Toronto, Ontario	68
TD Life Insurance Company	Toronto, Ontario	180
TD Mortgage Corporation	Toronto, Ontario	14,052
TD Pacific Mortgage Corporation	Vancouver, British Columbia	
The Canada Trust Company	Toronto, Ontario	
TD Securities Inc.	Toronto, Ontario	3,589
TD Vermillion Holdings Limited	Toronto, Ontario	24,279
TD Reinsurance (Barbados) Inc.	St. James, Barbados	

¹ Unless otherwise noted, The Toronto-Dominion Bank, either directly or through its subsidiaries, owns 100% of the entity and/or 100% of any issued and outstanding voting securities and non-voting securities of the entities listed.

² Each subsidiary is incorporated or organized in the country in which its head or principal office is located.

³ Carrying amounts are prepared for purposes of meeting the disclosure requirements of Section 308 (3)(a)(ii) of the *Bank Act (Canada)*. Intercompany transactions may be included herein which are eliminated for consolidated financial reporting purposes.

SIGNIFICANT SUBSIDIARIES¹ (continued)

(millions of Canadian dollars)

		October 31, 2025
International	Address of Head or Principal Office ²	Carrying value of shares owned by the Bank ³
Ramius Enterprise Luxembourg Holdco S.à.r.l. Cowen Reinsurance S.A.	Luxembourg, Luxembourg Luxembourg, Luxembourg	\$ 49
TD Ireland Unlimited Company TD Global Finance Unlimited Company	Dublin, Ireland Dublin, Ireland	2,973
TD Securities (Japan) Co. Ltd.	Tokyo, Japan	12
Toronto Dominion Australia Limited	Sydney, Australia	107
TD Bank Europe Limited	London, England	1,420
Toronto Dominion International Pte. Ltd. TD Execution Services Limited	Singapore, Singapore London, England	10,701
Toronto Dominion (South East Asia) Limited	Singapore, Singapore	1,813

¹ Unless otherwise noted, The Toronto-Dominion Bank, either directly or through its subsidiaries, owns 100% of the entity and/or 100% of any issued and outstanding voting securities and non-voting securities of the entities listed.

² Each subsidiary is incorporated or organized in the country in which its head or principal office is located.

³ Carrying amounts are prepared for purposes of meeting the disclosure requirements of Section 308 (3)(a)(ii) of the *Bank Act (Canada)*. Intercompany transactions may be included herein which are eliminated for consolidated financial reporting purposes.

SUBSIDIARIES WITH RESTRICTIONS TO TRANSFER FUNDS

Certain of the Bank's subsidiaries have regulatory requirements to fulfil, in accordance with applicable law, in order to transfer funds, including paying dividends to, repaying loans to, or redeeming subordinated debentures issued to, the Bank. These customary requirements include, but are not limited to:

- Local regulatory capital and/or surplus adequacy requirements;
- Basel requirements under Pillar 1 and Pillar 2;
- Local regulatory approval requirements; and
- Local corporate and/or securities laws.

Pursuant to the terms of the orders that TD Bank USA, N.A. (TDBUSA) and TDBNA (collectively the "U.S. Bank") entered into with the OCC, the Boards of Directors of the U.S. Bank are required to certify to the OCC that the U.S. Bank has allocated appropriate resources and staffing to the remediation required by the orders before declaring or paying dividends, engaging in share repurchases, or making any other capital distribution. In addition, pursuant to the terms of the cease and desist order that the Bank, TDGUS and TDBUSH entered into with the Federal Reserve, the Boards of Directors of the Bank, TDGUS and TDBUSH are required to certify to the Federal Reserve that appropriate resources and staffing have been allocated to remediation, as required by the order, before declaring or paying any dividends, engaging in share repurchases, or making any other capital distributions. If the Bank, the U.S. Bank, TDGUS or TDBUSH are unable to so certify, then there would be restrictions on (i) the payment of dividends or making of any other capital distributions, or (ii) the repurchase of shares by these entities.

As at October 31, 2025, the net assets of subsidiaries subject to regulatory or CAR was approximately \$107 billion (October 31, 2024 – \$109 billion), before intercompany eliminations.

In addition to regulatory requirements outlined above, the Bank may be subject to significant restrictions on its ability to use the assets or settle the liabilities of members of its group. Key contractual restrictions may arise from the provision of collateral to third parties in the normal course of business, for example through secured financing transactions; assets securitized which are not subsequently available for transfer by the Bank; and assets transferred into other consolidated and unconsolidated structured entities. The impact of these restrictions has been disclosed in Notes 9 and 25.

Ten-year Statistical Review – IFRS

Condensed Consolidated Balance Sheet¹

(millions of Canadian dollars)	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
ASSETS										
Cash resources and other	\$ 116,929	\$ 176,367	\$ 105,069	\$ 145,850	\$ 165,893	\$ 170,594	\$ 30,446	\$ 35,455	\$ 55,156	\$ 57,621
Trading loans, securities, and other ²	353,491	276,084	227,773	218,440	231,220	256,342	261,144	262,115	254,361	211,111
Non-trading financial assets at fair value through profit or loss	7,395	5,869	7,340	10,946	9,390	8,548	6,503	4,015	n/a	n/a
Derivatives	82,972	78,061	87,382	103,873	54,427	54,242	48,894	56,996	56,195	72,242
Debt securities at amortized cost, net of allowance for credit losses	240,439	271,615	308,016	342,774	268,939	227,679	130,497	107,171	n/a	n/a
Held-to-maturity securities	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	71,363	84,395
Securities purchased under reverse repurchase agreements	247,078	208,217	204,333	160,167	167,284	169,162	165,935	127,379	134,429	86,052
Loans, net of allowance for loan losses	953,012	949,549	895,947	831,043	722,622	717,523	684,608	646,393	612,591	585,656
Other	93,242	95,989	119,279	104,435	108,897	111,775	87,263	95,379	94,900	79,890
Total assets	\$ 2,094,558	\$ 2,061,751	\$ 1,955,139	\$ 1,917,528	\$ 1,728,672	\$ 1,715,865	\$ 1,415,290	\$ 1,334,903	\$ 1,278,995	\$ 1,176,967
LIABILITIES										
Trading deposits	\$ 37,882	\$ 30,412	\$ 30,980	\$ 23,805	\$ 22,891	\$ 19,177	\$ 26,885	\$ 114,704	\$ 79,940	\$ 79,786
Derivatives	79,356	68,368	71,640	91,133	57,122	53,203	50,051	48,270	51,214	65,425
Financial liabilities designated at fair value through profit or loss	197,635	207,914	192,130	162,786	113,988	59,665	105,131	16	8	190
Deposits	1,267,104	1,268,680	1,198,190	1,229,970	1,125,125	1,135,333	886,977	851,439	832,824	773,660
Other	374,021	359,744	340,508	287,161	298,498	341,511	247,820	231,694	230,291	172,801
Subordinated notes and debentures	10,733	11,473	9,620	11,290	11,230	11,477	10,725	8,740	9,528	10,891
Total liabilities	1,966,731	1,946,591	1,843,068	1,806,145	1,628,854	1,620,366	1,327,589	1,254,863	1,203,805	1,102,753
EQUITY										
Shareholders' Equity										
Common shares	24,727	25,373	25,434	24,363	23,066	22,487	21,713	21,221	20,931	20,711
Preferred shares and other equity instruments	11,625	10,888	10,853	11,253	5,700	5,650	5,800	5,000	4,750	4,400
Treasury shares and other equity instruments	(4)	(35)	(129)	(98)	(162)	(41)	(47)	(151)	(183)	(36)
Contributed surplus	285	204	155	179	173	121	157	193	214	203
Retained earnings	78,320	70,826	73,008	73,698	63,944	53,845	49,497	46,145	40,489	35,452
Accumulated other comprehensive income (loss)	12,874	7,904	2,750	1,988	7,097	13,437	10,581	6,639	8,006	11,834
	127,827	115,160	112,071	111,383	99,818	95,499	87,701	79,047	74,207	72,564
Non-controlling interests in subsidiaries	–	–	–	–	–	–	–	993	983	1,650
Total equity	127,827	115,160	112,071	111,383	99,818	95,499	87,701	80,040	75,190	74,214
Total liabilities and equity	\$ 2,094,558	\$ 2,061,751	\$ 1,955,139	\$ 1,917,528	\$ 1,728,672	\$ 1,715,865	\$ 1,415,290	\$ 1,334,903	\$ 1,278,995	\$ 1,176,967

¹ Amounts have been restated effective fiscal 2023 for the adoption of IFRS 17. For periods prior to fiscal 2023, amounts were based on IFRS 4.

² Includes financial assets designated at fair value through profit or loss and financial assets at fair value through other comprehensive income (available-for-sale securities under IAS 39).

Ten-year Statistical Review – IFRS (continued)

Condensed Consolidated Statement of Income – Reported¹

(millions of Canadian dollars)	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Net interest income	\$ 33,062	\$ 30,472	\$ 29,944	\$ 27,353	\$ 24,131	\$ 24,497	\$ 23,821	\$ 22,239	\$ 20,847	\$ 19,923
Non-interest income	34,715	26,751	20,746	21,679	18,562	19,149	17,244	16,653	15,355	14,392
Total revenue	67,777	57,223	50,690	49,032	42,693	43,646	41,065	38,892	36,202	34,315
Provision for (recovery of) credit losses	4,506	4,253	2,933	1,067	(224)	7,242	3,029	2,480	2,216	2,330
Insurance claims and related expenses	6,089	6,647	5,014	2,900	2,707	2,886	2,787	2,444	2,246	2,462
Non-interest expenses	33,539	35,493	29,855	24,641	23,076	21,604	22,020	20,195	19,419	18,877
Income before income taxes and share of net income from investment in Schwab and TD Ameritrade	23,643	10,830	12,888	20,424	17,134	11,914	13,229	13,773	12,321	10,646
Provision for (recovery of) income taxes	3,410	2,691	3,118	3,986	3,621	1,152	2,735	3,182	2,253	2,143
Share of net income from investment in Schwab and TD Ameritrade	305	703	864	991	785	1,133	1,192	743	449	433
Net income	20,538	8,842	10,634	17,429	14,298	11,895	11,686	11,334	10,517	8,936
Preferred dividends and distributions on other equity instruments	565	526	563	259	249	267	252	214	193	141
Net income available to common shareholders and non-controlling interests in subsidiaries	\$ 19,973	\$ 8,316	\$ 10,071	\$ 17,170	\$ 14,049	\$ 11,628	\$ 11,434	\$ 11,120	\$ 10,324	\$ 8,795
Attributable to:										
Common shareholders	\$ 19,973	\$ 8,316	\$ 10,071	\$ 17,170	\$ 14,049	\$ 11,628	\$ 11,416	\$ 11,048	\$ 10,203	\$ 8,680
Non-controlling interests in subsidiaries	–	–	–	–	–	–	18	72	121	115

Condensed Consolidated Statement of Changes in Equity – Reported¹

(millions of Canadian dollars)	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Shareholders' Equity										
Common shares	\$ 24,727	\$ 25,373	\$ 25,434	\$ 24,363	\$ 23,066	\$ 22,487	\$ 21,713	\$ 21,221	\$ 20,931	\$ 20,711
Preferred shares and other equity instruments	11,625	10,888	10,853	11,253	5,700	5,650	5,800	5,000	4,750	4,400
Treasury shares and other equity instruments	(4)	(35)	(129)	(98)	(162)	(41)	(47)	(151)	(183)	(36)
Contributed surplus	285	204	155	179	173	121	157	193	214	203
Retained earnings	78,320	70,826	73,008	73,698	63,944	53,845	49,497	46,145	40,489	35,452
Accumulated other comprehensive income (loss)	12,874	7,904	2,750	1,988	7,097	13,437	10,581	6,639	8,006	11,834
Total	127,827	115,160	112,071	111,383	99,818	95,499	87,701	79,047	74,207	72,564
Non-controlling interests in subsidiaries	–	–	–	–	–	–	–	993	983	1,650
Total equity	\$ 127,827	\$ 115,160	\$ 112,071	\$ 111,383	\$ 99,818	\$ 95,499	\$ 87,701	\$ 80,040	\$ 75,190	\$ 74,214

¹ Amounts have been restated effective fiscal 2023 for the adoption of IFRS 17. For periods prior to fiscal 2023, amounts were based on IFRS 4.

Ten-year Statistical Review

Other Statistics – IFRS Reported¹

	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Per common shares										
1 Basic earnings	\$ 11.57	\$ 4.73	\$ 5.53	\$ 9.48	\$ 7.73	\$ 6.43	\$ 6.26	\$ 6.02	\$ 5.51	\$ 4.68
2 Diluted earnings	11.56	4.72	5.52	9.47	7.72	6.43	6.25	6.01	5.50	4.67
3 Dividends	4.20	4.08	3.84	3.56	3.16	3.11	2.89	2.61	2.35	2.16
4 Book value	68.78	59.59	56.56	55.00	51.66	49.49	45.20	40.50	37.76	36.71
5 Closing market price	115.16	76.97	77.46	87.19	89.84	58.78	75.21	73.03	73.34	60.86
6 Closing market price to book value	1.67	1.29	1.37	1.59	1.74	1.19	1.66	1.80	1.94	1.66
7 Closing market price appreciation	49.60%	(0.60)%	(11.2)%	(3.0)%	52.8%	(21.8)%	3.0%	(0.4)%	20.5%	13.4%
8 Total shareholder return (1-year)	56.70	4.50	(6.9)	0.9	58.9	(17.9)	7.1	3.1	24.8	17.9
Performance ratios										
9 Return on common equity	17.8%	8.2%	9.9%	18.0%	15.5%	13.6%	14.5%	15.7%	14.9%	13.3%
10 Return on Common Equity Tier 1 Capital risk-weighted assets ^{2,3}	3.15	1.39	1.88	3.53	3.02	2.41	2.55	2.56	2.46	2.21
11 Efficiency ratio	49.5	62.0	58.9	50.3	54.1	49.5	53.6	51.9	53.6	55.0
12 Net interest margin	1.76	1.72	1.74	1.69	1.56	1.72	1.95	1.95	1.96	2.01
13 Dividend payout ratio	36.2	86.1	69.3	37.5	40.9	48.3	46.1	43.3	42.6	46.1
14 Dividend yield	4.6	5.1	4.6	3.8	3.9	4.8	3.9	3.5	3.6	3.9
15 Price-earnings ratio	10.0	16.3	14.0	9.2	11.6	9.2	12.0	12.2	13.3	13.0
Asset quality										
16 Net impaired loans as a % of net loans and acceptances	0.40%	0.36%	0.25%	0.20%	0.24%	0.32%	0.33%	0.37%	0.38%	0.46%
17 Net impaired loans as a % of common equity	3.30	3.27	2.25	1.74	1.89	2.59	2.81	3.33	3.45	4.09
18 Provision for credit losses as a % of net average loans and acceptances	0.47	0.46	0.34	0.14	(0.03)	1.00	0.45	0.39	0.37	0.41
Capital ratios²										
19 Common Equity Tier 1 Capital ratio ^{3,4}	14.7%	13.1%	14.4%	16.2%	15.2%	13.1%	12.1%	12.0%	10.7%	10.4%
20 Tier 1 Capital ratio ^{2,3}	16.4	14.8	16.2	18.3	16.5	14.4	13.5	13.7	12.3	12.2
21 Total Capital ratio ^{2,3}	18.4	16.8	18.1	20.7	19.1	16.7	16.3	16.2	14.9	15.2
Other										
22 Common equity to total assets	5.5	5.0	5.2	5.2	5.4	5.2	5.8	5.5	5.4	5.8
23 Number of common shares outstanding (millions)	1,689.5	1,750.1	1,790.7	1,820.7	1,822.0	1,815.6	1,811.9	1,828.3	1,839.6	1,857.2
24 Market capitalization (millions of Canadian dollars)	\$ 194,562	\$ 134,702	\$ 138,706	\$ 158,743	\$ 163,686	\$ 106,719	\$ 136,274	\$ 133,519	\$ 134,915	\$ 113,028
25 Average number of full-time equivalent staff	102,218	101,758	103,257	94,867	89,464	89,598	89,031	84,383	83,160	81,233
26 Number of retail outlets ⁵	2,199	2,245	2,293	2,274	2,260	2,358	2,380	2,411	2,446	2,476
27 Number of retail brokerage offices	85	85	85	85	86	87	113	109	109	111
28 Number of automated banking machines	5,774	5,964	6,149	6,100	6,089	6,233	6,302	5,587	5,322	5,263

¹ Amounts have been restated effective fiscal 2023 for the adoption of IFRS 17. For periods prior to fiscal 2023, amounts were based on IFRS 4.

² These measures have been included in this document in accordance with the Office of the Superintendent of Financial Institutions Canada's Capital Adequacy Requirements. Amounts are calculated in accordance with the Basel III regulatory framework and are presented based on the "all-in" methodology.

³ The CVA is based on a phase-in approach until the first quarter of 2019. For fiscal 2016 the scalars for inclusion of CVA for CET1, Tier 1, and Total Capital RWA were 64%, 71%, and 77%, respectively. For fiscal 2017, the corresponding scalars

were 72%, 77%, and 81%, respectively, for fiscal 2018, were 80%, 83%, and 86%, respectively, and effective fiscal 2019, the corresponding scalars are all 100%. Prior to the second quarter of 2018, the RWA as it relates to the regulatory floor was calculated based on the Basel I risk weights which are the same for all capital ratios.

⁴ The Bank reports the measures, CET1 and CET1 Capital ratio, in accordance with the "all-in" methodology.

⁵ Includes retail bank outlets, private client centre branches, and estate and trust branches.

Shareholder and Investor Information

MARKET LISTINGS

The common shares of The Toronto-Dominion Bank are listed for trading on the Toronto Stock Exchange and the New York Stock Exchange under the symbol "TD". The Toronto-Dominion Bank listed preferred shares are listed on the Toronto Stock Exchange.

Further information regarding the Bank's listed securities, including ticker symbols and CUSIP numbers, is available on our website at www.td.com under Investor Relations/Share Information or by calling TD Shareholder Relations at 1-866-756-8936 or 416-944-6367 or by e-mailing tdshinfo@td.com.

AUDITORS FOR FISCAL 2025

Ernst & Young LLP

DIVIDENDS

Direct dividend depositing: Registered shareholders may have their dividends deposited directly to any bank account in Canada or the U.S. For this service, please contact the Bank's transfer agent at the address below. Beneficial shareholders should contact their intermediary.

U.S. dollar dividends: For registered shareholders, dividend payments sent to U.S. addresses or made directly to U.S. bank accounts will be made in U.S. funds unless a shareholder otherwise instructs the Bank's transfer agent. Registered shareholders whose dividends are sent to non-U.S. addresses can also request dividend payments in U.S. funds by contacting the Bank's transfer agent. Dividends will be exchanged into U.S. funds at the Bank of Canada daily average exchange rate published at 16:30

(Eastern) on the fifth business day after the record date, or as otherwise advised by the Bank. Beneficial shareholders should contact their intermediary.

Dividend information is available at www.td.com under Investor Relations/Share Information. Dividends, including the amounts and dates, are subject to declaration by the Board of Directors of the Bank.

DIVIDEND REINVESTMENT PLAN

For information regarding the Bank's dividend reinvestment plan, please contact our transfer agent or visit our website at www.td.com under Investor Relations/Share Information/Dividends.

IF YOU	AND YOUR INQUIRY RELATES TO	PLEASE CONTACT
Are a registered shareholder (your name appears on your TD share certificate)	Missing dividends, lost share certificates, estate questions, address changes to the share register, dividend bank account changes, the dividend reinvestment plan, eliminating duplicate mailings of shareholder materials or stopping (or resuming) receiving annual and quarterly reports	Transfer Agent: TSX Trust Company 301-100 Adelaide Street West Toronto, ON M5H 4H1 1-800-387-0825 (Canada and U.S. only) or 416-682-3860 Facsimile: 1-888-249-6189 shareholderinquiries@tmx.com or http://www.tsxtrust.com
Hold your TD shares through the Direct Registration System in the United States	Missing dividends, lost share certificates, estate questions, address changes to the share register, eliminating duplicate mailings of shareholder materials or stopping (or resuming) receiving annual and quarterly reports	Co-Transfer Agent and Registrar: Computershare Trust Company, N.A. P.O. Box 43006 Providence, RI 02940-3006 or Computershare Trust Company, N.A. 150 Royall Street Canton, MA 02021 1-866-233-4836 TDD for hearing impaired: 1-800-231-5469 Shareholders outside of U.S.: 201-680-6578 TDD shareholders outside of U.S.: 1-781-575-4592 Email inquiries: web.queries@computershare.com www.computershare.com/investor
Beneficially own TD shares that are held in the name of an intermediary, such as a bank, a trust company, a securities broker or other nominee	Your TD shares, including questions regarding the dividend reinvestment plan and mailings of shareholder materials	Your intermediary

TD SHAREHOLDER RELATIONS

For all other shareholder inquiries, please contact TD Shareholder Relations at 416-944-6367 or 1-866-756-8936 or e-mail tdshinfo@td.com. Please note that by leaving us an e-mail or voicemail message you are providing your consent for us to forward your inquiry to the appropriate party for response.

Shareholders may communicate directly with the independent directors through the Chair of the Board, by writing to:

Board Chair
The Toronto-Dominion Bank
P.O. Box 1
Toronto-Dominion Centre
Toronto, Ontario M5K 1A2

or you may send an e-mail c/o TD Shareholder Relations at tdshinfo@td.com. E-mails addressed to the Chair received from shareholders and expressing an interest to communicate directly with the independent directors via the Chair will be provided to Mr. MacIntyre.

HEAD OFFICE

The Toronto-Dominion Bank
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Toronto-Dominion Centre
Toronto, Ontario M5K 1A2

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(Canada only; U.S. customers can e-mail customer service via www.tdbank.com)

ANNUAL MEETING

Thursday, April 16, 2026, 9:30 a.m. (Eastern)

SUBORDINATED NOTES SERVICES

Trustee for subordinated notes:

Computershare Trust Company of Canada
Attention: Manager,
Corporate Trust Services
100 University Avenue, 11th Floor
Toronto, Ontario M5J 2Y1

Vous pouvez vous procurer des exemplaires en français du rapport annuel au service suivant :

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